CASES DECIDED

IN THE

COURT OF APPEALS

OF THE

STATE OF NEW YORK

[903 NE2d 1146, 875 NYS2d 826]

THE PEOPLE OF THE STATE OF NEW YORK ex rel. ANTHONY GILL, Respondent, v GARY GREENE, as Superintendent of Great Meadow Correctional Facility, Appellant.

Argued January 6, 2009; decided February 12, 2009

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Third Judicial Department, from an order of that Court, entered February 28, 2008. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, Washington County (Philip A. Berke, J.), which had denied petitioner's application for a writ of habeas corpus; (2) converted the petition to a proceeding pursuant to CPLR article 78; and (3) granted the petition to the extent of annulling the determination by the Department of Correctional Services that petitioner's sentences run consecutively.

People ex rel. Gill v Greene, 48 AD3d 1003, reversed.

HEADNOTE

Crimes — Sentence — Concurrent and Consecutive Terms

Where the court that sentenced petitioner was required by Penal Law § 70.25 (2-a) to impose a prison term to run consecutively to his previous, undischarged sentences, but did not say, orally or in any document, that the sentence it imposed was either consecutive to or concurrent with the previous ones, the court was deemed to have imposed the consecutive sentence required by law. Petitioner was told in plain terms that he was being sentenced to 2½ to 5 years in prison. He was never given any reason to think that part or all of that sentence would be effectively nullified, by running simultaneously with sentences he had already received. The words of Penal Law § 70.25 (2-a)—"the court must impose a sentence to run consecutively with respect to such undischarged sentence"—mean that any sentence imposed by the court shall run consecutively to the undischarged sentence, whether the sentencing court says so or not.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 835, 837, 838, 840.
CARMODY-WAIT 2d, Criminal Procedure § 172:3897.
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 26.3.
MCKINNEY'S, Penal Law § 70.25 (2-a).
NY JUR 2d, Criminal Law: Procedure § 3163.

ANNOTATION REFERENCE

See ALR Index under Concurrent and Consecutive Sentences; Criminal Procedure Rules; Sentence and Punishment.

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POINTS OF COUNSEL

Andrew M. Cuomo, Attorney General, Albany (*Barbara D. Underwood, Andrea Oser, Nancy A. Spiegel* and *Frank Brady* of counsel), for appellant. I. The Third Department's interpretation of Penal Law § 70.25 (2-a) is not mandated by the text and is contradicted by the history, purpose and long-standing interpretation by the courts of this state. (*People ex rel. Batista v Walsh*, 48 AD3d 845; *People v Ingber*, 248 NY 302; *People v Baum*, 16 AD2d 716; *Matter of Browne v New York State Bd. of Parole*, 10 NY2d 116; *People v Konigsberg*, 137 AD2d 142, 72 NY2d 912; *People v Colavito*, 28 AD2d 548; *People v Bostick*, 67 AD2d 930, 46 NY2d 1078; *Akins v Smith,* 480 F Supp 248, 622 F2d 572; *Matter of Rolon v Senkowski*, 160 AD2d 1072; *Matter of Moore v Goord*, 34 AD3d 909, 8 NY3d 807.) II. Judicial pronouncement of how a new sentence relates to undischarged prior sentences is not required by general statutory or constitutional principles governing sentencing. (*Matter of Garner v New York State Dept. of Correctional Servs.*, 10 NY3d 358; *People v Sparber*, 10 NY3d 457; *Earley v Murray*, 451 F3d 71; *Wilson v McGinnis*, 413 F3d 196; *United States v Parkins*, 25 F3d 114, 513 US 1008; *Matter of Browne v New York State Bd. of Parole*, 10 NY2d 116; *McCarthy v Doe*, 146 F3d 118.) III. Any change in the long-standing appellate interpretation of Penal Law § 70.25 (2-a) should apply prospectively. (*People v Martello*, 93 NY2d 645; *People v Mitchell*, 80 NY2d 519; *People v Pepper*, 53 NY2d 213; *People v Favor*, 82 NY2d 254.)

Legal Aid Society, New York City (*Robert C. Newman, Steven Banks* and *William D. Gibney* of counsel), for respondent. I. The Appellate Division correctly held that the Department of Correctional Services, an administrative agency, lacked statutory authority to run respondent's sentence consecutively when the sentencing court did not so order. (*Matter of Garner v New York State Dept. of Correctional Servs.*, 10 NY3d 358; *People v Sparber*, 10 NY3d 457; *People v Selikoff*, 35 NY2d 227; *People v Catu*, 4 NY3d 242; *People v Ford*, 86 NY2d 397; *People v Perry*, 36 NY2d 114; *Matter of Murray v Goord*, 1 NY3d 29; *Middleton v State of New York*, 54 AD2d 450, 43 NY2d 678; *People v DeValle*, 94 NY2d 870.) II. The legislative history of the statute does not support appellant's contention that the Department of Correctional Services had the authority it asserted here. (*People v Ingber*, 248 NY 302; *Matter of Browne v New York State Bd. of Parole*, 10 NY2d 116.) III. The Appellate Division correctly relied on *Earley v Murray* (451 F3d 71 [2d Cir 2006]), which ruled that under the Federal Constitution, a clerical or administrative ''alteration'' to a judicially-pronounced sentence ''is of no effect.'' (*People v Sparber*, 10 NY3d 457; *Hill v United States ex rel. Wampler*, 298 US 460; *Greene v United States*, 358 US 326; *People v Perry*, 36 NY2d 114; *People v Merejildo*, 45 AD3d 429; *People v Curley*, 285 AD2d 274, 97 NY2d 607; *Wilson v McGinnis*, 413 F3d 196; *Apprendi v New Jersey*, 530 US 466; *McMillan v Pennsylvania*, 477 US 79.) IV. The Court should not embrace appellant's suggestion that any ruling in respondent's favor should apply only prospectively. (*People v DeValle*, 94 NY2d 870; *Wilson v McGinnis*, 413 F3d 196; *United States v Parkins*, 25 F3d 114; *United States v Neely*, 38 F3d 458; *People v Favor*, 82 NY2d 254; *Hill v United States ex rel. Wampler*, 298 US 460; *Matter of Ettari v Fischer*, 54 AD3d 460; *People ex rel. Julio v Walters*, 88 AD2d 259, 58 NY2d 881; *People v Morales*, 37 NY 262; *People ex rel. Posada-Osorio v Hammock*, 58 NY2d 978.)

Daniel M. Donovan, Jr., District Attorney, Staten Island (*Morrie I. Kleinbart*, *Anthony Girese* and *Ann C. Sullivan* of counsel), for District Attorneys Association of the State of New York, amicus curiae. An affirmance would upset 30 years of reliance on an understanding of Penal Law § 70.25 (2-a) that mandated consecutive sentences by operation of law for a repeat felony offender subject to an undischarged prior sentence, and cause enormous damage to the criminal justice system. (*Matter of Rolon v Senkowski*, 160 AD2d 1072; *People ex rel. Batista v Walsh*, 48 AD3d 845; *Matter of Gray v Goord*, 37 AD3d 904; *Matter of Jackson v Smith*, 36 AD3d 1067; *Matter of Collins v Woodruff*, 32 AD3d 1139; *Matter of Moore v Goord*, 34 AD3d 909; *Matter of Valentin v Smith*, 30 AD3d 862; *Matter of Myles v Smith*, 32 AD3d 1142; *Matter of El-Aziz v Goord*, 27 AD3d 861, 7 NY3d 704; *Matter of Soriano v New York State Dept. of Correctional Servs.*, 21 AD3d 1233.)

OPINION OF THE COURT

SMITH, J.

We hold that, when a court is required by statute to impose a sentence that is consecutive to another, and the court does not say whether its sentence is consecutive or concurrent, it is deemed to have imposed the consecutive sentence the law requires.

I

In 1994, Anthony Gill was sentenced as a second felony offender to an indeterminate term of $2^1/_2$ to 5 years for criminal possession of stolen property. Before then, he had been convicted and sentenced twice for earlier crimes, for manslaughter in 1982 and for several larceny-related offenses in 1993. Neither of Gill's previous sentences had been discharged by 1994; he had been paroled on the first, and had absconded from a temporary release program while serving the second.

It is undisputed that the court that sentenced Gill in 1994 was required by Penal Law § 70.25 (2-a) to impose a prison term to run consecutively to his previous, undischarged sentences. It is also undisputed, however, that that court did not say, orally or in any document, that the sentence it imposed was either consecutive to or concurrent with the previous ones. The court was simply silent on that subject. The Department of Correctional Services (DOCS) calculated Gill's release date on the assumption that the 1982, 1993 and 1994 sentences were consecutive to each other.

In 2006, Gill, pro se, began this proceeding against the Superintendent of the prison where he was held, seeking a writ of habeas corpus. He asserted that his 1994 sentence was, as a matter of law, concurrent with his earlier ones, because the sentencing court had not said otherwise. Supreme Court dismissed the petition without reaching the merits of this claim, on the ground that even if Gill were correct he would not have been entitled to habeas corpus.

Gill appealed to the Appellate Division, which converted his proceeding to one under CPLR article 78, reversed Supreme Court and annulled DOCS's determination that Gill's sentences ran consecutively (*People ex rel. Gill v Greene*, 48 AD3d 1003 [3d Dept 2008]). The Appellate Division agreed with Gill "that DOCS had no authority to calculate his sentences consecutively where the court did not do so" (*id.* at 1005). The Appellate Division granted the Superintendent permission to appeal to this Court, and we now reverse.

II

There is no question that, as the Appellate Division acknowledged and as Gill concedes, the sentencing court was required in 1994 to impose a consecutive sentence. Gill was sentenced under the second felony offender statute, Penal Law § 70.06, and his sentence was therefore governed by Penal Law § 70.25 (2-a), which says:

> "When an indeterminate . . . sentence of imprisonment is imposed pursuant to section . . . 70.06 . . . and such person is subject to an undischarged indeterminate or determinate sentence of imprisonment imposed prior to the date on which the present crime was committed, the court must impose a sentence to run consecutively with respect to such undischarged sentence."

But Gill argues, and the Appellate Division held, that though the court was required to impose a consecutive sentence it did not do so, and that DOCS cannot correct the court's error.

Gill relies on *Matter of Garner v New York State Dept. of Correctional Servs.* (10 NY3d 358 [2008]), in which we held that, where a court omits to impose a required term of postrelease supervision (PRS), the error can be corrected only by a court, not by correctional authorities. He also relies on *Earley v Murray* (451 F3d 71 [2d Cir 2006]), in which the Court of Appeals for the Second Circuit held that it violated due process for DOCS to correct a sentencing court's error in failing to impose a term of PRS. But the analogy Gill draws between consecutive sentencing and PRS is flawed.

The problem in *Garner* and *Earley* was that a part of the sentence—the PRS term—was never imposed. In each case, the court imposed a term of imprisonment, and said nothing about PRS. That was indeed an error that only a court could correct. But here, the sentence at issue—a term of imprisonment for $2^1/_2$ to 5 years—was imposed. All that was omitted was the characterization of the sentence as either concurrent or consecutive.

That characterization is provided by the statute, Penal Law § 70.25 (2-a), which says the sentence must be consecutive. Nothing in the statute and nothing in the Constitution requires the sentencing court to say the word ''consecutive,'' either orally or in writing. Nothing in the statute even requires that the sentencing court be made aware that the prior sentences are undischarged. Unlike the petitioners in *Garner* and *Earley*, who were told nothing about PRS by the courts that sentenced them, Gill was told in plain terms that he was being sentenced to $2^1/_2$ to 5 years in prison. He was never given any reason to think that part or all of that sentence would be effectively nullified, by running simultaneously with sentences he had already received. Indeed, nothing in the record here shows the court knew that previous undischarged sentences existed.

We read the words of Penal Law § 70.25 (2-a)—''the court must impose a sentence to run consecutively with respect to such undischarged sentence''—to mean that any sentence imposed by the court shall run consecutively to the undischarged sentence, whether the sentencing court says so or not. This reading is supported by subdivision (1) of Penal Law § 70.25, in which the Legislature provided rules for interpreting sentences that might otherwise be thought either consecutive or concurrent. Section 70.25 (1) says that as a general rule—with exceptions that include cases subject, as this one is, to section 70.25 (2-a)—sentences ''shall run either concurrently or consecutively . . . in such manner as the court directs at the time of sentence.'' The statute goes on to provide a default rule: ''If the court does not specify the manner in which a sentence imposed by it is to run,'' the sentences shall run concurrently in certain classes of cases, and consecutively in others (Penal Law § 70.25 [1] [a], [b]). But where, as in this case, the court has no choice about which kind of sentence to impose, no default rule for interpreting the court's silence is provided by statute, because none is necessary. The court is simply deemed to have complied with the statute.

In short, the sentencing court here committed no error and there was none for DOCS to correct. DOCS properly interpreted Gill's 1994 sentence as being consecutive to his previous undischarged sentences, as Penal Law § 70.25 (2-a) requires.

Accordingly, the order of the Appellate Division should be reversed, without costs, and the petition dismissed.

Judges CIPARICK, GRAFFEO, READ, PIGOTT and JONES concur; Chief Judge LIPPMAN taking no part.

Order reversed, etc.

[903 NE2d 265, 874 NYS2d 868]

VIVIA AMALFITANO et al., Respondents, v ARMAND ROSENBERG, Appellant.

Argued January 6, 2009; decided February 12, 2009

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review two questions certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following questions were certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: ''(1) Can a successful lawsuit for treble damages brought under N.Y. Jud. Law § 487 be based on an attempted but unsuccessful deceit upon a court by the defendant? (2) In the course of such a lawsuit, may the costs of defending litigation instituted by a complaint containing a material misrepresentation of fact be treated as the proximate result of the misrepresentation if the court upon which the deceit was attempted at no time acted on the belief that the misrepresentation was true?''

HEADNOTES

Attorney and Client — Misconduct by Attorney — Attempted Deceit Sufficient to Support Cause of Action

1. Defendant attorney's attempted but unsuccessful deceit of the trial court in the course of litigation before it supported a cause of action under Judiciary Law § 487. Section 487 provides that an attorney who is guilty of any deceit or collusion, or consents to any deceit or collusion, with intent to deceive the court or any party, is guilty of a misdemeanor and is liable for treble damages to the party injured. The statute is not a codification of a common-law cause of action for fraud, but is a unique statute of ancient origin in the criminal law of England. The language at issue—''guilty of any deceit''—focuses on the attorney's intent to deceive, not the deceit's success. Limiting forfeiture to successful deceits would run counter to the statute's intent to enforce an attorney's special obligation to protect the integrity of the courts and foster their truth-seeking function.

Attorney and Client — Misconduct by Attorney — Treble Damages — Proximate Cause

2. Defendant attorney's attempted but unsuccessful deceit of the trial court in the underlying litigation supported a cause of action under Judiciary Law § 487, and defendant was properly found liable for treble damages pursuant to the statute. Recovery of treble damages under Judiciary Law § 487 does not depend upon the court's belief in a material misrepresentation of fact in a complaint. When a party commences an action grounded in a material misrepresentation of fact, the opposing party is obligated to defend or default and

necessarily incurs legal expenses. Because, in such a case, the lawsuit could not have gone forward in the absence of the material misrepresentation, the opposing party's legal expenses in defending the lawsuit may be treated as the proximate result of the misrepresentation.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

Am Jur 2d, Attorneys at Law §§ 4, 49.
Carmody-Wait 2d, Officers of Court § 3:217.
McKinney's, Judiciary Law § 487.
NY Jur 2d, Attorneys at Law § 291.

ANNOTATION REFERENCE

See ALR Index under Attorneys; Fraud and Deceit.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS
Query: attorney /s deceit /s treble /2 damage & intent

POINTS OF COUNSEL

Scheichet & Davis, P.C., New York City (*William J. Davis* of counsel), for appellant. Judiciary Law § 487 requires the elements of fraud or deceit for a civil action, which do not include an ''attempt.'' (*Barclay Arms v Barclay Arms Assoc.,* 74 NY2d 644; *Niagara Mohawk Power Corp. v Testone,* 272 AD2d 910; *People v Oishei,* 20 Misc 163; *New York City Tr. Auth. v Morris J. Eisen, P.C.,* 276 AD2d 78; *O'Connor v Dime Sav. Bank of N.Y.,* 265 AD2d 313; *Werner v Katal Country Club,* 234 AD2d 659; *Manna v Ades,* 237 AD2d 264.)

Llorca & Hahn LLP, New York City (*Richard E. Hahn* of counsel), for respondents. I. A lawsuit for treble damages may be maintained under Judiciary Law § 487 based upon an attempted but unsuccessful deceit upon a court. (*Looff v Lawton,* 97 NY 478; *Kuelling v Roderick Lean Mfg. Co.,* 183 NY 78; *Aymes v Gateway Demolition Inc.,* 30 AD3d 196; *Barclay Arms v Barclay Arms Assoc.,* 74 NY2d 644; *People v Oishei,* 20 Misc 163; *New York City Tr. Auth. v Morris J. Eisen, P.C.,* 276 AD2d 78; *O'Connor v Dime Sav. Bank of N.Y.,* 265 AD2d 313; *Werner v Katal Country Club,* 234 AD2d 659; *Carney v Philippone,* 1 NY3d 333; *Matter of Colonial Liq. Distribs. v O'Connell,* 295 NY 129.) II. The costs incurred in defending a suit predicated on a materially and intentionally false fundamental misrepresentation are recoverable under Judiciary Law § 487 even if the court never acted on the belief that the misrepresentation was true. (*Country-Wide Ins. Co. v National R.R. Passenger Corp.,* 6 NY3d 172; *Retail Software Servs. v Lashlee,* 71 NY2d 788; *Yesil v Reno,* 92 NY2d 455; *Aymes v Gateway Demolition Inc.,* 30 AD3d 196; *Kaplan v Democrat & Chronicle,* 266 AD2d 848.) III. Armand Rosenberg's filing of the complaint falsely alleging standing when none existed and the subsequent submission of knowingly and materially false affidavits did work a deceit on the court, and therefore the certified questions should be altered accordingly. (*Matter of Schildhaus,* 23 AD2d 152; *Schindler v Issler & Schrage,* 262 AD2d 226; *Guardian Life Ins. Co. of Am. v Handel,* 190 AD2d 57; *Salovaara v Eckert,* 222 F3d 19.) IV. Answering the questions certified in the affirmative will not ''open the floodgates to litigation.'' (*Enright v Eli Lilly & Co.,* 77 NY2d 377.) V. Any negative answer to certified question No. 2 should be limited to the issue of expenses incurred by Vivia and Gerald Amalfitano prior to the appeal on which the Appellate Division was found to have been actually defrauded, because this Court would exceed its jurisdiction if it also considered matters already decided by the Second Circuit which granted recovery with respect to expenses incurred after the appeal, through discovery and trial.

Jeffrey A. Jannuzzo, New York City, for James L. Melcher, amicus curiae. The 28 other statutes that disjunctively employ the term ''deceit'' establish that it is distinct from ''fraud.'' (*Matter of Bliss v Bliss,* 66 NY2d 382; *Rangolan v County of Nassau,* 96 NY2d 42; *Matter of Tonis v Board of Regents of Univ. of State of N.Y.,* 295 NY 286; *Matter of Gerald R.M.,* 12 AD3d 1192; *McSweeney v Bazinet,* 269 App Div 213, 295 NY 797; *Fleming v Graham,* 10 NY3d 296.)

OPINION OF THE COURT

Read, J.

The United States Court of Appeals for the Second Circuit has certified two questions to us regarding the application of section 487 of the Judiciary Law insofar as it provides that

> ''[a]n attorney or counselor who: . . .
>
> ''[i]s guilty of any deceit or collusion, or consents to any deceit or collusion, with intent to deceive the court or any party . . .
>
> ''[i]s guilty of a misdemeanor, and in addition to the

> punishment prescribed therefor by the penal law, he forfeits to the party injured treble damages, to be recovered in a civil action.''

The questions arise out of defendant Armand Rosenberg's appeal from a judgment of the United States District Court for the Southern District of New York, finding that Rosenberg violated section 487 and awarding plaintiffs Vivia and Gerard Amalfitano three times their costs to defeat a lawsuit brought by Rosenberg on behalf of Peter Costalas (*Amalfitano v Rosenberg*, 428 F Supp 2d 196 [SD NY 2006]). The lawsuit accused the Amalfitanos of fraudulently purchasing what remained of the Costalas family business, a partnership known as 27 Whitehall Street Group. On appeal, the Second Circuit concluded that it could affirm the District Court's judgment ''in its entirety'' only if, in addition to Rosenberg's actual deceit of the Appellate Division, his ''attempted deceit'' of the trial court—''the false allegations in the complaint in the *Costalas* litigation'' representing that Peter Costalas was a partner in 27 Whitehall Street Group—would ''support[ ] a cause of action under section 487 and was the proximate cause of the Amalfitanos' damages in defending the litigation from its inception'' (*Amalfitano v Rosenberg*, 533 F3d 117, 125 [2d Cir 2008]).*

I.

Certified Question No. 1

''Can a successful lawsuit for treble damages brought under N.Y. Jud. Law § 487 be based on an attempted but unsuccessful deceit?'' (533 F3d at 126.)

Rosenberg equates forfeiture under Judiciary Law § 487 with a tort claim for fraud. And under New York common law, ''[t]o maintain an action based on fraudulent representations . . . in tort for damages, it is sufficient to show that the defendant knowingly uttered a falsehood intending to deprive the plaintiff of a benefit *and that the plaintiff was thereby deceived* and damaged'' (*Channel Master Corp. v Aluminium Ltd. Sales*, 4 NY2d 403, 406-407 [1958] [emphasis added]). Thus, Rosenberg argues, section 487 does not permit recovery for an attempted but unsuccessful deceit practiced on a court. And here, the trial judge was concededly never fooled by misrepresentations regarding Peter Costalas's partnership status.

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* The facts and circumstances of the underlying litigation and Rosenberg's conduct are set out in detail in the District Court's decision and the Second Circuit's certification opinion.

As the District Court correctly observed, however, Judiciary Law § 487 does not derive from common-law fraud. Instead, as the Amalfitanos point out, section 487 descends from the first Statute of Westminster, which was adopted by the Parliament summoned by King Edward I of England in 1275. The relevant provision of that statute specified that

> ''if any Serjeant, Pleader, or other, do any manner of Deceit or Collusion in the King's Court, or consent [unto it,] in deceit of the Court [or] to beguile the Court, or the Party, and thereof be attainted, he shall be imprisoned for a Year and a Day, and from thenceforth shall not be heard to plead in [that] Court for any Man; and if he be no Pleader, he shall be imprisoned in like manner by the Space of a Year and a Day at least; and if the Trespass require greater Punishment, it shall be at the King's Pleasure'' (3 Edw, ch 29; *see generally* Thomas Pitt Taswell-Langmead, English Constitutional History, at 153-154 [Theodore F.T. Plucknett ed, Sweet & Maxwell, 10th ed 1946]).

Five centuries later, in 1787, the Legislature adopted a law with strikingly similar language, and added an award of treble damages, as follows:

> ''*And be it further enacted* . . . [t]hat if any counsellor, attorney, solicitor, pleader, advocate, proctor, or other, do any manner of deceit or collusion, in any court of justice, or consent unto it in deceit of the court, or to beguile the court or the party, and thereof be convicted, he shall be punished by fine and imprisonment and shall moreover pay to the party grieved, treble damages, and costs of suit'' (L 1787, ch 35, § 5).

In 1830, the Legislature carried forward virtually identical language in the Revised Statutes of New York, prescribing that

> ''[a]ny counsellor, attorney or solicitor, who shall be guilty of any deceit or collusion, or shall consent to any deceit or collusion, with intent to deceive the court or any party, shall be deemed guilty of a misdemeanor, and on conviction shall be punished by fine or imprisonment, or both, at the discretion of the court. He shall also forfeit to the party injured by his deceit or collusion, treble damages, to be

> recovered in a civil action'' (2 Rev Stat of NY, part III, ch III, tit II, art 3, § 69, at 215-216 [2d ed 1836]).

The Legislature later codified this misdemeanor crime and the additional civil forfeiture remedy as section 148 of the Penal Code of 1881, providing that

> ''[a]n attorney or counselor who . . .
>
> ''[i]s guilty of any deceit or collusion, or consents to any deceit or collusion, with intent to deceive the court or any party as prohibited by section 70 of the Code of Civil Procedure; . . .
>
> ''[i]s guilty of a misdemeanor, and in addition to the punishment prescribed therefor by this Code, he forfeits to the party injured treble damages, to be recovered in a civil action'' (L 1881, ch 676, § 148 [1]).

Section 70 of the Code of Civil Procedure, cross-referenced in section 148, similarly stated that ''[a]n attorney or counsellor, who is guilty of any deceit or collusion, or consents to any deceit or collusion, with intent to deceive the court or a party, forfeits, to the party injured by his deceit or collusion, treble damages. He is also guilty of a misdemeanor.'' The derivation note accompanying section 70 includes the following comment: ''As to the meaning of the word, 'deceit', as used in this section, see *Looff* v. *Lawton*, 14 Hun, 588'' (Code of Civil Procedure of the State of New York with Notes by Montgomery H. Throop [Weed, Parsons and Company 1881]).

In *Looff*, the plaintiffs accused their attorney of gulling them into bringing an unnecessary lawsuit, motivated solely by his desire to collect a large fee to represent them. In discussing the meaning of the word ''deceit'' in section 70 (and, by extension, section 148), the General Term of the Supreme Court opined that the Legislature intended an expansive reading rather than ''confining the term to common law or statutory cheats'' (*Looff v Lawton*, 14 Hun 588, 589 [2d Dept 1878]). To support this interpretation, the court reasoned that because there was already a civil action at common law for fraud and damage that an injured party might pursue,

> ''[t]here was no occasion . . . for another statute to punish, or to give an action for the '*deceit*' of lawyers, unless the Legislature intended that that class of persons should be liable for acts which

> would be insufficient to establish a crime or a cause of action against citizens generally. The statute is limited to a peculiar class of citizens, from whom the law exacts a reasonable degree of skill, and the utmost good faith in the conduct and management of the business intrusted to them . . . To mislead the court or a party is to deceive it; and, if knowingly done, constitutes criminal deceit under the statute cited'' (*id.* at 590).

Section 148 was subsequently recodified as section 273 of the Penal Law of 1909. In conjunction with the Legislature's adoption of the revised Penal Law of 1965, section 148 was transferred from the Penal Law to the Judiciary Law as section 487 (*see* L 1965, ch 1031, § 123). There it remains today—the modern-day counterpart of a statute dating from the first decades after Magna Carta; its language virtually (and remarkably) unchanged from that of a law adopted by New York's Legislature two years before the United States Constitution was ratified.

[1] As this history shows, section 487 is not a codification of a common-law cause of action for fraud. Rather, section 487 is a unique statute of ancient origin in the criminal law of England. The operative language at issue—''guilty of any deceit''—focuses on the attorney's intent to deceive, not the deceit's success. And as the District Court pointed out, section 487 was for many years placed in the state's penal law, which ''supports the argument that the more appropriate context for analysis is not the law applicable to comparable civil torts but rather criminal law, where an attempt to commit an underlying offense is punishable as well [as] the underlying offense itself'' (*Amalfatino*, 428 F Supp 2d at 210). Further, to limit forfeiture under section 487 to successful deceits would run counter to the statute's evident intent to enforce an attorney's special obligation to protect the integrity of the courts and foster their truth-seeking function.

II.

Certified Question No. 2

> ''In the course of such a lawsuit, may the costs of defending litigation instituted by a complaint containing a material misrepresentation of fact be treated as the proximate result of the misrepresentation if the court upon which the deceit was at-

> tempted at no time acted on the belief that the misrepresentation was true?'' (533 F3d at 126.)

[2] In light of our answer to the first question, recovery of treble damages under Judiciary Law § 487 does not depend upon the court's belief in a material misrepresentation of fact in a complaint. When a party commences an action grounded in a material misrepresentation of fact, the opposing party is obligated to defend or default and necessarily incurs legal expenses. Because, in such a case, the lawsuit could not have gone forward in the absence of the material misrepresentation, that party's legal expenses in defending the lawsuit may be treated as the proximate result of the misrepresentation.

Accordingly, the certified questions should be answered in accordance with this opinion.

Judges CIPARICK, GRAFFEO, SMITH, PIGOTT and JONES concur; Chief Judge LIPPMAN taking no part.

Following certification of questions by the United States Court of Appeals for the Second Circuit and acceptance of the questions by this Court pursuant to section 500.27 of the Rules of Practice of the Court of Appeals (22 NYCRR 500.27), and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified questions answered in accordance with the opinion herein.

[903 NE2d 263, 874 NYS2d 866]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v CHRIS DORM, Appellant.

Argued January 14, 2009; decided February 12, 2009

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered January 22, 2008. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Robert H. Straus, J.), which had convicted defendant, upon a jury verdict, of assault in the second degree and unlawful imprisonment in the first degree.

People v Dorm, 47 AD3d 503, affirmed.

HEADNOTES

Crimes — Proof of Other Crimes

1. Evidence of a defendant's prior bad acts may be admissible when it is relevant to a material issue in the case other than the defendant's criminal propensity. The People may use such evidence to prove motive, intent, lack of mistake or accident, identity, or common scheme or plan. Thus, in the prosecution of defendant for assault and unlawful imprisonment, the trial court did not abuse its discretion in admitting evidence of conflicts between defendant and the victim before and after the incident at issue, because the evidence was relevant to defendant's motive and intent to assault his victim. The evidence also provided necessary background information on the nature of the couple's relationship and placed the charged conduct in context.

Crimes — Proof of Other Crimes

2. Although the trial court in defendant's first trial on charges of assault in the second degree and unlawful imprisonment in the first degree precluded evidence of conflicts between defendant and the victim before and after the incident at issue, the trial court in defendant's second trial on those charges did not abuse its discretion in admitting that evidence. The evidence was relevant to defendant's motive and intent to assault his victim, provided necessary background information on the nature of the couple's relationship and placed the charged conduct in context. The fact that two justices had ruled differently on the admissibility of such evidence did not suggest an abuse of discretion notwithstanding that the first trial resulted in acquittals and a hung jury when the subject evidence was precluded and the second trial resulted in convictions when it was admitted. The outcome of a trial has no bearing on whether the court properly exercised its discretion in admitting evidence.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Evidence §§ 409, 413, 422, 425–431, 459, 460.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:3002, 172:3004–172:3009, 172:3015.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 24.4.

NY JUR 2d, Criminal Law: Procedure §§ 2029, 2030, 2340, 2343.

ANNOTATION REFERENCE

See ALR Index under Criminal Procedure Rules; Evidence Rules; Prior Acts and Matters.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: prior /2 bad /2 act /s admi! /s propensity

POINTS OF COUNSEL

Center for Appellate Litigation, New York City (*Peter Theis* and *Robert S. Dean* of counsel), for appellant. In this domestic violence prosecution, the evidence of defendant's uncharged misconduct, involving numerous acts similar to the charged crimes and testified to in great detail was improperly admitted as proof of motive and the relationship's background; the evidence was thinly-disguised propensity evidence and, even if relevant to a valid issue, was far more prejudicial than probative. (*People v Molineux,* 168 NY 264; *Coleman v People,* 55 NY 81; *People v Sharp,* 107 NY 427; *People v Shea,* 147 NY 78; *People v Mayrant,* 43 NY2d 236; *People v Mateo,* 2 NY3d 383; *People v Zackowitz,* 254 NY 192; *People v Rojas,* 97 NY2d 32; *People v Hudy,* 73 NY2d 40; *People v Lewis,* 69 NY2d 321.)

Robert M. Morgenthau, District Attorney, New York City (*Britta Gilmore* and *Mary C. Farrington* of counsel), for respondent. The trial court properly admitted evidence of defendant's other conduct toward the victim as proof of defendant's motive and intent, and as necessary background information. (*People v Ventimiglia,* 52 NY2d 350; *People v Gray,* 86 NY2d 10; *People v Narayan,* 54 NY2d 106; *People v Fiore,* 34 NY2d 81; *People v Alvino,* 71 NY2d 233; *People v Till,* 87 NY2d 835; *People v Hudy,* 73 NY2d 40; *People v Fitzgerald,* 156 NY 253; *People v Thau,* 219 NY 39; *People v Resek*, 3 NY3d 385.)

OPINION OF THE COURT

JONES, J.

Defendant and victim had been involved in a romantic relationship for three months when the charged crimes occurred.

On January 1, 2005, after a New Year's Eve party, defendant and victim returned to victim's apartment where an argument erupted during which defendant blocked victim's attempts to leave and bolted the door. The altercation escalated from pushing and shoving, to throwing of a phone, and ultimately to victim punching defendant and defendant manually choking victim on her bed. The couple unsuccessfully attempted to reconcile in the weeks that followed and the relationship terminated. On January 18, 2005, victim informed the police about the New Year's Eve incident. Defendant appeared uninvited at victim's place of employment on January 20, 2005 and after speaking with her at a nearby café, defendant grabbed victim's hand so as to prevent her from leaving. Victim again contacted the police and defendant was arrested the next day when he returned to that location.

Defendant was charged with assault in the second and third degrees, unlawful imprisonment in the first degree, and stalking in the fourth degree. As probative of intent, motive, and the nature and background of the relationship, the People sought to introduce evidence of defendant's prior conduct toward victim, and similar conduct against other women which resulted in prior arrests of defendant. The People were precluded from introducing such evidence at the first trial and the jury acquitted defendant of assault in the third degree and stalking in the fourth degree. The jury was deadlocked on the remaining charges.

Defendant was retried on the two remaining charges before a different justice. Unlike the first trial, the court in the second trial allowed the People to introduce evidence of defendant's prior and subsequent conduct toward victim* and gave limiting instructions to the jury explaining the proper use of such evidence. The court did not allow evidence of defendant's similar conduct against other women. The jury subsequently convicted defendant of unlawful imprisonment in the first degree and assault in the second degree. The Appellate Division unanimously affirmed the conviction, reasoning that the trial court properly permitted ''evidence of

* The evidence included: (1) a prior incident at a New York City nightclub where defendant tried to prevent victim from leaving the club and later prevented her from leaving the lobby of her apartment building, (2) a subsequent incident occurring on January 20, 2005 where defendant appeared uninvited at victim's place of employment and prevented her from leaving a café where they chatted, and (3) defendant's frequent arguments and conflicts with victim during their relationship.

conflicts between defendant and the victim before and after the incident at issue'' because the evidence was ''relevant to defendant's motive, and it provided necessary background regarding the couple's relationship that tended to explain aspects of the victim's testimony that might otherwise have been unbelievable or suspect'' (47 AD3d 503 [2008]). A Judge of this Court granted leave to appeal (10 NY3d 862 [2008]) and we now affirm.

[1] Evidence of a defendant's prior bad acts may be admissible when it is relevant to a material issue in the case other than defendant's criminal propensity (*see People v Lewis*, 69 NY2d 321 [1987]; *People v Beam*, 57 NY2d 241 [1982]; *People v Allweiss*, 48 NY2d 40 [1979]; *People v Carmack*, 44 NY2d 706 [1978]). Under *People v Molineux* (168 NY 264 [1901]), the People may use such evidence to prove motive, intent, lack of mistake or accident, identity, or common scheme or plan (*see People v Alvino*, 71 NY2d 233, 242 [1987]). However, this list is ''merely illustrative and not exhaustive'' (*People v Rojas*, 97 NY2d 32, 37 [2001]). Where there is a proper nonpropensity purpose, the decision whether to admit evidence of defendant's prior bad acts rests upon the trial court's discretionary balancing of probative value and unfair prejudice.

Contrary to defendant's arguments, the evidence in this case was not propensity evidence, but was probative of his motive and intent to assault his victim; it provided necessary background information on the nature of the relationship and placed the charged conduct in context (*see People v Resek*, 3 NY3d 385, 389 [2004]; *People v Till*, 87 NY2d 835, 837 [1995]). We cannot say that the trial court abused its discretion when it allowed only the evidence of prior conduct relating to victim and gave proper limiting instructions to the jury.

[2] Furthermore, the fact that two justices ruled differently on the admissibility of such evidence does not suggest an abuse of discretion. Both rulings are legitimate exercises of discretion notwithstanding the fact that the first trial resulted in acquittals and a hung jury when the subject evidence was precluded and the second trial resulted in convictions when it was admitted. The outcome of a trial has no bearing on whether the court properly exercised its discretion in admitting evidence.

Accordingly, the order of the Appellate Division should be affirmed.

Judges CIPARICK, GRAFFEO, READ, SMITH and PIGOTT concur; Chief Judge LIPPMAN taking no part.

Order affirmed.

[906 NE2d 370, 878 NYS2d 642]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JUAN TAVERAS, Appellant.

Argued January 6, 2009; decided February 11, 2009

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 20, 2007. The Appellate Division modified, on the law and as a matter of discretion in the interests of justice, (1) a judgment of the Supreme Court, New York County (Rena K. Uviller, J.), convicting defendant, upon his plea of guilty, of criminal sexual act in the third degree, falsifying business records in the first degree (four counts), forcible touching (three counts), and attempted forcible touching (two counts), and imposing indeterminate terms of imprisonment of 1⅓ to 4 years for his convictions of criminal sexual act in the third degree and each count of falsifying business records, and definite terms of one year for each count of forcible touching and three months for each count of attempted forcible touching, all to run concurrently, except for the sentences for criminal sexual act in the third degree and two of the counts of falsifying business records in the first degree, which were ordered to run consecutively; and (2) a judgment of that Supreme Court convicting defendant, upon his plea of guilty, of bail jumping in the second degree, and imposing an indeterminate sentence of 1⅓ to 4 years, to run concurrently with the other sentences imposed. The modification on the law consisted of vacating a supplemental sex offender fee. The modification as a matter of discretion in the interests of justice consisted of vacating the provisions of certain orders of protection that directed that they remain in effect until January 10, 2021, and remanding for a new determination of the duration of those orders. The Appellate Division affirmed the judgments as modified.

People v Taveras, 46 AD3d 399, affirmed.

HEADNOTE

Crimes — Sentence — Concurrent and Consecutive Terms

In the prosecution of defendant for sexually abusing a number of boys and then falsifying their employment records in an effort to conceal his activities by having his victims paid for work they did not perform, the sentencing court's imposition of consecutive sentences for the crimes of criminal sexual act in the third degree under Penal Law § 130.40 (2) and falsifying business records in the first degree under Penal Law § 175.10 did not violate the concurrent and consecutive sentence requirements of Penal Law § 70.25 (2). Under that statute consecutive sentences may not be imposed where a single act constitutes two offenses, or where a single act constitutes one of the offenses and a material element of the other. The actus reus underlying defendant's crime of third-degree criminal sexual act, oral sexual conduct with one of the victims, did not constitute a material element of first-degree falsifying business records (Penal Law § 175.10), the relevant actus reus of which is the creation of a false entry in a business record. Nor does a separate crime automatically become a material element of falsifying business records in the first degree whenever the People rely on the intent to conceal prong of that statute, as second-degree falsifying business records is elevated to a first-degree offense on the basis of an enhanced intent requirement, and not any additional actus reus element. Moreover, there was no indication that the Legislature intended to treat the components of first-degree falsifying business records differently, allowing consecutive sentences when a defendant makes a false entry with the intent to commit or aid in the commission of another crime, but not when a defendant performs the same action with the intent to conceal an entirely separate crime.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law § 835.

CARMODY-WAIT 2d, Criminal Procedure § 172:3897.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 26.3, 26.7.

MCKINNEY'S, Penal Law § 70.25 (2); § 130.40 (2); § 175.10.

NY JUR 2d, Criminal Law: Procedure §§ 2896, 3158, 3162; NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 658, 1177.

ANNOTATION REFERENCE

See ALR Index under Concurrent and Consecutive Sentences; Sentence and Punishment.

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Database: NY-ORCS

Query: consecutive /2 sentence /s material /2 element & separate /2 crime

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POINTS OF COUNSEL

Legal Aid Society, Criminal Appeals Bureau, New York City (*Arthur H. Hopkirk* and *Steven Banks* of counsel), for appellant. The imposition of a sentence for criminal sexual act in the third degree to run consecutively to consecutive sentences for two counts of falsifying business records in the first degree was illegal because the record fails to establish that the ''criminal sexual act'' offense was not a material element of one of the consecutively-sentenced falsifying business records counts. (*People v Parks,* 95 NY2d 811; *People v Duffy,* 231 AD2d 586; *People v Laureano,* 87 NY2d 640; *People v Day,* 73 NY2d 208; *People ex rel. Maurer v Jackson,* 2 NY2d 259; *People v Rosas,* 8 NY3d 493; *People v Charles,* 61 NY2d 321; *Arbegast v Board of Educ.,* 65 NY2d 161; *People v Robinson,* 95 NY2d 179; *Phelps v People,* 72 NY 365.)

Robert M. Morgenthau, District Attorney, New York City (*Sheryl Feldman* and *Mary C. Farrington* of counsel), for respondent. Since defendant's act of engaging in sex with a minor involved an act separate and distinct from falsifying business records, consecutive sentences are proper, even if the record showed that defendant's only intent was to conceal that crime, which it does not. (*People v Ramirez,* 89 NY2d 444; *People v Di Lapo,* 14 NY2d 170; *People v Arroyo,* 93 NY2d 990; *People v Laureano,* 87 NY2d 640; *People v Day,* 73 NY2d 208; *People v Rosas,* 8 NY3d 493; *People v Salcedo,* 92 NY2d 1019; *People v Ramirez,* 89 NY2d 444; *People v Brown,* 80 NY2d 361; *People v Truesdell,* 70 NY2d 809.)

OPINION OF THE COURT

GRAFFEO, J.

In this case, we hold that the actus reus underlying the crime of criminal sexual act in the third degree does not constitute a ''material element'' of falsifying business records in the first degree. We therefore agree with the Appellate Division that the sentencing court's imposition of consecutive sentences for these crimes does not violate Penal Law § 70.25 (2).

Defendant Juan Taveras, an assistant principal at a high school in Manhattan, sexually abused a number of students from June 2003 until July 2004. The pattern of conduct primarily involved defendant fondling several boys. He also performed oral sex on a 14-year-old student at his apartment. In an effort to induce the boys not to reveal these activities, defendant falsified the records of a summer youth employment program so that the boys were paid for work they did not perform.

Eventually, the boys disclosed defendant's sexual activities with them and a 134-count indictment was filed against defendant, charging him with eight felonies and 126 misdemeanors. Specifically, the felony charges consisted of one count of criminal sexual act in the third degree (predicated on the oral sex crime) and seven counts of falsifying business records in the first degree. The remaining misdemeanor counts included 33 counts of forcible touching and third-degree sexual abuse; four counts of endangering the welfare of a child; seven counts of attempted forcible touching and attempted third-degree sexual abuse; six counts of fourth-degree tampering with a witness and second-degree obstructing governmental administration; and 30 counts of second-degree falsifying business records. Defendant fled to the Dominican Republic but was involuntarily returned to the United States and charged with second-degree bail jumping in a separate indictment.

After plea negotiations, the People agreed to allow defendant to plead guilty to six felonies—one count of criminal sexual act in the third degree (Penal Law § 130.40 [2]), four counts of falsifying business records in the first degree (Penal Law § 175.10) and the bail jumping charge (Penal Law § 215.56)—and five misdemeanors (three counts of forcible touching [Penal Law § 130.52] and two counts of attempted forcible touching [Penal Law §§ 110.00, 130.52]). The plea agreement was based on the understanding that defendant would not be sentenced to a prison term exceeding 4 to 12 years.

Defendant thereafter pleaded guilty to the 11 agreed-upon counts in full satisfaction of both indictments. During his allocution, defendant admitted that he molested or attempted to molest five named students on various dates between June 2003 and July 2004 and that he engaged in oral sex with a sixth named student between January and July 2004. He further acknowledged falsifying the employment records of his victims on four separate occasions in July 2004 to "conceal" his sexual activity with the boys. Finally, defendant admitted that he had violated bail restrictions.

At sentencing, the court imposed an aggregate term of 4 to 12 years in prison. To accomplish this result, the court sentenced defendant to $1^1/_3$ to 4 years for each of the six felony convictions, running two of the sentences for the first-degree falsifying business records counts and the sentence on the third-degree criminal sexual act count consecutively to one another and concurrently to the remaining sentences. The court also issued orders of protection directing defendant to avoid contact with his victims.

Defendant appealed, arguing that the consecutive sentence for criminal sexual act in the third degree was illegal under

Penal Law § 70.25 (2) and that his aggregate sentence should be reduced to 2⅔ to 8 years. The Appellate Division modified to the extent of vacating both the assessment of a supplemental sex offender fee and certain provisions of the orders of protection, but otherwise affirmed (46 AD3d 399 [2007]). A Judge of this Court granted defendant leave to appeal (10 NY3d 844 [2008]).

The Penal Law provides that concurrent sentences are mandatory ''for two or more offenses committed through a single act or omission, or through an act or omission which in itself constituted one of the offenses and also was a material element of the other'' (Penal Law § 70.25 [2]). Pursuant to this directive, we have recognized that consecutive sentences may not be imposed ''(1) where a single act constitutes two offenses, or (2) where a single act constitutes one of the offenses and a material element of the other'' (*People v Laureano*, 87 NY2d 640, 643 [1996]). Under either prong of the statute, the People bear the burden of demonstrating the legality of consecutive sentences.

In resolving whether concurrent sentences are required, ''the sentencing court must first examine the statutory definitions of the crimes for which defendant has been convicted'' (*id.*). And in undertaking this review, we have observed:

> ''Because both prongs of Penal Law § 70.25 (2) refer to the 'act or omission,' that is, the '*actus reus*' that constitutes the offense, the court must determine whether the *actus reus* element is, by definition, the same for both offenses (under the first prong of the statute), or if the *actus reus* for one offense is, by definition, a material element of the second offense (under the second prong). If it is neither, then the People have satisfied their obligation of showing that concurrent sentences are not required'' (*id.* [citations omitted]).

Defendant concedes that the first prong of the statute is not applicable in this case, but maintains that the second prong bars consecutive sentencing for his third-degree criminal sexual act conviction. Relying on *People v Catone* (65 NY2d 1003 [1985]), he contends that the offense of criminal sexual act in the third degree constitutes a material element of one of the consecutive first-degree falsifying business records counts because he falsified the relevant employment record with the intent to conceal the criminal sexual act.[1] We disagree with his analysis.

In *Catone*, defendant struck and killed a girl in a pedestrian crosswalk, reduced his speed for a moment and then sped away. Following a jury trial, he was convicted of second-degree manslaughter and felony leaving the scene of an accident, and was sentenced to consecutive terms of imprisonment. On appeal, we held that concurrent sentences were required under Penal Law § 70.25 (2), reasoning that reckless manslaughter was a material element of leaving the scene of an accident without reporting because an element of the latter crime, as it was then defined, required that a person cause the death of another through his own culpable conduct.

Here, examining the elements of the two crimes at issue, third-degree criminal sexual act is committed when a defendant who is 21 years old or more engages in oral sexual conduct with a person under the age of 17 (*see* Penal Law § 130.40 [2]). The actus reus is oral sexual conduct. A person is guilty of first-degree falsifying business records when ''he commits the crime of falsifying business records in the second degree, and when his intent to defraud includes an intent to commit another crime or to aid or conceal the commission thereof'' (Penal Law § 175.10).[2] The relevant actus reus is the creation of a false entry in a business record (*see* Penal Law § 175.05 [1]). Unlike *Catone*, the statutory definition of the second crime does not render the first crime ''a necessary component in the legislative

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1. Defendant correctly observes that neither the indictment nor the plea colloquy specify what particular sex crimes were concealed by each of the four false employment record entries. Therefore, it must be presumed that one of the consecutive falsifying business records counts was premised on defendant's intent to conceal the crime of third-degree criminal sexual act (*see People v Parks*, 95 NY2d 811, 815 [2000]).

2. Penal Law § 175.05 provides:

> ''A person is guilty of falsifying business records in the second degree when, with intent to defraud, he:
>
> ''1. Makes or causes a false entry in the business records of an enterprise; or
>
> ''2. Alters, erases, obliterates, deletes, removes or destroys a true entry in the business records of an enterprise; or
>
> ''3. Omits to make a true entry in the business records of an enterprise in violation of a duty to do so which he knows to be imposed upon him by law or by the nature of his position; or
>
> ''4. Prevents the making of a true entry or causes the omission thereof in the business records of an enterprise.''

classification and definitional sense'' (*People v Day*, 73 NY2d 208, 211 [1989]).

We also reject defendant's contention that a separate crime automatically becomes a material element of falsifying business records in the first degree whenever the People rely on the ''intent to conceal'' prong of that statute on the theory that concealment, as opposed to an intent to commit another crime or aid in the commission thereof, presupposes a prior completed crime. Read as a whole, it is clear that falsifying business records in the second degree is elevated to a first-degree offense on the basis of an enhanced intent requirement—''an intent to commit another crime or to aid or conceal the commission thereof''—not any additional actus reus element (Penal Law § 175.10). Furthermore, there is no indication that the Legislature intended to treat the components of first-degree falsifying business records differently, allowing consecutive sentences when a defendant makes a false entry with the intent to commit or aid in the commission of another crime, but not when a defendant performs the same action with the intent to conceal an entirely separate crime. We therefore conclude that the statutory elements of the felony sex offense are categorically discrete from the falsifying business records offense, and that ''the absence of legislatively declared interdependence in their definitions is evident, compelling an interpretation that consecutive sentences are not forbidden here'' (*Day*, 73 NY2d at 211).

Accordingly, the order of the Appellate Division should be affirmed.

Acting Chief Judge CIPARICK and Judges READ, SMITH, PIGOTT and JONES concur.

Order affirmed.

[904 NE2d 808, 876 NYS2d 672]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v RICKEY J. RYAN, Appellant.

Argued January 15, 2009; decided February 12, 2009

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered November 9, 2007. The Appellate Division affirmed a judgment of the Supreme Court, Monroe County (Joseph D. Valentino, J.), which had convicted defendant, upon his plea of guilty, of robbery in the second degree.

People v Ryan, 45 AD3d 1363, modified.

HEADNOTE

Crimes — Unlawful Search and Seizure — Investigatory Stop

The 13-minute detention of defendant in a locked police car pending the viewing of a photo array by a non-victim witness exceeded the scope of investigatory detentions permitted under *People v Hicks* (68 NY2d 234 [1986]). Proper administration of the photo array did not require defendant's presence and, in fact, the police officer did not even know that the witness had become available to view the photo array when defendant's detention began. Nor were there any other exigencies that might have permitted holding defendant while the photo array was conducted. The detention, during which defendant was photographed while handcuffed, was undertaken simply to make it convenient for the police to arrest defendant if a positive identification subsequently occurred. Although defendant's detention was illegal, the issue of whether defendant's subsequent confessions were sufficiently attenuated so as to remove any possible taint arising from the detention and render the statements, and any tangible evidence derived therefrom, admissible was not addressed by the courts below. Accordingly, the matter was remitted to Supreme Court so that the People's claim of attenuation, a mixed question of law and fact, could be properly determined.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Searches and Seizures §§ 87, 88, 116, 267.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:76–172:88, 172:488, 172:489.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 3.5, 3.8.

NY JUR 2d, Criminal Law: Procedure §§ 72, 134, 252, 253, 696.

ANNOTATION REFERENCE

See ALR Index under Description and Identification; Pictures and Photographs; Search and Seizure.

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Database: NY-ORCS
Query: detention /3 investigat! & photo! /2 array

POINTS OF COUNSEL

Timothy P. Donaher, Public Defender, Rochester (*Janet C. Somes* of counsel), for appellant. After the sole eyewitness to the crime failed to select Mr. Ryan from a photo array, and selected someone else instead, the police lacked the requisite level of information necessary to detain Mr. Ryan while they showed a second witness the photo array. (*People v Hunt,* 155 AD2d 957; *People v Battaglia,* 82 AD2d 389, 56 NY2d 558; *People v Hicks,* 68 NY2d 234; *People v Yukl,* 25 NY2d 585; *People v De Bour,* 40 NY2d 210; *People v Hollman*, 79 NY2d 181; *Wong Sun v United States,* 371 US 471; *Dunaway v New York,* 442 US 200; *United States v Sharpe,* 470 US 675; *People v Johnson,* 64 NY2d 617.)

Michael C. Green, District Attorney, Rochester (*Wendy Evans Lehmann* and *Jessica Birkahn Housel* of counsel), for respondent. The police possessed the requisite reasonable suspicion to briefly detain defendant. (*People v Allen,* 9 NY3d 1013; *People v Pines,* 99 NY2d 525; *People v Roque,* 99 NY2d 50; *People v Reyes,* 90 NY2d 916; *People v Bianchi,* 85 NY2d 1022; *People v Foster,* 85 NY2d 1012; *People v Martinez,* 80 NY2d 444; *People v Jones,* 69 NY2d 853; *People v Hicks,* 68 NY2d 234; *People v Van Luven,* 64 NY2d 625.)

OPINION OF THE COURT

CIPARICK, J.

The question presented by this appeal is whether the investigatory detention that occurred here exceeded the scope of that permitted under *People v Hicks* (68 NY2d 234 [1986]). We conclude that it did.

Acting upon descriptions provided by the victim of an early morning carjacking and another person, who was at the scene shortly before the crime occurred, as well as many prior encounters with defendant, a police officer approached defendant and asked him to have a seat in a marked police car. At the time of this request, five hours had elapsed since the carjacking. Defendant agreed to be seated. He was then locked in the police car and told that the purpose of his detention would be explained when a second officer, who was primarily responsible for the carjacking investigation, arrived.

When the second officer arrived, defendant was removed from the car, placed in another locked police vehicle and photographed. The photographs depicted defendant with his hands behind his back, as if handcuffed, which the Appellate Division found that he was. Once confined in the second car, defendant was informed that he was being held as a possible suspect in the earlier carjacking. Defendant was also told that, while he was being detained, an officer was speaking to ''a witness'' at another location, who had become available to view a photo array. This particular array had been prepared about one hour after the carjacking and was viewed by the victim, who failed to identify defendant and, instead, indicated that another individual most closely resembled the perpetrator.

During the time that defendant was held—approximately 13 minutes—the prospect of his release was never mentioned. Following the non-victim witness's positive identification of defendant from the photographic array, defendant was arrested and transported to the Public Safety Building. There, he was placed in a locked room to await questioning. He waived his *Miranda* rights, confessed to the carjacking, provided details as to the stolen car's location, and—around two hours after his initial detention commenced—signed a written statement memorializing his confession.

The People do not contend that the police had probable cause to arrest defendant prior to the positive photo array identification. And although defendant urges us to conclude that the police did not even have reasonable suspicion to detain him until that time, we need not resolve that issue here. For even assuming that reasonable suspicion was established when it began, this 13-minute detention was not justified under *Hicks*.

We have recognized that ''limited intrusions'' extending beyond the scope of traditional stop and frisks ''may be justified by special law enforcement interests'' even in the absence of probable cause (*see Hicks*, 68 NY2d at 240-241, quoting *Michigan v Summers*, 452 US 692, 700 [1981] [internal quotation marks omitted]). Thus, *Hicks* allowed a brief investigatory detention so that victims of a recent robbery could participate in a showup (*see id.* at 237). There, the efficacy of the prompt showup procedure depended on the defendant's and witnesses' simultaneous presence (*see id.* at 242). But no similar special law enforcement need justifying defendant's detention was shown here.

Proper administration of the photo array did not require defendant's presence and, in fact, the police officer did not even know that the non-victim witness had become available to view the photo array when defendant's detention began. Nor were there any other exigencies that might have permitted holding defendant while the photo array was conducted (*cf. People v Allen*, 73 NY2d 378, 379-380 [1989]; *People v Behrmann*, 264 AD2d 682, 682 [1st Dept 1999]). Thus, the only permissible inference that can be drawn is that this detention was undertaken simply to make it convenient for the police to arrest defendant if a positive identification subsequently occurred (*see People v Robinson*, 282 AD2d 75, 81 [1st Dept 2001] [''What the police did here, as a practical matter, was to place defendant under arrest in order to obtain sufficient evidence to arrest him'']). Accordingly, we conclude that, on the facts present here, defendant's detention exceeded the scope permitted under *Hicks* and that the photographs obtained during that detention must be suppressed.*

Although defendant's detention was illegal under *Hicks*, the People's argument that defendant's confessions were sufficiently attenuated so as to remove any possible taint arising from the detention and render the statements—and any tangible evidence derived therefrom—admissible was not addressed by the courts below. The question of attenuation being a mixed one of law and fact (*see People v Conyers*, 68 NY2d 982, 984 [1986]; *People v Borges*, 69 NY2d 1031, 1033 [1987]), the case should be remitted to Supreme Court so that the People's claim of attenuation can be properly determined. Should Supreme Court find that, after applying the relevant attenuation factors (*see People v Johnson*, 66 NY2d 398, 407 [1985]; *cf. Borges*, 69 NY2d at 1033), defendant's confessions were acquired by means sufficiently independent of his initial detention, its judgment should be amended to reflect that determination. But if Supreme Court finds to the contrary, it should grant defendant's motion to suppress the evidence, defendant's guilty plea should be vacated and further proceedings should be had as the circumstances may warrant.

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* To the extent that the People now assert that the detention here was authorized on the basis of defendant's initial ''consent'' to be seated in the back of the marked police car, we decline to consider this theory as it was never raised in the suppression court (*see People v Johnson*, 64 NY2d 617, 619 n 2 [1984]). Neither have the People met their ''heavy burden'' of proving the voluntariness of defendant's purported consent to be photographed while handcuffed (*see People v Gonzalez*, 39 NY2d 122, 128 [1976]).

Accordingly, the order of the Appellate Division should be modified by remitting to Supreme Court for further proceedings in accordance with this opinion, and as so modified, affirmed.

Judges GRAFFEO, READ, SMITH, PIGOTT and JONES concur; Chief Judge LIPPMAN taking no part.

Order modified, etc.

[903 NE2d 1155, 875 NYS2d 835]

DORIS BROWNLEY et al., on Behalf of Themselves and Their Minor Children and Others Similarly Situated, Appellants, v ROBERT DOAR, as Commissioner of the New York State Office of Temporary and Disability Assistance, Respondent, et al., Defendants.

Argued January 7, 2009; decided February 17, 2009

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered October 2, 2007. The Appellate Division order, insofar as appealed from, affirmed so much of an order of the Supreme Court, New York County (Karla Moskowitz, J.; op 2006 NY Slip Op 30540[U]; *see* 11 Misc 3d 615), as had granted the oral application of defendant Robert Doar, as Commissioner of the New York State Office of Temporary and Disability Assistance, to dismiss the complaint.

Brownley v Doar, 44 AD3d 313, affirmed.

HEADNOTES

Social Services — Public Assistance — Safety Net Assistance Program — Adequacy Requirement

1. Although Social Services Law § 350 specifies that public assistance for housing costs provided under the Family Assistance (FA) program must be adequate to provide the family with a home, the statute's adequacy requirement is not a component of the State's Safety Net Assistance (SNA) program, for which FA recipients may become eligible when their time-limited eligibility for FA expires. FA is the State's primary program for ensuring the welfare of needy children. It was reasonable for the Legislature to codify a heightened adequacy standard in section 350 in order to promote special protection to ensure the health and well-being of children. There is no restriction on how long a person is eligible to receive SNA, which applies more broadly than FA as it is not contingent upon the presence of children in the household and is not specifically designed to deal with their needs. Consequently, the special protection of section 350's adequacy requirement should not apply outside the context of the FA program. Further, subjecting SNA payments to an adequacy standard without any temporal or monetary ceiling would be contrary to applicable federal policy.

Social Services — Public Assistance — Safety Net Assistance Program — Adequacy Requirement

2. NY Constitution article XVII, § 1 does not mandate that allowances under the State's Safety Net Assistance (SNA) program, for which Family Assistance (FA) recipients may become eligible when their time-limited eligibility for FA expires, be increased consistent with an adequacy requirement. There is no right to a constitutionally prescribed minimum shelter allowance, since it is

the prerogative of the Legislature to determine who is needy and allocate the public dollar accordingly. There was no demonstration here that the Legislature acted unreasonably in designing the SNA program or that the State had wrongfully excluded a class of needy individuals from the program.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Welfare Laws §§ 2, 3, 67.
MCKINNEY'S, Social Services Law § 350; NY Const, art XVII, § 1.
NY JUR 2d, Public Welfare and Old Age Assistance §§ 96–99, 108.

ANNOTATION REFERENCE

See ALR Index under Aid and Assistance; Social Service Agency.

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POINTS OF COUNSEL

Legal Aid Society, New York City (*Scott A. Rosenberg, Steven Banks, Susan C. Bahn, Nada A. Geha, Gretchen A. Gonzalez, Young W. Lee, Sarah Mathison, Jack Newton, Jennifer Quintana* and *Douglass J. Seidman* of counsel), *Weil, Gotshal & Manges LLP* (*Scott Martin* and *Robert T. Polemeni* of counsel) for appellants. I. Social Services Law § 350 (1) (a) mandates the provision of an adequate shelter allowance to families with minor children who transition from the Family Assistance program to the Safety Net Assistance program after five years. (*Jiggetts v Grinker,* 75 NY2d 411; *Matter of United Univ. Professions v State of New York,* 36 AD3d 297; *Matter of Delese v Tax Appeals Trib. of State of N.Y.,* 3 AD3d 612, 2 NY3d 793; *Matter of Thomas v Bethlehem Steel Corp.,* 95 AD2d 118, 63 NY2d 150; *People v Bolden,* 81 NY2d 146; *Pierre v Providence Washington Ins. Co.,* 99 NY2d 222; *Howell v Mills,* 53 NY 322; *People v White,* 73 NY2d 468; *People v Finnegan,* 85 NY2d 53; *People ex rel. Harris v Sullivan,* 74 NY2d 305.) II. A denial of assistance to families with children who reach the five-year time limit would violate article XVII of the New York State Constitution. (*Tucker v Toia,* 43 NY2d 1; *Matter of Aliessa v Novello,* 96 NY2d 418; *Jiggetts v Grinker,* 75 NY2d 411; *Matter of Lee v Smith,* 43 NY2d 453; *McCain v Koch,* 117 AD2d 198, 70 NY2d 109.)

Andrew M. Cuomo, Attorney General, New York City (*Oren L. Zeve, Barbara D. Underwood* and *Peter Karanjia* of counsel), for respondent. I. Social Services Law § 350 (1) (a) applies only to the Family Assistance program and not to the Safety Net Assistance program. (*McVay v Wing,* 303 AD2d 727; *Jiggetts v Grinker,* 75 NY2d 411; *Matter of Robert J.,* 2 NY3d 339; *Pajak v Pajak,* 56 NY2d 394; *Matter of Anonymous,* 40 NY2d 96; *Castro v United Container Mach. Group,* 96 NY2d 398; *Colon v Aetna Cas. & Sur. Co.,* 48 NY2d 570; *Matter of Gautam v Perales*, 179 AD2d 509; *Deleo v Kaladjian,* 215 AD2d 520; *Hedgepeth v Wing,* 29 AD3d 632.) II. The New York Constitution does not require that aid to the needy, provided pursuant to article XVII, must be ''adequate.'' (*McVay v Wing,* 303 AD2d 727; *Society of Plastics Indus. v County of Suffolk,* 77 NY2d 761; *Matter of E.S. v P.D.,* 8 NY3d 150; *Hope v Perales,* 83 NY2d 563; *Matter of Aliessa v Novello,* 96 NY2d 418; *Lovelace v Gross,* 80 NY2d 419; *Matter of Bernstein v Toia,* 43 NY2d 437; *Matter of Tucker v Toia,* 43 NY2d 1; *Matter of Lee v Smith,* 43 NY2d 453; *Campaign for Fiscal Equity, Inc. v State of New York,* 8 NY3d 14.)

National Center for Law and Economic Justice, Inc., New York City (*Henry A. Freedman* and *Lynn D. Lu* of counsel), for Community Service Society of New York and others, amici curiae. Appellants are entitled to challenge the adequacy of their shelter allowances because New York Constitution article XVII requires shelter allowances to be sufficient to permit indigent families to care for their minor children in their own homes instead of facing eviction and homelessness, regardless of the funding source of the assistance. (*Tucker v Toia,* 43 NY2d 1; *Matter of Aliessa v Novello,* 96 NY2d 418; *McCain v Koch,* 117 AD2d 198, 70 NY2d 109; *Matter of Bernstein v Toia,* 43 NY2d 437; *Matter of Brown v Wing,* 170 Misc 2d 554, 241 AD2d 956; *Jiggetts v Grinker,* 75 NY2d 411.)

OPINION OF THE COURT

Graffeo, J.

In New York, eligible individuals with dependent children may receive public assistance for housing costs for up to 60 months under the Family Assistance (FA) program, which is jointly funded by the state and federal governments. Social Services Law § 350 specifies that aid provided under the FA program must be ''adequate'' to provide the family with a home (*see Jiggetts v Grinker,* 75 NY2d 411, 421 [1990]). Upon the expiration of the 60-month benefit period, a family may enroll in the Safety Net Assistance (SNA) program, which is funded solely by the State, has no restriction on the period of eligibility and does not limit benefits to persons with children. The issue in this case is whether the adequacy requirement of Social Services Law § 350 applies to the SNA program. We hold that it does not.

I

Before the 20th century, destitute individuals and families often sought housing in institutional ‘‘almshouses.’’ Eventually, societal views changed, prompting New York to adopt the Child Welfare Act of 1915 (L 1915, ch 228). It authorized County Boards of Child Welfare to give monetary allowances to widowed mothers with children under the age of 16 ‘‘in order that such children may be suitably cared for in their homes’’ rather than in institutional settings (*Jiggetts v Grinker*, 75 NY2d at 420). In the midst of the Great Depression, this program was expanded to extend housing assistance to eligible indigent individuals and families with minor children (rather than only widows) and was referred to as the ‘‘Home Relief’’ program (L 1929, ch 565). As before, its purpose was to allow impoverished persons to remain in homes instead of institutional settings (*see* L 1929, ch 565, § 77; Bond, Social Welfare Legislation, 1946 NY Legis Ann, at 284-287).

In 1935, Congress passed the Social Security Act and established the Aid to Families with Dependent Children (AFDC) program as a joint federal-state system to provide support to needy families. Under the AFDC program, states determined the level of public assistance needed by parents and their children, and the federal government reimbursed 50% of those costs. New York enacted its companion Aid to Dependent Children (ADC) program in compliance with AFDC, containing two main components—(1) basic grants for food and other necessities, and (2) shelter grants.

In developing the ADC program in New York, the Legislature specified the dollar amounts of monthly assistance payable to recipients of basic grants, but directed that the amount for shelter allowances be set administratively to reflect local rent levels in the various regions of the state (Social Services Law § 131-a [1]; 18 NYCRR 352.3). The former Department of Social Services therefore promulgated regulations that set forth the maximum shelter allowances based on the district or region where recipients lived. Those assistance levels were subject to the requirement in former Public Welfare Law § 181 (4) that ''[a]llowances shall be adequate to enable the mother or relative to bring up the child or children properly, having regard for the physical, mental and moral well-being of such child or children'' (L 1937, ch 15, at 26). In addition to the creation of the ADC program, the Legislature continued Home Relief as a separate program, which was not supported with federal money.

In 1940, the Public Welfare Law was renamed the Social Welfare Law (L 1940, ch 619, § 2). The language in former Public Welfare Law § 181 (4) requiring that ADC allowances be ''adequate'' was recodified in Social Welfare Law § 350 (1) (a) and it has remained substantively unchanged through today (*see* Social Services Law § 350 [1] [a]).

This Court considered claims asserting a right to ''adequate'' ADC shelter allowances under Social Services Law § 350 in *Jiggetts v Grinker* (75 NY2d 411 [1990]). The plaintiffs were ADC recipients residing in New York City whose actual shelter costs exceeded the maximum payable to them pursuant to 1988 schedules prepared by the New York Department of Social Services. Social Services Law § 350 (1) (a) provided that:

> ''Allowances shall be adequate to enable the father, mother or other relative to bring up the child properly, having regard for the physical, mental and moral well-being of such child, in accordance with the provisions of section one hundred thirty-one-a of this chapter and other applicable provisions of law. Allowances shall provide for the support, maintenance and needs of one or both parents if in need, and in the home.''

Noting that New York ''has a long history of protecting children in the home'' (75 NY2d at 420), we concluded that the adequacy requirement of section 350 imposed a statutory duty on the Commissioner of the New York Department of Social Services to establish ADC shelter allowances that bore a reasonable relation to the cost of housing in New York City (*see id.* at 421). To achieve that objective, the case was remitted for a trial to determine whether the ADC shelter allowances established by the Department of Social Services were adequate to meet the housing needs of poor families residing in New York City.[1]

1. After the trial, Supreme Court held that the State's 1988 shelter allowances were inadequate, created an interim relief schedule and ordered the

(n. cont'd)

During the course of the *Jiggetts* litigation, Congress substantially reformed the federal-state AFDC program, enacting the Personal Responsibility and Work Opportunity Reconciliation Act of 1996 (Pub L 104-193, 110 US Stat 2105 [1996], codified at 42 USC § 601 *et seq.*), which was intended to ''promot[e] the fundamental values of work, responsibility, and family'' (Statement by President William J. Clinton Upon Signing HR 3734, 32 Wkly Compilation Presidential Docs 1487 [Aug. 26, 1996], reprinted in 1996 US Code Cong & Admin News, at 2891). This legislation replaced AFDC with a new program—the Temporary Assistance for Needy Families (TANF) program (42 USC § 601 *et seq.*). TANF restricted the receipt of public assistance to a maximum of 60 months during a recipient's lifetime, regardless of subsequent need (*see* 42 USC § 608 [a] [7] [A]).

The following year, New York complied with this congressional mandate and substituted its ADC program with a Family Assistance program for families with dependent minor children (*see* L 1997, ch 436, part B; Social Services Law § 343 *et seq.*). In furtherance of the State's policy aim of continuing support to families and individuals after expiration of the federal 60-month benefit period, the New York Legislature enacted a separate and distinct, state-funded Safety Net Assistance program (*see* Social Services Law § 157 *et seq.*). SNA replaced the Home Relief component and was made available to all needy individuals, not just families with children (*see generally Matter of Rodriguez v Wing*, 94 NY2d 192, 196-197 [1999]). Under SNA, an individual or family may apply to a local public assistance agency to receive continued benefits after FA eligibility ends. Pursuant to Social Services Law § 159 (1), ''[s]afety net assistance shall be provided in amounts determined in accordance with article five and, where applicable, section one hundred seventeen'' of the Social Services Law. As currently set forth in regulations promulgated by defendant Commissioner of the New York Office of Temporary and Disability Assistance (OTDA) (the successor agency to the Department of Social Services), the amount of the shelter allowance established under SNA is identical to the aid provided

Commissioner to develop and submit a proposed schedule of shelter allowances for New York City participants in the AFDC program. The Appellate Division affirmed (*see Jiggetts v Dowling*, 261 AD2d 144 [1st Dept 1999]) and the State's motion for leave to appeal was dismissed (94 NY2d 796 [1999]).

by the FA program (*see* 18 NYCRR 352.3).[2] Thus, when a person transitions from FA into SNA, the level of shelter assistance does not change.

In 2002, State Supreme Court entered a judgment in the *Jiggetts* litigation and the shelter allowance schedule for FA was adjusted upward by the State in accordance with the court's order. After entry of the judgment, families that received benefits under SNA moved to intervene in the *Jiggetts* action, alleging that Social Services Law § 350 (1) required that SNA shelter allowances be based on the same adequacy standard that applies to FA benefits. Supreme Court granted the motions to intervene and permitted plaintiffs' landlords to join the action as additional defendants. The court concluded that families with minor children were entitled to SNA shelter allowances at the same level that corresponded to FA benefits (*see Jiggetts v Dowling*, 196 Misc 2d 678 [Sup Ct, NY County 2003]). The court therefore issued a preliminary injunction requiring the Commissioner of the New York State Department of Social Services to pay increased shelter allowances under the SNA program for New York City housing.

In separate litigation, the Appellate Division, Second Department, determined that recipients of SNA shelter allowances did not have standing to challenge the adequacy of the housing allowance schedules or the benefits they received (*see McVay v Wing*, 303 AD2d 727 [2d Dept 2003], *lv dismissed* 100 NY2d 577 [2003]; *Shubrick v Wing*, 303 AD2d 744 [2d Dept 2003], *lv dismissed* 100 NY2d 577 [2003]). Two years later, the Appellate Division, First Department, reversed Supreme Court's order in *Jiggetts*, agreeing with the *McVay* court that intervention was improper because the plaintiffs' benefits were provided by the SNA program, whereas the plaintiffs in the *Jiggetts* action received assistance under the AFDC/FA programs (*see Jiggetts v Dowling*, 21 AD3d 178 [1st Dept 2005], *lv dismissed* 6 NY3d 807 [2006]). The First Department suggested that plaintiffs raise the issue regarding the applicability of the section 350 adequacy requirement to the SNA program in their own lawsuit. Hence, the case now before us was commenced.

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2. In addition to a shelter allowance, SNA also includes a basic grant, a home energy allowance, a supplemental home energy allowance and a fuel allowance if heat is not included in rent (*see* Temporary Assistance Source Book, at 2-4, http://www.otda.state.ny.us/main/ta/TASB.pdf [New York State Office of Temporary and Disability Assistance, Dec. 28, 2007, accessed Jan. 20, 2009]).

II

Plaintiffs Doris Brownley and Janee Nelson are residents of New York City who have dependent children and receive benefits from the SNA program. They allege that the payments they obtain from SNA are less than the amount of their actual rents and that the stipends are inadequate to meet their housing needs. As a result, their landlords have commenced nonpayment proceedings against them. Plaintiffs brought this action on behalf of themselves and all families with children in New York City who receive SNA benefits and who are threatened with eviction because of the alleged inadequacy of SNA allowances.[3] They seek monetary and injunctive relief that would prevent plaintiffs from being evicted from their homes. According to the complaint, current SNA shelter allowances violate both section 350 of the Social Services Law and article XVII of the State Constitution.

The Commissioner of OTDA moved to dismiss the statutory cause of action, arguing that plaintiffs lacked standing to raise the adequacy claim because section 350 is not pertinent to the SNA program. Supreme Court denied the motion and granted plaintiffs' request for a preliminary injunction, concluding that the adequacy requirement of section 350 applied to the SNA benefits under Social Services Law § 159 because that statute incorporates the provisions of article 5 of the Social Services Law and section 350 is included in article 5 (11 Misc 3d 615 [2006]). In another case, the Second Department subsequently reaffirmed its holding that only FA recipients, and not SNA enrollees, have standing to challenge the adequacy of shelter allowances under Social Services Law § 350 (*see Hedgepeth v Wing*, 29 AD3d 632 [2d Dept 2006]), so Supreme Court dismissed this action (2006 NY Slip Op 30540[U]). The Appellate Division affirmed, holding that section 350's adequacy requirement does not encompass the SNA program (44 AD3d 313 [2007]). We granted leave to appeal (10 NY3d 848 [2008]) and now agree with that conclusion.

III

[1] Plaintiffs contend that the adequacy requirement applies to the SNA program because Social Services Law § 159 provides

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3. Although there is a supplemental housing allowance program in New York City called the Family Eviction Prevention Supplement (FEPS) that provides money in addition to SNA assistance, plaintiffs are not eligible to participate in that program.

that SNA benefits must be calculated in accordance with the provisions of article 5 of the Social Services Law, of which section 350 is a part. In our view, this argument fails to account for the fundamental differences between the FA and SNA programs (*see generally Matter of Robert J.*, 2 NY3d 339, 345 [2004]). Family Assistance is part of the Aid to Dependent Children program delineated in title 10 of article 5 of the Social Services Law and is ''the primary program in the State for ensuring the welfare of needy children'' (*Jiggetts v Grinker*, 75 NY2d at 420). As the program's name emphasizes, the purpose of ADC/FA is ''to enable the father, mother or other relative'' to raise a needy ''child properly, having regard for the physical, mental and moral well-being of such child'' (Social Services Law § 350 [1] [a]). In light of this focus on providing a sufficient upbringing to children of impoverished individuals, we have recognized that it was ''reasonable'' for the Legislature to codify a heightened ''adequacy'' standard in section 350 in order to promote ''special protection to ensure the health and well-being of children in a program that is dedicated to protecting the welfare of children deprived of parental support'' (*Jiggetts*, 75 NY2d at 420).

In contrast, Safety Net Assistance appears in title 3 of article 5, entitled ''Home Relief.'' It places no restriction on how long a person is eligible to receive SNA benefits and applies more broadly as it ''is not contingent upon the presence of children in the household and it is not specifically designed to deal with their needs'' (75 NY2d at 420). Consequently, we impliedly recognized in *Jiggetts* that the ''special protection'' of section 350's adequacy requirement should not apply outside the context of ADC/Family Assistance (*id.*). Indeed, neither section 159, nor any other provision in title 3 of article 5 of the Social Services Law, clearly indicates that the Legislature intended to incorporate the adequacy requirement into the SNA program. Moreover, acceptance of plaintiffs' argument would allow individuals with children in SNA to invoke the adequacy standard but preclude persons without children from doing so—a conclusion that finds no support in the construction of Social Services Law article 5 or its legislative history.

This issue was addressed by the courts before the 1997 statutory amendments that created the FA and SNA programs. Under the preexisting legislative scheme, it had been determined that section 350 did not apply to the Home Relief program (which was the predecessor to SNA) (*see Matter of Gautam v Perales*, 179 AD2d 509, 511 [1st Dept 1992], *lv denied* 80 NY2d

758 [1992]; *Deleo v Kaladjian*, 215 AD2d 520, 521 [2d Dept 1995]). Presumably, the Legislature was aware of those interpretations of the Social Services Law and could have adopted a provision parallel to section 350 if it intended to transport the FA adequacy standard into SNA when section 159 was amended in 1997 (*see Matter of Knight-Ridder Broadcasting v Greenberg*, 70 NY2d 151, 157 [1987]). Hence, the failure to include an adequacy requirement in section 159 or a direct statutory reference to section 350 indicates that the Legislature did not impose that special protection on the SNA program, which is the conclusion reached in cases decided after the enactment of the 1997 amendments (*see McVay v Wing*, 303 AD2d 727 [2d Dept 2003], *lv dismissed* 100 NY2d 577 [2003]; *Shubrick v Wing*, 303 AD2d 744 [2d Dept 2003], *lv dismissed* 100 NY2d 577 [2003]; *Hedgepeth v Wing*, 29 AD3d 632 [2d Dept 2006]; *Brownley v Doar*, 44 AD3d 313 [1st Dept 2007]).

Policy considerations also support the Commissioner's determination that the section 350 adequacy standard is not a component of SNA. As previously noted, one of the primary changes effected by the 1996 federal amendments that eliminated the AFDC program and created the TANF program was the 60-month restriction on the receipt of federal welfare assistance. The objective of this limitation was to provide a basic standard of living for a finite time period to provide an incentive to individuals to obtain an education or job training that would allow them to become gainfully employed and eliminate or reduce their reliance on government assistance (*see generally* Statement by President William J. Clinton Upon Signing HR 3734, 32 Wkly Compilation Presidential Docs 1487 [Aug. 26, 1996], reprinted in 1996 US Code Cong & Admin News, at 2891). If plaintiffs here were to prevail, SNA payments would be subjected to an adequacy standard without any temporal or monetary ceiling, contrary to the federal purposes that TANF was intended to promote (*see* Notice of Adoption of Revised 18 NYCRR parts 352 & 381, eff Nov. 1, 2003, Revised Regulatory Impact Statement, at 8).

We are also mindful that New York decided that it is in the State's best interest to support its needy residents after federal public assistance benefits are discontinued and therefore voluntarily undertook to supplement the TANF and FA programs with Safety Net Assistance. In order to provide SNA support to the largest number of indigent individuals for the longest period of time, the Legislature entrusted the Commissioner of OTDA with the duty to promulgate schedules of SNA grants based on the funding resources available to the agency, together with other relevant considerations. In reaching these determinations, it was the burden of the legislative and executive branches of government to weigh ''the intractable economic, social and even philosophical problems presented by public welfare assistance programs'' (*Matter of Barie v Lavine*, 40 NY2d 565, 569 [1976]). We therefore hold that the adequacy standard set forth in Social Services Law § 350 is not a component of the SNA program.

IV

Plaintiffs alternatively maintain that article XVII of the State Constitution mandates that their SNA allowances be increased consistent with an adequacy requirement. This constitutional provision specifies that the ''aid, care and support of the needy are public concerns and shall be provided by the state and by such of its subdivisions, and in such manner and by such means, as the legislature may from time to time determine'' (NY Const, art XVII, § 1). Article XVII ''was intended to serve two functions: First, it was felt to be necessary to sustain from constitutional attack the social welfare programs . . . created by the State . . . and, second, it was intended as an expression of the existence of a positive duty upon the State to aid the needy'' (*Tucker v Toia*, 43 NY2d 1, 7 [1977]).

[2] Article XVII, however, was not intended to ''mandate that public assistance must be granted on an individual basis in every instance'' or ''command[ ] that, in carrying out the constitutional duty to provide aid, care and support of the needy, the State must always meet in full measure all the legitimate needs of each recipient'' (*Matter of Bernstein v Toia*, 43 NY2d 437, 448-449 [1977]). Thus, there is no right to a constitutionally prescribed minimum shelter allowance since it is the prerogative of the Legislature to ''determine who is 'needy' and allocate the public dollar accordingly'' (*Matter of Aliessa v Novello*, 96 NY2d 418, 428 [2001]). We have explained that if

> ''the over-all consequence of the method of distribution of aid to the needy adopted initially by the Legislature, and subsequently by the department charged with executing the social services program, is reasonably expected to be in furtherance of the optimum utilization of public assistance funds, there has been no violation of the constitutional com-

> mand'' unless a group of needy persons has been impermissibly excluded from eligibility for benefits (*Matter of Bernstein v Toia*, 43 NY2d at 449).

No such transgression has occurred here because plaintiffs have not demonstrated that the Legislature acted unreasonably in designing the SNA program or that the State has wrongfully excluded a class of needy individuals from the program (*compare Matter of Lee v Smith*, 43 NY2d 453 [1977]). Plaintiffs therefore have not met their burden of establishing that the SNA shelter allowances violate article XVII of the State Constitution.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be affirmed, without costs.

Judges CIPARICK, READ, SMITH, PIGOTT and JONES concur; Chief Judge LIPPMAN taking no part.

Order, insofar as appealed from, affirmed, without costs.

[904 NE2d 823, 876 NYS2d 687]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v FELIX SORIANO GUERRERO, Appellant.

Argued January 8, 2009; decided February 19, 2009

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered November 8, 2007. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Michael J. Obus, J.), which had convicted defendant, upon his plea of guilty, of murder in the second degree.

People v Guerrero, 45 AD3d 313, affirmed.

HEADNOTE

Crimes — Sentence — Mandatory Surcharge and Crime Victim Assistance Fee

Because the mandatory surcharge and crime victim assistance fee mandated by Penal Law § 60.35 (1) are not a part of a sentence within the meaning of sections 380.20 and 380.40 of the CPL, a judge need not pronounce them in a defendant's presence during sentencing. The CPL commands that a defendant's sentence must be pronounced by the court in the defendant's presence (*see* CPL 380.20, 380.40). However, the statute imposing the mandatory surcharge and crime victim assistance fee, while noting that these assessments are to be "levied at sentencing," describes them as distinct from "any sentence required or permitted by law" (Penal Law § 60.35 [1]). Further, the statute's nomenclature reinforces its nonpunitive nature: the assessments imposed by section 60.35 (1) are called a "surcharge" or a "fee," not a "penalty."

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 739, 744.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:3893, 172:3898, 172:3942.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 26.4.

MCKINNEY'S, CPL 380.20, 380.40; Penal Law § 60.35 (1).

NY JUR 2d, Criminal Law: Procedure §§ 2891, 2908, 3355, 3358.

ANNOTATION REFERENCE

See ALR Index under Absence or Presence; Sentence and Punishment.

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POINTS OF COUNSEL

Center for Appellate Litigation, New York City (*William A. Loeb* and *Robert S. Dean* of counsel), for appellant. The mandatory surcharge and crime victim assistance fee, which were added to appellant's sentence and commitment sheet by the clerk of the court, constituted components of appellant's sentence, thus requiring that imposition of the fees be pronounced by the court at sentencing. (*People v Lemos,* 34 AD3d 343; *People v Sparber,* 10 NY3d 457; *People v Harris,* 51 AD3d 523, 10 NY3d 935; *People v Nieves,* 2 NY3d 310; *People v Perry,* 36 NY2d 114; *People v Ford,* 86 NY2d 397; *Smith v Doe,* 538 US 84; *Kellogg v Travis,* 100 NY2d 407; *People v Catu,* 4 NY3d 242; *People v Quinones,* 95 NY2d 349.)

Robert M. Morgenthau, District Attorney, New York City (*Richard Nahas* and *Vincent Rivellese* of counsel), for respondent. The mandatory surcharge and fees imposed by Penal Law § 60.35 are not part of a defendant's sentence at all, but certainly do not need to be separately pronounced by the court at sentencing. (*People v Sparber,* 10 NY3d 457; *Smith v Doe,* 538 US 84; *People v Catu,* 4 NY3d 242; *Matter of Garner v New York State Dept. of Correctional Servs.,* 10 NY3d 358; *United States v Spallone,* 399 F3d 415; *Doe v Pataki,* 120 F3d 1263, 522 US 1122; *People v Nieves,* 2 NY3d 310; *Ferrin v New York State Dept. of Correctional Servs.,* 71 NY2d 42; *Matter of Tonis v Board of Regents of Univ. of State of N.Y.,* 295 NY 286; *People v Santi,* 3 NY3d 234.)

OPINION OF THE COURT

READ, J.

On July 20, 2006, defendant Felix Soriano Guerrero pleaded guilty to second-degree intentional murder (Penal Law § 125.25 [1]) in exchange for an indeterminate sentence of 19 years to life imprisonment. At the subsequent sentencing hearing on September 11, 2006, Supreme Court stated that defendant had acknowledged "that he accepts the plea and the Court certainly intends to go ahead and impose the sentence promised at the time we reached that agreement[;] that is[,] an indeterminate term of imprisonment of 19 years to life." The judge did not mention that defendant was required to pay a mandatory surcharge of $150 and a crime victim assistance fee of $2 as a result of his conviction. These assessments were, however, listed on the ‘‘Uniform Sentence and Commitment’’ sheet, which the clerk signed, and the court worksheet, which the judge signed and stamped.

Defendant appealed, arguing that the mandatory surcharge and crime victim assistance fee should have been pronounced by the judge in open court at sentencing. After the Appellate Division unanimously affirmed his conviction and sentence (45 AD3d 313 [2007]), a Judge of this Court granted defendant leave to appeal (10 NY3d 863 [2008]) so that we might review his claim in light of our recent decision in *People v Sparber* (10 NY3d 457 [2008]). We now hold that the mandatory surcharge and crime victim assistance fee mandated by Penal Law § 60.35 (1) are not a part of a sentence within the meaning of sections 380.20 and 380.40 of the CPL; therefore, a judge need not pronounce them in a defendant’s presence during sentencing.

CPL 380.20 calls upon courts to ‘‘pronounce sentence in every case where a conviction is entered’’; CPL 380.40 (1) directs that ‘‘[t]he defendant must be personally present at the time sentence is pronounced.’’ CPL 1.20 (13), in turn, defines ‘‘conviction’’ as a plea or verdict of guilty, while CPL 1.20 (14) defines ‘‘sentence’’ as ‘‘the imposition and entry of sentence upon a conviction.’’ Thus, although the CPL commands that a defendant’s ‘‘sentence’’ must be ‘‘pronounced’’ by the court in the defendant’s presence, it gives no guidance as to which consequences of a conviction are covered by this requirement. This is where our decisions in *Sparber* and *People v Nieves* (2 NY3d 310 [2004]) come into play.

In *Sparber*, we concluded that because postrelease supervision (PRS) is a component element of a sentence, CPL 380.20 and 380.40 require a judge to pronounce the terms of PRS at sentencing (10 NY3d at 468-469). In *Nieves* we found a defendant’s unpreserved claim of error to be unreviewable under the exception to the preservation requirement for an illegal sentence. This was so because ‘‘although the orders of protection [in question] were issued at [Nieves’] sentencing proceeding, it [wa]s evident from the statutory scheme that the orders were not a part of defendant’s sentence’’ (2 NY3d at 316). In both cases, we carefully examined the language of the statute imposing or authorizing the particular consequence of conviction at issue in order to decide whether it inhered in the sentence.

For example, at the time of our decision in *Sparber*, Penal Law § 70.45, entitled ''Determinate sentence; post-release supervision,'' deemed PRS to be ''a part'' of a determinate sentence (*see* 10 NY3d at 468-469); the provision began as follows: ''1. In general. Each determinate sentence also includes, *as a part thereof*, an additional period of post-release supervision'' (emphasis added). Concomitantly, Penal Law § 70.00 (6) specifies that the determinate sentences for which it provides ''shall include, *as a part thereof*, a period of post-release supervision in accordance with section 70.45'' (emphasis added). By contrast, the statute construed in *Nieves*—CPL 530.13 (4)—''[did] not characterize permanent orders of protection as a component of sentencing,'' and ''[n]o reference [was] made in any . . . provisions [governing sentences for criminal offenses] to an order of protection as a permissible sentence'' (*Nieves*, 2 NY3d at 316).

The statute imposing the mandatory surcharge and crime victim assistance fee, while noting that these assessments are to be ''levied at sentencing,'' describes them as distinct from ''any sentence required or permitted by law'' (Penal Law § 60.35 [1] [a]). Specifically, Penal Law § 60.35 (1) (a) states that ''there shall be levied at sentencing a mandatory surcharge, sex offender registration fee, DNA databank fee and a crime victim assistance fee *in addition to any sentence required or permitted by law*'' (emphasis added), rather than as ''a part'' of the sentence itself, as was the case with the statute we interpreted in *Sparber*. Unlike the statute we considered in *Nieves*, section 60.35 (1)'s text clearly indicates that the surcharge and fee are *not* incorporated into the sentence; it is not merely silent as to this issue. As a result, the fact that this provision is within the Penal Law's sentencing scheme does not lead to the conclusion that these assessments are component elements of the sentence.

Defendant argues, however, that the language of section 60.35 (1) does not mandate the outcome in this case because Penal Law § 60.35 (2) refers to a ''*sentence to pay* a mandatory surcharge, crime victim assistance fee or supplemental sex offender victim fee'' (emphasis added). But it is subdivision (1) of section 60.35—not subdivision (2)—which actually creates the obligation to pay the mandatory surcharge and crime victim assistance fee; subdivision (2) merely tells the court how to calculate the surcharge and the various fees in cases where a person has been convicted of two or more crimes or violations or offenses. Further, section 60.35 (1)'s legislative history strongly supports the proposition that the Legislature did not intend the surcharge or fee to be ''an additional punishment component'' of a sentence (*see Sparber*, 10 NY3d at 469).

Section 60.35 was originally enacted as part of a massive revenue-raising bill meant to ''avert the loss of an estimated $100 million in State tax revenues'' (Legislative Mem in Support, Bill Jacket, L 1982, ch 55, at 6; *see also People v Quinones*, 95 NY2d 349, 352 [2000] [''The mandatory surcharge/crime victim assistance fee is paid to the State to shift costs of providing services to victims of crime from law abiding taxpayers and toward those who commit crimes'' (internal quotations marks omitted)]; *People v Barnes*, 62 NY2d 702, 703 [1984] [mandatory surcharge levied and collected following every criminal conviction ''appear(s) to be related . . . to the State's legitimate interest in raising revenues'']).

Finally, the statute's nomenclature reinforces its nonpunitive nature: the assessments imposed by section 60.35 (1) are called a ''surcharge'' or a ''fee,'' not a ''penalty.'' Indeed, when first enacted in 1982, Penal Law § 60.35 was entitled ''Mandatory *penalty* assessment required in certain cases'' (emphasis added). The very next year, the Legislature changed every statutory reference to ''penalty assessment'' in Penal Law § 60.35 and CPL 420.35 to ''mandatory *surcharge*'' (*see* L 1983, ch 15, §§ 2, 3 [emphasis added]). A ''surcharge'' is generally defined as ''an additional tax, cost, or impost'' (*see* Merriam-Webster's Collegiate Dictionary 1185 [10th ed 1996]).

The Senate-Assembly Memorandum in Support of the 1983 legislation—the ''subject and purpose'' of which was to ''provide[ ] the revenues necessary to finance the 1983-84 State Budget'' (*see* Bill Jacket, L 1983, ch 15, at 9)—states as follows:

> ''<u>SUMMARY OF PROVISIONS</u> . . .
>
> ''<u>Sections two and three</u> amend the Penal Law and the Criminal Procedure[ ] Law to make technical changes to collection procedures first enacted in 1982-83. These technical changes correct the problems that were raised by attorneys and judges alike, and will allow the surcharge program to be implemented with a minimum of confusion'' (*id.*).

Most of the technical changes made by sections 2 and 3 consisted of substituting ''mandatory surcharge'' for ''penalty assessment'' (specifically, 13 separate substitutions in Penal Law § 60.35 and two separate substitutions in CPL 420.35, including in the title of both provisions). While there is no discussion or explanation in the legislative history of the legal "problems" or "confusion" the Legislature meant to dispel by making these linguistic changes, the revised nomenclature eliminated the implication connoted by use of the word "penalty" that this assessment was meant to be punitive as well as to raise revenue.

Accordingly, the order of the Appellate Division should be affirmed.

Judges CIPARICK, GRAFFEO, SMITH, PIGOTT and JONES concur; Chief Judge LIPPMAN taking no part.

Order affirmed.

[904 NE2d 802, 876 NYS2d 666]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v ANTHONY ROMEO, Respondent.

Argued January 7, 2009; decided February 11, 2009

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered January 29, 2008. The Appellate Division (1) reversed, on the law, a judgment of the Suffolk County Court (Barbara R. Kahn, J.), which had convicted defendant, upon his plea of guilty, of manslaughter in the first degree; (2) dismissed the indictment; and (3) remitted the matter to Suffolk County Court for the purpose of entering an order in its discretion pursuant to CPL 160.50.

People v Romeo, 47 AD3d 954, affirmed.

HEADNOTE

Crimes — Right to Speedy Trial — Extraordinary Delay Occasioned by Decision to Defer Prosecution in Favor of Foreign Prosecution

In the murder prosecution of defendant, who fatally shot a man in New York before absconding to Canada and fatally shooting a second victim, the People's lengthy postindictment delay occasioned by delaying their prosecution in favor of the Canadian prosecution and then failing to make an extradition request to Canada violated defendant's constitutional right to a speedy trial. The term ''speedy trial'' must be evaluated in the context of a sensitive balancing of the following factors, with no one factor being dispositive of a violation: the extent of the delay; the reason for the delay; the nature of the underlying charges; any extended period of pretrial incarceration; and any impairment of defendant's defense. Here, the delay between the New York indictment and defendant's motion to dismiss the indictment on speedy trial grounds was an extraordinary period of 12 years. Even if the People had acted under the mistaken belief that defendant's presence could be obtained in New York promptly after the Canadian trial, they still knew or should have known that there was no guarantee that defendant would be brought back in a timely manner. Their failure to make an extradition request, in the absence of evidence that such request would have been futile, demonstrated a lack of diligent efforts in bringing defendant to trial promptly. The People did not claim that any delay was a result of time needed for pretrial preparation. While the extended pretrial incarceration period factor was not significant, it was highly likely that defendant's defense was impaired by his incarceration for many years in a foreign prison.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 945–952, 965.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:2101–172:2103, 172:2106, 172:2107.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 18.1–18.4.

NY JUR 2d, Criminal Law: Procedure §§ 1853, 1857–1860, 1899, 1908–1912.

ANNOTATION REFERENCE

See ALR Index under Extradition; Speedy Trial.

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POINTS OF COUNSEL

Thomas J. Spota, District Attorney, Riverhead (*Michael Blakey* of counsel), for appellant. Respondent was not denied his constitutional right to a speedy trial. (*Klopfer v North Carolina,* 386 US 213; *Barron v Mayor & City Council of Baltimore,* 7 Pet [32 US] 243; *People v Prosser,* 309 NY 353; *Doggett v United States,* 505 US 647; *Barker v Wingo,* 407 US 514; *People v Taranovich,* 37 NY2d 442; *People v Watts,* 57 NY2d 299; *People v Vernace,* 96 NY2d 886; *People v Konieczny,* 2 NY3d 569; *People v Blakley,* 34 NY2d 311.)

Morvillo, Abramowitz, Grand, Iason, Anello & Bohrer, P.C., New York City (*Barry A. Bohrer* and *Kristy Watson Milkov* of counsel), for respondent. I. The extensive postindictment delay deprived Mr. Romeo of his constitutional right to a speedy trial. (*Klopfer v North Carolina,* 386 US 213; *People v Singer,* 44 NY2d 241; *People v Staley,* 41 NY2d 789; *Strunk v United States,* 412 US 434; *People v Taranovich,* 37 NY2d 442; *Barker v Wingo,* 407 US 514; *People v Hansen,* 95 NY2d 227; *People v Lopez,* 6 NY3d 248; *People v Callahan,* 80 NY2d 273; *Doggett v United States,* 505 US 647.) II. The delay is unquestionably attributable to the People. (*Smith v Hooey,* 393 US 374; *Barker v Wingo,* 407 US 514; *People v Prosser,* 309 NY 353; *People v McLaurin,* 38 NY2d 123; *People v Wilt,* 43 AD2d 658; *United States v Pomeroy,* 822 F2d 718; *United States v McConahy,* 505 F2d 770; *United States v McDonald,* 172 F Supp 2d 941; *People v Singer,* 44 NY2d 241; *United States v Walton,* 814 F2d 376.) III. Mr. Romeo repeatedly asserted his speedy trial rights throughout an almost 19-year period of delay. (*Barker v Wingo,* 407 US 514;

People v Rodriguez, 50 NY2d 553; *People v Bancroft,* 23 AD3d 850.) IV. The People's inordinate delay prejudiced Mr. Romeo. (*Doggett v United States,* 505 US 647; *Moore v Arizona,* 414 US 25; *People v Taranovich,* 37 NY2d 442; *People v Singer,* 44 NY2d 241; *Barker v Wingo,* 407 US 514; *United States v McDonald,* 172 F Supp 2d 941; *People v Waldron,* 6 NY3d 463; *People v Vernace,* 96 NY2d 886; *People v Lesiuk,* 81 NY2d 485.) V. No plausible claim can be made that the ''nature of the underlying charge'' is the cause of the People's delay in prosecuting Mr. Romeo. (*Barker v Wingo,* 407 US 514; *People v Taranovich,* 37 NY2d 442; *People v Santiago,* 209 AD2d 885.)

OPINION OF THE COURT

Acting Chief Judge Ciparick.

The question raised by this appeal is whether the People's lengthy postindictment delay occasioned by delaying their prosecution in favor of a Canadian prosecution violated defendant's constitutional right to a speedy trial. Applying the five-factor speedy trial analysis articulated in *People v Taranovich* (37 NY2d 442 [1975]), we conclude that it did and therefore affirm.

I

In November 1985, a fatal shooting occurred in the victim's Fire Island home, in Suffolk County. Ballistics evidence taken over a year later indicated that a gun belonging to defendant was the murder weapon. In February 1987, Suffolk County Court ordered defendant to provide a DNA sample to compare with DNA obtained from hair the victim had in his hand when he died. Defendant's attorney scheduled a date for his client to surrender to Suffolk County law enforcement officials and to provide a sample of his DNA for comparative testing.

Two days before the scheduled date, March 5, defendant, armed with a gun, absconded to Canada in his car. On March 8, a Canadian constable pulled the car over for speeding. Defendant pulled his gun, and shot and killed the officer. He then discarded the firearm and reentered the United States, making his way to Boston, where he was arrested at Logan International Airport while attempting to board a plane to Florida. He was arraigned on the Canadian warrant before a federal magistrate and held without bail pending extradition to Canada. Pursuant to court order, Suffolk County law enforcement authorities came to Boston and obtained hair and blood samples from defendant that matched the hair strands found in the victim's hand.

On March 27, a Suffolk County grand jury indicted defendant on two counts of murder in the second degree (Penal Law § 125.25 [1], [2]) and the People filed a warrant to detain him in the United States. On April 1, while defendant was still in federal custody, he made the first of a series of formal demands to the People for an immediate arraignment and trial on the Suffolk County indictment. He made a similar demand to the United States Department of Justice, asserting his constitutional right to a speedy trial.

On May 15, a Canadian official wrote a letter to the Suffolk County District Attorney's Office stating options available under the existing extradition treaty between the United States and Canada that would enable defendant's return to the United States after a Canadian conviction. The letter was encouraging in tone, but did not offer assurance that a prompt return would be arranged.

On May 29, defendant, still in federal custody, but now in Missouri, filed an order to show cause in Suffolk County Court demanding a writ of habeas corpus to be produced for arraignment in Suffolk County before his extradition to Canada. The People argued that defendant would suffer no unusual delay in facing trial in Suffolk County by being tried in Canada first—apparently under the mistaken belief that defendant would immediately be brought back to Suffolk County after his trial in Canada. On June 17, Suffolk County Court denied defendant's application, holding that the People could defer prosecution on the Suffolk County murder charges. The court cautioned the People, however, that any delay caused by allowing the Canadian prosecution to proceed first could result in a violation of defendant's rights to a speedy trial, redress for which defendant would be free to pursue at a later time.

The People still elected to defer prosecution. Defendant was extradited to Canada, where he was tried and convicted of the constable's murder. He received a sentence of imprisonment of 25 years to life with parole eligibility in 2011. The People never sought extradition to Suffolk County.

On July 23, 1999, 12 years after having been indicted for the Fire Island murder, defendant moved in Suffolk County Court to dismiss the murder indictment on constitutional and statutory speedy trial grounds. The court denied the application. Six years later, in November 2005, defendant was brought back to Suffolk County following amendments to the Canada-United

States Extradition Treaty that allowed for the ''borrowing'' of defendant from Canada. Defendant was arraigned on the Suffolk County indictment and, in February 2006, entered a guilty plea to manslaughter in the first degree and was sentenced to a term of imprisonment of 7 to 21 years to be served concurrently with the Canadian sentence. Defendant appealed, asserting that the 19-year postindictment delay deprived him of his constitutional right to a speedy trial.

The Appellate Division reversed the conviction and dismissed the indictment, holding that the People's delay violated defendant's right to a speedy trial (47 AD3d 954 [2008]). The court took into consideration only the 12-year delay in prosecution, from 1987 until 1999, when defendant filed his speedy trial motion. The Appellate Division reasoned that the People's decision to defer their prosecution in favor of the Canadian prosecution and failure to make an extradition request to Canada, even though it was unclear that Canada would have denied the request, caused the extended delay in prosecution. A Judge of this Court granted the People leave to appeal (10 NY3d 869 [2008]) and we now affirm.

II

A criminal defendant's right to a speedy trial is guaranteed both by the Sixth Amendment to the United States Constitution (US Const 6th, 14th Amends) and by statute (CPL 30.20; Civil Rights Law § 12). Violation of this right results in dismissal of an indictment (*see Strunk v United States*, 412 US 434, 439-440 [1973]; *People v Taranovich*, 37 NY2d 442, 444 [1975]).

The term ''speedy trial'' must be evaluated in the context of a sensitive balancing of several factors, with no one factor being dispositive of a violation, and with no formalistic precepts by which a deprivation of the right can be assessed (*see Doggett v United States*, 505 US 647, 651 [1992]; *Taranovich*, 37 NY2d at 444-445). The five factors to be considered are: (1) the extent of the delay; (2) the reason for the delay; (3) the nature of the underlying charges; (4) any extended period of pretrial incarceration; and (5) any impairment of defendant's defense (*see Taranovich*, 37 NY2d at 445). The balancing of these factors must be performed carefully in light of the particular facts in each case (*see People v Vernace*, 96 NY2d 886, 887 [2001]).

The first factor, the extent of the delay, is of critical importance because ''all other factors being equal, the greater the delay the more probable it is that the accused will be harmed thereby'' (*Taranovich*, 37 NY2d at 445). There is no specific temporal period by which a delay may be evaluated or considered ''presumptively prejudicial'' (*see Doggett*, 505 US at 652). Where the delay is lengthy, an examination of the other factors is triggered, and the length of delay becomes one factor in that inquiry (*see id.*).

Here, the delay between the indictment and the filing of the speedy trial motion was an extraordinary period of 12 years (*see Doggett*, 505 US at 658 [8½-year delay was ''extraordinary'' (internal quotation marks omitted)]; *Barker v Wingo*, 407 US 514, 533 [1972] [5½-year delay was ''extraordinary'']; *People v White*, 32 NY2d 393, 398 [1973] [four-year delay violated the defendant's right to a speedy trial]; *People v Winfrey*, 20 NY2d 138 [1967] [4½-year delay]). Although not in itself decisive, the 12-year delay requires close scrutiny of the other factors, especially the question of why the delay occurred. It was the People's burden to bring defendant to trial in a timely fashion (*see Smith v Hooey*, 393 US 374, 383 [1969]). The genesis of this extraordinary delay was the People's decision to defer their prosecution, allowing defendant to be sent abroad for a foreign murder prosecution, and then failing to make an extradition request to Canadian authorities, which, if granted, might have mitigated the length of the delay.

Soon after the filing of this indictment, defendant made repeated demands to be arraigned in Suffolk County before being sent to Canada. Additionally, during a hearing to determine whether defendant could be prosecuted in Canada first, Suffolk County Court cautioned the People that their decision might cause a speedy trial violation. Thus, even prior to their decision to defer prosecution, the People had been placed on notice that their decision might violate defendant's constitutional speedy trial rights, as defendant was already making claims that he was being prejudiced by the delay. In the face of these warnings, the People still allowed defendant to be prosecuted abroad before even arraigning him on the Suffolk County murder indictment.

The People argue that the correspondence they received from Canadian officials justified their decision to defer prosecution and the ensuing lengthy delay. Defendant does not suggest that the People acted with bad faith, which obviously would weigh heavily in favor of dismissal of the indictment (*see Doggett*, 505 US at 656). But even if acting under the mistaken belief that defendant's presence could be obtained in Suffolk County promptly after the Canadian trial, the People still knew or should have known that there was no guarantee that defendant would be brought back to Suffolk County in a timely manner. They were advised that the extradition treaty in effect would have enabled the People to request defendant's extradition, which the Canadian authorities had the discretion to grant or defer until the completion of defendant's sentence. The People were required to, at the very minimum, make such a request for defendant's return. By deferring prosecution and choosing not to attempt to extradite defendant, the People ran the risk of a speedy trial violation.

The fact that a defendant is incarcerated outside of the state makes it incumbent upon the People to make diligent, good faith efforts to secure his presence in the state for arraignment and trial (*see Hooey*, 393 US 374, 383 [1969]). Where the defendant is incarcerated in another country, failing to make an extradition request has been one factor that courts have viewed as evidencing a lack of diligent efforts on the part of the prosecution in bringing defendant to trial promptly (*see United States v Pomeroy*, 822 F2d 718, 721-722 [8th Cir 1987]; *United States v McConahy*, 505 F2d 770, 773-774 [7th Cir 1974]). Of course, where the foreign country demonstrates its clear intention to deny an extradition request, the People are under no obligation to make a futile gesture. But nothing in this record demonstrates that a request here would have been futile, and thus this case differs from cases where an extradition request would clearly fall on deaf ears (*see United States v Blanco*, 861 F2d 773, 778 [2d Cir 1988] [Colombian government repeatedly refused to extradite Colombian nationals]; *United States v Walton*, 814 F2d 376, 379 [7th Cir 1987] [Swedish officials denied informal requests from the United States State Department to extradite the suspect]). An extradition request might have led to cooperation in securing defendant's return to Suffolk County (*see Pomeroy*, 822 F2d at 721-722 [because it was at least possible that Canada would have honored an extradition request, the prosecution's failure to make an extradition request evidenced a lack of diligent efforts to secure the defendant]).

The third factor applies to the underlying charges. Although this case involves the grave offense of murder, the level of offense does not trump a defendant's right to a speedy trial. As we stated in *Taranovich*:

> "Of course, this is not to say that one's right to a speedy trial is dependent upon what one is charged with, but rather that the prosecutor may understandably be more thorough and precise in his preparation for the trial of a class C felony than he would be in prosecuting a misdemeanor" (37 NY2d at 446).

Here, the People do not claim that any delay was a result of time needed for pretrial preparation. The 12-to-19-year delay is entirely the result of defendant's incarceration in Canada.

The fourth factor, whether there has been an extended period of pretrial incarceration, is not significant in this case. Defendant was initially detained on a warrant filed by the Canadian government. He has been held at all times thereafter pursuant to the Canadian charges, never on the Suffolk County indictment alone. At no point during his prosecution on the Suffolk County charges has he faced additional incarceration from those charges.

The fifth factor is whether or not there is any indication that the defense has been impaired by reason of the delay, such as difficulty in gathering evidence and locating witnesses (*see Barker*, 407 US at 532). Such concerns are exacerbated where the defendant is incarcerated in a foreign jurisdiction.

Here, it is highly likely that the defense was "impaired" (*see Hooey*, 393 US at 379-380) by defendant's incarceration for many years in a foreign prison where it would have been difficult for him to participate in his own defense, confer with counsel and contact witnesses. Defendant claims that he had psychiatric problems and might have presented a defense based on a lack of criminal responsibility by reason of mental disease or defect. This type of defense would have required defendant to establish his mental incapacity at the time of the offense. The ability to do this was clearly hampered by his incarceration abroad.

We conclude that the Appellate Division properly balanced the *Taranovich* factors and that the prejudice caused by the postindictment delay, as a result of the People's decision to allow defendant to be tried in Canada first and the subsequent decision not to seek defendant's extradition to Suffolk County, violated defendant's constitutional right to a speedy trial.

Accordingly, the order of the Appellate Division should be affirmed.

Judges Graffeo, Read, Smith, Pigott and Jones concur.

Order affirmed.

[903 NE2d 1149, 875 NYS2d 828]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JUDY KNOX, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ELIEZER CINTRON, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v FRANCIS JACKSON, Appellant.

Argued January 8, 2009; decided February 17, 2009

SUMMARY

APPEAL, in the first above-entitled action, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered November 1, 2007. The Appellate Division affirmed an order of the Supreme Court, New York County (Budd G. Goodman, J.), which had adjudicated defendant a level one sex offender under the Sex Offender Registration Act.

APPEAL, in the second above-entitled action, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 18, 2007. The Appellate Division affirmed an order of the Supreme Court, Bronx County (Megan Tallmer, J.; op 13 Misc 3d 833), which had adjudicated defendant a level three sex offender under the Sex Offender Registration Act.

APPEAL, in the third above-entitled action, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 13, 2007. The Appellate Division affirmed an order of the Supreme Court, Bronx County (Megan Tallmer, J.; op 13 Misc 3d 833), which had adjudicated defendant a level one sex offender under the Sex Offender Registration Act.

People v Knox, 45 AD3d 274, affirmed.

People v Cintron, 46 AD3d 353, affirmed.

People v Jackson, 46 AD3d 324, affirmed.

HEADNOTES

Crimes — Sex Offenders — Sex Offender Registration Act

1. No violation of defendants' constitutional rights occurred when defendants, who were convicted of committing or attempting to commit kidnapping and unlawful imprisonment of children not their own, were

required to register as sex offenders under the Sex Offender Registration Act (Correction Law § 168 *et seq.*), even though there was no proof that their crimes involved any sexual act or sexual motive. While it may be assumed that defendants have a constitutionally-protected liberty interest, applicable in a substantive due process context, in not being required to register under an incorrect label, defendants were not asserting a ''fundamental right,'' as due process cases use that term. Where no fundamental right is infringed, legislation is valid if it is rationally related to legitimate government interests. The Legislature had a rational basis for concluding that, in the large majority of cases where people kidnap or unlawfully imprison other people's children, the children either are sexually assaulted or are in danger of sexual assault. In light of this, it was rational for the Legislature to provide that, as a general rule, people guilty of such crimes should be classified as ''sex offenders.'' Thus, the classification is not unconstitutional on its face. Nor is it unconstitutional to apply the definition to the minority of cases in which there was neither a sexual assault nor any discernible risk of one. The Legislature could rationally have found that the administrative burden, and the risk that some dangerous sex offenders would escape registration, justified a hard and fast rule, with no exceptions.

Crimes — Sex Offenders — Sex Offender Registration Act

2. Defendant, who was convicted of the unlawful imprisonment of his girlfriend's children, was properly adjudicated a level three (high risk) sex offender pursuant to the Sex Offender Registration Act (Correction Law § 168 *et seq.*) even though the crimes that gave rise to the adjudication did not involve sex. In light of defendant's long record of violent conduct, including sexual violence, it was not an abuse of discretion to conclude that there was a high risk that he would commit a sex crime in the future.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Mentally Impaired Persons §§ 126, 130, 137, 139.

MCKINNEY's, Correction Law § 168 *et seq.*

NY JUR 2d, Penal and Correctional Institutions §§ 307, 308, 316, 317, 319–321.

ANNOTATION REFERENCE

''Sexually motivated offenses'' within definition of sex offense for purposes of sentencing or classification of defendant as sex offender. 30 ALR6th 373.

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POINTS OF COUNSEL

Legal Aid Society, New York City (*Lorca Morello* and *Steven Banks* of counsel), for appellant in the first above-entitled action. The Sex Offender Registration Act provision classifying persons as convicted sex offenders based on convictions of offenses containing no element of sexual misconduct violates the state and federal principles of substantive due process and equal protection both on its face and as applied to appellant. (*Doe v Pataki,* 3 F Supp 2d 456; *Daniels v Williams,* 474 US 327; *Youngberg v Romeo,* 457 US 307; *Lawrence v Texas,* 539 US 558; *Moore v East Cleveland,* 431 US 494; *Department of Agriculture v Murry,* 413 US 508; *Cleburne v Cleburne Living Center, Inc.,* 473 US 432; *Romer v Evans,* 517 US 620; *Hernandez v Robles,* 7 NY3d 338; *Poe v Ullman,* 367 US 497.)

Robert M. Morgenthau, District Attorney, New York City (*Dana Poole* and *Alan Gadlin* of counsel), for respondent in the first above-entitled action. The Legislature's determination that defendants guilty of kidnapping offenses against minors are subject to the registration provision of the Sex Offender Registration Act is entirely constitutional, and that requirement was properly applied to defendant. (*People v Stuart,* 100 NY2d 412; *People v Windham,* 10 NY3d 801; *People v Charache,* 9 NY3d 829; *People v Nieves,* 2 NY3d 310; *People v Stevens,* 91 NY2d 270; *T. W. Oil v Consolidated Edison Co. of N.Y.,* 57 NY2d 574; *Matter of Barbara C.,* 64 NY2d 866; *People v Lewis,* 5 NY3d 546; *People v White,* 53 NY2d 721; *People v Cintron,* 46 AD3d 353.)

Legal Aid Society, New York City (*Mitchell J. Briskey* and *Steven Banks* of counsel), for appellant in the second above-entitled action. I. The mandatory application of the Sex Offender Registration Act to Mr. Cintron, even though his 1989 conviction for unlawful imprisonment was wholly devoid of sexual conduct or motivation, denies him due process and equal protection of the law. (*Wolff v McDonnell,* 418 US 539; *Mathews v Eldridge,* 424 US 319; *County of Sacramento v Lewis,* 523 US 833; *People v David W.,* 95 NY2d 130; *Reno v Flores,* 507 US 292; *People v Onofre,* 51 NY2d 476; *Washington v Glucksberg,* 521 US 702; *Hernandez v Robles,* 7 NY3d 338; *Affronti v Crosson,* 95 NY2d 713; *Paul v Davis,* 424 US 693.) II. The hearing court erred in refusing to consider a downward departure and only adjudicate Mr. Cintron a level one offender, where the Sex Offender Registration Act: Risk Assessment Guidelines do not take into account whether the acts underlying the conviction involved sexual conduct or motivation. (*H & J Blits v Blits,* 65 NY2d 1014; *People v Williams,* 56 NY2d 236; *Doe v Pataki,* 3 F Supp 2d 456; *Matter of VanDover v Czajka,* 276 AD2d 945; *People* *v Inghilleri,* 21 AD3d 404; *United States v Scott,* 270 F3d 632; *People v Irizarry,* 36 AD3d 473; *People v Walker,* 83 NY2d 455.)

Robert T. Johnson, District Attorney, Bronx (*Noah J. Chamoy, Joseph N. Ferdenzi* and *Rafael Curbelo* of counsel), for respondent in the second above-entitled action. I. The State of New York could rationally require Eliezer Cintron to register under the Sex Offender Registration Act for his unlawful imprisonment of two children not his own, a crime that entailed a risk of sexual abuse. (*People v Stevens,* 91 NY2d 270; *Doe v Pataki,* 120 F3d 1263, 522 US 1122; *People v Taylor,* 42 AD3d 13, 9 NY3d 887; *New York v Ferber,* 458 US 747; *Montgomery v Daniels,* 38 NY2d 41; *Dalton v Pataki,* 5 NY3d 243, 546 US 1032; *LaValle v Hayden,* 98 NY2d 155; *People v David W.,* 95 NY2d 130; *Immediato v Rye Neck School Dist.,* 73 F3d 454, 519 US 813; *Washington v Glucksberg,* 521 US 702.) II. The Appellate Division correctly determined that the Supreme Court ''properly exercised its discretion'' in classifying Eliezer Cintron as a level three predicate sex offender. (*People v Mackey,* 49 NY2d 274; *People v Kearns,* 95 NY2d 816; *People v Cadorette,* 41 AD3d 808, 9 NY3d 810; *Matter of VanDover v Czajka,* 276 AD2d 945; *Matter of New York State Bd. of Examiners of Sex Offenders v Ransom,* 249 AD2d 891; *People v Rivera,* 5 NY3d 61, 546 US 984; *People v Cruz,* 30 AD3d 1042, 7 NY3d 712; *People v Guaman,* 8 AD3d 545; *People v Salaam,* 174 Misc 2d 726; *People v Santiago,* 20 AD3d 885.)

Office of the Appellate Defender, New York City (*Margaret E. Knight, Richard M. Greenberg* and *Risa Gerson* of counsel), for appellant in the third above-entitled action. I. Where there is no allegation that Francis Jackson's conviction of attempted second degree kidnapping involved any sexual misconduct toward the child who was purportedly abducted, Mr. Jackson's constitutional right to substantive due process was violated by his adjudication as a sex offender. (*Wisconsin v Constantineau,* 400 US 433; *Wieman v Updegraff,* 344 US 183; *Paul v Davis,* 424 US 693; *People v David W.,* 95 NY2d 130; *Morrissey v Brewer,* 408 US 471; *Doe v Pataki,* 120 F3d 1263; *Codd v Velger,* 429 US 624; *Wolff v McDonnell,* 418 US 539; *County of Sacramento v Lewis,* 523 US 833; *People v Bell,* 3 Misc 3d 773.) II. It is a violation of equal protection to stigmatize Francis Jackson as a sex offender because the attempted kidnapping did not involve any allegation of sexual conduct directed at the child, and because many other nonsexual crimes involving children do not require registration under the Sex Offender Registration Act.

(*Hernandez v Robles,* 7 NY3d 338; *Cleburne v Cleburne Living Center, Inc.,* 473 US 432; *People v David W.,* 95 NY2d 130; *Doe v Pataki,* 120 F3d 1263; *People v Stevens,* 91 NY2d 270; *People v Walker,* 81 NY2d 661.)

Robert T. Johnson, District Attorney, Bronx (*Noah J. Chamoy, Joseph N. Ferdenzi* and *Rafael Curbelo* of counsel), for respondent in the third above-entitled action. The State of New York could rationally require Francis Jackson to register under the Sex Offender Registration Act for his attempted kidnapping of a child not his own, where he abducted the child in order to force the child's mother to engage in sexual intercourse with others for his personal financial gain. (*People v Stevens,* 91 NY2d 270; *Doe v Pataki,* 120 F3d 1263, 522 US 1122; *People v Cintron,* 13 Misc 3d 833; *People v Taylor,* 42 AD3d 13, 9 NY3d 887; *New York v Ferber,* 458 US 747; *Montgomery v Daniels,* 38 NY2d 41; *Dalton v Pataki,* 5 NY3d 243, 546 US 1032; *LaValle v Hayden,* 98 NY2d 155; *People v David W.,* 95 NY2d 130; *Immediato v Rye Neck School Dist.,* 73 F3d 454.)

OPINION OF THE COURT

SMITH, J.

Defendants in these three cases committed, or attempted to commit, kidnapping and unlawful imprisonment. Their victims were children, and defendants were not their victims' parents. We hold that the State did not violate defendants' constitutional rights by compelling them to register as "sex offenders," even though there was no proof that their crimes involved any sexual act or sexual motive.

I

Judy Knox approached a group of children in a park, grabbed the arm of an eight-year-old girl and tried to pull her away; her motive, as far as it can be inferred from the record, was to replace one of her own children, of whom she had lost custody. Knox pleaded guilty to attempted kidnapping.

Eliezer Cintron became angry when his girlfriend asked him to leave her apartment, and locked the girlfriend in that apartment, with her one- and two-year-old children, for several days. Cintron was convicted, among other things, of the unlawful imprisonment of each of the children.

Francis Jackson was the employer of a prostitute who tried to quit her job; he reacted by abducting the woman's son and telling her he would kill the child if she did not continue to work for him. Jackson pleaded guilty to attempted kidnapping.

Supreme Court required all three defendants to register under the Sex Offender Registration Act (SORA) (Correction Law § 168 *et seq.*), despite their protests that they were not sex offenders as that term is commonly understood, and so could not constitutionally be subjected to sex offender registration. The Appellate Division affirmed Supreme Court's orders (*People v Knox*, 45 AD3d 274 [2007]; *People v Cintron*, 46 AD3d 353 [2007]; *People v Jackson*, 46 AD3d 324 [2007]). Defendants appeal to us as of right, pursuant to CPLR 5601 (b) (1), and we now affirm.

II

SORA defines "sex offender" to include "any person who is convicted of" any of a number of crimes listed in the statute (Correction Law § 168-a [1]). Among the listed crimes are unlawful imprisonment (Penal Law §§ 135.05, 135.10) and kidnapping (Penal Law §§ 135.20, 135.25), "provided the victim of such . . . offense is less than seventeen years old and the offender is not the parent of the victim" (Correction Law § 168-a [2] [a] [i]). It is not disputed that these three defendants are within the definition of "sex offender" as the statute is written.

SORA requires all people included in this definition to register as sex offenders with the Division of Criminal Justice Services. Among the consequences of registration are: the registrant's name, address, photograph and fingerprints remain on file with the Division (Correction Law § 168-b [1]); the registrant must verify his address annually to the Division, and must appear periodically at a law enforcement agency to provide a current photograph (Correction Law § 168-f [2]); local law enforcement agencies are notified when a registrant moves into their jurisdiction (Correction Law § 168-j); and any caller inquiring about a named individual will be told if that person is a registered sex offender (Correction Law § 168-p). In addition, registrants found to be at "moderate" or "high" risk of reoffending are listed in a directory available on the Internet, containing, among other information, their photographs, addresses, places of employment, and the nature of their crimes (Correction Law § 168-*l* [6]; § 168-q).

Defendants claim that their rights to due process of law and equal protection of the laws under the federal and state constitutions (US Const Amend XIV; NY Const, art I, §§ 6, 11) are violated by requiring them to register under SORA, because the crimes underlying their registration involve no actual, intended or threatened sexual misconduct. The People acknowledge that there is no evidence of sexual misconduct in any of these cases; they say that the possibility of a sexual motive, or threatened sexual misconduct, cannot be ruled out. But even on the contrary assumption—on the assumption that there was no actual or potential sexual aspect in any of these crimes—we hold that defendants' constitutional rights have not been violated. We find their equal protection claims to be obviously lacking in merit, and we analyze only the due process issues.

Defendants' principal claim is, in essence, that the State has denied them substantive due process by officially attaching to them a label that is false or misleading. Defendants do not dispute that they have committed crimes which warrant finding them a danger to the public, and specifically to children; nor do they dispute that the State could constitutionally require them to register, to keep law enforcement authorities aware of their locations, to be identified to the public as dangerous, and to suffer the other statutory consequences of sex offender registration, apart from the name ''sex offender.'' Defendants assert that registrants under SORA are sometimes subjected to parole or other conditions that are inappropriate for those guilty of no sexual misconduct; for example, they say that some registrants are required to undergo therapy for psychosexual disorders. But the statute itself does not impose such requirements, and defendants do not complain of any parole conditions that were actually imposed on them. Their complaint is with the name under which they are registered. If the State required them to register, for example, as ''child predators,'' they would concededly have no constitutional complaint.

[1] Thus, the interest defendants assert is in not having their admittedly serious crimes mischaracterized in a way that is arguably even more stigmatizing, or more frightening to the community, than a correct designation would be. We do not hold this interest to be constitutionally insignificant. On the contrary, we assume that defendants have a constitutionally-protected liberty interest, applicable in a substantive due process context, in not being required to register under an incorrect label (*see Paul v Davis*, 424 US 693, 701-710, 710 n 5 [1976] [in a procedural due process case, government-imposed stigma may be an infringement of liberty when more tangible interests are also affected]; *Branch v Collier*, 2004 WL 942194, *5-6, 2004 US Dist LEXIS 12386, *18-25 [ND Tex 2004] [in a procedural due process case, liberty interest in not being included in sex offender database]; *Wedges/Ledges of Cal., Inc. v City of Phoenix, Ariz.*, 24 F3d 56, 62 [9th Cir 1994] [showing of protected liberty or property interest required in both substantive and procedural due process cases]).

But while defendants may be asserting a liberty interest, we conclude that they are not asserting a ''fundamental right,'' as due process cases use that term (*see Immediato v Rye Neck School Dist.*, 73 F3d 454, 463 [2d Cir 1996] [a fundamental right is not ''implicated every time a governmental regulation intrudes on an individual's 'liberty' '']). All infringements of liberty by the State must be tested under the due process clause, but where no fundamental right is infringed legislation is valid if it is rationally related to legitimate government interests (*Washington v Glucksberg*, 521 US 702, 728 [1997]; *Hope v Perales*, 83 NY2d 563, 577 [1994]). Fundamental rights are those ''deeply rooted in this Nation's history and tradition'' (*Glucksberg*, 521 US at 721, quoting *Moore v East Cleveland*, 431 US 494, 503 [1977, plurality op]). They include the right to marry (*Loving v Virginia*, 388 US 1 [1967]); the right to have children (*Skinner v Oklahoma ex rel. Williamson*, 316 US 535 [1942]); the right to decide how one's children will be educated (*Meyer v Nebraska*, 262 US 390 [1923]); and the right to engage in private consensual sexual activity (*Lawrence v Texas*, 539 US 558 [2003]). The right not to have a misleading label attached to one's serious crime is not fundamental in this sense, and we therefore apply the rational basis test to defendants' claims.

The governmental interest advanced by SORA is, of course, the protection of the community against people who have shown themselves capable of committing sex crimes. The particular provisions of SORA at issue here were obviously designed to protect children from such crimes. We find the challenged legislation rationally related to this legitimate governmental interest.

SORA was enacted in 1995, the year after the enactment of a federal statute, the Jacob Wetterling Act (42 USC § 14071),* which conditioned certain federal funding on states' enactment of legislation requiring the registration of sexually violent offenders and people who committed crimes against children. The Legislature sought, in enacting SORA, to comply with the Jacob

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* The Jacob Wetterling Act will be superseded, effective July 1, 2009, by the Adam Walsh Child Protection and Safety Act of 2006 (42 USC § 16901 *et seq.*). The differences between the two federal statutes are not relevant to this case.

Wetterling Act (Sponsor's Mem, Bill Jacket, L 1995, ch 192, at 6), and in including the kidnapping and unlawful imprisonment of children by nonparents among the crimes requiring registration, SORA followed the federal statute's requirements (*see* 42 USC § 14071 [a] [1] [A]; [3] [A]). As defendants point out, however, the Jacob Wetterling Act does not require attaching the label ''sex offender'' to the perpetrators of these crimes. That was the New York Legislature's choice.

In making this choice, the Legislature could rationally have relied on the fact that a great many cases of kidnapping or unlawful imprisonment of children are indeed sex offenses. A study published in 1990 concluded that ''about two-thirds or so of the Non-Family Abductions involved sexual assaults'' (David Finkelhor et al., *Missing, Abducted, Runaway, and Thrownaway Children in America*, at 142 [May 1990]). A more recent study found the frequency to be lower, but still quite high: in 46% of the nonfamily abductions studied, the perpetrator had sexually assaulted the child (David Finkelhor et al., US Department of Justice, National Incidence Studies of Missing, Abducted, Runaway, and Thrownaway Children, *Nonfamily Abducted Children: National Estimates and Characteristics*, at 10 [Oct. 2002]).

These statistics refer to what the reports' authors identified as actual sexual assaults. But the Legislature could rationally have found that the statistics understate the problem. It could have found that sexual assault occurs in many cases where there is no direct evidence of it—in cases where the victim is killed, or remains missing, or is unable or unwilling to recount his or her ordeal. Indeed, in the case Congress chose as a prototype—the kidnapping of 11-year-old Jacob Wetterling—there is, as one of the Supreme Court opinions now before us points out (*People v Cintron*, 13 Misc 3d 833, 851 [2006]), no evidence of sexual assault; the perpetrator simply disappeared with Jacob, and neither has ever been found. The Legislature could also have found that, in many cases, the offender intends a sexual assault that is prevented only by the offender's arrest or the escape of the victim. And the Legislature could have found that a child cut off from the safety of everyday surroundings is vulnerable to sexual abuse even if the offender's sexual desires are not the motive of the crime. A kidnapper may plan to prostitute a child, or may seize an unplanned-for opportunity to do so.

In short, the Legislature had a rational basis for concluding that, in the large majority of cases where people kidnap or unlawfully imprison other people's children, the children either are sexually assaulted or are in danger of sexual assault. In light of this, it was plainly rational for the Legislature to provide that, as a general rule, people guilty of such crimes should be classified as "sex offenders." We therefore reject as without merit the contention—made by Knox, but not the other two defendants in these cases—that the classification is unconstitutional on its face. The more substantial question is whether it is unconstitutional to apply the definition to the minority of cases—perhaps a small minority, but one in which we assume the present cases are included—in which there was neither a sexual assault nor any discernible risk of one. The Legislature might well have made such cases an exception to the requirement that the convicted people register as sex offenders, but we conclude that it acted rationally in not doing so.

The rational basis test is not a demanding one. We have repeatedly quoted the United States Supreme Court's description of it as "a paradigm of judicial restraint" (*FCC v Beach Communications, Inc.*, 508 US 307, 314 [1993]; *see Affronti v Crosson*, 95 NY2d 713, 719 [2001]; *Port Jefferson Health Care Facility v Wing*, 94 NY2d 284, 290 [1999]). There is a strong presumption that legislative enactments are constitutional (*see Montgomery v Daniels*, 38 NY2d 41, 54 [1975]), and a party contending otherwise bears the heavy burden of showing that a statute is "so unrelated to the achievement of any combination of legitimate purposes" as to be irrational (*Affronti*, 95 NY2d at 719, quoting *Kimel v Florida Bd. of Regents*, 528 US 62, 84 [2000]).

Defendants here cannot carry that burden. In deciding not to exclude defendants and others similarly situated from the category of "sex offenders," the Legislature could have considered not only that cases where the term is unmerited are few, but also that the process of separating those cases from the majority in which it is justified is difficult, cumbersome and prone to error. It could rationally have found that the administrative burden, and the risk that some dangerous sex offenders would escape registration, justified a hard and fast rule, with no exceptions. Considering that no fundamental right is at stake—defendants are suffering no worse injustice than being called "sex offenders" instead of "child predators"—the Legislature could constitutionally provide that all those convicted of kidnapping or unlawfully imprisoning children not their own, or of attempting to commit those crimes, be conclusively deemed sex offenders.

In so deciding, we agree with the Illinois Supreme Court, which upheld in *People v Johnson* (225 Ill 2d 573, 870 NE2d 415 [2007]) an Illinois statute similar to SORA. *Johnson* contains a valuable analysis of the issue and review of the relevant authorities; it also contains the observation—with which we agree—that the opinion of Supreme Court in the *Cintron* and *Jackson* cases now before us is ''particularly well reasoned'' (225 Ill 2d at 588-589, 870 NE2d at 424). We have also considered, and respectfully disagree with, decisions in several other states reaching a contrary conclusion (*State v Robinson*, 873 So 2d 1205 [Fla 2004]; *American Civ. Liberties Union of N.M. v City of Albuquerque*, 139 NM 761, 772, 137 P3d 1215, 1226 [2006]; *State v Reine*, 2003 WL 77174, 2003 Ohio App LEXIS 52 [2003], *cause dismissed* 99 Ohio St 3d 1549, 795 NE2d 686 [2003]).

III

[2] In the *Cintron* case, another issue must be decided. While Knox and Jackson were adjudicated level one (low risk) sex offenders, Cintron was found to be level three (high risk). He acknowledges that the designation is supported by a numerical calculation made in accordance with guidelines promulgated by the Board of Examiners of Sex Offenders (*see People v Johnson*, 11 NY3d 416 [2008]), but argues that the courts below abused their discretion in not departing from the guideline level, since the crimes that gave rise to the adjudication did not involve sex. We find no abuse of discretion.

Cintron has a long record of violent conduct, including sexual violence. Before the offenses involved in the present case (which occurred in 1987 and for which Cintron was incarcerated until 2006), he had been convicted of reckless endangerment for setting fire to a former girlfriend's house; attempted first degree assault, for attacking with a bottle someone who intervened in a fight between him and his girlfriend; and sexual misconduct, in a case where he had been charged with forcing a 16-year-old girl to have intercourse. A case summary prepared by the Board of Examiners of Sex Offenders reports that in 2000, while Cintron was incarcerated, ''he was the subject of a serious Tier III Sex Offense.'' It is, no doubt, ironic that the crimes leading to Cintron's registration apparently had no sexual element, but we cannot say on this record that it was an abuse of discretion to conclude that there is a high risk he will commit a sex crime in the future.

IV

Accordingly, the orders of the Appellate Division should be affirmed, without costs.

Judges CIPARICK, GRAFFEO, READ, PIGOTT and JONES concur; Chief Judge LIPPMAN taking no part.

In each case: Order affirmed, without costs.

[903 NE2d 1163, 875 NYS2d 842]

In the Matter of COUNTY OF ERIE et al., Appellants, v STATE OF NEW YORK PUBLIC EMPLOYMENT RELATIONS BOARD et al., Respondents.

Argued January 13, 2009; decided February 19, 2009

SUMMARY

APPEAL, by permission of the Court of Appeals, from a judgment of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered September 28, 2007, in a proceeding pursuant to CPLR article 78 (transferred to the Appellate Division by order of the Supreme Court, Erie County). The Appellate Division (1) confirmed a determination of respondent State of New York Public Employment Relations Board (PERB), which had, among other things, affirmed a decision of an Administrative Law Judge finding that petitioners County of Erie and Erie County Sheriff violated Civil Service Law § 209-a (1) (d); (2) dismissed the petition; and (3) granted the counterclaims for enforcement of PERB's determination.

Matter of County of Erie v State of N.Y. Pub. Empl. Relations Bd., 43 AD3d 1311, reversed.

HEADNOTE

Civil Service — Public Employees' Fair Employment Act — Refusal to Negotiate in Good Faith

No improper practice occurred when petitioner Sheriff promulgated a single classification instrument that resulted in the commingling of sentenced with unsentenced inmates at a correctional facility, and correction officers exclusively charged with guarding sentenced inmates and deputy sheriffs exclusively charged with guarding unsentenced inmates housed at an adjoining space were assigned to guard commingled inmates. A public employer's decisions are not bargainable as terms and conditions of employment where they are inherently and fundamentally policy decisions relating to the primary mission of the employer. Given the requirement of Correction Law § 500-b that the Sheriff implement and maintain a formal and objective system of classification of inmates, the determination of the Public Employment Relations Board that petitioners committed an improper practice in violation of Civil Service Law § 209-a (1) (d) by unilaterally transferring exclusive bargaining unit work to nonunit employees was not entitled to deference. However, having implemented such a system, the impact of that decision, if any, upon the contracts between the parties was subject to bargaining.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Labor and Labor Relations §§ 2258–2260, 2271;

AM JUR 2d, Penal and Correctional Institutions § 23; AM JUR 2d, Sheriffs, Police, and Constables §§ 30, 31.

MCKINNEY'S, Civil Service Law § 209–a (1) (d); Correction Law § 500–b.

NY JUR 2d, Civil Servants and Other Public Officers and Employees §§ 446, 451, 453, 458; NY JUR 2d, Penal and Correctional Institutions §§ 76, 100, 101.

ANNOTATION REFERENCE

See ALR Index under Collective Bargaining; Police and Law Enforcement Officers; Prison Guards or Officials.

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POINTS OF COUNSEL

Jaeckle Fleischmann & Mugel, LLP, Buffalo (*Sean P. Beiter* and *Elizabeth Fox-Solomon* of counsel), for appellants. I. The Correction Law preempts a public employer's duty to bargain regarding the classification and assignment of inmates to housing in local correctional facilities. (*Matter of Union Free School Dist. No. 2 of Town of Cheektowaga v Nyquist,* 38 NY2d 137; *Matter of Schenectady Police Benevolent Assn. v New York State Pub. Empl. Relations Bd.,* 85 NY2d 480; *Matter of Cohoes City School Dist. v Cohoes Teachers Assn.,* 40 NY2d 774; *Matter of Patrolmen's Benevolent Assn. of City of N.Y., Inc. v New York State Pub. Empl. Relations Bd.,* 6 NY3d 563; *Matter of Board of Educ. of City School Dist. of City of N.Y. v New York State Pub. Empl. Relations Bd.,* 75 NY2d 660; *Matter of Newark Val. Cent. School Dist. v Public Empl. Relations Bd.,* 83 NY2d 315; *Matter of Johnson v Joy,* 48 NY2d 689; *Matter of Howard v Wyman,* 28 NY2d 434.) II. The classification and assignment of inmates to housing is committed to the sole discretion of the Erie County Sheriff and is not a mandatory subject of bargaining. (*Matter of City of Watertown v State of N.Y. Pub. Empl. Relations Bd.,* 95 NY2d 73; *Matter of Board of Educ. of City School Dist. of City of N.Y. v New York State Pub. Empl. Relations Bd.,* 75 NY2d 660; *Matter of Webster Cent. School Dist. v Public Empl. Relations Bd. of State of N.Y.,* 75 NY2d 619.) III. The Erie County Sheriff's decision to implement a new inmate classification system pursuant to directives of the State Commission of Correction is a fundamental policy decision over which the Sheriff is not required to bargain. (*Matter of Board of Educ. of City School*

Dist. of City of N.Y. v New York State Pub. Empl. Relations Bd., 75 NY2d 660; *Matter of West Irondequoit Teachers Assn. v Helsby,* 35 NY2d 46; *Matter of Lippman v Public Empl. Relations Bd.,* 296 AD2d 199, 99 NY2d 503.)

David P. Quinn, Albany, for State of New York Public Employment Relations Board and another, respondents. I. Appellants misstate the effect of the Public Employment Relations Board's decision and order, and misapprehend their bargaining obligations under the Taylor Law. II. The Public Employment Relations Board's determination was not affected by an error of law, arbitrary, capricious or an abuse of discretion. (*Matter of Incorporated Vil. of Lynbrook v New York State Pub. Empl. Relations Bd.,* 48 NY2d 398; *Matter of Board of Educ. of City School Dist. of City of N.Y. v New York State Pub. Empl. Relations Bd.,* 75 NY2d 660; *Matter of West Irondequoit Teachers Assn. v Helsby,* 35 NY2d 46; *Matter of Patrolmen's Benevolent Assn. of City of N.Y., Inc. v New York State Pub. Empl. Relations Bd.,* 6 NY3d 563; *Board of Educ. for City School Dist. of City of Buffalo v Buffalo Teachers Fedn.,* 89 NY2d 370; *Association of Surrogates & Supreme Ct. Reporters within City of N.Y. v State of New York,* 78 NY2d 143; *Matter of Cohoes City School Dist. v Cohoes Teachers Assn.,* 40 NY2d 774; *Matter of City of Watertown v State of N.Y. Pub. Empl. Relations Bd.,* 95 NY2d 73; *Matter of Newark Val. Cent. School Dist. v Public Empl. Relations Bd.,* 83 NY2d 315; *Matter of Schenectady Police Benevolent Assn. v New York State Pub. Empl. Relations Bd.,* 85 NY2d 480.) III. The Appellate Division properly ordered the Public Employment Relations Board's remedial order enforced. (*Matter of New York City Tr. Auth. [New York State Pub. Empl. Relations Bd.],* 154 AD2d 680; *Matter of State of N.Y. Dept. of Correctional Servs. v Kinsella,* 220 AD2d 19.)

Ellen M. Mitchell, Albany, and *Nancy E. Hoffman* for Civil Service Employees Association, Inc., Local 1000, AFSCME, AFL-CIO, Erie County Unit of Local 815, and another, respondents. I. The Public Employment Relations Board's order should be granted deference and confirmed as no conflict between statutes exists. (*Matter of Incorporated Vil. of Lynbrook v New York State Pub. Empl. Relations Bd.,* 48 NY2d 398; *Matter of Board of Educ. of City School Dist. of City of N.Y. v New York State Pub. Empl. Relations Bd.,* 75 NY2d 660; *Matter of Schenectady Police Benevolent Assn. v New York State Pub. Empl. Relations Bd.,* 85 NY2d 480.) II. The Correction Law does not preempt the Civil Service Law mandate to negotiate the transfer of union bargaining unit work as the Correction Law is silent as to the guarding of prisoners. (*Matter of City of Watertown v State of N.Y. Pub. Empl. Relations Bd.,* 95 NY2d 73; *Matter of Board of Educ. of City School Dist. of City of N.Y. v New York State Pub. Empl. Relations Bd.,* 75 NY2d 660; *Matter of Union Free School Dist. No. 2 of Town of Cheektowaga v Nyquist,* 38 NY2d 137; *Matter of Patrolmen's Benevolent Assn. of City of N.Y., Inc. v New York State Pub. Empl. Relations Bd.,* 6 NY3d 563; *Matter of Cohoes City School Dist. v Cohoes Teachers Assn.,* 40 NY2d 774.)

Reden & O'Donnell, LLP, Buffalo (*Robert J. Reden* and *Terry M. Sugrue* of counsel), for Teamsters Local 264 of International Brotherhood of Teamsters, Warehousemen, and Chauffeurs, and another, respondents. I. The Public Employment Relations Board has the authority to find Taylor Law violations and grant appropriate remedies. (*Matter of Incorporated Vil. of Lynbrook v New York State Pub. Empl. Relations Bd.,* 48 NY2d 398; *Matter of Hewlett-Woodmere Union Free School Dist. v New York State Pub. Empl. Relations Bd.,* 232 AD2d 560; *Matter of Saratoga Springs City School Dist. [New York State Pub. Empl. Relations Bd.],* 68 AD2d 202, 47 NY2d 711; *Matter of New York City Tr. Auth. v New York State Pub. Empl. Relations Bd.,* 251 AD2d 583, 92 NY2d 819.) II. The standard of review of a Public Employment Relations Board (PERB) decision is very limited; PERB's construction of the Taylor Law must be confirmed unless irrational. (*Matter of Board of Educ. of City School Dist. of City of N.Y. v New York State Pub. Empl. Relations Bd.,* 75 NY2d 660; *Matter of Incorporated Vil. of Lynbrook v New York State Pub. Empl. Relations Bd.,* 48 NY2d 398; *Board of Educ. for City School Dist. of City of Buffalo v Buffalo Teachers Fedn.,* 89 NY2d 370; *Association of Surrogates & Supreme Ct. Reporters within City of N.Y. v State of New York,* 78 NY2d 143; *Matter of Cohoes City School Dist. v Cohoes Teachers Assn.,* 40 NY2d 774; *Matter of City of Watertown v State of N.Y. Pub. Empl. Relations Bd.,* 95 NY2d 73.) III. The Public Employment Relations Board's order imposes no duty other than the statutory duty to bargain a decision to subcontract exclusive bargaining unit work. (*Matter of Hearst Corp. v Clyne,* 50 NY2d 707.) IV. The Correction Law does not preempt negotiations regarding the transfer of exclusive bargaining unit work. (*Matter of Newark Val. Cent. School Dist. v Public Empl. Relations Bd.,* 83 NY2d 315.) V. Public policy underlying the Correction Law does not preclude negotiations regarding the transfer of exclusive bargaining unit work. (*Matter of Patrolmen's Benevolent Assn. of City of N.Y., Inc. v New York State Pub. Empl. Relations Bd.,* 6 NY3d 563;

Matter of Cohoes City School Dist. v Cohoes Teachers Assn., 40 NY2d 774.) VI. Whether the classification and assignment of inmates is a mandatory subject of negotiations is immaterial to the Public Employment Relations Board's decision and order. VII. The decision to transfer guarding responsibilities does not constitute a fundamental policy decision implementing the Erie County Sheriff's mission to classify and house inmates. (*Matter of West Irondequoit Teachers Assn. v Helsby,* 35 NY2d 46; *Matter of Civil Serv. Empls. Assn., Local 1000, AFSCME, AFL-CIO, Orange County Local 836, City of Newburgh Unit v New York State Pub. Empl. Relations Bd.,* 273 AD2d 626; *Matter of State of N.Y. Dept. of Correctional Servs. v Kinsella,* 220 AD2d 19.)

OPINION OF THE COURT

PIGOTT, J.

Respondents Civil Service Employees Association, Inc., Local 1000, AFSCME, AFL-CIO, Erie County Unit of Local 815 (CSEA) and Teamsters Local 264 of International Brotherhood of Teamsters, Warehousemen, and Chauffeurs (Teamsters) filed improper practice charges against petitioners County of Erie and Erie County Sheriff for allegedly transferring exclusive bargaining unit work to nonunit employees in violation of Civil Service Law § 209-a (1) (d), which provides that "[i]t shall be an improper practice for a public employer or its agents deliberately . . . to refuse to negotiate in good faith with the duly recognized or certified representatives of its public employees."

Petitioners argue on this appeal that the Appellate Division's confirmation of the determination made by the New York State Public Employment Relations Board (PERB) that petitioners committed an improper employment practice should be reversed. We agree.

I.

CSEA is the authorized collective bargaining representative for correction officers exclusively charged with guarding sentenced inmates incarcerated at the Erie County Correctional Facility. Teamsters is the authorized collective bargaining representative of deputy sheriffs who are exclusively charged with guarding presentenced and pretrial detainees (collectively referred to as unsentenced inmates) housed at the Erie County Holding Center and the "Annex," a space adjoining the Correctional Facility which holds the overflow of inmates from the Holding Center. Petitioners do not dispute that correction officers and deputy sheriffs have exclusively guarded sentenced and unsentenced inmates, respectively, since 1995.

In August 2000, the Erie County Legislature voted to transfer control of the Correctional Facility from the Erie County Executive to the Erie County Sheriff, a measure county residents approved in a referendum, leaving the Sheriff in control of both detention facilities. The guarding duties of correction officers and deputy sheriffs remained unchanged.

In early 2002, the Sheriff notified the unions that, due to this change in mission, it was necessary to implement a new classification system for the housing of inmates. The Sheriff initially prepared a unified classification plan that assigned housing based on risk without consideration of adjudication status, resulting in the commingling of sentenced and unsentenced inmates, but later withdrew that plan after resistance from the unions. In its place, the Sheriff implemented separate classification systems for the Correctional Facility and the Holding Center in order to maintain the separation of sentenced and unsentenced inmates.

Subsequently, the State Commission of Correction conducted an evaluation of the Holding Center and cited the Sheriff for overcrowding at that facility while the Correctional Facility had vacancies. The Commission found that the cause of the overcrowding was the Sheriff's failure to use a unified classification system for both facilities. In order to alleviate the overcrowding, the Commission directed the Sheriff to utilize the criteria set forth in Correction Law § 500-b (7) (a) and (b) and 9 NYCRR part 7013. In response, the Sheriff promulgated a single classification instrument that resulted in the commingling of sentenced with unsentenced inmates at both facilities, and correction officers and deputy sheriffs being assigned to guard both.

The unions thereafter filed improper practice charges alleging that petitioners violated Civil Service Law § 209-a (1) (d) by unilaterally transferring exclusive bargaining unit work to nonunit employees. The charges were consolidated and, after a hearing, an Administrative Law Judge ruled in favor of the unions and ordered that petitioners cease and desist in the assignment of sentenced inmates to the deputy sheriffs and the assignment of unsentenced inmates to correction officers. After the ALJ's decision was affirmed by PERB, petitioners commenced this CPLR article 78 proceeding, challenging as arbitrary and capricious PERB's determination that their change in mission defense was inapplicable.

Supreme Court transferred the matter to the Appellate Division which confirmed PERB's determination, dismissed the petition and granted the unions' counterclaims seeking enforcement of the decision (43 AD3d 1311 [2007], *lv granted* 10 NY3d 708 [2008]). We now reverse and grant the petition.

II.

A public employer's decisions are not bargainable as terms and conditions of employment where ''they are inherently and fundamentally policy decisions relating to the primary mission of the . . . employer'' (*Matter of Board of Educ. of City School Dist. of City of N.Y. v New York State Pub. Empl. Relations Bd.*, 75 NY2d 660, 669 [1990], citing *Matter of West Irondequoit Teachers Assn. v Helsby*, 35 NY2d 46 [1974]). Although such policy decisions are exempt from bargaining, the *impact* of those decisions is not (*see West Irondequoit Teachers Assn.*, 35 NY2d at 51; *see also Matter of Levitt v Board of Collective Bargaining of City of N.Y., Off. of Collective Bargaining*, 79 NY2d 120, 127 [1992]).

In *West Irondequoit Teachers Assn.* (35 NY2d 46 [1974]), this court upheld a PERB determination that found the fixing of class size not to be a term or condition of employment (and therefore not negotiable), but rather a matter of educational policy. That fact alone, however, did not preclude the teachers' association from bargaining over the impact of the policy on the teachers' working conditions (*id.* at 49-50). Although we concluded in that case that PERB ''articulated a rational basis for its determination in the [school board's] favor'' (*id.* at 52), the same cannot be said, in this instance, about PERB's determination that the Sheriff was required to first negotiate with the unions before implementing a classification policy satisfactory to the Commission.

Correction Law § 500-b directs that the Sheriff ''shall exercise good judgment and discretion'' and ''take all reasonable steps to ensure that the assignment of persons'' to housing units ''fosters the safety, security and good order of the jail'' while concomitantly ensuring that necessary precautions are made for the safety and welfare of those in custody (Correction Law § 500-b [7] [a] [1]-[2]; *see* 9 NYCRR 7013.1, 7013.2). As part of those responsibilities, the Sheriff is charged with ''implement-[ing] and maintain[ing] a formal and objective system for the consistent classification of all inmates'' (9 NYCRR 7013.1), requiring ''a procedure for determining an inmate's appropriate housing assignment which utilizes a point scale, decision tree or other method capable of quantifiable analysis or computation'' (9 NYCRR 7013.2 [b]). Factors that the Sheriff must consider include, among other things, criminal history, prior escapes, mental/medical illness, history of hostile relationships with other inmates, and any other information the Sheriff deems necessary to ensure inmate safety (*see* Correction Law § 500-b [7] [b]; 9 NYCRR 7013.8 [c]). Significantly, none of those factors takes into account the adjudication status of the inmate or the allocation of work among collective bargaining units.

Given the statutory requirement that the Sheriff implement and maintain a formal and objective classification system, we conclude that PERB's determination that petitioners committed an improper practice by unilaterally transferring unit work to nonunit employees is not entitled to deference (*see Matter of Newark Val. Cent. School Dist. v Public Empl. Relations Bd.*, 83 NY2d 315, 320 [1994], citing *Matter of Rosen v Public Empl. Relations Bd.*, 72 NY2d 42, 47-48 [1988]). Once having implemented such a system, the impact of that decision, if any, upon the contracts between the parties is subject to bargaining (*see Matter of City School Dist. of City of New Rochelle [New Rochelle Fedn. of Teachers, Local #280, AFT, AFL-CIO]*, 4 PERB ¶ 3060 [1971]; *see also West Irondequoit Teachers Assn.*, 35 NY2d at 49-50; *Matter of Amalgamated Tr. Union, Local 1342 [Niagara Frontier Tr. Metro Sys., Inc.]*, 36 PERB ¶ 3036 [2003]).

Accordingly, the judgment of the Appellate Division should be reversed, with costs, the petition granted, the August 9, 2006 determination of PERB annulled and the counterclaims for enforcement of PERB's determination dismissed.

Judges CIPARICK, GRAFFEO, READ, SMITH and JONES concur; Chief Judge LIPPMAN taking no part.

Judgment reversed, etc.

[903 NE2d 1167, 875 NYS2d 846]

PAULA FASSO et al., Respondents, and INDEPENDENT HEALTH ASSOCIATION, INC., Intervenor-Appellant, v RALPH J. DOERR, M.D., Respondent.

Argued January 15, 2009; decided February 24, 2009

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered December 21, 2007. The Appellate Division affirmed an order and judgment (one paper) of the Supreme Court, Erie County (Rose H. Sconiers, J.), which had denied the motion of the intervenor for a mistrial, approved the settlement of plaintiffs' claims against defendant in the sum of $900,000 and dismissed the complaint in intervention.

Fasso v Doerr, 46 AD3d 1358, reversed.

HEADNOTES

Insurance — Subrogation Rights of Insurer — Settlement Extinguishing Insurer's Subrogation Rights Impermissible without Subrogee's Consent

1. When a person suffers personal injuries because of the wrongdoing of another and the injured party's health insurer pays for medical treatment, the cause of action for equitable subrogation that accrues to the health insurer allowing the insurer to seek recoupment of its expenditures cannot be discontinued by a settlement between the injured party and the tortfeasor that extinguishes the insurer's subrogation rights, absent the subrogee's consent. Thus, in a medical malpractice action, the ''made whole'' doctrine, pursuant to which an insurer may seek subrogation against only those funds and assets that remain after the insured has been compensated, did not present an obstacle to the insurer's right to seek recoupment from the tortfeasor where the settlement between plaintiff and defendant doctor left a potential source of recovery in the form of remaining insurance coverage. Nor did the made whole rule mandate dismissal of the insurer's equitable subrogation claim merely because plaintiffs decided to accept a settlement figure that did not completely compensate them for the full extent of their damages. Once an insurer has paid a claim and the tortfeasor knows or should have known that a right to subrogation exists, the wrongdoer and the insured cannot agree to terminate the insurer's claim without its consent and such an agreement cannot be asserted as a defense to the insurer's cause of action. Accordingly, the provision of the settlement between plaintiffs and defendant that purported to bar the insurer's equitable subrogation claim could not be enforced.

Parties — Intervention

2. Because participation by health insurers in settlement negotiations can create conflicts of interest with plaintiffs in tort cases, and inasmuch as New York courts have disagreed on the issue of whether it is permissible to grant intervention to health insurers of injured parties in such cases, the Legislature

may wish to reexamine the concept of permissible intervention under CPLR 1013 as it applies to personal injury actions involving a health insurer's claim of equitable subrogation.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Compromise and Settlement §§ 18, 37; AM JUR 2d, Insurance §§ 1768, 1772, 1785, 1788–1790; AM JUR 2d, Parties §§ 167–170, 175–178, 207.

CARMODY-WAIT 2d, Parties §§ 19:202, 19:228.

COUCH ON INSURANCE (3d ed) §§ 223:135, 223:158–223:160, 224:129.

NY JUR 2d, Compromise, Accord, and Release §§ 34, 42; NY JUR 2d, Insurance §§ 2173, 2176–2178; NY JUR 2d, Parties §§ 195–197, 212.

SIEGEL, NY PRAC §§ 178, 182.

ANNOTATION REFERENCE

Right of ''Blue Cross'' or ''Blue Shield,'' or similar hospital or medical service organization, to be subrogated to certificate holder's claims against tortfeasor. 73 ALR3d 1140.

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POINTS OF COUNSEL

McGee & Gelman, Buffalo (*Michael R. McGee* of counsel), for intervenor-appellant. I. A subrogor cannot control, cancel, destroy or otherwise prejudice an equitable subrogation claim of a subrogee. (*Ocean Acc. & Guar. Corp. v Hooker Electrochemical Co.,* 240 NY 37; *North Star Reins. Corp. v Continental Ins. Co.,* 82 NY2d 281; *ELRAC, Inc. v Ward,* 96 NY2d 58; *Federal Ins. Co. v Arthur Andersen & Co.,* 75 NY2d 366; *Sisson v Hassett,* 155 Misc 667; *Allstate Ins. Co. v Stein,* 1 NY3d 416; *Allstate Ins. Co. v Mazzola,* 175 F3d 255; *Humbach v Goldstein,* 229 AD2d 64; *Blue Cross & Blue Shield of N.J., Inc. v Philip Morris USA Inc.,* 3 NY3d 200.) II. Contrary to the public policy set forth by this Court, the Appellate Division's decision virtually eliminates equitable subrogation claims. (*North Star Reins. Corp. v Continental Ins. Co.,* 82 NY2d 281; *Ocean Acc. & Guar. Corp. v Hooker Electrochemical Co.,* 240 NY 37; *Winkelmann v Excelsior Ins. Co.,* 85 NY2d 577; *Teichman v Community Hosp. of W. Suf-*

folk, 87 NY2d 514; *Allstate Ins. Co. v Mazzola,* 175 F3d 255; *Primax Recoveries Inc. v Carey,* 247 F Supp 2d 337; *Blue Cross & Blue Shield of N.J., Inc. v Philip Morris, Inc.,* 113 F Supp 2d 345; *Allstate Ins. Co. v Stein,* 1 NY3d 416.) III. The make whole rule is a priority of recovery rule, not an element of an equitable subrogation cause of action. (*Winkelmann v Excelsior Ins. Co.,* 85 NY2d 577; *Harding v Onibokun,* 14 Misc 3d 790; *Ocean Acc. & Guar. Corp. v Hooker Electrochemical Co.,* 240 NY 37.) IV. Equitable subrogation does not prejudice the rights of the subrogor. (*Winkelmann v Excelsior Ins. Co.,* 85 NY2d 577.) V. A tortfeasor does not have standing to assert the make whole rule. (*Allstate Ins. Co. v Mazzola,* 175 F3d 255; *Federal Ins. Co. v Arthur Andersen & Co.,* 75 NY2d 366.) VI. The trial court's denial of Independent Health Association, Inc.'s motion for a mistrial was an abuse of discretion. VII. The IAS court did not have the authority to dismiss Independent Health Association, Inc.'s complaint sua sponte. (*Blunt v Northern Oneida County Landfill [NOCO]*, 145 AD2d 913; *Myung Chun v North Am. Mtge. Co.,* 285 AD2d 42; *Balogh v H.R.B. Caterers,* 88 AD2d 136; *Gibbs v Kinsey,* 120 AD2d 701; *Hoeffner v John F. Frank, Inc.,* 302 AD2d 428; *Fischer v Mead Johnson Labs.,* 41 AD2d 737; *Sena v Nationwide Mut. Fire Ins. Co.,* 198 AD2d 345; *Guggenheimer v Ginzburg,* 43 NY2d 268.)

Lipsitz Green Scime Cambria LLP, Buffalo (*John A. Collins* of counsel), for Paula Fasso and another, respondents. I. Independent Health Association, Inc.'s equitable subrogation claim is barred by the ''make whole rule,'' as applied in light of the insurer's obligation to do nothing that would prejudice Paula and Michael Fasso's substantial rights. (*Teichman v Community Hosp. of W. Suffolk,* 87 NY2d 514; *Winkelmann v Excelsior Ins. Co.,* 85 NY2d 577; *Ocean Acc. & Guar. Corp. v Hooker Electrochemical Co.,* 240 NY 37; *Oakes v Patel*, 23 AD3d 1023; *Kaczmarski v Suddaby,* 9 AD3d 847, 3 NY3d 738; *Omiatek v Marine Midland Bank, N.A.,* 9 AD3d 831, 3 NY3d 738; *ELRAC, Inc. v Ward,* 96 NY2d 58; *USF&G v Maggiore,* 299 AD2d 341; *Jefferson Ins. Co. of N.Y. v Travelers Indem. Co.,* 92 NY2d 363.) II. Given Independent Health Association, Inc.'s election to participate in this action as a passive intervenor, it was not entitled to a mistrial when plaintiffs settled their action. (*Matter of Bales,* 93 AD2d 861, 60 NY2d 554; *Matter of Sakow,* 21 AD3d 849, 7 NY3d 706; *Matter of Mott v Ransom,* 210 AD2d 929; *Town of Orangetown v Magee,* 88 NY2d 41; *Freidus v Eisenberg,* 71 NY2d 981; *T. W. Oil v Consolidated Edison Co. of N.Y.,* 57 NY2d 574; *Spodek v Lasser Stables,* 89 AD2d 892; *Pugliese v D'Estrada,* 259 AD2d 743; *Scarola v St. Vincent's Med. Ctr. of Richmond,* 154 AD2d 364; *Allstate Ins. Co. v Stein,* 1 NY3d 416.) III. The trial court properly dismissed Independent Health Association, Inc.'s complaint in intervention. (*Blunt v Northern Oneida County Landfill [NOCO],* 145 AD2d 913; *Balogh v H.R.B. Caterers,* 88 AD2d 136.) IV. The Court of Appeals should bar health carriers' intervention in their insureds' personal injury actions. (*Oakes v Patel,* 23 AD3d 1023; *Kaczmarski v Suddaby,* 9 AD3d 847, 3 NY3d 738; *Omiatek v Marine Midland Bank, N.A.,* 9 AD3d 831, 3 NY3d 738; *Humbach v Goldstein,* 229 AD2d 64, 91 NY2d 921; *Berry v St. Peter's Hosp. of City of Albany,* 250 AD2d 63; *Halloran v Don's 47 W. 44th St. Rest. Corp.,* 255 AD2d 206; *Marshall v 426-428 W. 46th St. Owners, Inc.,* 33 AD3d 444; *Winkelmann v Excelsior Ins. Co.,* 85 NY2d 577.)

Roach, Brown, McCarthy & Gruber, P.C., Buffalo (*Joseph V. McCarthy* and *Elizabeth G. Adymy* of counsel), for Ralph J. Doerr, M.D., respondent. I. The Fourth Department's order is consistent with the governing principles of law. (*Ocean Acc. & Guar. Corp. v Hooker Electrochemical Co.,* 240 NY 37; *Federal Ins. Co. v Arthur Andersen & Co.,* 75 NY2d 366; *ELRAC, Inc. v Ward,* 96 NY2d 58; *Allstate Ins. Co. v Stein,* 1 NY3d 416; *Winkelmann v Excelsior Ins. Co.,* 85 NY2d 577; *USF&G v Maggiore,* 299 AD2d 341; *Berry v St. Peter's Hosp. of City of Albany,* 250 AD2d 63; *Humbach v Goldstein,* 229 AD2d 64; *Omiatek v Marine Midland Bank, N.A.,* 9 AD3d 831.) II. Independent Health Association, Inc.'s interpretation of the "make whole" rule and its application to this case is unsupported and unavailing. (*Avraham v Allied Realty Corp.,* 8 AD3d 1079; *Killeen v Crosson,* 284 AD2d 926; *Matter of Van Wormer v Leversee,* 87 AD2d 942; *Federal Ins. Co. v Arthur Andersen & Co.,* 75 NY2d 366; *Winkelmann v Excelsior Ins. Co.,* 85 NY2d 577; *Blue Cross & Blue Shield of N.J., Inc. v Philip Morris USA Inc.,* 3 NY3d 200.) III. The dismissal of the intervenor's complaint was upon motion by Ralph Doerr, M.D. (*Gibbs v Kinsey,* 120 AD2d 701.)

Law Offices of Michael A. Haskel, Mineola (*Michael A. Haskel, Miranda W. Turner* and *Brandon W. Zlotnick* of counsel), for Medical Society of the State of New York, amicus curiae. I. The public interest will be adversely affected by any adoption of Independent Health Association, Inc.'s position. (*Humbach v Goldstein,* 229 AD2d 64, 91 NY2d 921; *Berry v St. Peter's Hosp. of City of Albany,* 250 AD2d 63; *Teichman v Community Hosp. of W. Suffolk,* 87 NY2d 514; *Oden v Chemung County Indus. Dev. Agency,* 87 NY2d 81; *Kaczmarski v Suddaby,* 9 AD3d 847; *En-*

right v Eli Lilly & Co., 77 NY2d 377; *Bryant v New York City Health & Hosps. Corp.,* 93 NY2d 592.) II. Independent Health Association, Inc.'s position is inequitable. (*Humbach v Goldstein,* 229 AD2d 64; *Kaczmarski v Suddaby,* 9 AD3d 847.) III. Independent Health Association, Inc.'s position violates the "make whole rule." (*Winkelmann v Excelsior Ins. Co.,* 85 NY2d 577; *Federal Ins. Co. v Arthur Andersen & Co.,* 75 NY2d 366; *Teichman v Community Hosp. of W. Suffolk,* 87 NY2d 514; *Ocean Acc. & Guar. Corp. v Hooker Electrochemical Co.,* 240 NY 37; *G. B. Seely's Son v Fulton-Edison,* 52 AD2d 575.) IV. Independent Health Association, Inc. should not have been permitted to intervene. (*Winkelmann v Excelsior Ins. Co.,* 85 NY2d 577; *Federal Ins. Co. v Arthur Andersen & Co.,* 75 NY2d 366; *Dombroski v Samaritan Hosp.,* 47 AD3d 80; *Kaczmarski v Suddaby,* 9 AD3d 847; *Allstate Ins. Co. v Stein,* 1 NY3d 416; *Teichman v Community Hosp. of W. Suffolk,* 87 NY2d 514.)

Greenberg Traurig, LLP, Albany (*Harold N. Iselin* and *Stephen M. Buhr* of counsel), for New York Health Plan Association, Inc., amicus curiae. I. This Court should reverse the decision of the court below. (*Federal Ins. Co. v Arthur Andersen & Co.,* 75 NY2d 366; *ELRAC, Inc. v Ward,* 96 NY2d 58; *Pennsylvania Gen. Ins. Co. v Austin Powder Co.,* 68 NY2d 465; *Ocean Acc. & Guar. Corp. v Hooker Electrochemical Co.,* 240 NY 37; *Teichman v Community Hosp. of W. Suffolk,* 87 NY2d 514; *Blue Cross & Blue Shield of N.J., Inc. v Philip Morris, Inc.,* 113 F Supp 2d 345; *Winkelmann v Excelsior Ins. Co.,* 85 NY2d 577; *Berry v St. Peter's Hosp. of City of Albany,* 173 Misc 2d 214, 250 AD2d 63; *Nossoughi v Federated Dept. Stores,* 175 Misc 2d 585.) II. The question of whether to eliminate the right of health plans to pursue equitable subrogation is more appropriately addressed by the Legislature rather than this Court. (*Teichman v Community Hosp. of W. Suffolk,* 87 NY2d 514.)

OPINION OF THE COURT

GRAFFEO, J.

When a person suffers personal injuries because of the wrongdoing of another and the injured party's health insurer pays for medical treatment, a cause of action for equitable subrogation accrues to the health insurer, allowing the insurer to seek recoupment of its expenditures. The issue before us is whether the injured party and the tortfeasor can agree to a settlement that extinguishes the insurer's subrogation rights. We conclude that the subrogation claim in this case cannot be discontinued without the subrogee's consent.

I

Plaintiff Paula Fasso received medical services from defendant Ralph Doerr, M.D., in 1996. She subsequently developed complications that required her to undergo a liver transplant. Approximately two years later, Mrs. Fasso and her husband commenced this action against Dr. Doerr and the hospital where he treated her, alleging that Dr. Doerr had committed medical malpractice. Mrs. Fasso required a second liver transplant in 2003, resulting in her medical and surgical expenses totaling approximately $780,000, all of which were paid by her health insurance carrier, Independent Health Association, Inc. (IHA).

In 2005, IHA moved to intervene in the Fassos' medical malpractice action pursuant to CPLR 1013 in order to assert an equitable subrogation claim against Dr. Doerr for reimbursement of the payments made on Mrs. Fasso's behalf.[1] IHA represented that it would ''not unduly delay'' the litigation or ''prejudice the substantial rights of any party'' if permitted to intervene.[2] Neither plaintiffs nor defendants opposed IHA's motion and Supreme Court therefore allowed IHA to become a party to the case.

The Fassos eventually sought summary judgment dismissing IHA's complaint for equitable subrogation. They contended that IHA could not expect to receive reimbursement from Dr. Doerr because Mrs. Fasso's damages exceeded the $2 million of malpractice coverage available to Dr. Doerr. Hence, the Fassos claimed that Mrs. Fasso could not be ''made whole'' in light of the coverage limits of the doctor's malprac-

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1. IHA could have instituted its own action directly against Dr. Doerr, but by the time it became involved in this case, the statute of limitations had run. Instead, IHA decided to request intervention on the basis that an ''intervenor's claim will be deemed to have been interposed as of the filing date of the petition . . . if the proposed intervenor's claim and that of the original petitioner are based on the same transaction or occurrence'' and ''the proposed intervenor and the original petitioner [are] so closely related that the original petitioner's claim would have given the respondent notice of the proposed intervenor's specific claim so that the imposition of the additional claim would not prejudice the respondent'' (*Matter of Greater N.Y. Health Care Facilities Assn. v DeBuono*, 91 NY2d 716, 720-721 [1998]). If intervention had not been available, IHA's remedy would have been to seek reimbursement from any portion of the Fassos' recovery that was attributable to the medical expenses paid by IHA.

2. IHA's representations mirrored the language of the permissible intervention statute, CPLR 1013.

tice policies. Supreme Court denied the Fassos' motion to dismiss IHA's complaint.[3]

Before the trial began, IHA informed Supreme Court that it would rely on the Fassos' proof of Dr. Doerr's alleged negligence and would present only one witness to establish the medical expenses. Mrs. Fasso was the first witness to testify and, the following morning, the attorneys for plaintiffs and the doctor advised the court that a settlement had been reached. Under the terms of the agreement, plaintiffs would receive $900,000, Dr. Doerr would not admit wrongdoing and IHA's equitable subrogation claim would be dismissed on the basis that Mrs. Fasso was not "made whole" since the settlement payment was less than her actual damages. IHA, which had not participated in the negotiations or agreed to the dismissal of its cause of action against Dr. Doerr, did not object to plaintiffs receiving the monetary payment. But it did contest the dismissal of its equitable subrogation claim because, after Dr. Doerr paid the $900,000 settlement, there remained $1.1 million in potential insurance coverage—an amount greater than the sum IHA sought in subrogation. IHA also moved for a mistrial so that it could obtain its own witnesses and evidence to prove Dr. Doerr's negligence.

Supreme Court denied IHA's request for a mistrial and approved the settlement between the Fassos and Dr. Doerr. Since Mrs. Fasso was not being paid the full amount of her damages, the court held that IHA's subrogation claim could not survive and sua sponte dismissed IHA's complaint. The Appellate Division affirmed (46 AD3d 1358 [2007]). We granted leave (10 NY3d 707 [2008]) and now reverse.

II

It is well established that when an insurer pays for losses sustained by its insured that were occasioned by a wrongdoer, the insurer is entitled to seek recovery of the monies it expended under the doctrine of equitable subrogation (*see e.g. Blue Cross & Blue Shield of N.J., Inc. v Philip Morris USA Inc.*, 3 NY3d 200, 206 [2004]; *Winkelmann v Excelsior Ins. Co.*, 85 NY2d 577, 581 [1995]; *Federal Ins. Co. v Arthur Andersen & Co.*, 75 NY2d 366, 372 [1990]; *Connecticut Fire Ins. Co. v Erie Ry. Co.*, 73 NY

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3. Supreme Court also granted the hospital's motion for summary judgment and the Fassos discontinued their action against the hospital.

399, 402 [1878]).[4] Equitable subrogation is premised on two related concepts. First, that the party who causes injury or damage should be required to bear the loss by reimbursing the insurer for payments made on behalf of the injured party. Second, that the injured party should not recover twice for the same harm—once from its insurer and again from the wrongdoer (*see Winkelmann v Excelsior Ins. Co.*, 85 NY2d at 581). Therefore, if an injured party receives monies from the tortfeasor attributable to expenses that were paid by its insurer, the insurer may recoup its disbursements from its insured; but when the wrongdoer does not pay damages for an insured's medical expenses, generally the insurer, as subrogee, has been allowed to seek recovery directly from the tortfeasor (*see e.g. Teichman v Community Hosp. of W. Suffolk*, 87 NY2d 514, 521-523 [1996]).

There is, however, an important limitation on recovery under the doctrine of equitable subrogation. If "the sources of recovery ultimately available are inadequate to fully compensate the insured for its losses, then the insurer—who has been paid by the insured to assume the risk of loss—has no right to share in the proceeds of the insured's recovery from the tortfeasor" (*Winkelmann*, 85 NY2d at 581). In other words, the insurer may seek subrogation against only those funds and assets that remain after the insured has been compensated. This designation of priority interests—referred to as the "made whole" rule—assures that the injured party's claim against the tortfeasor takes precedence over the subrogation rights of the insurer.

[1] The Fassos and Dr. Doerr contend that the "made whole" rule precludes IHA from pursuing equitable subrogation against the doctor in this case because plaintiffs settled for less than the total damages caused by Dr. Doerr's alleged negligence. This position misconstrues the made whole principle. If the recovery the injured party receives, whether determined by settlement or verdict, is greater than the wrongdoer's assets and available insurance coverage, there is nothing left for the insurer to execute its subrogation rights against and the made whole rule prevents the insurer from sharing in the insured's judgment or recovery. But that is not the situation here. In this case, the made whole doctrine does not present an obstacle to the insurer's right to seek recoupment from the tortfeasor because the settlement be-

4. There is also a contract-based theory of subrogation but that is not at issue in this appeal.

tween the Fassos and Dr. Doerr left a potential source of recovery—$1.1 million in remaining insurance coverage. Consequently, the made whole rule did not mandate dismissal of IHA's equitable subrogation claim merely because the Fassos decided to accept a settlement figure that did not completely compensate them for the full extent of their damages.

The Fassos and Dr. Doerr alternatively maintain that their agreement to extinguish IHA's equitable subrogation cause of action is binding on IHA because an insurer stands in the shoes of its insured and acquires only those rights that the insured possesses. This argument misapprehends the nature of the equitable subrogation doctrine. The right to subrogation "accrue[s] upon payment of the loss" by the insurer (*Federal Ins. Co. v Arthur Andersen & Co.*, 75 NY2d at 372) and it generally cannot be imperiled by the insured (*see e.g. Ocean Acc. & Guar. Corp. v Hooker Electrochemical Co.*, 240 NY 37, 50 [1925]; *Aetna Cas. & Sur. Co. v Bekins Van Lines Co.*, 67 NY2d 901, 903 [1986]). Once an insurer has paid a claim and the tortfeasor knows or should have known that a right to subrogation exists, the wrongdoer and the insured cannot agree to terminate the insurer's claim without its consent and such an agreement cannot be asserted as a defense to the insurer's cause of action (*see Ocean Acc. & Guar. Corp.*, 240 NY at 50-51; *see generally Connecticut Fire Ins. Co. v Erie Ry. Co.*, 73 NY at 402-403; *cf. Weinberg v Transamerica Ins. Co.*, 62 NY2d 379, 384, 384 n 4 [1984]).[5] Hence, the provision of the settlement between the Fassos and Dr. Doerr that purported to bar IHA's equitable subrogation claim cannot be enforced and does not prevent IHA from

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5. There is a wealth of precedent supporting this rule (*see e.g. Allstate Ins. Co. v Mazzola*, 175 F3d 255, 260-261 [2d Cir 1999]; *Allied Mut. Ins. Co. v Heiken*, 675 NW2d 820, 828-829 [Iowa 2004]; *Primax Recoveries Inc. v Carey*, 247 F Supp 2d 337, 345 [SD NY 2002]; *State Farm Fire & Cas. Co. v Pacific Rent-All, Inc.*, 90 Haw 315, 330, 978 P2d 753, 768 [1999]; *Westchester Fire Ins. v Heddington Ins. Ltd.*, 883 F Supp 158, 162 [SD Tex 1995], *affd* 84 F3d 432 [5th Cir 1996]; *National Ins. Underwriters v Piper Aircraft Corp.*, 595 F2d 546, 551 [10th Cir 1979]; *Sentry Ins. Co. v Stuart*, 246 Ark 680, 685-686, 439 SW2d 797, 799-800 [1969]; *Home Ins. Co. v Hertz Corp.*, 71 Ill 2d 210, 214-215, 375 NE2d 115, 118 [1978]; *Nationwide Mut. Ins. Co. v Canada Dry Bottling Co.*, 268 NC 503, 507-508, 151 SE2d 14, 17 [1966]; *Aetna Cas. & Sur. Co. v Associates Transps., Inc.*, 512 P2d 137, 142, 1973 OK 62 [1973]; *Hospital Serv. Corp. of R.I. v Pennsylvania Ins. Co.*, 101 RI 708, 718, 227 A2d 105, 112 [1967]; *Calvert Fire Ins. Co. v James*, 236 SC 431, 439, 114 SE2d 832, 836-837 [1960]; Buckner, Annotation, *Rights and Remedies of Property Insurer as Against Third-Person Tortfeasor Who Has Settled With Insured*, 92 ALR2d 102 [collecting authorities]; 16 Couch on Insurance 3d § 224:179, at 224-203; Windt, 1 Insurance Claims and Disputes 5th § 3:7 n 9 [collecting authorities]).

proceeding to obtain reimbursement from Dr. Doerr for the payments it made for Mrs. Fasso's medical expenses as a result of the doctor's alleged negligence.[6] We therefore reverse and remit to Supreme Court for further proceedings.[7]

III

Although we conclude that plaintiffs could not extinguish IHA's equitable subrogation cause of action without its consent, we find it necessary to comment on the procedural posture of this case. CPLR 1013 allows a party to request permission to intervene in a civil proceeding "when the person's claim or defense and the main action have a common question of law or fact." In exercising its discretion to grant or deny intervention, a trial court must "consider whether the intervention will unduly delay the determination of the action or prejudice the substantial rights of any party" (*id.*).

New York courts have disagreed on the issue of whether it is permissible to grant intervention to health insurers of injured parties in tort cases. The predominant view is that the participation by insurers in settlement negotiations creates conflicts of interest with plaintiffs, who may wish to accept settlements that do not allocate sufficient monies to cover all or part of the medical expenses, and discourages or prevents settlements since insurers will be inclined to object to anything less than full recovery of their expenditures (*see Berry v St. Peter's Hosp. of City of Albany*, 250 AD2d 63 [3d Dept 1998, Carpinello, J.], *lv dismissed* 92 NY2d 1045 [1999]; *see also Marshall v 426-428 W. 46th St. Owners, Inc.*, 33 AD3d 444 [1st Dept 2006]; *Humbach v Goldstein*, 229 AD2d 64 [2d Dept 1997], *lv dismissed* 91 NY2d 921 [1998]). Taking a contrary view, the Fourth Department has permitted discretionary intervention (*see e.g. Oakes v Patel*, 23 AD3d 1023 [4th Dept 2005]; *Omiatek v Marine Midland Bank, N.A.*, 9 AD3d 831 [4th Dept 2004], *lv dismissed* 3 NY3d 738 [2004]).

[2] Clearly, intervention can create an adversarial posture between a plaintiff/insured and its insurer because neither has an incentive to consider the interests of the other, especially where

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6. We also do not find merit to the alternative contention that IHA's assertions in its motion to intervene gave the Fassos permission to waive the equitable subrogation cause of action.

7. In light of this conclusion, IHA's argument that Supreme Court erred in dismissing the equitable subrogation cause of action sua sponte is academic.

the potential damages exceed the available sources of recovery (*see generally* Siegel, NY Prac § 180, at 309-310 [4th ed]).[8] The injured party's goal is to maximize recovery without regard to whether its insurer recoups any monies it expended for the plaintiff's medical bills; the insurer's objective is to reclaim as much of the money it paid as possible regardless of whether its insured has a desire to settle the case rather than proceed to trial. Thus, allowing an insurer to intervene inevitably complicates settlement negotiations over the tortfeasor's insurance coverage.

In this case, neither the Fassos nor Dr. Doerr opposed IHA's motion to intervene under CPLR 1013 so the issue of whether intervention was properly granted to IHA is not before us. We note, however, that the question of permissive intervention raises competing policy concerns that are deserving of legislative consideration. Certainly, plaintiffs and defendants need to weigh the benefits and detriments of settlement offers with knowledge of the consequences. But in light of spiraling health care costs and their effect on the availability and affordability of medical insurance, ''[h]ealth insurers in this state have increasingly invoked the subrogation doctrine in an effort to protect limited plan assets'' (Hourihan and Zeitounzian, *The Prognosis for Recovery: Health Insurance Subrogation*, 80 NY St BJ 22, 22 [May 2008]). As a result, there has emerged an uncertainty regarding how and when health insurers should assert their subrogation claims.

The Legislature considered some of these issues when it codified CPLR 4545, which deals with the collateral source rule. That statute provides that a verdict that includes past medical expenses should be reduced by the amounts paid by an insurer for the plaintiff's medical treatments (*see* CPLR 4545)—to avoid double recovery by a plaintiff—but the Legislature did not address the procedures and means of recovery for the equitable subrogation rights of insurers. Moreover, the collateral source doctrine applies only to verdicts, not settlements, and nothing in the language or legislative history of CPLR 4545 indicates that the Legislature intended to alter the established rules of equitable subrogation. Consequently, the Legislature may wish to reexamine the concept of permissible intervention under

8. Another problem relates to the burden of litigation expenses. When an insurer is allowed to intervene, it usually remains in the background of the case, imposing on the insured the duty and cost of proving the defendant's wrongdoing.

CPLR 1013 as it applies to personal injury actions involving a health insurer's claim of equitable subrogation.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the case remitted to Supreme Court for further proceedings in accordance with this opinion.

Judges Ciparick, Read, Smith, Pigott and Jones concur; Chief Judge Lippman taking no part.

Order reversed, etc.

[904 NE2d 826, 876 NYS2d 690]

In the Matter of ANDREW S. CRISCOLO et al., Appellants, v NICHOLAS J. VAGIANELIS, as Director of the Division of Classification and Compensation of the Department of Civil Service, et al., Respondents.

Argued January 14, 2009; decided February 24, 2009

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered April 11, 2008. The Appellate Division, with two Justices dissenting, affirmed a judgment of the Supreme Court, Albany County (Henry F. Zwack, J.; op 19 Misc 3d 1118[A], 2007 NY Slip Op 52550[U]), entered in a proceeding pursuant to CPLR article 78, which had dismissed the petition.

Matter of Criscolo v Vagianelis, 50 AD3d 1283, affirmed.

HEADNOTE

Civil Service — Classification

The Division of Classification and Compensation (the Division) of the New York State Department of Civil Service acted rationally in revising the classification standards for the civil service titles of education supervisor, plant superintendent and assistant industrial superintendent so as to require Department of Correctional Services (DOCS) employees in those titles to conduct tier III inmate disciplinary hearings at the behest of the superintendent of a correctional facility. The Division analyzed the tier III hearing process; the knowledge, skills and abilities required to conduct these hearings; and the knowledge, skills and abilities required for the identified civil service titles. It was not irrational to determine that tier III hearing work was no more complex than duties already encompassed within those titles, and that employees in those titles were qualified to conduct tier III hearings. There was a demonstrable need for suitable non-attorney hearing officers at DOCS in view of the thousands of tier III hearings that need to be scheduled and completed on a timely basis each year and the limited number of inmate disciplinary hearing officers, who are licensed attorneys. Moreover, the revised classification standards at issue did not implicate the constitutional and statutory limits on reclassification, which are grounded in the New York Constitution's requirement of merit selection for civil service positions.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Civil Service §§ 19, 21.

NY JUR 2d, Civil Servants and Other Public Officers and Employees §§ 306, 324–327.

ANNOTATION REFERENCE

See ALR Index under Civil Service.

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POINTS OF COUNSEL

Edward J. Aluck, Albany, and *William P. Seamon* for appellants. Respondents have not articulated a rational basis for revising the classification standards for the titles of education supervisor, plant superintendent and assistant industrial superintendent to require such employees to preside as hearing officers over tier III inmate disciplinary hearings. Therefore, the Appellate Division's memorandum and order upholding the revised classification standards was in error and should be reversed by this Court. (*Matter of Montero v Lum,* 68 NY2d 253; *Matter of O'Reilly v Grumet,* 308 NY 351; *City of Newburgh v Potter,* 168 AD2d 779; *Cove v Sise,* 71 NY2d 910; *Matter of Haubert v Governor's Off. of Empl. Relations,* 284 AD2d 879; *Matter of Gajewski v Angello,* 301 AD2d 721; *Matter of C.S.E.A. v County of Dutchess,* 6 AD3d 701; *Matter of Roche v Wagner,* 34 Misc 2d 920, 18 AD2d 647, 12 NY2d 885, 314; *Matter of Charles A. Field Delivery Serv. [Roberts],* 66 NY2d 516; *Matter of Montauk Improvement v Proccacino,* 41 NY2d 913.)

Andrew M. Cuomo, Attorney General, Albany (*Julie Sheridan, Barbara D. Underwood, Andrew D. Bing* and *Peter H. Schiff* of counsel), for respondents. The extensive analysis that the Division of Classification and Compensation of the State Department of Civil Service conducted provided a rational basis to revise the classification standards at issue to include the duty of conducting inmate disciplinary hearings. (*Matter of Benson v Cuevas,* 272 AD2d 764, 95 NY2d 760; *Matter of Association of Secretaries to Justices of Supreme & Surrogate's Cts. in City of N.Y. v Office of Ct. Admin. of State of N.Y.,* 75 NY2d 460; *Cove v Sise,* 71 NY2d 910; *Matter of Woodward v Governor's Off. of Empl. Relations,* 279 AD2d 725; *Matter of Carolan v Schechter,* 7 NY2d 980; *Matter of Niebling v Wagner,* 12 NY2d 314; *Matter of Gavigan v McCoy,* 37 NY2d 548; *Matter of Kuppinger v Governor's Off. of Empl. Relations,* 203 AD2d 664; *Matter of Collins v Governor's Off. of Empl. Relations,* 211 AD2d 1001; *Matter of Loehr v Governor's Off. of Empl. Relations,* 3 AD3d 653.)

OPINION OF THE COURT

Read, J.

Inmates incarcerated in prisons operated by the New York

State Department of Correctional Services (DOCS) must comply with standards of conduct (7 NYCRR part 270), which are enforced through issuance of inmate misbehavior reports in those instances where a rule violation endangers life, health, security or property (7 NYCRR 251-3.1). These reports are subject to review at an administrative hearing at which a hearing officer determines the truth of the allegations and imposes penalties accordingly. There are three levels of these administrative hearings—tier I (violation hearing), tier II (disciplinary hearing) and tier III (superintendent's hearing)—with differing requirements for each (7 NYCRR 270.3; 7 NYCRR parts 252, 253, 254).

Tier III hearings, which address the most serious inmate misbehavior implicating the most severe punishment (7 NYCRR 251-2.2 [b] [3]), may be conducted by the superintendent of the correctional facility, the deputy superintendent, a captain, a commissioner's hearing officer employed by DOCS's central office, or ''some other employee'' designated by the correctional facility's superintendent ''in his or her discretion'' (7 NYCRR 254.1). On this appeal, we conclude that it was not irrational for the Division of Classification and Compensation (the Division) of the New York State Department of Civil Service (DCS) to revise the classification standards for the civil service titles of education supervisor, plant superintendent (B and C) and assistant industrial superintendent (A and B) so as to require DOCS employees in these titles to conduct tier III hearings at a superintendent's behest.

I.

DOCS employees occupying positions in these civil service titles began conducting tier III hearings at least as early as the late 1990s; however, this particular work was not listed in the classification specifications and duties for the titles at that time. Consequently, in 1998, the New York State Public Employees Federation (PEF), the union representing the DOCS employees, grieved the assignment of tier III hearing work to them. In 2001, additional grievances were filed to protest this practice. Also in 2001, the Appellate Division concluded that there was no rational basis for DOCS's decision to assign tier III hearing work to an employee in the title of senior correction counselor. This was because ''presiding over quasi-judicial adversarial proceedings, hearing and receiving evidence, making appropriate findings of fact and conclusions of law and imposing punishment simply [could not] be said to be reasonably related to or viewed as a logical extension of'' the employee's primary duty of counseling inmates, as set out in the Division's specifications for this position (*see Matter of Woodward v Governor's Off. of Empl. Relations*, 279 AD2d 725, 727 [3d Dept 2001]).

In August 2006, the Governor's Office of Employee Relations (GOER) sustained the 1998 and 2001 grievances, and directed DOCS to ''cease and desist from'' assigning tier III hearing work to employees in the civil service titles at issue here. GOER acted upon the Division's determination that conducting tier III hearings constituted out-of-title work for these employees ''based upon . . . review of the subject grievance[s] within the context of those applicable New York State Classification Standards *in effect when the grieved work was performed and the grievance[s were] filed*'' (emphasis added). In making its determination, the Division recognized that the tier III hearing work assigned to these DOCS employees was routine in nature, and did not make up the bulk of their job duties and responsibilities, or consume a great deal of their working time; and that the employees received training and written materials with step-by-step instructions.

In conjunction with its consideration of the 1998 and 2001 grievances, the Division engaged in what it describes as a long overdue and comprehensive analysis and evaluation of the civil service titles in question, the classification specifications for which had not been updated for at least 25—and in some cases as many as 40—years. As part of this analysis and evaluation, the Division examined the tier III hearing process as well as the nature of informal hearings conducted at other executive branch agencies; reviewed and compared the specific job duties of employees (both attorneys and non-attorneys) who conduct informal hearings; and specifically looked at the job duties of an inmate disciplinary hearing officer (IDHO) (M-1), a civil service title unique to DOCS. IDHOs, who must be licensed attorneys, preside over the most complex tier III hearings, and also carry out specialized managerial, policymaking and appellate review functions. There are only 10 IDHOs statewide, all of whom work out of DOCS's central office.

The Division concluded that ''within the universe of administrative adjudicatory hearings, Tier 3 Hearings are, in general, less formal, more routine, and less complex.'' Inmates are not represented by counsel, have limited rights to call and may not cross-examine witnesses. Briefs and memoranda of law are generally not submitted; decisions are usually issued in a short, standardized form. Observing that "[n]ot all Tier 3 Hearings are of equivalent complexity," the Division found that, in practice, DOCS "limit[ed] the assignment of non-attorney personnel to those less complex Tier 3 Hearings which are considered to be 'routine', without involved, difficult, or unusual questions of fact or law, and which will not set precedent." Further, "DOCS non-attorney personnel . . . only conduct[ed] Tier 3 Hearings after appropriate training by an [IDHO] or other appropriate DOCS personnel"; their decisions were subject to administrative and judicial review.

Finally, the Division identified "a core set" of knowledge, skills, and abilities that every non-attorney conducting a routine tier III hearing needed to possess. The Division concluded that the requisite knowledge, skills and ability were general in nature, consisting of, for example, knowledge of the standards of inmate behavior, and the ability to understand written instructions, guidelines and procedures and to communicate clearly both orally and in writing. As a result, many DOCS employees were qualified, with training, to conduct a tier III hearing, including employees holding positions in the civil service titles at issue in this litigation.

In October 2006 the Division amended the classification specifications for these titles to bring them into line with its analysis and evaluation. The following task was added under the heading "ILLUSTRATIVE DUTIES": "May assist with, conduct, and/or make determinations on inmate disciplinary hearings." In implementing this new classification specification, the Division, in practice, adopted limitations identified in the 1998 and 2001 grievances: non-attorney DOCS employees were only to conduct routine tier III hearings after being trained and with proper supervision, and this work was not to be their primary duty.

In January 2007, petitioners commenced this CPLR article 78 proceeding in Supreme Court, alleging that the Division's revision of their civil service titles to include tier III hearing work was arbitrary and capricious because they were not educated or trained to carry out this task, which, in any event, conflicted with the primary functions and duties of their positions. They also contended that the revision was contrary to GOER's disposition of the 1998 and 2001 grievances, and the Appellate Division's decision in *Woodward*. According to petitioners, tier III hearing work should be confined to employees occupying positions as hearing officers (grade 25), a civil service title found in other state agencies, or to IDHOs. Both titles require admission to the New York State Bar as a job qualification.

On May 15, 2007, Supreme Court dismissed the petition. In light of the limited standard of judicial review, the court concluded that ''[t]he addition of the duty of conducting inmate disciplinary hearings to the disputed job titles is not wholly irrational or without rational basis considering the other duties of those titles'' (19 Misc 3d 1118[A], 2007 NY Slip Op 52550[U], *6 [2007]). The Appellate Division, with two Justices dissenting, subsequently affirmed (*Matter of Criscolo v Vagianelis*, 50 AD3d 1283 [3d Dept 2008]).

Noting the highly deferential standard of review and the ''comprehensive study and analysis'' that ''undergirded'' the Division's revisions, the Appellate Division was ''unpersuaded'' that these classification determinations could be ''characterized as wholly arbitrary or without any rational basis'' (*id.* at 1285). Further, the court distinguished *Woodward* on the ground that the conflict faced by senior correction counselors—between counseling inmates and weighing their credibility in a tier III hearing that might result in punishment—was not present in the civil service titles at issue. The dissenters faulted the Division for ''utiliz[ing] reclassification as a means of validating out-of-title work'' (*id.* at 1286), citing *Matter of Gavigan v McCoy* (37 NY2d 548, 552 [1975]), *Matter of Niebling v Wagner* (12 NY2d 314, 319 [1963]), and *Matter of Mandle v Brown* (4 AD2d 283, 286 [1st Dept 1957], *affd* 5 NY2d 51 [1958]). Petitioners appealed to us as of right (CPLR 5601 [a]), and we now affirm.

II.

As the lower courts recognized, ''[a]dministrative determinations concerning position classifications are . . . subject to only limited judicial review, and will not be disturbed in the absence of a showing that they are wholly arbitrary or without any rational basis'' (*Cove v Sise*, 71 NY2d 910, 912 [1988]). Here, the Division demonstrated a rational basis for adding tier III hearing duties to the civil service titles at issue.

Before revising the classification standards, the Division analyzed the tier III hearing process; the knowledge, skills and abilities required to conduct these hearings; and the knowledge, skills and abilities required for the identified civil service titles, each of which requires the performance of administrative, supervisory, and managerial tasks, good communication skills, and decisionmaking on issues of consequence to DOCS, including the operation of the physical plant and industrial and educational programs. We cannot say that the Division acted irrationally when it decided that tier III hearing work was no more complex than duties already encompassed within these titles, and that employees in these titles were qualified to conduct tier III hearings.

As petitioners point out, the Appellate Division in *Woodward* (involving a title no longer at issue in this litigation) and the Division and GOER in their disposition of the 1998 and 2001 grievances found that tier III hearing duties comprised out-of-title work. These decisions were, however, based on the content of the classification specifications then in effect for the titles at issue. The Division may always rework classification specifications to reflect management's needs and available resources; a prior finding of out-of-title work does not foreclose the Division from revising a classification specification to include this work, so long as its decision to do so is rationally based. And here, there was a demonstrable need for suitable non-attorney hearing officers at DOCS: while there are thousands of tier III hearings that need to be scheduled and completed on a timely basis each year, many of them run-of-the-mine and lacking precedential value, the number of IDHOs is limited. Given these realities, DOCS must assign tier III hearing work to employees who possess—or could successfully obtain with proper instruction and guidance—the knowledge, skills, and abilities necessary to carry out this task.

Finally, *Gavigan*, *Niebling*, and *Mandle* do not call for a different result. The New York Constitution and the Civil Service Law require that promotions be made after competitive examination (*see* NY Const, art V, § 6; Civil Service Law §§ 44, 52). In these cases, we pointed out that "reclassification may not be employed as a device to sanction the performance of out-of-title duties *and thereby avoid the requirement of a competitive examination for promotion*" (*Niebling*, 12 NY2d at 319; *see also Gavigan*, 37 NY2d at 552 ["one may not deliberately manipulate a reclassification simply by first imposing or by assuming new duties and responsibilities, *and then thereby avoid the necessity for filling vacancies by promotion* by reclassifying the added duties and responsibilities" (quoting *Mandle*, 4 AD2d at 286 [emphasis added])]). In *Gavigan*, we explained why, despite the general flexibility given to agencies in reclassifying civil service positions, certain reclassifications have been held invalid:

> "For over 75 years it has been the avowed purpose of civil service laws to promote the good of the public service; and it should be readily apparent that the well-established rule we enforce today (as it has been for decades) is designed to and does safeguard the graded positions of civil service *and thus insulates their status from political manipulation*" (37 NY2d at 552-553 [emphasis added and citations omitted]).

In short, *Gavigan*, *Niebling* and *Mandle* stand for the proposition that an employee cannot achieve a higher grade or salary by being assigned or engaging in out-of-title work because this would violate the fundamental civil service tenet of advancement through competitive examination. That is not what happened here. Petitioners' titles have not been reclassified to a higher grade or salary. Indeed, the Division explicitly found that the tier III hearing duties at issue did not constitute out-of-*grade* work (i.e., a de facto promotion without competitive examination); specifically, the Division concluded that the level of compensation appropriate for performance of these duties was equivalent to job titles allocated at salary grade 18, whereas petitioners' civil service titles were allocated to salary grade 18 or above. As a result, the revised classification standards in this case do not implicate the constitutional and statutory limits on reclassification, which are grounded in the New York Constitution's requirement of merit selection for civil service positions.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Judges CIPARICK, GRAFFEO, SMITH, PIGOTT and JONES concur; Chief Judge LIPPMAN taking no part.

Order affirmed, with costs.

[904 NE2d 813, 876 NYS2d 677]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v FRITZ ELYSEE, Appellant.

Argued January 7, 2009; decided February 17, 2009

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered December 18, 2007. The Appellate Division affirmed a judgment of the Supreme Court, Kings County (Vincent M. Del Giudice, J.), which had convicted defendant, upon a jury verdict, of manslaughter in the second degree, assault in the second degree, assault in the third degree (two counts) and driving while intoxicated. The appeal to the Appellate Division brought up for review a prior order of that Supreme Court (John P. Walsh, J.), insofar as it had denied, without a hearing, that branch of defendant's omnibus motion which was to suppress physical evidence.

People v Elysee, 49 AD3d 33, affirmed.

HEADNOTES

Motor Vehicles — Chemical Tests

1. Suppression of the results of the blood alcohol test performed on blood samples taken from defendant immediately upon his arrival at the hospital following a fatal automobile accident was not warranted even though the blood was drawn before the court order compelling defendant to submit to a chemical test of the alcohol or drug content of his blood was issued (*see* Vehicle and Traffic Law § 1194 [3]). Pursuant to Vehicle and Traffic Law § 1194 (2) (a), any person who operates a motor vehicle shall be deemed to have given consent to a chemical test of breath, blood, urine or saliva, for the purpose of determining the alcohol and/or drug content of the blood under certain prescribed conditions. In addition, such chemical tests can also be compelled by court order under Vehicle and Traffic Law § 1194 (3). Therefore, even if the samples were privileged pursuant to CPLR 4504, the privilege was overcome when the police officers executed the court order issued pursuant to Vehicle and Traffic Law § 1194 (3).

Crimes — Lesser Included Offense

2. In the prosecution of defendant driver arising out of his involvement in a fatal automobile accident, the trial court properly refused to charge criminally negligent homicide as a lesser included offense of manslaughter in the second degree. A person who fails to perceive a substantial and unjustifiable risk by reason of his intoxication acts recklessly rather than with criminal negligence. Given the overwhelming evidence of defendant's intoxication, there was no reasonable view of the evidence which would support a finding that the defendant committed criminally negligent homicide.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Automobiles and Highway Traffic §§ 346, 347, 988–991; AM JUR 2d, Homicide §§ 61, 62, 85, 86, 515, 531.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:514–172:516, 172:1022, 172:2630, 172:3519, 172:3699, 172:3753.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 10.1, 10.3–10.5, 24.8.

MCKINNEY'S, CPLR 4504; Vehicle and Traffic Law § 1194 (2) (a); (3).

NY JUR 2d, Automobiles and Other Vehicles §§ 813, 814, 818, 820, 823, 825; NY JUR 2d, Criminal Law: Procedure §§ 2728, 2768, 2790, 2793; NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 551, 584.

ANNOTATION REFERENCE

Admissibility in criminal case of blood-alcohol test where blood was taken despite defendant's objection or refusal to submit to test. 14 ALR4th 690.

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Query: blood /2 alcohol /2 test /s court /2 order

POINTS OF COUNSEL

Warren S. Landau, New York City, and *Lynn W.L. Fahey* for appellant. I. When the People seized and tested blood samples medical staff had drawn to treat appellant, admission of the test results on these samples violated the physician-patient privilege and denied appellant due process. (*Matter of Grand Jury Investigation in N.Y. County,* 98 NY2d 525; *Dillenbeck v Hess,* 73 NY2d 278; *Williams v Roosevelt Hosp.,* 66 NY2d 391; *People v Sinski,* 88 NY2d 487; *Matter of Grand Jury Investigation of Onondaga County,* 59 NY2d 130; *People v Decina,* 2 NY2d 133; *Matter of City Council of City of N.Y. v Goldwater,* 284 NY 296; *Buffalo Loan, Trust & Safe Deposit Co. v Knights Templar & Masonic Mut. Aid Assn.,* 126 NY 450; *Edington v Mutual Life Ins. Co. of N.Y.,* 67 NY 185; *Doe v Community Health Plan—Kaiser Corp.,* 268 AD2d 183.) II. The court denied appellant due process and a fair trial when it denied the joint request of defense counsel and the prosecutor to charge criminally negligent homicide as a lesser included offense of second-degree manslaughter, when there was a reasonable view of the evidence that appellant had acted negligently rather than recklessly. (*People v Glover,* 57 NY2d 61; *People v Devonish,* 6 NY3d 727; *People v Butler,* 84 NY2d 627; *People v Martin,* 59 NY2d 704; *People v Green,* 56 NY2d 427; *People v Henderson,* 41 NY2d 233; *People v Heide,* 84 NY2d 943; *People v Stanfield,* 36 NY2d 467; *People v Helliger,* 96 NY2d 462; *People v Harris,* 81 NY2d 850.)

Charles J. Hynes, District Attorney, Brooklyn (*Diane R. Eisner* and *Leonard Joblove* of counsel), for respondent. I. The trial court properly admitted evidence of defendant's blood alcohol content that was derived from a blood specimen drawn in the course of medical treatment. In any event, any error in the admission of that evidence was harmless. (*Matter of Drew v Schenectady County,* 88 NY2d 242; *Debevoise & Plimpton v New York State Dept. of Taxation & Fin.,* 80 NY2d 657; *Matter of Grand Jury Proceedings [Doe],* 56 NY2d 348; *Madden v Creative Servs.,* 84 NY2d 738; *Dillenbeck v Hess,* 73 NY2d 278; *Williams v Roosevelt Hosp.,* 66 NY2d 391; *Cabell v Markham,* 148 F2d 737; *Matter of Grand Jury Investigation in N.Y. County,* 98 NY2d 525; *People v Sinski,* 88 NY2d 487; *Buffalo Loan, Trust & Safe Deposit Co. v Knights Templar & Masonic Mut. Aid Assn.,* 126 NY 450.) II. Defendant's claim that criminally negligent homicide should have been submitted to the jury as a lesser-included offense of reckless manslaughter is partly unpreserved for appellate review, and in any event is meritless. (*People v Barney,* 99 NY2d 367; *People v Van Norstrand,* 85 NY2d 131; *People v Green,* 56 NY2d 427; *People v Register,* 60 NY2d 270, 466 US 953; *People v Donohue,* 123 AD2d 77; *People v Rykaczewski,* 121 AD2d 409; *People v Morton,* 100 AD2d 637; *People v Monroe,* 90 NY2d 982; *People v Robinson,* 36 NY2d 224; *People v Henderson,* 41 NY2d 233.)

OPINION OF THE COURT

JONES, J.

On the morning of December 25, 2003, defendant automobile driver was involved in a four-vehicle car accident in Brooklyn, New York. As a result, a passenger in a pickup truck was killed and several other persons, including defendant, were injured. At approximately 5:30 A.M., defendant was taken to Kings County Hospital where, upon his arrival and in accordance with the hospital's routine practice for treating trauma victims, blood samples were drawn solely for treatment purposes (5:30 A.M. samples).

Pursuant to a court order issued by Supreme Court at approximately 1:50 P.M. that day, defendant was compelled to submit to a chemical test of the alcohol or drug content of his blood (blood alcohol test) (*see* Vehicle and Traffic Law § 1194 [3]; CPL 690.35, 690.36). To effect this order, a registered nurse, in the presence of a New York City police officer, drew a second set of blood samples at approximately 2:50 P.M. (2:50 P.M. samples) (*see* Vehicle and Traffic Law § 1194 [4] [a]). On December 26, 2003, the 2:50 P.M. samples were forwarded by the New York City Police Department to Dr. Elizabeth Marker, a forensic toxicologist employed by the New York City Office of Chief Medical Examiner, to perform a court-ordered test in order to determine defendant's blood alcohol level at the time of the accident. On December 29, 2003, a search warrant for the seizure of the 5:30 A.M. samples from the hospital was issued and executed pursuant to CPL 690.10 (4). The New York City Police Department, in turn, submitted the 5:30 A.M. samples to Dr. Marker.

Prior to trial, defendant brought an omnibus motion to, among other things, controvert the search warrant and suppress the results of the blood alcohol test performed on the 5:30 A.M. samples, arguing that the seizure of his blood, pursuant to CPL 690.10, violated the physician-patient privilege defined by CPLR 4504.* The court denied the motion to controvert, finding the facts alleged in the search warrant application sufficient to establish probable cause to believe that defendant was operating a motor vehicle while under the influence of alcohol. The court also denied that branch of the omnibus motion which sought to suppress the results of the blood alcohol test performed on the 5:30 A.M. samples. The court determined that CPLR 4504 "has no application to vials of blood, which were the objects of the search warrant."

At defendant's jury trial, Dr. Marker testified that she tested both the 2:50 P.M. and 5:30 A.M. samples. Regarding the 2:50 P.M.

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* CPLR 4504 (a) provides, in pertinent part, that

> "Unless the patient waives the privilege, a person authorized to practice medicine, registered professional nursing, licensed practical nursing, dentistry, podiatry or chiropractic shall not be allowed to disclose any information which he acquired in attending a patient in a professional capacity, and which was necessary to enable him to act in that capacity."

samples, she noted that the results revealed defendant's blood alcohol ''concentration [to be] .05 gram percent.'' Dr. Marker opined that it is scientifically possible, through reverse extrapolation, to reliably determine what a person's blood alcohol content was at an earlier time based upon a later blood alcohol test when certain assumptions are made; e.g., assuming that the alcohol in defendant's system was fully absorbed at the time of the accident, going back a period of 10 hours from the time the 2:50 P.M. blood samples were taken, defendant's blood alcohol level range at the time of the accident would have been ''between 0.20 [gram] percent or 0.25 [gram] percent.'' Dr. Marker further testified that the 5:30 A.M. samples revealed a blood alcohol concentration of .23 gram percent and .21 gram percent, respectively. She opined that these results were consistent with, and substantiated, the results of the reverse extrapolation analysis of the 2:50 P.M. samples. Put another way, the test of the two separate blood samples reached nearly identical results.

At the charge conference, both the People and defense asked the court to charge criminally negligent homicide as a lesser included offense of second degree manslaughter. The court refused, concluding that there was no reasonable view of the evidence to support the charge of criminally negligent homicide.

The jury convicted defendant of manslaughter in the second degree, assault in the second degree, assault in the third degree, and driving while intoxicated. Defendant appealed from Supreme Court's judgment of conviction. This appeal brought up for review that portion of defendant's omnibus motion seeking to suppress physical evidence and the court's refusal to charge criminally negligent homicide.

The Appellate Division affirmed the judgment, holding that a blood specimen taken from a patient by a medical professional is not ''information'' protected by the physician-patient privilege as defined in CPLR 4504 (a) and, accordingly, is subject to seizure (49 AD3d 33 [2007]). The Appellate Division also held that ''the trial court properly refused to charge the jury with criminally negligent homicide as a lesser-included offense of manslaughter in the second degree'' because there was no reasonable view of the evidence which would support a finding that the lesser offense but not the greater offense was committed by the defendant (*id.* at 49). A Judge of this Court granted defendant leave to appeal (10 NY3d 840 [2008]) and we now affirm.

[1] We agree with the lower courts that defendant's motion to suppress the 5:30 A.M. samples was properly denied, though we need not decide whether CPLR 4504 applies to these samples. Pursuant to Vehicle and Traffic Law § 1194 (2) (a), ''[a]ny person who operates a motor vehicle in this state shall be deemed to have given consent to a chemical test of . . . breath, blood, urine, or saliva, for the purpose of determining the alcoholic and/or drug content of the blood'' under certain prescribed conditions. In addition, such chemical tests can also be compelled by court order under Vehicle and Traffic Law § 1194 (3) when, among other circumstances,

> ''a person other than the operator was killed or suffered serious physical injury . . . ; and
>
> ''such person operated the vehicle in violation of any subdivision of section eleven hundred ninety-two of this article . . . and . . .
>
> ''has been placed under lawful arrest; and . . .
>
> ''has refused to submit to a chemical test . . . or is unable to give consent to such a test'' (§ 1194 [3] [b] [1], [2] [a]; [3], [4]).

Therefore, even if these samples were privileged, under the facts and circumstances of this case, the privilege was overcome when the police officers executed the court order issued pursuant to Vehicle and Traffic Law § 1194 (3).

Here, it is illogical to conclude that a blood sample taken at 5:30 A.M. cannot be seized pursuant to a properly issued court order, merely because the order issued *after* the blood was actually drawn by an authorized person. Furthermore, inasmuch as the Vehicle and Traffic Law authorizes a chemical test under the circumstances of this case, and a court order issued compelling ''that the defendant shall submit to a chemical test of the alcohol or drug content of his blood,'' the seizure of the earlier blood sample was in accord with the statute.

[2] We disagree with defendant's argument that Supreme Court erred in not charging criminally negligent homicide as a lesser included offense of second degree manslaughter. A person who fails to perceive a substantial and unjustifiable risk by reason of his intoxication acts recklessly rather than with criminal negligence (*see People v Donohue*, 123 AD2d 77, 81 [3d Dept 1987]; *People v Van Dusen*, 89 AD2d 649 [3d Dept 1982]). Thus, given the overwhelming evidence of defendant's intoxication, we agree with the lower courts that there was no reasonable view of the evidence which would support a finding that the defendant committed criminally negligent homicide (*see* CPL 300.50 [1]; *People v Barney*, 99 NY2d 367, 371 [2003]).

Accordingly, the order of the Appellate Division should be affirmed.

Judges CIPARICK, GRAFFEO, READ, SMITH and PIGOTT concur; Chief Judge LIPPMAN taking no part.

Order affirmed.

[904 NE2d 818, 876 NYS2d 682]

In the Matter of Jason B., Respondent, v Antonia Coello Novello, as Commissioner of the New York State Department of Health, et al., Appellants.

Argued January 13, 2009; decided February 19, 2009

SUMMARY

Appeal, by permission of the Court of Appeals, from a judgment of the Appellate Division of the Supreme Court in the Second Judicial Department, entered October 9, 2007 in a proceeding pursuant to CPLR article 78 (transferred to the Appellate Division by order of the Supreme Court, Westchester County). The Appellate Division granted the petition and annulled a determination of respondent Commissioner of the New York State Department of Health which had confirmed a determination of the New York State Office of Mental Retardation and Developmental Disabilities finding that petitioner was not developmentally disabled pursuant to Mental Hygiene Law § 1.03 (22), and that his enrollment in the Medicaid Service Coordination program for Home and Community-Based Services Waiver should be discontinued.

Matter of Jason B. v Novello, 44 AD3d 761, reversed.

HEADNOTES

Administrative Law — Res Judicata — Reassessment of Applicant's Eligibility for Services as Result of Developmental Disability Not Precluded

1. The doctrine of res judicata did not preclude the New York State Office of Mental Retardation and Developmental Disabilities (OMRDD) from reassessing an earlier decision that petitioner was eligible for benefits as a result of a developmental disability as defined by Mental Hygiene Law § 1.03 (22). The procedures followed by OMRDD that resulted in the administrative determination that petitioner was eligible for support services were not the product of an adversarial proceeding where evidence was received, testimony taken, and arguments and objections made resulting in a record upon which OMRDD's decision could be based. Because the earlier eligibility determination was not "quasi-judicial," which requires a trial-type hearing with opportunity for presentation of evidence and cross-examination, and was not the product of an adversarial proceeding in which dispute resolution occurred, the doctrine of res judicata was not applicable.

Administrative Law — Judicial Review — Eligibility for Services as Result of Developmental Disability

2. A determination of the New York State Office of Mental Retardation and Developmental Disabilities (OMRDD) which reassessed an earlier decision that petitioner was eligible for benefits as a result of a developmental disabil-

ity as defined by Mental Hygiene Law § 1.03 (22) and terminated those benefits was supported by substantial evidence. At the hearing to reassess petitioner's eligibility, OMRDD called an expert witness who interpreted differently the same medical evidence previously submitted regarding petitioner's alleged developmental disability. No new documentary evidence was presented and petitioner, although given an opportunity to refute OMRDD's proof and present evidence on his own behalf, failed to do so.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Judgments §§ 473, 474, 518; AM JUR 2d, Welfare Laws §§ 33, 34, 36.

CARMODY-WAIT 2d, Judgments §§ 63:464, 63:515, 63:520, 63:521.

MCKINNEY'S, Mental Hygiene Law § 1.03 (22).

NY JUR 2d, Infants and Other Persons Under Legal Disability § 50; NY JUR 2d, Judgments §§ 450, 451, 454; NY JUR 2d, Public Welfare and Old Age Assistance §§ 151, 425, 427.

ANNOTATION REFERENCE

See ALR Index under Disabled Persons; Medicaid; Res Judicata.

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POINTS OF COUNSEL

Andrew M. Cuomo, Attorney General, New York City (*Cecelia C. Chang, Barbara D. Underwood* and *Benjamin N. Gutman* of counsel), for appellants. Res judicata does not bar the Office of Mental Retardation and Developmental Disabilities from reevaluating and correcting a nonadjudicative determination to grant services. (*Good Health Dairy Prods. Corp. v Emery,* 275 NY 14; *Gramatan Home Invs. Corp. v Lopez,* 46 NY2d 481; *Matter of Evans v Monaghan,* 306 NY 312; *United States v Utah Constr. & Mining Co.,* 384 US 394; *Matter of Josey v Goord,* 9 NY3d 386; *Ryan v New York Tel. Co.,* 62 NY2d 494; *Matter of Venes v Community School Bd. of Dist. 26,* 43 NY2d 520; *Allied Chem. v Niagara Mohawk Power Corp.*, 72 NY2d 271; *Matter of Fury [Lubin],* 4 AD2d 732; *Drummond v Commissioner of Social Sec.,* 126 F3d 837.)

Mental Hygiene Legal Service, Second Judicial Department, Mineola (*Felicia B. Rosen, Sidney Hirschfeld* and *Dennis B. Feld* of counsel), for respondent. I. The Appellate Division did not preclude the Office of Mental Retardation and Developmental Disabilities from correcting its prior service approval. (*Matter of Graham v New York State Police & Fire & Retirement Sys.,* 188 AD2d 826; *Matter of Davidson v New York State & Local Employees' Retirement Sys.,* 185 AD2d 513.) II. The Appellate Division properly held that the October 13, 2006 determination by the Commissioner of the New York State Department of Health was not supported by substantial evidence. (*300 Gramatan Ave. Assoc. v State Div. of Human Rights,* 45 NY2d 176; *Matter of Williams v Barrios-Paoli,* 270 AD2d 127; *People v Santos,* 127 Misc 2d 63.)

OPINION OF THE COURT

CIPARICK, J.

In this appeal, we are asked to determine whether the doctrine of res judicata precludes the New York State Office of Mental Retardation and Developmental Disabilities (OMRDD) from reassessing an earlier decision that an applicant is eligible for benefits as a result of a developmental disability as defined by Mental Hygiene Law § 1.03 (22). We conclude that it does not.

The Medicaid Act, administered by the Secretary of the Department of Health and Human Services, is a cost-sharing arrangement under which the federal government reimburses a portion of the expenditures incurred by states that elect to provide medical assistance to individuals who lack the resources to cover the costs of their medical care. Medicaid eligibility usually depends upon a strict financial means test. Those who receive institutional care can ordinarily satisfy this test. The Act allows the Secretary to grant a Home and Community Based Services Waiver giving the states the option to provide home or community-based services to certain individuals who would otherwise require nursing home or other institutional care (*see* 42 USC § 1396a [a] [10] [A] [ii] [VI]; § 1396n [c]).

New York State, through OMRDD, is authorized to operate such programs, each designed to assist individuals who meet specific eligibility requirements. These programs provide home and community based services targeted to a limited number of individuals with developmental disabilities in order to assist them to be active and to participate in their communities. For an individual to be eligible for such waiver programs, 14 NYCRR

635-10.3 requires that the applicant must have a developmental disability and would be placed in an intermediate care facility for the developmentally disabled but for the provision of waiver services. These waiver services allow the Medicaid-eligible applicant to remain in the community by choosing to reside in an appropriate living arrangement instead of placement in a facility.

OMRDD, under the oversight of the New York State Department of Health (DOH), provides waiver services which can include in-home care, counseling, vocational training, rental subsidies, transportation and respite services for families and caretakers.[1] In order to qualify for OMRDD-funded services, an applicant must show the disability:

> ''(a) (1) is attributable to mental retardation, cerebral palsy, epilepsy, neurological impairment, familial dysautonomia or autism;
>
> ''(2) is attributable to any other condition of a person found to be closely related to mental retardation because such condition results in similar impairment of general intellectual functioning or adaptive behavior to that of mentally retarded persons or requires treatment and services similar to those required for such person; or
>
> ''(3) is attributable to dyslexia resulting from a disability described in subparagraph (1) or (2) of this paragraph;
>
> ''(b) originates before such person attains age twenty-two;
>
> ''(c) has continued or can be expected to continue indefinitely; and
>
> ''(d) constitutes a substantial handicap to such person's ability to function normally in society.'' (Mental Hygiene Law § 1.03 [22].)

OMRDD, through its 13 regional Developmental Disabilities Services Offices, establishes eligibility for these services on the basis of the applicant's developmental disability within the definition of Mental Hygiene Law § 1.03 (22). Generally, OMRDD

1. *See* Office of Mental Retardation and Developmental Disabilities, OMRDD Services, http://www.omr.state.ny.us/ws/servlets/WsNavigationServlet (last updated Aug. 20, 2008).

bases its eligibility determination upon the documentation provided by the applicant. At any point during the eligibility determination process, however, OMRDD may request more information or further assessment of an individual. These further assessments can be performed by the referral source, the individual's other current providers or by an independent qualified practitioner.[2] If an applicant is found not to meet the requirements of Mental Hygiene Law § 1.03 (22), the denial is automatically reviewed by designated clinicians and an independent OMRDD committee composed of licensed practitioners. Approvals, however, are made without an administrative hearing and once a regional office determines an individual is eligible, no further clinical or committee review is required.

In 2003, petitioner Jason B. applied for OMRDD support services through the Hudson Valley regional office. He was found eligible for services and began receiving from OMRDD a rent subsidy and an in-home aide through a private service provider, Taconic Innovations, Inc. The aide was to assist him with his daily living skills, such as laundry, cooking and shopping, and further provide Jason B. with transportation and money management training.

Over the next couple of years, as Taconic provided the support services to Jason B., it began to question whether he was developmentally disabled, citing his repeated behavioral problems, and requested that OMRDD reevaluate him. In 2006, after a break in service caused by Jason B.'s arrest and incarceration, Taconic again asked OMRDD to reconsider his eligibility for services. In 2006, the Hudson Valley regional office reassessed Jason B.'s medical records and its eligibility committee concluded that its initial grant of services in 2003 was in error. Subsequently, two independent OMRDD committees, composed of licensed physicians, psychologists and social workers, reviewed the same medical information that had been previously considered in 2003 and agreed with Hudson Valley's reassessment that Jason B. did not have a developmental disability as defined by Mental Hygiene Law § 1.03 (22).

In a decision dated June 15, 2006, DOH informed Jason B. that all support services would be terminated on July 1, 2006. The decision also provided details on how to appeal by doing

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2. *See* OMRDD Advisory Guideline—Determining Eligibility for Services: Substantial Handicap and Developmental Disability, Aug. 10, 2001, section IV, at 15, available at http://www.omr.state.ny.us/wt/images/wt_advisory_guidelines.pdf.

both of the following: (1) asking for a meeting (conference) with the OMRDD, and (2) requesting a fair hearing with a state hearing officer from the New York State Department of Social Services. Further, in a letter from Hudson Valley dated June 22, 2006, Jason B. was notified that he could submit any additional documentation prior to the meeting. Jason B. did not, however, submit any additional documents, nor did he request further testing to confirm that he indeed had a developmental disability within the meaning of Mental Hygiene Law § 1.03 (22).

On October 4, 2006, a fair hearing was held. This was the first instance in which evidence was introduced, testimony was taken, arguments were presented, objections were made and a transcript of the fair hearing created. According to OMRDD's Chief Psychologist, Dr. Ann Troy, the reason Jason B. was mistakenly approved for services in 2003 was because the committee members were not familiar with two of his tests and misinterpreted the results. In a decision dated October 13, 2006, the Commissioner of the New York DOH confirmed OMRDD's determination that Jason B. was not developmentally disabled, and that his enrollment in the support waiver program should be terminated.[3]

Jason B. commenced the instant CPLR article 78 proceeding challenging the DOH Commissioner's determination that he is not developmentally disabled and therefore not eligible for services. After a transfer from the Supreme Court pursuant to CPLR 7804 (g), the Appellate Division granted Jason B.'s petition and annulled DOH's determination. The Appellate Division held that when OMRDD concluded, based on then-available medical evidence, that Jason B. was developmentally disabled and eligible to receive support services in 2003, such a conclusion was a quasi-judicial determination and therefore entitled to limited res judicata effect. The court further found that since the 2006 determination was not based on any new evidence or changed circumstances, it was not supported by substantial evidence (44 AD3d 761, 762 [2007]). We granted leave to appeal (10 NY3d 710 [2008]) and now reverse.

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3. The record states that Jason B. has held jobs such as driving an ice cream truck, a security job, cook, stock boy and has worked at family dollar stores. Further, a witness appearing on behalf of Jason B. testified at the time of his fair hearing that he was currently employed as a bus monitor working with handicapped children. The record additionally indicates that Jason B. has a driver's license, has completed one semester of college and showed an interest in obtaining a degree in computer science.

[1] The principles of administrative res judicata have been long settled. We have held that

> ''[s]ecurity of person and property requires that determinations in the field of administrative law should be given as much finality as is reasonably possible . . . Indeed, it is the instinct of our jurisprudence to extend court principles to administrative or quasi-judicial hearings insofar as they may be adapted to such procedures'' (*Matter of Evans v Monaghan*, 306 NY 312, 323-324 [1954]).

The doctrine of res judicata, however, is not applicable in the instant case as no administrative or quasi-judicial hearing took place in 2003. The record shows that the 2003 eligibility determination was not based upon a practice and procedure of an administrative tribunal that is comparable to that of a court of law. In *Matter of Josey v Goord* (9 NY3d 386 [2007]) we stated that ''res judicata is generally applicable to quasi-judicial administrative determinations that are 'rendered pursuant to the adjudicatory authority of an agency to decide cases brought before its tribunals employing procedures substantially similar to those used in a court of law' '' (*id.* at 390, quoting *Ryan v New York Tel. Co.*, 62 NY2d 494, 499 [1984]).

In 2003, the procedures followed by the OMRDD which resulted in the administrative determination that Jason B. was eligible for support services were not the product of an adversarial proceeding where evidence was received, testimony taken, and arguments and objections made resulting in a record upon which OMRDD's decision can be based. ''*Res judicata* is a doctrine associated with dispute-resolution rather than administrative determinations in general'' (*Matter of Venes v Community School Bd. of Dist. 26*, 43 NY2d 520, 523 [1978]). Indeed, State Administrative Procedure Act § 102 (3) defines an adjudicatory proceeding as

> ''any activity which is not a rule making proceeding or an employee disciplinary action before an agency . . . in which a determination of the legal rights, duties or privileges of named parties thereto is required by law to be made only on a record and after an opportunity for a hearing.''

The record before us shows that in 2003 a regional office of OMRDD accepted medical documents submitted by petitioner and reached an administrative determination that Jason B. met the criteria of Mental Hygiene Law § 1.03 (22). In approving Jason B. as eligible to receive certain support services, OMRDD did not hold, nor was it required to conduct, a hearing. Since the 2003 eligibility determination was not "quasi-judicial," which requires a trial-type hearing with opportunity for presentation of evidence and cross-examination, nor the product of an adversarial proceeding in which dispute resolution occurred, we find the Appellate Division erred in its application of the doctrine of res judicata.

To hold that res judicata applies to this nonadjudicative designation of eligibility, and thus preclude OMRDD from reviewing or reconsidering prior administrative action, would impermissibly estop it from enforcing its statutory mandate when it has erred in making an initial assessment (*see Matter of New York State Med. Transporters Assn. v Perales*, 77 NY2d 126 [1990]). We cannot sanction a rule that so severely limits an administrative agency's ability to review its prior administrative actions in cases such as this where a nonadjudicative determination was initially made.

[2] As to the issue of substantial evidence, the role of a court reviewing an administrative determination is limited to ensuring that the determination arrived at following an adversarial hearing is supported by substantial evidence (*see Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222 [1974]; CPLR 7803 [4]). Here, we find that the Commissioner's 2006 determination terminating petitioner's benefits is supported by substantial evidence. In *300 Gramatan Ave. Assoc. v State Div. of Human Rights* (45 NY2d 176 [1978]), we stated that "substantial evidence consists of proof within the whole record of such quality and quantity as to generate conviction in and persuade a fair and detached fact finder that, from that proof as a premise, a conclusion or ultimate fact may be extracted reasonably—probatively and logically" (*id.* at 181). At the 2006 hearing, OMRDD called an expert witness who interpreted differently the same medical evidence submitted in 2003 regarding petitioner's alleged developmental disability. No new documentary evidence was presented and petitioner, although given an opportunity to refute OMRDD's proof and present evidence on his own behalf, failed to do so. We therefore conclude that the Commissioner's determination has a rational basis and is amply supported.

Accordingly, the judgment of the Appellate Division should be reversed, without costs, and the petition dismissed.

Judges GRAFFEO, READ, SMITH, PIGOTT and JONES concur; Chief Judge LIPPMAN taking no part.

Judgment reversed, etc.

[906 NE2d 1033, 879 NYS2d 1]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v GEORGE QUINONES, Appellant.

Argued January 13, 2009; decided February 24, 2009

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered November 27, 2007. The Appellate Division affirmed a judgment of the Supreme Court, Kings County (John G. Ingram, J.), which had convicted defendant, upon a jury verdict, of burglary in the third degree and sentenced defendant as a persistent felony offender to an indeterminate sentence of imprisonment of 18 years to life.

People v Quinones, 45 AD3d 874, affirmed.

HEADNOTES

Appeal — Court of Appeals

1. Supreme Court's determination that the police possessed reasonable suspicion to stop and detain defendant was beyond further review by the Court of Appeals. The determination, a mixed question of law and fact, was not disturbed by the Appellate Division and was supported by the record.

Crimes — Right to Counsel — Effective Representation

2. Because the facts surrounding the search of a bag seized from defendant by police were not fully developed at the suppression hearing, it could not be determined on appeal that defense counsel's failure to argue that the property recovered from defendant's bag should have been suppressed on the ground of the illegality of the search constituted ineffective assistance of counsel. It was not clear what counsel knew or did not know regarding the search, nor was it clear that suppression was warranted on the ground of the illegality of the search.

Crimes — Sentence — Persistent Felony Offender

3. The decision of the United States Supreme Court in *Cunningham v California* (549 US 270 [2007]), holding that California's determinate sentencing law violated defendant's Sixth Amendment right to a trial by jury and *Apprendi v New Jersey* (530 US 466 [2000]), because it authorized the judge to find facts exposing defendant to an elevated upper term sentence, did not render New York's discretionary persistent felony offender sentencing scheme unconstitutional. New York's sentencing scheme (Penal Law § 70.10; CPL 400.20) is a recidivist sentencing scheme pursuant to which a defendant is subject to an enhanced sentence based solely on the existence of two prior felony convictions. It is only after a defendant's eligibility for an enhanced sentence is determined that a judge is given the discretion to choose the appropriate sentence within a sentencing range prescribed by statute. Sentencing schemes allowing for such discretion are permissible under the Sixth

Amendment. New York's sentencing scheme, by requiring that sentencing courts consider defendant's "history and character" and the "nature and circumstances" of defendant's conduct in deciding where, within a range, to impose an enhanced sentence, sets the parameters for the performance of one of the sentencing court's most traditional and basic functions, i.e., the exercise of sentencing discretion.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 618, 645; AM JUR 2d, Criminal Law §§ 779, 786, 1124, 1136–1139; AM JUR 2d, Habitual Criminals and Subsequent Offenders §§ 48, 51; AM JUR 2d, Searches and Seizures §§ 230, 259.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:320–172:324, 172:1723, 172:1903, 172:1905, 172:3899, 172:4009, 172:4018, 172:4019, 172:4490, 172:4491, 172:4494.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 3.3, 3.8, 10.5, 11.6, 11.10, 26.5, 26.6, 27.5.

MCKINNEY'S, CPL 400.20; Penal Law § 70.10.

NY JUR 2d, Criminal Law: Procedure §§ 223, 864–870, 895, 897, 2892, 3256, 3264, 3267, 3637, 3638.

US Const 6th Amend.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Attorneys; Exclusion and Suppression of Evidence; Habitual Criminals and Subsequent Offenders; Search and Seizure; Sentence and Punishment.

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POINTS OF COUNSEL

William G. Kastin, New York City, and *Lynn W.L. Fahey* for appellant. I. Appellant was illegally seized when the police, acting on the basis of an anonymous tip containing only a general description and having no indicia of reliability, forcibly stopped him when he continued walking away. (*Florida v J.L.,* 529 US 266; *People v Moore,* 6 NY3d 496; *People v William II,* 98 NY2d 93; *People v Holmes,* 81 NY2d 1056; *Sibron v New York,* 392 US 40; *California v Hodari D.,* 499 US 621; *Terry v Ohio,* 392 US 1; *People v De Bour,* 40 NY2d 210; *People v May,* 81 NY2d 725;

People v Carrasquillo, 54 NY2d 248.) II. Appellant was denied his Sixth Amendment right to the effective assistance of counsel when his attorney failed to challenge the warrantless precinct search of his knapsack about 20 minutes after appellant had been cuffed behind his back and taken into police custody. (*Strickland v Washington*, 466 US 668; *People v Gokey,* 60 NY2d 309; *People v Smith,* 59 NY2d 454; *People v Baldi,* 54 NY2d 137; *Coles v Peyton,* 389 F2d 224; *People v LaBree,* 34 NY2d 257; *People v Droz,* 39 NY2d 457; *People v Evans,* 43 NY2d 160; *New York v Belton,* 453 US 454; *Chimel v California,* 395 US 752.) III. In light of *Cunningham v California* (549 US 270 [2007]), appellant was deprived of his due process and Sixth Amendment rights when, based on numerous facts not found by a jury beyond a reasonable doubt, he was adjudicated and sentenced as a discretionary persistent felony offender to a prison term of 18 years to life, instead of the maximum 3½-to-7-year prison term for the crime of which he was convicted. (*Blakely v Washington,* 542 US 296; *Ring v Arizona,* 536 US 584; *Apprendi v New Jersey,* 530 US 466; *People v Rivera,* 5 NY3d 61; *People v Rosen,* 96 NY2d 329; *Almendarez-Torres v United States,* 523 US 224; *United States v Gaudin,* 515 US 506; *United States v Booker,* 543 US 220; *Washington v Poole,* 507 F Supp 2d 342; *Portalatin v Graham,* 478 F Supp 2d 385.)

Charles J. Hynes, District Attorney, Brooklyn (*Thomas S. Burka* and *Leonard Joblove* of counsel), for respondent. I. The hearing court's denial of defendant's motion to suppress physical evidence was proper. (*People v Volpe,* 60 NY2d 803; *People v Martin,* 50 NY2d 1029; *People v Harper,* 7 NY3d 882; *People v Pines,* 99 NY2d 525; *People v McIntosh,* 96 NY2d 521; *People v Harrison,* 57 NY2d 470; *Maryland v Wilson,* 519 US 408; *People v Batista,* 88 NY2d 650; *People v De Bour,* 40 NY2d 210; *People v Cantor,* 36 NY2d 106.) II. Defendant's claim of ineffective assistance of counsel is meritless. (*People v Henry,* 95 NY2d 563; *People v Benevento,* 91 NY2d 708; *People v Ford,* 86 NY2d 397; *Strickland v Washington,* 466 US 668; *People v Rivera,* 71 NY2d 705; *People v Garcia,* 75 NY2d 973; *People v Love,* 57 NY2d 998; *Eze v Senkowski,* 321 F3d 110; *Florida v Wells,* 495 US 1; *People v Johnson,* 1 NY3d 252.) III. The trial court sentenced defendant in conformity with the rulings of the United States Supreme Court in *Apprendi v New Jersey* (530 US 466 [2000]) and its progeny. (*People v Rosen,* 96 NY2d 329, 534 US 899; *People v Rivera,* 5 NY3d 61, 546 US 984; *Cunningham v California,* 549 US 270; *Blakely v Washington,* 542 US 296; *United States v Booker,* 543 US 220; *People v Bing,* 76 NY2d 331; *People* *v Taylor,* 9 NY3d 129; *People v Damiano,* 87 NY2d 477; *People v Daniels,* 5 NY3d 738; *People v West,* 5 NY3d 740.)

OPINION OF THE COURT

JONES, J.

This appeal presents another *Apprendi*[1] challenge to New York's discretionary persistent felony offender sentencing scheme. The primary issue before us is whether, in light of *Cunningham v California* (549 US 270 [2007]), this sentencing scheme violates *Apprendi* and defendant's due process and Sixth Amendment rights. We again uphold the constitutionality of New York's discretionary persistent felony offender sentencing scheme and further hold that defendant's constitutional rights were not violated.

Facts and Procedural History

On April 21, 2004, at about 12:05 P.M., the police received a radio run of a burglary in progress on the fifth floor of a six-floor apartment building located in Brooklyn, New York. The building, which is part of a New York City Housing Authority development, had two stairwells (Stairwell A and Stairwell B). The stairwells met on the fourth floor and were connected by a door. The radio run included physical descriptions of two perpetrators. Within minutes of the radio run, two police officers entered the building and split up, each going up one stairwell. On the fourth floor, the officer going up Stairwell A looked into Stairwell B through the door window and observed defendant, who matched the physical description of one of the perpetrators, as he was coming down from the fifth floor carrying a duffel bag. At about this time, the other officer was coming up Stairwell B. Seeing this, defendant quickly changed direction and proceeded to Stairwell A. When defendant opened the door to Stairwell A, he came upon the first officer and his eyes "popped open" in surprise. The officer asked defendant who he was and what he was doing in the building. Defendant, who was not a resident of the building, tried to evade the officer, who, in turn, tried to prevent defendant from leaving by reaching out and grabbing his arm. Defendant tried to break free by swinging at the officer with his other arm. After a brief struggle, the police subdued defendant and placed him under arrest. One of the officers went to the fifth floor (the floor defendant was com-

1. *Apprendi v New Jersey*, 530 US 466 (2000).

ing from) where he discovered that the door to apartment 5-I was open, the lock on the door broken, the door frame damaged and the apartment ransacked. After taking defendant to a police precinct for processing, the police officers searched the bag defendant had been carrying and recovered burglary tools and property later determined to be property stolen during the burglary.

Defendant, arguing that his arrest was the product of an illegal stop and detention, and that everything flowing from this illegality was tainted, moved to suppress the statement he made to a police officer after his arrest (he confessed to participating in the burglary as a ''lookout'') and the property recovered from his duffel bag. Supreme Court held a *Dunaway/Huntley* hearing and considered defendant's arguments. In light of the evidence adduced at the hearing, including the fully credited testimony of the arresting police officer, Supreme Court rejected defendant's arguments and denied the motion in its entirety.

A jury ultimately convicted defendant of burglary in the third degree (Penal Law § 140.20 [''(a) person is guilty of (third degree burglary) when he knowingly enters or remains unlawfully in a building with intent to commit a crime therein'']), a class D felony which gives rise to an indeterminate sentence. Under the Penal Law, the maximum term for such sentence is at least three years and no more than seven years (Penal Law § 70.00 [2] [d]). Prior to sentencing, the People moved for Supreme Court to sentence defendant as a discretionary persistent felony offender. In so moving, the People sought to treat defendant's class D felony as a class A-I felony (Penal Law § 70.10 [2]) and have defendant sentenced to an indeterminate prison term of 25 years to life (Penal Law § 70.00 [2] [a]; [3] [a] [i]). Defendant opposed the motion, arguing that the discretionary persistent felony offender sentencing scheme was unconstitutional under *Apprendi* and its progeny.

Supreme Court held a hearing pursuant to CPL 400.20 to determine whether to adjudicate defendant a discretionary persistent felony offender and impose a recidivist sentence. As set forth in CPL 400.20 (5), the court first concluded that defendant was a discretionary persistent felony offender based on defendant's four prior felony convictions—a 1983 robbery conviction, a 1986 grand larceny conviction, a 1989 attempted robbery conviction and a 1994 attempted criminal sale of a controlled substance conviction (Penal Law § 70.10 [1] [a]). The court determined that defendant was eligible to be sentenced as a discretionary persistent felony offender and that a recidivist sentence was warranted. Defendant was sentenced to an indeterminate prison term of 18 years to life.[2] The Appellate Division unanimously affirmed, concluding, among other things, that the police had reasonable suspicion to stop and detain defendant based on his ''attempted flight'' and ''the temporal proximity between the reported robbery and the officers' arrival on the scene'' (45 AD3d 874, 875 [2007]). The court also concluded that in light of this Court's decisions in *People v Rosen* (96 NY2d 329 [2001]) and *People v Rivera* (5 NY3d 61 [2005]), defendant's *Apprendi* challenge lacked merit. A Judge of this Court granted defendant leave to appeal (10 NY3d 815 [2008]).

Discussion

Defendant seeks to have his conviction reversed on two grounds. First, he argues that Supreme Court erred in not suppressing his confession and the property recovered from his bag because they were the product of an illegal stop and detention. Second, defendant claims ineffective assistance of trial counsel based on his counsel's failure to argue that even if the stop and detention were legal, the recovered property should have been suppressed because of the illegality of the warrantless search of defendant's bag at the precinct.

[1] Regarding defendant's first contention, Supreme Court's determination that the police possessed reasonable suspicion to stop and detain defendant (*see People v De Bour*, 40 NY2d 210, 223 [1976]; *People v Hollman*, 79 NY2d 181, 184-185 [1992]; *People v McIntosh*, 96 NY2d 521, 525 [2001]), a mixed question of law and fact, was not disturbed by the Appellate Division and is supported by the record. Accordingly, this determination is beyond our further review (*see People v Harrison*, 57 NY2d 470, 477-478 [1982]; *People v Allen*, 9 NY3d 1013, 1015 [2008]).

[2] With respect to defendant's ineffective assistance claim, we note that the facts surrounding the search of defendant's bag were not fully developed at the suppression hearing. Ac-

2. The court noted that

> ''[d]efendant's background reveals a twenty-year criminal history which includes four felony convictions, three of which are violent felonies. . . . In addition, [d]efendant has six misdemeanor convictions . . . Thus, [d]efendant's criminal record establishes that he has made a career of crime, that he lacks respect for people and their property, and that he is a menace to society.''

cordingly, it is not clear what counsel knew or did not know regarding the search, such as whether the search was in accordance with police inventory procedures. Nor is it clear that this argument would have resulted in suppression of the evidence. Therefore, on the record before us, we are unable to determine that counsel's assistance was ineffective.

[3] Defendant also argues that his recidivist sentence violates *Apprendi*. Specifically, defendant asserts that in light of *Cunningham*, the sentence violates his right to due process and trial by jury, and New York's discretionary persistent felony offender sentencing scheme is constitutionally infirm. Defendant's arguments are unavailing.

In *Apprendi v New Jersey* (530 US 466 [2000]), the Supreme Court held that, ''[o]ther than the fact of a prior conviction, any fact that increases the penalty for a crime beyond the prescribed statutory maximum must be submitted to a jury, and proved beyond a reasonable doubt'' (*Apprendi*, 530 US at 490). In so holding, the *Apprendi* Court's goal was to prevent legislative attempts to ''remove from the [province of the] jury'' factual determinations that impact the maximum punishment available for a statutory offense (*id.* [internal quotation marks omitted]).[3] *Apprendi* and its progeny are rooted in the United States Constitution's Sixth Amendment, which provides every person accused of a crime the right to ''trial[ ] by an impartial jury,'' and emanated from the Supreme Court's prior decisions in *Almendarez-Torres v United States* (523 US 224, 226-227 [1998] [judicial fact-finding of a defendant's prior conviction and consideration of same at sentencing is not a violation of the Sixth Amendment]) and *Jones v United States* (526 US 227, 239-252 [1999] [Court recognized that judicial fact-finding, outside the finding of a defendant's prior convictions, operating

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3. The *Apprendi* rule seeks to preserve the jury's historic role as a bulwark between the State and the accused at the trial for an alleged offense (*see Apprendi*, 530 US at 477). In further support of the rule, the Supreme Court stated that

> ''structural democratic constraints exist to discourage legislatures from enacting penal statutes that expose *every* defendant convicted of . . . [an offense] to a maximum sentence exceeding that which is, in the legislature's judgment, generally proportional to the crime. . . . Our rule ensures that a State is obliged to make its choices concerning the substantive content of its criminal laws with full awareness of the consequences, unable to mask substantive policy choices of exposing all who are convicted to the maximum sentence it provides'' (*id.* at 490 n 16 [internal quotation marks omitted]).

to increase a defendant's maximum punishment would diminish the role of the jury, thus creating a genuine issue under the Sixth Amendment]).[4]

At issue in *Apprendi* was a New Jersey statutory scheme that allowed a judge to increase a defendant's punishment beyond the maximum sentence range authorized for the crime of possession of a firearm for an unlawful purpose based on the judge's finding by a preponderance of the evidence that defendant also committed a crime with the intent to intimidate based on race, religion, color, gender, ethnicity, sexual orientation or handicap. The Supreme Court held that because this sentencing scheme (1) removed what amounts to an element of a greater offense that would ordinarily be submitted to the jury (and proved beyond a reasonable doubt), and (2) allowed a judge to decide the fact using a lesser standard of proof and, thereby, increase the sentence beyond the permissible maximum sentence range, it violated the Sixth Amendment right to a trial by jury.

The common denominator of the sentencing schemes invalidated or partially struck down in the wake of *Apprendi* is that they provided for an increase to defendant's punishment—beyond the range authorized by the jury's finding of guilt or defendant's admission—based on additional facts found by a judge using a preponderance-of-the-evidence standard (*see e.g. Ring* [sentencing scheme at issue provided that defendant convicted of first degree murder could only be sentenced to life imprisonment unless the judge determined the existence of aggravating factors warranting the imposition of the death penalty]; *Blakely* [sentencing scheme permitted an enhanced sentence beyond the statutory maximum based on the judge's finding that defendant committed the crime with "deliberate cruelty" (542 US at 298)]; *Booker* [portion of the mandatory

4. *See Ring v Arizona*, 536 US 584, 602 (2002) (Court clarified *Apprendi* rule by stating, "If a State makes an increase in a defendant's authorized punishment contingent on the finding of a fact, that fact—no matter how the State labels it—must be found by a jury beyond a reasonable doubt"); *Blakely v Washington*, 542 US 296, 303, 304 (2004) (Court stated: 1. the " 'statutory maximum' for *Apprendi* purposes is the maximum sentence a judge may impose *solely on the basis of the facts reflected in the jury verdict or admitted by the defendant*," and 2. "[w]hen a judge inflicts punishment that the jury's verdict alone does not allow, the jury has not found all the facts 'which the law makes essential to the punishment' . . . and the judge exceeds his proper authority"); *United States v Booker*, 543 US 220, 232 (2005) (a judge's determination of a fact that elevates defendant's sentence above the "statutory maximum," i.e., above the range authorized by a jury's verdict or defendant's admission of guilt, violates the Sixth Amendment).

Federal Sentencing Guidelines required judicial fact-finding that could increase the maximum potential sentence of a defendant]). California's determinate sentencing law (DSL) at issue in *Cunningham* was no different.

In describing California's DSL, the Supreme Court noted that

> "[f]or most offenses, including Cunningham's, the DSL regime is implemented in the following manner. The statute defining the offense prescribes three precise terms of imprisonment—a lower, middle, and upper term sentence. *E.g.*, Penal Code § 288.5 (a) (West 1999) (a person convicted of continuous sexual abuse of a child 'shall be punished by imprisonment in the state prison for a term of 6, 12, or 16 years'). See also [*People v Black*], 35 Cal. 4th [1238,] 1247 . . . Penal Code § 1170 (b) (West Supp. 2006) controls the trial judge's choice; it provides that 'the court shall order imposition of the middle term, unless there are circumstances in aggravation or mitigation of the crime.' '[C]ircumstances in aggravation or mitigation' are to be determined by the court after consideration of several items: the trial record; the probation officer's report; statements in aggravation or mitigation submitted by the parties, the victim, or the victim's family; 'and any further evidence introduced at the sentencing hearing.' *Ibid*." (*Cunningham*, 549 US at 277.)

In addition, the DSL

> "directed the State's Judicial Council to adopt Rules guiding the sentencing judge's decision whether to '[i]mpose the lower or upper prison term.' Penal Code § 1170.3 (a) (2) (West 2004). Restating [Penal Code] § 1170 (b), the Council's Rules provide that '[t]he middle term shall be selected unless imposition of the upper or lower term is justified by circumstances in aggravation or mitigation.' Rule 4.420 (a). 'Circumstances in aggravation,' as crisply defined by the Judicial Council, means '*facts* which justify the imposition of the upper prison term.' Rule 4.405 (d) (emphasis added). Facts aggravating an offense, the Rules instruct, 'shall be established by a preponderance of the evidence,' Rule 4.420 (b), and must be 'stated orally on the record.' Rule 4.420 (e).

> ''The Rules provide a nonexhaustive list of aggravating circumstances, including [facts relating to the crime committed and defendant] . . . Beyond the enumerated circumstances, 'the judge is free to consider any ''additional criteria reasonably related to the decision being made.'' ' *Black*, 35 Cal. 4th, at 1247. 'A fact that is an element of the crime,' however, 'shall not be used to impose the upper term.' Rule 4.420 (d). In sum, California's DSL, and the rules governing its application, direct the sentencing court to start with the middle term, and to move from that term only when the court itself finds and places on the record facts—whether related to the offense or the offender—beyond the elements of the charged offense'' (*id.* at 278-279 [footnotes and some citations omitted]).

Because California's DSL, by its plain terms, authorized the judge, not the jury, to find facts exposing defendant to an elevated upper term sentence, the Supreme Court held that this sentencing scheme violated defendant's Sixth Amendment right to a trial by jury and *Apprendi* (*see id.* at 274). Citing *Blakely*, the *Cunningham* Court made clear that

> ''broad discretion to decide what facts may support an enhanced sentence, or to determine whether an enhanced sentence is warranted in any particular case, does not shield a sentencing system from the force of our [*Apprendi*] decisions. If the jury's verdict alone does not authorize the sentence, if, instead, the judge must find an additional fact to impose the longer term, the Sixth Amendment requirement is not satisfied'' (*id.* at 290, citing *Blakely*, 542 US at 305).

Here, defendant argues that New York's discretionary persistent felony offender sentencing scheme suffers from the same constitutional infirmity as California's DSL because the ''higher persistent felony offender range cannot be imposed without the judicially-found fact that the 'nature and circumstances' of the criminal conduct and the 'history and character' of the defendant warrant lifetime supervision in the public interest.'' Defendant's view of New York's sentencing scheme is inaccurate.

The discretionary persistent felony offender sentencing scheme is comprised of two statutes: Penal Law § 70.10 and

Criminal Procedure Law § 400.20. Under Penal Law § 70.10 (1) (a), ''[a] persistent felony offender is a person, other than a persistent violent felony offender as defined in [Penal Law §] 70.08, who stands convicted of a felony after having previously been convicted of two or more felonies.'' Penal Law § 70.10 (2) further provides:

> ''When the court has found, pursuant to [Criminal Procedure Law § 400.20], that a person is a persistent felony offender, and when it is of the opinion that the history and character of the defendant and the nature and circumstances of his criminal conduct indicate that extended incarceration and life-time supervision will best serve the public interest, the court, in lieu of imposing the sentence of imprisonment authorized [under Penal Law article 70] for the crime of which such person presently stands convicted, may impose the sentence of imprisonment authorized by that section for a class A-I felony. In such event the reasons for the court's opinion shall be set forth in the record.''

Criminal Procedure Law § 400.20 sets forth the procedure for determining whether a defendant should be sentenced as a persistent felony offender. Under Criminal Procedure Law § 400.20 (1),

> ''[s]uch sentence may not be imposed unless, based upon evidence in the record of a hearing held pursuant to this section, the court (a) has found that the defendant is a persistent felony offender . . . , and (b) is of the opinion that the history and character of the defendant and the nature and circumstances of his criminal conduct are such that [such sentence is] warranted to best serve the public interest.''

At the hearing provided for under this sentencing scheme, the burden is on the People to prove beyond a reasonable doubt that defendant is a persistent felony offender (CPL 400.20 [5]). Once defendant has been proven to be a persistent felony offender,

> ''[m]atters pertaining to the defendant's history and character and the nature and circumstances of his criminal conduct may be established by any relevant evidence, not legally privileged, regardless of admissibility under the exclusionary rules of evi-

> dence, and the standard of proof with respect to such matters shall be a preponderance of the evidence'' (*id.*).

After the hearing, if the court ''is of the opinion that a persistent felony offender sentence is warranted, it may sentence the defendant in accordance with [Penal Law § 70.10 (2)]'' (CPL 400.20 [9]). In sum, under New York's discretionary persistent felony offender sentencing scheme, once the People prove beyond a reasonable doubt that a defendant is a persistent felony offender (i.e., a twice-prior convicted felon), defendant is eligible to be sentenced as a discretionary persistent felony offender and the court may consider defendant's ''history and character'' to determine whether a discretionary persistent felony offender sentence is warranted.

This Court has on two occasions conducted an extensive analysis regarding whether New York's discretionary persistent felony offender sentencing scheme violates *Apprendi* (*see People v Rosen*, 96 NY2d 329 [2001], *cert denied* 534 US 899 [2001]; *People v Rivera*, 5 NY3d 61 [2005], *cert denied* 546 US 984 [2005]). In *Rosen*, we held that upon proving that a defendant is a twice-prior convicted felon, the sentencing court may review defendant's history and character as well as the nature and circumstances of defendant's criminal conduct to determine whether to impose a recidivist (enhanced) sentence (CPL 400.20 [5]) and that, under the discretionary persistent felony offender statutes, prior felony convictions are the sole determinant of whether a defendant is eligible for recidivist sentencing as a persistent felony offender (*Rosen*, 96 NY2d at 335). *Rivera*, which was decided after *Blakely* and *Booker*, upheld *Rosen* (in reasoning and result), the discretionary persistent felony offender statutes and the recidivist sentence imposed (*Rivera*, 5 NY3d at 63).[5] As we stated in *Rivera*,

> ''the relevant question under the United States Constitution is not whether those facts were essential to the trial court's opinion (CPL 400.20 [1] [b]), but whether there are any facts other than the predicate convictions that must be found to make recidivist sentencing possible (*see Blakely*, 542 US at 303-

5. Applying *Rivera*, we have rejected, as meritless, four challenges to the constitutionality of the discretionary persistent felony offender statutes (*see People v Daniels*, 5 NY3d 738 [2005]; *People v West*, 5 NY3d 740 [2005]; *People v Leon*, 10 NY3d 122 [2008]; *People v Rawlins*, 10 NY3d 136 [2008]). Note, *Leon* and *Rawlins* were decided after *Cunningham*.

> 304). Our answer is no. As we explained in *Rosen*, the predicate felonies are both necessary and sufficient conditions for imposition of the authorized sentence for recidivism; that is why we pointedly called the predicate felonies the 'sole' determinant (96 NY2d at 335). By this unequivocal statement, we meant, and today confirm, that Criminal Procedure Law § 400.20, by authorizing a hearing on facts relating to the defendant's history and character, does not grant defendants a legal entitlement to have those facts receive controlling weight in influencing the court's opinion. The statutory language requiring the sentencing court to consider the specified factors and to articulate the reason for the chosen sentence grants defendants a right to an airing and an explanation, not a result. . . .
>
> "To reiterate our analysis in *Rosen*, a defendant adjudicated as a persistent felony offender has a statutory right to present evidence that might influence the court to exercise its discretion to hand down a sentence as if no recidivism finding existed, while the People retain the burden to show that the defendant deserves the higher sentence. Nevertheless, once a defendant is adjudged a persistent felony offender, a recidivism sentence cannot be held erroneous as a matter of law, unless the sentencing court acts arbitrarily or irrationally" (*id.* at 67-68 [footnote omitted]).

The preceding discussion makes clear that California's DSL and New York's discretionary persistent felony offender sentencing scheme are fundamentally different. The DSL accorded judges discretion to find the facts necessary for the imposition of an enhanced sentence (i.e., one beyond the relevant sentencing range authorized by a jury's verdict based on findings other than a defendant's prior convictions). That is, a defendant was only eligible for an enhanced sentence upon a judicial determination of certain facts other than recidivist status. Thus, the DSL is precisely the type of sentencing scheme that has been repeatedly invalidated under *Apprendi*.

New York's sentencing scheme, in contrast, is a recidivist sentencing scheme. That is, under New York's scheme, a defendant is subject to an enhanced sentence based solely on the existence of two prior felony convictions. This fact alone places the New York scheme outside the scope of the *Apprendi* rule. Another distinguishing feature of New York's sentencing scheme is that it is only after a defendant's eligibility for an enhanced sentence is determined that a judge is given the discretion to choose *the appropriate sentence within a sentencing range prescribed by statute*. A common theme of the *Apprendi* decisions is that sentencing schemes allowing for such discretion are permissible under the Sixth Amendment. For example, the *Apprendi* Court stated that

> ''nothing in [the Sixth Amendment's] history suggests that it is impermissible for judges to exercise discretion—taking into consideration various factors relating both to offense and offender—in imposing a judgment *within the range* prescribed by statute. We have often noted that judges in this country have long exercised discretion of this nature in imposing sentence *within statutory limits* in the individual case'' (*Apprendi*, 530 US at 481; *see Booker*, 543 US at 235 [the Sixth Amendment does not prohibit a judge from exercising his or her discretion within a sentence range authorized by a jury's verdict or defendant's admission of guilt—such an exercise does not impinge on the jurors' role in determining the upper limits of a defendant's sentence]).

Regarding the discretion a sentencing court must exercise, the Supreme Court further explained:

> ''Of course indeterminate [sentencing] schemes involve judicial factfinding, in that a judge (like a parole board) may implicitly rule on those facts he deems important to the exercise of his sentencing discretion. But the facts do not pertain to whether the defendant has a legal *right* to a lesser sentence—and that makes all the difference insofar as judicial impingement upon the traditional role of the jury is concerned. In a system that says the judge may punish burglary with 10 to 40 years, every burglar knows he is risking 40 years in jail. In a system that punishes burglary with a 10-year sentence, with another 30 added for use of a gun, the burglar who enters a home unarmed is *entitled* to no more than a 10-year sentence—and by reason of the Sixth Amendment

> the facts bearing upon that entitlement must be found by a jury'' (*Blakely*, 542 US at 309).

Taking the foregoing into account, defendant's argument that the higher persistent felony offender range cannot be imposed without judicially-found facts regarding the ''nature and circumstances'' of defendant's criminal conduct and defendant's ''history and character'' misses the point. Unlike the sentencing schemes in *Apprendi*, *Ring*, *Blakely*, *Booker* and *Cunningham*, all of which effectively provided for judicial fact-finding of an element(s) of an offense as a prerequisite to enhancing a sentence *beyond* the relevant sentencing range, the New York sentencing scheme, after a defendant is deemed eligible to be sentenced as a persistent felony offender, requires that the sentencing court make a qualitative judgment about, among other things, the defendant's criminal history and the circumstances surrounding a particular offense in order to determine whether an enhanced sentence, *under* the statutorily prescribed sentencing range, is warranted. Stated differently, New York's sentencing scheme, by requiring that sentencing courts consider defendant's ''history and character'' and the ''nature and circumstances'' of defendant's conduct in deciding where, within a range, to impose an enhanced sentence, sets the parameters for the performance of one of the sentencing court's most traditional and basic functions, i.e., the exercise of sentencing discretion.[6]

Finally, the *Cunningham* Court considered and struck down a sentencing scheme similar to those in *Blakely* and *Booker*. In so ruling, the Supreme Court did not expand the contours of the *Apprendi* rule so that it would be applicable to New York's recidivist sentencing scheme (*see Cunningham*, 549 US at 281 [a court's application of the *Apprendi* rule must honor the ''longstanding common-law practice'' that provides its foundation]; *Oregon v Ice*, 555 US —, —, 129 S Ct 711, 714 [2009] [Court stated that it ''has not extended the *Apprendi* and *Blakely* line of decisions beyond the offense-specific context that supplied the historic grounding for the decisions'']).

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6. The exercise of a trial court's sentencing discretion is subject to review by the Appellate Division. In the exercise of its discretion in the interest of justice (*see* CPL 470.20 [6]), the Appellate Division ''may conclude that a persistent felony offender sentence is too harsh or otherwise improvident'' (*Rivera*, 5 NY3d at 68).

Based on the foregoing, we hold that *Cunningham* does not render New York's discretionary persistent felony offender sentencing scheme unconstitutional.

Accordingly, the order of the Appellate Division should be affirmed.

Judges CIPARICK, GRAFFEO, READ, SMITH and PIGOTT concur; Chief Judge LIPPMAN taking no part.

Order affirmed.

[907 NE2d 268, 879 NYS2d 355]

IDT CORPORATION, Respondent, v MORGAN STANLEY DEAN WITTER & CO. et al., Appellants.

Argued February 10, 2009; decided March 26, 2009

SUMMARY

Appeal, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered November 20, 2007. The Appellate Division affirmed an order of the Supreme Court, New York County (Herman Cahn, J.; op 2006 NY Slip Op 30076[U]), which, to the extent appealed from, had denied defendants' motion to dismiss the first, second, fourth and fifth causes of action in the complaint. The following question was certified by the Appellate Division: ''Was the order of this Court, which affirmed the order of the Supreme Court, properly made?''

IDT Corp. v Morgan Stanley Dean Witter & Co., 45 AD3d 419, reversed.

HEADNOTES

Appeal — Court of Appeals — Matters Reviewable

1. In an action by plaintiff telecommunications company against defendant investment banker alleging breach of fiduciary duty, intentional interference with existing contract, intentional interference with prospective business relations, misappropriation of confidential and proprietary business information, and unjust enrichment, the issue of whether plaintiff was collaterally estopped from relitigating the amount of its compensatory damages based on its prior arbitration against a nonparty was not addressed by the Court of Appeals, because all of plaintiff's claims were either time-barred or failed to state a cause of action.

Limitation of Actions — What Statute Governs — Breach of Fiduciary Duty

2. The breach of fiduciary duty cause of action asserted by plaintiff telecommunications company against defendant investment banker was subject to the three-year statute of limitations for injury to property contained in CPLR 214 (4), because plaintiff primarily sought damages, and the equitable relief it sought, including the disgorgement of profits, was incidental to that relief. The breach of fiduciary duty claim was not a fraud claim governed by a six-year statute of limitations (CPLR 213 [8]). Plaintiff failed to state a claim that it acted in justifiable reliance on defendant's alleged misrepresentation or material omission.

Limitation of Actions — When Cause of Action Accrues — Breach of Fiduciary Duty

3. The breach of fiduciary duty cause of action asserted in November 2004 by plaintiff telecommunications company against defendant investment

banker was barred by the applicable three-year statute of limitations (CPLR 214 [4]). Plaintiff first suffered loss, as a result of defendant's alleged breach of fiduciary duty, after a nonparty telecommunications company refused to comply with the Memorandum of Understanding it had executed with plaintiff. The exact date of the injury must have been before May 2001, when plaintiff commenced an arbitration proceeding against the nonparty alleging that it had sustained a loss of some $3.15 billion as a result of the nonparty's breach of their binding agreement. More than three years passed, therefore, before plaintiff commenced its action against defendant, rendering plaintiff's breach of fiduciary duty claim time-barred.

Limitation of Actions — Three-Year Statute of Limitations — Interference with Contractual Relations — Misappropriation of Confidential Business Information — When Cause of Action Accrues

4. Causes of action alleging intentional interference with existing contract and misappropriation of confidential and proprietary business information asserted in November 2004 by plaintiff telecommunications company against defendant investment banker were barred by the applicable three-year statute of limitations (CPLR 214 [4]). Plaintiff's damages resulted from a nonparty telecommunications company's refusal to comply with the Memorandum of Understanding (MOU) it had executed with plaintiff—intransigence allegedly induced by defendant's disclosure of plaintiff's confidential business information. Plaintiff first suffered loss—as a result of defendant's alleged interference with contractual relations and misappropriation of confidential business information—when the nonparty refused to comply with the MOU, which was before plaintiff commenced an arbitration proceeding against the nonparty in May 2001, rendering the claims time-barred.

Limitation of Actions — Estoppel to Plead Statute of Limitations

5. In an action by plaintiff telecommunications company against defendant investment banker arising out of a nonparty telecommunications company's refusal to comply with a Memorandum of Understanding it had executed with plaintiff, defendant was not equitably estopped from asserting its statute of limitations defenses to plaintiff's breach of fiduciary duty and related causes of action. Plaintiff failed to demonstrate that any action or inaction by defendant caused plaintiff's delay in bringing the action. Plaintiff learned in 2000 that defendant was denigrating it in discussions with the nonparty telecommunications company. Plaintiff, given its awareness that the nonparty's financial adviser had disparaged it, should have made further inquiry before the statute of limitations expired.

Equity — Unjust Enrichment

6. No cause of action for unjust enrichment was stated by plaintiff telecommunications company, which alleged that defendant investment banker was unduly enriched by fees it obtained from plaintiff and from a nonparty telecommunications company, and by certain other fees. Such a quasi contract claim is ordinarily precluded where the parties have executed a valid and enforceable written contract governing a particular subject matter. The unjust enrichment claim could not form the basis of plaintiff's demand that defendant return the $10,000,000 fee paid in relation to the sale of certain stock, because that fee arose from services governed by an engagement letter signed by plaintiff. Nor could the unjust enrichment claim support the disgorgement of any profits defendant obtained from the nonparty or other companies in connection with the underwater fiber-optic cable network that the nonparty

was building. An unjust enrichment claim rests upon the equitable principle that a person shall not be allowed to enrich himself unjustly at the expense of another. Defendant was not unjustly enriched at plaintiff's expense, because plaintiff did not pay the alleged fees.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appeal and Error §§ 774, 775; AM JUR 2d, Equity § 6; AM JUR 2d, Estoppel and Waiver §§ 27–32, 40; AM JUR 2d, Limitation of Actions §§ 142, 145, 148, 380, 383, 390; AM JUR 2d, Restitution and Implied Contracts §§ 2, 3, 8, 9, 11, 12, 170.

CARMODY-WAIT 2d, Limitation of Actions §§ 13:53, 13:79–13:81, 13:339, 13:503, 13:510, 13:513.

MCKINNEY'S, CPLR 213 (8); 214 (4).

NY JUR 2d, Appellate Review §§ 96, 799; NY JUR 2d, Banks and Financial Institutions §§ 429, 430; NY JUR 2d, Contracts §§ 520, 523–525; NY JUR 2d, Estoppel, Ratification, and Waiver §§ 3, 4; NY JUR 2d, Judgments §§ 339, 340, 351; NY JUR 2d, Limitations and Laches §§ 40, 84, 146, 149, 150, 220, 235, 237, 374.

SIEGEL, NY PRAC §§ 35, 528.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Banks and Banking; Breach of Duty or Trust; Collateral Estoppel; Equitable Estoppel; Limitation of Actions; Restitution and Implied Contracts; Unjust Enrichment.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: limitation /s breach /3 fiduciary & collateral /2 estoppel

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POINTS OF COUNSEL

Davis Polk & Wardwell, New York City (*Guy Miller Struve, Benjamin S. Kaminetzky* and *Rebecca Winters* of counsel), for appellants. I. IDT Corporation's attempt to relitigate the issue of damages is impermissible under the well-settled doctrine of collateral estoppel. (*Buechel v Bain,* 97 NY2d 295; *D'Arata v New York Cent. Mut. Fire Ins. Co.,* 76 NY2d 659; *Kaufman v Eli Lilly & Co.,* 65 NY2d 449; *Schwartz v Public Adm'r of County of Bronx,* 24 NY2d 65; *Ryan v New York Tel. Co.,* 62 NY2d 494; *Matter of American Ins. Co. [Messinger—Aetna Cas. & Sur. Co.],* 43 NY2d 184; *Rembrandt Indus. v Hodges Intl.,* 38 NY2d

502; *New York Lumber & Wood Working Co. v Schneider,* 119 NY 475; *Guard-Life Corp. v Parker Hardware Mfg. Corp.,* 50 NY2d 183; *Stuzin v Pizza Hut,* 241 AD2d 647.) II. IDT Corporation's claims are untimely. (*Kronos, Inc. v AVX Corp.,* 81 NY2d 90; *Ackerman v Price Waterhouse,* 84 NY2d 535; *Snyder v Town Insulation,* 81 NY2d 429; *Spinap Corp. v Cafagno,* 302 AD2d 588; *Matter of Martin v C. A. Prods. Co.,* 8 NY2d 226; *Norris v Grosvenor Mktg. Ltd.,* 803 F2d 1281; *Schwartz v Heyden Newport Chem. Corp.,* 12 NY2d 212; *New York Univ. v Continental Ins. Co.,* 87 NY2d 308; *Kvetnaya v Tylo,* 49 AD3d 608; *Shivers v Siegel,* 11 AD3d 447.) III. IDT Corporation's unjust enrichment cause of action fails as a matter of law. (*Clark-Fitzpatrick, Inc. v Long Is. R.R. Co.,* 70 NY2d 382; *Rosenberg, Minc & Armstrong v Mallilo & Grossman,* 39 AD3d 335; *Hutton v Klabal,* 726 F Supp 67; *Miller v Schloss,* 218 NY 400; *Young v Farwell,* 165 NY 341; *805 Third Ave. Co. v M.W. Realty Assoc.,* 58 NY2d 447; *Wujin Nanxiashu Secant Factory v Ti-Well Intl. Corp.,* 14 AD3d 352; *Matter of Guttenplan,* 222 AD2d 255; *Matter of Moncrief,* 235 NY 390; *Morad v Morad,* 27 AD3d 626.)

Patterson Belknap Webb & Tyler LLP, New York City (*Stephen P. Younger* of counsel), *Grayson & Kubli, P.C.,* Vienna, Virginia (*Alan M. Grayson,* of the Virginia bar, admitted pro hac vice, and *Victor A. Kubli* of counsel), and *Bracewell & Giuliani, LLP,* Houston, Texas, and New York City (*Glenn A. Ballard, Jr., Jeffrey L. Oldham* and *Michael D. Hess* of counsel), for respondent. I. The courts below correctly held that IDT Corporation's claims against Morgan Stanley Dean Witter & Co. are not affected by the doctrine of collateral estoppel. (*D'Arata v New York Cent. Mut. Fire Ins. Co.,* 76 NY2d 659; *Amarant v D'Antonio,* 197 AD2d 432; *PenneCom B.V. v Merrill Lynch & Co., Inc.,* 372 F3d 488; *Inchaustegui v 666 5th Ave. Ltd. Partnership,* 268 AD2d 121, 96 NY2d 111; *Guard-Life Corp. v Parker Hardware Mfg. Corp.,* 50 NY2d 183; *International Mins. & Resources, S.A. v Pappas,* 96 F3d 586; *Matter of American Ins. Co. [Messinger—Aetna Cas. & Sur. Co.],* 43 NY2d 184; *R.S.J. Leasing Corp. v Michelin Tire Corp.,* 92 AD2d 914; *Matter of Kellogg,* 138 AD2d 799; *Gramatan Home Invs. Corp. v Lopez,* 46 NY2d 481.) II. The lower courts correctly held the IDT Corporation's claims are timely because they were filed within the applicable limitations periods after IDT learned of Morgan Stanley Dean Witter & Co.'s misconduct, which Morgan Stanley fraudulently concealed. (*Marine Midland Bank v Worldwide Indus. Corp.,* 307 AD2d 221; *Maric Piping v Maric,* 271 AD2d 507; *Green v Albert,* 199 AD2d 465; *Zumpano v Quinn,* 6 NY3d 666; *Hetelekides v Ford*

Motor Co., 299 AD2d 868; *Powers Mercantile Corp. v Feinberg,* 109 AD2d 117; *Matter of Steyer,* 70 NY2d 990; *Simcuski v Saeli,* 44 NY2d 442; *General Stencils v Chiappa,* 18 NY2d 125; *Vigliotti v North Shore Univ. Hosp.,* 24 AD3d 752.) III. The lower courts correctly held that IDT Corporation stated a claim for unjust enrichment. (*Clark-Fitzpatrick, Inc. v Long Is. R.R. Co.,* 70 NY2d 382; *Sosnoff v Carter,* 165 AD2d 486; *Sergeants Benevolent Assn. Annuity Fund v Renck,* 19 AD3d 107; *Duane Reade v Cardinal Health, Inc.,* 12 AD3d 224; *Wiener v Lazard Freres & Co.,* 241 AD2d 114.) IV. This Court may properly consider the new allegations in IDT Corporation's amended complaint. (*Hummingbird Assoc. v Dix Auto Serv.,* 273 AD2d 58; *Halmar Distribs. v Approved Mfg. Corp.,* 49 AD2d 841; *Millard v Delaware, Lackawanna & W. R.R. Co.,* 204 App Div 80; *Wahrhaftig v Space Design Group,* 28 AD2d 940; *Anthony J. Demarco, Jr., P.C. v Bay Ridge Car World,* 169 AD2d 808; *Vanderwoude v Post/Rockland Assoc.,* 130 AD2d 739; *Watson v Sony Music Entertainment,* 282 AD2d 222.)

OPINION OF THE COURT

PIGOTT, J.

IDT Corporation and Telefonica Internacional, S.A., both telecommunications companies, executed a Memorandum of Understanding (MOU) in August 1999 concerning SAm-1, a vast underwater fiber-optic cable network Telefonica was building. Pursuant to the MOU, IDT was to buy from Telefonica a 10% equity share in NewCo, a corporation that would "construct, establish, operate and maintain . . . and . . . sell capacity on" SAm-1. A separate entity was to be created to market products associated with the network. IDT would have the right to buy capacity in the network, at a favorable rate, during its operational life.

In June 2000, Telefonica informed IDT that it intended to modify the MOU, replacing NewCo with a larger entity, Emergia, in which Telefonica offered IDT a five percent share. According to IDT, Morgan Stanley Dean Witter & Co. (Morgan Stanley), Telefonica's investment banker, advised IDT in the summer of 2000 that the value of a five percent interest in Emergia was far greater than that of a 10% interest in NewCo. Nevertheless, IDT, unpersuaded, broke off negotiations with Telefonica in October 2000.

Although Morgan Stanley acted as Telefonica's investment banker in relation to SAm-1, it had previously acted on IDT's behalf in 1999, in negotiations concerning a different proposed fiber-optic cable network, and in subsequent matters. IDT engaged Morgan Stanley as its financial adviser in regard to shares in Net2Phone, Inc. that it sold in the summer of 2000 for about $1 billion. According to IDT, in 1999-2000, Morgan Stanley requested and received confidential business and financial information concerning IDT, had access to IDT's records, and enjoyed wide-ranging communications with its executives.

IDT commenced an arbitration proceeding on May 25, 2001, against Telefonica, alleging that Telefonica had breached the MOU, in particular its provisions entitling IDT to an equity share in NewCo and giving it the right to buy capacity in SAm-1. IDT sought an award in an amount no less than $3.15 billion. IDT made no allegations against Morgan Stanley. No representative of Morgan Stanley testified, but a valuation memorandum concerning NewCo and Emergia that Morgan Stanley had presented to IDT in 2000 was subpoenaed and submitted to the arbitration panel.

Following a lengthy hearing, the panel concluded that Telefonica had breached both the ''capacity purchase'' and ''equity purchase'' provisions of the MOU. It calculated IDT's aggregate damages for Telefonica's capacity purchase breach to be $16,883,817. However, noting the weakness of the telecommunications market in the second half of 2000, the panel calculated that the present value of IDT's interest in NewCo was negative, and concluded that IDT had suffered no damages as a result of Telefonica's breach of the equity purchase provisions.[1] Telefonica paid IDT $21.6 million, representing damages and interest.

On November 5, 2004, IDT commenced this action against Morgan Stanley, alleging that it had provided Telefonica with confidential information about IDT, induced Telefonica to

1. The panel rejected IDT's contention that NewCo and Emergia were one and the same. Rather, it found, NewCo was envisaged as a company holding the infrastructure assets of SAm-1, and did not encompass the marketing function and revenues of the enterprise. In reaching this conclusion, the arbitration panel relied on, among other things, minutes of a July 2000 IDT board meeting, indicating that IDT recognized that Emergia was a larger enterprise, with greater growth potential, than NewCo. The arbitration panel expressed skepticism about Morgan Stanley's summer 2000 valuation of NewCo and Emergia, noting that its projections were ''prepared by Telefonica and Morgan Stanley to be presented to IDT as part of the process of negotiating IDT's ownership percentage in Emergia.''

breach the MOU and, moreover, presented false and misleading evidence to the arbitration panel, affecting the panel's assessment of IDT's damages. Its complaint contains five causes of action: (1) breach of fiduciary duty, (2) intentional interference with existing contract, (3) intentional interference with prospective business relations, (4) misappropriation of confidential and proprietary business information, and (5) unjust enrichment. IDT seeks compensatory damages, disgorgement of profits obtained by Morgan Stanley in connection with SAm-1, punitive damages, and the return of a $10,000,000 fee that IDT paid Morgan Stanley in relation to the Net2Phone, Inc. transaction, plus interest and fees.

Morgan Stanley moved to dismiss the complaint under CPLR 3211, arguing, among other things, that IDT's claims were barred by collateral estoppel and the statute of limitations. Supreme Court dismissed IDT's intentional interference with prospective business relations claim, but otherwise denied the motion (2006 NY Slip Op 30076[U]). On appeal, the Appellate Division affirmed, with one Justice dissenting, holding that IDT's remaining claims were not barred by collateral estoppel, because IDT had not "had an opportunity to conduct discovery on the extent of the damages it suffered due to Morgan Stanley's alleged tortious conduct" (45 AD3d 419, 419 [1st Dept 2007]). The majority also concluded that the claims stated valid causes of action and were not time-barred. The Appellate Division granted Morgan Stanley leave to appeal to this Court, certifying the question whether its order was properly made. We answer that question in the negative and reverse.[2]

[1] Although the issue of whether IDT is collaterally estopped from relitigating the amount of its compensatory damages divided the Appellate Division in this case, we need not address it, because all of IDT's claims are either time-barred or fail to state a cause of action. We conclude that IDT's breach of fiduciary duty, tortious interference with contract, and misappropriation of confidential and proprietary business information

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2. After Supreme Court denied the motion to dismiss, the parties proceeded to discovery and Morgan Stanley produced documents that, according to IDT, reveal further wrongdoing by Morgan Stanley during the arbitration proceeding. IDT filed an amended complaint. Supreme Court granted Morgan Stanley's motion to dismiss the new claims. That decision is under appeal.

In June 2008, IDT moved to dismiss the present appeal as moot, on the ground that the original complaint had been significantly amended. We denied the mootness motion on September 4, 2008 (11 NY3d 750 [2008]).

claims are untimely and its unjust enrichment claim fails to state a cause of action. We address the causes of action in the sequence they appear in the complaint.

IDT's first cause of action alleges that Morgan Stanley breached fiduciary duties it owed to IDT, by ''provid[ing] Telefonica with IDT's confidential and proprietary business and financial information without IDT's knowledge or consent,'' thus inducing Telefonica to renege on the MOU, and by ''devis[ing] a fraudulent scheme to dupe both IDT and the Arbitration Panel as to the 'distinction' between NewCo and Emergia and the valuation of these companies.'' IDT alleges that the arbitration panel was misled into minimizing the amount of damages Telefonica owed to IDT. It seeks full compensatory damages—in an amount it describes at the outset of its complaint as ''hundreds of millions of dollars''—as well as disgorgement of profits and punitive damages.

IDT submits that its breach of fiduciary duty claim is governed by a six-year statute of limitations and is therefore timely. Morgan Stanley asserts that a three-year limitations period applies.

New York law does not provide a single statute of limitations for breach of fiduciary duty claims. Rather, the choice of the applicable limitations period depends on the substantive remedy that the plaintiff seeks (*Loengard v Santa Fe Indus.*, 70 NY2d 262, 266 [1987]). Where the remedy sought is purely monetary in nature, courts construe the suit as alleging ''injury to property'' within the meaning of CPLR 214 (4), which has a three-year limitations period (*see e.g. Yatter v Morris Agency*, 256 AD2d 260, 261 [1st Dept 1998]). Where, however, the relief sought is equitable in nature, the six-year limitations period of CPLR 213 (1) applies (*Loengard*, 70 NY2d at 266-267). Moreover, where an allegation of fraud is essential to a breach of fiduciary duty claim, courts have applied a six-year statute of limitations under CPLR 213 (8) (*Kaufman v Cohen*, 307 AD2d 113, 119 [1st Dept 2003]).

[2] Here, IDT primarily seeks damages—in the amount of ''hundreds of millions of dollars''—and the equitable relief it seeks, including the disgorgement of profits, is incidental to that relief. This is not an action in which it can reasonably be asserted that ''the relief demanded in the complaint . . . is equitable in nature and that a legal remedy would not be adequate'' (*Loengard*, 70 NY2d at 267). Thus, looking to the reality, rather than the form, of this action (*see Matter of Paver & Wildfoerster [Catholic High School Assn.]*, 38 NY2d 669, 674 [1976]), we conclude that IDT seeks a monetary remedy.

Moreover, we are not persuaded by IDT's argument that its breach of fiduciary duty claim is essentially a fraud action and therefore governed by a six-year statute of limitations. The fiduciary relationship alleged by IDT exists between Morgan Stanley and IDT, not between Morgan Stanley and the arbitration panel. For us to conclude that IDT's breach of fiduciary duty cause of action is a sufficiently pleaded fraud action, we would have to discern a claim that IDT acted in "justifiable reliance" (*Lama Holding Co. v Smith Barney*, 88 NY2d 413, 421 [1996]) on Morgan Stanley's alleged misrepresentation or material omission. Although IDT asserts that Morgan Stanley attempted to deceive it in 2000, with regard to the relative values of Emergia and NewCo, IDT does not claim that it was actually duped. In fact, IDT refused to accept a modified MOU, contrary to Morgan Stanley's recommendations. Consequently, we conclude that this is not a fraud allegation, and that the three-year limitations period of CPLR 214 (4) applies.

[3] We now turn to the question of when IDT's breach of fiduciary duty claim accrued. A tort claim accrues as soon as "the claim becomes enforceable, i.e., when all elements of the tort can be truthfully alleged in a complaint" (*Kronos, Inc. v AVX Corp.*, 81 NY2d 90, 94 [1993]). As with other torts in which damage is an essential element, the claim "is not enforceable until damages are sustained" (*id.* at 94). To determine timeliness, we consider whether plaintiff's complaint must, as a matter of law, be read to allege damages suffered so early as to render the claim time-barred (*id.* at 94-97). Here, the only reasonable inference to be drawn from IDT's allegations is that it first suffered loss, as a result of Morgan Stanley's alleged breach of fiduciary duty, after Telefonica refused to comply with the MOU. The exact date of the injury is not alleged but must have been before May 25, 2001, when IDT commenced the arbitration against Telefonica, alleging that it had sustained a loss of some $3.15 billion as a result of Telefonica's breach of their binding agreement. More than three years passed, therefore, before IDT commenced this action, rendering IDT's breach of fiduciary duty claim time-barred.[3]

[4] Turning to IDT's second and fourth causes of action[4]—intentional interference with existing contract and misappropriation of confidential and proprietary business information, respectively—the statute of limitations in each case is three years, under CPLR 214 (4), which the parties do not dispute. As with IDT's first cause of action, the claims were not enforceable until IDT first suffered damages. The damages are those resulting from Telefonica's refusal to comply with the MOU—intransigence that was allegedly induced by Morgan Stanley by means of the disclosure of confidential IDT business information. Again, we must conclude from IDT's complaint that it first suffered loss—as a result of Morgan Stanley's alleged interference with contractual relations and misappropriation of confidential business information—when Telefonica refused to comply with the MOU. And again, although the exact date of the injury is not alleged, it must have been before May 25, 2001, rendering the claims time-barred.

[5] IDT argues that Morgan Stanley's statute of limitations defenses should be barred by equitable estoppel. However, IDT fails to demonstrate that any action or inaction by Morgan Stanley caused IDT's delay in bringing this action (*see Zumpano v Quinn*, 6 NY3d 666, 673-676 [2006]). According to its complaint, IDT learned in 2000 that Morgan Stanley was denigrating it in discussions with Telefonica. IDT, given its awareness that Telefonica's financial adviser had disparaged it, should have made further inquiry before the statute of limitations expired (*see Putter v North Shore Univ. Hosp.*, 7 NY3d 548, 553-554 [2006]).

[6] Finally, IDT alleges that Morgan Stanley was unduly enriched by the investment banking fees it obtained from IDT and from Telefonica ''and any other fees Morgan Stanley received for its 'search' for a replacement anchor tenant, as well as any other fees of any kind that Morgan Stanley has earned for additional, presently-unknown misappropriations and misuses of IDT's confidential business and financial information.'' On appeal, Morgan Stanley does not argue that the unjust

3. Morgan Stanley contends that the breach of fiduciary duty claim fails on the merits, because there was no fiduciary relationship between IDT and Morgan Stanley on the transaction in suit, but this too is a question we need not reach because the claim, even if meritorious, is time-barred.

4. IDT did not appeal Supreme Court's dismissal of its third claim.

enrichment claim is time-barred. Instead it contends that IDT's fifth claim fails to state a cause of action. We agree.

''The theory of unjust enrichment lies as a quasi-contract claim'' (*Goldman v Metropolitan Life Ins. Co.*, 5 NY3d 561, 572 [2005]). It is an obligation imposed by equity to prevent injustice, in the absence of an actual agreement between the parties concerned. Where the parties executed a valid and enforceable written contract governing a particular subject matter, recovery on a theory of unjust enrichment for events arising out of that subject matter is ordinarily precluded (*Clark-Fitzpatrick, Inc. v Long Is. R.R. Co.*, 70 NY2d 382, 388 [1987]).

It follows that the unjust enrichment claim cannot form the basis of IDT's demand that Morgan Stanley return the $10,000,000 fee paid in relation to the Net2Phone, Inc. transaction, because that fee arose from services governed by an engagement letter signed by IDT on July 26, 2000.[5] Nor can the unjust enrichment claim support the disgorgement of any profits Morgan Stanley obtained from Telefonica or other companies, in connection with SAm-1. An unjust enrichment claim ''rests upon the equitable principle that a person shall not be allowed to enrich himself unjustly at the expense of another'' (*Miller v Schloss*, 218 NY 400, 407 [1916]; *see also* Restatement [First] of Restitution § 1). In seeking Morgan Stanley's profits from SAm-1, IDT does not, and cannot, allege that Morgan Stanley has been unjustly enriched at IDT's expense, because IDT did not pay the alleged fees.

Accordingly, the order of the Appellate Division should be reversed, with costs, defendants' motion to dismiss the remaining causes of action granted, the complaint dismissed in the entirety, and the certified question answered in the negative.

Judges CIPARICK, GRAFFEO, READ, SMITH and JONES concur; Chief Judge LIPPMAN taking no part.

Order reversed, etc.

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5. IDT's argument that it engaged Morgan Stanley under duress is unpersuasive, in that the coercion by Morgan Stanley that IDT alleged in its complaint occurred after IDT refused to pay the fee, not before the fee was agreed on.

[905 NE2d 1159, 878 NYS2d 230]

LARRY SHULMAN, Respondent, v JAMES HUNDERFUND, Appellant, et al., Defendant.

Argued February 11, 2009; decided March 26, 2009

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered February 5, 2008. The Appellate Division (1) reversed, on the law, so much of a judgment of the Supreme Court, Suffolk County (John J.J. Jones, Jr., J.), as had dismissed the complaint against defendant James Hunderfund; (2) modified accordingly an order of that Supreme Court which had granted the motion of defendant James Hunderfund pursuant to CPLR 4404 (a) to set aside so much of the jury verdict as was in favor of plaintiff and against him awarding punitive damages in the sum of $100,000 and for judgment as a matter of law in his favor; (3) denied the motion of defendant James Hunderfund to set aside the verdict; (4) severed the action against defendant Tom Tornee; and (5) remitted the matter for entry of judgment in favor of plaintiff and against defendant James Hunderfund.

Shulman v Hunderfund, 48 AD3d 449, reversed.

HEADNOTES

Libel and Slander — Public Figure — Actual Malice — Judicial Review

1. In an action for libel by a public figure, the Appellate Division erred by upholding the jury verdict in plaintiff's favor on the ground that it was supported by "legally sufficient evidence in the record," as that was the wrong standard to be applied. The usual deference paid by courts to jury verdicts is inapplicable in defamation cases involving public figures who must prove that the offending statement was made with actual malice. Rather, the reviewing court must scrutinize the evidence of actual malice for convincing clarity.

Libel and Slander — Public Figure — Actual Malice — Clear and Convincing Evidence

2. In an action for libel brought by plaintiff school board member alleging that defendant school superintendent circulated an anonymous flyer stating that plaintiff "flagrantly broke the law when he awarded a lucrative food service contract to one of his business associates," plaintiff did not prove, by clear and convincing evidence, that the statement was made with actual malice so as to support his claim for libel. A public figure may not recover damages for a defamatory falsehood relating to his or her official conduct unless he or she proves that the statement was made with actual malice, that is, with knowledge that it was false or with reckless disregard of whether it was false

or not. Regardless of whether or not plaintiff violated either the General Municipal Law or the school board's code of ethics by not disclosing his relationship with the food service company before voting to award it the contract and persuading his colleagues to reverse a previous, unfavorable vote, the record did not clearly and convincingly show that defendant knew plaintiff to be innocent, or that he had no basis for thinking him guilty, of any legal transgression.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Libel and Slander §§ 67, 68, 71, 73–75, 463, 471.

NY JUR 2d, Defamation and Privacy §§ 4, 102, 192–196, 199–201.

NEW YORK PATTERN JURY INSTRUCTIONS—CIVIL, PJI 3:23, PJI 3:34.

PROSSER AND KEETON, TORTS (5th ed) §§ 112, 116.

ANNOTATION REFERENCE

Who is "public figure" for purposes of defamation action. 19 ALR5th 1.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: libel /4 public /2 figure & actual /2 malice /s knowledge /s reckless

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POINTS OF COUNSEL

Devitt Spellman Barrett, LLP, Smithtown (*Diane K. Farrell* of counsel), and *Meyer, Suozzi, English & Klein, P.C.,* Garden City (*A. Thomas Levin* and *Michael A. Ciaffa* of counsel), for appellant. I. The Appellate Division failed to undertake the required independent review to determine whether the content of the flyer was constitutionally protected as nonactionable opinion, or whether the public official plaintiff established with convincing clarity that defendant acted with actual malice. (*New York Times Co. v Sullivan,* 376 US 254; *Bose Corp. v Consumers Union of United States, Inc.,* 466 US 485; *Mahoney v Adirondack Publ. Co.,* 71 NY2d 31; *Immuno AG. v Moor-Jankowski,* 77 NY2d 235; *Milkovich v Lorain Journal Co.,* 497 US 1; *Rinaldi v Holt, Rinehart & Winston,* 42 NY2d 369, 434 US 969; *Mann v Abel,* 10 NY3d 271; *Brian v Richardson,* 87 NY2d 46; *Gross v New York Times Co.,* 82 NY2d 146; *Prozeralik v Capital Cities Communications,* 82

NY2d 466.) II. A campaign flyer statement that Larry Shulman, a candidate for public office, ''BROKE THE LAW'' was an expression of nonactionable opinion which may not be the subject of a private defamation action. (*New York Times Co. v Sullivan,* 376 US 254; *Steinhilber v Alphonse,* 68 NY2d 283; *Rinaldi v Holt, Rinehart & Winston,* 42 NY2d 369; *Gertz v Robert Welch, Inc.,* 418 US 323; *Immuno AG. v Moor-Jankowski,* 77 NY2d 235; *Mann v Abel,* 10 NY3d 271; *Brian v Richardson,* 87 NY2d 46; *Gross v New York Times Co.,* 82 NY2d 146; *600 W. 115th St. Corp. v Von Gutfeld,* 80 NY2d 130; *Greenbelt Cooperative Publishing Assn., Inc. v Bresler,* 398 US 6.) III. An independent review of the factual record does not establish actual malice with convincing clarity. (*New York Times Co. v Sullivan,* 376 US 254; *Prozeralik v Capital Cities Communications,* 82 NY2d 466; *Bose Corp. v Consumers Union of United States, Inc.,* 466 US 485; *Gertz v Robert Welch, Inc.,* 418 US 323; *St. Amant v Thompson,* 390 US 727; *Harte-Hanks Communications, Inc. v Connaughton,* 491 US 657; *Rinaldi v Holt, Rinehart & Winston,* 42 NY2d 369; *Mahoney v Adirondack Publ. Co.,* 71 NY2d 31; *Masson v New Yorker Magazine, Inc.,* 501 US 496; *Greenbelt Cooperative Publishing Assn., Inc. v Bresler,* 398 US 6.)

Smith Mazure Director Wilkins Young & Yagerman, P.C., New York City (*Mark S. Yagerman* and *Joel M. Simon* of counsel), for respondent. I. The Appellate Division's review was appropriate and its determination was rendered pursuant to the proper standard. (*Gross v New York Times Co.,* 82 NY2d 146; *Rinaldi v Holt, Rinehart & Winston,* 42 NY2d 369; *Prozeralik v Capital Cities Communications,* 82 NY2d 466; *Harte-Hanks Communications, Inc. v Connaughton,* 491 US 657; *Silsdorf v Levine,* 59 NY2d 8; *Immuno AG. v Moor-Jankowski,* 77 NY2d 235.) II. Even if this Court gives credence to appellant's argument regarding the scope of review that was rendered by the Appellate Division, a review of the full record establishes constitutional malice and defamation per se. (*Immuno AG. v Moor-Jankowski,* 77 NY2d 235; *Brian v Richardson,* 87 NY2d 46; *Clark v Schuylerville Cent. School Dist.,* 24 AD3d 1162; *Guerrero v Carva,* 10 AD3d 105; *Brach v Congregation Yetev Lev D'Satmar,* 265 AD2d 360; *Mann v Abel,* 10 NY3d 271; *Di Bernardo v Tonawanda Publ. Corp.,* 117 AD2d 1009; *Silsdorf v Levine,* 59 NY2d 8; *Rinaldi v Holt, Rinehart & Winston,* 42 NY2d 369.)

OPINION OF THE COURT

SMITH, J.

In this action for libel by a public figure, the record does not clearly and convincingly show that the statements in question were made with "actual malice," as required by *New York Times Co. v Sullivan* (376 US 254 [1964]). We therefore hold that plaintiff's complaint against defendant James Hunderfund must be dismissed.

I

In May of 1999, plaintiff, Larry Shulman, a member of the Commack Board of Education, was a candidate for reelection. Hunderfund, the school superintendent, believed that Shulman wanted him fired and was opposed to his candidacy. On the eve of the election, Hunderfund participated with others in preparing and circulating an anonymous flyer attacking Shulman. The flyer made several accusations, said to be the result of "[a]n investigation of Mr. Shulman's record" by "Concerned Citizens of Commack." Only the first of the accusations is now at issue. In a paragraph bearing the caption "**BROKE THE LAW**," the flyer said:

> "Shulman flagrantly **broke the law** when he awarded a lucrative food service contract to one of his business associates. Concerned Citizens has verified the fact that Shulman NEVER revealed his business relationship with the food service company PRIOR to the awarding of this contract. Shulman's disregard of ethical principles and conflict of interest laws has cost the District dearly."

After losing the election, Shulman sued Hunderfund and another defendant for libel. The jury found for the codefendant, but awarded $100,000 in punitive damages against Hunderfund. Supreme Court set aside the verdict for Shulman and entered judgment in Hunderfund's favor; the Appellate Division reversed and ordered that judgment be entered in accordance with the verdict (*Shulman v Hunderfund*, 48 AD3d 449 [2d Dept 2008]). We granted leave to appeal (10 NY3d 713 [2008]), and now reverse the Appellate Division's order and reinstate so much of Supreme Court's judgment as dismissed the complaint against Hunderfund.

II

Hunderfund argues that the statement that "Shulman flagrantly broke the law" is a statement of opinion, and therefore not actionable (*see e.g. Steinhilber v Alphonse*, 68 NY2d 283 [1986]). Shulman maintains that the statement was presented as one of fact, noting that the flyer purported to be the result of a careful investigation. We find it unnecessary to resolve this issue. Even assuming that the statement is one of fact, it cannot, under the circumstances of this case, support a recovery for libel.

It is undisputed that Shulman, a public official running for reelection, was a public figure and that this case is governed by the rule of *New York Times Co. v Sullivan*, which interpreted the First Amendment to the United States Constitution as embodying ''the principle that debate on public issues should be uninhibited, robust, and wide-open, and that it may well include vehement, caustic, and sometimes unpleasantly sharp attacks on government and public officials'' (376 US at 270). The Constitution, as interpreted in the *New York Times* case, bars Shulman ''from recovering damages for a defamatory falsehood relating to his official conduct unless he proves that the statement was made with 'actual malice'—that is, with knowledge that it was false or with reckless disregard of whether it was false or not'' (*id.* at 279-280; *see also Mahoney v Adirondack Publ. Co.*, 71 NY2d 31, 35-36 [1987]). Actual malice must be proved by ''clear and convincing evidence'' (*Bose Corp. v Consumers Union of United States, Inc.*, 466 US 485, 511 n 30 [1984]; *see also Freeman v Johnston*, 84 NY2d 52, 56-57 [1994]).

[1] Here, the jury found that Hunderfund's statement was made with actual malice. The Appellate Division upheld the verdict on the ground that it was supported by ''legally sufficient evidence in the record'' (48 AD3d at 450). The Appellate Division, however, applied the wrong standard. The usual deference paid by courts to jury verdicts is inapplicable in cases subject to the *New York Times Co. v Sullivan* rule. The *New York Times* Court said:

> ''In cases where [the] line [between protected and unprotected speech] must be drawn, the rule is that we examine for ourselves the statements in issue and the circumstances under which they were made to see whether they are of a character which the principles of the First Amendment, as adopted by the Due Process Clause of the Fourteenth Amendment, protect. We must make an independent examination of the whole record, so as to assure ourselves

> that the judgment does not constitute a forbidden intrusion on the field of free expression.'' (376 US at 285 [citations, internal quotation marks and ellipsis omitted].)

[2] Therefore, in a case like this we are not limited, as we ordinarily are, to a review of legal issues (*Mahoney*, 71 NY2d at 39). ''[W]e must scrutinize the evidence of actual malice for 'convincing clarity' '' (*Prozeralik v Capital Cities Communications*, 82 NY2d 466, 475 [1993] [citations omitted]). We find no such clarity here. The record does not convincingly show that Hunderfund knew the statements in issue to be false or that he made them with reckless disregard of whether they were false.

III

The incident on which Hunderfund's accusation that Shulman ''broke the law'' was based occurred on July 2, 1998, some 10 months before the school board election. On that date, the school board decided to award a food service contract to a company called Whitsons—a contract that eventually went into default, and thus proved costly to the district. Shulman, as a board member, argued vigorously in favor of the award to Whitsons, and succeeded in persuading his colleagues on the board to reverse a previous, unfavorable vote.

Shulman had a communications support business, and Whitsons was a customer of that business—a ''small'' one, according to Shulman's uncontradicted testimony. Shulman did not mention the relationship to his colleagues at the July 2 meeting because, he testified, it simply did not occur to him. It did occur to him a few days later, however, and he called the lawyer for the school board, Eugene Barnosky, to ask if the relationship was a problem. At the next meeting, on July 14, Shulman disclosed his relationship to the board, and Barnosky advised the board that the relationship did not render the vote illegal.

That assurance did not satisfy everyone. Hunderfund—who, as school superintendent, was present at school board meetings—testified that, having heard Barnosky's opinion, he consulted his own lawyer, and got a ''different'' opinion. Also, the president of the board (who had been recused from the vote because his wife worked for a competing bidder) raised objections at the July 14 meeting and again at an August 20 meeting; and the competing bidder submitted a letter to the August 20 meeting, complaining that ''one Board member'' had a ''direct or indirect'' financial interest with Whitsons, which had not been disclosed. A copy of the letter was sent to Hunderfund.

The July and August discussions of Shulman's alleged conflict occurred at executive sessions of the Board. The subject was again discussed, this time at a public meeting, on September 18. At the September meeting, Barnosky defended Shulman's conduct. It is unclear from Barnosky's trial testimony, however, whether he did so unequivocally. Initially, Barnosky answered ''yes'' to a question from Shulman's lawyer: ''You advised the Board and the public in September of 1998 that there was no evidence of any wrongdoing by Mr. Shulman, correct?'' Later, however, Barnosky explained that by ''wrongdoing'' he meant ''bid rigging, fraud, influence[ ] peddling or anything like that.''

Barnosky also testified that he had said at the September meeting that Shulman had complied with the standard of disclosure imposed by the General Municipal Law. But when asked if the same standard applied under the Commack Board of Education Code of Ethics, Barnosky replied: ''No, I think the standard there is broader.'' The gist of Barnosky's testimony is that his September 18 statement to the public meeting did not exclude the possibility that Shulman had committed an Ethics Code violation.

Whatever its tenor, Barnosky's statement did not end the controversy. The president of the board and another member continued to assert during the months preceding the May 1999 school board elections that Shulman's nondisclosure violated, or raised serious questions under, the Code of Ethics, and Hunderfund knew of those assertions.

The claim that Shulman had violated the Ethics Code was a debatable one, but it was not obviously untenable. A distinction can be drawn, as Barnosky suggested in his testimony, between the Code of Ethics and the General Municipal Law. General Municipal Law § 801 says that no municipal officer ''shall have an interest'' (defined in General Municipal Law § 800 [3] as ''a direct or indirect pecuniary or material benefit'') ''in any contract with the municipality.'' The Code of Ethics requires a member to disclose ''any direct or indirect financial or other private interest he/she has'' in any ''matter before the Board of Education.'' Though the requirements are similar, it could be argued that Shulman's business relationship with Whitsons, while not a ''direct or indirect'' interest in the contract between Whitsons and the school board, was an ''other private interest'' in the ''matter.''

We do not need to decide the meaning of either the General Municipal Law or the Code of Ethics. It is entirely possible that

Shulman violated neither of them. But we cannot say it is proved, by clear and convincing evidence, that Hunderfund knew Shulman's conduct to be lawful. That was a question on which Barnosky's advice left some room for doubt—and, in any event, Hunderfund, who had his own lawyer, and who heard and read views that seemed less favorable to Shulman than Barnosky's, did not have to take that advice as gospel.

Because the record does not clearly and convincingly show that Hunderfund knew Shulman to be innocent, or that he had no basis for thinking him guilty, of any legal transgression, Shulman's case must fail. If Shulman (in Hunderfund's mind) did violate the law in connection with the Whitsons transaction, then the paragraph challenged in this lawsuit was (in Hunderfund's mind) substantially true.

Concededly, Hunderfund could not have believed every word in the statement "Shulman flagrantly broke the law when he awarded a lucrative food service contract to one of his business associates" to be literally true. The adverb "flagrantly" was no doubt a rhetorical extravagance; and Shulman did not award the Whitsons contract himself—he persuaded his fellow board members to do so, and joined with them in doing it. Also, there may be a distinction (though there is no evidence Hunderfund was conscious of it) between the Commack Code of Ethics and "the law." But these details are unimportant to this case. The Constitution, which protects "vehement, caustic, and sometimes unpleasantly sharp attacks" in a political context, does not insist on complete verbal precision.

In this, the Constitution follows the common law of libel which, as the United States Supreme Court has observed, "overlooks minor inaccuracies and concentrates upon substantial truth" (*Masson v New Yorker Magazine, Inc.*, 501 US 496, 516 [1991]). In *Masson*, the Supreme Court defined "actual malice" in accordance with this "historical understanding" of libel law, which "would absolve a defendant even if she cannot 'justify every word of the alleged defamatory matter' " (*id.* at 516-517, quoting 5 Witkin, Summary of California Law § 495 [9th ed 1988]). It is understandable, of course, that Shulman did not like Hunderfund's provocatively phrased, and anonymous, charges against him. But so long as Hunderfund did not substantially depart from what he believed to be the truth, the only remedy for Shulman—and for other public figures similarly situated—is, as Supreme Court said in its order setting aside the verdict in this case, to develop a thicker skin.

Accordingly, the order of the Appellate Division should be reversed, with costs, and so much of the judgment of Supreme Court as dismissed the complaint against defendant Hunderfund reinstated.

Judges CIPARICK, GRAFFEO, READ, PIGOTT and JONES concur; Chief Judge LIPPMAN taking no part.

Order reversed, with costs, and complaint against defendant Hunderfund dismissed.

[905 NE2d 1164, 878 NYS2d 235]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v AMBER BAUMAN and CHARLES EDWARD LAFLER, Respondents.

Argued February 17, 2009; decided March 26, 2009

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from an order of that Court, entered May 2, 2008. The Appellate Division affirmed an order of the Supreme Court, Monroe County (Joseph D. Valentino, J.), which had granted those parts of defendants' omnibus motions seeking dismissal of the indictment, with leave to the People to resubmit any appropriate charges to another grand jury.

People v Bauman, 51 AD3d 316, affirmed.

HEADNOTE

Crimes — Indictment — Duplicitous Counts Prohibited — Depraved Indifference Assault

Despite the fact that depraved indifference assault can be a continuing crime and the element of depravity can be alleged by establishing that defendant engaged in a course of conduct over a period of time, an indictment charging depraved indifference assault under Penal Law § 120.10 (3) and alleging 11 acts over an eight-month period under one count was violative of CPL 200.30 (1). Section 200.30 (1) provides that ''[e]ach count of an indictment may charge one offense only.'' The subject count encompassed such a multiplicity of acts as to make it virtually impossible to determine the particular act of assault as to which a jury could reach a unanimous verdict. Because the People used the conjunction ''and/or'' between each act charged in the indictment, it could not be said that some or all of defendants' acts—and not any single act—could have created the grave risk of death and that the jury could unanimously agree on this before convicting defendants of depraved indifference assault. Moreover, the pleading of depraved indifference murder is not analogous to depraved indifference assault for the purpose of a duplicity analysis.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Assault and Battery §§ 33, 61, 62; Indictments and Informations §§ 207, 209.

CARMODY-WAIT 2d, Criminal Procedure § 172:1081.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 19.3.

MCKINNEY'S, CPL 200.30 (a); Penal Law § 120.10 (1), (3).

NY JUR 2d, Criminal Law: Procedure § 1245; NY JUR 2d, Criminal Law: Substantive Principles and Offenses § 413, 419.

ANNOTATION REFERENCE

See ALR Index under Assault and Battery; Indictments and Informations.

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POINTS OF COUNSEL

Michael C. Green, District Attorney, Rochester (*Kelly Christine Wolford* of counsel), for appellant. The indictment which charged defendants with two counts of assault in the first degree as a course of conduct is not duplicitous. (*People v Klipfel,* 160 NY 371; *People v Sanchez,* 84 NY2d 440; *People v Keindl,* 68 NY2d 410; *People v Iannone,* 45 NY2d 589; *People v Davis,* 72 NY2d 32; *People v Wells,* 7 NY3d 51; *People v Shack,* 86 NY2d 529; *People v Beauchamp,* 74 NY2d 639; *People v Buckley,* 75 NY2d 843; *People v First Meridian Planning Corp.,* 86 NY2d 608.)

Timothy P. Donaher, Public Defender, Rochester (*William Clauss* of counsel), for Amber Bauman, respondent. I. The depraved indifference assault count was properly dismissed because it charged more than one offense, it failed to give fair notice and it impermissibly jeopardized the jury's obligation to render a unanimous verdict. (*People v Iannone*, 45 NY2d 589; *People v Keindl,* 68 NY2d 410; *People v Okafore,* 72 NY2d 81; *People v Davis,* 72 NY2d 32; *People v Beauchamp,* 74 NY2d 639; *People v Sanchez,* 84 NY2d 440; *People v Morris,* 61 NY2d 290; *People v Shack,* 86 NY2d 529; *People v First Meridian Planning Corp.,* 86 NY2d 608; *Matter of Johnson v Morgenthau,* 69 NY2d 148.) II. The intentional assault count was properly dismissed. (*People v Keindl,* 68 NY2d 410.)

Muldoon & Getz, Rochester (*Gary Muldoon* of counsel), for Charles Lafler, respondent. The indictment, which grouped together 10 different allegations of actions allegedly committed by three different people, is duplicitous. (*People v Sedlock,* 8 NY3d 535; *People v Sanchez,* 84 NY2d 440; *People v Watt,* 81 NY2d 772; *People v Keindl,* 68 NY2d 410; *People v Morris*, 61 NY2d 290; *People v Payne,* 241 AD2d 466; *People v Pryce,* 41

AD3d 983; *People v Dunton,* 30 AD3d 828; *People v Del-Debbio,* 244 AD2d 195; *People v Hines,* 39 AD3d 968.)

OPINION OF THE COURT

JONES, J.

The issue before this Court is whether an indictment charging depraved indifference assault under Penal Law § 120.10 (3) which alleges 11 acts over an eight-month period under one count violates Criminal Procedure Law § 200.30 (1).

By indictment, defendants were charged with one count of intentional assault under Penal Law § 120.10 (1) (the first count) for allegedly causing injury to victim by means of ''a baseball bat[,] and/or a frying pan[,] and/or a vacuum cleaner[,] and/or a hammer,'' and one count of depraved indifference assault under Penal Law § 120.10 (3) (the second count) for allegedly

> ''striking [victim] about the head and body with fists and/or a baseball bat and/or a hammer; and/or burning said person with a frying pan; and/or scalding said person with hot water; and/or placing a vacuum cleaner hose on said person's genital area; and/or providing inappropriate and/or inadequate nutrition; and/or subjecting said person to inadequate and/or inappropriate living conditions; and/or failing to seek medical attention'' during a period from August 1, 2004 to April 7, 2005.

Supreme Court granted defendants' motions to dismiss both counts of the indictment on the ground of duplicity and the Appellate Division, in a 3-2 decision, affirmed (51 AD3d 316 [2008]). The dissent below disagreed on the issue of duplicity only with respect to the second count (*id.* at 320). We agree with the majority below and now affirm.

CPL 200.30 (1) provides that ''[e]ach count of an indictment may charge one offense only.'' As this Court explained in *People v Keindl* (68 NY2d 410 [1986]), ''acts which separately and individually make out distinct crimes must be charged in separate and distinct counts, and where one count alleges the commission of a particular offense occurring repeatedly during a designated period of time, that count encompasses more than one offense and is duplicitous'' (*id.* at 417-418 [citations omitted]). Compliance with CPL 200.30 (1) is essential because ''[t]he prohibition against duplicity furthers not only the functions of notice to a defendant and of assurance against double jeopardy, but also ensures the reliability of the unanimous verdict'' (*id.* at 418).

Here, the second count of the indictment was pleaded in a manner which made it duplicitous. This count, alleging 11 incidents over an eight-month period, encompassed ''such a multiplicity of acts . . . as to make it virtually impossible to determine the particular act of [assault] . . . as to which [a] jury [could] reach[ ] a unanimous verdict'' (*id.* at 421). The first count is similarly defective. Were these counts to stand as pleaded, ''individual jurors might vote to convict . . . defendant[s] of [each] count on the basis of different offenses'' and ''defendant[s] would thus stand convicted under [each] count even though the jury may never have reached a unanimous verdict as to any one of the offenses'' (*id.* at 418).

Our decision in this case is not inconsistent with the People's argument that depraved indifference assault can be a continuing crime and that the element of depravity can be alleged by establishing that defendant engaged in a course of conduct over a period of time. Notwithstanding this point, the indictment in this case was defectively pleaded and properly dismissed. The conclusion of the dissenting Justices below that April 7, 2005 should be the date ''on which defendants' conduct resulted in serious physical injury and a grave risk of death'' (51 AD3d at 323) does not salvage the second count because setting this date amounts to an improper amendment to the indictment.

Our dissenting colleagues are of the view that some or all of defendants' acts—and not any single act—could have created the grave risk of death and the jury could unanimously agree on this before convicting defendants of depraved indifference assault. However, the People's use of the conjunction ''and/or'' between each act undercuts this position. Despite the possibility that a jury could find that the entire course of conduct created a grave risk of death, given the ''and/or'' language, a jury could just as easily find that defendants committed only one of the alleged acts; not only would a single act not be sufficient to establish a course of conduct but we still would not know on which particular act defendants were convicted.

In addition, the dissent, citing *People v Suarez* (6 NY3d 202 [2005]), analogizes the pleading of depraved indifference murder to that of depraved indifference assault and argues that ''the only distinction between those crimes is that, under the former, the conduct must cause the death of another person as opposed to serious physical injury'' (dissenting op at 157). We believe that the injury element is the precise point which distinguishes these crimes for the purpose of a duplicity analysis. Where the resulting injury is ''death of another person'' (Penal Law § 125.25 [2]), regardless of how many acts are alleged in a single count, there can always only be one completed offense—the victim can only die once. However, where, as here, the injury is ''serious physical injury to another person'' (Penal Law § 120.10 [3]), there can be (and might well have been in this case) multiple instances of serious physical injury and, consequently, multiple completed offenses.

Accordingly, the order of the Appellate Division should be affirmed.

PIGOTT, J. (dissenting in part). Although I agree with the majority that depraved indifference assault can be a continuing offense, I respectfully dissent because, in my view, the majority's conclusion that count two ''was pleaded in a manner which made it duplicitous'' is inconsistent with its later statement ''depraved indifference assault can be a continuing crime'' (majority op at 155).

A person is guilty of depraved indifference assault in the first degree when, ''[u]nder circumstances evincing a depraved indifference to human life, he recklessly engages in conduct which creates a grave risk of death to another person, and thereby causes serious physical injury to another person'' (Penal Law § 120.10 [3]). Count two of this indictment lists the elements of that offense and then identifies the multiple acts allegedly engaged in by defendants while acting in concert. In my view, contrary to the majority's opinion, the pleading of multiple acts under this one count does not threaten the reliability of a unanimous verdict, because it is defendants' course of conduct, and whether that conduct is deemed to be reckless and to have created a grave risk of death—and not any singular act—upon which the jury must unanimously agree before defendants may be convicted of depraved indifference assault. Therefore, unlike the multiple intentional assault allegations charged in count one—which are indeed duplicative—it is the alleged multiple acts of defendants, over a period of eight months, that support count two, because some or all of those acts, if proven, could lead a jury to conclude that defendants' conduct created a grave risk of death, resulting in serious physical injury to the victim.

In a related context, in *People v Suarez* (6 NY3d 202 [2005]), we stated that depraved indifference murder is ''established when a defendant—acting with a conscious objective not to kill but to harm—engages in torture or a brutal, prolonged and ultimately fatal course of conduct against a particularly vulnerable victim'' (*Suarez*, 6 NY3d at 212). Clearly, if more than one act may be alleged within the parameters of a depraved indifference murder count, so too may more than one act be alleged with respect to the crime of depraved indifference assault, because the only distinction between those crimes is that, under the former, the conduct must cause the death of another person as opposed to serious physical injury. Had the victim died in this case, under our jurisprudence, the People would have been able to allege multiple acts in a depraved indifference murder count. The same result should follow here.

In my view, the indictment sufficiently alleges that on April 7, 2005, the conduct of defendants had ''resulted in serious physical injury and a grave risk of death'' (*People v Bauman*, 51 AD3d 316, 323 [4th Dept 2008, Fahey, J., dissenting in part]), because it was at that time that the victim is alleged to have been found by emergency personnel in a hypothermic condition and near death.

Based on the foregoing, I would modify the order of the Appellate Division by reinstating the second count and would otherwise affirm.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO and READ concur with Judge JONES; Judge PIGOTT dissents in part and votes to modify in a separate opinion in which Judge SMITH concurs.

Order affirmed.

[906 NE2d 374, 878 NYS2d 646]

MICHAEL ISRAEL et al., Respondents, v SURINDER S. CHABRA, Appellant, et al., Defendant.

Argued February 10, 2009; decided March 26, 2009

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review a question certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following question was certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: ''Does New York General Obligations Law § 15-301(1) abrogate, in the case of a contract where the second of two irreconcilable provisions requires that any modifications to the agreement be made in writing, the common law rule that where two contractual provisions are irreconcilable, the one appearing first in the contract is to be given effect rather than the one appearing subsequent?'' The certified question was reformulated by the New York State Court of Appeals, as authorized by the United States Court of Appeals, to read: ''Where the second of two conflicting provisions in a guaranty requires that any modification to the agreement underlying the guaranty be made in writing and signed by the guarantor, does New York General Obligations Law § 15-301 (1) abrogate the common-law rules of contract interpretation that are traditionally used to determine which clause governs?''

HEADNOTES

Contracts — Modification — Provision Requiring Modification be Made in Writing Conflicts with Another Contract Provision — Effect of General Obligations Law § 15-301 (1)

1. In an action by plaintiff employees seeking enforcement of guarantees that contained two conflicting provisions, the second of which required that any modification to the underlying employment agreement be made in writing and signed by the guarantor, General Obligations Law § 15-301 (1) did not abrogate the common-law rules of contract interpretation that would traditionally be used to determine which clause governs. In drafting General Obligations Law § 15-301 (1), which provides for the enforcement of ''no oral modification'' clauses in contracts, the Legislature did not intend to interfere with the ability of parties to craft specific contract terms governing their rights. If parties decide to include a ''no oral modification'' clause in their agreement, the statute is intended to facilitate its enforcement, and it places that type of clause on the same footing as any other term in a contract. Nothing in the history of the statute suggests that the Legislature sought to abrogate other common-law rules related to the interpretation of contracts.

Contracts — Construction — Irreconcilable Provisions

2. In a proceeding to review a question certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit regarding whether General Obligations Law § 15-301 (1) ''abrogate[s], in the case of a contract where the second of two irreconcilable provisions requires that any modifications to the agreement be made in writing, the common law rule that where two contractual provisions are irreconcilable, the one appearing first in the contract is to be given effect rather than the one appearing subsequent,'' the certified question was modified to remove any reference to the ''first clause governs'' view of contract interpretation. The Court of Appeals has not endorsed that principle and declined to do so here.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

Am Jur 2d, Appellate Review §§ 907, 908, 916; Am Jur 2d, Contracts §§ 328–331, 514.

Calamari and Perillo, Contracts (5th ed) §§ 3.9–3.13.

Carmody-Wait 2d, Appeals to the Court of Appeals § 71:133.

McKinney's, General Obligations Law § 15–301 (1).

NY Jur 2d, Appellate Review §§ 303, 305, 306, 309; NY Jur 2d, Contracts §§ 208, 209, 211, 213, 316–318, 486.

Williston on Contracts (4th ed) §§ 7:37, 30:4.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Contracts.

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POINTS OF COUNSEL

Howard W. Burns, Jr., New York City, for appellant. I. The provision regarding any ''rescission, waiver, or modification'' may be reconciled with the written consent requirement relating solely to ''modification.'' (*Rentways, Inc. v O'Neill Milk & Cream Co.,* 308 NY 342; *Allendale Mut. Ins. Co. v Excess Ins. Co. Ltd.,* 970 F Supp 265, 992 F Supp 271, 172 F3d 37; *Isaacs v Westchester Wood Works,* 278 AD2d 184.) II. If there is true irreconcilability, the Court must resolve it—blind choice of the earlier provision is a dinosaur. (*Queens Best, LLC v Brazal S. Holdings, LLC,* 35 AD3d 695; *Angelucci v City of New York,* 250 AD2d 716; *Raul Cleaners Corp. v Kim's Landmark Cleaners Corp.,* 210 AD2d 144; *Cramer v Devon Group, Inc.,* 774 F Supp 176; *Deering Milliken v Clark Estates,* 43 NY2d 545; *Cheng*

Sing Liang v Chwen Jen Huang, 255 AD2d 671; *Honigsbaum's, Inc. v Stuyvesant Plaza,* 178 AD2d 702; *Matter of Brooklyn Trust Co.*, 163 Misc 117.) III. New York has a strong legislative policy in enforcing no oral modification clauses. (*Beatty v Guggenheim Exploration Co.,* 225 NY 380; *Schwartzreich v Bauman-Basch, Inc.,* 231 NY 196; *DFI Communications v Greenberg,* 41 NY2d 602.)

Sklover, Donath & Felber, LLC, New York City (*Alan L. Sklover, Daniel A. Fried* and *Susan R. Nudelman* of counsel), for respondents. I. General Obligations Law § 15-301 (1) does not require a no oral modifications provision of an instrument to prevail over conflicting provisions of the same instrument. (*Cammack v Slattery & Bro.,* 241 NY 39; *McKenzie v Harrison,* 120 NY 260; *Coe v Hobby,* 72 NY 141; *Beatty v Guggenheim Exploration Co.,* 225 NY 380; *Hechter v New York Life Ins. Co.,* 46 NY2d 34; *Rust v Reyer,* 91 NY2d 355; *Green v Doniger,* 300 NY 238.) II. General Obligations Law § 15-301 (1) does not apply to the writing requirement of the guaranty. (*Associated Food Stores v Siegel,* 10 AD2d 1003, 9 NY2d 816; *National Union Fire Ins. Co. of Pittsburgh, Pa. v Williams,* 223 AD2d 395; *Ripley v International Rys. of Cent. Am.,* 8 NY2d 430; *Generale Bank v Czarnikow-Rionda Sugar Trading, Inc.,* 47 F Supp 2d 477; *Bank of Tokyo-Mitsubishi, Ltd., N.Y. Branch v Kvaerner a.s.,* 243 AD2d 1; *Rudman v Cowles Communications,* 30 NY2d 1; *SAA-A, Inc. v Morgan Stanley Dean Witter & Co.,* 281 AD2d 201; *Goodyear Publ. Co. v Mundell,* 75 AD2d 556; *Imperator Realty Co. v Tull,* 228 NY 447; *Hill v Blake,* 97 NY 216.) III. The consent clause should be construed as limiting the scope of the writing requirement. (*Green v Doniger,* 300 NY 238; *Aramony v United Way of Am.,* 254 F3d 403; *Muzak Corp. v Hotel Taft Corp.,* 1 NY2d 42; *Bank of Tokyo-Mitsubishi, Ltd., N.Y. Branch v Kvaerner a.s.,* 243 AD2d 1; *Matter of Riefberg,* 58 NY2d 134; *242-44 E. 77th St., LLC v Greater N.Y. Mut. Ins. Co.,* 31 AD3d 100; *Pittsburg & Shawmut R.R. Co. v Central Trust Co.,* 156 App Div 182.)

OPINION OF THE COURT

GRAFFEO, J.

In this certified question case from the United States Court of Appeals for the Second Circuit, we are asked to determine whether General Obligations Law § 15-301 (1) affects the interpretation and enforcement of a contract. We begin with the facts underlying the contract dispute.

Plaintiffs Michael and Steven Israel were formerly employed by AMC Computer Corporation. In the spring of 2000, AMC was in the process of merging with a third-party investor. Because plaintiffs—a father and son—were key employees, the investor sought assurances that they would remain with AMC for at least three years after the merger. On May 1, 2000, plaintiffs entered into separate but virtually identical three-year employment agreements with AMC. Defendant Surinder ''Sonny'' Chabra, the president of AMC, executed the contracts in his corporate capacity. In addition, Chabra signed a ''Letter of Intent'' agreeing that, if the merger went forward, ''Steven and Michael Israel each will be entitled to a $2 million bonus payment, for past services rendered, to be paid by Sonny Chabra.'' The payments were to be made in equal monthly installments over the period covered by the employment contracts.

The employment agreements and the letter of intent were modified on July 31, 2000 in documents known as ''Amendment No. 1 to Employment Agreement'' and ''Amendment No. 1 to Letter of Intent.'' The amendments reduced plaintiffs' bonuses to $1.75 million and transferred the obligation to make the payments from Sonny Chabra, in his personal capacity, to AMC. In the amended letter of intent, the parties further agreed that Chabra would personally guarantee the bonus payments and, about a month later, Chabra executed personal guarantees requiring him to cover any default upon 60 days' notice of AMC's failure to make an installment payment to either of the Israels. The guarantees stated that Chabra's liability was ''absolute and unconditional'' regardless of ''any change in the time, manner or place of payment'' (a provision referred to as the ''advance consent clause'') or of ''any rescission, waiver, or modification of any of the terms or provisions of the Employment Agreement.'' The last sentence of the guarantees (referred to as ''the writing requirement'') provided: ''References to the Employment Agreement shall mean the Employment Agreement immediately after the execution of Amendment No. 1 and shall not be affected by subsequent amendments to the Employment Agreement unless Guarantor has agreed in writing to such amendments.''

The merger occurred on August 30, 2000 and, under the amended agreements, plaintiffs began to receive bonus payments later that year. Over the next $2^1/_2$ years, AMC failed to make certain installment payments, causing plaintiffs to issue default notices to AMC and Chabra. To resolve the disputes over the missed payments, AMC entered into a ''Second

Amendment to Employment Agreement'' with each plaintiff that included a new payment schedule for the balances due on the bonuses. The parties also agreed that Chabra's personal guarantees would remain in effect. Chabra signed these amendments as president of AMC but not in his personal capacity.

AMC made some payments under the new schedule but ultimately ceased making any payments, prompting plaintiffs to forward default notices to AMC and Chabra. After an unsuccessful effort to arbitrate, plaintiffs pursued this action in the United States District Court for the Southern District of New York seeking enforcement of the Chabra guarantees. The parties cross-moved for summary judgment and the District Court granted judgment in favor of plaintiffs, holding that Chabra was personally obligated to pay the remaining balances on the bonus payments (418 F Supp 2d 509 [2006]).

On appeal, the Second Circuit disagreed with the District Court's analysis in several respects (*Israel v Chabra*, 537 F3d 86 [2d Cir 2008]). Relevant to this appeal, since Chabra had signed the second amendment documents only in his capacity as president of AMC, the Second Circuit rejected the District Court's finding that he was personally bound by the new payment schedule. The court further reasoned that plaintiffs' failure to send default notices when payments were not made under the prior schedule might preclude recovery of some installments.

Focusing on the language in the guaranty documents, the Second Circuit viewed the advance consent clause as an agreement by Chabra to be bound by subsequent changes in the ''time, manner or place of payment.'' But the court found this provision irreconcilable with the writing requirement, construing the latter to preclude the enforcement of unsigned modifications of the employment agreement which, in light of Chabra's failure to sign in his personal capacity, included the revised payment schedule. The court interpreted New York law to require that when two provisions in a contract conflict, the provision that appears earliest in the contract should be given effect. In this case, that would mean that the advance consent clause would govern. But the Second Circuit was concerned that General Obligations Law § 15-301 (1)—a statute that provides for the enforcement of ''no oral modification'' clauses in contracts—might require that the writing requirement supersede the advance consent clause. Thus, the Second Circuit certified the following question to us:

> ''Does New York General Obligations Law § 15-301(1) abrogate, in the case of a contract where the second of two irreconcilable provisions requires that any modifications to the agreement be made in writing, the common law rule that where two contractual provisions are irreconcilable, the one appearing first in the contract is to be given effect rather than the one appearing subsequent?'' (*Id.* at 102.)

The Second Circuit authorized our Court ''to expand, reformulate, or modify this question'' (*id.*) and we have accepted both the certification and the invitation to reframe the inquiry. We now reformulate the question to read:

> Where the second of two conflicting provisions in a guaranty requires that any modification to the agreement underlying the guaranty be made in writing and signed by the guarantor, does New York General Obligations Law § 15-301 (1) abrogate the common-law rules of contract interpretation that are traditionally used to determine which clause governs?

We answer this question in the negative.

[1] General Obligations Law § 15-301 (1) provides:

> ''A written agreement or other written instrument which contains a provision to the effect that it cannot be changed orally, cannot be changed by an executory agreement unless such executory agreement is in writing and signed by the party against whom enforcement of the change is sought or by his agent.''

The statute indicates that where a contract contains a ''no oral modification'' clause, that clause will be enforceable. The Second Circuit has inquired whether the statute does more than merely allow for the enforcement of a clause banning oral modifications, questioning whether, in the event of a conflict, the statute might require that a ''no oral modification'' provision take precedence over other contract terms. We conclude that the language in the statute does not support that interpretation, nor does the legislative history reveal any such legislative intent.

Under the common law, a contractual ''no oral modification'' clause was not enforceable because contracting parties were viewed as being able to waive such a clause, thereby orally amending their written agreement. As Judge Cardozo explained in *Beatty v Guggenheim Exploration Co.* (225 NY 380, 387-388 [1919] [citations and internal quotation marks omitted]):

> ''Those who make a contract, may unmake it. The clause which forbids a change, may be changed like any other. The prohibition of oral waiver, may itself be waived. Every such agreement is ended by the new one which contradicts it . . . What is excluded by one act, is restored by another. You may put it out by the door; it is back through the window. Whenever two men contract, no limitation self-imposed can destroy their power to contract again.''

Since ''no oral modification'' clauses were not given effect under the common law, the only way to ensure that a written contract could not be changed through oral modification was to enter it under ''seal'' (*see Cammack v Slattery & Bro.*, 241 NY 39, 45-46 [1925]).[1] But, by the early twentieth century, use of the seal had become increasingly obsolete, as we noted in *Cammack*:

> ''While much has been said about the anachronistic absurdity of giving to seals at the present day the solemnity and force which they once justly possessed and while courts have undoubtedly been quite ready to escape from an alleged invalidity of a contract predicated upon failure to use a seal, nevertheless this court has been unwilling to make a decision generally annulling and destroying well-settled rules pertaining to the use of seals . . . If the use of seals as now required is to be generally discontinued this result should be accomplished by the Legislature, which could make proper reservations preserving the integrity and force of contracts already executed'' (*id.* at 45-46).

Accepting this Court's suggestion, the Legislature passed a series of statutes in the 1930s that were intended to reduce the significance of the seal in some situations and altogether remove its effect in others. Yet there were ambiguities in these provisions that resulted in uncertainty concerning their enforcement (1941 NY Legis Doc No. 65 [M], at 13, discussing *Cochran v Taylor*, 273 NY 172 [1937]). It was against this backdrop that the Legislature passed the predecessor to General Obligations Law § 15-301 (1).

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1. Originally, under the common law, a seal was an impression made in wax or embossed on paper and affixed to a document (Garner, A Dictionary of Modern Legal Usage 784-785 [2d ed 1995]).

In 1941, at the recommendation of the New York Law Revision Commission, a statute was enacted that clearly abrogated the significance of the sealed document except in certain limited situations.[2] At the same time, the Legislature adopted the predecessors to General Obligations Law § 15-301 (1)—two identically worded provisions that were codified as former Real Property Law § 282 and former Personal Property Law § 33-c:

> ''An executory agreement hereafter made shall be ineffective to change or modify, or to discharge in whole or in part, a written agreement or other written instrument hereafter executed which contains a provision to the effect that it cannot be changed orally, unless such executory agreement is in writing and signed by the party against whom enforcement of the change, modification or discharge is sought'' (L 1941, ch 329, §§ 4, 5).

There is no doubt that this language ''was intended in part to compensate for the demise of the seal'' (*DFI Communications v Greenberg*, 41 NY2d 602, 606 [1977]). In its report urging enactment, the Law Revision Commission explained: ''The seal has degenerated into an L. S. or other scrawl which, in modern practice, is frequently a printed L. S. upon a printed form. To the average man it conveys no meaning, and frequently the parties to instruments upon which it appears have no idea of its legal effects'' (1941 NY Legis Doc No. 65 [M], at 15). The Commission asserted that ''a method more appropriate than the use of the seal for permitting a party to a written agreement to protect himself against the danger of false claims of an oral modification, would be to make binding a stipulation to this effect contained in the original written instrument'' (*id.*). This stance was echoed by the Association of the Bar of the City of New York, which supported the proposed legislation and observed that it ''would change the effect of such decisions as that of *Beatty* v. *Guggenheim Exploration Co.*'' (Mem of Assn of Bar of City of NY Comm on State Legislation, Bill Jacket, L 1941, ch 329, at 7).

Eight years after passage of the ''no oral modification'' statutes, we decided *Green v Doniger* (300 NY 238 [1949]), a

2. The law stated: ''Except as otherwise expressly provided by statute, the presence or absence of a seal upon a written instrument hereafter executed shall be without legal effect'' (L 1941, ch 329, § 2, adding former Civ Prac Act § 342).

case involving the interpretation of a written contract between a salesperson and his employer. The contract contained both a ''no oral modification'' clause and a provision that allowed either party to terminate the agreement upon 30 days' written notice to the other. Although plaintiff, the salesperson, was not entitled to a bonus under the terms of the written contract, he alleged that he and his employer had mutually agreed to abandon the written contract one month after it was executed in favor of an oral agreement that provided him with a bonus. The employer moved to dismiss plaintiff's claim, arguing that, since there was no evidence that either party had notified the other in writing of an intent to terminate the contract, the written agreement remained in effect and its ''no oral modification'' clause precluded any bonus.

We held that former Personal Property Law § 33-c (1)—a predecessor to General Obligations Law § 15-301 (1)—did not prevent plaintiff from pursuing his claim. The Court reasoned that, if the ''no oral modification'' clause had been the only relevant provision in the contract, the statute would require its enforcement, thereby defeating plaintiff's claim under the purported subsequent oral contract. But the ''no oral modification'' clause was necessarily limited by the provision allowing termination upon 30 days' written notice. Under the termination clause, either party could unilaterally discharge the contract without the signature or consent of the other. We therefore determined that the ''no oral modification'' statute applied only to the extent that the parties had incorporated it into their contract; it had no independent effect on the parties' obligations, nor did it trump competing provisions within the same document. Since plaintiff's theory was not that the parties had orally modified the written agreement but that the written agreement had been vacated by mutual agreement—with the employer having waived the written notice requirement in the termination clause—we concluded that the employer could not rely on the ''no oral modification'' clause to defeat plaintiff's claim.

In the aftermath of *Green*, the Legislature added provisions to the statute specifically addressing ''termination upon written notice'' clauses (L 1952, ch 831). The new subdivisions provided that, when parties agree that a written contract can be terminated on written notice (or that the agreement cannot be terminated orally), the requirement that the notice be written cannot be waived except in writing, nor can the parties mutually consent to abandon the contract and substitute another in its place unless there is a writing signed by the party against whom the termination or abandonment is sought to be enforced (L 1952, ch 831, adding provisions currently codified at General Obligations Law § 15-301 [2], [3], [4]). And, without altering the substance of the provision, the Legislature also reorganized the language in the ‘‘no oral modification’’ subdivision so that it reads as it does today.

The Legislature’s response to *Green* is notable not solely because of what it did but also because of what it did not do. In amending the statute, the Legislature addressed the ‘‘termination on written notice’’ issue raised in *Green*. But it did not disturb our determination that the statute’s impact on a dispute, if any, depends entirely on the language the parties chose in their contract. As a proponent of the legislation, the Law Revision Commission concurred with this aspect of the Court’s analysis, acknowledging that ‘‘the intent of the parties, as ascertained from the terms of the contract, governs the applicability of the statute’’ (1951 NY Legis Doc No. 65 [N], at 18).

This legislative history reveals that, in drafting General Obligations Law § 15-301 (1), the Legislature did not intend to interfere with the ability of parties to craft specific contract terms governing their rights; if parties decide to include a ‘‘no oral modification’’ clause in their agreement, the statute is intended to facilitate its enforcement. Section 15-301 (1) places this type of clause on the same footing as any other term in a contract. However, nothing in the history of the statute suggests that the Legislature sought to abrogate other common-law rules related to the interpretation of contracts, other than to extinguish the *Beatty* rule. As *Green* makes clear, when a ‘‘no oral modification’’ clause purportedly conflicts with another clause in a contract, every attempt should be made to harmonize the two provisions using common-law tools of contract interpretation. But section 15-301 (1) does not compel the enforcement of a ‘‘no oral modification’’ clause at the expense of other aspects of the parties’ agreement.

Turning to the contract in this case, the writing requirement in the guaranty differs from the typical ‘‘no oral modification’’ clause. As the statute suggests, such clauses commonly preclude oral modification of the agreement in which they appear. But the writing requirement here does not discuss modification of the guaranty; rather, it is directed to subsequent amendments to the employment agreements. There is no claim in this case that the guaranty was modified, nor was the adoption of a new payment schedule necessarily an amendment of the guaranty since the latter does not contain a payment schedule. In any event, assuming the writing requirement falls under the purview of the statute, we conclude that General Obligations Law § 15-301 (1) plays no role in determining whether the advance consent clause or the writing requirement takes precedence.

[2] Finally, although we have not been asked to interpret the language in the guaranty, we note that this Court has not endorsed the ''first clause governs'' view of contract interpretation and we decline to do so now.[3] Therefore, we have modified the certified question to remove any reference to that principle.

Accordingly, as reformulated, the certified question should be answered in the negative.

Judges CIPARICK, READ, SMITH, PIGOTT and JONES concur; Chief Judge LIPPMAN taking no part.

Following certification of a question by the United States Court of Appeals for the Second Circuit and acceptance of the question by this Court pursuant to section 500.27 of the Rules of Practice of the Court of Appeals (22 NYCRR 500.27), and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified question, as reformulated, answered in the negative.

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3. As stated in 11 Lord, Williston on Contracts § 32:15:

''Historically, one of the first answers provided by the courts for how to deal with conflicting clauses was to enforce the earlier clause and disregard the later. This approach is still followed today. Because of the arbitrary and artificial quality of this rule of interpretation, it is not universally followed and will only be accepted as a rule of last resort . . .

''The better and apparent majority rule for resolving irreconcilable differences between contract clauses is to enforce the clause relatively more important or principal to the contract. This rule is tempered by the corollary that the more specific clause controls the more general'' (11 Lord, Williston on Contracts § 32:15, at 507-510 [4th ed]).

[905 NE2d 1175, 878 NYS2d 246]

ELEANOR DUFFY, Appellant, v JAMES M. VOGEL et al., Respondents, et al., Defendant.

Argued February 18, 2009; decided March 31, 2009

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered April 3, 2008. The Appellate Division affirmed, insofar as appealed from, an order of the Supreme Court, New York County (Stanley L. Sklar, J.), which had granted the Vogel defendants' motion for summary judgment dismissing all medical malpractice claims arising from treatment prior to March 24, 2000. The appeal brings up for review a prior nonfinal order of that Appellate Division, entered December 20, 2007 (49 AD3d 22). The Appellate Division, with two Justices dissenting, had (1) reversed, on the law, an order of the Supreme Court, New York County (Donna M. Mills, J.; op 2007 NY Slip Op 34280[U]), granting, after a jury trial, plaintiff's motion to set aside the verdict and declare a mistrial; (2) denied the motion; (3) reinstated the verdict; and (4) directed the clerk to enter judgment dismissing the complaint.

Duffy v Vogel, 50 AD3d 319, reversed.

HEADNOTE

Trial — Verdict — Setting Verdict Aside — Failure to Poll Jury upon Request

Even though each member of the jury signed the verdict sheet in response to each of the answered interrogatories, the jury's responses to the interrogatories were uniformly unanimous and no juror protested during the foreperson's recitation of the verdict in open court, the trial court's failure to honor plaintiff's absolute right to have the jury polled required that the verdict be set aside and a new trial ordered. Affording jurors a last opportunity individually to express agreement or disagreement with the reported verdict, is, when requested by a litigant, indispensable to a properly published, and thereby perfected, verdict. Further, the failure to poll a jury upon request may never be deemed harmless.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Trial §§ 1523–1525.

CARMODY-WAIT 2d, The Deliberations, Verdict, and Findings of the Jury § 58:52.

NY Jur 2d, Trial § 508.
Siegel, NY Prac § 400.

ANNOTATION REFERENCE

See ALR Index under Polling Jury.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS
Query: fail! /3 poll! /3 jury & harmless

POINTS OF COUNSEL

Jonathan M. Landsman, New York City, for appellant. I. Denial of the ''absolute right'' to poll the jury mandates setting aside the verdict under long-standing New York case law. (*Labar v Koplin,* 4 NY 547; *Matter of National Equip. Corp. v Ruiz,* 19 AD3d 5; *Brigham v Olmstead,* 10 AD2d 769; *Warner v New York Cent. R.R. Co.,* 52 NY 437; *Knox v State Bank of Albany,* 260 App Div 964; *Muth v J & T Metal Prods. Co.,* 74 AD2d 898, 51 NY2d 745; *Dore v Wyer,* 1 AD2d 973; *Goines v Pennsylvania R.R. Co.,* 208 Misc 103, 3 AD2d 307; *Porret v City of New York,* 252 NY 208; *Spielter v North German Lloyd S.S. Co.,* 232 App Div 104.) II. Denial of the jury poll prejudiced plaintiff because the jury poll serves a distinct purpose separate from the reading of the verdict by the jury foreperson and because the jury's damages verdict is worthless based on the jury's liability verdict. III. The Appellate Division erred in assuming that a poll of the jury would not have changed the result. (*People v Pickett,* 61 NY2d 773; *People v Francois,* 297 AD2d 750; *United States v Fiorilla,* 850 F2d 172; *People v Dean,* 177 AD2d 792, 79 NY2d 855; *People v Cortes,* 173 AD2d 319, 78 NY2d 1075; *United States v Spitz,* 696 F2d 916; *United States v Chigbo,* 38 F3d 543, 516 US 826; *United States v Gambino,* 951 F2d 498, 504 US 918; *Brooks v Bay State Abrasive Prods., Inc.,* 516 F2d 1003, 423 US 1090; *United States v Carraway,* 108 F3d 745, 522 US 891.) IV. The Appellate Division erred in ruling that a verdict sheet signed by each juror in the jury room is essentially the same as a jury poll in open court. (*Dore v Wyer,* 1 AD2d 973; *Labar v Koplin,* 4 NY 547; *Warner v New York Cent. R.R. Co.,* 52 NY 437; *Porret v City of New York,* 252 NY 208; *Spielter v North German Lloyd S.S. Co.,* 232 App Div 104; *Luppino v Busher,* 119 AD2d 554.) V. Plaintiff cannot show further prejudice because jurors may not impeach their own verdicts after being discharged. (*Sharrow v Dick Corp.,* 86 NY2d 54; *Kaufman v Eli Lilly & Co.,* 65 NY2d 449; *Luppino v Busher,* 119 AD2d 554;

Brith Trumpeldor of Am. v Bermil Sales & Serv. Co., 16 Misc 2d 186, 17 Misc 2d 206; *Russo v Jess R. Rifkin, D.D.S., P. C.,* 113 AD2d 570; *Hoffman v Domenico Bus Serv.,* 183 AD2d 807; *Labov v City of New York,* 154 AD2d 348; *Walden v Otis El. Co.,* 178 AD2d 878, 79 NY2d 758; *Gamell v Mt. Sinai Hosp.,* 40 AD2d 1010; *Wylder v Viccari,* 138 AD2d 482.) VI. Denials of other ‘‘absolute rights’’ have led to new trials without a showing of prejudice. (*People v Ciaccio,* 47 NY2d 431; *People v Mehmedi,* 69 NY2d 759; *People v Cain,* 76 NY2d 119; *Lunney v Graham,* 91 AD2d 592; *Baginski v New York Tel. Co.,* 130 AD2d 362; *Guarnier v American Dredging Co.,* 145 AD2d 341; *People v Morton,* 189 AD2d 488; *People v Jones,* 70 NY2d 547; *People v Ranghelle,* 69 NY2d 56; *People v Perez,* 65 NY2d 154.) VII. The jury trial is a constitutional right and denial of same has led to new trials without proof of prejudice. (*Sharrow v Dick Corp.,* 86 NY2d 54; *Gallegos v Elite Model Mgt. Corp.,* 28 AD3d 50.) VIII. Defense counsel were partially to blame for the trial court’s error; in any event, judicial errors can lead to new trials even if counsel are not to blame. (*Barracca v St. Francis Hosp.,* 237 AD2d 396; *Heiney v Pattillo,* 76 AD2d 855; *Serota v Kaplan,* 127 AD2d 648; *Butler v New York City Hous. Auth.,* 26 AD3d 352.) IX. The trial court properly set aside the verdict where it failed to poll the jury and clarify the jury’s intentions. (*Bernard v Seyopp Corp.,* 11 AD2d 140, 9 NY2d 676; *Mannara v Wein,* 15 AD2d 564; *Vera v Bielomatik Corp.,* 199 AD2d 132; *Scaduto v Suarez,* 150 AD2d 545; *DiGiglio v Williams,* 166 AD2d 499; *Moisakis v Allied Bldg. Prods. Corp.,* 265 AD2d 457; *Ciatto v Lieberman,* 1 AD3d 553; *Califano v Automotive Rentals,* 293 AD2d 436; *Roseingrave v Massapequa Gen. Hosp.,* 298 AD2d 377.)

Aaronson, Rappaport, Feinstein & Deutsch, LLP, New York City (*Steven C. Mandell* and *Anthony J. Connors* of counsel), for James M. Vogel, respondent. I. Assuming an absolute right to poll a jury and its violation, it was incumbent upon appellant—who failed—to demonstrate actual prejudice. (*Sharrow v Dick Corp.,* 86 NY2d 54; *Kaufman v Eli Lilly & Co.,* 65 NY2d 449; *Glanton v New York Hosp.*, 175 AD2d 58; *Gamell v Mt. Sinai Hosp.,* 40 AD2d 1010; *Fox v United States*, 417 F2d 84; *Dalrymple v Williams,* 63 NY 361; *Porter v Milhorat,* 26 AD3d 424; *Moisakis v Allied Bldg. Prods. Corp.,* 265 AD2d 457; *Labar v Koplin,* 4 NY 547; *Akin v Kellogg,* 119 NY 441.) II. Absolute right or not, the denial of a request to poll a jury is subject to harmless error analysis. (*Labar v Koplin,* 4 NY 547; *Matter of National Equip. Corp. v Ruiz,* 19 AD3d 5; *Dore v Wyer,* 1 AD2d

973; *Muth v J & T Metal Prods. Co.*, 74 AD2d 898; *Funk v United States,* 290 US 371; *Humphries v District of Columbia,* 174 US 190; *Audette v Isaksen Fishing Corp.,* 789 F2d 956; *United States v Friedman,* 593 F2d 109; *United States v Shepherd,* 576 F2d 719, 439 US 852; *Walker v United States,* 322 F2d 434, 375 US 976.) III. Where, as here, the overwhelming weight of the evidence was such that there was no reasonable probability that the jury's verdict would have been for appellant but for the trial court's failure to poll the jury as requested, the failure to do so constituted harmless error. (*People v Grant,* 7 NY3d 421; *People v Douglas,* 4 NY3d 777; *People v Morales,* 80 NY2d 450; *People v Bongarzone,* 69 NY2d 892; *People v Crimmins,* 36 NY2d 230; *People v Bragle,* 88 NY 585; *People v Jennings,* 33 AD3d 378, 7 NY3d 926; *People v Fulton,* 28 AD3d 1180, 7 NY3d 756; *People v Brooks,* 26 AD3d 867, 6 NY3d 892; *People v Ballard,* 173 AD2d 480, 256 AD2d 349.)

Heidell, Pittoni, Murphy & Bach, LLP, New York City (*Daniel S. Ratner* and *Daryl Paxson* of counsel), for Allan J. Jacobs, respondent. Appellant received a fair trial despite the failure to poll the jury. (*Labar v Koplin,* 4 NY 547; *Warner v New York Cent. R.R. Co.,* 52 NY 437; *Matter of National Equip. Corp. v Ruiz,* 19 AD3d 5; *Brith Trumpeldor of Am. v Bermil Sales & Serv. Co.,* 16 Misc 2d 186, 17 Misc 2d 206; *Farhart v Matuljak,* 283 App Div 977; *Hernandez v Delgado,* 375 F2d 584; *People v Ciaccio,* 47 NY2d 431; *People v Mehmedi,* 69 NY2d 759; *People v Ahmed,* 66 NY2d 307; *People v Cain,* 76 NY2d 119.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

At the conclusion of a long and complex trial during which plaintiff sought to prove that defendant physicians had committed malpractice by failing to detect, diagnose and properly treat a tumor situated in her pelvis, the jury returned a verdict evidently exonerating defendants while purporting to award damages ''for the plaintiff'' in the amount of $1.5 million. Shortly after the verdict, plaintiff requested that the jury be polled to ascertain whether ''each juror consents this is the verdict as read by the foreperson.'' The request was denied as ''unnecessary'' and the jury discharged. The trial court would, however, subsequently acknowledge that it had erred in denying the poll and, on that ground, grant plaintiff's posttrial motion to set aside the verdict and declare a mistrial (2007 NY Slip Op 34280[U]). In the ensuing litigation, defendants have conceded that it was error not to poll the jury, yet urge that harmless error analysis may save the verdict.

In the decision and order now before us, brought up for review by plaintiff's appeal as of right, pursuant to CPLR 5601 (d), from an Appellate Division order affirming the dismissal of her remaining claims (50 AD3d 319 [2008]), a divided Appellate Division panel agreed with defendants, and denied the previously granted motion to set aside the verdict. While the entire panel acknowledged that plaintiff had been entitled to have the jury polled and even that the entitlement was ''absolute,'' the majority viewed the error as one of form only, since, in its estimation, ''the objective facts set forth amply demonstrate[d] that polling the jury would not have resulted in a different verdict'' (*Duffy v Vogel*, 49 AD3d 22, 25 [1st Dept 2007]). This view was, at bottom, premised upon the manner in which the verdict had been rendered: each member of the jury had signed the verdict sheet in response to each of the answered interrogatories, the jury's responses to the interrogatories had been uniformly unanimous, and during the foreperson's recitation of the verdict in open court, no juror cried out in protest. The dissenters countered that ''[i]t is simply impossible, short of clairvoyance, to decide that no juror in this case would change his or her mind upon being polled facing the litigants in open court'' (*id*. at 32), and, accordingly, would have held that the trial court's failure to honor plaintiff's absolute right to have the jury polled required that the verdict be set aside, as the trial court had done.

We now reverse.

At common law, it was recognized that although jurors had agreed upon a verdict within the confines of the jury room and announced their verdict in open court, they might yet be examined by poll to determine whether they remained wedded to their verdict, and if it appeared that the verdict had been due to mistake or partiality, the jurors would, prior to the recording of the verdict, have an opportunity to ''go together and consider the better of it, and alter what they have delivered'' (2 Hale, History of the Pleas of the Crown, at 299-300 [1800 ed]). That jurors ''should be enabled to avail themselves of the *locus penitentiae*, and correct a verdict which they have mistaken, or about which, upon further reflection, they have doubt'' (*Blackley v Sheldon*, 7 Johns 32, 33-34 [1810]) has been recognized in the vast majority of jurisdictions, and the polling of jurors in open court has been viewed as essential to the provision of such a locus, since, without the device, the reservations of individual jurors about a verdict to which they may have assented in the enforced privacy of the jury room under misapprehension, pressure from fellow jurors or out of sheer exhaustion, would likely never gain timely expression.

In New York, we have long recognized that affording jurors a last opportunity individually to express agreement or disagreement with the reported verdict, is, when requested by a litigant, indispensable to a properly published, and thereby perfected, verdict:

> ''It is a general rule, that no verdict is of any force but a public verdict given in open court; until that is received and recorded there is no verdict. When the jury come to the bar to deliver their verdict, all or any of them have a right to dissent from a verdict to which they had previously agreed. (*Root* v. *Sherwood*, 6 *John*. 68.) A verdict is not recognized as valid and final until it is pronounced and recorded in open court: the jury may change their mind and disagree as to their verdict after they have pronounced it in open court before it is received and entered on the minutes. After a verdict is rendered or announced and before it is entered, the jury may be examined by the poll, if the court please, and either of them may disagree to the verdict. ([*Blackley*] v. *Sheldon*, 7 *John*. 32.) The expression in the last case, '*if the court please*,' would seem to imply that the polling of the jury was in the discretion of the court; but in the case of *Fox* v. *Smith*, (3 *Cowen*, 23,) and *Jackson ex dem. Fink and others* v. *Hawks*, (2 *Wend*. 619,) it is decided to be the absolute right of a party to have the jury polled on their bringing in their verdict, whether it be sealed or oral, unless he has expressly agreed to waive that right'' (*Labar v Koplin*, 4 NY 547, 550-551 [1851]).

That a verdict may not be deemed ''finished or perfected'' until it is recorded, and that it may not be validly recorded without a jury poll where one has been sought* (*see Warner v New York Cent. R.R. Co.*, 52 NY 437, 442 [1873]), have been uncontroversial propositions. Although we have not had the

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* Although the early cases, such as *Labar v Koplin* (*supra*), in fact, required an express waiver if the jury was not to be polled, the entitlement is now deemed waived in the absence of a request.

opportunity recently to reconsider them, they have been applied over the years with axiomatic force by New York's intermediate appellate courts (*see Brigham v Olmstead*, 10 AD2d 769 [3d Dept 1960] ["Not until inquiry is made of the whole jury, not merely the foreman, as to their verdict, and it is duly entered by the Clerk is the verdict complete. Until it is thus announced there is no verdict"]; *Muth v J & T Metal Prods. Co.*, 74 AD2d 898 [2d Dept 1980], *lv dismissed* 51 NY2d 745 [1980] [reinstatement of verdict following appellate denial of previously granted motion to set aside the verdict not possible because, in light of the trial court's denial of defendant's request to poll the jury, there was no valid verdict to reinstate]; *see also Luppino v Busher*, 119 AD2d 554, 556 [2d Dept 1986]; *Ricchueto v County of Monroe*, 267 AD2d 1012 [4th Dept 1999]; *Matter of National Equip. Corp. v Ruiz*, 19 AD3d 5, 12-14 [1st Dept 2005]). No cogent, principled argument is made for their revision here.

Inasmuch as, under New York law, the honor of a request for a jury poll is a necessary condition of a "finished or perfected" verdict, it follows that in this State's courts the failure to poll a jury may never be deemed harmless. Harmless error analysis is a judicial device employed to sustain an already perfected verdict, not to perfect a verdict in the first instance.

A verdict in a jury trial is emphatically not a judicial construct. Indeed, it is hard to know upon what empirical basis a verdict untested in open court by direct inquiry of the individual jurors might be judicially deemed to be the final expression of the jury's true intention. Here, it is important to understand that the relevant question is not whether the trial evidence was sufficiently persuasive to impel a hypothetical reasonable juror to vote in favor of the announced verdict, but rather whether each juror chosen by the parties to hear the case would, upon reflection, publicly affirm that the verdict agreed to in the jury room was the one he or she actually intended. The exercise of individual conscience involved is one whose outcome defies prediction.

Certainly, the prediction called for may not be based, as it was by the Appellate Division, on the circumstance that jurors have signed a verdict sheet. The proper publication of a verdict in open court, so long deemed essential to assure the integrity of the verdict, is not to be cast aside as a mere formality on the theory that jurors are prospectively bound to act in accordance with their verdict sheet signatures. Indeed, in *Root v Sherwood* (6 Johns 68, 68 [1810]), where the argument, here exactly reiterated, was made that ''[t]he signing of the verdict is an express assent by each juror to the verdict, and is equivalent to a *polling* of the jury,'' the court responded,

> ''There is no verdict of any force but a public verdict, given openly in court; until it was received and recorded it was no verdict, and the jury had a right to alter it as they may a private verdict. The previous agreement, that the jury might seal up their verdict, did not take away from the parties the right to a public verdict, duly delivered. There being then no legal verdict in this case, a new trial must be awarded.'' (*Id.* at 69; *see also Dore v Wyer*, 1 AD2d 973, 974 [2d Dept 1956] [denial of plaintiff estate administrator's request for a jury poll as ''unnecessary'' upon the ground that 10 jurors had signed the verdict sheet required reversal and a new trial since ''(t)he administrat(or) had an absolute right to have the jury polled, and the denial of that right was serious error''].)

Nor can there be any conceptually viable contention that the outcome of the public polling sought was foregone since the jurors in the present case privately signed the verdict sheet in numerous places, particularly since, had they followed instructions and concluded their deliberations after finding that defendants had not been negligent, their signatures would have been significantly less numerous.

Finally, we do not think it sensible to expect that a juror would in open court spontaneously pipe up his or her disagreement with an announced verdict. Jurors who have been pushed to a verdict about which they have serious reservations are not likely moments later in the solemn and intimidating atmosphere of the courtroom attending the announcement of the verdict to feel free to express their reservations unless it is made clear that it is permissible to do so and an opportunity is provided.

It is doubtless true, as defendants point out, that the absolute right of a party to have a jury polled is rooted in the common law, and not in statutory or constitutional enactment. It is also true that in some jurisdictions, albeit a minority, there exists no such right, and in others the right is not viewed as absolute, but as one which may in limited circumstances be denied without impairing the verdict. None of this argues persuasively for treating the right of a litigant to have a jury polled as less than absolute in this jurisdiction. Jury polling ordinarily entails little additional burden in the conduct of a trial, yet is demonstrably efficacious in assuring that the trial's outcome is in fact the true verdict of the particular jury chosen by the parties to hear the case. A jury verdict, once properly delivered may, of course, be subsequently sustained against claims of error upon evidentiary analyses that courts are equipped to perform. No court, however, may claim to know each juror's conscience so as to retrospectively offer assurance that the verdict was in its initial iteration what its authors had actually intended. Only timely inquiry of jurors will disclose whether their announced verdict truly expresses their will, and it is for this reason, and not out of unreasoned devotion to antique forms, that the common-law insistence upon jury polling has persisted. Harmless error analysis in this context would amount to no more than a speculative exercise, impermissibly substituting the judgments of judges for those that would have been made and disclosed by jurors had their verdict been properly pronounced in open court.

Even if we were writing upon a clean slate, which we are not, we would not concur in the dissent's view that it would be a good idea to treat the denial of a litigant's right to have the jury polled as a kind of potentially harmless error. Contrary to the premise of the dissent, jury polling has never been justified on the ground that there is a high probability that it will uncover disparity between the announced verdict and what the jurors intended. Its justification rests instead upon the right of a litigant to a public verdict demonstrably that of the particular jurors chosen in the case. Long, and we think indispensable experience, has shown that that basic entitlement, so closely enmeshed with and protective of the right to trial by jury, may not be deemed secured in any individual case simply upon the foreperson's announcement of a verdict—even one multiply subscribed—and that the claim to be able reliably to distinguish in hindsight the case in which the failure to honor the entitlement was or was not harmless is highly suspect and should not be adopted as a basis for law. While it is, from defendants' perspective, doubtless nightmarish to face a new trial of this matter, sparing them a new trial upon the approach advocated by the dissent is an even less attractive option, prospectively involving courts too confident of their ability to discern what is in a juror's mind in the unwitting validation of false verdicts and the concomitant deprivation of true verdicts.

Accordingly, the order of the Appellate Division should be reversed, with costs, and a new trial ordered.

SMITH, J. (dissenting). The Court decides today that a failure to poll a civil jury on request can never be harmless error. This result is compelled by no statute and supported by no binding precedent. It results in a gross injustice in this case, and will no doubt do so in some future cases. And it is highly unlikely to do any practical good. Because I see no justification for this decision, I dissent.

Doctors James Vogel and Allan Jacobs were sued for medical malpractice. The case was tried for two weeks, and a jury decided in the doctors' favor, filling out an 11 page verdict sheet containing 21 interrogatories. Five inapplicable questions were not answered, but the answers to the remaining 16 were all consistent, and every one of the 16 answers was signed by every juror. All the answers were unanimous, though a 5-1 verdict would have been valid (CPLR 4113 [a]). The foreperson announced all the answers in open court, and declared as to each one that the jury had answered unanimously.

After this, plaintiff's counsel asked for a poll of the jury, and the trial court mistakenly denied the request. For this reason, the majority holds, the whole trial was a waste of time and Doctors Vogel and Jacobs must undergo another one, running the risk that the second jury will disagree with the first.

The majority's rationale for this nightmarish result seems to have three parts. One is verbal: the right to have a jury polled on request has been described as ''absolute'' (*Labar v Koplin*, 4 NY 547, 550 [1851], quoted in majority op at 174). The second is formal: ''the honor of a request for a jury poll is a necessary condition of a 'finished or perfected' verdict'' (majority op at 175). And the third claims to be practical: it is impossible to know, the majority says, what the result of a poll will be unless the poll is conducted (majority op at 175-177). I find all these reasons unconvincing.

We have indeed said that the right to the poll of a jury on request is ''absolute.'' But it is clear that we meant only that a denial of the request is always error—we have not answered the question whether the error may be harmless. The context in which we used ''absolute'' in *Labar* confirms this. After quoting from a case that had said ''the jury may be examined by the poll, if the court please,'' we went on to say:

> ''The expression in the last case, '*if the court please*,' would seem to imply that the polling of the jury was in the discretion of the court; but in the case of *Fox*

> v. *Smith*, (3 *Cowen*, 23,) and *Jackson ex dem. Fink and others* v. *Hawks*, (2 *Wend*. 619,) it is decided to be the absolute right of a party to have the jury polled . . . .'' (4 NY at 550-551.)

Thus, the right to a jury poll is ''absolute'' only in the sense that it is not a matter of discretion with the court. The ''absolute'' nature of the right does not imply that the denial of the right can never be harmless error. Indeed, most cases of harmless error involve the denial of rights that are ''absolute'' in that sense. If a court has discretion to grant or refuse a party's request, the denial of it is ordinarily not error at all, and there is no occasion to consider whether the error is harmless.

The assertion that, where a request for a jury poll is not honored, the verdict is not ''finished or perfected'' is an abstraction, incapable of proof or disproof. It is true because the majority says it is true, and for no other reason. The formal logic on which it seems to rest is not even consistently applied. If the majority were to take that logic to its limit, it should hold that the poll is essential, whether a party requests it or not. If the verdict is not ''finished or perfected'' once it is read in open court, how can a party's failure to request a poll finish or perfect it? Or, if it can, why cannot the harmlessness of an error in refusing a request finish or perfect it equally well? Whether to apply harmless error analysis should not turn on the answer to such scholastic riddles, but—since this is a situation in which our conclusion is compelled by no statute and no precedent—on whether permitting harmless error analysis would be a good idea.

The majority suggests it would not be a good idea because it is always possible that the error was not really harmless. The majority says, in substance: You never know until you ask whether there is a juror (though in this case it would be inconsequential unless there were two) who would not say ''yes'' to the question: ''Is this your verdict?'' According to the majority, ''The exercise of individual conscience involved is one whose outcome defies prediction'' (majority op at 175).

I will make a prediction: In almost every case, the poll will confirm the verdict as announced by the foreperson. There are experienced trial lawyers who have never seen a verdict upset by a jury poll—and others who have seen it once, and tell the story to the end of their days. The possibility that that rare event would occur in this case—a case in which the jury's verdict was detailed, clear and specifically endorsed by every juror's repeated signature, and in which defendants even had a vote to spare—is vanishingly small.

Of course, I cannot say I am absolutely certain that the trial court's error here was harmless—but that can never be said, of any error. The sort of fanciful possibility that the majority relies on exists in every case, and if it were given the kind of weight the majority gives it here, the harmless error doctrine would not exist. We have many times found errors to be harmless where the chance that the error determined the result was significantly greater than it is in this case.

There is a fourth possible reason that might support the result the majority reaches—one the majority does not mention, but one that gives me a bit more pause. It is the possibility of abuse. As I have pointed out, a failure to poll a jury will usually—indeed almost always—in fact be a harmless error. Is there not then a risk that trial judges will be tempted to reject requests for jury polls, knowing that the harmlessness of the error will protect them from reversal?

I do not think so. I might feel differently if a jury poll were a burdensome procedure, or if there were some other reason trial judges might seek to avoid it—but it is short and simple, and I do not think that a jury poll is ever likely to be denied for any reason except the reason we have here: an honest mistake. Still, as a precaution, I might consider limiting the application of the harmless error doctrine to cases where there is a particularly strong reason to think the jury poll would not have changed the result. This is certainly such a case.

So far as I know, we have never before today held that a particular kind of error in a *civil* case cannot be harmless. That does not mean that no such errors exist. No doubt, for example, the wrongful denial of a trial by jury in a civil case would not be subject to harmless error analysis. Still, I find it puzzling indeed that, by virtue of today's decision, we have afforded a sacrosanct status never before conferred on any right of a civil litigant to the quasi-medieval ritual of the jury poll.

Judges CIPARICK, GRAFFEO, READ, PIGOTT and JONES concur with Chief Judge LIPPMAN; Judge SMITH dissents in a separate opinion.

Order reversed, etc.

[906 NE2d 387, 878 NYS2d 659]

MARIO MIGUEL JARAMILLO, Appellant, v WEYERHAEUSER COMPANY, Respondent, et al., Defendants.

Argued February 11, 2009; decided March 31, 2009

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review a question certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following question was certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: ''Construing the evidence in the light most favorable to Jaramillo, is Weyerhaeuser Company a 'regular seller' of used Flexo Folder Gluers such that it can be held strictly liable under New York law?''

HEADNOTE

Products Liability — Strict Products Liability — Liability of Occasional Seller of Used Industrial Machines

Construing the evidence in the light most favorable to plaintiff, defendant, which sold one of its used industrial machines to plaintiff's employer in ''as is, where is'' condition, was not a regular seller of such machines and thus could not be held strictly liable to plaintiff for a subsequent workplace accident involving that machine. While strict products liability is imposed on manufacturers and sellers who engage in product sales in the ordinary course of their business, the duty of a casual or occasional seller such as defendant is limited to warning the person to whom the product is supplied of known defects that are not obvious or readily discernible. The onerous burden of strict liability is only imposed on certain sellers because of continuing relationships with manufacturers and a special responsibility to the public, which has come to expect these sellers to stand behind their goods. Buyers of defendant's used equipment, itself purchased used, at irregularly-scheduled, ''as is, where is'' surplus sales could not reasonably expect defendant to stand behind someone else's goods. Further, there was no reason to believe that imposing strict liability on defendant's sales of its scrap, used machines would create any measurable pressure for the improved safety of products on manufacturers of such machines.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Products Liability §§ 78, 517–524, 561, 658, 710.

NY JUR 2d, Products Liability §§ 90, 98, 107.

PROSSER AND KEETON, TORTS (5th ed) § 98.

WEINBERGER, NEW YORK PRODUCTS LIABILITY 2d, § 5:24.

ANNOTATION REFERENCE

Products liability: application of strict liability doctrine to seller of used product. 9 ALR5th 1.

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POINTS OF COUNSEL

Larkin, Axelrod, Ingrassia & Tetenbaum, LLP, Newburgh (*James Alexander Burke* of counsel), for appellant. I. Construing the evidence in the light most favorable to Mario Miguel Jaramillo, Weyerhaeuser Company is a ‘‘regular seller’’ of used Flexo Folder Gluers. (*Sprung v MTR Ravensburg,* 99 NY2d 468; *Sukljian v Ross & Son Co.,* 69 NY2d 89; *Brumbaugh v CEJJ, Inc.,* 152 AD2d 69; *Velez v Craine & Clark Lbr. Corp.,* 33 NY2d 117; *Bielicki v T.J. Bentey, Inc.,* 248 AD2d 657; *Winckel v Atlantic Rentals & Sales,* 159 AD2d 124; *Mead v Warner Pruyn Div., Finch Pruyn Sales,* 57 AD2d 340; *Chandler v Northwest Eng'g Co.,* 111 Misc 2d 433; *Kirby v Rouselle Corp.,* 108 Misc 2d 291; *Weber v Johns-Manville Corp.,* 630 F Supp 285.) II. Strict products liability should be imposed under New York law on ‘‘regular sellers’’ of used goods in the circumstances presented by this case. (*Stiles v Batavia Atomic Horseshoes,* 81 NY2d 950; *Gonzalez v Rutherford Corp.,* 881 F Supp 829; *Nutting v Ford Motor Co.,* 180 AD2d 122; *Sprung v MTR Ravensburg,* 99 NY2d 468; *Harber v Altec Indus., Inc.,* 812 F Supp 954; *Voss v Black & Decker Mfg. Co.,* 59 NY2d 102; *Velez v Craine & Clark Lbr. Corp.,* 33 NY2d 117; *Denny v Ford Motor Co.,* 87 NY2d 248; *Castro v QVC Network, Inc.,* 139 F3d 114; *Micallef v Miehle Co., Div. of Miehle-Goss Dexter,* 39 NY2d 376.)

Goldberg Segalla, LLP, White Plains (*Kevin Burns, Anita Hotchkiss* and *Matthew S. Lerner* of counsel), for respondent. I. Weyerhaeuser Company is a casual seller of Flexo Folder Gluers and thus not subject to strict liability for the sale of the machine on which plaintiff injured himself. (*Sukljian v Ross & Son Co.,* 69 NY2d 89; *McCarthy v Checchin,* 24 AD3d 1080; *Burns v Haines Equip.,* 284 AD2d 922.) II. In the alternative, if this Court reaches the second portion of the certified question, it should reject the *Galindo* factors in favor of the majority rule and refuse to extend strict liability to regular sellers of used goods. (*Nutting v Ford Motor Co.,* 180 AD2d 122; *Bruce v Martin-Marietta Corp.,* 544 F2d 442; *Consorti v Owens-Corning Fiberglas Corp.,* 86 NY2d 449; *Sukljian v Ross & Son Co.,* 69 NY2d 89; *Stiles v Batavia Atomic Horseshoes,* 81 NY2d 950; *Gebo v Black Clawson Co.,* 92 NY2d 387; *Schumacher v Richards Shear Co.,* 59 NY2d 239; *Semenetz v Sherling & Walden, Inc.,* 7 NY3d 194.)

Theodore Hadzi-Antich, Sacramento, California, and *Deborah J. La Fetra* for Pacific Legal Foundation, amicus curiae. I. Used-goods sellers promote efficient markets that let low-income consumers buy goods they could not otherwise afford. (*King v Damiron Corp.,* 113 F3d 93; *Harber v Altec Indus., Inc.,* 812 F Supp 954, 5 F3d 339; *Nitro Leisure Prods., L.L.C. v Acushnet Co.,* 341 F3d 1356; *Gonzalez v Rutherford Corp.,* 881 F Supp 829; *Cruz v Midland-Ross Corp.,* 813 F Supp 628; *Sell v Bertsch & Co., Inc.,* 577 F Supp 1393; *Saratoga Fishing Co. v J. M. Martinac & Co.,* 520 US 875; *Champion Spark Plug Co. v Sanders,* 331 US 125; *Sukljian v Ross & Son Co.,* 69 NY2d 89; *Rose v Brown & Williamson Tobacco Corp.,* 53 AD3d 80.) II. Many New York industries and the public sector rely on the used-goods market. (*Torrington Indus., Inc. v Southworth-Milton, Inc.,* 17 AD3d 894.)

Herzfeld & Rubin, P.C., New York City (*Michael Hoenig, Miriam Skolnik* and *Linda M. Brown* of counsel), and *Hugh F. Young, Jr.*, Reston, Virginia, for Product Liability Advisory Council, Inc., amicus curiae. I. Sellers of their own used surplus equipment such as Weyerhaeuser Company should be deemed to be occasional or casual sellers not subject to strict products liability. (*Sukljian v Ross & Son Co.,* 69 NY2d 89; *Bruce v Martin-Marietta Corp.,* 544 F2d 442; *Pelnar v Rosen Sys., Inc.,* 964 F Supp 1277.) II. In any event, strict products liability, for significant policy reasons, should not apply to even regular sellers of used goods. (*Wynia v Richard-Ewing Equip. Co., Inc.,* 17 F3d 1084; *Harber v Altec Indus., Inc.,* 812 F Supp 954, 5 F3d 339; *Sell v Bertsch & Co., Inc.,* 577 F Supp 1393; *McCarthy v Checchin,* 24 AD3d 1080; *Frisbee v Cathedral Corp.,* 283 AD2d 806; *Enright v Eli Lilly & Co.,* 77 NY2d 377; *Galindo v Precision Am. Corp.,* 754 F2d 1212; *Gonzalez v Rutherford Corp.,* 881 F Supp 829; *Nutting v Ford Motor Co.,* 180 AD2d 122.) III. In any event, the *Galindo* test for determining whether an entity is an occasional or regular seller of used goods should not be adopted. (*Galindo v Precision Am. Corp.,* 754 F2d 1212;

Bruce v Martin-Marietta Corp., 544 F2d 442; *Pelnar v Rosen Sys., Inc.,* 964 F Supp 1277.)

OPINION OF THE COURT

READ, J.

The United States Court of Appeals for the Second Circuit has asked us whether a company that sold one of its used machines (itself purchased used) to a different company can be held strictly liable for a workplace accident involving that machine, which occurred 16 years later. In light of our precedents and the policy considerations underlying strict products liability, we answer the certified question in the negative.

I.

On March 9, 2002, plaintiff Mario Miguel Jaramillo seriously injured his right hand when he caught it between two rollers of an industrial Flexo Folder Gluer machine (FFG) that he was operating while working for his employer, Universal Glenwood Packaging Products Corporation, a manufacturer of corrugated containers, at its plant in Yonkers, New York. Jaramillo had worked for Glenwood for about five years and had operated the FFG uneventfully many times before.

In 1986, Glenwood purchased the FFG as a used machine from defendant Weyerhaeuser Company, an international forest products company with its principal place of business in the state of Washington. As part of its business, Weyerhaeuser operates numerous plants where cardboard boxes are fabricated from corrugated cardboard sheets; FFGs are used to make these boxes.

Weyerhaeuser's Investment Recovery Business (IRB), the division through which the company generally disposes of its obsolete or unneeded equipment, marketed the FFG sold to Glenwood. The IRB distributes quarterly catalogs of items for sale, advertises in trade journals, telemarkets, and conducts market research on potential buyers and dealers of used equipment. The United States District Court for the Southern District of New York found that there was no genuine dispute of fact that the FFG was sold to Glenwood in "as-is, where-is" condition, and the Second Circuit agreed (*Jaramillo v Weyerhaeuser Co.*, 2007 WL 194011, *1 n 7, 2007 US Dist LEXIS 7413, *5, n 7 [SD NY, Jan. 24, 2007], *on appeal* 536 F3d 140, 144 n 1 [2d Cir 2008]).

The IRB grossed somewhere between $7.5 million and $8.5 million in 1986, the year Glenwood bought the FFG involved in

Jaramillo's accident. This accounted for approximately .15% of Weyerhaeuser's net sales of about $5.65 billion for that year. There is no evidence in the record to show Weyerhaeuser's sales of used FFGs before 1986, but Jaramillo contends that Weyerhaeuser sold more than 60 FFGs from 1986 to 2006.

Older FFGs such as the one sold by Weyerhaeuser to Glenwood have ''open architecture,'' or open spaces between operating sections that a worker can enter while the machine is running, which is what Jaramillo did when he injured his right hand. By contrast, ''closed architecture'' machines, as the name implies, do not permit entry. Open architecture machines may be retrofitted with a safety device to shut them down automatically if an open space is accessed; for example, an interlocking device or a safety mat, which causes the machine to stop when stepped on, may be installed. Weyerhaeuser has furnished some of its open architecture FFGs with interlocking devices, or has asked the manufacturer to do this. Further, the Second Circuit noted

> ''evidence that Weyerhaeuser owns patents related to technology used in FFGs, and that the company maintains relationships with FFG manufacturers. [Weyerhaeuser] has occasionally made recommendations to manufacturers about how to improve FFG design, including with regard to safety features. When it has detected safety issues with an FFG, the company has also sometimes suggested that the manufacturer install a new safety mechanism in the machine in question'' (536 F3d at 143).

The FFG involved in Jaramillo's accident was originally manufactured in about 1964 by S&S Manufacturing, a Brooklyn-based company that went bankrupt around 1986; it was sold new to the General Foods company. Weyerhaeuser purchased the FFG from General Foods in 1971 for roughly $36,500, and placed the machine in its Lynchburg, Virginia box plant. Weyerhaeuser added new parts to the FFG over the years and replaced worn ones, at a total cost of about $282,000, but did not change the safety mechanisms installed by S&S in the original manufacture. The machine was disassembled in Virginia by a Glenwood employee, and transported to Yonkers, where it was reassembled at the Glenwood plant.

Jaramillo filed a complaint in Supreme Court against Weyerhaeuser, seeking damages for his personal injuries. Jaramillo's claim against Weyerhaeuser sounded principally in strict products liability. He argued that by 1986 open architecture FFGs were defective if not equipped with a safety device to shut off operation in the event a person or a foreign object, such as a human extremity, was sensed in the machine's open spaces, and that Weyerhaeuser did not add any such device to the FFG that it sold to Glenwood that year.

On March 7, 2003, Jaramillo's suit was removed to federal court. On May 22, 2006, Weyerhaeuser sought summary judgment on the basis that it was a casual seller of FFGs and therefore was not strictly liable under New York law for any defects. On June 20, 2006, Jaramillo cross-moved for summary judgment on the issue of whether Weyerhaeuser was an ordinary seller of FFGs, potentially subject to strict products liability.

On January 24, 2007, the District Court Judge granted Weyerhaeuser's motion for summary judgment, denied Jaramillo's cross motion, and dismissed the complaint. The Judge noted that "[t]he New York Court of Appeals has held that strict products liability is imposed on manufacturers and sellers who engage in product sales in the ordinary course of their business" (*Jaramillo*, 2007 WL 194011 at *3, 2007 US Dist LEXIS 7413 at *10, citing *Sprung v MTR Ravensburg*, 99 NY2d 468, 473 [2003]), but has limited "the duty of a casual or occasional seller . . . [to] warn[ing] the person to whom the product is supplied of known defects that are not obvious or readily discernible" (2007 WL 194011 at *3, 2007 US Dist LEXIS 7413 at *11-12, quoting *Sukljian v Ross & Son Co.*, 69 NY2d 89, 97 [1986] [internal quotation marks omitted]). "This is so because unlike the manufacturer or the seller of a product in the normal course of business, the occasional seller is not part of the regular commercial network for that product" (2007 WL 194011 at *3, 2007 US Dist LEXIS 7413 at *12, quoting *Sukljian*, 69 NY2d at 97 [internal quotation marks omitted; citations omitted by District Court]).

Acknowledging that there was no controlling authority from our Court requiring a ruling in his favor, Jaramillo "urge[d]" the District Court Judge "to adopt dicta in *Sukljian* and find that under these facts defendant [was] a regular seller of the machine" (2007 WL 194011 at *4, 2007 US Dist LEXIS 7413 at *13). The Judge "decline[d] plaintiff's invitation" for three reasons: "First, . . . the facts . . . [were] not . . . meaningfully distinguishable from those that the *Sukljian* court found supportive of a casual seller finding. Second, a policy analysis support[ed] a casual seller holding. Third, on the facts of this case, there [was] no cogent reason to impose strict liability'' (*id.*).

Jaramillo appealed the District Court's order. In an opinion and order issued August 1, 2008, the Second Circuit discussed the current state of strict products liability law in New York at length. Citing *Sukljian*, the court noted that New York courts make a distinction between '' 'ordinary' or 'regular' sellers of a product—those who sell the product on a regular basis, through the ordinary course of business,'' who are ''strictly liable for injuries caused by any manufacturing, design, or warning defect''; and '' 'casual' or 'occasional' sellers—those who sell the product in sporadic transactions that are incidental to their businesses,'' whose ''liability . . . extends only insofar as it fails 'to warn the person to whom the product is supplied of known defects that are not obvious or readily discernible' '' (*Jaramillo*, 536 F3d at 145). The court observed that ''whether the doctrine of strict products liability applies to regular sellers of *used* goods is an open question in New York'' (*id.*, citing *Stiles v Batavia Atomic Horseshoes*, 81 NY2d 950, 951 [1993]).

The Second Circuit recited the ''two principal reasons'' that we have given ''for imposing strict products liability on ordinary sellers'':

> ''The first is that those who sell products in the normal course of business, by reason of their continuing relationships with manufacturers, are most often in a position to exert pressure for the improved safety of products and can recover increased costs within their commercial dealings, or through contribution or indemnification in litigation . . . The second is that those who market products as a regular part of their businesses may be said to have assumed a special responsibility to the public, which has come to expect them to stand behind their goods'' (*Jaramillo*, 536 F3d at 145-146, quoting *Sukljian*, 69 NY2d at 95 [internal quotation marks omitted]).

By way of contrast, the occasional seller ''has neither the opportunity, nor the incentive, nor the protection of the manufacturer or seller who puts that product into the stream of commerce as a normal part of its business, and the public consumer does not have the same expectation when it buys from such a seller'' (*id.* at 146, quoting *Sukljian*, 69 NY2d at 96 [internal quotation marks omitted]).

Commenting that ‘‘[w]hile the reasons behind the ordinary seller rule and occasional seller exception [were] clear, where to draw the line between ordinary and occasional sellers [was] not,’’ the court next examined ‘‘[t]he principal case on which Jaramillo relie[d] to argue that Weyerhaeuser [was] an ordinary seller of used FFGs’’—the decision by the United States Court of Appeals for the Fifth Circuit in *Galindo v Precision Am. Corp.* (754 F2d 1212 [5th Cir 1985]) (*Jaramillo*, 536 F3d at 146). In *Galindo*, the Fifth Circuit suggested that a business selling its obsolete assets could be held strictly liable for defects in those products under Texas law where certain hypothetical circumstances existed: specifically, a policy of replacing the equipment at all of its facilities at regular intervals; a division or department devoted to selling the retired equipment; widespread advertising; and substantial revenues from this activity (*see Galindo*, 754 F2d at 1219). The Second Circuit also reviewed our decision in *Sukljian*, where we discussed the *Galindo* hypothetical (*see Sukljian*, 69 NY2d at 96-97).

Concluding that

> ‘‘resolution of the summary judgment motions turn[ed] principally on . . . whether the New York courts would recognize the *Galindo* hypothetical as a case where strict liability should be imposed, and whether the facts of this case [were] sufficiently similar to that hypothetical such that Weyerhaeuser should be deemed an ordinary seller of used FFGs,’’ the Second Circuit certified the following question to us: ‘‘Construing the evidence in the light most favorable to Jaramillo, is Weyerhaeuser Company a ‘regular seller’ of used Flexo Folder Gluers such that it can be held strictly liable under New York law?’’ (*Jaramillo*, 536 F3d at 147, 149.)

II.

We have long held that ‘‘[m]anufacturers of defective products may be held strictly liable for injury caused by their products’’ (*Sukljian*, 69 NY2d at 94, citing *Voss v Black & Decker Mfg. Co.*, 59 NY2d 102, 106 [1983] [additional citations omitted]). ‘‘Imposition of this onerous liability rests largely on considerations of public policy’’ (*Sukljian*, 69 NY2d at 94-95). Unlike *manufacturer* strict liability, however, which applies broadly, ‘‘not every *seller* is subject to strict liability’’ (*id.* at 95 [emphasis added]). As we explained in *Sukljian*:

> "The policy considerations that have been advanced to justify the imposition of strict liability on manufacturers and sellers in the normal course of business obviously lack applicability in the case of a party who is not engaged in the sale of the product in issue as a regular part of its business. (*See*, Restatement [Second] of Torts § 402 A, comment f, concluding: 'This Section is also not intended to apply to sales of the stock of merchants out of the usual course of business, such as execution sales, bankruptcy sales, bulk sales, and the like.') The casual or occasional seller of a product does not undertake the special responsibility for public safety assumed by those in the business of regularly supplying those products, nor is there the corollary element of forced reliance on that undertaking by purchasers of such goods. As a practical matter, the occasional seller has neither the opportunity, nor the incentive, nor the protection of the manufacturer or seller who puts that product into the stream of commerce as a normal part of its business, and the public consumer does not have the same expectation when it buys from such a seller. We recognized, for example, in *Gobhai v KLM Royal Dutch Airlines* (57 NY2d 839 [1982], *affg* 85 AD2d 566 [1st Dept 1981]) . . . that where distribution of an allegedly defective product is incidental to defendant's regular business the principles of strict products liability have no relevance" (69 NY2d at 95-96).

In *Sukljian*, an employee of Ardex Corporation injured his hand while cleaning the rollers of a high-speed, three-roll grinding mill manufactured and sold by Charles Ross & Son Company Inc. to General Electric Company (GE) in January 1962. In June 1973, more than 11 years after its purchase of the mill, GE decided the machine was no longer needed and included it as part of a June 1973 sale of surplus property where several hundred lots were offered. There was evidence that GE held two or three sales of surplus equipment a year, but no evidence that the company derived any profit therefrom. The terms of the June 1973 sale were "As Is, Where Is," and it was unclear how well-publicized the sale was—the only evidence of publicity was a snippet from an internal GE memorandum, which stated in its entirety "will be taken to advertise the sale through the various medias available, such as newspapers, trade magazines, trade papers, etc.'' (*Sukljian*, 69 NY2d at 93.) The mill was sold by GE for $35 and subsequently resold multiple times until it ended up in the hands of Ardex, where the accident victim worked. The accident occurred in 1978, five years after the mill was sold as surplus by GE; the victim's father brought suit against GE on a theory of strict products liability.

Considering these facts, we specifically held that a ''corporation that sold a machine previously used in its own production as surplus property was not liable to remote purchasers . . . in strict products liability . . . for injuries allegedly resulting from a defect in the machine, and should have been awarded summary judgment dismissing the complaint'' (*id.* at 92). Despite the facts that GE regularly held sales of surplus equipment, that these sales were quite extensive (although not especially lucrative), and that they were apparently publicized (although the amount of publicity was in dispute), we flatly rejected the ''assert[ion] that there is a question of fact whether [GE] was in reality in the regular business of a second-hand equipment dealer'' (*id.* at 96), an assertion explicitly relying on *Galindo*.

In *Galindo* itself, the court was faced with a strict products liability claim against the Georgia-Pacific Corporation, which operated more than 240 sawmills and plants and regularly sold its used sawmill equipment to dealers. The plaintiff in *Galindo* was severely injured while operating a sawmill trimmer that Georgia-Pacific sold used to someone who sold it to a company that, in turn, sold it to the plaintiff's employer. The Fifth Circuit ''d[id] not believe that it necessarily follow[ed]'' under Texas law ''that getting rid of the depreciated equipment used for production of the goods and services that constitute the business of the seller can never constitute a business in which the seller is engaged'' (*Galindo*, 754 F2d at 1219 [internal quotation marks omitted]), and hypothesized a particular situation in which the policies underlying strict products liability might exist in this context. In particular, the Fifth Circuit

> ''[s]uppose[d], for example, that Georgia-Pacific [had] a policy of purchasing new equipment at all of its sawmills every five years. Suppose further that Georgia-Pacific [had] a division or department devoted to selling the used equipment, that the department advertise[d] the availability of equipment on a widespread basis, and that it realize[d] substantial revenues from this activity. Clearly, on

> such facts, Georgia-Pacific would not be exempted from [strict products] liability simply because the equipment [was] used'' (*id.*).

In *Sukljian*, we distinguished *Galindo* on the facts. We also explicitly declined to recognize its reasoning, stating that

> ''[e]ven if we were to recognize that liability might be imposed in a case such as hypothesized in *Galindo* . . . [t]here is no basis in the undisputed facts before us to support an inference that [GE], in incidentally disposing of the mill at a surplus equipment sale in the manner it did, undertook any special responsibility to the public for product safety, or was perceived by the public as having done so, or was better able to spread any loss caused by such defective products, making it more equitable to impose such loss on the seller. While we recognize that more than the single or isolated sale of a jam jar, a pound of sugar or an automobile described in the Restatement (Restatement [Second] of Torts § 402 A, comment f) is at issue here, still the principle is the same whether an individual, or an airline, or a huge corporation disposing of its surplus equipment in an occasional sale is involved: there is no basis in public policy for the imposition of strict liability'' (*Sukljian*, 69 NY2d at 96-97).

Seven years later in *Stiles*, we reaffirmed *Sukljian*. In *Stiles*, the plaintiff was injured while operating a punch press owned by his employer, which had purchased the press in used condition from Batavia. Batavia bought five punch presses at auction, kept two and resold the other three, including the one sold to the plaintiff's employer (*see Stiles v Batavia Atomic Horseshoes*, 174 AD2d 287, 289 [4th Dept 1992]).

The jury awarded damages to the plaintiff, ''conclud[ing] that Batavia was a regular seller of used goods and thus, under the court's instructions, accountable to plaintiff under the theory of strict products liability'' (*Stiles*, 81 NY2d at 951). We found the trial court's affirmed finding of fact that defendant ''engaged in sales of equipment as a 'regular part of its business' '' to be unsupported by the record (*id.*), despite evidence, cited in the Appellate Division's decision, that ''during the two years Batavia was in business, Batavia bought and resold used industrial machinery on at least two other occasions, one before and the other after the auction at which Batavia bought the punch press in question,'' and ''that on each occasion Batavia realized a substantial profit on the sale of the used machinery'' (*Stiles*, 174 AD2d at 290).

We noted, however, that ''Batavia's business was the manufacture and sale of horseshoes,'' and that on the three occasions when it had engaged in the purchase and resale of industrial equipment, ''it purchased [the] used equipment in lots intending to keep much of the machinery for its own purposes''; indeed, ''[t]he press sold to [the plaintiff's employer] was never unloaded at Batavia, but instead [was] sold directly off the truck that had transported it from an equipment auction and was in the possession of Batavia at its facility for approximately one hour before [the plaintiff's employer] took delivery of it'' (*Stiles*, 81 NY2d at 951). Because we concluded that ''this evidence fail[ed] as a matter of law to support a finding that Batavia was a regular seller of used goods,'' we did ''not reach the question reserved in *Sukljian* and submitted by the parties to [the] appeal, i.e., whether the doctrine of strict products liability applies to regular sellers of used goods'' (*id.*).

This case is controlled by *Sukljian* and the policy considerations underlying our holding in that case. The ''onerous'' burden of strict liability is only imposed on ''certain sellers'' because of ''continuing relationships with manufacturers'' and a ''special responsibility to the public, which has come to expect [these sellers] to stand behind their goods'' (*Sukljian*, 69 NY2d at 94-95). The second of these policy goals is clearly absent here: buyers of Weyerhaeuser's used (third-hand, in fact) equipment at irregularly-scheduled ''as is, where is'' surplus sales cannot reasonably ''expect [Weyerhaeuser] to stand behind [someone else's] goods.'' As to the first policy goal, while Weyerhaeuser may have had a closer relationship with FFG manufacturers than a customer would have with a supplier of run-of-the-mine equipment not unique to its particular industry, this relationship was still general in nature and even more attenuated with respect to the FFGs that Weyerhaeuser sold as surplus. Indeed, the FFG involved in Jaramillo's accident was actually bought used by Weyerhaeuser from a third party rather than new from an FFG manufacturer. Simply put, there is no reason to believe that imposing strict liability on Weyerhaeuser's sales of its scrap, used FFGs would create any measurable ''pressure for the improved safety of products'' on FFG manufacturers. Indeed, the most likely effect would be exactly what the District Court predicted: Weyerhaeuser would stop selling its used machinery, thus depriving small businesses of the ability to purchase otherwise unaffordable equipment.

While there may be some imaginable future case in which the facts justify imposition of strict products liability on a seller of used goods, this case is not—just as *Sukljian* and *Stiles* were not—that case. In sum, "[c]onstruing the evidence in the light most favorable to Jaramillo," Weyerhaeuser Company is not a " 'regular seller' of used Flexo Folder Gluers such that it can be held strictly liable under New York law" (*Jaramillo*, 536 F3d at 149).

Accordingly, the certified question should be answered in the negative.

Judges CIPARICK, GRAFFEO, SMITH, PIGOTT and JONES concur; Chief Judge LIPPMAN taking no part.

Following certification of a question by the United States Court of Appeals for the Second Circuit and acceptance of the question by this Court pursuant to section 500.27 of the Rules of Practice of the Court of Appeals (22 NYCRR 500.27), and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified question answered in the negative.

[905 NE2d 1167, 878 NYS2d 238]

CHARLENE MCLEAN, Individually and as Mother and Natural Guardian of BRIANA HALL, an Infant, Respondent, v CITY OF NEW YORK, Appellant, et al., Defendants.

Argued February 19, 2009; decided March 31, 2009

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered March 18, 2008. The Appellate Division affirmed so much of an order of the Supreme Court, New York County (Doris Ling-Cohan, J.; op 14 Misc 3d 922), as had denied defendant City of New York's motion for summary judgment dismissing the complaint pursuant to CPLR 3212 or for dismissal of the complaint and all cross claims, pursuant to CPLR 3211 (a) (7), for failure to state a cause of action. The following question was certified by the Appellate Division: ''Was the order of the Supreme Court, as affirmed by this Court, properly made?''

McLean v City of New York, 49 AD3d 393, reversed.

HEADNOTES

Municipal Corporations — Tort Liability — Special Relationship

1. Plaintiff, whose infant daughter was injured while being cared for at a city-registered family day care home, failed to state a cause of action against defendant City, which had renewed the home's registration despite substantiated complaints about the home and had placed the home on a list of registered day care providers furnished to plaintiff. An agency of government is not liable for the negligent performance of a governmental function in the absence of a special duty to the injured person, in contrast to a general duty owed to the public. Plaintiff failed to show a special relationship giving rise to a special duty, and so could not recover against the City. No private right of action exists under Social Services Law § 390, which governs the licensing and registration of child day care providers. Nor did the City voluntarily assume a duty that plaintiff justifiably relied on the City to perform. There were no promises or actions by which the City assumed a duty to do something on plaintiff's or her daughter's behalf. Even assuming that the City was negligent in providing information to plaintiff and that this negligence caused injury, the City was not liable.

Municipal Corporations — Tort Liability — Ministerial Acts

2. Discretionary governmental acts may never be a basis for tort liability, while ministerial acts may support liability only where a special duty is found. Thus, plaintiff, whose infant daughter was injured while being cared for at a city-registered family day care home, failed to state a cause of action against defendant City, which had renewed the home's registration despite substantiated complaints about the home and had placed the home on a list of registered

day care providers furnished to plaintiff. Assuming that the conduct complained of was ministerial, the City had no liability in the absence of any special duty owed to the plaintiff.

Municipal Corporations — Tort Liability — Special Relationship

3. Discretionary municipal acts may never be a basis for tort liability, while ministerial acts may support liability only where a special duty is found. Any contrary inference that may be drawn from language contained in *Pelaez v Seide* (2 NY3d 186 [2004]) and *Kovit v Estate of Hallums* (4 NY3d 499 [2005]) is wrong.

Municipal Corporations — Tort Liability — Special Relationship — Indemnification Provision in Contract between Government Agencies

4. Plaintiff, whose infant daughter was injured while being cared for at a city-registered family day care home, failed to state a cause of action against defendant City, which had renewed the home's registration despite substantiated complaints about the home and had placed the home on a list of registered day care providers furnished to plaintiff. The City had no liability in the absence of a special relationship with plaintiff. The indemnification provision contained in the contract pursuant to which a city agency agreed to perform the registration duties assigned to a state agency by statute was designed to protect the State, by requiring the City alone to bear any liability that might arise. It did not create any liability that would not otherwise exist—and it did not create a special relationship between the City and any person or class of people.

Municipal Corporations — Tort Liability — Special Relationship — Public Policy

5. Plaintiff, whose infant daughter was injured while being cared for at a city-registered family day care home, failed to state a cause of action against defendant City, which had renewed the home's registration despite substantiated complaints about the home and had placed the home on a list of registered day care providers furnished to plaintiff. The City had no liability in the absence of a special relationship with plaintiff. The State's interest in protecting young children from neglect or abuse does not warrant the existence of a special relationship between those who register child care providers and parents and children who need child care. Exposing municipalities to tort liability would be likely to render them less, not more, effective in protecting their citizens.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Municipal, County, School, and State Tort Liability §§ 102–105, 178–182.

McKINNEY'S, Social Services Law § 390.

NY JUR 2d, Government Tort Liability §§ 14, 172, 175; NY JUR 2d, Public Welfare and Old Age Assistance § 322.

NEW YORK PATTERN JURY INSTRUCTIONS—CIVIL, PJI 2:229A.

PROSSER AND KEETON, TORTS (5th ed) § 131.

ANNOTATION REFERENCE

Governmental tort liability for negligence in licensing, regulating, or supervising private day–care home in which child is injured. 68 ALR4th 266.

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POINTS OF COUNSEL

Michael A. Cardozo, Corporation Counsel, New York City (*Edward F.X. Hart, Stephen J. McGrath* and *Leonard Koerner* of counsel), for appellant. The City of New York is not liable for plaintiff infant's injuries because the City neither placed the infant in Patricia Theroulde's care nor advised her mother to place the child with Theroulde, because the statutory scheme pursuant to which plaintiff sued does not create a private right of action and because no special duty of care or reliance thereon existed between the City and plaintiff. (*Lauer v City of New York,* 95 NY2d 95; *Tango v Tulevech,* 61 NY2d 34; *Mark G. v Sabol,* 93 NY2d 710; *Pelaez v Seide,* 2 NY3d 186; *Sheehy v Big Flats Community Day,* 73 NY2d 629; *Uhr v East Greenbush Cent. School Dist.,* 94 NY2d 32; *Haggerty v Diamond,* 251 AD2d 455; *Carossia v City of New York,* 39 AD3d 429; *Sean M. v City of New York,* 20 AD3d 146; *Smullen v City of New York,* 28 NY2d 66.)

Sullivan Papain Block McGrath & Cannavo P.C., New York City (*Brian J. Shoot* of counsel), and *John J. Appell* for respondent. I. Irrespective of whether defendant City of New York owed plaintiffs a ''special duty'' of care, there are, at the very least, triable issues of fact concerning whether the City should stand liable at common law for its plainly negligent performance of admittedly ministerial functions. (*Tango v Tulevech,* 61 NY2d 34; *Lauer v City of New York,* 95 NY2d 95; *Florence v Goldberg,* 44 NY2d 189; *Steitz v City of Beacon,* 295 NY 51; *Mon v City of New York,* 78 NY2d 309; *Kovit v Estate of Hallums,* 4 NY3d 499; *Rottkamp v Young,* 21 AD2d 373, 15 NY2d 831; *Haddock v City of New York,* 75 NY2d 478; *Arteaga v State of New York,* 72 NY2d 212; *Mosher-Simons v County of Allegany,* 99 NY2d 214.) II. Assuming, arguendo, that defendant City of New York owed plaintiffs no duty in the absence of a ''special relationship'' with plaintiffs, there are, at the least, triable issues of fact as the existence of such a relationship and as to whether the City negligently breached the duty imposed by that relationship. (*Pelaez v Seide,* 2 NY3d 186; *Sanchez v State of New York,* 99 NY2d 247; *Schuster v City of New York,* 5 NY2d 75; *Garrett v Holiday Inns,* 58 NY2d 253; *Mark G. v Sabol,* 93 NY2d 710; *Sean M. v City of New York,* 20 AD3d 146; *Merice v County of Westchester,* 305 AD2d 383; *Barnes v County of Nassau,* 108 AD2d 50; *Bartels v County of Westchester,* 76 AD2d 517; *Blanca C. v County of Nassau,* 103 AD2d 524.) III. There are triable issues of fact concerning whether defendant City of New York's negligence should, in addition, subject it to statutory liability under the Social Services Law. (*Pelaez v Seide,* 2 NY3d 186; *Sheehy v Big Flats Community Day,* 73 NY2d 629; *Uhr v East Greenbush Cent. School Dist.,* 94 NY2d 32; *Mark G. v Sabol,* 93 NY2d 710.)

OPINION OF THE COURT

SMITH, J.

Once again we confront a case in which a failure by government to do its job has caused harm, and once again we hold that this is not one of the few cases in which such a failure subjects the government to tort liability.

I

Patricia Theroulde had a business caring for young children at her home in Manhattan. Her facility was of the kind classified by the Social Services Law as a "family day care home"—"a program caring for children for more than three hours per day per child in which child day care is provided in a family home for three to six children" (Social Services Law § 390 [1] [e]). Family day care homes are not licensed by the State, but are required to register with the State Department of Social Services (DSS) (*id.* § 390 [2] [b]). A registration is valid for two years (*id.* § 390 [2] [d] [ii] [A]), and an application for the renewal of registration may not be accepted unless "the office of children and family services [OCFS] has received no complaints . . . alleging statutory or regulatory violations" or, having received such complaints, OCFS has inspected the home and determined that it is operated in compliance with law (*id.* § 390 [2] [d] [ii] [B] [4]). DSS entered into a contract with the New York City Department of Health (DOH), in which DOH in substance agreed to perform DSS's registration duties in New York City.

Ms. Theroulde registered in 1997. During the two year period of her initial registration, the New York City Administration for Children's Services (ACS) received two complaints about her home, asserting that her husband had dipped a child's hand into a bowl of hot oatmeal, and that a child had been left alone for an hour and a half in a nearby store. ACS investigated the complaints and found both of them to be "indicated"—i.e., substantiated. There is no evidence that the home was later inspected and found to be in compliance, so it seems clear that Ms. Theroulde should not have been permitted to renew her registration when it expired in 1999.

But DOH did permit her to renew. The reasons for this are not entirely clear. The record does not show whether ACS reported the two complaints about Ms. Theroulde's home to OCFS—but that question is academic, because, amazingly, DOH did not make a practice of checking with OCFS before renewing registrations. It is debatable whether the City or the State is to blame for this failure; DOH, a city agency, says it complied with regulations of DSS, a state agency, which do not expressly require a search for complaints prior to renewal of a registration. Since we consider the case on a motion for summary judgment, we assume that DOH was at fault.

Ms. Theroulde's renewed registration certificate was issued on February 11, 1999. In October of the same year, plaintiff, Charlene McLean, was searching for a day care provider for her soon-to-be-born child. She called ACS, which sent her a list of providers near her home. The list was taken from DOH's database of registered providers, and Ms. Theroulde's name was on the list.

In the course of obtaining the list from ACS, Ms. McLean had a telephone conversation with an ACS representative. According to Ms. McLean's version of the conversation, she specifically asked for "a licensed baby-sitter that gets investigated routinely by your office." She testified that the conversation continued: " 'Yes. All of our day cares are licensed and they get investigated routinely between six months to a year.' And then I said, 'They don't have any complaints,' and she assured me that all of the ones on the list have no complaints."

After Ms. McLean's daughter Briana was born, Ms. McLean placed her in Ms. Theroulde's care. It is a fair interpretation of the evidence (though the City disputes the point) that she did so in reliance on information the City provided—that she would not have chosen Ms. Theroulde as a day care provider but for the inclusion of Ms. Theroulde's home on a city-generated list, and the information about that list provided by an ACS representative on the phone. When Briana was three months old she fell from a bed to the floor while in Ms. Theroulde's care, and suffered a brain injury.

Ms. McLean brought this action against the City on Briana's and her own behalf, claiming that the City's negligence was the cause of the injury. Supreme Court denied the City's motion for summary judgment (14 Misc 3d 922 [2007]), and the Appellate Division affirmed (49 AD3d 393 [2008]). The Appellate Division granted leave to appeal to us on a certified question, and we now reverse.

II

[1] We have long followed the rule that an agency of government is not liable for the negligent performance of a governmental function unless there existed ''a special duty to the injured person, in contrast to a general duty owed to the public'' (*Garrett v Holiday Inns*, 58 NY2d 253, 261 [1983]; *see also e.g. Kircher v City of Jamestown*, 74 NY2d 251 [1989]; *Lauer v City of New York*, 95 NY2d 95 [2000]; *Pelaez v Seide*, 2 NY3d 186 [2004]; *Laratro v City of New York*, 8 NY3d 79 [2006]). Such a duty, we have explained—''a duty to exercise reasonable care toward the plaintiff''—is ''born of a special relationship between the plaintiff and the governmental entity'' (*Pelaez*, 2 NY3d at 198-199). Here, Ms. McLean has not shown a special relationship giving rise to a special duty, and so cannot recover against the City.

As we said in *Pelaez*:

> ''A special relationship can be formed in three ways: (1) when the municipality violates a statutory duty enacted for the benefit of a particular class of persons; (2) when it voluntarily assumes a duty that generates justifiable reliance by the person who benefits from the duty; or (3) when the municipality assumes positive direction and control in the face of a known, blatant and dangerous safety violation.'' (2 NY3d at 199-200 [citation omitted]; *see also Garrett*, 58 NY2d at 261-262.)

Ms. McLean relies on the first two of these ways. She says that Social Services Law § 390, which governs the licensing and registration of child day care providers, creates a statutory duty for the benefit of a class of which she and her daughter are members; and also that the City voluntarily assumed a duty that she justifiably relied on the City to perform. We reject both arguments.

Statutory Duty

In *Pelaez*, we elaborated further on the ''statutory duty'' prong of the special relationship rule. We said:

> ''To form a special relationship through breach of a statutory duty, the governing statute must authorize a private right of action. One may be fairly implied when (1) the plaintiff is one of the class for whose particular benefit the statute was enacted; (2) recognition of a private right of action would promote the legislative purpose of the governing statute; and (3) to do so would be consistent with the legislative scheme (*see Sheehy v Big Flats Community Day*, 73 NY2d 629, 633 [1989]). If one of these prerequisites is lacking, the claim will fail.'' (2 NY3d at 200.)

Here, as in *Pelaez* and *Sheehy*, the claim fails the last of these tests. To recognize a private right of action under Social Services Law § 390 would be inconsistent with the legislative scheme.

Section 390 is a detailed statute, with 13 subdivisions and many more subparts, occupying 10 pages of McKinney's Consolidated Laws. It specifies which child care providers shall be licensed and which only registered (Social Services Law § 390 [2] [a]-[c]); sets out some prerequisites for registration (*id.* § 390 [2] [d] [ii] [B]); requires OCFS to establish, by regulation, requirements for licensed and registered providers (*id.* § 390 [2-a]); provides for inspections and investigations (*id.* § 390 [3] [a], [d], [e] [iii]; [4] [a]); requires certain information to be available to the public (*id.* § 390 [8]); authorizes OCFS to prevent noncompliant providers from caring for children (*id.* § 390 [3] [e] [ii]); provides for denial, suspension and revocation of licenses and registrations for violations of law (*id.* § 390 [10]); and requires OCFS to establish civil penalties for such violations (*id.* § 390 [11]). Social Services Law § 389 (1) imposes criminal liability for willful violations of the provisions of the Social Services Law, including section 390. But there is no statutory provision for governmental tort liability. It is fair to infer that the Legislature considered carefully the best means for enforcing the provisions of Social Services Law § 390, and would have created a private right of action against erring government agencies if it found it wise to do so. This is not a case where the Legislature has simply prohibited or required certain conduct, and left the mechanism of enforcement to the courts (*see e.g. Negrin v Norwest Mtge.*, 263 AD2d 39, 47-48 [2d Dept 1999]).

We addressed a similar issue in *Mark G. v Sabol* (93 NY2d 710 [1999]). The plaintiffs there, children alleging that they had suffered abuse or neglect in the foster homes where they had been placed by New York City child welfare officials, sought recovery from the City, relying on provisions of the Social Services Law designed to protect foster children and to prevent child abuse generally. Emphasizing the detailed, comprehensive nature of the statutes the plaintiffs relied on, we rejected their claim that those statutes implied a private right of action. ''[I]t would be inappropriate,'' we said, ''for us to find another enforcement mechanism beyond the statute's already 'comprehensive' scheme. . . . Considering that the statute gives no hint of any private enforcement remedy for money damages, we will not impute one to the lawmakers'' (93 NY2d at 720-721). We reach a like conclusion here.

Duty Voluntarily Assumed

Nor is this one of the narrow class of cases in which a ''special relationship'' can arise from a duty voluntarily undertaken by a municipality to an injured person. We listed the elements of such a special relationship in *Cuffy v City of New York* (69 NY2d 255, 260 [1987]):

> ''(1) an assumption by the municipality, through promises or actions, of an affirmative duty to act on behalf of the party who was injured; (2) knowledge on the part of the municipality's agents that inaction could lead to harm; (3) some form of direct contact between the municipality's agents and the injured party; and (4) that party's justifiable reliance on the municipality's affirmative undertaking.''

These elements simply are not present here. Ms. McLean points to no ''promises or actions'' by which the City assumed a duty to do something on her or her daughter's behalf. The City's duty to Ms. McLean and Briana was neither more nor less than its duty to any other parent and child in need of day care. Indeed, the only ''direct contact'' between the City and Ms.

McLean was a routine telephone conversation in which an ACS employee agreed to send a list of registered providers and answered questions about what registration meant. Though we assume that the employee was negligent in answering the questions and that her negligence caused injury, the City is not liable. The relationship between the City and Ms. McLean was not ''special,'' as our cases use that term.

III

[2] We have rejected Ms. McLean's argument that this case fits a recognized category of special relationship. But Ms. McLean also argues that she can prevail without fitting her case into such a category. She argues that no special relationship is needed, because the acts and omissions on which she relies were ministerial rather than discretionary; and that, if a special relationship is required, we should recognize a new category that includes her and Briana's relationship with the City. We find these arguments unpersuasive.

The Ministerial/Discretionary Distinction

Our cases on governmental tort liability have long distinguished between discretionary and ministerial acts of government officials. In *Tango v Tulevech* (61 NY2d 34, 40 [1983]), we made clear that discretionary acts may not be a basis of liability: ''[W]hen official action involves the exercise of discretion, the officer is not liable for the injurious consequences of that action even if resulting from negligence or malice.'' We added that ''when the action is exclusively ministerial, the officer will be liable if it is otherwise tortious and not justifiable pursuant to statutory command.'' (*Id.*) In *Lauer* (95 NY2d at 99-100), we elaborated on *Tango*, repeating that a public employee's discretionary acts ''may not result in the municipality's liability even when the conduct is negligent,'' but adding that even negligent ministerial acts are not ''otherwise tortious'' where a plaintiff cannot show ''a duty running directly to the injured person.'' Even where an act is ministerial, we said, ''[t]o sustain liability against a municipality, the duty breached must be more than that owed the public generally'' (*id.* at 100).

Thus *Tango* and *Lauer* hold that discretionary municipal acts may never be a basis for liability, while ministerial acts may support liability only where a special duty is found. These cases contradict Ms. McLean's argument that, because the acts for which she sues are ministerial, no special duty or special relationship need be established.

Ms. McLean relies, however, on admittedly confusing language in two more recent cases. In *Pelaez*, we said: "As a rule, municipalities are immune from tort liability when their employees perform discretionary acts . . . . In a narrow exception to the rule, we have upheld tort claims when plaintiffs have established a 'special relationship' with the municipality" (2 NY3d at 193). And in *Kovit v Estate of Hallums* (4 NY3d 499, 505 [2005]), we said, citing *Pelaez*: "municipalities generally enjoy immunity from liability for discretionary activities they undertake through their agents, except when plaintiffs establish a 'special relationship' with the municipality." If these comments are taken to mean that the special duty/special relationship rule applies to discretionary rather than ministerial acts, then *Tango* and *Lauer* on the one hand, and *Pelaez* and *Kovit* on the other, seem inconsistent.

[3] If there is an inconsistency, we resolve it now: *Tango* and *Lauer* are right, and any contrary inference that may be drawn from the quoted language in *Pelaez* and *Kovit* is wrong. Government action, if discretionary, may not be a basis for liability, while ministerial actions may be, but only if they violate a special duty owed to the plaintiff, apart from any duty to the public in general. The holdings of *Pelaez* and *Kovit* are consistent with this principle. In each of those cases we found no special relationship or special duty. Thus there could be no liability, whether the actions at issue were characterized as ministerial or discretionary.

[2] Here, we assume, in Ms. McLean's favor, that the conduct she complains of was ministerial. Because, for the reasons we have explained, she has shown no special duty, there can be no liability.

The Argument for a New Category of Special Relationship

[4] Ms. McLean's other argument—that we should recognize a new category of special relationship applicable to this case—is a hybrid. It is derived in part from a provision of the contract between DOH and DSS in which DOH (a city agency) agreed to perform, in New York City, the registration duties assigned to DSS (a state agency) by statute. Under the heading "Indemnification," DOH agreed among other things to "be solely responsible and answerable in damages for any and all accidents and/or injuries to persons . . . or property arising out of or related to the services to be rendered." We find this provision to be without significance in this case. It is plainly designed to protect the State, by requiring the City alone to bear any liability that might arise. It does not create any liability that would not otherwise exist—and it does not create a special relationship between the City and any person or class of people.

[5] But Ms. McLean's argument is also derived from public policy. She suggests that the helplessness of young children, and the State's powerful interest in protecting them from neglect or abuse, should lead us to announce the existence of a special relationship between those who register child care providers and parents and children who need child care. This is, in substance, an invitation to relax the special relationship rule to accommodate an especially appealing class of cases. We decline the invitation. A well settled rule of law denies recovery in cases like this, and that rule, by its nature, bars recovery even where a government blunder results in injury to people deserving of the government's protection.

The rationale of the rule, as we explained in *Laratro* (8 NY3d at 82), is that exposing municipalities to tort liability would be likely to render them less, not more, effective in protecting their citizens. Lawsuits, as we said in *Pelaez* (2 NY3d at 201), are not the only way of dealing with governmental failure—and might even impel governments to withdraw or reduce their protective services. In *Lauer* (95 NY2d at 101), we quoted our warning in *Steitz v City of Beacon* (295 NY 51, 55 [1945]) that a ''crushing burden'' should not be imposed on a governmental body ''in the absence of [statutory] language clearly designed to have that effect.'' These reasons forbid the making the sort of ad hoc exceptions to the special duty/special relationship rule that Ms. McLean seeks in this case.

IV

Accordingly, the order of the Appellate Division should be reversed, with costs, the motion of defendant City of New York for summary judgment dismissing the complaint against it granted, and the certified question answered in the negative.

Judges CIPARICK, GRAFFEO, READ, PIGOTT and JONES concur; Chief Judge LIPPMAN taking no part.

Order reversed, etc.

[906 NE2d 1042, 879 NYS2d 10]

STEVEN B. SAMUEL, ESQ., et al., Respondents-Appellants, v DRUCKMAN & SINEL, LLP, et al., Appellants-Respondents.

Argued February 17, 2009; decided March 31, 2009

SUMMARY

CROSS APPEALS, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered April 8, 2008. The Appellate Division (1) modified, on the law, an order of the Supreme Court, New York County (Debra A. James, J.; op 2007 NY Slip Op 30518[U]), which had denied defendants' motion for summary judgment and denied plaintiffs' cross motion for summary judgment, to transfer the action to another judge, and to strike defendants' answer. The modification consisted of (1) granting defendants' motion for summary judgment on their first counterclaim to the extent they sought one third of the $805,767.30 legal fee awarded under Judiciary Law § 474-a (2) in the underlying medical malpractice action, and (2) granting plaintiffs' cross motion for summary judgment declaring the rights of the parties to the same extent. The following question was certified by the Appellate Division: ''Was the order of this Court, which modified the order of the Supreme Court, properly made?''

Samuel v Druckman & Sinel, LLP, 50 AD3d 322, modified.

HEADNOTES

Attorney and Client — Division of Fees — Disclosure to Client

1. Defendant attorney, who was retained to represent a client and her child in the underlying medical malpractice action and secured the services of plaintiff law firm to serve as trial counsel, complied with his obligations under Code of Professional Responsibility DR 2-107 (22 NYCRR 1200.12) to disclose to the client the fee-sharing arrangement between the firms for purposes of enforcing the arrangement. The correspondence between defendant and the client demonstrated that the client consented to defendant's retention of plaintiff as trial counsel and was also apprised that plaintiff's involvement would not result in an increase in fees. Moreover, defendant's correspondence adequately conveyed that both firms had assumed responsibility for the representation, noting that defendant would be regularly ''assisting and consulting with'' plaintiff.

Attorney and Client — Division of Fees — Fee in Excess of Statutory Medical Malpractice Fee Schedule

2. Defendant law firm, which had entered into a fee-sharing arrangement with plaintiff law firm providing that defendant would be entitled to ''one-third of the entire legal fee recovered'' in the underlying medical malpractice action, was entitled to one third of the enhanced legal fee awarded by the

court approving the overall settlement, and was not limited to one third of the statutory fee that would have been awarded pursuant to Judiciary Law § 474-a (2) had plaintiff's fee enhancement request pursuant to Judiciary Law § 474-a (4) not been granted. The language ''one-third of the entire legal fee recovered'' was subject to no interpretation other than the one proffered by defendant. Nor did it matter that defendant did not contribute to that part of the work that resulted in the award of the enhanced fee. Courts resolving fee-sharing disputes will not inquire into the precise worth of the services performed by the parties, and Code of Professional Responsibility DR 2-107 (a) (2) (22 NYCRR 1200.12 [a] [2]) provides that, regardless of any division of services, attorneys assuming joint responsibility for representation in a writing given to the client are free to negotiate such division of fees as they deem appropriate.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Attorneys at Law §§ 257–259.
CARMODY-WAIT 2d, Officers of Court §§ 3:230, 3:484, 3:485, 3:506, 3:507.
MCKINNEY'S, Judiciary Law § 474–a (2), (4).
22 NYCRR 1200.12.
NY JUR 2d, Attorneys at Law §§ 189–191, 201, 213, 214.

ANNOTATION REFERENCE

Validity and enforceability of express fee–splitting agreements between attorneys. 11 ALR6th 587.

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POINTS OF COUNSEL

Pollack, Pollack, Isaac & De Cicco, New York City (*Brian J. Isaac* of counsel), for appellants-respondents. Defendants are entitled to one third of the total legal fee as set forth in the agreement; plaintiff in the underlying action consented to the fee-sharing agreement negotiated by the attorneys; there was no admissible proof that defendants refused to perform more work; accordingly, the majority erred in not enforcing the agreement according to its terms. (*Teichman v Community Hosp. of W. Suffolk,* 87 NY2d 514; *Bailey v Fish & Neave,* 8 NY3d 523; *Chimart Assoc. v Paul,* 66 NY2d 570; *Greenfield v Philles Records,* 98 NY2d 562; *Breed v Insurance Co. of N. Am.,* 46 NY2d 351, 940; *White v Continental Cas. Co.,* 9 NY3d 264; *First Natl. Stores v Yellowstone Shopping Ctr.,* 21 NY2d 630, 22 NY2d 827;

South Rd. Assoc., LLC v International Bus. Machs. Corp., 4 NY3d 272; *Vermont Teddy Bear Co. v 538 Madison Realty Co.,* 1 NY3d 470; *W.W.W. Assoc. v Giancontieri*, 77 NY2d 157.)

Mauro Goldberg & Lilling, LLP, Great Neck (*Barbara DeCrow Goldberg, Kenneth Mauro* and *Elaine Sabino* of counsel), and *Daniel J. Dillon,* Lido Beach, for respondents-appellants. I. Defendants are not entitled to any fee, inasmuch as they failed to comply with Code of Professional Responsibility DR 2-107 (a) (22 NYCRR 1200.12 [a]); in the alternative, defendants should be limited to compensation on a quantum meruit basis. (*Aiello v Adar,* 193 Misc 2d 649; *Robert P. Lynn, Jr., LLC v Purcell,* 40 AD3d 729; *Ford v Albany Med. Ctr.,* 283 AD2d 843; *Nicholson v Nason & Cohen, P.C.,*192 AD2d 473; *Dugan v Dorff Constr. Co.,* 281 AD2d 158.) II. If the Court determines that defendants complied with Code of Professional Responsibility DR 2-107 (22 NYCRR 1200.12), the order of the Appellate Division should be affirmed. (*Benjamin v Koeppel,* 85 NY2d 549; *Nicholson v Nason & Cohen,* 192 AD2d 473; *Dugan v Dorff Constr. Co.,* 281 AD2d 158; *Lai Ling Cheng v Modansky Leasing Co.,* 73 NY2d 454; *67 Wall St. Co. v Franklin Natl. Bank,* 37 NY2d 245; *Yudell v Israel & Assoc.,* 248 AD2d 189; *F & M Precise Metals, Inc. v Goodman,* 8 Misc 3d 1028[A], 2005 NY Slip Op 51326[U]; *Borgia v City of New York,* 259 AD2d 648; *Robert P. Lynn, Jr., LLC v Purcell,* 40 AD3d 729.) III. Defendants are not entitled to any interest; in the alternative, the determination of the Appellate Division that defendants are entitled to interest from April 7, 2007 should be affirmed. (*Meiselman v Allstate Ins. Co.,* 197 AD2d 561; *Delulio v 320-57 Corp.,* 99 AD2d 253; *De Long Corp. v Morrison-Knudsen Co.,* 14 NY2d 346; *High Quality Homes, Inc. v Palmer,* 283 App Div 954; *Gilbride v American Tr. Ins. Co.,* 211 AD2d 491.)

OPINION OF THE COURT

PIGOTT, J.

Elliot Sinel, Esq. was retained to represent a client and her infant daughter in a medical malpractice action. After conducting an investigation into the merits of the case, Sinel advised the client that he would find suitable trial counsel and eventually contacted Steven B. Samuel, Esq., who agreed to serve in that capacity. On January 16, 2002, Sinel, on behalf of his firm, Druckman & Sinel, LLP, sent Samuel a letter memorializing their fee-sharing arrangement:

> "It is agreed that your firm . . . will undertake the

> prosecution of the medical malpractice case against Bellevue Hospital on behalf of the [client]. It is also agreed that [your firm] will advance the costs of the litigation of this matter. *Druckman and Sinel, LLP will be compensated at the rate of one-third of the entire legal fee recovered for our participation in this matter, upon its conclusion by settlement, verdict or otherwise*'' (emphasis supplied).

Samuel executed the agreement as written.

Sinel then notified the client, in writing, that his firm had retained Samuel's firm as trial counsel and, although that firm would be handling most of the litigation, he would be ''assisting and consulting with [Samuel's firm] on a regular basis.'' Sinel assured the client that she would not incur any additional legal fees for having both firms working on the case. The client consented to this arrangement in writing.

Due to difficulty in prosecuting the case, including responding to an application for a *Frye* hearing, Samuel, of his own volition, brought in another attorney, Steven Pegalis, Esq., from the law firm of Pegalis & Erickson, LLC, to assist in defeating that application. Thereafter, Pegalis assisted Samuel in trying the case and, during the third week of trial, the case settled for $6.7 million, resulting in an attorneys' fee, under the ''sliding scale'' provision (Judiciary Law § 474-a [2]), of $805,767.30.

Pursuant to Judiciary Law § 474-a (4), which allows a successful attorney in a medical malpractice action to be awarded fees in excess of those set forth in subdivision (2), Samuel and Pegalis moved for an enhanced fee. On June 10, 2005, Supreme Court approved the overall settlement and awarded Samuel and Pegalis attorneys' fees in the amount of $1.9 million, or $1,137,826.41 and $762,173.59, respectively. Samuel forwarded a check to Sinel in the amount of one third of his firm's enhanced fee, but did not include any portion of the fees awarded to the Pegalis firm. Sinel rejected this amount, demanding one third of the entire fee recovered as per their agreement.

Samuel then commenced this declaratory judgment action against, among others, Sinel and Druckman & Sinel, LLP, seeking a declaration that the Sinel firm was not entitled to *any* attorneys' fees due to Sinel's purported violation of Code of Professional Responsibility DR 2-107 (a) (22 NYCRR 1200.12 [a]). That rule provides that:

> ''(a) A lawyer shall not divide a fee for legal services

> with another lawyer who is not a partner in or associate of the lawyer's firm, unless:
>
> "(1) The client consents to employment of the other lawyer after a full disclosure that a division of fees will be made.
>
> "(2) The division is in proportion to the services performed by each lawyer or, by a writing given to the client, each lawyer assumes joint responsibility for the representation.
>
> "(3) The total fee of the lawyers does not exceed reasonable compensation for all legal services they rendered the client."

In his complaint, Samuel claimed that, in failing to advise his client that both firms would be responsible for the representation, Sinel had violated that disciplinary rule and therefore was entitled to no fee.

Sinel interposed an answer with counterclaims, seeking one third of the entire fee as per the agreement. The parties' respective motions for summary judgment were denied (2007 NY Slip Op 30518[U]).

In a 3-2 decision, the Appellate Division majority held that although Sinel had sufficiently complied with DR 2-107, he was entitled to only one third of the *unenhanced* fee of $805,767.30, with interest accruing from April 7, 2007, because he did not participate in the services that resulted in the award of the enhanced fees (*see Samuel v Druckman & Sinel, LLP*, 50 AD3d 322, 323-324 [1st Dept 2008]). The dissenters would have enforced the contract as written, entitling Sinel to one third of the entire legal fee awarded (*see id.* at 325, 330).

The Appellate Division granted both parties leave to appeal from its order and certified the following question to this Court: "Was the order of this Court, which modified the order of the Supreme Court, properly made?" We now modify and answer the certified question in the negative.

[1] Contrary to Samuel's contention, the Appellate Division properly found that Sinel complied with DR 2-107. It is clear from the correspondence that the client consented to Sinel's retention of Samuel as trial counsel and was also apprised that Samuel's involvement would not result in an increase in fees. Moreover, Sinel's correspondence adequately conveyed that both firms had assumed responsibility for the representation, noting that Sinel would be regularly ''assisting and consulting with'' Samuel.*

[2] The Appellate Division erred, however, in disregarding the express language of the fee-sharing agreement and holding that Sinel was entitled to only one third of the unenhanced fee. Where, as here, an agreement ''is complete, clear and unambiguous on its face[, it] must be enforced according to the plain meaning of its terms'' (*Greenfield v Philles Records*, 98 NY2d 562, 569 [2002]). Because the language ''one-third of the entire legal fee recovered'' is subject to no interpretation other than the one proffered by Sinel, he is entitled to recover that amount.

Moreover, contrary to the holding of the Appellate Division, it is of no moment that Sinel did not contribute to that part of the work that resulted in the award of the enhanced fee. In the realm of fee-sharing disputes, ''courts will not inquire into the precise worth of the services performed by the parties'' (*Benjamin v Koeppel*, 85 NY2d 549, 556 [1995]). DR 2-107 also makes clear that, regardless of any division of services, where ''by a writing given to the client, each lawyer assumes joint responsibility for the representation,'' attorneys are free to negotiate such division of fees as they deem appropriate (Code of Professional Responsibility DR 2-107 [a] [2] [22 NYCRR 1200.12 (a) (2)]; *see Robert P. Lynn, Jr., LLC v Purcell*, 40 AD3d 729, 730-731 [2d Dept 2007]; *see also* Simon's New York Code of Professional Responsibility Annotated, at 439 [2008]). Further, Samuel, who is bound by the same Code of Professional Responsibility as Sinel, cannot be heard to argue that the fee-sharing agreement and the obligations thereunder must be voided on ethical grounds, when he freely agreed to be bound by and received the benefit of the same agreement, particularly where, as here, there is no indication that the client was in any way deceived or misled (*see Benjamin*, 85 NY2d at 556).

Based on the foregoing, Sinel is entitled to one third of the entire legal fee of $1.9 million, less disbursements expended in the amount of $142,327.01, with interest from June 10, 2005, the date of the entry of the compromise order, the ''earliest ascertainable date'' the claim existed (*Love v State of New York*, 78 NY2d 540, 544 [1991], quoting CPLR 5001 [b]).

Accordingly, the order of the Appellate Division should be modified, with costs to defendants, by remitting to Supreme

* While the better practice would have been for counsel to have expressly stated that Sinel and Samuel were assuming joint responsibility over the matter, there is no indication in this record that such was not the case, nor that the client was misled into believing otherwise.

Court for further proceedings in accordance with this opinion and, as so modified, affirmed and the certified question should be answered in the negative.

Judges CIPARICK, GRAFFEO, READ, SMITH and JONES concur; Chief Judge LIPPMAN taking no part.

Order modified, etc.

[907 NE2d 274, 879 NYS2d 361]

In the Matter of 10 East Realty, LLC, et al., Respondents, v Incorporated Village of Valley Stream et al., Appellants.

Argued February 10, 2009; decided March 31, 2009

SUMMARY

Appeal, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered March 18, 2008. The Appellate Division order, insofar as appealed from, modified, on the law, a judgment of the Supreme Court, Nassau County (Thomas P. Phelan, J.; op 11 Misc 3d 1074[A], 2006 NY Slip Op 50561[U]), which had denied the petition in a proceeding pursuant to CPLR article 78 to review a determination of the Incorporated Village of Valley Stream Board of Trustees authorizing respondent Incorporated Village of Valley Stream to close on the sale of a municipal parking lot and to enter into a purchase-money mortgage with respondent 1 E. Lincoln Realty Corp. The modification consisted of deleting the provision of the judgment denying that branch of the petition which was to annul so much of the determination of the Incorporated Village of Valley Stream Board of Trustees as authorized respondent Incorporated Village of Valley Stream to enter into a purchase-money mortgage with respondent 1 E. Lincoln Realty Corp., and substituting therefor a provision granting that branch of the petition.

Matter of 10 E. Realty, LLC v Incorporated Vil. of Val. Stream, 49 AD3d 764, reversed.

HEADNOTE

Municipal Corporations — Sale of Property — Purchase-Money Mortgage Not Unconstitutional as Prohibited Loan

A purchase-money mortgage taken by a municipality to secure the payment of the consideration in connection with a sale of municipal property to a private entity was not a loan prohibited by the Gift or Loan Clause of the New York Constitution (NY Const, art VIII, § 1). The municipality made no loan of money or property to the purchaser. The fact that the consideration for the sale mentioned an interest rate and a term of payment, or that a mortgage was taken as a security interest, did not make the transaction an unconstitutional loan.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

Am Jur 2d, Municipal Corporations, Counties, and Other

Political Subdivisions §§ 513, 573; AM JUR 2d, Public Funds § 3.

MCKINNEY'S, NY Const, art VIII, § 1.

NY JUR 2d, Counties, Towns, and Municipal Corporations §§ 1313–1317; NY JUR 2d, Public Funds §§ 57, 58, 61.

ANNOTATION REFERENCE

See ALR Index under Mortgages; Municipal Corporations; Public Moneys.

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POINTS OF COUNSEL

Ryan, Brennan & Donnelly, LLP, Floral Park (*John E. Ryan* of counsel), *McKenna & Schneier,* Valley Stream (*Patrick Michael McKenna* of counsel), and *Minerva & D'Agostino, P.C.* (*Dominick M. Minerva* and *Ross M. Gerber* of counsel), for appellants. A purchase-money mortgage that secures the purchase price on a sale of municipal property does not violate the Gift or Loan Clause of the New York State Constitution. (*New Windsor Volunteer Ambulance Corps, Inc. v Meyers,* 442 F3d 101; *Matter of Taylor v McGuire,* 100 Misc 2d 834; *Cook v Burtis,* 157 Misc 140; *Sun Print. & Publ. Assn. v Mayor of City of N.Y.,* 152 NY 257; *Wein v State of New York,* 39 NY2d 136; *Matter of Schulz v Warren County Bd. of Supervisors,* 179 AD2d 118; *Matter of Antonopoulou v Beame,* 32 NY2d 126; *Piro v Bowen,* 76 AD2d 392; *Kradjian v City of Binghamton,* 104 AD2d 16, 64 NY2d 1039; *Murphy v Erie County,* 28 NY2d 80.)

Law Offices of Jordan M. Hyman, Valley Stream (*Jordan M. Hyman* of counsel), for respondents. The Incorporated Village of Valley Stream does not have the authority to take back a purchase-money mortgage in connection with the sale of a parking lot to a private entity in the case at bar as the transaction violates article VIII, § 1 of the New York State Constitution. (*Marine Midland Trust Co. of S. N.Y. v Village of Waverly,* 42 Misc 2d 704; *Wells v Town of Salina,* 119 NY 280; *Sun Print. & Publ. Assn. v Mayor of City of N.Y.,* 152 NY 257; *Cook v Burtis,* 157 Misc 140; *Doctors Council v New York City Employees' Retirement Sys.,* 71 NY2d 669; *Matter of Overton v Town of Southampton,* 273 AD2d 242; *Kradjian v City of Binghamton,* 104 AD2d 16, 64 NY2d 1039; *Brigham v McCabe,* 20 NY2d 525;

Solicitor for Affairs of His Majesty's Treasury v Bankers Trust Co., 304 NY 282; *Sundail Constr. Co. v Liberty Bank,* 277 NY 137.)

Kathleen O'Neill, Albany, for New York State Conference of Mayors and Municipal Officials, amicus curiae. I. A municipality is not prohibited from taking a purchase-money mortgage under the Gift or Loan Clause of the New York State Constitution. (*219 Broadway Corp. v Alexander's, Inc.,* 46 NY2d 506; *Bozewicz v Nash Metalware Co.,* 284 AD2d 288; *PNC Bank v Porco,* 296 AD2d 451; *People v Garland,* 69 NY2d 144; *Szerdahelyi v Harris,* 67 NY2d 42; *DHNH Realty Corp. v Jeantet Residence for Seniors,* 105 Misc 2d 690; *Barone v Frie,* 99 AD2d 129; *Cook v Burtis,* 157 Misc 140; *Lower v Village of Watkins Glen,* 17 AD3d 829.) II. Public policy mandates a finding that grants a municipality the ability to take a purchase-money mortgage on a property sold to a private entity, as it serves a proper public purpose. (*Matter of Antonopoulou v Beame,* 32 NY2d 126; *Vitucci v New York City School Constr. Auth.,* 289 AD2d 479; *Matter of Schulz v Warren County Bd. of Supervisors,* 179 AD2d 118; *Sun Print. & Publ. Assn. v Mayor of City of N.Y.,* 152 NY 257; *Smith v Smythe,* 197 NY 457.)

Michael A. Cardozo, Corporation Counsel, New York City (*Leonard Koerner, Francis F. Caputo* and *Elizabeth I. Freedman* of counsel), for City of New York, amicus curiae. The Incorporated Village of Valley Stream's acceptance of a purchase-money mortgage as the consideration for its sale of municipal real property to a private entity does not violate the gift or loan prohibition in article VIII, § 1 of the New York State Constitution. (*Landmark West! v City of New York,* 9 Misc 3d 563; *Szerdahelyi v Harris,* 67 NY2d 42; *Mandelino v Fribourg,* 23 NY2d 145; *Barone v Frie,* 99 AD2d 129; *C & M Air Sys. v Custom Land Dev. Group II,* 262 AD2d 440; *Christopher v Gurrieri,* 238 AD2d 299; *Steinberg v Williams,* 163 AD2d 516; *Cook v Burtis,* 157 Misc 140; *Matter of Schulz v Warren County Bd. of Supervisors,* 179 AD2d 118, 80 NY2d 754; *Tribeca Community Assn. v New York State Urban Dev. Corp.,* 200 AD2d 536, 84 NY2d 805.)

OPINION OF THE COURT

JONES, J.

The issue before this Court is whether a purchase-money mortgage taken by a municipality to secure the payment of the consideration in connection with a sale of municipal property to a private entity violates article VIII, § 1 of the New York Constitution.

In 2002, respondent, the Incorporated Village of Valley Stream (the Village), sold a parcel of land owned by the Village to 1 E. Lincoln Realty Corp, a private entity, for $275,000. Under the purchase agreement, no money was to be paid at closing, instead the consideration was to be paid over 15 years with an interest rate of 5% per annum. The Village took a mortgage interest in the property to secure the deferred payments under the contract. Petitioners, a civic organization and several residents, then commenced the instant CPLR article 78 proceeding (1) to annul the Village's resolution which authorized the sale and (2) to enjoin the Village from closing on the sale, alleging, among other things, that the transaction involved an unconstitutional loan under article VIII, § 1 of the New York Constitution (Gift or Loan Clause). Modifying Supreme Court's dismissal of the petition (11 Misc 3d 1074[A], 2006 NY Slip Op 50561[U]), the Appellate Division held that the purchase-money mortgage was a loan prohibited by the Gift or Loan Clause (49 AD3d 764 [2008]). We disagree.

The Gift or Loan Clause provides that ''[n]o county, city, town, village or school district shall give or loan any money or property to or in aid of any individual, or private corporation or association, or private undertaking'' (NY Const, art VIII, § 1). A purchase-money mortgage is generally defined as ''a mortgage executed at the time of purchase of the land and contemporaneously with the acquisition of the legal title, or afterward, but as part of the same transaction, to secure an unpaid balance of the purchase price'' (*Szerdahelyi v Harris*, 67 NY2d 42, 46 [1986]). In *Mandelino v Fribourg*, this Court answered the question of ''whether a purchase-money mortgage is to be regarded in law as a loan'' in the negative (23 NY2d 145, 147 [1968]). Although decided in the context of the usury laws, the rationale is equally applicable in this case. ''A contract which provides for [payment] of interest . . . upon a deferred payment . . . constitutes the consideration for a sale'' (*id.* at 151) and such a transaction is not the type contemplated by the Gift or Loan Clause (*see Sun Print. & Publ. Assn. v Mayor of City of N.Y.*, 152 NY 257, 268-269 [1897]).

Here, the Village made no loan of money or property to the purchaser. The fact that the consideration in this sale mentions an interest rate and a term of payment, or that a mortgage was taken as a security interest, does not make this transaction involving a deferred payment plan an unconstitutional loan.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be reversed, with costs, and the judgment of Supreme Court reinstated.

Judges CIPARICK, GRAFFEO, READ, SMITH and PIGOTT concur; Chief Judge LIPPMAN taking no part.

Order, insofar as appealed from, reversed, etc.

[906 NE2d 1046, 879 NYS2d 14]

LMK Psychological Services, P.C., et al., Respondents, v State Farm Mutual Automobile Insurance Company, Appellant.

Argued February 11, 2009; decided April 2, 2009

SUMMARY

Appeal, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered December 27, 2007. The Appellate Division order, insofar as appealed from, affirmed a judgment of the Supreme Court, Greene County (George J. Pulver, Jr., J.), in favor of plaintiffs, which had awarded plaintiffs the principal sum of $16,887.31, with prejudgment interest in the amount of $73,881.47 and attorneys' fees in the amount of $10,639.82, for a total sum of $101,408.60, plus statutory interest, against defendant.

LMK Psychological Servs., P.C. v State Farm Mut. Auto. Ins. Co., 46 AD3d 1290, reversed.

HEADNOTES

Insurance — No-Fault Automobile Insurance — Attorneys' Fees

1. In an action to recover assigned no-fault insurance benefits, the calculation of attorneys' fees awarded to plaintiffs should have been based on the aggregate of all bills for each insured. Insurance Law § 5106 (a) provides that a claimant is entitled to recover attorneys' fees for services performed in connection with securing payment of an overdue claim. In an opinion letter interpreting the Insurance Department regulation establishing a minimum attorneys' fee (11 NYCRR 65-4.6), the Superintendent of Insurance interpreted a "claim" to be the total medical expenses claimed in a cause of action pertaining to a single insured, and not each separate medical bill submitted by the provider. As that interpretation was neither irrational, unreasonable nor counter to the clear wording of the statute, it was entitled to deference.

Insurance — No-Fault Automobile Insurance — Interest on Overdue Payments — Toll

2. In an action to recover assigned no-fault insurance benefits, the Insurance Department regulation tolling the accumulation of statutory interest on overdue payments if the claimant "does not request arbitration or institute a lawsuit within 30 days after the receipt of a denial of claim form" (11 NYCRR 65-3.9 [c]) was applicable regardless of whether defendant timely denied the claims. As the Superintendent of Insurance's interpretation of that regulation as mandating that the accrual of interest is tolled regardless of the timeliness of a particular denial was neither irrational nor unreasonable, it was entitled to deference.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

Am Jur 2d, Automobile Insurance §§ 520, 635.

CARMODY-WAIT 2d, Officers of Court § 3:477.
COUCH ON INSURANCE (3d ed) §§ 171:48, 171:49.
MCKINNEY'S, Insurance Law § 5106 (a).
11 NYCRR 65–3.9 (c); 65–4.6.
NY JUR 2d, Insurance §§ 1801–1803.

ANNOTATION REFERENCE

See ALR Index under Attorneys' Fees; Automobile Insurance; Insurance and Insurance Companies; Interest on Money.

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Query: no-fault /p attorney /2 fee /s aggregate

POINTS OF COUNSEL

Rivkin Radler LLP, Uniondale (*Evan H. Krinick, Cheryl F. Korman, Barry I. Levy* and *Stuart M. Bodoff* of counsel), and *Goldberg Segalla, LLP,* for appellant. I. Under 11 NYCRR 65-4.6 (e), a prevailing assignee medical provider in a no-fault action is entitled to one attorney's fee with respect to all claims asserted in the action on behalf of a single assignor, to be calculated based on the total amount of first-party benefits awarded by the court in connection with such claims, and is not entitled to multiple attorney's fees on a ''per claim'' basis. (*U.S. Underwriters Ins. Co. v City Club Hotel, LLC,* 3 NY3d 592; *Baker v Health Mgt. Sys.,* 98 NY2d 80; *Hooper Assoc. v AGS Computers,* 74 NY2d 487; *Chapel v Mitchell,* 84 NY2d 345; *Diamond v Diamond,* 307 NY 263; *Raffellini v State Farm Mut. Auto. Ins. Co.,* 9 NY3d 196; *Matter of Medical Socy. of State of N.Y. v Serio,* 100 NY2d 854; *Ostrer v Schenck,* 41 NY2d 782; *Breen v Cunard Lines S. S. Co.,* 33 NY2d 508; *Pajak v Pajak,* 56 NY2d 394.) II. The accrual of interest on an overdue no-fault claim is tolled under 11 NYCRR 65.15 (h) (3) and 65-3.9 (c) where the claimant fails to commence a lawsuit to recover such claim within 30 days after receipt of the denial of the claim, whether or not the insurer's denial of no-fault benefits is timely issued. (*Manufacturer's & Traders Trust Co. v Reliance Ins. Co.,* 8 NY3d 583; *Matter of Bello v Roswell Park Cancer Inst.,* 5 NY3d 170; *Matter of Meloni v Goord,* 267 AD2d 977, 94 NY2d 944; *Matter of Aurecchione v New York State Div. of Human Rights,* 98 NY2d 21; *Love v State of New York,* 78 NY2d 540; *Dermatossian v New York City Tr. Auth.,* 67 NY2d 219; *Cardinell v Allstate Ins. Co.,* 302 AD2d 772; *Aetna Cas. & Sur. Co. v Whitestone Gen. Hosp.,* 142 Misc 2d 67; *Barnes v Maryland Cas. Co.,* 124 Misc 2d 942; *Globe Surgical Supply v GEICO Ins. Co.,* 12 Misc 3d 1185[A], 2006 NY Slip Op 51446[U].)

Law Office of Craig Meyerson, Latham (*Craig Meyerson* of counsel), for respondents. I. Appellant's arguments are not preserved for appeal. (*B.J. 96 Corp. v Mester,* 222 AD2d 798; *Marazzo v Frontier Ins. Co.,* 189 AD2d 755.) II. The lower courts correctly determined that attorney's fees are awarded on a per claim basis and interest is not tolled by late, invalid denials issued on valid claims. (*Matter of Granger v Urda,* 44 NY2d 91; *Montgomery v Daniels,* 38 NY2d 41; *Matter of Simmons [Government Empls. Ins. Co.],* 59 AD2d 468; *Marigliano v New York Cent. Mut. Fire Ins. Co.,* 15 Misc 3d 766; *Mighty Midgets v Centennial Ins. Co.,* 47 NY2d 12; *T.D. v New York State Off. of Mental Health,* 228 AD2d 95; *Lincoln First Bank of Rochester v Rupert,* 60 AD2d 193; *St. Clare's Hosp. v Allstate Ins. Co.,* 215 AD2d 641; *Smithtown Gen. Hosp. v State Farm Mut. Auto. Ins. Co.,* 207 AD2d 338; *Hempstead Gen. Hosp. v Insurance Co. of N. Am.,* 208 AD2d 501.) III. Interest accrues from the date a claim becomes overdue until the claim is paid. (*Presbyterian Hosp. in City of N.Y. v Maryland Cas. Co.,* 90 NY2d 274; *Nyack Hosp. v State Farm Mut. Auto. Ins. Co.,* 11 AD3d 664; *New York Craniofacial Care, P.C. v Allstate Ins. Co.,* 11 Misc 3d 1071[A], 2006 NY Slip Op 50500[U]; *Cardinell v Allstate Ins. Co.,* 302 AD2d 772; *Hempstead Gen. Hosp. v Insurance Co. of N. Am.,* 208 AD2d 501; *Smithtown Gen. Hosp. v State Farm Mut. Auto. Ins. Co.,* 207 AD2d 338; *Elmont Open MRI & Diagnostic Radiology, P.C. v Country-Wide Ins. Co.,* 15 Misc 3d 552; *St. Clare's Hosp. v Allstate Ins. Co.,* 215 AD2d 641; *Dermatossian v New York City Tr. Auth.,* 67 NY2d 219; *Matter of Granger v Urda,* 44 NY2d 91.)

Andrew M. Cuomo, Attorney General, New York City (*Peter Karanjia, Barbara D. Underwood* and *Benjamin N. Gutman* of counsel), for Eric R. Dinallo, amicus curiae. I. Attorney's fees for recovery of medical expenses under the No-Fault Law are properly limited on a ''per claim'' basis, where a claim constitutes a single victim's expenses for treatment by a single provider. (*State Farm Mut. Auto. Ins. Co. v Mallela,* 4 NY3d 313; *Matter of Notre Dame Leasing v Rosario,* 2 NY3d 459; *Walton v Lumbermens Mut. Cas. Co.,* 88 NY2d 211; *Montgomery v Daniels,* 38 NY2d 41; *Matter of Medical Socy. of State of N.Y. v Serio,* 100 NY2d 854; *Argentina v Emery World Wide Delivery Corp.,* 93 NY2d 554; *Matter of Council of City of N.Y. v Public Serv. Commn. of State of N.Y.,* 99 NY2d 64; *Raffellini v State*

Farm Mut. Auto. Ins. Co., 9 NY3d 196; *Ostrer v Schenck,* 41 NY2d 782; *Matter of John Paterno, Inc. v Curiale,* 88 NY2d 328.) II. The accumulation of interest on overdue payments is properly suspended by the Superintendent of Insurance's tolling regulation during the period when the claimant does not promptly seek arbitration or judicial relief, whether or not the insurer's denial of the claim was timely. (*Hempstead Gen. Hosp. v Insurance Co. of N. Am.,* 208 AD2d 501; *Marigliano v New York Cent. Mut. Fire Ins. Co.,* 15 Misc 3d 766; *Mid-Island Hosp. v Empire Mut. Ins. Co.,* 120 AD2d 652; *Matter of Medical Socy. of State of N.Y. v Serio,* 100 NY2d 854; *Presbyterian Hosp. in City of N.Y. v Maryland Cas. Co.,* 90 NY2d 274; *State Farm Mut. Auto. Ins. Co. v Pfeiffer,* 95 AD2d 806; *East Acupuncture, P.C. v Allstate Ins. Co.,* 15 Misc 3d 104; *New York & Presbyt. Hosp. v Allstate Ins. Co.,* 30 AD3d 492; *Cardinell v Allstate Ins. Co.,* 302 AD2d 772; *St. Clare's Hosp. v Allstate Ins. Co.,* 215 AD2d 641.)

Short & Billy, P.C., New York City (*Skip Short* and *Frank Piccininni* of counsel), for Government Employees Insurance Company and others, amici curiae. I. The Insurance Department regulation relating to interest should be applied. (*Matter of Medical Socy. of State of N.Y. v Serio,* 100 NY2d 854; *State Farm Mut. Auto. Ins. Co. v Mallela,* 4 NY3d 313; *Matter of Markowitz v Serio,* 11 NY3d 43; *Matter of New York Pub. Interest Research Group v New York State Dept. of Ins.,* 66 NY2d 444; *East Acupuncture, P.C. v Allstate Ins. Co.,* 15 Misc 3d 104; *Hempstead Gen. Hosp. v Insurance Co. of N. Am.,* 208 AD2d 501; *Matter of Bello v Roswell Park Cancer Inst.,* 5 NY3d 170; *Gonzalez v New York City Hous. Auth.,* 77 NY2d 663.) II. The Insurance Department regulation relating to attorney's fees should be applied. (*Matter of Medical Socy. of State of N.Y. v Serio,* 100 NY2d 854.) III. The statute of limitations for no-fault has not been decided by this Court and, to the extent this issue is addressed, the amici request that their analysis of the statute of limitations for Insurance Law §§ 5103 and 5106 claims be considered. (*Matter of Motor Veh. Acc. Indem. Corp. v Aetna Cas. & Sur. Co.,* 89 NY2d 214; *Gaidon v Guardian Life Ins. Co. of Am.,* 96 NY2d 201; *Aetna Life & Cas. Co. v Nelson,* 67 NY2d 169; *Gurnee v Aetna Life & Cas. Co.,* 55 NY2d 184; *Mandarino v Travelers Prop. Cas. Ins. Co.,* 37 AD3d 775; *Matter of Simmons [Government Empls. Ins. Co.],* 59 AD2d 468; *Cardinell v Allstate Ins. Co.,* 302 AD2d 772; *City of New York v Kingsview Homes,* 70 AD2d 866; *Barnes v Maryland Cas. Co.,* 124 Misc 2d 942; *Matter of Medical Socy. of State of N.Y. v Serio,* 100 NY2d 854.)

OPINION OF THE COURT

PIGOTT, J.

Plaintiffs, two medical providers that treated various automobile accident victims insured by defendant State Farm Mutual Automobile Insurance Company, commenced this action against State Farm after it denied no-fault insurance benefit claims assigned to plaintiffs by the insureds. Plaintiffs asserted one cause of action for each insured treated, alleging that State Farm failed to pay or deny multiple bills within the requisite 30 days.

Plaintiffs were granted summary judgment awarding them, among other things, attorneys' fees and interest. As relevant to this appeal, attorneys' fees were awarded ''on each claim within each cause of action''; in other words, attorneys' fees were calculated on each bill submitted for each insured. This amount differed substantially from that proposed by State Farm, which sought a calculation of attorneys' fees on a per insured basis.

In addition, Supreme Court awarded plaintiffs interest at the statutory rate of 2% per month, without applying the tolling provision set forth in the Insurance Department regulations, which provide for the suspension of interest 30 days after denial of payment until plaintiffs commence an action seeking payment.

On appeal, the Appellate Division rejected State Farm's contention that Supreme Court failed to properly apply the tolling provision in awarding interest to plaintiffs (46 AD3d 1290 [2007]). The court held that because State Farm did not issue a proper and timely denial to plaintiffs' no-fault claims, it was not entitled to the benefit of the tolling provision.

As it pertained to attorneys' fees, the court held that Supreme Court properly awarded fees on a per bill basis rather than a per insured basis. The court expressly rejected an opinion letter of the Superintendent of Insurance, finding it in conflict with the express language of Insurance Law § 5106, as well as case law. This Court granted defendant leave to appeal (10 NY3d 717 [2008]) and we now reverse.

''New York's no-fault automobile insurance system is designed 'to ensure prompt compensation for losses incurred by accident victims without regard to fault or negligence, to reduce the burden on the courts and to provide substantial premium savings to New York motorists' '' (*Hospital for Joint Diseases v Travelers Prop. Cas. Ins. Co.*, 9 NY3d 312, 317 [2007] [citation omitted]). We recently reiterated that the no-fault scheme's core objective is ''to provide a tightly timed process of claim, disputation and payment'' (*id.* at 319, quoting *Presbyterian Hosp. in City of N.Y. v Maryland Cas. Co.*, 90 NY2d 274, 281 [1997]). In furtherance of this objective, an insurer's failure to pay or deny a claim within the requisite time period carries significant consequences, including the payment of attorneys' fees and interest.

Insurance Law § 5106 (a) provides that ''[if] a valid claim or portion was overdue, the claimant shall . . . be entitled to recover his attorney's reasonable fee, for services necessarily performed in connection with securing payment of the overdue claim . . . .'' Pursuant to the authority delegated to him by section 5106 (a), the Superintendent of Insurance promulgated regulation 11 NYCRR 65-4.6 establishing a minimum attorneys' fee and further providing that the ''attorney's fee shall be limited as follows: 20 percent of the amount of first-party benefits, plus interest thereon, awarded by the . . . court, subject to a maximum fee of $850'' (11 NYCRR 65-4.6 [e]).

On October 8, 2003, the Superintendent issued an opinion letter interpreting that regulation and stating that the minimum amount of attorneys' fees awarded to an assignee health care provider pursuant to Insurance Law § 5106 is

> ''based upon the aggregate amount of payment required to be reimbursed based upon the amount awarded for each bill which had been submitted and denied. The minimum attorney fee . . . is not due and owing for each bill submitted as part of the total amount of the disputed claim sought in the court action'' (Ops Gen Counsel NY Ins Dept No. 03-10-04 [Oct. 2003]).

In referring to the regulations, specifically 11 NYCRR 65-4.6 (e), the Superintendent stated:

> ''[That provision] makes it clear that the amount of attorney's fees awarded will be based upon 20% of the total amount of first party benefits awarded. That total amount is derived from the total amount of individual bills disputed in either a court action or arbitration, regardless of whether one bill or multiple bills are presented as part of a total claim for benefits, based upon the health services rendered by a provider to the same eligible insured'' (*id.*).

[1] We have long held that the Superintendent's ''interpretation, if not irrational or unreasonable, will be upheld in deference to his special competence and expertise with respect to the insurance industry, unless it runs counter to the clear wording of a statutory provision'' (*Matter of New York Pub. Interest Research Group v New York State Dept. of Ins.*, 66 NY2d 444, 448 [1985]). The responsibility for administering the Insurance Law and, in particular, fair claims settlement under the No-Fault Law rests with the Superintendent (*see* Insurance Law §§ 301, 5106 [a]). For purposes of calculating attorneys' fees, the Superintendent has interpreted a claim to be the total medical expenses claimed in a cause of action pertaining to a single insured, and not—as the courts below held—each separate medical bill submitted by the provider. Because this interpretation is neither irrational, unreasonable, nor counter to the clear wording of the statute, it is entitled to deference. Thus, this Court accepts the Insurance Department's interpretation of its own regulation and, upon remittitur, directs Supreme Court to calculate attorneys' fees based on the aggregate of all bills for each insured.

[2] State Farm next contends that the Appellate Division erred in finding that an insurance company that fails to issue a proper and timely denial is not entitled to the benefit of the tolling provision. We agree.

Pursuant to Insurance Law § 5106 (a), interest accrues on overdue no-fault insurance claims at a rate of 2% per month. A claim is overdue when it is not paid within 30 days after a proper demand is made for its payment (Insurance Law § 5106 [a]; 11 NYCRR 65.15 [g]). The Superintendent's regulation tolls the accumulation of interest if the claimant ''does not request arbitration or institute a lawsuit within 30 days after the receipt of a denial of claim form or payment of benefits calculated pursuant to Insurance Department regulations'' (11 NYCRR 65-3.9 [c]).

The Superintendent has interpreted this provision to mandate that the accrual of interest is tolled, regardless of whether the particular denial at issue was timely. That interpretation is similarly entitled to deference given that it is ''not irrational or unreasonable'' (*Matter of Council of City of N.Y. v Public Serv. Commn. of State of N.Y.*, 99 NY2d 64, 74 [2002]). Indeed, it is consistent with section 5106, entitled ''Fair claims settlement,'' the purpose of which is to encourage claimants to swiftly seek to resolve any dispute concerning their entitlement to no-fault benefits. Once a denial is issued, even if an untimely one, a claimant should still be encouraged to act to resolve the dispute quickly. Supreme Court is therefore directed to calculate appropriate interest on each claim, taking into consideration the tolling provision of section 5106 (a) as interpreted by the Superintendent of Insurance.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be reversed, with costs, and the matter remitted to Supreme Court for further proceedings in accordance with this opinion.

Judges CIPARICK, GRAFFEO, READ, SMITH and JONES concur; Chief Judge LIPPMAN taking no part.

Order, insofar as appealed from, reversed, etc.

[906 NE2d 381, 878 NYS2d 653]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v WILLIAM KALIN, Respondent.

Argued February 12, 2009; decided March 31, 2009

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Term of the Supreme Court in the Second Judicial Department, entered October 5, 2007. The Appellate Term (1) reversed, on the law, a judgment of the Criminal Court of the City of New York, Queens County (Fernando M. Camacho, J.), which had convicted defendant, upon his plea of guilty, of criminal possession of a controlled substance in the seventh degree, and (2) dismissed the accusatory instrument.

People v Kalin, 17 Misc 3d 131(A), 2007 NY Slip Op 51998(U), reversed.

HEADNOTES

Crimes — Accusatory Instrument — Sufficiency — Standard of Review for Assessing Jurisdictional Sufficiency

1. The accusatory instrument charging defendant with criminal possession of a controlled substance in the seventh degree and unlawful possession of marijuana had to be treated as a misdemeanor information for the purpose of assessing its jurisdictional sufficiency even if the People intended to prosecute defendant using a misdemeanor complaint, as defendant was not informed of his right to be prosecuted on an information and did not waive that protection during the arraignment at which he pleaded guilty. Accordingly, on defendant's appeal from the judgment of conviction, an evaluation using the prima facie case standard of an information, and not the reasonable cause standard of a complaint, was required.

Crimes — Information — Sufficiency — Criminal Possession of Controlled Substance — Identification of Controlled Substance

2. The accusatory instrument charging defendant with criminal possession of a controlled substance in the seventh degree and unlawful possession of marijuana sufficiently pleaded every element of the charged crimes and was not jurisdictionally defective. The factual allegations put defendant on notice that he was charged with possessing heroin and marijuana discovered in the car in which he was a backseat passenger at a certain time, date and location, and specified what the drugs were packaged in and exactly where in the car the drugs and a marijuana pipe were found. They gave defendant notice sufficient to prepare a defense and were detailed enough to prevent him from being tried twice for the same offense. Moreover, the arresting officer's statements that his "experience as a police officer as well as [his] training in the identification and packaging of controlled substances and marijuana" provided adequate foundation for identification of the drugs. It was not necessary that

the officer describe what the substances looked like or attach a laboratory report indicating that the substances had been tested and found to be heroin and marijuana. Consequently, defendant's challenge to the information was forfeited by operation of law upon his entering a guilty plea.

Crimes — Information — Sufficiency — Criminal Possession of Controlled Substance — Identification of Controlled Substance

3. It is not necessary that an information charging a defendant with criminal possession of a controlled substance contain a description of what the substance looked like if the information otherwise adequately identifies the particular drug, alleges that the accused possessed that illegal substance, states the officer's familiarity with and training regarding the identification of the drug, provides some information as to why the officer concluded that the substance was a particular type of illegal drug, and supplies sufficient notice of the charged crime to satisfy the demands of due process and double jeopardy. To the extent *Matter of Jahron S.* (79 NY2d 632 [1992]) suggests otherwise, that portion of the holding is modified.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

Am Jur 2d, Drugs and Controlled Substances §§ 150, 158; Am Jur 2d, Indictments and Informations §§ 88, 89, 93, 95, 276.

Carmody-Wait 2d, Criminal Procedure §§ 172:834–172:838, 172:2426, 172:2430, 172:2431.

LaFave, et al., Criminal Procedure (3d ed) § 19.3.

NY Jur 2d, Criminal Law: Procedure §§ 947, 956–958; NY Jur 2d, Criminal Law: Substantive Principles and Offenses § 1645.

ANNOTATION REFERENCE

See ALR Index under Drugs and Narcotics; Indictments and Informations.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: misdemeanor /2 information /s defect! /2 jurisdiction! /p controlled /2 substance

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POINTS OF COUNSEL

Richard A. Brown, District Attorney, Kew Gardens (*William H. Branigan* and *John M. Castellano* of counsel), for appellant. I. Defendant forfeited his claim when he pleaded guilty, and the Appellate Term improperly addressed that claim and reversed his conviction. (*Matter of Jahron S.,* 79 NY2d 632; *Matter of Michael M.,* 3 NY3d 441; *People v Hansen,* 95 NY2d 227; *People v Casey,* 95 NY2d 354; *People v Zambounis,* 251 NY 94; *People v*

Scott, 3 NY2d 148; *People v Keizer,* 100 NY2d 114; *People v Taylor,* 65 NY2d 1; *People v Konieczny,* 2 NY3d 569; *People v Alejandro,* 70 NY2d 133.) II. Dismissal of the entire accusatory instrument was inappropriate where a sufficient instrument existed upon which to commence proceedings against defendant. (*United States v Morrison,* 449 US 361; *United States v Blue,* 384 US 251; *People v Kelly,* 62 NY2d 516; *People v Pobliner,* 32 NY2d 356; *People v Casey,* 95 NY2d 354; *People v Dumas,* 68 NY2d 729; *People v Alejandro,* 70 NY2d 133; *People v Ramos,* 99 NY2d 27; *Texas v Cobb,* 532 US 162.)

Lawrence T. Hausman, New York City, *Steven Banks* and *Jonathan Garelick* for respondent. I. The allegations in the accusatory instrument failed to establish a prima facie case of criminal possession of a controlled substance in the seventh degree, and the accusatory instrument was accordingly jurisdictionally defective. (*People v Casey,* 95 NY2d 354; *People v Alejandro,* 70 NY2d 133; *People v Weinberg,* 34 NY2d 429; *People v Keizer,* 100 NY2d 114; *People v Jones,* 9 NY3d 259; *People v Konieczny,* 2 NY3d 569; *Matter of Jahron S.,* 79 NY2d 632; *Matter of Wesley M.,* 83 NY2d 898; *Matter of Michael M.,* 3 NY3d 441; *Matter of Angel A.,* 92 NY2d 430.) II. It is well established by this Court's precedents that dismissal of the accusatory instrument was the appropriate remedy; in any event, that remedy was appropriate in this case. (*People v Flynn,* 79 NY2d 879; *People v Burwell,* 53 NY2d 849.)

OPINION OF THE COURT

Graffeo, J.

In this appeal, we are asked whether defendant's entry of a guilty plea forfeited his claim that the misdemeanor information was deficient. We answer that question in the affirmative.

In January 2006, defendant William Kalin was a passenger in an automobile that was stopped by a New York City police officer for having a faulty exhaust system. In the course of the traffic stop, the officer recovered what he believed were nine plastic bags of heroin together with a bag of marijuana from the vehicle's center console, and a marijuana pipe from the glove compartment. Defendant and the other occupants of the car were arrested for criminal possession of a controlled substance in the seventh degree and unlawful possession of marijuana.

At his arraignment the next day, defendant pleaded guilty to seventh-degree possession of a controlled substance in return for a sentence of time served. The trial court informed defendant of the rights that he was waiving by entry of his plea, but did not advise defendant that he had the right to be prosecuted by a misdemeanor information rather than a misdemeanor complaint (*see* CPL 170.65 [1]). During the plea allocution, defendant admitted that he had possessed heroin.

Defendant subsequently appealed, arguing that the accusatory instrument was jurisdictionally defective because it did not satisfy the prima facie case requirement for a misdemeanor information as specified in CPL 100.40. Relying on *Matter of Jahron S.* (79 NY2d 632 [1992]) and *People v Alejandro* (70 NY2d 133 [1987]), defendant argued that the police officer's reliance on his experience and training in determining that defendant possessed heroin was insufficient to support the charge of criminal possession of a controlled substance in the seventh degree. The Appellate Term agreed with defendant, reversing the conviction and dismissing the accusatory instrument (17 Misc 3d 131[A], 2007 NY Slip Op 51998[U] [2007]). A Judge of this Court granted leave (10 NY3d 865 [2008]), and we now reverse and reinstate the conviction.

The usual instrument filed to obtain jurisdiction over an accused for a misdemeanor offense is a misdemeanor complaint (*see* CPL 100.05, 100.10 [4]). A complaint contains an accusatory portion that charges the designated offense (*see* CPL 100.15 [2]) and a factual section that alleges "facts of an evidentiary character supporting or tending to support the charges" (CPL 100.15 [3]). The factual part of a complaint must establish "reasonable cause" to believe that the defendant committed the charged offense (*see* CPL 100.40 [4] [b]).

[1] A misdemeanor complaint, however, may not serve as the basis for a prosecution unless the accused expressly waives the right to be prosecuted by a misdemeanor information (*see* CPL 100.10 [4]; 170.65 [1], [3]). Thus, in the absence of such consent, the sufficiency of the accusatory instrument—even if it was intended to be a complaint—must be evaluated under the standards that apply to an information (*see People v Weinberg*, 34 NY2d 429, 431 [1974]). In this case, even if the People intended to prosecute defendant using a misdemeanor complaint, the accusatory instrument must be treated as an information for the purpose of assessing its jurisdictional sufficiency because defendant was not informed of his right to be prosecuted on an information and did not waive that protection (*see id.*).

In addition to the reasonable cause requirement, an information must also set forth "nonhearsay allegations which, if true, establish every element of the offense charged and the defendant's commission thereof" (*People v Henderson*, 92 NY2d 677, 679 [1999]; *see* CPL 100.40 [1] [c]). This is referred to as the "prima facie case requirement" (*People v Jones*, 9 NY3d 259, 262 [2007]).[1] An information that does not satisfy this standard by failing to allege a complete element of the charged offense is jurisdictionally defective and may be challenged on appeal even though a defendant never raised the alleged insufficiency prior to entering a guilty plea (*see e.g. People v Jones*, 9 NY3d at 262; *People v Casey*, 95 NY2d 354, 364 [2000]; *People v Alejandro*, 70 NY2d at 136).[2] Standing alone, a conclusory statement that a substance seized from a defendant was a particular type of controlled substance does not meet the reasonable cause requirement (*see People v Dumas*, 68 NY2d 729, 731 [1986]). Rather, the factual allegations must establish the basis of the arresting officer's belief that the substance seized was an illegal drug—for example, an officer may allege that the accused made a statement identifying the drug.

Here, defendant pleaded guilty to criminal possession of a controlled substance in the seventh degree, the elements of which are the knowing and unlawful possession of a controlled substance in the State of New York (*see* Penal Law § 220.03). In the accusatory instrument, the officer asserted that his "experience as a police officer as well as [his] training in the identification and packaging of controlled substances and marijuana" provided the foundation for his conclusion that he had discovered marijuana and heroin in the vehicle. The Appellate Term, however, believed that under *Jahron S.*, an allegation of this nature is insufficient to establish a prima facie case of drug possession for purposes of an information (as opposed to the complaint that was at issue in *Dumas*).

The primary issues we considered in *Jahron S.* were whether the sufficiency of a juvenile delinquency petition was subject to the same legal standards as a misdemeanor information, whether the factual allegations of a juvenile delinquency

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1. This additional showing is required because, unlike a felony complaint, a misdemeanor information "is not followed by a preliminary hearing and a Grand Jury proceeding" and, consequently, there is no pretrial proceeding at which the People are required to "present actual evidence demonstrating a prima facie case, as with an indictment following a felony complaint" (*People v Alejandro*, 70 NY2d at 138).

2. In contrast, a "hearsay defect in an accusatory instrument is nonjurisdictional and, thus, forfeited by a guilty plea" (*People v Keizer*, 100 NY2d 114, 121 [2003]).

petition can be supplemented by a supporting deposition and whether facts asserted after a petition is filed can be considered when assessing the sufficiency of the petition. After an analysis that resulted in the first two questions being answered in the affirmative and the third being answered in the negative, it was then necessary for us to consider whether the petition was, in fact, sufficient.

The police officer in *Jahron S.* submitted a juvenile delinquency petition accompanied by a supporting deposition that stated

> ''he had observed [the] appellant in possession of 33 vials of cocaine in crack form, and that 'based upon [his] training and experience as a police officer assigned to a special narcotics unit with respect to the appearance, handling and packaging of narcotics and other controlled substances,' he believed the substance to be crack cocaine'' (79 NY2d at 634).

In reviewing the sufficiency of the petition, we rejected the accused's argument that a laboratory report is required to establish a prima facie case of drug possession (*see id.* at 640). This Court also held, in a perfunctory fashion, that the officer's reliance on his experience and training was insufficient to satisfy the prima facie standard (*see id.*). We now revisit this issue.

A ''prima facie case requirement is not the same as the burden of proof beyond a reasonable doubt required at trial'' (*People v Henderson*, 92 NY2d at 680), nor does it rise to the level of legally sufficient evidence that is necessary to survive a motion to dismiss based on the proof presented at trial (*see* Preiser, Practice Commentaries, McKinney's Cons Laws of NY, Book 11A, CPL 100.40, at 388 [2004 ed]). In the years since *Jahron S.* was decided, we have explained that '' '[s]o long as the factual allegations of an information give an accused notice sufficient to prepare a defense and are adequately detailed to prevent a defendant from being tried twice for the same offense, they should be given a fair and not overly restrictive or technical reading' '' (*People v Konieczny*, 2 NY3d 569, 575 [2004], quoting *People v Casey*, 95 NY2d at 360).

[2] These core concerns were clearly satisfied in this case. Defendant was on notice that: (1) he was charged with possessing heroin and marijuana discovered in the car in which he was a backseat passenger at approximately 10:50 P.M. on January 21, 2006 at the corner of Cypress and Myrtle Avenues in Queens;

(2) the heroin was contained in nine separate plastic bags in the center console of the vehicle; and (3) the marijuana was found in a ''plastic zip lock bag'' inside the center console and a ''marijuana pipe containing a quantity of marijuana'' was found in the glove compartment. Based on these details, defendant could prepare a defense (e.g., he could attempt to demonstrate an actual lack of knowledge that the drugs were in the car to rebut the statutory presumption in Penal Law § 220.25 [1]). These facts were also specific enough to allow defendant to invoke the protection of double jeopardy in the event that he was acquitted of these charges but later subject to further prosecution. And, accepting the officer's statements as true, the assertions were enough to inform defendant that the substances seized were heroin and marijuana—the officer had been trained to identify those drugs and their packaging, he had experience with narcotics as a law enforcement officer and his observations of the substances, along with the presence of drug paraphernalia, supplied the basis upon which he drew the conclusion that he had discovered heroin and marijuana.

Defendant claims that the officer's allegations present an inadequate foundation for identification of the drugs because the officer did not describe what the substances looked like, nor did he attach a laboratory report indicating that the substances had been tested and found to be heroin and marijuana. We have already rejected the notion that a laboratory report is necessary to set forth a prima facie case and we unanimously adhere to that holding today. And, as detailed previously, the officer in this case presented more in the accusatory instrument than merely stating that he used his experience and training as the foundation in drawing the conclusion that he had discovered illegal drugs. He asserted that he also relied on the packaging of the substance that he determined to be heroin and that the recovery of a marijuana pipe further supported his belief that he had found marijuana.

[3] In our view, the pleading standards of the Criminal Procedure Law would be extended beyond what the Legislature intended if we were to require the recitation of a mandatory catechism in an information that otherwise adequately identifies the particular drug, alleges that the accused possessed that illegal substance, states the officer's familiarity with and training regarding the identification of the drug, provides some information as to why the officer concluded that the substance was a particular type of illegal drug, and supplies sufficient notice of the charged crime to satisfy the demands of due process and double jeopardy. To the extent *Jahron S.* suggests otherwise, we are modifying that portion of the holding.

Requiring police officers to supply a few additional words describing the appearance of the substance seized would necessitate the adoption of a formulaic recitation. An information charging possession of cocaine, for example, could state that the substance was ''white in color'' and ''powdery,'' or ''off-white'' and ''rock-like'' in appearance, whereas a charge of marijuana possession could be supported by a statement that the substance was ''green and leafy.'' While it may be the safer practice for law enforcement to routinely use these descriptive phrases, unlike our dissenting colleagues, we would not hold that the absence of such phraseology rendered the information in this case jurisdictionally deficient.

We also note that the facts alleged here can be contrasted with the omission that was fatal to the accusatory instrument in *People v Alejandro* (70 NY2d 133 [1987]). The information in that case was defective because there was a failure to plead an entire element of resisting arrest, ''that the defendant had resisted an 'authorized' arrest'' (*People v Casey*, 95 NY2d at 362 [emphasis omitted], quoting Penal Law § 205.30). Similarly, the information in *People v Jones* (9 NY3d 259 [2007]) was insufficient because it failed to allege an essential element of disorderly conduct—how the defendant had the intent to or recklessly created a risk of causing public annoyance, alarm or inconvenience (*see id.* at 262). The information here, in comparison, adequately stated that the substances seized were heroin and marijuana, and the police officer provided an adequate basis for that conclusion. Since the accusatory instrument sufficiently pleaded each element of the charged crimes, it was not jurisdictionally defective. Consequently, defendant's challenge to the information was forfeited by operation of law upon his entering a guilty plea (*see People v Keizer*, 100 NY2d at 123) and his conviction of criminal possession of a controlled substance in the seventh degree should be reinstated.

Accordingly, the order of the Appellate Term should be reversed and the judgment of Criminal Court reinstated.

CIPARICK, J. (dissenting). Because this case is governed by our holding in *Matter of Jahron S.* (79 NY2d 632 [1992]), I disagree with the majority's position that the charging instrument used here was sufficient to meet the prima facie case requirement of an information in a misdemeanor narcotics possession case.

An information is required to give a defendant sufficient notice of the charged crimes for the purpose of preparing a defense and opposing a subsequent prosecution on double jeopardy grounds (*see People v Casey*, 95 NY2d 354, 360 [2000]). It must also contain nonhearsay allegations establishing every element of the offenses charged (*see* CPL 100.40 [1] [c]). We have held that a failure to establish a prima facie case is a jurisdictional defect (*see People v Alejandro*, 70 NY2d 133, 138 [1987]; *People v Jones*, 9 NY3d 259, 262 [2007]) and cannot be forfeited by a plea of guilty. Unless the defendant waives the right to be prosecuted by information and agrees to be charged by a misdemeanor complaint, we evaluate the sufficiency of the charging instrument under the prima facie case standard of an information (*see* CPL 100.10 [4]; 170.65 [1]-[3]; *People v Weinberg*, 34 NY2d 429, 431 [1974]).

In *Jahron S.*, we held that an allegation by an officer identifying a substance as cocaine based upon his training and experience ''as a police officer assigned to a special narcotics unit with respect to the appearance, handling and packaging of narcotics and other controlled substances'' was insufficient to establish the prima facie element of the existence of a controlled substance (79 NY2d at 634, 637).[1] The charging instrument in *Jahron S.* alleged that a juvenile possessed 33 vials of cocaine in crack form (*see id.* at 634). We declined to require the filing of a laboratory report as ''always necessary'' to establishing a prima facie case because, we noted, in some circumstances a deposition providing the ''personal knowledge'' and ''expertness'' of the officer might meet the prima facie standard for a case involving possession of a controlled substance (*see id.* at 640).

Here, the charging instrument—a misdemeanor complaint—alleges that defendant, who was seated in a rear passenger seat of a car, and two others seated in the front, collectively possessed heroin and marijuana. The officer allegedly recovered nine plastic bags containing heroin and one plastic ziplock bag containing a quantity of marijuana from the center console of the vehicle and a pipe containing a quantity of marijuana from the glove compartment. The instrument states that the substances were heroin and marijuana based solely upon the officer's ''experience as a police officer as well as

1. The charging instrument in *Jahron S.* was a Family Court petition; however, we made clear that both Family Court petitions and local criminal court informations must meet the same prima facie standard (*see* 79 NY2d at 639).

training in the identification and packaging of controlled substances and marijuana''—in purely conclusory language and stating no further details. Neither was a laboratory report nor a field test filed along with the misdemeanor complaint. Defendant pleaded guilty to the heroin charge, criminal possession of a controlled substance in the seventh degree (Penal Law § 220.03),[2] without Criminal Court first obtaining a waiver of the right to be prosecuted by information.

Since the same prima facie standard applies to both Family Court petitions and criminal court informations, there is simply no reason why the result in *Jahron S.* should not be controlling here. In each case, the petition or the information serves as the sole instrument of prosecution and, in both, the allegations must be sufficient to establish a prima facie case. Here, defendant pleaded guilty to the highest count of the misdemeanor complaint without waiving the right to be prosecuted by information. The misdemeanor complaint must thus be evaluated under the standard applicable to an information. Applying this higher standard requires that the information on its face establish a prima facie case. This requirement has been long settled and has been consistently applied without a problem for decades (*see e.g. Jones*, 9 NY3d at 261-262; *Casey*, 95 NY2d at 365-367; *Alejandro*, 70 NY2d at 136-137; *see also People v Dumas*, 68 NY2d 729, 731 [1986]).

By holding that the charging instrument here is sufficient to allow a defendant to plead thereunder, and in effect overruling *Jahron S.*, the majority brushes aside the protections that must be afforded to misdemeanor defendants to ensure that such prosecutions do not become routinized or treated as insignificant or unimportant. No undue burden will fall upon the People if they are required to expand the description of the drugs and packaging or provide specific information as to an officer's training and experience. Nor will the trial courts be unduly burdened by requiring that a defendant specifically waive prosecution by information, thus avoiding the stricter jurisdictional defect standard.

Thus, I conclude that the charging instrument here is insufficient to establish a prima facie case and the order of the Appellate Term reversing the Criminal Court conviction should be affirmed.

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2. The complaint likewise charged defendant with the offense of marijuana possession—a violation.

Judges READ, SMITH and PIGOTT concur with Judge GRAFFEO; Judge CIPARICK dissents and votes to affirm in a separate opinion in which Chief Judge LIPPMAN and Judge JONES concur.

Order reversed, etc.

[906 NE2d 1049, 879 NYS2d 17]

KERUSA CO. LLC, Respondent, v W10Z/515 REAL ESTATE LIMITED PARTNERSHIP et al., Appellants.

Argued February 12, 2009; decided April 2, 2009

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered October 16, 2007. The Appellate Division order, insofar as appealed from, modified, on the law and the facts, an order of the Supreme Court, New York County (Jane S. Solomon, J.; op 10 Misc 3d 929), which had denied plaintiff Kerusa Co. LLC's motion for leave to serve a second amended complaint. The modification consisted of permitting plaintiff to assert claims for common-law fraud and gross negligence against defendant W10Z/515 Real Estate Limited Partnership. The following question was certified by the Appellate Division: "Was the order of this Court, which modified the order of the Supreme Court[,] properly made?"

Kramer v W10Z/515 Real Estate Ltd. Partnership, 44 AD3d 457, reversed.

HEADNOTE

Fraud — Martin Act — No Private Right of Action for Common-Law Fraud against Condominium Sponsor

The purchaser of a condominium apartment who alleged construction and design defects in the building had no claim for common-law fraud against the building's sponsor predicated solely on alleged material omissions from the offering plan amendments mandated by the Martin Act (General Business Law art 23-A) and the Attorney General's implementing regulations (13 NYCRR part 20). The Martin Act, which authorizes the Attorney General to investigate and enjoin fraudulent practices in the marketing of securities, makes it illegal to make or take part in a public offering of securities consisting of participation interests in real estate unless an offering statement is filed with the Attorney General. The Attorney General bears sole responsibility for implementing and enforcing the Martin Act. There is no private right of action under the statute. Plaintiff's fraud cause of action relied entirely on alleged omissions from filings required by the Martin Act and the Attorney General's implementing regulations. That plaintiff alleged the elements of common-law fraud did not transmute a prohibited private cause of action to enforce Martin Act disclosure requirements into an independent common-law tort.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Condominiums and Cooperative Apartments § 21.

McKinney's, General Business Law art 23–A.
13 NYCRR part 20.
NY Jur 2d, Condominiums and Cooperative Apartments §§ 22–24, 73.
New York Real Property Service § 56:18.

ANNOTATION REFERENCE

See ALR Index under Condominiums and Cooperative Apartments; Fraud and Deceit.

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POINTS OF COUNSEL

Landman Corsi Ballaine & Ford P.C., New York City (*William G. Ballaine, James E. Davies* and *Jennifer A. Coughlin* of counsel), for appellants. Plaintiff-respondent's cause of action for common-law fraud is barred because of the Martin Act's statutory scheme and the Attorney General's exclusive authority over enforcement of the offering plan's disclosures. (*Kralik v 239 E. 79th St. Owners Corp.,* 5 NY3d 54; *Vermeer Owners v Guterman,* 78 NY2d 1114; *CPC Intl. v McKesson Corp.,* 70 NY2d 268; *511 W. 232nd Owners Corp. v Jennifer Realty Co.,* 285 AD2d 244, 98 NY2d 144; *State of New York v Metz,* 241 AD2d 192; *People v World Interactive Gaming Corp.,* 185 Misc 2d 852; *State of New York v 7040 Colonial Rd. Assoc. Co.,* 176 Misc 2d 367; *State of New York v First Invs. Corp.,* 156 Misc 2d 209; *State of New York v Manhattan View Dev.,* 191 AD2d 259; *Whitehall Tenants Corp. v Estate of Olnick,* 213 AD2d 200.)

Gibson, Dunn & Crutcher LLP, New York City (*Robert L. Weigel, Jennifer H. Rearden, Alison L. Wollin* and *Anne M. Coyle* of counsel), for respondent. I. The Appellate Division's October 2007 order is consistent with settled Court of Appeals precedent. (*CPC Intl. v McKesson Corp.,* 70 NY2d 268; *Vermeer Owners v Guterman,* 78 NY2d 1114; *Kralik v 239 E. 79th St. Owners Corp.,* 5 NY3d 54.) II. The Martin Act is designed to protect consumers, not real estate developers. (*Matter of Badem Bldgs. v Abrams,* 70 NY2d 45; *State of New York v Fine,* 72 NY2d 967; *Matter of Charles H. Greenthal & Co. v Lefkowitz,* 32 NY2d 457; *Burns Jackson Miller Summit & Spitzer v Lindner,* 59 NY2d 314; *Transit Commn. v Long*

Is. R.R. Co., 253 NY 345; *511 W. 232nd Owners Corp. v Jennifer Realty Co.,* 98 NY2d 144.) III. The October 2007 order is consistent with the decisions of other departments of the Appellate Division that have considered this issue as well as with those of other courts. (*Residential Bd. of Mgrs. of Zeckendorf Towers v Union Sq.-14th St. Assoc.,* 190 AD2d 636; *17 E. 80th Realty Corp. v 68th Assoc.,* 173 AD2d 245; *1113 8th Ave. Owners Corp. v Rivieccio,* 165 AD2d 714; *Horn v 440 E. 57th Co.,* 151 AD2d 112; *Whitehall Tenants Corp. v Estate of Olnick,* 213 AD2d 200; *Caboara v Babylon Cove Dev., LLC,* 54 AD3d 79; *Keh Hsin Shen v Astoria Fed. Sav. & Loan,* 295 AD2d 319; *Scalp & Blade v Advest, Inc.,* 281 AD2d 882; *Breakwaters Townhomes Assn. of Buffalo v Breakwaters of Buffalo,* 207 AD2d 963; *Marcus v Frome,* 329 F Supp 2d 464.) IV. Kerusa Co. LLC has adequately pleaded a claim for common-law fraud. (*Orbit Holding Corp. v Anthony Hotel Corp.,* 121 AD2d 311; *CPC Intl. v McKesson Corp.,* 70 NY2d 268; *Vermeer Owners v Guterman,* 78 NY2d 1114; *Whitehall Tenants Corp. v Estate of Olnick,* 213 AD2d 200; *Eagle Tenants Corp. v Fishbein,* 182 AD2d 610; *17 E. 80th Realty Corp. v 68th Assoc.,* 173 AD2d 245; *Haberman v Greenspan,* 82 Misc 2d 263; *Junius Constr. Corp. v Cohen,* 257 NY 393; *Tahini Invs. v Bobrowsky,* 99 AD2d 489; *Noved Realty Corp. v A. A. P. Co., Inc.,* 250 App Div 1.) V. Arthur and William Zeckendorf can be held liable for fraud as individuals. (*Birnbaum v Yonkers Contr. Co.,* 272 AD2d 355; *Zanani v Savad,* 217 AD2d 696; *Residential Bd. of Mgrs. of Zeckendorf Towers v Union Sq.-14th St. Assoc.,* 190 AD2d 636.)

Kramer Levin Naftalis & Frankel LLP, New York City (*Charlotte Moses Fischman* and *Jay A. Neveloff* of counsel), for Real Estate Board of New York, amicus curiae. The fraud claim is indistinguishable from a Martin Act violation and fails the common-law standard. (*CPC Intl. v McKesson Corp.,* 70 NY2d 268; *Vermeer Owners v Guterman,* 78 NY2d 1114; *Board of Managers of Fairways at N. Hills Condominium v Fairways at N. Hills,* 150 AD2d 32; *Kralik v 239 E. 79th St. Owners Corp.,* 5 NY3d 54; *Rego Park Gardens Owners v Rego Park Gardens Assoc.,* 191 AD2d 621; *Whitehall Tenants Corp. v Estate of Olnick,* 213 AD2d 200; *15 E. 11th Apt. Corp. v Elghanayan,* 220 AD2d 295; *Thompson v Parkchester Apts. Co.,* 249 AD2d 68; *167 Hous. Corp. v 167 Partnership,* 252 AD2d 397; *Thompson v Parkchester Apts. Co.,* 271 AD2d 311.)

OPINION OF THE COURT

READ, J.

This appeal involves a lawsuit seeking damages for common-law fraud as a result of alleged construction and design defects in a 42-story, 39-unit luxury condominium building located at the corner of Park Avenue and 60th Street in New York City, having 515 Park Avenue as its address. For the reasons that follow, we hold that a purchaser of a condominium apartment may not bring a claim for common-law fraud against the building's sponsor when the fraud is predicated solely on alleged material omissions from the offering plan amendments mandated by the Martin Act (General Business Law art 23-A) and the Attorney General's implementing regulations (13 NYCRR part 20).

I.

On August 24, 1999, plaintiff Kerusa Co. LLC[1] executed a purchase agreement for the penthouse apartment, a suite on a lower floor, two storage units, and a wine cellar in the building at 515 Park Avenue. The purchase price was $13.3 million. The closings on the apartment and the other units took place in March and December 2000 respectively. Kerusa purchased the penthouse unit as raw space—without, for example, drywall, studding and insulation, except at exterior walls; plumbing fixtures and branch piping; appliances; or electrical distribution (electrical service was terminated at the panel box)—and spent $8 million building it out.

On May 22, 2003, Kerusa filed suit against those sponsoring, designing, constructing, marketing and selling units in the building, alleging causes of action for fraud, breach of contract and negligence among others. Kerusa complained generally that various construction and design defects caused significant water damage to the building and led to substantial water leaks, systems failures, widespread condensation and levels of mold posing serious health risks. As a result, Kerusa claimed to have "suffered a substantial, if not total, loss in the value of [its] investment."

After Kerusa filed a first amended complaint, Supreme Court on October 7, 2004 dismissed the cause of action for fraud because the allegations lacked particularity (*see* CPLR 3013, 3016 [b]; *Channel Master Corp. v Aluminium Ltd. Sales*, 4 NY2d

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1. Kerusa, a limited liability company, is a wholly-owned subsidiary of Garuda S.A., which is majority owned by French businessman Francois Pinault.

403, 406-407 [1958]; *Barclay Arms v Barclay Arms Assoc.*, 74 NY2d 644, 646-647 [1989]). Accordingly, on May 13, 2005, Kerusa moved for permission to file a second amended complaint, which asserted a claim against W10Z/515 Real Estate, L.P. (the condominium building sponsor); Arthur W. and William Lie Zeckendorf (two principals of the sponsor); 515/ZGP, LLC (the sponsor's managing general partner); W10Z/515 Gen-Par, LLC (the sponsor's general manager); and Zeckendorf Realty, L.P. (the sponsor's selling agent) (collectively, the sponsor defendants) for ''fraudulent inducement to sign and fraud and fraudulent concealment in connection with purchase agreements and closing of purchase of units.''

The purported fraud stemmed from supposedly false and fraudulent representations and material omissions in the sponsor defendants' sales brochures and advertisements; and construction and design defects or problems alleged to have been known to the sponsor defendants but not disclosed in the offering plan amendments filed as construction progressed. On the latter point, while alleging no specific misrepresentations, Kerusa protested that the sponsor repeated in each amendment that ''[e]xcept as set forth in this Amendment, there have been no material changes of facts or circumstances affecting the Property or the offering'' (*see* 13 NYCRR 20.5 [a] [2]). According to Kerusa, this statement concealed and omitted various construction and design defects and problems encountered during construction but either ignored or inadequately remedied, as evidenced by minutes of weekly meetings to review construction status, field reports and change orders.

Kerusa further alleged that the sponsor defendants knew that ''these statements and representations were false'' and ''omissions . . . were material''; that ''[t]hese misrepresentations and omissions'' were made and ''the defects were concealed'' to induce Kerusa to purchase and close on units in the building; and that Kerusa believed the sponsor's ''statements and representations to be true and reasonably relied on them in deciding to'' make its purchases. It is clear that the complained-of ''representations'' and ''misrepresentations'' in the amendments were simply representations that nothing material had been omitted. The allegedly undisclosed and concealed defects included holes in the building's concrete structure; an ongoing ''water condition'' in the cellars and elevator pits; inadequately insulated pipes that froze; and flooding during construction in November 1999 and January 2000, which caused water damage in the building. Finally, in the proposed second amended complaint, Kerusa also pleaded a new cause of action against the sponsor defendants for gross negligence.

By order entered December 8, 2005, Supreme Court denied Kerusa's motion. "With respect to allegedly false statements in brochures and advertisements," the court concluded that "Kerusa fail[ed] to plead the element of falsity with particularity" (*Kerusa Co. LLC v W10Z/515 Real Estate, L.P.*, 10 Misc 3d 929, 935 [Sup Ct, NY County 2005]). In addition, "[s]ome of these statements [were] sales puffery . . . and Kersua [did] not set forth in what manner the remaining statements [were] false" (*id.*).

While stating that Kerusa had cured the pleading deficiencies as to the alleged fraud of the offering plan amendments, Supreme Court held that the Martin Act ruled out this claim (*id.* at 935-936). The court reasoned that Kerusa's theory of fraud was "too intertwined with the disclosure obligations of the Martin Act" (*id.* at 936); and, if allowed to go forward, would "enlarge disclosure beyond that required under the Martin Act, and intrude upon the purview of the Attorney General" (*id.* at 931) as well as "significantly expand a sponsor's disclosure obligations and burdens" (*id.* at 936). As for gross negligence, Supreme Court opined that there were "no allegations of [a] duty of care owed to Kerusa by the sponsor defendants (other than the sponsor itself) that, in its breach, caused the alleged harm" (*id.* at 935). Kerusa appealed.

On October 16, 2007, the Appellate Division modified Supreme Court's decision and order so as to permit Kerusa to replead common-law fraud against the sponsor defendants and assert the proposed claim for gross negligence against the sponsor. With respect to Kerusa's cause of action for fraud related to the offering plan amendments,[2] the court stated generally that the Martin Act "does not preclude a private party from prosecuting an otherwise valid common-law fraud claim in connection with the sale of securities whenever the alleged fraudulent conduct is such that the Attorney General would be authorized to bring an action against the defendant under the Martin Act" (*Kramer v W10Z/515 Real Estate Ltd. Partnership*, 44 AD3d

2. On appeal, Kerusa did not contest Supreme Court's adverse ruling regarding its proposed fraud claim for allegedly false statements in brochures and advertisements.

457, 458 [1st Dept 2007]).[3] In essence, the Appellate Division seems to have been of the view that a private party may bring an action for fraud grounded solely in alleged omissions from Martin Act disclosures so long as the elements of common-law fraud (a false representation—here, that there were no omissions; in relation to a material fact; scienter; reliance; and injury) are pleaded with particularity. Finally, the court rejected the sponsor defendants' objection that Kerusa had not alleged active concealment as simply ''without merit'' (*id.* at 460).

While this appeal was pending in the Appellate Division, Supreme Court granted sponsor defendants' motion for summary judgment to dismiss the remaining causes of action in Kerusa's first amended complaint. After the Appellate Division's decision, however, the parties stipulated to reopen the action to allow Kerusa to make its common-law fraud and gross negligence claims against the sponsor defendants.[4]

Meanwhile, the sponsor defendants filed a motion for reargument or, alternatively, for permission to appeal so much of the Appellate Division's order as allowed Kerusa to amend its first amended complaint to replead common-law fraud. On April 24, 2008, the Appellate Division entered an order denying reargument, but granting the motion for leave to appeal and certifying the following question to us: ''Was the order of [the Appellate Division], which modified the order of the Supreme Court[,] properly made?''

On April 24, 2008, the Appellate Division also upheld Supreme Court's order dismissing Kerusa's remaining causes of action (*Kerusa Co. LLC v W10Z/515 Real Estate Ltd. Partnership*, 50 AD3d 503 [1st Dept 2008]). The court concluded that Kerusa had not shown any evidence of mold or other damage to its condominium units, or any other injury for which it would be entitled to hold the sponsor defendants liable for breach of contract or negligence (*id.* at 504).

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3. The Kramer lawsuit, initially part of this appeal, was settled in September 2008. In addition, an action brought in 2002 by the building's board of managers against the sponsor defendants and others was settled, after negotiations begun under the aegis of the Attorney General, in January 2006. The board sued on its own behalf and on behalf of individual unit owners in the building. In common with this action, both these lawsuits sought damages for purported design and construction defects at 515 Park Avenue.

4. Sponsor defendants have moved in Supreme Court to dismiss the gross negligence claim, and that motion, as of the filing of the briefs in this Court, was still pending.

II.

The Martin Act authorizes the Attorney General to investigate and enjoin fraudulent practices in the marketing of stocks, bonds and other securities within or from New York State (*see* General Business Law §§ 352, 353). At the time of its enactment in 1921, ''no one realized'' that the statute would eventually ''come to embrace a then-unknown species of investment activity''; namely, ''the offer and sale of cooperative apartments ('coops') and condominiums'' (*see* Kaufmann, Introduction and Commentary Overview, McKinney's Cons Laws of NY, Book 19, General Business Law art 23-A, at 9). In 1960, however, the Legislature ''was asked to choose a legislative approach for the protection of purchasers in offerings of cooperative and condominium units. The choice was incorporated into the state's blue sky law (the Martin Act) and was a disclosure approach—full disclosure of risks and unit purchasers' self-protection by analysis of risks'' (Di Lorenzo, *Disclosure as Consumer Protection: Unit Purchasers' Need for Additional Protections*, 73 St John's L Rev 43, 45-46 [1999] [suggesting that New York should enact certain substantive protections to supplement disclosure]; *see also* L 1960, ch 987, codified at General Business Law § 352-e; *Council for Owner Occupied Hous. v Abrams*, 72 NY2d 553, 557 [1988] [section 352-e is ''a disclosure statute, designed to protect the public from fraudulent exploitation in the sale of real estate securities'']).

The Martin Act makes it illegal for a person to make or take part in a public offering of securities consisting of participation interests in real estate unless an offering statement is filed with the Attorney General (General Business Law § 352-e [1] [a]); details the numerous items of information that an offering statement must include, and also requires disclosure of ''such additional information as the attorney general may prescribe in rules and regulations promulgated under [General Business Law § 352-e (6)] as will afford potential . . . purchasers . . . an adequate basis upon which to found their judgment and shall not omit any material fact or contain any untrue statement of a material fact'' (General Business Law § 352-e [1] [b]); directs the Attorney General to issue within a specified time period either a letter stating that the offering statement has been filed or written notification of the deficiencies in it (General Business Law § 352-e [2]); authorizes the Attorney General to adopt rules and regulations to carry out the provisions of section 352-e, ''including regulations for the method, contents and filing procedures with respect to the statements required by [General Business Law § 352-e (1)] and the making of amendments thereto'' (General Business Law § 352-e [6] [a]); and makes all filings available for inspection by a purchaser (General Business Law § 352-e [9]).

The disclosure regulations adopted by the Attorney General pursuant to General Business Law § 352-e (6) to cover newly constructed condominiums—such as 515 Park Avenue—fill more than 60 pages in the NYCRR (*see* 13 NYCRR part 20). They detail the format and content of offering plans and filings, including the word-for-word representation that must be made in the certification to be sworn to by the sponsor and the sponsor's principals in the offering plan (13 NYCRR 20.4 [b]); and the requirements for offering plan amendments, including the direction that ''[a]n amendment must include a representation that all material changes of facts or circumstances affecting the property or the offering are included unless the changes were described in prior amendment(s) submitted to but not yet filed with the Department of Law'' (13 NYCRR 20.5 [a] [2]).

The Martin Act authorizes the Attorney General to enforce its provisions and implementing regulations (*see* General Business Law §§ 352, 352-c, 353, 354); he may seek restitution and damages for injured parties (General Business Law § 353; *State of New York v Metz*, 241 AD2d 192, 195 [1st Dept 1998]). Indeed, ''[t]he Attorney General bears sole responsibility for implementing and enforcing the Martin Act'' (*Kralik v 239 E. 79th St. Owners Corp.*, 5 NY3d 54, 58 [2005]); there is no private right of action under the statute (*CPC Intl. v McKesson Corp.*, 70 NY2d 268, 276-277 [1987]). This serves the Martin Act's purpose, which was

> ''to create a statutory mechanism in which the Attorney-General would have broad regulatory and remedial powers to prevent fraudulent securities practices by investigating and intervening at the first indication of possible securities fraud on the public and, thereafter, if appropriate, to commence civil or criminal prosecution; and that consistency of purpose with the statute includes consistency with this enforcement mechanism'' (*id.* at 277).

By requiring a broad class of sellers of real estate to make disclosures to buyers, the Martin Act dramatically altered the common-law rule. Prior to enactment of article 23-A,

> "New York adhere[d] to the doctrine of caveat emptor and impose[d] no duty on the seller or the seller's agent to disclose any information concerning the premises when the parties deal[t] at arm's length, unless there [was] some conduct on the part of the seller or the seller's agent . . . constitut[ing] active concealment. If however, some conduct (i.e., more than mere silence) on the part of the seller [rose] to the level of active concealment, a seller [might] have a duty to disclose information concerning the property. To maintain a cause of action to recover damages for active concealment, the plaintiff [would have to] show, in effect, that the seller or the seller's agents thwarted the plaintiff's efforts to fulfill . . . responsibilities fixed by the doctrine of caveat emptor" (*Jablonski v Rapalje*, 14 AD3d 484, 485 [2d Dept 2005] [internal quotation marks and citations omitted]; *see also* 37 Am Jur 2d, Fraud and Deceit § 203).

The question on this appeal is whether Kerusa has any common-law claim for fraud, as distinct from a claim under the Martin Act, which only the Attorney General may bring. We conclude that Kerusa has no such claim.

Kerusa alleges in its proposed second amended complaint that the sponsor defendants did not disclose various construction and design defects in the offering plan amendments, and represented therein that there were no "material changes of facts or circumstances affecting the property or the offering" (*see* 13 NYCRR 20.5 [a] [2]) when, in fact, problems arising during construction alerted them to the existence of major defects, which they either ignored or inadequately remedied. But for the Martin Act and the Attorney General's implementing regulations, however, the sponsor defendants did not have to make the disclosures in the amendments. Thus, to accept Kerusa's pleading as valid would invite a backdoor private cause of action to enforce the Martin Act in contradiction to our holding in *CPC Intl.* that no private right to enforce that statute exists. It would, as amicus Real Estate Board of New York points out, "expand the already detailed disclosure requirements of the Martin Act by forcing parties to disclose the normal kinds of problems [encountered] in the course of construction that are described in field reports, project meetings and change orders" in order to avoid transforming every potential latent construction defect case into a claim for common-law fraud on account of alleged omissions in Martin Act disclosures.

Similarly, Kerusa's claim of fraudulent concealment rests on the theory that the sponsor defendants actively concealed fraud by repeatedly representing in plan amendments that there were no material changes of facts or circumstances, bolstered by the occasional inclusion of only ''minor changes'' such as ''a change in the model of dishwashers installed''—devices which Kerusa says ''thwarted . . . efforts to fulfill . . . responsibilities fixed by the doctrine of caveat emptor'' (*Jablonski*, 14 AD3d at 485). Again, Kerusa relies on purported omissions from disclosures required by the Martin Act and the Attorney General's implementing regulations—specifically, 13 NYCRR 20.5 (a) (2)—to make out its case. Although Kerusa somewhat deemphasized section 20.5 (a) (2) in its brief in our Court, the proposed second amended complaint at most alleges only that the sponsor defendants tolerated shoddy construction; Kerusa does not contend, for example, that drywall was painted over or taped over to cover up or prevent discovery of water damage; Kerusa does not allege that walls or bricks were put up to hide or prevent it from finding leaking pipes or holes in the foundation. Nothing in the proposed second amended complaint supports active concealment unrelated to alleged omissions from Martin Act disclosures.

Finally, our decisions in *CPC Intl.* and *Vermeer Owners v Guterman* (78 NY2d 1114 [1991]) do not support Kerusa. The lawsuit in *CPC Intl.* arose from McKesson's sale of the stock of its wholly-owned subsidiary, C.F. Mueller Corporation, a leading producer of pasta, to CPC. The ''crux'' of CPC's complaint was that McKesson, its investment bankers, and certain former McKesson and Mueller employees ''deliberately and fraudulently prepared false projections of revenues, operating expenses and profits of Mueller and intentionally withheld other accurate projections for the purpose of selling Mueller for more than it was worth'' (*CPC Intl.*, 70 NY2d at 274). We concluded that CPC had sufficiently pleaded common-law fraud because, given its most favorable intendment, the complaint described a scheme to defraud CPC. Unlike this case, *CPC Intl.* did not turn on alleged nondisclosure of information required by the Attorney General's Martin Act regulations. In *Vermeer Owners*, we affirmed the Appellate Division's dismissal of a lawsuit arising out of a real estate syndicate offering. Nothing in our writing suggests that the defendants in *Vermeer Owners* made the argument advanced by the sponsor defendants in this case. Certainly, we did not address this issue, or need to do so in light of the plaintiff's neglect to prove reliance.

In sum, Kerusa's remaining cause of action for fraud relies entirely on alleged omissions from filings required by the Martin Act and the Attorney General's implementing regulations.[5] That Kerusa alleged the elements of common-law fraud does not transmute a prohibited private cause of action to enforce Martin Act disclosure requirements into an independent common-law tort.

Accordingly, the Appellate Division's order, insofar as appealed from, should be reversed, with costs; that branch of plaintiff's motion that sought to amend the complaint to add a common-law cause of action for fraud should be denied; and the certified question should be answered in the negative.

Judges Ciparick, Graffeo, Smith, Pigott and Jones concur; Chief Judge Lippman taking no part.

Order, insofar as appealed from, reversed, etc.

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5. As a result, we need not and do not decide whether the alleged misrepresentation of an item of information that the Martin Act or the Attorney General's implementing regulations require to be disclosed would support a cause of action for fraud, so long as the elements of common-law fraud are pleaded.

[907 NE2d 276, 879 NYS2d 363]

GOLDEN GATE YACHT CLUB, Appellant, v SOCIÉTÉ NAUTIQUE DE GENÈVE, Respondent, and CLUB NÁUTICO ESPAÑOL DE VELA, Intervenor-Respondent.

Argued February 10, 2009; decided April 2, 2009

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered July 29, 2008. The Appellate Division, with two Justices dissenting, (1) reversed, on the law, (a) so much of an order of the Supreme Court, New York County (Herman Cahn, J.; op 2008 NY Slip Op 30782[U]), dated March 17, 2008, as had denied a motion by defendant Société Nautique de Genève for an order declaring the Notice of Challenge and Certificate by plaintiff to be in noncompliance with and invalid under the Deed of Gift, and (b) so much of an order of that court (op 2008 NY Slip Op 32296[U]), dated May 12, 2008, as had granted plaintiff's cross motion for summary judgment on its cause of action for breach of the America's Cup Deed of Gift, adjudged the challenge of intervenor-defendant Club Náutico Español de Vela (CNEV) invalid, and adjudged plaintiff's challenge valid and plaintiff to be the Challenger of Record; (2) declared CNEV to be the Challenger of Record; and (3) tolled the Defender's 10-month notice period until service of a copy of the Appellate Division's order.

Golden Gate Yacht Club v Société Nautique de Genève, 55 AD3d 26, reversed.

HEADNOTE

Sporting Events — Yachting — America's Cup — Qualification as Challenger of Record

The yacht club whose Notice of Challenge for the 33rd America's Cup was accepted by the Defender did not meet the eligibility criteria for a Challenger of Record, as it had not held at least one qualifying annual regatta before it submitted the Notice of Challenge. Pursuant to the trust instrument governing the competition, the Deed of Gift, a challenger must be an organized yacht club, not of the same country as the trustee yacht club, incorporated in its local jurisdiction or officially recognized either through a license or patent from its government, and "having for its annual regatta an ocean water course on the sea, or on an arm of the sea, or one which combines both." The settlor placed the requirements of "organized" and "incorporated, patented, or licensed" in the past and intended that a challenger would continue to meet these eligibility requirements in the present and future. The use of the word "annual" suggests an event that has already occurred at least once and will occur regularly in the future, and indicates that the settlor intended to link the annual regatta requirement to the other eligibility requirements in that the challenging yacht club must have had in the past, and will continue ''having'' in the future, an annual regatta on the sea.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Associations and Clubs §§ 17, 18.
NY JUR 2d, Associations and Clubs §§ 5–7.

ANNOTATION REFERENCE

See ALR Index under Associations and Clubs; Racing and Racetracks; Yacht Club; Yachts.

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Query: yacht /2 club /s eligibility /s challenge

POINTS OF COUNSEL

Latham & Watkins LLP, Washington, D.C., and New York City (*Maureen E. Mahoney* of the District of Columbia bar, admitted pro hac vice, *J. Scott Ballenger*, *Derek D. Smith, James V. Kearney* and *Aaron Siri* of counsel), for appellant. I. The Deed of Gift unambiguously requires a Challenger of Record to meet all conditions of eligibility at the time of its challenge. (*Mercury Bay Boating Club v San Diego Yacht Club,* 76 NY2d 256; *New York Life Ins. & Trust Co. v Hoyt,* 161 NY 1; *Matter of Fabbri,* 2 NY2d 236; *Eidt v Eidt,* 203 NY 325; *Howard v Ingersoll,* 13 How [54 US] 381; *Marconi Wireless Tel. Co. of Am. v National Elec. Signaling Co.,* 213 F 815; *People v Keyes,* 75 NY2d 343; *Matter of Heintz v Brown,* 80 NY2d 998; *Dole v Steelworkers,* 494 US 26; *Evans v Famous Music Corp.,* 1 NY3d 452.) II. Even if arguendo the Deed of Gift were deemed ambiguous, the relevant extrinsic evidence compels a reading that requires a Challenger of Record to meet all the conditions of eligibility at the time of its challenge. (*Evans v Famous Music Corp.,* 1 NY3d 452; *Matter of Flyer,* 23 NY2d 579; *Rice v Halsey,* 156 App Div 802, 215 NY 656; *Matter of Erwin,* 277 App Div 378; *Mercury Bay Boating Club v San Diego Yacht Club,* 150 AD2d 82, 76 NY2d 256; *Matter of SCM Corp. [Fisher Park Lane Co.],* 40 NY2d 788.) III. Golden Gate Yacht Club is the legitimate Challenger of Record. (*Levitz v Robbins Music Corp.,* 17 AD2d 801; *Mercury Bay Boating Club v San Diego Yacht Club,* 76 NY2d 256.)

Simpson Thacher & Bartlett LLP, New York City (*Barry R. Ostrager, Jonathan K. Youngwood, George S. Wang* and *Laura D. Murphy* of counsel), for respondent. I. Club Náutico Español de Vela is the valid Challenger of Record under the Deed of Gift. (*Uribe v Merchants Bank of N.Y.,* 91 NY2d 336; *Loblaw, Inc. v Employers' Liab. Assur. Corp.,* 57 NY2d 872; *Mercury Bay Boating Club v San Diego Yacht Club,* 76 NY2d 256; *Slatt v Slatt,* 64 NY2d 966; *Rodolitz v Neptune Paper Prods.*, 22 NY2d 383; *Morlee Sales Corp. v Manufacturers Trust Co.,* 9 NY2d 16; *Bethlehem Steel Co. v Turner Constr. Co.,* 2 NY2d 456; *Breed v Insurance Co. of N. Am.,* 46 NY2d 351; *Lawyers' Fund for Client Protection of State of N.Y. v Bank Leumi Trust Co. of N.Y.,* 94 NY2d 398; *Suffolk County Water Auth. v Village of Greenport,* 21 AD3d 947.) II. Golden Gate Yacht Club cannot force a match race by submitting an invalid Notice of Challenge and boat certificate. (*Mercury Bay Boating Club v San Diego Yacht Club,* 76 NY2d 256.)

Debevoise & Plimpton LLP, New York City (*David W. Rivkin, Jeremy Feigelson* and *Catherine M. Doll* of counsel), for intervenor-respondent. The Appellate Division correctly held that Club Náutico Español de Vela is a qualified Challenger of Record under the Deed of Gift. (*Mercury Bay Boating Club v San Diego Yacht Club,* 76 NY2d 256; *Popkin v Security Mut. Ins. Co. of N.Y.,* 48 AD2d 46; *Geigle v Flacke,* 768 F2d 259; *Washington Mut. Fin. Group, LLC v Bailey,* 364 F3d 260; *Shearson/American Express Inc. v McMahon,* 482 US 220; *Mitsubishi Motors Corp. v Soler Chrysler-Plymouth, Inc.,* 473 US 614.)

Carter Ledyard & Milburn LLP, New York City (*Jeffrey Boxer, Vincent Monte-Sano* and *Laura Anne Reeds* of counsel), for New York Yacht Club, amicus curiae. Club Náutico Español de Vela did not meet the qualifications in the Deed of Gift at the time of its challenge and is therefore ineligible to act as Challenger of Record.

Sheppard, Mullin, Richter & Hampton LLP, New York City (*Elizabeth M. Rotenberg-Schwartz* of counsel), for San Diego Yacht Club Sailing Foundation and another, amici curiae. In the interests of national and international sailing and its dedicated participants throughout the world, the appeal of Golden Gate Yacht Club must be granted and the decision of the Appellate Division must be reversed.

Troutman Sanders LLP, San Diego, California, and New York

City (*Roy Morrow Bell, Aurora Cassirer* and *Stephen G. Rinehart* of counsel), for William I. Koch, amicus curiae. The Appellate Division decision not only conflicts with the intent of the donors and the plain language of the Deed of Gift, but the practical result of its decision would forever change the America's Cup from a competitive and prestigious match between the most prominent members of the sailing community to an unfair and degrading race unjustly dominated by Société Nautique de Genève.

Menz Bonner & Komar LLP, New York City (*John R. Menz* and *Patrick D. Bonner, Jr.*, of counsel), for Team French Spirit and others, amici curiae. The trial court's erroneous interpretation of the Deed of Gift will seriously undermine competition for the America's Cup.

Menz Bonner & Komar LLP, New York City (*John R. Menz* and *Patrick D. Bonner, Jr.*, of counsel), for Deutscher Challenger Yacht Club and others, amici curiae. This Court should affirm the Appellate Division's order.

Friedman Kaplan Seiler & Adelman LLP, New York City (*Lance J. Gotko* of counsel), for Reale Yacht Club Canottieri Savoia and another, amici curiae. I. The manipulations of Société Nautique de Genève and its captive "challenger" violate the Deed of Gift's core mandate that the America's Cup be a *challenge* cup. II. Club Nautico Español de Vela was not qualified to be a Challenger of Record because it was not an "*organized* yacht club . . . , having for its *annual* regatta an ocean water course on the sea, or on an arm of the sea, or one which combines both." (*Bailey v Fish & Neave,* 8 NY3d 523; *Matter of Margolin,* 259 AD2d 396.)

Meiselman, Denlea, Packman, Carton & Eberz P.C., White Plains (*Christine M. Ford* of counsel), for City of Valencia, Spain, amicus curiae. The most desirable thing is that the 33rd America's Cup be held in the city with the greatest number of participants possible.

OPINION OF THE COURT

CIPARICK, J.

This appeal involves the preeminent international sailing regatta and match race, the America's Cup. We had occasion once before to examine the charitable trust that governs the competition. In *Mercury Bay Boating Club v San Diego Yacht*

Club (76 NY2d 256 [1990]), we strictly construed the provisions of the trust instrument, the Deed of Gift, to allow multihulled vessels to compete in the America's Cup race. Today, we are called upon to reexamine the Deed of Gift to determine the eligibility criteria for a Challenger of Record—specifically whether the phrase ''having for its annual regatta'' requires a yacht club to hold an annual regatta on the sea prior to issuing its challenge (Deed of Gift, Oct. 24, 1887, ¶ 4). We conclude that it does.

The story of the America's Cup begins on August 22, 1851, after the schooner yacht, *America*, entered a race against British sailing vessels around the Isle of Wight, winning a large silver cup. In honor of the winning boat, the trophy was christened the ''America's Cup,'' which became the corpus of a charitable trust created under the laws of New York and donated pursuant to a Deed of Gift to the New York Yacht Club in 1857. The Deed of Gift establishes the rules governing the America's Cup and provides that the holder of the Cup becomes its sole trustee and is succeeded only by a successful challenger in a race at sea. The original Deed of Gift required only that the challenger be an ''organized'' yacht club.

During the first 30 years after its inception, problems arose with the administration of the competition. As a result, the America's Cup was twice returned to George L. Schuyler, the sole-surviving donor, after two disappointing America's Cup races were sailed by Canadian Great Lakes yacht clubs under the command of Captain Alexander Cuthbert. Neither of the challenging vessels could withstand the rigors of open sea competition. The *Countess of Dufferin*, the first challenging vessel, was described as having ''fresh water written all over her . . . [h]er hull lacked finish, being as rough as a nutmeg grater . . . and she had little of the shipshape appearance expected of a cup challenger.''[1] The *Atalanta,* the second challenging vessel, was also denounced by critics as being ''a new yacht, hastily built, totally untried, and miserably equipped.''[2] To deal with this ''unseaworthiness'' issue, Schuyler amended the Deed of Gift with the intent of precluding Great Lakes yacht clubs from competing and reconveyed the America's Cup to the New York Yacht Club to hold in trust. In addition to requiring that a

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1. Winfield M. Thompson and Thomas W. Lawson, The Lawson History of the America's Cup: A Record of Fifty Years, at 78 (Ashford Press Publishing, Southampton 1986) (internal quotation marks omitted).

2. *Id.* at 88.

challenger be an "organized" yacht club, the amended Deed of Gift, dated October 24, 1887, added new eligibility requirements that a challenger must meet, including that it be "incorporated, patented, or licensed by the legislature, admiralty, or other executive department, having for its annual regatta an ocean water course" (Deed of Gift, Oct. 24, 1887, ¶ 4). The Deed further provides that the Cup "shall be preserved as a perpetual Challenge Cup for friendly competition between foreign countries."[3]

The Cup has been defended 32 times and it is the events that occurred after the conclusion of the 32nd America's Cup held on July 3, 2007, in Valencia, Spain, which give rise to this appeal. Société Nautique de Genève (SNG)[4] won the Cup on March 2, 2003 in the 31st America's Cup match and successfully defended its right to continue as trustee of the America's Cup in the July 3, 2007 race. Club Náutico Español de Vela (CNEV),[5] on that very same day, submitted a Notice of Challenge to SNG for the 33rd America's Cup, which was accepted.

The Deed of Gift provides that once a Defender accepts a challenge, the two yacht clubs may negotiate and set the conditions of the next America's Cup competition through their mutual consent. Although not named as such by the Deed of Gift, the sailing community refers to the resulting agreement as the "protocol" and the challenging yacht club with the right to negotiate the protocol is called the Challenger of Record. Since 1970, other yacht clubs that wish to compete in the America's Cup have been allowed to participate in the race when the Defender and the Challenger of Record agree to such an arrangement and provide in their protocol for such participation. Traditionally, challengers that are allowed to participate based upon the mutual agreement of the Defender and the Challenger of Record pursuant to their resulting protocol are known as Mutual Consent Challengers. However, should the Defender and the Challenger of Record fail to reach an agreement as to the terms under which they will race, the Deed of Gift contains a default match provision for a one-on-one race between the Defender and the Challenger of Record.

On July 5, 2007, SNG as the Defender and CNEV as Challenger of Record published a protocol for the 33rd America's

3. The Deed has been amended twice by orders of the Supreme Court, New York County, dated December 17, 1956 and April 5, 1985.

4. SNG is a yacht club organized under the laws of Switzerland.

5. CNEV is a Spanish yacht club formed by the members of the Real Federación Española de Vela (RFEV), a Spanish sailing federation, in June 2007.

Cup setting forth the conditions of the competition that includes an arbitration provision to resolve disputes. On July 11, 2007, plaintiff Golden Gate Yacht Club (GGYC),[6] disputing the validity of CNEV's challenge, primarily on the basis that CNEV was not a bona fide yacht club—formed only a few days before submitting its challenge—and had never held an annual regatta, presented its own Notice of Challenge. SNG rejected GGYC's challenge on the basis that CNEV's challenge was first in time and since CNEV's challenge had already been accepted, no other challenge could be considered until after CNEV's challenge had been decided.

On July 20, 2007, SNG, seeking to resolve the validity of CNEV's challenge, initiated an arbitration proceeding pursuant to the dispute resolution mechanism provided for in the 33rd protocol. The 33rd America's Cup Arbitration Panel invited GGYC to participate in the arbitration. GGYC rejected the invitation and commenced this present litigation because it could participate in the arbitration only by agreeing to the protocol, thereby exposing itself to possible disqualification at SNG's sole discretion. The Arbitration Panel ultimately found that the Deed of Gift does not require a challenging club to have held an annual regatta prior to issuing its Notice of Challenge and therefore CNEV's Notice of Challenge was valid. All parties concede that the arbitration decision is not binding upon us.

In the present action, GGYC alleges that SNG breached the Deed of Gift and its fiduciary duty as trustee by accepting CNEV's challenge because CNEV failed to comply with the challenger eligibility criteria set forth in the Deed of Gift since CNEV was not an organized yacht club and had never conducted an annual regatta.[7] Both sides moved for summary judgment. Although Supreme Court dismissed GGYC's breach of fiduciary duty claim, it declared that the Notice of Challenge issued by CNEV was indeed invalid because CNEV failed to meet the Deed of Gift's eligibility requirements as it had not held an annual regatta on an ocean water course prior to submitting its Notice of Challenge to SNG. Supreme Court, strictly interpreting the Deed of Gift, declared GGYC to be the Challenger of Record. A divided Appellate Division reversed, holding the language of the Deed to be ambiguous

6. GGYC is a yacht club incorporated in the state of California.
7. CNEV was allowed to intervene in this action.

and declaring the Notice of Challenge issued by CNEV valid, and CNEV the rightful Challenger of Record (55 AD3d 26 [2008]). GGYC appealed pursuant to CPLR 5601 (a) dissent grounds and we now reverse.

In *Mercury Bay*, where we resolved a dispute regarding a type of vessel that arose relating to the 27th America's Cup match, we stated that

> ''[l]ong-settled rules of construction preclude an attempt to divine a settlor's intention by looking first to extrinsic evidence. Rather, the trust instrument is to be construed as written and the settlor's intention determined solely from the unambiguous language of the instrument itself. It is only where the court determines the words of the trust instrument to be ambiguous that it may properly resort to extrinsic evidence'' (76 NY2d at 267 [citations omitted]).

The relevant provisions of the Deed of Gift to be construed here at paragraph 4 provide that

> ''[a]ny organized Yacht Club of a foreign country, incorporated, patented, or licensed by the legislature, admiralty, or other executive department, having for its annual regatta an ocean water course on the sea, or on an arm of the sea, or one which combines both, shall always be entitled to the right of sailing a match for this Cup.''

The Deed, in paragraph 10, further provides that ''when a challenge from a Club fulfilling all the conditions required by this instrument has been received, no other challenge can be considered until the pending event has been decided.'' Finally, paragraph 11 of the Deed states that the trustee ''hereby covenants and agrees . . . that it will faithfully and fully see that the foregoing conditions are fully observed and complied with by any contestant.''

Thus, to comply with the eligibility requirements as outlined by the Deed, a challenger must be (1) an organized yacht club, (2) foreign, in that it is not of the same country as the trustee yacht club, (3) incorporated in its local jurisdiction or officially recognized either through a license or patent from its government, (4) and ''having for its annual regatta an ocean water course on the sea, or on an arm of the sea, or one which combines both.'' It is the last requirement that divided the court below[8] in light of the fact that CNEV had not held an annual regatta on the sea prior to submitting its Notice of Challenge. It is undisputed that the Defender has the obligation to address a challenge only when the challenger is a ''Club fulfilling all the conditions required'' (Deed of Gift, Oct. 24, 1887, ¶ 10). When such a challenge occurs, all other challenges are foreclosed.

As we stated in *W.W.W. Assoc. v Giancontieri* (77 NY2d 157, 162 [1990]), ''[e]vidence outside the four corners of the document as to what was really intended but unstated or misstated is generally inadmissible to add to or vary the writing.'' The Appellate Division majority deemed the phrase, ''having for its annual regatta,'' ambiguous and therefore found it appropriate to glean the settlor's intention as to the meaning and purpose of this phrase by looking to extrinsic evidence. We disagree and find the phrase to be unambiguous. As we did in *Mercury Bay*, we must first examine the plain language of the Deed of Gift and determine, as a matter of law, whether the language can be construed as written and the settlor's intention determined solely from the unambiguous language of the instrument itself.

In looking at the plain language of the Deed of Gift itself, as we must, we first note that the annual regatta requirement is only one of a list of eligibility requirements set forth in the Deed of Gift. The settlor clearly placed the requirements of ''organized'' and ''incorporated, patented, or licensed'' in the past and intended that a challenger would continue to meet these eligibility requirements in the present and future. For example, the term ''incorporated'' refers both to a past event of incorporation and to a continuing status. We believe that the settlor intended the same to be true for the ''annual'' regatta requirement. By using the word ''annual,'' the settlor suggested an event that has already occurred at least once and will occur regularly in the future. Taken as a whole, we conclude that the settlor intended to link the annual regatta requirement to the other eligibility requirements in that the challenging yacht club has in the past and will continue in the future ''having'' an

8. Supreme Court did not decide the question of whether CNEV was ''organized'' under the Deed and it is not necessary for us to reach this issue to resolve this appeal.

annual regatta on the sea. Any other interpretation would render the annual regatta requirement a nullity.[9]

The settlor clearly intended that for a challenging yacht club to be within the eligibility requirements, it must have held at least one qualifying annual regatta before it submits its Notice of Challenge to a Defender and demonstrate that it will continue to have qualifying annual regattas on an ongoing basis. Thus, SNG is wrong in its claim that the regatta requirement can be satisfied by race time rather than at the time of challenge. We conclude there is no ambiguity as to the annual regatta clause at issue. When read in the context of the entire Deed of Gift, the challenger must demonstrate that its Notice of Challenge ''fulfill[s] all the conditions required'' (Deed of Gift, Oct. 24, 1887, ¶ 10) at the time it submits its challenge.

SNG and CNEV assert that the existing practice among Defenders and Challengers of Record to allow Mutual Consent Challengers to participate in the America's Cup, even without having held an open sea course regatta, is evidence that the settlor intended that a challenging yacht club is not required to have held a regatta on the open sea prior to issuing its Notice of Challenge. This assertion has no merit because the plain language of the Deed of Gift itself forecloses such an illogical conclusion. Even if the language of the Deed of Gift were ambiguous, evidence of these practices would not qualify as extrinsic evidence of the settlor's intent in 1887 as these practices emerged much later. Thus, the decision of the Defender and the Challenger of Record to waive the eligibility requirements for yacht clubs seeking to participate as Mutual Consent Challengers has no bearing on whether a yacht club seeking to establish itself as the Challenger of Record must meet the requirements imposed by the Deed of Gift itself.

Since CNEV has failed to show that at the time it submitted its Notice of Challenge it was a ''[c]lub fulfilling all the conditions required by'' the Deed of Gift, it does not qualify as the Challenger of Record for the 33rd America's Cup competition and Supreme Court was correct in declaring GGYC to be the valid Challenger of Record.

It has been posited that the right to act as trustee of the America's Cup should be decided on the water and not in a

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9. The fact that CNEV has since held two ocean course regattas, one in November 2007 and a second in November 2008, is of no moment since none had been held in July 2007 prior to CNEV submitting its Notice of Challenge to SNG.

courtroom. We wholeheartedly agree. It falls now to SNG and GGYC to work together to maintain this noble sailing tradition as ''a perpetual Challenge Cup for friendly competition between foreign countries'' (Deed of Gift, Oct. 24, 1887, ¶ 3).

Accordingly, the order of the Appellate Division should be reversed, with costs, and the orders of Supreme Court reinstated.

Judges GRAFFEO, READ, SMITH, PIGOTT and JONES concur; Chief Judge LIPPMAN taking no part.

Order reversed, etc.

[907 NE2d 286, 879 NYS2d 373]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JOSE FUENTES, Appellant.

Argued February 12, 2009; decided April 7, 2009

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered February 5, 2008. The Appellate Division affirmed a judgment of the Supreme Court, Kings County (Plummer E. Lott, J.), which had convicted defendant, upon a jury verdict, of rape in the first degree and sodomy in the first degree.

People v Fuentes, 48 AD3d 479, affirmed.

HEADNOTE

Crimes — Disclosure — Failure to Disclose Exculpatory Material

The People's failure to disclose to defendant a "record of consultation" prepared by a hospital psychiatrist who interviewed a rape victim and noted her feelings of depression and minimal marijuana use, while ill advised, did not constitute a *Brady* violation (*Brady v Maryland*, 373 US 83 [1963]). Disclosure of the one-page document would not have altered the outcome of the case. Given the document's extremely limited utility as impeachment evidence and the strength of the People's case, in conjunction with the implausibility of defendant's version of events, the undisclosed document did not meet the materiality standard under *Brady*.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 1182–1184; AM JUR 2d, Depositions and Discovery §§ 280–282.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:2288–172:2291.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 24.3.

NY JUR 2d, Criminal Law: Procedure §§ 1692–1694.

ANNOTATION REFERENCE

See ALR Index under Disclosure; Discovery; Exculpatory Evidence.

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POINTS OF COUNSEL

Gruvman, Giordano & Glaws, LLP, New York City (*Charles T. Glaws* of counsel), for appellant. I. The trial court erred in denying defendant-appellant's motion for mistrial in light of the prosecutor's intentional suppression of the "record of consultation." (*Brady v Maryland*, 373 US 83; *United States v Bagley*, 473 US 667; *Giglio v United States*, 405 US 150; *People v Baxley*, 84 NY2d 208; *People v Baranek*, 287 AD2d 74; *People v Rensing*, 14 NY2d 210; *People v Dudley*, 167 AD2d 317; *People v Knowell*, 127 AD2d 794; *People v Gregg*, 90 AD2d 812; *People v Freshley*, 87 AD2d 104.) II. Contrary to the Appellate Division's decision and order, there was no "meaningful opportunity" to use the *Brady* material. (*People v Cortijo*, 70 NY2d 868; *People v Myron*, 28 AD3d 681; *People v Steadman*, 82 NY2d 1.) III. The *Brady* violation in this one-witness case cannot be considered harmless error. (*Napue v Illinois*, 360 US 264; *People v Marzed*, 161 Misc 2d 309; *People v Wallert*, 98 AD2d 47.)

Charles J. Hynes, District Attorney, Brooklyn (*Anne C. Feigus* and *Leonard Joblove* of counsel), for respondent. The People were not obligated to disclose the record of the complainant's consultation with a psychiatrist because there is no reasonable probability that the disclosure of that document would have changed the outcome of the trial. (*Brady v Maryland*, 373 US 83; *Giglio v United States*, 405 US 150; *Strickler v Greene*, 527 US 263; *United States v Bagley*, 473 US 667; *Kyles v Whitley*, 514 US 419; *People v Vilardi*, 76 NY2d 67; *People v Hunter*, 11 NY3d 1; *People v Bryce*, 88 NY2d 124; *People v Chin*, 67 NY2d 22; *People v Drake*, 7 NY3d 28.)

OPINION OF THE COURT

CIPARICK, J.

In this appeal, we are asked to determine whether the People committed a constitutional violation (*see Brady v Maryland*, 373 US 83 [1963]) by their nondisclosure to defendant of a "record of consultation" prepared by a hospital psychiatrist who interviewed a rape victim and noted her feelings of depression and minimal marijuana use. Because the undisclosed document is not material, the People's nondisclosure, while ill-advised, does not constitute a *Brady* violation.

I

The 22-year-old female victim testified that in the early morning hours of January 27, 2002, she, her friend and her friend's mother and sister together boarded a Brooklyn-bound train at Times Square, in Manhattan, to return home, after spending the evening at an arcade. The victim, who resided in a different neighborhood than her friends, switched trains and continued her journey alone. As she walked home, she noticed defendant walking closely behind her. He entered the building and while inside the elevator, he placed a knife to her neck and threatened to cut her if she resisted. He then led her to the roof of the building, where he sodomized and raped her.

The victim further testified that, after the rape, defendant forced her to walk with him to the subway. During the walk, he casually conversed with her. Before boarding the train, he took the victim's cell phone, turned it off and wiped it with his shirt sleeve, while also warning her not to call anyone or to report the crime. Out of fear, she did not call the police at that time, nor tell her mother of the rape when she returned home. However, several hours later, the victim went to her friend's apartment—the same friend she had been with the night before—and told her and her mother about the rape. She then sought medical attention at a local hospital. Hospital staff performed both a physical and psychiatric examination and prepared a ''rape kit,'' which yielded a male DNA sample.

The police were notified and they interviewed the victim, who provided details about the rape and a description of the perpetrator. It was not until January 2004, however—nearly two years after the rape occurred—that the medical examiner issued a report stating that the sample taken from the victim matched defendant's DNA. Further DNA samples taken from defendant confirmed that his DNA matched the DNA extracted from the victim.

Defendant was arrested and indicted for rape in the first degree and sodomy in the first degree (Penal Law § 130.35 [1]; § 130.50 [1]) and the case proceeded to a jury trial. The victim, along with her friend, testified at the trial, describing the January 27th visit to Times Square and the return trip home. The friend testified that the group did not meet defendant that night, either at the arcade or on the subway ride to Brooklyn.

The victim's medical records had been disclosed to defense counsel under the People's open file discovery agreement and were admitted into evidence by the People during their direct case. The records noted that there was no external or internal trauma on the victim's body, but a sexual assault forensic examiner from the treating hospital explained that the absence of such physical trauma in rape cases is common. Included with the medical records admitted into evidence—but not in the copy previously made available to defense counsel—was a one-page record of consultation by a hospital psychiatrist who interviewed the victim as a matter of hospital protocol. Unaware of its existence, defense counsel did not cross-examine any of the People's witnesses regarding the information contained in the consultation note.

Defendant testified at trial that he met the victim in an arcade in Times Square, where he was socializing with two of his friends, and that she led him on a train ride to her neighborhood in Brooklyn. Upon reaching the victim's apartment building, defendant claimed that she led him up to the roof. According to defendant, the victim was sexually aggressive and they had consensual sexual intercourse. Afterwards, defendant testified that the victim voluntarily escorted him to the subway. According to defendant, she became enraged when he told her that he was not interested in seeing her again and she threatened him, saying he would come to regret it. He denied turning the victim's cell phone off, wiping it clean or threatening her.

A private investigator testified for defendant that the victim had previously corroborated defendant's version of events preceding the alleged rape. According to the investigator, he questioned the victim in her apartment for 5 to 10 minutes and she told him that she met defendant in an arcade in Manhattan, left with him voluntarily and did not mention that she was raped. The investigator admitted that he did not make any record of the interview.

During summation, defense counsel, while leafing through the medical records in evidence, discovered the undisclosed one-page consultation note that had never been turned over to him pursuant to the parties' open file discovery agreement. Defense counsel demanded a mistrial. The People responded that they did not turn over the document because they believed it to be privileged. At defense counsel's request, the court removed the document from the medical records, neither side mentioned it to the jury during closing arguments, and the jury never learned of the document. The court reserved decision on defendant's motion for a mistrial.

The jury found defendant guilty of first-degree rape and first-degree sodomy. Defendant filed a written motion to set aside the verdict (*see* CPL 330.30 [1], [3]). Supreme Court denied the motion, opining that the contents of the document would not have changed the outcome of the trial as the document did not materially bear on defendant's guilt or innocence. The court also noted that defendant received the document during trial and had an opportunity to utilize it.

The Appellate Division affirmed, holding that there was no *Brady* violation because defendant was given a meaningful opportunity to use the document during the trial (48 AD3d 479 [2008]). A Judge of this Court granted defendant leave to appeal (10 NY3d 934 [2008]), and we now affirm, employing a different rationale.

II

The Due Process Clauses of the Federal and State Constitutions both guarantee a criminal defendant the right to discover favorable evidence in the People's possession material to guilt or punishment (*see Brady*, 373 US at 87-88; *People v Bryce*, 88 NY2d 124, 128 [1996]). Impeachment evidence falls within the ambit of a prosecutor's *Brady* obligation (*see Giglio v United States*, 405 US 150, 154-155 [1972]). To establish a *Brady* violation, a defendant must show that (1) the evidence is favorable to the defendant because it is either exculpatory or impeaching in nature; (2) the evidence was suppressed by the prosecution; and (3) prejudice arose because the suppressed evidence was material (*see Strickler v Greene*, 527 US 263, 281-282 [1999]).

In New York, where a defendant makes a specific request for a document, the materiality element is established provided there exists a "reasonable possibility" that it would have changed the result of the proceedings (*see People v Vilardi*, 76 NY2d 67, 77 [1990]). Absent a specific request by defendant for the document, materiality can only be demonstrated by a showing that there is a "reasonable probability" that it would have changed the outcome of the proceedings (*see Bryce*, 88 NY2d at 128; *People v Hunter*, 11 NY3d 1, 5 [2008]).

Assuming, here, but without deciding whether the claim should be evaluated under a "reasonable possibility" standard, we turn to the substance of the undisclosed document. In doing so, we agree with Supreme Court that disclosure of this one-page document would not have altered the outcome of the case.* Significantly, the document notes that the victim was upset because she placed herself in danger when she walked home from the train by herself in the early morning hours preceding her attack. That information would have undoubtedly strengthened the People's case by corroborating the victim's testimony that she walked home alone when defendant accosted her at knifepoint.

Although the document notes that the victim had experienced suicidal thoughts, it is unclear whether these thoughts were the result of having been raped only hours earlier, or due to more general feelings of depression, stemming from a strained relationship with her mother. Further, the record of consultation does not note that the victim was suffering from any serious psychiatric conditions creating hallucinations or delusions; in fact it indicates that the victim had no previous psychiatric history. Thus, contrary to the dissent, this case differs from other cases where the nondisclosure of a witness's mental illness constituted reversible error (*see e.g. People v Rensing*, 14 NY2d 210, 212-214 [1964] [sole witness implicating defendant was mentally ill]; *People v Dudley*, 167 AD2d 317, 319-321 [1st Dept 1990] [the People's case rested on the sole eyewitness who had a long history of mental illness]).

Defendant argues that the statement in the document noting the victim's ''cannabis abuse'' would have changed the outcome of the case. The report explains that the victim only used marijuana twice during the past year, and nowhere does it state that she took any other substances that could have seriously impacted or impaired her perceptions of reality. Therefore, in the context of this case, the value of the undisclosed information as admissible impeachment evidence would have been, at best, minimal.

Moreover, defendant's version of events was contradicted in several key respects. The friend's testimony refuted defendant's version because she testified that the victim left Manhattan and boarded a train with her and her family without defendant ever being present. Further, the victim testified in specific detail regarding how defendant took steps to avoid apprehension, including turning her cell phone off and wiping it clean of

* Contrary to the dissent (*see* dissenting op at 266), we do not engage in a selective marshaling of the evidence. We evaluate the trial testimony as a whole in determining that the nondisclosure of the record of consultation did not meet the materiality standard required for a reversal.

fingerprints. It is also contrary to common sense to believe that the victim would have invented a rape and subjected herself to an invasive hospital examination in the hope of getting revenge for defendant's supposed refusal of her advances. She did not have a way of leading the police to defendant, or any reason to be confident he would ever be caught; he was not identified until the DNA match was found years later.

In reaching our conclusion that the undisclosed consultation note was immaterial and would not have changed the outcome of the trial, we do not condone the People's decision to withhold the document from defendant or their failure to, at a minimum, inform the trial judge about it and request an in camera inspection to determine its admissibility. Indeed, defense counsel should be able to assume that a medical record is complete in a case, such as this, of open file discovery. Nevertheless, given this document's extremely limited utility as impeachment evidence and the strength of the People's case, in conjunction with the implausibility of defendant's version of events, the nondisclosed document does not meet the materiality standard—the third prong required to establish a *Brady* violation (*see Strickler*, 527 US at 281-282)—and the nondisclosure thus does not require reversal.

Accordingly, the order of the Appellate Division should be affirmed.

JONES, J. (dissenting). The defendant by this appeal raises the question of whether his conviction was obtained in violation of *Brady v Maryland* (373 US 83 [1963]). The majority holds that no *Brady* violation occurred because the information contained in a nondisclosed medical record of a psychiatric consultation was not "material" and therefore did not constitute *Brady* material. I disagree and respectfully dissent.

I agree that in order to qualify as *Brady* material, a document must meet the three-pronged test outlined in *Strickler v Greene* (527 US 263 [1999]). *Strickler* holds that one of the tests in determining whether or not a document qualifies under *Brady* is that the document must be "material." A document is deemed to be material if there is "a reasonable possibility" that its disclosure would have affected the outcome of the trial (*People v Vilardi*, 76 NY2d 67, 78 [1990]). The record of psychiatric consultation at issue in this case contained information concerning the condition of the victim during her examination at Woodhull Hospital following the incident. The victim expressed feelings of depression, suicide, family problems, mistreatment by her mother, withdrawal and substance abuse. There is no question that defense counsel would have been obliged to conduct a follow-up investigation of these conditions to determine the extent of the victim's psychological infirmities. Nondisclosure of psychiatric problems has been held to be a material violation of *Brady* and has resulted in reversal (*see People v Rensing*, 14 NY2d 210 [1964]; *People v Dudley*, 167 AD2d 317 [1990]). In determining whether the document which was deliberately excluded by the Assistant District Attorney was material, the court engages in a selective marshaling of the trial testimony and arrives at the conclusion that disclosure of this document would not have altered the outcome of the case and is therefore not material. I disagree.

The disputed allegations of this case while unusual are straightforward. The defendant concedes that he engaged in sexual intercourse with the victim on the roof of the building in which she resided. He testified that the encounter was consensual and that the victim was a willing and aggressive participant. The victim testified that she was forcibly assaulted at knifepoint. Her version is partially corroborated by a witness who was with her earlier in the evening and to whom the rape was reported nearly seven hours later. The defendant's account was partially corroborated by the testimony of a private investigator retained by the defense who said that the victim made a statement consistent with defendant's version of events. In my evaluation of the trial testimony as a whole, I adhere to my position that there are facts which support each side.

With the sharply divergent evidence on the question of consent, the issue of credibility was central to the jury's consideration of the case. It is within this context that the actions of the Assistant District Attorney in unilaterally removing the record of psychiatric consultation must be evaluated. Although the majority points out that the ''defendant's version of events was contradicted in several key respects'' and that ''[i]t is . . . contrary to common sense to believe that the victim would have invented a rape'' (majority op at 264, 265), there is other evidence which weighs in favor of the defendant, such as the victim walking with the defendant to the subway station after the assault and failing to report the rape until the afternoon. In light of the contradictory evidence in this case, it cannot be said that the removal of the record of psychiatric consultation from the hospital records, which were turned over to defendant pursuant to open file discovery, did not affect the outcome of the trial. Indeed, the fact that the jury deliberated for almost two full days before returning a verdict suggests that serious consideration may have been given to both versions of events. Credibility was clearly at issue.

The majority determines that the impeachment value of this evidence would be limited, but this analysis fails to account for the probability that disclosure of the record of consultation would have likely resulted in a more intense investigation of the victim's psychological background and history. Such investigation was foreclosed when defendant was misled into thinking that he had a complete record pursuant to the open file discovery process. It is an unfortunate fact that the removal of this document by the People was done without notice to the court or defense counsel.

Open file discovery, admirably adopted by the District Attorney, is intended to streamline the discovery process and ensure a fair trial by eliminating the inappropriate exclusion of evidence to which the defendant is entitled. At the heart of this procedure is a good faith reliance on the fact that nothing has been removed, altered or redacted without court approval and notice to the defendant. The deliberate and unilateral removal of this document undermines the letter and spirit of open file discovery and must not be condoned.

Because I am convinced that a significant *Brady* violation occurred, I would reverse the order of the Appellate Division and remand for a new trial.

Chief Judge LIPPMAN and Judges GRAFFEO, SMITH and PIGOTT concur with Judge CIPARICK; Judge JONES dissents and votes to reverse in a separate opinion in which Judge READ concurs.

Order affirmed.

[907 NE2d 282, 879 NYS2d 369]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v WALKINS CONTRERAS, Appellant.

Argued February 17, 2009; decided April 7, 2009

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered January 3, 2008. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Lewis Bart Stone, J.), which had convicted defendant, upon a jury verdict, of rape in the first degree, kidnapping in the second degree, burglary in the first degree, attempted assault in the first degree, unlawful imprisonment in the first degree (two counts) and endangering the welfare of a child.

People v Contreras, 47 AD3d 411, affirmed.

HEADNOTE

Crimes — Disclosure

The trial court's choice of procedures in determining that notes written by the complainant were irrelevant to the criminal action against defendant and ordering defendant's lawyer not to disclose the contents of the notes to his client was a proper exercise of its discretion. The court initially heard from the prosecution and the complainant ex parte, then held a hearing at which defendant's lawyer was present but defendant was not. Defendant had no right to any hearing on whether the notes constituted *Rosario* or *Brady* material. The prosecutor, in submitting the notes to the court, and the court, in deciding to hold a hearing on the issue, appropriately erred on the side of caution. Inasmuch as the hearing was noncritical and unnecessary, there was no violation of defendant's right to be present at all critical stages of his trial. Finally, while communication between attorney and client should generally be unrestricted, the disclosure by lawyer to client of an embarrassing and inflammatory document having nothing to do with the case is not a constitutionally protected communication.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 997–999, 1004–1006, 1182–1184; AM JUR 2d, Depositions and Discovery §§ 248, 252, 263, 267, 270.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:2288–172:2291, 172:2317, 172:2791, 172:2793.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 24.2, 24.3.

NY JUR 2d, Criminal Law: Procedure §§ 871, 1654, 1692, 1694, 1695, 1707, 1715, 1716, 2488–2490.

ANNOTATION REFERENCE

See ALR Index under Absence or Presence; Criminal Procedure Rules; Disclosure; Discovery; Exculpatory Evidence.

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Database: NY-ORCS
Query: hearing /s ex /2 parte /p note /s complainant victim

POINTS OF COUNSEL

Dewey & LeBoeuf LLP, New York City (*Krista M. Chiauzzi* of counsel), and *Legal Aid Society, Criminal Appeals Bureau* (*Steven Banks, Richard Joselson* and *Andrew Fine* of counsel), for appellant. I. Mr. Contreras was deprived of his right to the assistance of counsel and his right to be present during all material stages of the trial when he was excluded from proceedings regarding whether a note allegedly written by the complainant would be admitted as relevant evidence, in which the complainant offered a critical portion of her testimony regarding the incident, and where his counsel was excluded from an in camera hearing where the complainant testified and was questioned by the trial judge about the note. (*People v Frost,* 100 NY2d 129; *People v Carracedo,* 89 NY2d 1059; *Strickland v Washington,* 466 US 668; *Kentucky v Stincer,* 482 US 730; *People v Morales,* 80 NY2d 450; *Perry v Leeke,* 488 US 272; *Snyder v Massachusetts,* 291 US 97; *People v Williams,* 85 NY2d 945; *People v Sprowal,* 84 NY2d 113; *People v Anderson,* 16 NY2d 282.) II. The trial court's order indefinitely barring communication between Mr. Contreras and his counsel concerning a piece of potentially exculpatory evidence deprived Mr. Contreras of his right to counsel, and no exceptional circumstances existed to justify such an extensive ban. (*United States v Cronic,* 466 US 648; *Strickland v Washington,* 466 US 668; *People v Enrique,* 165 AD2d 13, 80 NY2d 869; *Geders v United States,* 425 US 80; *Powell v Alabama,* 287 US 45; *Perry v Leeke,* 488 US 272; *Herring v New York,* 422 US 853; *People v Joseph,* 84 NY2d 995; *People v Carracedo,* 89 NY2d 1059; *People v Vargas,* 88 NY2d 363.) III. Mr. Contreras was deprived of his right to present a defense and to confront the witnesses against him when the trial court abused its discretion and excluded probative, relevant evidence, which could have created a reasonable doubt as to Mr. Contreras's guilt, under the theory that Mr. Contreras would have told his counsel about the evidence, or would have spontaneously brought it up while testifying, where the court had banned all communications between attorney and client regarding the evidence at issue. (*Chambers v Mississippi,* 410 US 284; *In re Oliver,* 333 US 257; *Rosario v Kuhlman,* 839 F2d 918; *United States v Agurs,* 427 US 97; *Justice v Hoke,* 90 F3d 43; *Olden v Kentucky,* 488 US 227; *People v Gaines,* 74 NY2d 358; *Henry v Speckard,* 22 F3d 1209; *Latzer v Abrams,* 602 F Supp 1314; *Geders v United States,* 425 US 80.)

Robert M. Morgenthau, District Attorney, New York City (*Sheila O'Shea* and *Alan Gadlin* of counsel), for respondent. The trial court properly handled a note written by the victim that had no relevance to defendant's case. (*People v Inniss,* 83 NY2d 653; *People v Williams,* 81 NY2d 303; *People v Umali,* 10 NY3d 417; *People v Angelo,* 88 NY2d 217; *People v Martin,* 50 NY2d 1029; *People v Aska,* 91 NY2d 979; *People v Arroyo,* 77 NY2d 947; *People v Scarola,* 71 NY2d 769; *People v Davis,* 43 NY2d 17; *People v Aphaylath,* 68 NY2d 945.)

OPINION OF THE COURT

SMITH, J.

At the outset of defendant's trial for kidnapping, rape and other crimes, the prosecution called the court's attention to notes written by the complainant, defendant's wife. The court decided that the notes had nothing to do with the case—a conclusion amply justified by the record. Defendant argues, however, that his rights were violated by the procedure the court used in reaching that decision, in that the court initially heard from the prosecution and the complaining witness ex parte; and then held a hearing at which defendant's lawyer was present, but defendant himself was not, and ordered defendant's lawyer not to disclose the contents of the notes to his client. We hold that the court's choice of procedures was a proper exercise of its discretion.

I

Defendant, unhappy about the breakup of his marriage to the complainant and her relationship with another man, forced his way into her apartment and held her and her seven-year-old son captive for three hours. During that time, according to the complainant's testimony, he raped her twice, threatened repeatedly to kill her, forced her to write a farewell note to her child and choked her with an electric cord. She was finally able to call 911, and the police came and arrested defendant.

After defendant was arrested and the complainant was taken to the hospital, the police found a small pad of paper on the floor of her apartment, with some notes on it in her handwriting. The notes refer to a romantic relationship; some of the language is erotic, and coarse. The person discussed is not named, but from the content of the notes it could hardly have been defendant, complainant's husband: The notes include the words "get tested," implying a new relationship, not an old one.

Before jury selection began, the prosecutor told the court, in defense counsel's presence, that she was requesting in camera review of some "papers of the complainant." The court, treating the application as one for a protective order (*see* CPL 240.50), did review the notes in camera, and conducted ex parte proceedings to determine whether the notes were *Rosario* material (*People v Rosario*, 9 NY2d 286 [1961]) or *Brady* material (*Brady v Maryland*, 373 US 83 [1963]).

During the ex parte proceedings, the prosecutor (relying on what she had learned from the complainant) asserted that the notes had nothing to do with the event at issue in the trial. The court asked to hear from the complainant herself, who testified to the same effect. The complainant said that the notes had been written a month or more before defendant's attack on her, as notes to herself about her new relationship. She said that when defendant forced his way into her apartment, the contents of her purse, including the notes, fell on the floor. She did not know if defendant had seen the notes.

At this point, the court called in defense counsel and told him the contents of the notes, ordering him not to disclose those contents to his client. The court said that it was "excluding" the notes, on the ground that they had nothing to do with the event at issue and that, if they were evidence of the complainant's sexual activity, they would be protected by the Rape Shield Law (CPL 60.42). Defense counsel argued that he should be allowed to use the notes at trial, and asked to question the complainant in an effort to demonstrate their relevance. The court allowed counsel to ask the complainant questions, but the questioning did not yield any evidence of a connection between the notes and the event for which defendant was on trial.

The court did not alter its ruling forbidding use of the notes, and the trial proceeded without reference to them. Defendant was convicted on several counts. The Appellate Division affirmed (47 AD3d 411 [2008]), and a Judge of this Court granted leave to appeal (10 NY3d 933 [2008]). We now affirm.

II

It is important to understand at the outset the purpose of the proceedings about which defendant complains. It was to determine whether the notes were either *Rosario* material (i.e., prior statements of the complainant relating to the subject of her testimony) or *Brady* material (i.e., evidence favorable to defendant). Nothing in the record suggests that they were either. There is no reason to doubt that they were exactly what the complainant said they were—notes written at a different time on another subject. There is no evidence that defendant ever saw them, much less that they motivated his conduct.

In light of the notes' apparent irrelevance to the case, defendant did not have a *right* to any hearing on the *Rosario* or *Brady* issue. We have held that, where there is ''some basis'' to believe that material is subject to *Brady*, ''deference to the prosecutor's discretion must give way'' (*People v Andre W.*, 44 NY2d 179, 184 [1978], quoting *People v Consolazio*, 40 NY2d 446, 453 [1976], *cert denied* 433 US 914 [1977]), but this case does not appear to meet even that undemanding test. There would, quite likely, have been no error if the prosecution had decided on its own to withhold the document, and there would surely have been no error if the court, having reviewed the document in camera and heard the prosecutor's representations about it, had decided without further proceedings that the notes were not subject to either *Rosario* or *Brady*. The prosecutor, in submitting the document to the court, and the court, in deciding to hold a hearing on the issue, were erring on the side of caution.

We heartily approve their decisions to do so. Prosecutors and trial judges invite trouble when they push the rules of disclosure to their limit (*see e.g. People v Fuentes*, 12 NY3d 259 [2009] [decided today]). But where, as here, the prosecutor and the court have wisely chosen to give defendant a procedural opportunity he is not strictly entitled to, they should not be penalized for not being still more generous. Where a court, although not required to do so, chooses to grant a hearing on the issue of whether a particular piece of evidence constitutes *Rosario* or *Brady* material, it has broad discretion as to how the hearing should be conducted. This does not mean that the court's discretion is unlimited, but it does mean that where the trial court has made a reasonable choice among available procedures, that choice will not be second-guessed on appeal.

The trial court's choice of procedures here was reasonable. The document in question, though irrelevant to the case, had a significant tendency to embarrass the complainant, and she might have been warranted in fearing worse than embarrassment if the contents of the document had been communicated to defendant. Defendant was incarcerated at the time of trial, but no one could guarantee that he would long remain so, and there was ample reason to think he would not react well to a document expressing the complainant's romantic interest in another man. Because the document was both irrelevant and potentially inflammatory, the trial court was justified in preventing it from coming to defendant's knowledge.

It is true, as a general matter, that ex parte proceedings are undesirable, and they should be rare (*People v Frost*, 100 NY2d 129, 132 [2003]). But where the issue to be decided is whether a document should or should not be disclosed to the defense, the initial consideration of the question must be ex parte, almost by its nature; the court can hardly disclose the document before deciding whether to order it disclosed. Also, Criminal Procedure Law § 240.90 (3) expressly permits papers and testimony on a motion for a protective order to be submitted ex parte.

Here, after an ex parte proceeding, the court decided to allow defense counsel to know the contents of the document, to argue for the right to use it at trial and to question the complainant about it, so long as defendant himself was not told what the document said. These rulings were not an abuse of discretion. A defendant is entitled to be personally present at all critical stages of his trial if his presence would contribute to the fairness of the procedure (*Kentucky v Stincer*, 482 US 730, 745 [1987]; *People v Anderson*, 16 NY2d 282 [1965]). But that rule is inapplicable here, where the hearing was not only noncritical, but, as a matter of law, unnecessary. And while communication between attorney and client should generally be unrestricted (*Geders v United States*, 425 US 80 [1976]; *People v Enrique*, 165 AD2d 13, 16 [1st Dept 1991], *affd for reasons stated below* 80 NY2d 869 [1992]), there are occasions where restrictions may legitimately be applied (*Perry v Leeke*, 488 US 272, 283-285 [1989]; *Enrique*, 165 AD2d at 20-22). The disclosure by lawyer to client of an embarrassing and inflammatory document having nothing to do with the case is not a constitutionally protected communication.

Defendant's remaining contention is without merit.

Accordingly, the order of the Appellate Division should be affirmed.

Judges CIPARICK, GRAFFEO, READ, PIGOTT and JONES concur; Chief Judge LIPPMAN taking no part.

Order affirmed.

[907 NE2d 292, 879 NYS2d 379]

NORMA GORMAN et al., Respondents, v TOWN OF HUNTINGTON, Appellant.

Argued February 18, 2009; decided April 7, 2009

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered October 30, 2007. The Appellate Division (1) dismissed as superseded an appeal from so much of an order of the Supreme Court, Suffolk County (Gary J. Weber, J.; op 2006 NY Slip Op 30216[U]), as had denied defendant's cross motion for summary judgment dismissing the complaint; (2) affirmed an order of that court (op 2006 NY Slip Op 30217[U]), which, upon defendant's motion for reargument, adhered to its earlier determination; and (3) upon searching the record, awarded partial summary judgment in favor of plaintiffs dismissing the fourth and fifth affirmative defenses in defendant's answer. The following question was certified by the Appellate Division: ''Was the opinion and order of this court dated October 30, 2007, properly made?''

Gorman v Town of Huntington, 47 AD3d 30, reversed.

HEADNOTES

Municipal Corporations — Sidewalks — Prior Notice of Defective Condition — Notice to Municipal Agent Other than Statutory Designee

1. In an action to recover damages for injuries plaintiff allegedly sustained when she tripped and fell on an uneven piece of defendant town's sidewalk, prior written notice of the defect given to defendant's Department of Engineering Services (DES) was insufficient for purposes of notice under the prior written notice provision of the Town Code, which was similar to Town Law § 65-a (2) and required notice to be given to either the Town Clerk or Superintendent of Highways. Where, as here, a municipality requires prior written notice as a condition precedent to suit, a prior written request made to any municipal agent other than a statutory designee that a defect be repaired is insufficient. DES's practice of recording complaints and repairs did not warrant a departure from precedent strictly construing prior written notice provisions. As the entity charged with repairing town sidewalks, it was to be expected that DES would keep a record of needed repairs and complaints, and it could not be inferred from that conduct that defendant was attempting to circumvent its own prior written notice provision.

Municipal Corporations — Sidewalks — Prior Notice of Defective Condition — Estoppel

2. In an action to recover damages for injuries plaintiff allegedly sustained when she tripped and fell on an uneven piece of defendant town's sidewalk in

front of a church, defendant town was not estopped from relying on its prior written notice provision requiring that notice of a sidewalk defect be given to either the Town Clerk or Superintendent of Highways. Even assuming that estoppel could serve as an exception to excuse lack of prior written notice, there was no evidence that plaintiff relied on the correspondence sent by the church's pastor to defendant's Department of Engineering Services prior to the accident or on any alleged assurances by that department that it would repair the condition. Plaintiff testified that she did not learn of the pastor's correspondence until after her accident, demonstrating a lack of reliance.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

Am Jur 2d, Highways, Streets, and Bridges §§ 418, 439, 440; Am Jur 2d, Municipal, County, School, and State Tort Liability § 250.

McKinney's, Town Law § 65–a (2).

NY Jur 2d, Government Tort Liability §§ 320, 324, 325; NY Jur 2d, Highways, Streets, and Bridges § 466.

New York Pattern Jury Instructions—Civil, PJI 2:225A.

Prosser and Keeton, Torts (5th ed) § 131.

ANNOTATION REFERENCE

See ALR Index under Municipal Corporations; Notice and Knowledge; Sidewalks.

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Database: NY-ORCS

Query: sidewalk /2 defect! /6 written /2 notice /p strict! /2 constru!

POINTS OF COUNSEL

Jaspan Schlesinger Hoffman LLP, Garden City (*Maureen T. Liccione, Stanley Harwood* and *Stanley A. Camhi* of counsel), for appellant. I. The Town of Huntington's practices, even if in derogation of local law and statute, do not equitably estop the Town's written notice defense. (*Matter of New York State Med. Transporters Assn. v Perales,* 77 NY2d 126; *Matter of E.F.S. Ventures Corp. v Foster,* 71 NY2d 359; *Matter of Parkview Assoc. v City of New York,* 71 NY2d 274, 488 US 801; *Matter of Wedinger v Goldberger,* 71 NY2d 428, 488 US 850; *Scruggs-Leftwich v Rivercross Tenants' Corp.,* 70 NY2d 849; *Matter of City of New York v City Civ. Serv. Commn.,* 60 NY2d 436; *Granada Bldgs. v City of Kingston,* 58 NY2d 705; *Public Improvements v Board of Educ. of City of N.Y.,* 56 NY2d 850; *Matter of Hamptons Hosp. &*

Med. Ctr. v Moore, 52 NY2d 88; *Board of Supervisors of Richmond County v Ellis,* 59 NY 620.) II. The limited exception to the rule that estoppel is not available against a municipality is not applicable. (*Bender v New York City Health & Hosps. Corp.,* 38 NY2d 662; *Matter of Hamptons Hosp. & Med. Ctr. v Moore,* 52 NY2d 88; *Matter of Parkview Assoc. v City of New York,* 71 NY2d 274; *Granada Bldgs. v City of Kingston,* 58 NY2d 705; *Seif v City of Long Beach,* 286 NY 382; *Matter of E.F.S. Ventures Corp. v Foster,* 71 NY2d 359.) III. The cases upon which the Appellate Division relied are inapposite. (*Bender v New York City Health & Hosps. Corp.,* 38 NY2d 662; *Henry Boeckmann, Jr. & Assoc. v Board of Educ., Hempstead Union Free School Dist. No. 1,* 207 AD2d 773; *Matter of Parkview Assoc. v City of New York,* 71 NY2d 274; *Seif v City of Long Beach,* 286 NY 382; *Sagevick v Sanchez,* 228 AD2d 488; *Granada Bldgs. v City of Kingston,* 58 NY2d 705.)

Thomas J. Lavallee, Hauppauge, for respondents. I. Appellant should be estopped from asserting lack of statutory notice when it directed all inquiries of sidewalk defects to its Department of Engineering Services and delegated the record-keeping functions pertaining to sidewalk defects to the Department of Engineering Services rather than the Town Clerk. (*Bender v New York City Health & Hosps. Corp.,* 38 NY2d 662.) II. Equitable estoppel is not applicable against a government agency only when it involves the discharging of statutory duties. (*Matter of New York State Med. Transporters Assn. v Perales,* 77 NY2d 126; *Scruggs-Leftwich v Rivercross Tenants' Corp.,* 70 NY2d 849; *Matter of Wedinger v Goldberger,* 71 NY2d 428, 488 US 850.)

Corey A. Auerbach, Albany, for the Association of Towns of the State of New York, amicus curiae. The decision of the Appellate Division, Second Department is contrary to long-standing rules of statutory construction and leaves municipalities unable to ascertain when their internal practices will vitiate their prior written notice laws. (*Doremus v Incorporated Vil. of Lynbrook,* 18 NY2d 362; *Amabile v City of Buffalo,* 93 NY2d 471; *Poirier v City of Schenectady,* 85 NY2d 310; *MacMullen v City of Middletown,* 187 NY 37; *Conlon v Village of Pleasantville,* 146 AD2d 736; *Rodriguez v City of Mount Vernon,* 51 AD3d 900; *Schutz-Prepscius v Incorporated Vil. of Port Jefferson,* 51 AD3d 657.)

OPINION OF THE COURT

Pigott, J.

Plaintiff Norma Gorman and her husband commenced this personal injury action against defendant Town of Huntington claiming that an uneven piece of the Town's sidewalk in front of a local church caused her to trip and fall. Four months prior to plaintiff's fall, the church's pastor had written to the Town's Department of Engineering Services, the department responsible for the Town's sidewalks, complaining that the sidewalk needed repair.

The Town of Huntington has a prior written notice bylaw—section 174-3, similar in effect to Town Law § 65-a (2)—which provides in relevant part that a civil action may not be maintained against the Town for personal injuries

> "sustained by reason of any . . . sidewalk . . . operated or maintained by the town . . . being defective . . . unless written notice of the specific location and nature of such defective . . . condition by a person with first-hand knowledge was actually given to the Town Clerk or the Town Superintendent of Highways in accordance with § 174-5" (Huntington Town Code § 174-3 [A]).

Section 174-5 of the Town Code clearly states that service of the notice on a person other than the Town Clerk or Highway Superintendent "shall invalidate the notice." The Town Clerk is required to "keep an indexed record . . . of all written notices received" (Huntington Town Code § 174-4; *see* Town Law § 65-a [4]).

Following joinder of issue, the Town sought summary judgment on the ground that it had not received prior written notice of the defect as required by section 174-3 of its ordinance and section 65-a of the Town Law. In support of its motion, the Town submitted affidavits from Town Clerk and Highway Superintendent representatives that no such notice was located in their records.

Concluding that the Town had delegated its statutorily-imposed duty of keeping records pertaining to complaints of sidewalk defects from its Town Clerk and Superintendent of Highways to its Department of Engineering Services, both Supreme Court (2006 NY Slip Op 30216[U]) and the Appellate Division (47 AD3d 30 [2007]) held that the Town had waived strict compliance with its prior written notice law and granted plaintiffs summary judgment dismissing the Town's affirmative defenses asserting a lack of proper prior written notice under the statute. The Appellate Division then certified to this Court the question whether its opinion and order was properly made. We hold that it was not.

"Prior written notice provisions, enacted in derogation of common law, are always strictly construed" (*Poirier v City of Schenectady*, 85 NY2d 310, 313 [1995], citing *Doremus v Incorporated Vil. of Lynbrook*, 18 NY2d 362, 366 [1966]). Although this Court has recognized the existence of two exceptions that can excuse the lack of prior written notice (*see Amabile v City of Buffalo*, 93 NY2d 471, 474 [1999]), plaintiffs do not claim that either exception applies.

The purpose of a prior written notice provision is to place a municipality on notice that there is a defective condition on publicly-owned property which, if left unattended, could result in injury. This ensures that a municipality, which is not expected to be cognizant of every crack or defect within its borders, will not be held responsible for injury from such defect unless given an opportunity to repair it. The policy behind this rule is to limit a municipality's duty of care over its streets and sidewalks "by imposing liability only for those defects or hazardous conditions which its officials have been actually notified exist at a specified location" (*Poirier*, 85 NY2d at 314).

It does not mean, however, that every written complaint to a municipal agency necessarily satisfies the strict requirements of prior written notice, or that any agency responsible for fixing the defect that keeps a record of such complaints has, ipso facto, qualified as a proper recipient of such notice. Simply put, whereas a written notice of defect is a condition precedent to suit, a written request to any municipal agent other than a statutory designee that a defect be repaired is not (*see Misek-Falkoff v Village of Pleasantville*, 207 AD2d 332, 333 [2d Dept 1994] [claim by plaintiff "that certain other municipal departments may have received notice of the defect" was not sufficient to defeat the municipality's motion for summary judgment where the prior written notice provision expressly stated that written notice was to be filed with village clerk]; *Drzewiecki v City of Buffalo*, 51 AD2d 870 [4th Dept 1976] [prior written notice to city engineer, as opposed to the city clerk, who was statutorily designated to receive written notices of defect, found not to be sufficient, even where engineer acknowledged the defect and promised that it would be fixed]; *see also Farnsworth v Village of Potsdam*, 228 AD2d 79 [3d Dept 1997] [report of defect drafted by superintendent of public works and filed with that entity insufficient to comply with prior written notice of defect statute because it was not brought to the attention of the village clerk as required by the village code]; *Wisnowski v*

City of Syracuse, 213 AD2d 1069 [4th Dept 1995]; *Conlon v Village of Pleasantville*, 146 AD2d 736 [2d Dept 1989]). Nor can a verbal or telephonic communication to a municipal body that is reduced to writing satisfy a prior written notice requirement (*see McCarthy v City of White Plains*, 54 AD3d 828 [2d Dept 2008]; *Akcelik v Town of Islip*, 38 AD3d 483 [2d Dept 2007]; *see also Dalton v City of Saratoga Springs*, 12 AD3d 899 [3d Dept 2004]; *Camenson v Town of N. Hempstead*, 298 AD2d 543 [2d Dept 2002]).

[1] Here, it is undisputed that neither the Town Clerk nor Highway Superintendent received prior written notice of the defective sidewalk. Because the Department of Engineering Services is not a statutory designee, notice to that department is insufficient for purposes of notice under Town Law § 65-a and section 174-3 of the Huntington Town Code. We are unpersuaded that the Department of Engineering Services' practice of recording complaints and repairs warrants a departure from our precedent strictly construing prior written notice provisions. As the entity charged with repairing town sidewalks, it is to be expected that the Department would keep a record of needed repairs and complaints but it cannot be inferred from that conduct that the Town was attempting to circumvent its own prior written notice provision.

[2] We likewise reject the Appellate Division's holding that the Town was estopped from relying on its prior written notice provision. Even assuming that estoppel could serve as a third exception to excuse lack of prior written notice, there is no evidence that these plaintiffs relied on the correspondence sent by the pastor to the Department of Engineering Services or on any alleged assurances by that Department that it would repair the condition. Plaintiff testified that she did not learn of the pastor's correspondence until after her accident, demonstrating a lack of reliance.

Accordingly, the order of the Appellate Division should be reversed, with costs, defendant's motion for summary judgment granted, the complaint dismissed and the certified question answered in the negative.

CIPARICK, J. (dissenting). Because I believe there are unresolved questions of fact as to the record-keeping practices of the Town, I would vote to modify the order of the Appellate Division, by reinstating the fourth and fifth affirmative defenses set forth in defendant's verified answer, and otherwise affirm, and would answer the certified question in the negative.

As stated by the majority, both Town Law § 65-a (2) and Huntington Town Code § 174-3 (A) require that there be notice ‘‘to the town clerk or to the town superintendent of highways’’ before an action for damages arising out of an allegedly defective sidewalk may be maintained against the Town. We have recognized that such prior written notice statutes must be ‘‘strictly construed’’ (*see Monteleone v Incorporated Vil. of Floral Park*, 74 NY2d 917, 918 [1989]) in all but two circumstances (*see Amabile v City of Buffalo*, 93 NY2d 471, 474 [1999]), not present here.

Based on their findings that defendant had ‘‘delegated’’ the statutorily-imposed duty of keeping records pertaining to complaints of sidewalk defects from its Town Clerk and Superintendent of Highways to its Department of Engineering Services (DES) (*see* Town Law § 65-a [3]-[4]; Huntington Town Code § 174-4), both Supreme Court and the Appellate Division held that defendant could not insist on strict compliance with the prior written notice laws under the unique circumstances of this case. In light of existing factual questions, regarding whether defendant indeed sought to usurp the prior written notice provisions of the Town Law and Huntington Town Code by completely transferring all statutory record-keeping duties from its Town Clerk and Superintendent of Highways to DES, I conclude that summary judgment, dismissing the fourth and fifth affirmative defenses alleging failure to comply with the Town’s prior written notice law, was not warranted.

Here, defendant’s cross motion for summary judgment, seeking dismissal of the complaint due to its lack of statutorily-required prior notice of the allegedly defective sidewalk, was supported by affidavits submitted by employees of the Huntington Town Clerk, Superintendent of Highways and DES and deposition testimony of a DES employee. The DES employee confirmed that his duties included maintaining an ‘‘index file system’’ to keep track of ‘‘sidewalk complaints’’ and that a division of DES, as opposed to the Town’s Superintendent of Highways, ‘‘took care of curb and sidewalk complaints.’’ The employee further confirmed that numerous complaints regarding the sidewalk relevant here were present in DES’s files.

Contrary to the majority’s position, I believe that the DES employee’s affidavit and testimony does create an inference that the Town had supplanted the Town Clerk’s and Superintendent of Highways’ statutory record-keeping responsibilities by instituting a system in which DES would be solely responsible for such record-keeping, and the Town Clerk and Superintendent of Highways affidavits do not negate that inference. Although those affidavits state that no written notices or complaints pertaining to the sidewalk on which plaintiff was allegedly injured are present within the Town Clerk's or Superintendent of Highways' files, the affidavits do not definitively state that either the Town Clerk or Superintendent of Highways were discharging their duty to maintain any sidewalk complaint records during the relevant time frame. Instead, the affidavits vaguely refer to the maintenance of records regarding some unspecified category of "complaints" and "written notice[s]." In my view, this factual proffer was insufficient to discharge the Town's summary judgment burden (*see Smalls v AJI Indus., Inc.*, 10 NY3d 733, 735 [2008], citing *Alvarez v Prospect Hosp.*, 68 NY2d 320, 324 [1986]).

The record does not permit summary judgment in favor of plaintiffs, however. A town's decision to wholly displace the record-keeping duties of town agencies lawfully designated to act in such a capacity is not established as a matter of law by evidence that an employee of an agency such as DES—charged with the repair of sidewalks—maintains an indexed record of sidewalk complaints and that a member of the public relied upon a DES employee's instruction to submit a written request for potential sidewalk repairs to a DES supervisor. Indeed, I would be remiss to penalize towns by denying them the protection of valid prior written notice statutes based upon such an inconclusive predicate. I recognize, however, that substantial harm to the public could result if a town was permitted to covertly absolve itself of liability by completely altering the statutory record-keeping scheme and transferring all authority from lawfully designated agencies to another arm of town government not specified in the statutes. It is unclear if such a situation occurred here because the Town Clerk and Superintendent of Highways affidavits do not clearly indicate that those agencies were comporting themselves in compliance with the prior written notice provisions of the Town Law and Huntington Town Code. Therefore, I would remit for further factual development on this issue.

If, in fact, the Town has purposefully altered the record-keeping duties prescribed by the relevant statutes in favor of a system in which DES would solely assume those duties, then it would be manifestly unfair for the Town to disclaim the very agency relationship that it deliberately created. As the record fails to definitively establish that the Town engaged in such a nefarious scheme here, the grant of summary judgment dismissing defendant's fourth and fifth affirmative defenses was not warranted.

Plaintiffs seek to estop the Town altogether from asserting a prior written notice defense. Although the Appellate Division found that estoppel was appropriate, I conclude that such finding was premature in light of the existing factual questions which must be resolved first.

SMITH, J. (dissenting). I agree in substance with Judge Ciparick's dissent, but write separately because I want to say directly what I believe she implies: If plaintiffs prove that the Town's unlawful conduct prevented the giving of notice pursuant to Huntington Town Code § 174-3 (A), the Town should be estopped from relying on that Code provision to defend this case.

Like all my colleagues, I conclude that the Appellate Division erred in finding that estoppel has been established as a matter of law. It is not clear to me, however, that a basis for estoppel cannot be established. More specifically, it is not clear to me that the Town has complied with its obligations under Town Code § 174-4, which says: ''The Town Superintendent of Highways shall transmit all notices of defect received by him or her pursuant to this article to the Town Clerk . . . The Town Clerk shall keep an indexed record, in a separate book, of all written notices received pursuant to this article.''

The record contains affidavits by two town employees, one from the Town Clerk's office and the other from the office of the Superintendent of Highways. Each employee says that ''part of my job duties is to maintain and search for records regarding complaints'' (the Town Clerk's employee adds ''and notices of claims''); that the employee has searched for records relating to a sidewalk defect at the location where plaintiff fell; and that the search was fruitless. But neither employee says that the Superintendent of Highways receives and transmits to the Town Clerk, or that the Town Clerk keeps an indexed record of, notices of such defects. In fact, neither employee says that any records of such defects exist, or have ever existed, in either office. There is evidence of one instance where a person concerned about a defect was told to notify the Department of Engineering Services (DES).

For all that appears in this record, DES may be the only town office that has ever kept any record of street or sidewalk defects.

If that is the case, the Town is in violation of its obligations under the Town Code, and it should be estopped from asserting a defense which would allow it to benefit from that violation.

To be clear, I do not suggest, and I do not think Judge Ciparick suggests, that an estoppel could exist merely because DES does the actual repair of roads and sidewalks or because, in order to do so, it must maintain a record of where the defects are. The majority is correct in saying that neither of these facts justifies ignoring the requirement of Town Code § 174-3 (A) that written notice of defects be ''actually given to the Town Clerk or the Town Superintendent of Highways.'' But if DES is the *only* body in the town that maintains records of such defects, the case is different.

''We have repeatedly made clear that estoppel cannot be invoked against a governmental agency to prevent it from discharging its statutory duties'' (*Matter of New York State Med. Transporters Assn. v Perales*, 77 NY2d 126, 130 [1990]). We have followed that rule even where the results are harsh (*Matter of Parkview Assoc. v City of New York*, 71 NY2d 274 [1988]; *Scruggs-Leftwich v Rivercross Tenants' Corp.*, 70 NY2d 849 [1987]). Those cases, however, are different in an important way from this one. In *Perales*, *Parkview* and *Scruggs-Leftwich*, a government agency had, in substance, authorized, invited or acquiesced in a private party's violation of the law. We held that the agency could not be estopped from changing its mind and enforcing the law strictly. We warned in *Perales* that to hold otherwise ''could easily result in large scale public fraud'' (77 NY2d at 130, quoting *Matter of E.F.S. Ventures Corp. v Foster*, 71 NY2d 359, 370 [1988]). The wisdom of that warning is clear to me, and I do not suggest we should retreat from this line of cases.

But this is not a case in which a government agency has treated, or said it would treat, a private party more favorably than the law permits. If the Town has indeed violated its record-keeping responsibilities, it has acted unlawfully in a way that injures private citizens, to the Town's advantage. In such a case, there is much less reason to shun the doctrine of estoppel. No one is seeking to prevent the Town from discharging its duties; there is no apparent danger of fraud.

We applied estoppel in *Bender v New York City Health & Hosps. Corp.* (38 NY2d 662 [1976]), a case bearing more resemblance to this one than those I have previously cited.

Bender, like this case, involved a defense of noncompliance with a statute requiring written notice—in *Bender*, a notice of claim against the New York City Health and Hospitals Corporation (HHC). Plaintiffs in *Bender* had mistakenly given notice to the City, instead of HHC; they claimed that the City and HHC, represented by the same counsel, had misled them so that they did not correct their error until it was too late. We ''specifically adopted the doctrine of estoppel in the notice of claim area'' (*id.* at 668), and remitted the case ''for a consideration of evidentiary facts as to whether or not there should be an estoppel'' (*id.* at 669). I think a similar result is warranted here.

Judges GRAFFEO, READ and JONES concur with Judge PIGOTT; Judge CIPARICK dissents and votes to modify in a separate opinion in which Chief Judge LIPPMAN concurs; Judge SMITH dissents in another opinion.

Order reversed, etc.

[907 NE2d 684, 879 NYS2d 806]

JOHN R. CONSEDINE, Respondent, v PORTVILLE CENTRAL SCHOOL DISTRICT et al., Appellants.

Argued February 11, 2009; decided April 7, 2009

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered March 14, 2008. The Appellate Division affirmed a judgment of the Supreme Court, Cattaraugus County (Larry M. Himelein, J.), entered after a nonjury trial, which had awarded plaintiff money damages in the stipulated principal amount of $144,423.30.

Consedine v Portville Cent. School Dist., 49 AD3d 1290, reversed.

HEADNOTE

Schools — Administrative Personnel — Right to Discharge Probationary Administrator during Probationary Term — Waiver

Although a school district can waive its statutory right to discharge a probationary school administrator at any time during the three-year probationary term (*see* Education Law § 3012 [1] [b]) by entering into a durational, three-year employment contract, defendant school district did not waive that statutory right by executing a contract which provided that defendant ''shall pay the Assistant Principal for his services at an annual salary of $52,000[,] for the period of January 1, 2003 through December 31, 200[5].'' Because public policy concerns were implicated, the school district would not be deemed to have waived its statutory rights under the Education Law without an explicit agreement between the parties or compelling evidence that the school district made a conscious decision to do so. The operative contractual language was too equivocal to establish that defendant consciously and expressly agreed to waive its statutory right under Education Law § 3012 (1) (b). Moreover, the trial testimony did not yield compelling evidence that such a waiver was contemplated by the parties.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Schools §§ 190–192, 204, 232.

MCKINNEY's, Education Law § 3012 (1) (b).

NY JUR 2d, Schools, Universities, and Colleges §§ 286, 311–313.

ANNOTATION REFERENCE

See ALR Index under Labor and Employment; Schools and Education.

FIND SIMILAR CASES ON WESTLAW®
Database: NY-ORCS
Query: school /2 district /s waiv! /p probationary

POINTS OF COUNSEL

Hodgson Russ LLP, Buffalo (*Hugh M. Russ, III,* and *Julia M. Hilliker* of counsel), for appellants. I. As a matter of law, the employment contract cannot guarantee the duration of plaintiff's employment. (*Matter of Averback v Board of Educ. of New Paltz Cent. School Dist.,* 147 AD2d 152, 74 NY2d 611; *Matter of Tyson v Hess,* 109 AD2d 1068; *Watson v Gugino,* 204 NY 535; *Martin v New York Life Ins. Co.,* 148 NY 117; *Chase v United Hosp.,* 60 AD2d 558; *Cartwright v Golub Corp.,* 51 AD2d 407; *Murphy v American Home Prods. Corp.,* 58 NY2d 293; *Weiner v McGraw-Hill, Inc.,* 57 NY2d 458; *Matter of Bergamini v Manhattan & Bronx Surface Tr. Operating Auth.,* 62 NY2d 897; *Matter of Ause v Regan,* 59 AD2d 317.) II. Neither party intended to enter into a contract for a guaranteed duration.

Office of General Counsel, School Administrators Association of New York State, Latham (*John F. Kershko* and *Arthur P. Scheuermann* of counsel), for respondent. I. The Portville Central School District must pay John Consedine's salary for at least the three-year contract period because it never discontinued his probationary appointment. (*Matter of Lezette v Board of Educ., Hudson City School Dist.,* 35 NY2d 272.) II. The employment contract must be enforced because its terms are clear and unambiguous. (*South Rd. Assoc., LLC v International Bus. Machs. Corp.,* 4 NY3d 272; *Vermont Teddy Bear Co. v 538 Madison Realty Co.,* 1 NY3d 470; *W.W.W. Assoc. v Giancontieri,* 77 NY2d 157; *Jacobson v Sassower,* 66 NY2d 991; *Reiss v Financial Performance Corp.,* 97 NY2d 195.) III. The Portville Central School District's abolishment of John Consedine's position did not destroy his contractual right to payment of his salary for the specified three-year period. (*Flanagan v Board of Educ., Commack Union Free School Dist.,* 47 NY2d 613; *Matter of Board of Educ. of Yonkers City School Dist. v Yonkers Fedn. of Teachers,* 40 NY2d 268; *Matter of Susquehanna Val. Cent. School Dist. at Conklin [Susquehanna Val. Teachers' Assn.],* 37 NY2d 614; *Matter of Averback v Board of Educ. of New Paltz Cent. School Dist.,* 147 AD2d 152; *Matter of Cohoes City School Dist. v Cohoes Teachers Assn.,* 40 NY2d 774; *Matter of Candor Cent. School Dist. [Candor Teachers Assn.],* 42 NY2d 266; *Rooney v Tyson,* 91 NY2d 685.) IV. The contract must be enforced because the Portville Central School District is accountable for its own agreements and business decisions. (*Reiss v Financial Performance Corp.,* 97 NY2d 195; *Vermont Teddy Bear Co. v 538 Madison Realty Co.,* 1 NY3d 470.)

Jay Worona, Latham, and *Kimberly A. Fanniff* for New York State School Boards Association, Inc., amicus curiae. I. Statutory law governing the employment of administrators like plaintiff-respondent precludes the formation of employment contracts of fixed duration. (*Matter of Averback v Board of Educ. of New Paltz Cent. School Dist.,* 147 AD2d 152.) II. Employment contracts, like the one herein, between school districts and administrators who are employed under Education Law § 3012 (1) (b) that purport to establish a fixed period of duration impermissibly impair the nondelegable authority of boards of education to consolidate and abolish positions for economic reasons. (*Matter of Young v Board of Educ. of Cent. School Dist. No. 6, Town of Huntington,* 41 AD2d 966; *Matter of Weimer v Board of Educ. of Smithtown Cent. School Dist. No. 1,* 76 AD2d 1046; *Board of Educ. of Cent. School Dist. No. 1 of Towns of Niagara, Wheatfield, Lewiston & Cambria v Niagara Wheatfield Teachers Assn.,* 54 AD2d 281, 41 NY2d 801; *Matter of Ryan v Ambach,* 71 AD2d 719.)

OPINION OF THE COURT

JONES, J.

This appeal requires us to determine: (1) whether a school district can waive its statutory right to discharge a probationary school administrator at any time during the three-year probationary term (*see* Education Law § 3012 [1] [b]) by entering into a durational, three-year employment contract; and (2) if so, whether defendant Portville Central School District in fact waived that statutory right by executing the contract at issue here. We conclude that the first question should be answered in the affirmative, but hold, under the facts and circumstances of this case, that defendant school district did not waive its statutory right under section 3012 (1) (b).

In 2002, defendant school district created a new assistant principal position and appointed plaintiff, a tenured teacher in another school district, to the post for a probationary period of three years (January 1, 2003 through December 31, 2005). In December 2002, plaintiff and defendant school district executed an employment contract, which, in relevant part, stated, ‘‘[t]he District shall pay [plaintiff] for his services an annual salary of

$52,000[,] for the period of January 1, 2003 through December 31, 200[5].'' In accordance with the foregoing, plaintiff began working as an assistant principal within the school district. Approximately six months later (in July 2003), defendant school district, citing budget constraints, eliminated plaintiff's assistant principal position and advised him that he would not be working in that capacity in the fall.

After serving a notice of claim, plaintiff commenced this breach of contract action against defendants seeking damages. Motion practice not relevant to resolution of this appeal ensued. After defendants answered, plaintiff moved (1) for summary judgment on his cause of action, (2) to dismiss defendants' defenses and (3) for sanctions. Defendants likewise moved for summary judgment to dismiss the complaint. Supreme Court denied the motions and ruled that a trial must be held to determine the intent of the parties.

After a bench trial, Supreme Court ruled that the employment contract was unambiguous, rendered judgment in plaintiff's favor and awarded him damages. The court stated, ''as a matter of law, . . . the employment agreement between the parties is a contract for a three year period of employment beginning January 1, 2003 and ending on December 31, 2005.'' Further, the court stated, ''notwithstanding Education Law § 3012, nothing prevented the [B]oard from extending plaintiff a three year contract . . . [A] school district is free to offer an administrator a three year probationary contract which cannot be terminated until the three years is over, and that is what occurred here.'' Supreme Court alternatively ruled that ''[e]ven if the court could not make this determination as a matter of law, the verdict would be the same'' because ''the extrinsic evidence here demonstrates that a three year period was intended.'' The Appellate Division affirmed without opinion (49 AD3d 1290 [2008]). This Court granted defendants leave to appeal (10 NY3d 925 [2008]), and we now reverse.

On appeal to this Court, defendants contend that plaintiff cannot maintain a breach of contract claim because Education Law § 3012 (1) (b) expressly prohibits a school district from entering a contract guaranteeing a nontenured administrator employment for a certain duration. Defendants further argue that even if no statutory prohibition existed, the contract at issue does not guarantee plaintiff employment for a set duration. In their view, the contract merely established the terms and conditions of plaintiff's probationary appointment. Countering defendants, plaintiff argues, in spite of the elimination of his position due to budget constraints, that defendant school district must pay plaintiff's annual salary for the specified three year period because the contract, by its plain terms, clearly and unambiguously accords plaintiff the right to such payments.

The current version of Education Law § 3012 (1) (b), enacted in 1975, provides:

> ''Principals, administrators, supervisors and all other members of the supervising staff of school districts . . . shall be appointed by the board of education . . . upon the recommendation of the superintendent of schools for a probationary period of three years.[1] The service of a person appointed to any of such positions may be discontinued at any time during the probationary period on the recommendation of the superintendent of schools, by a majority vote of the board of education.''

In construing a statute,

> ''[t]he primary consideration of courts . . . is to ascertain and give effect to the intention of the Legislature. Of course, the words of the statute are the best evidence of the Legislature's intent. As a general rule, unambiguous language of a statute is alone determinative. Nevertheless, the legislative history of an enactment may also be relevant and is not to be ignored, even if words be clear. When aid to construction of the meaning of words, as used in the statute, is available, there certainly can be no rule of law which forbids its use, however clear the words may appear on superficial examination. Pertinent also are the history of the times, the circumstances surrounding the statute's passage, and . . . attempted amendments. Varying concerns may bear on the weight to be given legislative history, but they do not justify abandoning this Court's long tradition of using all available interpretive tools to ascertain the meaning of a statute'' (*Riley v County of Broome*, 95 NY2d 455, 463-464 [2000] [citations

1. Once the probationary term has expired, the superintendent of schools shall make a written report recommending appointees found to be competent, efficient and satisfactory for appointment on tenure (*see* Education Law § 3012 [2]). Appointees granted tenure cannot be removed except for cause after a hearing conducted pursuant to Education Law § 3020-a.

and internal quotation marks omitted]; *see also Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 583 [1998]).

Although the language of Education Law § 3012 (1) (b) plainly states that the service of an appointed school administrator may be discontinued by a board of education at any time during his or her probationary period, it does not, as defendants argue, expressly prohibit a board of education from entering into a durational, three-year employment contract with a probationary school administrator. Nor does the legislative history of section 3012 (1) (b) clearly indicate whether the Legislature intended to allow boards of education to (1) enter into durational contracts during the three-year probationary term or (2) waive their statutory right to discontinue a probationary appointee's service during the probationary term for any reason or no reason.

The legislative history of Education Law § 3012 (1) (b) primarily addresses whether school principals, administrators and supervisory personnel should have tenure. Prior to 1971, teachers, principals and other supervisors had the same tenure rights. Between 1971 and 1975, the Legislature, in an attempt to replace the tenure system, amended the statute three times (*see* L 1971, ch 116 [boards of education no longer authorized to grant tenure to school administrators]; L 1972, ch 953, § 3 [boards of education have discretion to enter into employment contracts "with any principal, supervisor, or member of the supervising staff for a period of from one to five years"]; L 1974, ch 952 [boards of education required to enter into employment contracts with administrative and supervisory personnel (other than superintendents) for one to three years for the first three years of employment in the position and from three to five years thereafter]).

In 1975, Education Law § 3012 (1) (b) was amended to its current version (*see* L 1975, ch 468, § 3). These amendments marked the removal of the language relating to employment contracts (*id.*) and reinstated a tenure-based system. Beyond the general objective of restoring tenure, there is nothing (such as a memorandum from an Assembly or Senate sponsor) to indicate any other legislative purpose of these amendments (*see* Bill Jacket, L 1975, ch 468). Stated differently, from the legislative history of the 1975 amendments, we cannot glean a clear legislative intent to prohibit school boards and districts from entering durational employment contracts with nontenured, probationary school administrators or supervisors.

After the Legislature adopted the 1975 amendments, the Commissioner of Education issued several decisions stating that Education Law § 3012 (1) (b)—and statutes with identical language pertaining to city school districts—only authorized school boards and districts to contract for terms of employment, not employment for a specific duration (*see Matter of Charland*, 32 Ed Dept Rep 291, 294 [1992]; *Matter of Savino*, 18 Ed Dept Rep 485 [1979]; *Matter of Hoffman*, 18 Ed Dept Rep 466, 468 [1979]). However, we do not view the Commissioner's decisions as persuasive because (1) the text and legislative history of section 3012 (1) (b) do not clearly support the Commissioner's conclusions and (2) they either do not reference and/or are inconsistent with this Court's relevant precedent construing other Education Law provisions (*see e.g. Matter of Cohoes City School Dist. v Cohoes Teachers Assn.*, 40 NY2d 774 [1976]; *Matter of Candor Cent. School Dist. [Candor Teachers Assn.]*, 42 NY2d 266 [1977]).

In *Cohoes*, we stated that "*[w]hile a [school] board may legally agree to . . . forego its [statutory] right to discharge a probationary teacher during the period of probation*, under the Education Law a board cannot surrender its authority to terminate the employment of a nontenured teacher at the end of the probationary period" (40 NY2d at 777 [emphasis added]; *see also Candor*, 42 NY2d at 272). Although *Cohoes* resolved a question involving tenure rights of a teacher in the context of collective bargaining, there are important similarities between the statutes involved in *Cohoes* and the statute relied upon by defendants in this case. Specifically, in *Cohoes* we made the above-quoted statement regarding a board's ability to forgo its statutory discharge rights despite statutory provisions relating to teacher tenure rights stating that "[t]he service of a person appointed to any of such positions may be discontinued at any time during such probationary period" (*see* Education Law § 2509 [1] [a] [applicable to small city school districts]; § 2573 [1] [a] [applicable to large city school districts]; § 3012 [1] [a] [applicable to non-city school districts]). Education Law § 3012 (1) (b)—the statutory provision at issue here—contains the very same operative language as the teacher tenure statutes at issue in *Cohoes*.

Further, *Cohoes* implicitly holds that a school board or district may enter into a private employment contract with a teachers' union without express statutory authority for such action. This position is not only consistent with our precedent (*see Board of Educ. of Union Free School Dist. No. 3 of Town of Huntington v*

Associated Teachers of Huntington, 30 NY2d 122, 129 [1972] [Court rejected school board's argument "that, absent a statutory provision *expressly* authorizing a school board to provide for a particular term or condition of employment, it is legally prohibited from doing so"]), it is consistent with common sense: in performing their normal administrative and managerial functions, school boards and districts necessarily enter into different types of contracts that are not expressly authorized by statute.

Because the enforcement of a contract term negotiated by a school district and an individual, as opposed to a union, is at issue, the question we need to resolve is whether the school district could agree not to exercise its statutory right to terminate a school administrator during the probationary period. Based on the foregoing discussion of the statutory text and legislative history of Education Law § 3012 (1) (b), as well as *Cohoes*, there is no plain and clear restriction on a school district preventing it from entering such an agreement. Thus, we hold that a school district can waive its statutory right to discharge a probationary school administrator at any time during the three-year probationary term. Absent an express waiver, the school district retains the right. We now consider whether the contract at issue established a waiver of defendant school district's rights under section 3012 (1) (b).

"[W]hen parties set down their [contract] in a clear, complete document, their writing should . . . be enforced according to its terms" (*Vermont Teddy Bear Co. v 538 Madison Realty Co.*, 1 NY3d 470, 475 [2004], quoting *W.W.W. Assoc. v Giancontieri*, 77 NY2d 157, 162 [1990]). A contract should be read as a whole to ensure that undue emphasis is not placed upon particular words and phrases (*see South Rd. Assoc., LLC v International Bus. Machs. Corp.*, 4 NY3d 272, 277 [2005], citing *Matter of Westmoreland Coal Co. v Entech, Inc.*, 100 NY2d 352, 358 [2003]). Courts "may not by construction add or excise terms, nor distort the meaning of those used and thereby make a new contract for the parties under the guise of interpreting the writing" (*Vermont Teddy Bear*, 1 NY3d at 475, quoting *Reiss v Financial Performance Corp.*, 97 NY2d 195, 199 [2001]). "Whether a contract is ambiguous is a question of law and extrinsic evidence may not be considered unless the document itself is ambiguous" (*South Rd. Assoc.*, 4 NY3d at 278, citing *Greenfield v Philles Records*, 98 NY2d 562, 569 [2002]).

The contract at issue provides: "The District shall pay the Assistant Principal for his services at an annual salary of

$52,000[,] for the period of January 1, 2003 through December 31, 200[5].'' Unlike the case at bar, in a private employment contract context where the strictures of the Education Law (or any other statutory scheme providing for probationary periods and/or tenure rights) are not present, this language could arguably be construed as creating a contract with a specific duration. Here, however, the question whether the language amounts to a waiver of rights must be determined in light of the public policy concerns attending the employment of school administrators and supervisors and a school district's statutory right to discontinue a probationary administrator's service at any time for any or no reason during the probationary period. Specifically, where, as here, public policy concerns are implicated, a school district will not be deemed to have waived its statutory rights under the Education Law without an explicit agreement between the parties or compelling evidence that the school district made a conscious decision to do so (*see Matter of Buffalo Police Benevolent Assn. [City of Buffalo]*, 4 NY3d 660, 663-664 [2005]).

Applying the foregoing, we hold that the operative contractual language is simply too equivocal to establish that defendant school district consciously and expressly agreed to waive its statutory right under Education Law § 3012 (1) (b). Moreover, the trial testimony did not yield compelling evidence that such a waiver was contemplated by the parties.[2]

Accordingly, the order of the Appellate Division should be reversed, with costs, and the complaint dismissed.

Judges CIPARICK, GRAFFEO, READ, SMITH and PIGOTT concur; Chief Judge LIPPMAN taking no part.

Order reversed, etc.

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2. Because we hold that no waiver occurred here, we express no view on what impact, if any, a school district's conscious and express waiver of its Education Law § 3012 (1) (b) rights would have on an employee's rights where the district abolished the employee's position for economic reasons.

[907 NE2d 692, 879 NYS2d 814]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JOSEPH GOLDSTEIN, Appellant.

Argued April 1, 2009; decided April 30, 2009

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the Third Judicial Department, from an order of that Court, entered May 22, 2008. The Appellate Division affirmed a judgment of the Sullivan County Court (Burton Ledina, J.), which had convicted defendant, upon his plea of guilty, of reckless endangerment in the first degree (two counts) and aggravated unlicensed operation of a motor vehicle in the first degree.

People v Goldstein, 51 AD3d 1271, affirmed.

HEADNOTES

Crimes — Plea Bargaining — Accuracy of Information Regarding Sentencing Exposure

1. Defendant, who pleaded guilty to reckless endangerment in the first degree (two counts) and aggravated unlicensed operation of a motor vehicle in the first degree, was not misinformed as to the possibility of receiving consecutive sentences if he went to trial. The court accurately represented to defendant prior to the entry of his plea that a consecutive sentence was possible, but that under the plea bargain the sentence would be concurrent. Although it was arguable that the allegations of the indictment and facts adduced at the allocution did not sufficiently demonstrate that the two counts of reckless endangerment were based on distinct acts for which consecutive sentences could be imposed, the conduct underlying the count alleging aggravated unlicensed operation of a motor vehicle was distinct from that involved in the ensuing reckless endangerment offenses and thus permitted a consecutive sentence. Defendant's plea, then, would have afforded him the considerable benefit of avoiding exposure to consecutive sentences had he appeared for sentencing as directed. While the plea court grossly misrepresented defendant's exposure to consecutive sentencing in the course of administering *Parker* warnings, this occurred after the plea had been entered. There was no indication that the misinformation figured in defendant's decision to plead as he did.

Crimes — Plea of Guilty — Sufficiency of Allocution

2. In a prosecution premised upon allegations that defendant drove his vehicle at a high speed through a one-lane construction zone into oncoming traffic, causing flagmen at each end of the zone to jump out of the way of his vehicle, defendant's allocution at the time of his plea of guilty to two counts of reckless endangerment in the first degree was adequate. Defendant's claimed inability to state whether he had passed perilously close to the construction zone flagmen did not negate the accusation that he had acted with depraved indifference, which is elemental to first degree reckless endangerment. An

allocution based on a negotiated plea need not elicit from a defendant specific admissions as to each element of the charged crime. Defendant, represented by counsel and no novice to the criminal justice system, clearly understood the nature of the charges to which he was pleading and willingly entered his plea to obtain the benefit of the bargain he had struck.

Crimes — Plea Bargaining — Enforcement of Agreement

3. No abuse of discretion occurred when the court enhanced defendant's sentence by reason of his failure to appear for sentencing on the appointed date, without affording him an opportunity to substantiate his proffered psychiatric excuse for his absence. Had there been any plausible psychiatric reason for defendant's failure to appear on the two prior scheduled sentencing dates, it would be expected that defendant would have been prepared at sentencing with some supporting documentation, particularly after a warrant had been issued to secure his appearance. Under the circumstances, including defendant's extensive history of nonappearances, the court's decision to proceed with sentencing, and to enhance the sentence by reason of defendant's failure to heed the *Parker* warnings he had been given, did not rise to the level of an abuse of discretion.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 600, 619, 620, 628–630, 659, 663, 664, 744, 752, 793.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:1550, 172:1570, 172:1575, 172:1588, 172:3894, 172:3969, 172:3977.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 21.3–21.5, 26.3.

NY JUR 2d, Criminal Law: Procedure §§ 1483–1485, 1497, 1507–1514, 1518, 1524, 1529, 1530, 2919, 2925.

ANNOTATION REFERENCE

See ALR Index under Allocution; Concurrent and Consecutive Sentences; Guilty Pleas; Sentence and Punishment.

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POINTS OF COUNSEL

Law Offices of Jacob Laufer, P.C., New York City (*Jacob Laufer* and *Shulamis Peltz* of counsel), for appellant. I. The guilty plea was not knowingly, voluntarily and intelligently entered. It should not have been accepted, and County Court further erred in denying Joseph Goldstein's motion to withdraw his guilty plea. (*Brady v United States,* 397 US 742; *Boykin v Alabama,* 395 US 238; *Kercheval v United States,* 274 US 220; *People v Ford,* 86 NY2d 397; *People v Harris,* 61 NY2d 9; *Hill v Lockhart,* 474 US 52; *People v McDonald,* 1 NY3d 109; *People v Louree,* 8 NY3d 541; *People v Catu,* 4 NY3d 242; *People v Picciotti,* 4 NY2d 340.) II. The sentences could not have been imposed consecutively. (*People v Laureano,* 87 NY2d 640; *People v Rodriguez,* 217 AD2d 403, 87 NY2d 850; *People v Rosas,* 8 NY3d 493; *People v Kendrick,* 261 AD2d 646, 93 NY2d 1021; *People v Moffitt,* 20 AD3d 687; *People v Kindlon,* 217 AD2d 793; *People v Keindl,* 68 NY2d 410; *People v Shack,* 86 NY2d 529; *People v Okafore,* 72 NY2d 81; *Matter of Johnson v Morgenthau,* 69 NY2d 148.) III. Joseph Goldstein's legal representation was constitutionally infirm. His counsel made no motions, misadvised him regarding his sentencing exposure, and inexplicably advised him to plead guilty several days following his indictment to an agreed-upon sentence that resulted in the maximum sentence he would have faced after trial. (*Strickland v Washington,* 466 US 668; *People v McDonald,* 1 NY3d 109; *Hill v Lockhart,* 474 US 52; *People v Benevento,* 91 NY2d 708; *People v Ozuna,* 7 NY3d 913; *People v Caban,* 5 NY3d 143; *People v Rivera,* 71 NY2d 705; *People v DiLorenzo,* 39 AD3d 1032; *People v Masters,* 36 AD3d 959; *People v Grimes,* 35 AD3d 882.) IV. County Court erred in summarily enhancing the agreed-upon sentence, following defendant's nonappearance for sentencing, when defendant, who had voluntarily appeared on the adjourned date, and was in custody, protested that there was psychiatric proof explaining his earlier nonappearance and requested a brief adjournment to have his attorney of record (and not an attorney who had appeared at sentencing in his stead) represent him and present this evidence. Moreover, an enhanced consecutive sentence that would have been improper ab initio could not be imposed for failure to appear. (*People v Parker*, 57 NY2d 136; *People v Terrell,* 41 AD3d 1044; *People v Parker*, 271 AD2d 63, 95 NY2d 967; *People v Outley,* 80 NY2d 702; *People v Perham,* 263 AD2d 766; *People v Bowden,* 221 AD2d 723, 87 NY2d 919; *People v Carpenter,* 256 AD2d 1205, 93 NY2d 871; *People v Jenkins,* 29 AD3d 1177, 9 NY3d 991; *People v Knowles,* 244 AD2d 425; *People v De Maio,* 304 AD2d 988.)

Stephen F. Lungen, District Attorney, Monticello (*Karen Mannino, Bonnie M. Mitzner* and *Stephen Wyder* of counsel), for respondent. I. Appellant's pleas were voluntarily entered. (*Boykin v Alabama,* 395 US 238; *Brady v United States,* 397 US 742; *People v Luster,* 148 AD2d 305, 74 NY2d 666; *People v Davis,* 12

AD3d 237; *People v Kendrick,* 261 AD2d 646, 93 NY2d 1021; *People v Smith,* 113 AD2d 905, 66 NY2d 922; *People v Purnell,* 22 AD3d 871; *People v Hardy,* 32 AD3d 1317, 7 NY3d 925; *People v Moffitt,* 20 AD3d 687, 5 NY3d 854; *People v Nixon,* 21 NY2d 338, 393 US 1067.) II. The trial court properly exercised its discretion by accepting appellant's guilty pleas and by denying his motion to withdraw the pleas. (*People v Alexander,* 97 NY2d 482; *People v Ramos,* 63 NY2d 640; *People v Knowles,* 244 AD2d 425; *People v Grady,* 110 AD2d 780; *People v Baret,* 11 NY3d 31; *People v McKennion,* 27 NY2d 671.) III. The trial court properly enhanced appellant's sentence based on his failure to appear for sentencing. (*People v Outley,* 80 NY2d 702; *People v Parker,* 57 NY2d 136.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

Defendant was charged by indictment with two counts of reckless endangerment in the first degree (Penal Law § 120.25), one count of aggravated unlicensed operation of a motor vehicle in the first degree (Vehicle and Traffic Law § 511 [3]) and numerous misdemeanors and violations. According to the indictment, defendant, while driving with a suspended license, was pulled over by a police officer for failing to observe a stop sign. When asked by the officer to produce his license, defendant sped away, committing numerous traffic offenses and, in the course of being chased, drove his Ford Explorer at a high speed through a one-lane construction zone into oncoming traffic, causing flagmen at each end of the zone to jump out of the way of his vehicle. Defendant's license had been suspended some 28 times and he had an extensive criminal record, including at least two felonies. He was on probation at the time of the events here at issue.

At the plea proceedings, defendant was informed by the court that, if he went to trial and was convicted, he faced consecutive sentences. Defendant indicated in substance that, in accordance with the previously agreed upon plea bargain, he wished to enter a plea of guilty to the indictment's top three counts in full satisfaction of the accusatory instrument and understood that he would be sentenced to concurrent terms, the longest of which would be $3\frac{1}{2}$ to 7 years. He acknowledged that, at the time of the events in question, he had been driving in the town of Liberty, New York without a valid license; that his license had previously been suspended on 28 occasions; that he drove a Ford Explorer through a construction zone "pretty fast"; and that he observed, but did not obey, flagmen directing traffic into and out of the single lane passing through the work zone. During this allocution, the following exchange took place:

> "THE COURT: And did you ignore the traffic directions and cause one of the construction workers to jump out of the way to avoid being hit by your car? . . .
>
> "THE DEFENDANT: I don't know if he jumped out, your honor. I know I went by.
>
> "THE COURT: Very close. You could have killed him if you hit him?
>
> "THE DEFENDANT: I don't think so. I don't know.
>
> "THE COURT: You didn't kill him, of course. But, you came so close that you created a situation that was very dangerous.
>
> "[DEFENSE COUNSEL]: Your honor, we don't dispute the allegation. My client has no recollection of particular individuals. But, we don't dispute the allegations and I have had an opportunity to review the allegations, as well as the statement with my client, and we don't dispute the voracity [*sic*] of the situation."

After accepting defendant's plea, the court warned defendant that his failure to appear for sentencing on the appointed date would result in a sentence of 12 to 48 years. It is clear that a sentence of that length could not have been imposed.

Some 3½ months after entering his plea, defendant, represented by new counsel, moved unsuccessfully before a different judge to withdraw it.

The essential issues raised on the motion, and upon which the Appellate Division Justices differed in their disposition of the ensuing appeal to that Court, are whether defendant was misinformed as to what appears to have been the only real benefit of his plea (i.e., concurrent as opposed to consecutive sentences), and whether the allocution was fatally defective with respect to the reckless endangerment counts. These issues, decided against defendant by the Appellate Division majority (51 AD3d 1271 [2008]), are now before us by leave of a Justice of that Court (CPL 460.20; 11 NY3d 743 [2008]).

[1] Defendant's contention that he was misinformed as to the possibility of receiving consecutive sentences if he went to trial is without merit. While it is arguable that the allegations of the indictment and facts adduced at the allocution did not sufficiently demonstrate that the two reckless endangerment counts were based on distinct acts for which consecutive sentences could be imposed—since neither the indictment nor the allocution indicated the length of the construction zone or the interval between the defendant's alleged near misses of the construction zone flagmen (*see generally People v Laureano*, 87 NY2d 640, 644 [1996])—it is clear, and, indeed, on this point the Appellate Division Justices agreed, that the conduct underlying the count alleging aggravated unlicensed operation of a motor vehicle was distinct from that involved in the ensuing reckless endangerment offenses and thus permitted a consecutive sentence. Defendant's plea, then, would have afforded him the considerable benefit of avoiding exposure to consecutive sentences had he appeared for sentencing as directed. This being the case, defendant's contentions that he was misled into a worthless plea bargain and that he was denied effective representation in connection with the plea bargain would appear untenable. While it is true that the plea court grossly misrepresented defendant's exposure to consecutive sentencing in the course of administering *Parker* warnings (*see People v Parker*, 57 NY2d 136 [1982]), this occurred after the plea had been entered. There is no indication that the misinformation figured in defendant's decision to plead as he did. The only representation of record made to the defendant by the court prior to the entry of his plea was, simply, that a consecutive sentence was possible, but that under the plea bargain the sentence would be concurrent. This was accurate.

[2] The argument as to the adequacy of the allocution is based on defendant's claimed inability, when asked, to state whether he had passed perilously close to the construction zone flagmen. Defendant's asserted ignorance on this point is said to negate the mental state of depraved indifference, which is elemental to first degree reckless endangerment (*see People v Feingold*, 7 NY3d 288 [2006]). But defendant's professed inability at the time of the plea to remember whether he nearly hit the flagmen does not ''negate'' the accusation that he acted with depraved indifference at the time of the incident. Defendant's counsel explained that although defendant did not remember the ''particular individuals,'' he and his client had reviewed the allegations and did not dispute them. Certainly, the court was not presented with a protestation of innocence.

If the issue were whether the facts specifically admitted by defendant during the allocution would, if proved, suffice to support a conviction, the question would be close; defendant ably argues that what was made out in the allocution itself amounted to no more than second degree reckless endangerment (Penal

Law § 120.20), a non-depraved indifference offense. But an allocution based on a negotiated plea need not elicit from a defendant specific admissions as to each element of the charged crime. Nor is ''[t]he court's duty to inquire further . . . triggered merely by the failure of a pleading defendant, whether or not represented by counsel, to recite every element of the crime pleaded to'' (*see People v Lopez*, 71 NY2d 662, 666 n 2 [1988]). Indeed, no catechism is required in connection with the acceptance of a plea (*see People v Nixon*, 21 NY2d 338, 350 [1967]) and we have refused to disturb pleas by canny defendants even when there has been absolutely no elicitation of the underlying facts of the crime (*see People v Fooks*, 21 NY2d 338, 350 [1967] [decided with *People v Nixon*]). It is enough that the allocution shows that the defendant understood the charges and made an intelligent decision to enter a plea (*id.*). Here, the allocution was adequate to meet these purposes. The defendant, represented by counsel and no novice to the criminal justice system, clearly understood the nature of the charges to which he was pleading and willingly entered his plea to obtain the benefit of the bargain he had struck.

[3] Defendant's remaining argument is that the court abused its discretion when it enhanced his sentence by reason of his failure to appear for sentencing on the appointed date, without affording him an opportunity to substantiate his proffered psychiatric excuse for his absence. However, had there been any plausible psychiatric reason for defendant's failure to appear on the two prior scheduled sentencing dates, it is to be expected that defendant would have been prepared at sentencing with some supporting documentation, particularly after a warrant had been issued to secure his appearance. Under the circumstances, including, notably, defendant's extensive history of nonappearances—many of his license suspensions having resulted from failing to appear—the court's decision to proceed with sentencing, and to enhance the sentence by reason of defendant's failure to heed the *Parker* warnings he had been given, did not rise to the level of an abuse of discretion.

Accordingly, the order of the Appellate Division should be affirmed.

Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Order affirmed.

[908 NE2d 875, 880 NYS2d 885]

PIONEER TOWER OWNERS ASSOCIATION, Respondent, v STATE FARM FIRE & CASUALTY COMPANY et al., Appellants.

Argued March 31, 2009; decided April 30, 2009

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered May 6, 2008. The Appellate Division modified, on the law, a judgment of the Supreme Court, Nassau County (Thomas Feinman, J.; *see* 15 Misc 3d 1127[A], 2007 NY Slip Op 50869[U]), which, upon an order of that court granting a motion by plaintiff for summary judgment on the issue of liability and a stipulation as to damages, had awarded plaintiff the principal sum of $122,500 against defendants. The modification consisted of adding a provision to the judgment declaring that the loss to plaintiff's property was covered under the insurance policy issued by defendants. The Appellate Division affirmed the judgment as modified.

Pioneer Tower Owners Assn. v State Farm Fire & Cas. Co., 51 AD3d 649, affirmed.

HEADNOTE

Insurance — Exclusions — Earth Movement — Settling or Cracking — Damage Caused by Excavation on Adjoining Lot

Plaintiff was entitled to recover under an insurance policy for cracks and other damage that appeared in its building when excavation on an adjacent lot caused earth to slide away beneath the building, notwithstanding policy exclusions for ''earth movement'' and ''settling [or] cracking.'' The exclusions did not unambiguously remove the event from the policy's coverage. Policy exclusions have been enforced only where they have been found to have a definite and precise meaning, unattended by danger of misconception, and concerning which there is no reasonable basis for a difference of opinion. Although both plaintiff's and defendant's readings of the clauses at issue were reasonable, precedent required adoption of readings that narrowed the exclusions, and resulted in coverage.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Insurance §§ 486, 520, 526.
COUCH ON INSURANCE (3d ed) §§ 153:64–153:67, 153:72.
NY JUR 2d, Insurance §§ 770, 781, 1564, 1585.

ANNOTATION REFERENCE

Property insurance: construction and effect of provision excluding loss caused by earth movement or earthquake. 44 ALR3d 1316.

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POINTS OF COUNSEL

Rivkin Radler LLP, Uniondale (*Stuart M. Bodoff, Evan H. Krinick, Cheryl F. Korman* and *Michael A. Troisi* of counsel), for appellants. I. Plaintiff's loss is excluded from coverage under the earth movement exclusion in the policy. (*Matter of Covert,* 97 NY2d 68; *Vigilant Ins. Co. v Bear Stearns Cos., Inc.,* 10 NY3d 170; *White v Continental Cas. Co.,* 9 NY3d 264; *Bailey v Fish & Neave,* 8 NY3d 523; *Baughman v Merchants Mut. Ins. Co.,* 87 NY2d 589; *Seaboard Sur. Co. v Gillette Co.,* 64 NY2d 304; *Belt Painting Corp. v TIG Ins. Co.,* 100 NY2d 377; *Teichman v Community Hosp. of W. Suffolk,* 87 NY2d 514; *Sanabria v American Home Assur. Co.,* 68 NY2d 866; *United States Fid. & Guar. Co. v Annunziata,* 67 NY2d 229.) II. Plaintiff's loss is excluded from coverage by the settling and cracking exclusion in the policy. (*Holy Angels Academy v Hartford Ins. Group,* 127 Misc 2d 1024; *242-44 E. 77th St., LLC v Greater N.Y. Mut. Ins. Co.,* 31 AD3d 100; *New York Univ. v Continental Ins. Co.,* 87 NY2d 308; *Preserver Ins. Co. v Ryba,* 10 NY3d 635; *Matter of Worcester Ins. Co. v Bettenhauser,* 95 NY2d 185; *Topliffe v US Art Co., Inc.,* 40 AD3d 967.) III. Plaintiff's loss is excluded from coverage under the defective construction exclusion in the policy. (*Matter of Couch v Perales,* 78 NY2d 595; *Telaro v Telaro,* 25 NY2d 433; *242-44 E. 77th St., LLC v Greater N.Y. Mut. Ins. Co.,* 31 AD3d 100.)

Kushnick & Associates, P.C., Melville (*Lawrence A. Kushnick, Vincent T. Pallaci* and *Craig H. Handler* of counsel), for respondent. I. The earth movement exclusion does not apply because the damage was not the result of natural earth movement. (*RJC Realty Holding Corp. v Republic Franklin Ins. Co.,* 2 NY3d 158; *Belt Painting Corp. v TIG Ins. Co.,* 100 NY2d 377; *Ruge v Utica First Ins. Co.,* 32 AD3d 424; *Natural Stone Indus., Inc. v Utica Natl. Assur. Co.,* 29 AD3d 758; *Edwards v Allstate Ins. Co.,* 16 AD3d 368; *242-44 E. 77th St., LLC v Greater N.Y. Mut. Ins. Co.,* 31 AD3d 100; *Cali v Merrimack Mut. Fire Ins. Co.,* 43 AD3d 415; *Sheehan v State Farm Fire & Cas. Co.,* 239 AD2d 486; *Kula v State Farm Fire & Cas. Co.,* 212 AD2d 16, 87 NY2d 953;

Wyatt v Northwestern Mut. Ins. Co. of Seattle, 304 F Supp 781.) II. In accordance with the ejusdem generis doctrine, the earth movement exclusion only applies to natural earth movement, not to the removal of earth by unnatural means. (*Holy Angels Academy v Hartford Ins. Group,* 127 Misc 2d 1024; *242-44 E. 77th St., LLC v Greater N.Y. Mut. Ins. Co.,* 31 AD3d 100.) III. State Farm Fire & Casualty Company cannot establish that the earth movement exclusion applies. (*White v Continental Cas. Co.,* 9 NY3d 264; *Matter of New York Cent. Mut. Fire Ins. Co. v Ward,* 38 AD3d 898; *Penna v Federal Ins. Co.,* 28 AD3d 731; *Tomco Painting & Contr., Inc. v Transcontinental Ins. Co.,* 21 AD3d 950; *Bassuk Bros. v Utica First Ins. Co.,* 1 AD3d 470; *Marshall v Tower Ins. Co. of N.Y.,* 44 AD3d 1014; *City of New York v Evanston Ins. Co.,* 39 AD3d 153; *242-44 E. 77th St., LLC v Greater N.Y. Mut. Ins. Co.,* 31 AD3d 100; *Villanueva v Preferred Mut. Ins. Co.,* 48 AD3d 1015.) IV. The settling and cracking exclusion does not apply. (*Adames v Nationwide Mut. Fire Ins. Co.,* 55 AD3d 513; *City of Kingston v Harco Natl. Ins. Co.,* 46 AD3d 1320; *Maroney v New York Cent. Mut. Fire Ins. Co.,* 10 AD3d 778; *Benjamin Shapiro Realty Co. v Agricultural Ins. Co.,* 287 AD2d 389; *North Am. Foreign Trading Corp. v Mitsui Sumitomo Ins. USA, Inc.,* 499 F Supp 2d 361; *TIG Ins. Co. v Town of Cheektowaga,* 142 F Supp 2d 343; *Holy Angels Academy v Hartford Ins. Group,* 127 Misc 2d 1024; *242-44 E. 77th St., LLC v Greater N.Y. Mut. Ins. Co.,* 31 AD3d 100; *Seaboard Sur. Co. v Gillette Co.,* 64 NY2d 304; *Matter of Mostow v State Farm Ins. Cos.,* 88 NY2d 321.) V. The defective construction exclusion is not applicable. (*Quain v Buzzetta Constr. Corp.,* 69 NY2d 376; *Bingham v New York City Tr. Auth.,* 99 NY2d 355; *Adames v Nationwide Mut. Fire Ins. Co.,* 55 AD3d 513; *City of Kingston v Harco Natl. Ins. Co.,* 46 AD3d 1320; *Maroney v New York Cent. Mut. Fire Ins. Co.,* 10 AD3d 778; *Benjamin Shapiro Realty Co. v Agricultural Ins. Co.,* 287 AD2d 389; *Penna v Federal Ins. Co.,* 28 AD3d 731; *Tomco Painting & Contr., Inc. v Transcontinental Ins. Co.,* 21 AD3d 950; *Bassuk Bros. v Utica First Ins. Co.,* 1 AD3d 470; *242-44 E. 77th St., LLC v Greater N.Y. Mut. Ins. Co.,* 31 AD3d 100.)

LHB Pacific Law Partners, LLP, Emeryville, California (*Clarke B. Holland* and *Lisa L. Kirk* of counsel), and *Pastel & Rosen, LLP,* Albany (*Robert S. Pastel* of counsel), for New York Insurance Association, Inc., and others, amici curiae. I. Plaintiff's loss is excluded from coverage under the earth movement exclusion in the policy. (*Kula v State Farm Fire & Cas. Co.,* 212 AD2d 16; *Tuepker v State Farm Fire & Cas. Co.,* 507 F3d 346; *Alamia* *v Nationwide Mut. Fire Ins. Co.,* 495 F Supp 2d 362; *Leonard v Nationwide Mut. Ins. Co.,* 499 F3d 419; *TNT Speed & Sport Ctr., Inc. v American States Ins. Co.,* 114 F3d 731; *Schroeder v State Farm Fire & Cas. Co.,* 770 F Supp 558; *Sheehan v State Farm Fire & Cas. Co.,* 239 AD2d 486; *Casey v General Acc. Ins. Co.,* 178 AD2d 1001; *Cali v Merrimack Mut. Fire Ins. Co.,* 43 AD3d 415.) II. Plaintiff's loss is excluded from coverage under the defective construction exclusion in the policy. (*242-44 E. 77th St., LLC v Greater N.Y. Mut. Ins. Co.,* 31 AD3d 100.) III. Plaintiff's loss is excluded from coverage under the settling and cracking exclusion in the policy.

OPINION OF THE COURT

SMITH, J.

Plaintiff seeks recovery under an insurance policy for damage to its building that resulted from an excavation on an adjacent lot. We hold that policy exclusions for ''earth movement'' and ''settling [or] cracking'' did not unambiguously remove this event from the policy's coverage.

I

Plaintiff is the owner of a condominium apartment building. After cracks began appearing in the building, a structural engineer was called in. He found a number of cracks, separations and open joints, and concluded that they were caused by work that was in progress on the lot next door. That lot was being excavated, and underpinning had been built to protect the foundation of plaintiff's building. The engineer concluded, and it is undisputed in this case, that the underpinning was flawed, and that as a result earth slid away beneath plaintiff's building, causing damage.

Plaintiff submitted a claim for the damage to defendant State Farm Fire & Casualty Company (defendant), which had insured the building against ''accidental direct physical loss.'' Defendant disclaimed coverage, relying on the ''earth movement'' exclusion in its policy, which says:

> ''We do not insure under any coverage for any loss which would not have occurred in the absence of one or more of the following excluded events. We do not insure for such loss regardless of: (a) the cause of the excluded event; or (b) other causes of the loss;

> or (c) whether other causes acted concurrently or in any sequence with the excluded event to produce the loss . . .
>
> "b. earth movement, meaning the sinking, rising, shifting, expanding or contracting of earth, all whether combined with water or not. Earth movement includes but is not limited to earthquake, landslide, erosion, and subsidence but does not include sinkhole collapse.
>
> "But if accidental direct physical loss by fire, explosion other than explosion of a volcano, theft or building glass breakage results, we will pay for that resulting loss."

Plaintiff brought this action to recover for its loss. In litigation, defendant and amici supporting it rely not only on the earth movement exclusion but on several others, of which we think only one requires discussion. That exclusion, the settling or cracking exclusion, says:

> "We do not insure for loss either consisting of, or directly and immediately caused by, one or more of the following: . . .
>
> "f. settling, cracking, shrinking, bulging or expansion.
>
> "But if accidental direct physical loss by any of the 'Specified Causes of Loss' or by building glass breakage results, we will pay for that resulting loss."

None of the "Specified Causes of Loss"—a 14-item list, including fire, windstorm and water damage among other things—is present in this case.

On cross motions for summary judgment, Supreme Court ruled in plaintiff's favor on the issue of liability (15 Misc 3d 1127[A], 2007 NY Slip Op 50869[U]). After a stipulation as to the amount of damages, Supreme Court entered judgment for plaintiff. The Appellate Division modified the judgment to add a declaration in plaintiff's favor, and otherwise affirmed (51 AD3d 649 [2008]). We granted leave to appeal (11 NY3d 703 [2008]), and now affirm.

II

The law governing the interpretation of exclusionary clauses in insurance policies is highly favorable to insureds. We said in *Seaboard Sur. Co. v Gillette Co.* (64 NY2d 304 [1984]):

> ''[W]henever an insurer wishes to exclude certain coverage from its policy obligations, it must do so in clear and unmistakable language. Any such exclusions or exceptions from policy coverage must be specific and clear in order to be enforced. They are not to be extended by interpretation or implication, but are to be accorded a strict and narrow construction. Indeed, before an insurance company is permitted to avoid policy coverage, it must satisfy the burden which it bears of establishing that the exclusions or exemptions apply in the particular case, and that they are subject to no other reasonable interpretation.'' (*Id.* at 311 [citations and internal quotation marks omitted]; *see also Cone v Nationwide Mut. Fire Ins. Co.*, 75 NY2d 747, 749 [1989] [exclusions from coverage ''construed strictly against the insurer'']; *Breed v Insurance Co. of N. Am.*, 46 NY2d 351, 353 [1978] [''ambiguities in an insurance policy are to be construed against the insurer, particularly when found in an exclusionary clause''].)

We have enforced policy exclusions only where we found them to ''have a definite and precise meaning, unattended by danger of misconception . . . and concerning which there is no reasonable basis for a difference of opinion'' (*Breed*, 46 NY2d at 355).

This case is a close one, but we cannot say that the event that caused plaintiff's loss was unambiguously excluded from the coverage of this policy.

Defendant's argument is, in substance, that the literal language of the exclusions describes what happened here. The earth movement exclusion applies, defendant says, because the loss was caused by the movement of earth, and specifically by its ''sinking'' and ''shifting'' beneath plaintiff's building. And the settling or cracking exclusion applies, in defendant's view, because the loss consisted of cracking that was directly and immediately caused by the settling of the building (which was in turn caused by the excavation). Indeed, plaintiff's own engineer's report says ''that the left wing of the building . . . had settled . . . as evidenced by the cracking and lateral displacement of the structure.''

Plaintiff argues, however, that a literal reading of the words does not give the meaning that an ordinary reader would assign to these exclusionary clauses. As to the earth movement exclusion, plaintiff stresses the examples of earth movement given in the policy—''earthquake, landslide, erosion, and subsidence.'' Plaintiff argues that an excavation—the intentional removal of earth by humans—is a different kind of event from an earthquake and the other examples given; plaintiff suggests that, when specific examples are mentioned, those not mentioned should be understood to be things of the same kind. Indeed, if the drafter of the policy intended to bring excavation—an obvious and common way of moving earth—within the exclusion, why was it not listed as an example while less common events were listed?

Similarly, plaintiff argues that the settling or cracking exclusion would not be thought, by an ordinary reader, to apply to settling or cracking that is the immediate and obvious result of some other event, such as the intentional removal of earth in the vicinity of the building. Read literally, the exclusion would apply, for example, where a refrigerator fell over and cracked a wall, but that can hardly have been the intent of the policy's drafters.

We conclude that both plaintiff's and defendant's readings of the clauses are reasonable. Our precedents require us to adopt the readings that narrow the exclusions, and result in coverage. As to the earth movement exclusion, our holding is also supported by precedent which, though not binding on us, is directly on point. Two Appellate Division cases and one federal district court decision have held that earth movement exclusions using identical language are not applicable to losses caused by excavation (*Lee v State Farm Fire & Cas. Co.*, 32 AD3d 902 [2d Dept 2006]; *Burack v Tower Ins. Co. of N.Y.*, 12 AD3d 167 [1st Dept 2004]; *Wyatt v Northwestern Mut. Ins. Co. of Seattle*, 304 F Supp 781 [D Minn 1969]). The parties have cited no case, and we have found none, applying the earth movement exclusion to intentional earth removal.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, PIGOTT and JONES concur.

Order affirmed, with costs.

[907 NE2d 696, 879 NYS2d 818]

JESUS FUENTES, as Parent of a Disabled Child, Appellant, v BOARD OF EDUCATION OF THE CITY OF NEW YORK et al., Respondents.

Argued March 24, 2009; decided April 30, 2009

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review a question certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following question was certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: ''Whether, under New York law, the biological and non-custodial parent of a child retains the right to participate in decisions pertaining to the education of the child where (1) the custodial parent is granted exclusive custody of the child and (2) the divorce decree and custody order are silent as to the right to control such decisions.'' The certified question was reformulated by the New York State Court of Appeals to read: ''Whether, under New York law, the non-custodial parent of a child retains decision-making authority pertaining to the education of the child where (1) the custodial parent is granted exclusive custody of the child and (2) the divorce decree and custody order are silent as to the right to control such decisions.''

HEADNOTE

Parent and Child — Custody — Noncustodial Parent's Authority to Make Decisions Regarding Education

Plaintiff, the noncustodial parent of a child who received special education services to accommodate his disability, did not have the right to request a hearing under the federal Individuals with Disabilities Education Act to review the adequacy of those services, as plaintiff's former wife had exclusive custody of the child and their divorce decree and custody order were silent on the issue of the right to make decisions regarding the child's education. Generally, a noncustodial parent, even one without any decision-making authority, may ''participate'' in a child's education by requesting information about, keeping apprised of, or otherwise remaining interested in the child's educational progress. However, unless the custody order expressly permits joint decision-making authority or designates particular authority with respect to the child's education, a noncustodial parent has no right to ''control'' educational decisions.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Divorce and Separation §§ 848, 885; AM JUR 2d, Schools §§ 347, 350.

CARMODY-WAIT 2d, Proceeding Against a Body or Officer § 145:696.

4 LAW AND THE FAMILY NEW YORK (2d ed) § 1:1.60.

NY JUR 2d, Domestic Relations § 525; NY JUR 2d, Schools, Universities, and Colleges §§ 417, 563, 566, 569.

ANNOTATION REFERENCE

Noncustodial parent's rights as respects education of child. 36 ALR3d 1093.

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POINTS OF COUNSEL

Lansner & Kubitschek, New York City (*David J. Lansner* and *Jill M. Zuccardy* of counsel), *Advocates for Children of New York, Inc.* (*Shawn V. Morehead* and *Rebecca C. Shore* of counsel), and *Dewey & LeBoeuf LLP* (*Lawrence W. Pollack* and *Lisa A. Keenan* of counsel) for appellant. I. The Domestic Relations Law recognizes that a noncustodial parent retains the right to participate in decisions pertaining to his or her child's education. (*Matter of Corey L v Martin L,* 45 NY2d 383; *People ex rel. Kropp v Shepsky,* 305 NY 465; *Meyer v Nebraska,* 262 US 390; *Matter of Roe v Doe,* 29 NY2d 188; *Matter of J. Children,* 57 AD2d 568, 42 NY2d 804; *Matter of Maureen G.,* 103 Misc 2d 109; *Matter of Kenneth V.,* 307 AD2d 767; *Matter of Bock [Breitung],* 280 NY 349; *People ex rel. Sisson v Sisson,* 271 NY 285; *Weiss v Weiss,* 52 NY2d 170.) II. The Education Law extends rights to parents without regard to custodial status. (*Brown v Board of Education,* 347 US 483; *Matter of Page v Rotterdam-Mohonasen Cent. School Dist.,* 109 Misc 2d 1049; *Matter of Pawling Cent. School Dist. v New York State Educ. Dept.,* 3 AD3d 821.) III. New York law and policy, particularly in the context of special education, are furthered by recognizing the rights of noncustodial parents. (*Schaffer v Weast,* 546 US 49; *School Comm. of Burlington v Department of Ed. of Mass.,* 471 US 359; *People ex rel. Kropp v Shepsky,* 305 NY 465; *Friederwitzer v Friederwitzer,* 55 NY2d 89.)

Michael A. Cardozo, Corporation Counsel, New York City (*Scott Shorr* and *Barry P. Schwartz* of counsel), for respondents. I. Under New York common law, plaintiff lacked authority to make educational decisions for M.F. (*Braiman v Braiman,* 44 NY2d 584; *Matter of Tropea v Tropea,* 87 NY2d 727; *Wideman v Wideman,* 38 AD3d 1318; *Chamberlain v Chamberlain,* 24 AD3d 589; *Bliss v Ach*, 86 AD2d 575, 56 NY2d 995; *Weiss v Weiss,* 52 NY2d 170; *Matter of Fedash v Neilsen,* 211 AD2d 1003; *Matter of De Luca v De Luca,* 202 AD2d 580; *Parrinelli v Parrinelli,* 138 Misc 2d 49; *Mester v Mester,* 58 Misc 2d 790.) II. This Court should reject plaintiff's attempt to establish a presumption that noncustodial parents have implicit authority to participate in educational decision-making. (*Matter of Ring v Ring,* 15 AD3d 406; *Matter of Davis v Davis,* 240 AD2d 928; *Braiman v Braiman,* 44 NY2d 584; *Bliss v Ach,* 56 NY2d 995; *Voelker v Keptner,* 156 AD2d 1014, 76 NY2d 783; *Trapp v Trapp,* 136 AD2d 178; *Ting Yi Chu v Faye,* 293 AD2d 425; *Community Bd. 7 of Borough of Manhattan v Schaffer,* 84 NY2d 148; *Matter of Alonzo M. v New York City Dept. of Probation,* 72 NY2d 662; *Matter of Knight-Ridder Broadcasting v Greenberg,* 70 NY2d 151.) III. Neither New York's Education Law nor New York's regulations implementing the Individuals with Disabilities Education Act create decision-making rights for noncustodial parents. (*People ex rel. Kropp v Shepsky,* 305 NY 465; *Matter of Tropea v Tropea,* 87 NY2d 727; *Matter of Page v Rotterdam-Mohonasen Cent. School Dist.,* 109 Misc 2d 1049; *Taylor v Vermont Dept. of Educ.,* 313 F3d 768.) IV. The presumption that custodial parents have exclusive authority to make educational decisions advances the main purpose of the Individuals with Disabilities Education Act. (*Board of Ed. of Hendrick Hudson Central School Dist., Westchester Cty. v Rowley,* 458 US 176; *Matter of IG Second Generation Partners L.P. v New York State Div. of Hous. & Community Renewal, Off. of Rent Admin.,* 10 NY3d 474; *Taylor v Vermont Dept. of Educ.,* 313 F3d 768; *Navin v Park Ridge School Dist. 64,* 270 F3d 1147.)

OPINION OF THE COURT

JONES, J.

In this certified question case, we are called upon to decide whether a noncustodial parent retains the right to make decisions regarding the child's education where the divorce decree and custody order are silent on this issue. The pertinent facts of this case are recited below.

Plaintiff Jesus Fuentes and his wife were divorced in 1996. Family Court entered an order granting the wife exclusive custody of the three children, including a son, M.F., who, due to a genetic disorder, was legally blind. M.F. attended public school in New York City and received special education services to accommodate his disability.

In 2000, plaintiff believed that M.F.'s special education services and accommodations were inadequate and requested a reevaluation. When the Committee on Special Education for the Hearing, Handicapped, and Visually Impaired responded that M.F's services were adequate, plaintiff requested a hearing from the Impartial Hearing Office of the New York City Board of Education to review that determination. In 2001, plaintiff's request for a hearing was denied based on his status as the noncustodial parent of M.F. The Office concluded that because plaintiff was not the ''person in parental relation'' (Education Law § 3212), he did not have the right to make educational decisions pertaining to M.F. and, consequently, did not have a right to request a hearing.

Plaintiff then commenced an action in the United States District Court for the Eastern District of New York alleging, among other things, that he was denied his right under the federal Individuals with Disabilities Education Act (IDEA) to a hearing to review the determinations of the Board of Education. After a dismissal, appeal, and remand on issues not pertinent to the certified question, the District Court dismissed plaintiff's case for lack of standing under the IDEA. On appeal, the United States Court of Appeals for the Second Circuit found that no precedent from this Court directly addressed the dispositive issue and certified the following question:

> ''Whether, under New York law, the biological and non-custodial parent of a child retains the right to participate in decisions pertaining to the education of the child where (1) the custodial parent is granted exclusive custody of the child and (2) the divorce decree and custody order are silent as to the right to control such decisions'' (*Fuentes v Board of Educ. of City of N.Y.*, 540 F3d 145, 153 [2d Cir 2008]).

The purpose of the IDEA is to provide ''all children with disabilities'' with a ''free appropriate public education'' (20 USC § 1400 [d] [1] [A]). Such an education must include ''special education and related services'' designed to meet the particular needs of the child (20 USC § 1401 [9]). A qualifying child's educational needs ''and the services required to meet those needs must be set forth at least annually in a written individualized education plan ('IEP')'' (*M.C. ex rel. Mrs. C. v Voluntown Bd. of Educ.*, 226 F3d 60, 62 [2d Cir 2000]). A ''parent'' who is dissatisfied with an IEP ''may file a complaint with the state or local educational agency,'' to be resolved through a due process hearing (*id.* at 62-63).

The Second Circuit previously discussed a noncustodial parent's rights under the IDEA in *Taylor v Vermont Dept. of Educ.* (313 F3d 768 [2d Cir 2002]). In *Taylor*, a noncustodial parent demanded a hearing under the IDEA even though her Vermont divorce decree expressly provided that the custodial parent was ''allocate[d] all legal rights and physical rights regarding the choice of schooling for the child'' (*id.* at 772). The court concluded that the federal statutory scheme required the courts to turn to state law ''to establish which potential parent has authority to make special education decisions for the child'' (*id.* at 779). Applying Vermont law, the court held that the noncustodial parent lacked standing to request a hearing under the IDEA because her ''parental right to participate in her daughter's education has been revoked by a Vermont family court'' (*id.* at 782).

This case presents an issue unanswered by *Taylor*—namely, whether a noncustodial parent has the right to initiate a hearing under the IDEA where the New York divorce decree and custody order grant exclusive custody to the custodial parent but are silent as to who has the authority to make decisions concerning the child's education. In *Weiss v Weiss* (52 NY2d 170 [1981]), a Judge of this Court first alluded to the principle that a custodial parent has the right, absent controlling contrary provisions in a separation agreement, to determine the child's secular and religious education programs (*id.* at 177 [Meyer, J., concurring]). It is now well settled in the Appellate Division that, absent specific provisions in a separation agreement, custody order, or divorce decree, the custodial parent has sole decision-making authority with respect to practically all aspects of the child's upbringing (*see e.g. Matter of Fedash v Neilsen*, 211 AD2d 1003 [3d Dept 1995]; *Matter of De Luca v De Luca*, 202 AD2d 580 [2d Dept 1994]; *De Beer v De Beer*, 162 AD2d 165 [1st Dept 1990]; *Stevenot v Stevenot*, 133 AD2d 820 [2d Dept 1987]; *Bliss v Ach*, 86 AD2d 575 [1st Dept 1982]).

In appropriate circumstances, courts routinely include specific provisions in custody orders addressing decision-making authority between the parents (*see e.g. Wideman v Wideman*, 38 AD3d 1318 [4th Dept 2007]; *Chamberlain v Chamberlain*, 24 AD3d 589 [2d Dept 2005]; *Matter of Davis v Davis*, 240 AD2d 928 [3d Dept 1997]). Plaintiff asks this Court to recognize an implied right of noncustodial parents to exercise decision-making authority with respect to their child's education notwithstanding the custody order's silence on this subject. We decline to do so and emphasize the importance of parties determining these issues at the time of separation or divorce.

Finally, we note the distinction between a noncustodial parent's right to ''participate'' in a child's education and the right to ''control'' educational decisions. Generally, there is nothing which prevents a noncustodial parent (even one without any decision-making authority) from requesting information about, keeping apprised of, or otherwise remaining interested in the child's educational progress. Such parental involvement is to be encouraged. However, unless the custody order expressly permits joint decision-making authority or designates particular authority with respect to the child's education, a noncustodial parent has no right to ''control'' such decisions. This authority properly belongs to the custodial parent. In light of our discussion, we see fit to reformulate the certified question to read as follows:

> ''Whether, under New York law, the non-custodial parent of a child retains decision-making authority pertaining to the education of the child where (1) the custodial parent is granted exclusive custody of the child and (2) the divorce decree and custody order are silent as to the right to control such decisions.''

Accordingly, as reformulated, the certified question should be answered in the negative.

Judges CIPARICK, GRAFFEO, READ, SMITH and PIGOTT concur; Chief Judge LIPPMAN taking no part.

Following certification of a question by the United States Court of Appeals for the Second Circuit and acceptance of the question by this Court pursuant to section 500.27 of the Rules of Practice of the Court of Appeals (22 NYCRR 500.27), and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified question, as reformulated, answered in the negative.

[908 NE2d 869, 880 NYS2d 879]

MILIHA FERLUCKAJ, Respondent, v GOLDMAN SACHS & CO., Appellant, et al., Defendant. GOLDMAN SACHS & CO., Third-Party Plaintiff, v AMERICAN BUILDING MAINTENANCE CO., Third-Party Defendant.

Argued February 19, 2009; decided April 2, 2009

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered July 15, 2008. The Appellate Division modified, on the law, so much of an order of the Supreme Court, New York County (Rolando T. Acosta, J.; op 2007 NY Slip Op 30279[U]), as, upon reargument, had granted the motion of defendant Goldman Sachs & Co. for summary judgment to the extent of dismissing plaintiff's Labor Law § 240 (1) claim as against it. The modification consisted of denying Goldman Sachs & Co. summary judgment dismissing plaintiff's Labor Law § 240 (1) claim as against it. The Appellate Division affirmed the order as modified. The following question was certified by the Appellate Division: ''Was the order of this Court, which modified the orders of the Supreme Court, properly made?''

Ferluckaj v Goldman Sachs & Co., 53 AD3d 422, reversed.

HEADNOTES

Labor — Safe Place to Work — Lessee Who Did Not Exercise Control Over Work Not Liable

1. Defendant had no liability to plaintiff under Labor Law § 240 (1) for injuries sustained when plaintiff fell off a desk on which she was standing while cleaning the inside of an office building window in space leased to defendant. Uncontroverted evidence showed that defendant did not hire plaintiff's employer to clean the window and that defendant exercised no control over plaintiff's work. Labor Law § 240 (1) places a duty on ''contractors and owners and their agents.'' Because plaintiff's employer was hired by the landlord, not by defendant, there was no basis for holding defendant to be an owner or owner's agent.

Judgments — Summary Judgment

2. Defendant's motion for summary judgment dismissing plaintiff's Labor Law § 240 (1) claim as against it should have been granted in an action to recover damages for injuries sustained by plaintiff when she fell off a desk on which she was standing while cleaning the inside of an office building window in space leased to defendant. Defendant had no liability to plaintiff under the statute. The evidence pointed clearly and without contradiction to the conclusion that it was the landlord that hired plaintiff's employer to do the project on which plaintiff was working when she fell. Further, plaintiff did not claim

that defendant supervised her work. Defendant's failure to submit an affidavit denying that it had hired plaintiff's employer was insufficient to defeat summary judgment. The moving party need not specifically disprove every remotely possible state of facts on which its opponent might win the case.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Employment Relationship §§ 4, 256, 269; AM JUR 2d, Summary Judgment §§ 12, 17, 18, 26, 33.

CARMODY-WAIT 2d, Summary Judgment §§ 39:52, 39:83, 39:100, 39:101, 39:104.

MCKINNEY'S, Labor Law § 240 (1).

NY JUR 2d, Employment Relations §§ 298–300, 302; NY JUR 2d, Summary Judgment and Pretrial Motions to Dismiss §§ 16, 22, 35, 46, 60.

SIEGEL, NY PRAC §§ 278, 281.

ANNOTATION REFERENCE

See ALR Index under Occupational Safety and Health; Summary Judgment.

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Query: lessee /s liab! /p control /3 work & fell

POINTS OF COUNSEL

Wilson Elser Moskowitz Edelman & Dicker LLP, New York City (*Christine Bernstock* of counsel), for appellant and third-party plaintiff. I. There was absolutely no evidence which established or indicated that Goldman Sachs & Co. had the right or authority to control the work performed by plaintiff. (*Guzman v L.M.P. Realty Corp.,* 262 AD2d 99; *Frierson v Concourse Plaza Assoc.,* 189 AD2d 609; *Bart v Universal Pictures,* 277 AD2d 4; *Sweeting v Board of Coop. Educ. Servs.,* 83 AD2d 103.) II. The work plaintiff performed at the time of her accident was pursuant to the contract between Paramount Group, Inc. and American Building Maintenance Co., to which Goldman Sachs & Co. was not a party. III. Plaintiff was the sole proximate cause of her own accident and, as such, the Labor Law § 240 (1) claim should have been dismissed. (*Broggy v Rockefeller Group, Inc.,* 8 NY3d 675; *Montgomery v Federal Express Corp.,* 4 NY3d 805.)

Michael J. Gaffney, Staten Island, for respondent. I. There are questions of fact as to whether Goldman Sachs & Co. had the right or authority to control the work performed by plaintiff. (*Bart v Universal Pictures,* 277 AD2d 4.) II. Plaintiff was not the sole proximate cause of her own accident and as such Labor Law § 240 (1) claims should not have been dismissed. (*Balbuena v New York Stock Exch., Inc.,* 45 AD3d 279; *Blake v Neighborhood Hous. Servs. of N.Y. City,* 1 NY3d 280; *Swiderska v New York Univ.,* 10 NY3d 792; *Broggy v Rockefeller Group, Inc.,* 8 NY3d 675.)

Thomas J. Maroney, Jericho, *Fiedelman & McGaw* (*Andrew Zajac* and *Dawn C. DeSimone* of counsel), *Rona L. Platt*, Uniondale, and *Brendan T. Fitzpatrick,* Albertson, for Defense Association of New York, Inc., amicus curiae. I. The Legislature did not envision that Goldman Sachs & Co.'s status as merely a lessee would expose it to liability as that of an "owner" under Labor Law § 240 (1), and this Court should dismiss the action against it. (*Whelen v Warwick Val. Civic & Social Club,* 47 NY2d 970; *Zimmer v Chemung County Performing Arts,* 65 NY2d 513; *Russin v Louis N. Picciano & Son,* 54 NY2d 311; *Copertino v Ward,* 100 AD2d 565; *Wendel v Pillsbury Corp.,* 205 AD2d 527; *Guzman v L.M.P. Realty Corp.,* 262 AD2d 99; *Bart v Universal Pictures,* 277 AD2d 4; *Zaher v Shopwell, Inc.,* 18 AD3d 339; *Lacey v Long Is. Light. Co.,* 293 AD2d 718; *Billman v CLF Mgt.,* 19 AD3d 346.) II. Plaintiff's actions were the sole proximate cause of the accident. (*Blake v Neighborhood Hous. Servs. of N.Y. City,* 1 NY3d 280; *Narducci v Manhasset Bay Assoc.,* 96 NY2d 259; *Robinson v East Med. Ctr., LP,* 6 NY3d 550; *Montgomery v Federal Express Corp.,* 4 NY3d 805; *Egan v Monadnock Constr., Inc.,* 43 AD3d 692; *Stark v Eastman Kodak Co.,* 256 AD2d 1134; *Cahill v Triborough Bridge & Tunnel Auth.,* 4 NY3d 35.)

OPINION OF THE COURT

SMITH, J.

Plaintiff fell off a desk on which she was standing while cleaning the inside of an office building window, in space leased to defendant Goldman Sachs & Co. We hold that, because uncontroverted evidence shows that Goldman did not hire plaintiff's employer to clean the window and that Goldman exercised no control over plaintiff's work, Goldman is not liable to plaintiff under Labor Law § 240 (1). Supreme Court and the Appellate Division erred in denying Goldman's motion for summary judgment.

The building in question is at 32 Old Slip, in Manhattan. Goldman leased a number of floors from the building's owner, Paramount Group, Inc. Paramount hired third-party defendant, American Building Maintenance Co. (ABM), to provide cleaning and janitorial services. Among ABM's duties under its contract with Paramount was to clean the building's windows every three months. Tenants, including Goldman, could and sometimes did contract directly with ABM for ''special services,'' but window cleaning was not treated as a special service. It was provided by Paramount to Goldman in exchange for the rent.

Plaintiff, an ABM employee, fell while she was cleaning a window on a floor that Goldman had not yet occupied. Goldman was scheduled to, and did, begin moving in on the day after the accident. Plaintiff claims, and we assume it to be true, that the cleaning she was working on was not a regular quarterly cleaning, but a special ''preoccupancy'' cleaning, to get the space ready for Goldman's use. Preoccupancy cleanings, however, were also provided for in the Paramount-ABM contract, which requires ABM to provide such cleanings without extra cost to Paramount: ''Prior to tenant occupancy, contractor shall provide the initial cleaning or [*sic*] all interior windows for which there will be no charge to Paramount Group, Inc. or tenant.''

There is no evidence in the record that Goldman hired ABM to perform either a regular quarterly cleaning or a preoccupancy cleaning. The contractor that Goldman used to do renovation work on the space, defendant Henegan Construction Co., Inc., did not subcontract any work to ABM.

In sum, the evidence points clearly and without contradiction to the conclusion that it was Paramount, not Goldman, that hired ABM to do the project on which plaintiff was working when she fell. Plaintiff does not claim that Goldman in fact supervised her work. Goldman therefore has no liability to plaintiff under Labor Law § 240 (1). The statute says:

> ''All contractors and owners and their agents, except owners of one and two-family dwellings who contract for but do not direct or control the work, in the erection, demolition, repairing, altering, painting, cleaning or pointing of a building or structure shall furnish or erect, or cause to be furnished or erected for the performance of such labor, scaffolding, hoists, stays, ladders, slings, hangers, blocks, pulleys, braces, irons, ropes, and other devices which shall be so constructed, placed and operated as to give proper protection to a person so employed.''

[1] This statute places a duty on ''contractors and owners and their agents.'' It says nothing about lessees. That does not necessarily mean lessees can never be liable. Appellate Division cases have said that lessees who hire a contractor, and thus have the right to control the work being done, are ''owners'' within the meaning of the statute (*Frierson v Concourse Plaza Assoc.*, 189 AD2d 609, 611 [1st Dept 1993]; *Sweeting v Board of Coop. Educ. Servs.*, 83 AD2d 103, 114 [4th Dept 1981]; *cf. Bart v Universal Pictures*, 277 AD2d 4, 6 [1st Dept 2000] [occupant of space with power to control the work held ''an agent of the fee owner'']). We assume, without deciding, that these cases are right, but they do not apply here. ABM was hired by the landlord, Paramount, not by Goldman, so there is no basis for holding Goldman to be an owner or owner's agent (*see Guzman v L.M.P. Realty Corp.*, 262 AD2d 99 [1st Dept 1999]).

Plaintiff concedes that she cannot prevail if Goldman had no right to control ABM's work, but she says that the facts are not clear enough to justify granting Goldman summary judgment. She points out that, under the contract between Paramount and ABM, preoccupancy cleaning was to be done ''upon request of Paramount,'' and notes that the record contains no direct evidence of a ''request.'' Though it is clear that Goldman's contractor, Henegan, did not hire ABM to do this work, plaintiff speculates that, for some reason, Goldman might have done so directly. Plaintiff emphasizes that Goldman did not submit an affidavit denying that such a transaction occurred.

[2] We find plaintiff's theorizing—and the somewhat more elaborate theories offered by the dissent—insufficient to defeat summary judgment. The idea that Goldman chose to hire ABM at its own expense, when ABM was already contractually obligated to Paramount to do the work for free, is farfetched. And if that did happen, plaintiff had an ample opportunity to show it. After taking discovery, she has unearthed no record of any payment for this service from Goldman to ABM, or any relevant communication between the two.

The burden of a party moving for summary judgment is to ''make a prima facie showing of entitlement to judgment as a matter of law'' (*Alvarez v Prospect Hosp.*, 68 NY2d 320, 324 [1986]). The moving party need not specifically disprove every remotely possible state of facts on which its opponent might win the case. Goldman's showing here was adequate to shift the burden to plaintiff ''to produce evidentiary proof . . . sufficient to establish the existence of material issues of fact'' (*id.*). Plaintiff has not carried that burden.

Accordingly, the order of the Appellate Division should be reversed, with costs, summary judgment granted dismissing the complaint as against Goldman Sachs & Co., and the certified question answered in the negative.

PIGOTT, J. (dissenting). We have held time and time again that summary judgment should not be granted when there is "any doubt" (*Sillman v Twentieth Century-Fox Film Corp.*, 3 NY2d 395, 404 [1957]) as to the existence of a triable issue or when the issue is "arguable" (*id.*; *Barrett v Jacobs*, 255 NY 520, 522 [1931]). "[I]f the issue is fairly debatable a motion for summary judgment must be denied" (*Stone v Goodson*, 8 NY2d 8, 12 [1960]). In other words, if it is reasonable to disagree about the material facts or about what may be inferred from undisputed facts, summary judgment may not be granted. Moreover, in deciding whether there is a material triable issue of fact, "the facts must be viewed in the light most favorable to the nonmoving party" (*Matter of Council of City of N.Y. v Bloomberg*, 6 NY3d 380, 401 [2006], citing *Matsushita Elec. Industrial Co. v Zenith Radio Corp.*, 475 US 574, 587 [1986]). It follows that a split decision, such as this one, in which appellate judges disagree about what disputed facts may be inferred from undisputed facts, should be extremely rare.

A summary judgment motion is governed by a well-established shifting of the burden of proof. The movant's failure to make a prima facie showing of entitlement to judgment as a matter of law "requires a denial of the motion, regardless of the sufficiency of the opposing papers" and it is only if the movant succeeds in making this showing that the burden shifts to the party opposing the motion (*Alvarez v Prospect Hosp.*, 68 NY2d 320, 324 [1986]). Here, Goldman Sachs failed to sustain its initial burden of making a prima facie showing of entitlement to summary judgment.

Under New York case law that the majority does not question, a lessee is liable pursuant to Labor Law § 240 (1) if it has "the right to control the work being done" (majority op at 320, citing *Sweeting v Board of Coop. Educ. Servs.*, 83 AD2d 103, 114 [4th Dept 1981], *lv denied* 56 NY2d 503 [1982]; *Frierson v Concourse Plaza Assoc.*, 189 AD2d 609, 611 [1st Dept 1993]; *Bart v Universal Pictures*, 277 AD2d 4, 5 [1st Dept 2000]). The key question is whether "defendant had the right to insist that proper safety practices were followed . . . it is the right to control the work that is significant, not the actual exercise or nonexercise of control" (*Copertino v Ward*, 100 AD2d 565, 567

[2d Dept 1984], citing *Sweeting*, 83 AD2d at 114). ‘‘[E]vidence that the lessee actually hired the general contractor’’ is relevant to establishing the right to control, as are ‘‘contractual or statutory provisions granting such right’’ (*Bart*, 277 AD2d at 5). The question for this Court is whether Goldman tendered sufficient evidence to eliminate any issue of fact concerning whether it had the right to control plaintiff’s work. In my view, it did not.

Here, the majority relies exclusively on one document, a ‘‘Services Agreement’’ between Paramount Group, Inc., the building’s owner, and American Building Maintenance Co. (ABM), entered into as of June 1, 1997. An appendix to the contract, titled ‘‘EXHIBIT ‘C’ SPECIFICATIONS’’—describing the ‘‘base building cleaning specifications’’ in regard to window cleaning—provides that ‘‘[p]rior to tenant occupancy, [ABM] shall provide the initial cleaning [of] all interior windows for which there will be no charge to Paramount Group, Inc. or tenant. Work to be performed upon request of Paramount Group Inc.’’ The majority infers from this single provision that Ferluckaj, who was cleaning the interior side of an exterior window, just prior to occupancy by Goldman, was doing so pursuant to Paramount’s orders. This inferential leap cannot be reconciled with the well-established standards of summary judgment outlined above.

The majority writes that ‘‘[t]he idea that Goldman chose to hire ABM at its own expense, when ABM was already contractually obligated to Paramount to do the work for free, is farfetched’’ (majority op at 320). I cannot agree. Far from answering the dispositive question, of who ordered the cleaning, as a matter of law, the Services Agreement raises several questions. Contrary to the majority’s suggestion that window cleaning was not treated as a special service that tenants could contract directly with ABM for (majority op at 319), the Services Agreement expressly states, in a section titled ‘‘SPECIAL SERVICES REQUIRED BY TENANTS,’’ that ‘‘[a]dditional window cleaning’’ is one of the extra services that tenants may request and for which they will be directly charged by ABM.

At his deposition, Robert Barriero, a corporate services vice-president at Goldman, testified that in his understanding ‘‘[a]dditional window cleaning’’ referred to the cleaning of ‘‘[i]nterior glass,’’ such as might be found in an interior doorway. And he insisted that, while Goldman hired ABM directly during occupancy to perform additional cleaning and maintenance services such as carpet cleaning and pantry maintenance, it did not hire ABM to do any window cleaning. Barriero's testimony is, however, of limited value with respect to preoccupancy events. His knowledge of the ''base building cleaning specifications'' and the ''special services'' was confined to their postoccupancy implementation. In fact, Barriero admitted he was unaware of the preoccupancy renovations.

Barriero's testimony was of limited use for another reason—Goldman outsourced its management services at the time in question to a company, Hines Interests Limited, that entered into and maintained all the contracts for services provided to Goldman at the building. Hines, as Goldman's agent, entered into contracts for services not provided by the base building cleaning specifications contract, including the additional postoccupancy cleaning and maintenance services. Barriero testified that, if there were records concerning the purchase of additional ABM cleaning services by Goldman, they would not be in his possession. It remains undisputed that, under the Services Agreement, special window cleaning by ABM could be separately contracted for.

The Services Agreement is puzzling in another way. As the majority notes, ABM's postoccupancy duties included cleaning the building's windows once every three months. The pertinent provision states that ABM shall ''[w]ash and clean all interior and exterior of windows and frames . . . on every floor every three (3) months.'' By contrast, the preoccupancy provision specifies ''all interior windows,'' omitting the possessive. As the majority reads it, the contract envisages three-monthly cleaning of the interior and exterior sides of all windows, plus an initial preoccupancy cleaning that would include the *interior sides of exterior windows*. This is a reasonable interpretation, but it is by no means the only reasonable one.

An alternative reading of the agreement is both literal and plausible. It is that there will be three-monthly cleaning of the interior and exterior sides of all windows, plus an initial preoccupancy cleaning of *interior windows*—glass panels neither side of which is outside the building. These would be precisely the windows that Barriero testified would not be included in ''base building cleaning'' and would normally be the subject of a separate contract between tenant and ABM. This interpretation makes sense of the clause that provides that ''there will be no charge to Paramount Group, Inc. or tenant'' for this cleaning. Since the context is a list of base building cleaning services that are provided to tenants at the owner's expense, the added language specifying that there will be no charge in this one instance is odd. It is explicable if it refers to a service that would normally, postoccupancy, be regarded as an additional service to be paid by the tenant. I conclude that it is reasonable to doubt whether the Services Agreement provided for preoccupancy cleaning of the interior sides of exterior windows.

Moreover, under the Services Agreement, the *only* preoccupancy cleaning of any kind that ABM contracted to do was ''the initial cleaning [of] all interior windows.'' That seems a peculiar choice of item to clean prior to a tenant moving in. One would expect an owner to require the cleaning service it contracts with to carry out further services, such as carpet shampooing, wall washing and dusting, before a tenant moves in. Moreover, Goldman retained defendant Henegan Construction Co., Inc., as construction manager, to supervise a ''complete renovation'' of the floor on which Ferluckaj's accident occurred, prior to occupancy. The accident occurred after the renovation and immediately before occupancy. In these circumstances, unless Henegan and its subcontractors could be relied on to clean up the dust and dirt that their work created (as opposed to the large pieces of debris associated with construction work that laborers would normally remove themselves), extensive cleaning would have to be performed by ABM. In short, there was a large amount of preoccupancy cleaning that ABM was not contractually obliged to do, under the Services Agreement, but which any corporate tenant would surely have expected.

Either the Services Agreement incompletely describes the responsibilities of ABM or tenants contracted separately with ABM for preoccupancy cleaning. We do not know whether Goldman had to hire ABM at its own expense to clean carpets, walls, doors and ceilings, between the renovation and occupancy. (Goldman was required by its lease to use ABM for any additional cleaning services.) If it did, it likely contracted with ABM for preoccupancy cleaning of the interior sides of exterior windows, including those Ferluckaj was cleaning when she fell. I note that ABM was accustomed to doing additional window cleaning work, over and above the base building specifications. Al Hoti, an ABM manager, testified that, although the postoccupancy cleaning of the interior sides of exterior windows was part of base building cleaning, nevertheless ''it all depends how many cycles [of cleaning] the contract calls for . . . if a tenant requests . . . more cleaning, then [ABM] can get more cleaning done.''

We simply do not know which contract governed Ferluckaj's cleaning, because discovery did not answer that question. This would be a very different case if Goldman had produced an affidavit stating that the cleaning was done pursuant to the Services Agreement. Then Ferluckaj, if she failed to respond to that affidavit, might be deemed to admit it (*Kuehne & Nagel v Baiden*, 36 NY2d 539, 544 [1975]). But Goldman produced no such affidavit, and, as noted above, the relevant deposition testimony mainly concerned postoccupancy events, shedding no light on who ordered the preoccupancy cleaning.

Because, having read the Services Agreement, as well as the deposition transcripts and affidavits submitted by the parties in their summary judgment motions, I still have considerable "doubt" (*Sillman*, 3 NY2d at 404) as to whether Goldman had the right to control Ferluckaj's work, I would affirm the order of the Appellate Division, deny so much of Goldman's motion as sought summary judgment dismissing Ferluckaj's Labor Law § 240 (1) claim, and answer the certified question in the affirmative.

I conclude by noting that I would expect the majority opinion in this case to have fairly limited precedential value. This is a fact-specific area of law in which almost every case is sui generis.

Judges GRAFFEO, READ and JONES concur with Judge SMITH; Judge PIGOTT dissents and votes to affirm in a separate opinion in which Chief Judge LIPPMAN and Judge CIPARICK concur.

Order reversed, with costs, that part of defendant Goldman Sachs & Co.'s motion seeking summary judgment dismissing plaintiff's Labor Law § 240 (1) claim granted, complaint against Goldman Sachs & Co. dismissed in the entirety, and certified question answered in the negative.

[908 NE2d 878, 880 NYS2d 888]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JONATHAN MATTOCKS, Appellant.

Argued March 26, 2009; decided April 30, 2009

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered April 8, 2008. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Charles H. Solomon, J., on pretrial motion; Marcy L. Kahn, J., at trial and sentence), which had convicted defendant, upon a jury verdict, of criminal possession of a forged instrument in the second degree.

People v Mattocks, 51 AD3d 301, affirmed.

HEADNOTES

Crimes — Possession of Forged Instrument — Bent MTA MetroCard

1. Defendant's alteration of Metropolitan Transportation Authority (MTA) MetroCards with a zero balance in order to obtain free entrance to the New York City subway system was properly prosecuted as a forgery pursuant to Penal Law article 170. A MetroCard satisfies the statutory definition of a ''written instrument'' (*see* Penal Law § 170.00 [1]; § 170.10 [4]). Further, a bent MetroCard qualifies as a ''falsely altered'' instrument (Penal Law § 170.00 [7]). By bending the MetroCards, defendant successfully destroyed the zero-value information encoded on one of the fields in the magnetic strips in the card (*see* Penal Law § 170.00 [6]) and was able to acquire free rides on what were worthless MetroCards. Notwithstanding the crease or bend in the cards, the cards ''appear[ed] or purport[ed] to be in all respects an authentic creation of or fully authorized by'' the MTA and were not void on their face.

Crimes — Possession of Forged Instrument — Bent MTA MetroCard

2. Defendant's prosecution for the class D felony of criminal possession of a forged instrument in the second degree (Penal Law § 170.25) based upon his use of bent or creased Metropolitan Transportation Authority (MTA) MetroCards to swipe riders into the New York City subway system in exchange for money was proper, notwithstanding that he could have been prosecuted for a class B misdemeanor under Penal Law § 165.16, which was adopted to address MetroCard abuses. In enacting Penal Law § 165.16, the primary governmental concern was that a noncriminal violation as the penalty, as provided in 21 NYCRR 1050.4, was ineffective as a deterrent and hampered the detection of repeat offenders. There was no legislative direction to eliminate the applicability of forgery statutes. Furthermore, the existence of a statutory prohibition against a particular type of conduct will not be deemed to constitute the exclusive vehicle for prosecuting that conduct unless the Legislature clearly intended such a result. The type of conduct at issue is subject to varying degrees of prosecution. Prosecutors have considerable discretion in choosing among these classifications, having due regard for the accused's prior history

of defrauding or attempting to defraud the MTA, and other relevant considerations.

Crimes — Suppression Hearing

3. In the prosecution of defendant for criminal possession of a forged instrument in the second degree based upon his use of bent or creased Metropolitan Transportation Authority MetroCards to swipe riders into the New York City subway system in exchange for money, defendant's motion to suppress the MetroCards and cash in his possession as well as his statement to police was properly denied without a hearing. A police officer's unchallenged statement that he had observed defendant swipe three people into the subway in exchange for money from the riders was sufficient to provide probable cause for defendant's arrest, and there was no factual dispute on a material issue that needed to be resolved before a decision could be rendered on the suppression motion.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Arrest §§ 32–35, 129; AM JUR 2d, Forgery §§ 18, 25, 30, 32, 35, 36, 53, 54; AM JUR 2d, Prosecuting Attorneys §§ 20, 21.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:702, 172:705, 172:711, 172:2655.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 10.3, 10.4, 13.2.

MCKINNEY'S, Penal Law §§ 165.16, 170.00 (1), (6), (7); § 170.10 (4); § 170.25.

21 NYCRR 1050.4.

NY JUR 2d, Criminal Law: Procedure §§ 69, 74, 88, 91, 1029, 1599, 1608; NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 1070, 1144–1147, 1149, 1151, 1153, 1154.

ANNOTATION REFERENCE

See ALR Index under Arrest; Exclusion and Suppression of Evidence; Forgery; Probable Cause; Subways.

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POINTS OF COUNSEL

Simpson Thacher & Bartlett LLP, New York City (*Brian P. McCloskey* of counsel), and *Office of the Appellate Defender* (*Richard M. Greenberg* and *Sara Gurwitch* of counsel) for appellant. I. The trial court erred in denying Jonathan Mattocks's motion for a trial order of dismissal because Mr. Mattocks did not possess a forged instrument as a matter of law. (*People v Cunningham,* 2 NY3d 593; *People v Grant,* 185 Misc 2d 512; *People v Lawrence,* 169 Misc 2d 752; *People v Pena,* 169 Misc 2d 366; *People v Hodges,* 246 AD2d 824; *People v Snyder,* 274 App Div 371, 298 NY 858; *People v Clark,* 190 Misc 725; *People v Teal,* 196 NY 372; *People v Sansanese,* 17 NY2d 302; *People v Abeel,* 182 NY 415.) II. The trial court erred in denying Jonathan Mattocks a suppression hearing where Mr. Mattocks had standing and set forth a sufficient factual basis in his motion. (*People v Mendoza,* 82 NY2d 415; *People v Hightower,* 85 NY2d 988; *People v Marquez,* 246 AD2d 330; *People v Vasquez,* 200 AD2d 344; *People v Huggins,* 162 AD2d 129.)

Robert M. Morgenthau, District Attorney, New York City (*Gina Mignola* and *Amyjane Rettew* of counsel), for respondent. I. A MetroCard that has been purposefully bent to alter the zero-value field is a forged instrument. (*Matter of D.U.,* 192 Misc 2d 601; *People v Abeel,* 45 Misc 86, 100 App Div 516, 182 NY 415; *People v Blase,* 57 App Div 585; *People v Gibbs,* 210 AD2d 4; *People v Roberts,* 208 AD2d 410; *People v Greenberg,* 89 NY2d 553; *People v Webb,* 5 AD3d 115; *People v Colon,* 306 AD2d 213; *People v L.R.,* 13 Misc 3d 1212[A], 2006 NY Slip Op 51800[U]; *People v Griffin,* 10 Misc 3d 1057[A], 2005 NY Slip Op 52006[U].) II. The Court correctly ruled that defendant had not made out any basis for a hearing on his motion to suppress physical evidence. (*People v Mendoza,* 82 NY2d 415; *People v Gruden,* 42 NY2d 214; *People v Burton,* 6 NY3d 584; *People v Murray,* 172 AD2d 437; *People v Lopez,* 5 NY3d 753; *People v Hightower,* 85 NY2d 988; *People v Landy,* 59 NY2d 369; *People v Moreno,* 223 AD2d 450; *People v Jones,* 95 NY2d 721; *People v Reynolds,* 71 NY2d 552.)

OPINION OF THE COURT

GRAFFEO, J.

In this case, we are asked whether the forgery provisions of Penal Law article 170 apply to Metropolitan Transportation Authority ''MetroCards'' that were purposefully bent in order to obtain free fares. We hold that this type of alteration can be prosecuted as a forgery.

I

The Metropolitan Transportation Authority (MTA) is responsible for operating the mass transit system in the New York

City area. In years past, a person gained access to the subways by purchasing a token and depositing it into a turnstile. This mechanical means of entry was eventually replaced with a computerized system that uses a ''MetroCard''—a plastic swipe card that is ''read'' by a scanner, embedded within a turnstile, that deducts the cost of the fare from the MetroCard.

There are two types of MetroCards: value-based MetroCards (referred to as ''pay-per-ride'' cards) and time-based MetroCards (referred to as ''unlimited'' cards). A purchaser of a time-based card is provided unlimited transportation access for a specified period of time (one day, one week or one month depending on the purchase price). The purchaser of a value card electronically stores a certain amount of money on the MetroCard that will be debited each time the user enters the MTA system. Only value cards are at issue in this appeal.

A MetroCard has two distinct magnetic fields that contain information, referred to as the primary and secondary fields. The MTA opted to use two fields so that the information encoded onto the card has ''backup'' storage in the event that a magnetic field is damaged. Based on the testimony of an MTA expert in this case, when a value-based MetroCard is swiped through the electronic eye of a turnstile, a computer reads both magnetic fields. If the MetroCard has monetary value remaining, the turnstile grants access and deducts the cost of the ride from the value of the card, amending the information stored on the magnetic strip to reflect the reduction in value. Thus, the expert explained, if a MetroCard is bought for $4 in value, that amount is initially encoded onto both the primary and secondary fields. When the card is first used for a $2 fare, the computer will deduct $2 from one of the fields, leaving the other field at $4. The next time the MetroCard is swiped for entry, the computer does not change the $2 field but instead reduces the $4 field to zero. Once one of the fields reads zero, the turnstile is not supposed to open. By utilizing this design methodology, which electronically leaves $2 of value on one of the magnetic fields even though the purchased value has been depleted to zero, the MTA intended to give riders ''the benefit of the doubt'' in the event that the magnetic strip was damaged. Thus, if the computer eye in the turnstile cannot determine the true remaining purchase value but can read the $2 backup field, one ride can be obtained.

Individuals seeking free rides on the subway soon learned how to take advantage of the system's design. By creating a small bend or crease on the section of the magnetic strip where the zero-value field is contained, a person can obliterate that information so that, when swiped, the computer is unable to detect that the MetroCard is worthless, meaning no purchase value remains. When there is a strategically-placed crease or bend on the card, the turnstile computer will read the other field containing the $2 ‘‘backup’’ information, which gives the user of the card a free entry to the subway. Hence, a person can bend a valueless MetroCard and swipe it once, then use or sell the free ride at a discounted price by swiping it a second time (this is referred to as ‘‘selling swipes’’). The ease of this type of alteration and its popularity among individuals who are willing to defraud the MTA contributed to considerable losses of revenue for the MTA—it was estimated that as of 2005, fraudulent MetroCard use was costing the MTA approximately $16 million per year, the equivalent of about eight million ride fares.

II

One night in October 2005, an MTA employee working at the 125th Street station of the Lexington Avenue subway line reported that several individuals were selling MetroCard swipes. Two police officers responded and observed defendant bend MetroCards and swipe them through turnstiles, after which he solicited riders and gave them access to the subway using the bent MetroCards in exchange for money. When an officer approached defendant, he attempted to flee but was quickly apprehended with 14 MetroCards in his possession, all of which had the telltale crease; 11 of the cards had zero value and three of them had been successfully altered and would have each yielded a free ride. After he was in custody, defendant remarked to the police that ‘‘you better watch your back. I’m gonna serve 3 months. When I come out, you better just shoot me in the head, because I’m going to kill you.’’ The reference to three months of incarceration appears to have stemmed from defendant’s numerous prior convictions for MTA-related offenses and his apparent assumption that he would be facing charges under Penal Law § 165.16—a class B misdemeanor—for the unauthorized sale of certain transportation services.

Instead of pursuing misdemeanor charges, the People secured an indictment charging defendant with 14 counts of criminal possession of a forged instrument in the second degree, class D felony offenses. Defendant moved to suppress the MetroCards and cash that he had possessed at the time of the arrest, along with his statement to the police. Supreme Court denied the motion. During the ensuing jury trial, defendant moved to dismiss the charges, arguing that the evidence was insufficient to prove that he committed possession of a forged instrument, and Supreme Court reserved decision.

At the close of proof, the court submitted only one count of second-degree possession of a forged instrument to the jury. The jury convicted defendant of that crime and Supreme Court subsequently denied defendant's motion to dismiss. Defendant was adjudicated a second felony offender and sentenced to 2 to 4 years of imprisonment. The Appellate Division affirmed (51 AD3d 301 [1st Dept 2008, Nardelli, J.]), a Judge of this Court granted leave (11 NY3d 738 [2008]) and we now agree with the well-reasoned opinion of the Appellate Division.

III

[1] Article 170 of the Penal Law defines the crime of forgery and related offenses. A person commits criminal possession of a forged instrument in the second degree "when, with knowledge that it is forged and with intent to defraud, deceive or injure another, he utters or possesses any forged instrument of a kind specified in section 170.10" (Penal Law § 170.25). Section 170.10 applies to a "written instrument" that a person "falsely makes, completes or alters" and "which is or purports to be, or which is calculated to become or to represent if completed . . . [p]art of an issue of tokens, public transportation transfers, certificates or other articles manufactured and designed for use as symbols of value usable in place of money for the purchase of . . . services" (Penal Law § 170.10 [4]). A "written instrument" under section 170.10 includes

> "any instrument or article, including computer data or a computer program, containing written or printed matter or the equivalent thereof, used for the purpose of reciting, embodying, conveying or recording information, or constituting a symbol or evidence of value, right, privilege or identification, which is capable of being used to the advantage or disadvantage of some person" (Penal Law § 170.00 [1]).

In this case, defendant concedes, and we agree, that a MetroCard satisfies the statutory definition of a "written instrument."

Defendant maintains, however, that a bent MetroCard does not qualify as a "forged" instrument because it is not "falsely altered" (*see* Penal Law § 170.00 [7]). An instrument is falsely altered

> "when, without the authority of anyone entitled to grant it, he changes a written instrument, whether it be in complete or incomplete form, by means of erasure, obliteration, deletion, insertion of new matter, transposition of matter, or in any other manner, so that such instrument in its thus altered form appears or purports to be in all respects an authentic creation of or fully authorized by its ostensible maker or drawer" (Penal Law § 170.00 [6]).

According to defendant, since the MTA does not sell MetroCards with creases, no person who examines a bent MetroCard would conclude that it was authentic, and it is therefore void on its face and not subject to the forgery statutes. Defendant also argues that a bent MetroCard is not a forged instrument because the damage does not create value on a worthless card, it merely prevents the turnstile computer from determining that the card has no value.

We reject these assertions. While it is true, as defendant submits, that the creasing of the MetroCards did not add monetary value where none existed, the damage to the MetroCards thwarted the usual computer processing of the information contained on the magnetic strips. By bending the MetroCards, defendant successfully destroyed the zero-value information encoded on one of the fields in the magnetic strips (*see* Penal Law § 170.00 [6]) and was able to acquire free rides on what were worthless MetroCards. Thus, defendant misused the "benefit of the doubt" system by intentionally making the valueless MetroCards purport to be authentic instruments. Nor did the small creases on the MetroCards make them appear to be inauthentic—in other words, not genuine MTA-issued MetroCards—to the human eye, they merely rendered the cards slightly bent. Notwithstanding this minimal physical blemish on the cards, they "appear[ed] or purport[ed] to be in all respects an authentic creation of or fully authorized by" the MTA as $2 MetroCards (Penal Law § 170.00 [6]) and were not void on their face. We therefore hold that the MetroCards defendant possessed were forged instruments under article 170 of the Penal Law.

[2] Defendant additionally claims that the Legislature, in enacting Penal Law § 165.16 (a class B misdemeanor) to deal specifically with illegal MetroCard activity, determined that this type of conduct was not to be prosecuted under article 170. The statute was adopted in 2005 to address MetroCard abuses and applies to the sale of certain transportation services provided by the MTA through the use of an ''unlimited farecard or doctored farecard'' (Penal Law § 165.16 [1]), which can include a bent MetroCard similar to the ones defendant possessed (*see* Penal Law § 165.16 [3] [c]). The executive memorandum described the statute's purpose:

> ''Under current law, these illegal MetroCard swipers can often only be charged with a non-criminal violation, the penalty for which has proved unsuccessful in deterring this type of illegal activity. Also, since current violations do not appear on the perpetrators' records, there is no easy way to keep track of repeat offenders. This bill would help correct this situation by subjecting the swipers to misdemeanor criminal penalties of up to one year in jail'' (2005-2006 Executive Budget, Transportation Article VII Legislation Mem in Support, NY Assembly Bill A1924-A, at 10-11).[1]

Although this statement indicates that a relevant provision addressing this type of conduct appears in 21 NYCRR 1050.4 (a noncriminal violation for the unlawful receipt of fare for providing access to Transit Authority facilities), there was no legislative direction to eliminate the applicability of forgery statutes. The primary governmental concern was that a violation as the penalty was ineffective as a deterrent and hampered the detection of repeat offenders.

Furthermore, we have recognized that the existence of ''a statutory prohibition against a particular type of conduct''—such as Penal Law § 165.16—''will not be deemed to constitute the exclusive vehicle for prosecuting that conduct unless the Legislature clearly intended such a result'' (*People v Duffy*, 79 NY2d 611, 614 [1992]; *see People v Walsh*, 67 NY2d 747, 749 [1986]; *People v Bergerson*, 17 NY2d 398, 401 [1966]). This intent cannot be imputed to the Legislature solely by virtue of the enactment of section 165.16 because the Legislature is presumed to be aware of existing law when it creates a new crime (*see e.g. People v Robinson*, 95 NY2d 179, 184 [2000]).

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1. The executive proposal called for the creation of a class A misdemeanor offense. The Legislature amended that request by making the new crime punishable as a class B misdemeanor.

Prior to the codification of section 165.16, it had been acknowledged that the forgery statutes had been intentionally written in a broad fashion to encompass a wide range of conduct (*see People v Gottlieb*, 36 NY2d 629, 632 [1975]; *People v Abeel*, 182 NY 415, 421 [1905]). Notably, the use of ‘‘slugs’’ in place of tokens at subway turnstiles had been upheld as a forgery (*see e.g. People v Gibbs*, 210 AD2d 4 [1st Dept 1994]; *People v Roberts*, 208 AD2d 410 [1st Dept 1994]). As the modern-day equivalent of ‘‘slugs,’’ the illegal use of altered MetroCards remains eligible for prosecution as a forgery despite the enactment of Penal Law § 165.16.

This type of conduct is subject to varying degrees of prosecution, including the noncriminal violation under 21 NYCRR 1050.4 (c) and the A misdemeanor pursuant to Penal Law § 170.20 (criminal possession of a forged instrument in the third degree), in addition to the class D felony and class B misdemeanor offenses. Thus, prosecutors have considerable discretion in choosing among these classifications, having due regard for the accused’s prior history of defrauding or attempting to defraud the MTA, and other relevant considerations.[2] We trust that felony forgery prosecutions involving bent or altered MetroCards will be reserved for individuals, like defendant, who have been repeatedly prosecuted and convicted for abusing the MetroCard system.

Consequently, we conclude that defendant is not entitled to vacatur of his conviction of criminal possession of a forged instrument in the second degree.

IV

[3] Defendant alternatively argues that his motion to suppress the MetroCards, cash and his statement should not have been denied without a hearing. Although Supreme Court incorrectly believed that defendant lacked standing to pursue suppression (*see People v Burton*, 6 NY3d 584, 588-589 [2006]), the motion was properly denied without a hearing. A police officer averred that he had observed defendant swipe three people into the subway in exchange for money from the riders. Although

2. Similar charging discretion is available in connection with turnstile jumping, which can be prosecuted under various statutes, such as failure to pay a fare (21 NYCRR 1050.4 [a] [a noncriminal violation]), criminal trespass (Penal Law § 140.05 [a violation]), criminal trespass in the third degree (Penal Law § 140.10 [a B misdemeanor]) or theft of services (Penal Law § 165.15 [3] [an A misdemeanor]).

defendant maintained that he was merely ‘‘speaking with various neighborhood acquaintances,’’ he never challenged the assertion that he had been selling swipes. Hence, the police officer’s unchallenged statement was sufficient to provide probable cause for the arrest and there was no factual dispute on a material issue that needed to be resolved before a decision could be rendered on the suppression motion.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN and Judges CIPARICK, READ, SMITH, PIGOTT and JONES concur.

Order affirmed.

[907 NE2d 702, 879 NYS2d 824]

In the Matter of George Infante, as Administrator of the Estate of Rosemary A. Infante, Deceased, Respondent, v Caroline R. Dignan, M.D., as Medical Examiner of Monroe County, et al., Appellants.

Argued March 25, 2009; decided May 5, 2009

SUMMARY

Appeal from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered October 3, 2008. The Appellate Division, with two Justices dissenting, (1) reversed, on the law, a judgment of the Supreme Court, Monroe County (Thomas A. Stander, J.), entered in a proceeding pursuant to CPLR article 78, which had dismissed the petition; (2) granted the petition; (3) annulled the determination that the manner of death of decedent Rosemary A. Infante was suicide; and (4) directed respondents to amend the corrected death certificate of Rosemary A. Infante to state that the manner of death was accidental or undetermined circumstances.

Matter of Infante v Dignan, 55 AD3d 1258, reversed.

HEADNOTES

Evidence — Presumptions — Presumption against Suicide

1. New York's common-law presumption against suicide, an evidentiary rule relevant to resolving disputes over life insurance proceeds, has no role to play in a medical examiner's determination of the cause or manner of a decedent's death, or the judicial review of such a determination.

Coroners — Determination as to Cause of Death — Determination of Suicide — Judicial Review

2. The medical examiner's determination that decedent had died of multiple drug intoxication and that the manner of her death was suicide was not arbitrary. There was evidentiary support for the determination of suicide, although there was also reason to believe that decedent may have accidentally overdosed on prescription medication. The medical examiner set forth a reasonable basis for his determination in an area where administrative judgment involves specialized medical and scientific expertise. Further, the common-law presumption against suicide was inapplicable to the medical examiner's determination.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

Am Jur 2d, Coroners or Medical Examiners §§ 10, 16.

NY Jur 2d, Counties, Towns, and Municipal Corporations §§ 652, 656; NY Jur 2d, Death §§ 1–3, 19, 20; NY Jur 2d, Evidence and Witnesses § 505.

ANNOTATION REFERENCE

Official death certificate as evidence of cause of death in civil or criminal action. 21 ALR3d 418.

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POINTS OF COUNSEL

Daniel M. De Laus, Jr., County Attorney, Rochester (*Howard A. Stark* and *Michael E. Davis* of counsel), for appellants. The Fourth Department majority improperly applied a presumption against suicide and superseded the deputy medical examiner's determination with its own opinion. (*Schelberger v Eastern Sav. Bank,* 60 NY2d 506; *Rinaldo v New York City Tr. Auth.,* 39 NY2d 285; *Begley v Prudential Ins. Co. of Am.,* 1 NY2d 530; *People v Miller,* 257 NY 54; *People v Cuozzo,* 292 NY 85; *People v Jandelli,* 116 Misc 2d 384; *Lauer v City of New York,* 95 NY2d 95; *Flacke v Onondaga Landfill Sys.,* 69 NY2d 355; *Matter of City of Rensselaer v Duncan,* 266 AD2d 657; *Matter of Yarbough v Franco,* 95 NY2d 342.)

Paul F. Stavis, Castleton-on-Hudson, and *Kenneth J. Doyle* for respondent. I. The presumption against suicide applies to the medical examiner under the common law, the Constitution and the case law of the State of New York. (*Washington v Glucksberg,* 521 US 702; *Matter of Von Holden v Chapman,* 87 AD2d 66; *Matter of Senior v Boyle,* 221 NY 414; *Matter of Leib v Paparo,* 84 AD2d 538, 55 NY2d 603; *Schelberger v Eastern Sav. Bank,* 60 NY2d 506; *Shipman v Protected Home Circle,* 174 NY 398; *Duhan v Milanowski,* 75 Misc 2d 1078; *Matter of Merlin v Bradess,* 17 Misc 2d 724; *Matter of Newbrand v City of Yonkers,* 285 NY 164; *Begley v Prudential Ins. Co. of Am.,* 1 NY2d 530.) II. Even if the presumption against suicide is held not to apply to the medical examiner in this case, the determination by the Monroe County medical examiner of suicide as the manner of death of Rosemary A. Infante is arbitrary and capricious such that no reasonable person would be expected to make it. (*Matter of Mitchell v Helpern,* 17 AD2d 922, 14 NY2d 817; *Green v*

William Penn Life Ins. Co. of N.Y., 48 AD3d 37; *Wallwork v New York Life Ins. Co.,* 38 AD2d 804; *Schelberger v Eastern Sav. Bank,* 60 NY2d 506; *Rivers v Katz,* 67 NY2d 485; *Matter of Ansonia Residents Assn. v New York State Div. of Hous. & Community Renewal,* 75 NY2d 206; *Matter of SoHo Alliance v New York City Bd. of Stds. & Appeals,* 264 AD2d 59; *Matter of Goldstein Constr. Corp. v Gliedman,* 117 AD2d 170.) III. This Court should affirm the Appellate Division's order directing the medical examiner "to amend the corrected death certificate of Rosemary A. Infante forthwith to state that the manner of death was accidental or undetermined circumstances." IV. The supplemental record contains materials that were utilized by the court below, by the medical examiner, or are otherwise public records. (*Matter of Altimari v Meisser,* 23 AD2d 672; *Dunham v Townshend,* 118 NY 281.)

Michael A. Cardozo, Corporation Counsel, New York City (*Leonard J. Koerner, Barry P. Schwartz* and *Scott Shorr* of counsel), for Office of the Chief Medical Examiner of the City of New York, amicus curiae. The three-Justice Appellate Division majority erred by abandoning the rational basis standard of review, applying a presumption against suicide, and substituting its judgment for the judgment of the medical examiner. (*Matter of Mitchell v Helpern,* 17 AD2d 922, 14 NY2d 814; *Matter of Soman v Di Maio,* 58 AD2d 521; *Matter of Merlin v Bradess,* 17 Misc 2d 724; *Matter of Scherbyn v Wayne-Finger Lakes Bd. of Coop. Educ. Servs.,* 77 NY2d 753; *Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County,* 34 NY2d 222; *Matter of Walker v State Univ. of N.Y. [Upstate Med. Univ.],* 19 AD3d 1058, 5 NY3d 713; *Wellisch v John Hancock Mut. Life Ins. Co.,* 293 NY 178; *Broun v Equitable Life Assur. Socy. of U. S.,* 69 NY2d 675; *Begley v Prudential Life Ins. Co. of Am.,* 1 NY2d 530; *Garrow v State of New York,* 268 App Div 534, 294 NY 741.)

Tobin and Dempf LLP, Albany (*Michael L. Costello* of counsel), for Most Reverend Howard J. Hubbard, D.D., amicus curiae. Properly applied, the presumption against suicide should exhibit recognition and consideration of a decedent's religious faith.

OPINION OF THE COURT

READ, J.

Because of the circumstances of decedent Rosemary A. Infante's death on April 16, 2006, the Monroe County Office of the Medical Examiner investigated its cause. In an autopsy report dated August 8, 2006, the medical examiner assigned to the case, an experienced forensic pathologist, concluded that decedent had died of multiple drug intoxication and that the manner of her death was suicide.

On December 8, 2006, petitioner George Infante, decedent's father and the administrator of her estate, commenced this CPLR article 78 proceeding, alleging that "th[e] classification of decedent's death as a suicide [was] not based upon any credible evidence and [was] simply speculation, and as such the finding [was] arbitrary and capricious and/or an abuse of discretion." He sought a declaration that the manner of decedent's death was unintentional or undetermined rather than suicide.

On February 2, 2007, Supreme Court dismissed the petition, adopting the reasoning of the Appellate Division's decision in *Matter of Mitchell v Helpern* (17 AD2d 922 [1st Dept 1962], *affd without op* 14 NY2d 817 [1964]), where a petitioner likewise sought to compel a medical examiner to revise a death certificate attributing death to suicide. Quoting *Mitchell*, the trial judge observed that "[w]hen the medical and other facts could sustain different inferences, 'the determinations of the medical examiners must be sustained as far as their entries on the public record are concerned unless the determinations are arbitrary' "; and that " '[a] public determination is arbitrary when no reasonable man would be expected to make it.' " Applying these principles to the facts of the case, Supreme Court acknowledged that "[a]n impartial evaluation of the medical and factual circumstances . . . could result in differing conclusions of the manner of death as an accident or cause unknown or suicide"; however, because "[t]here [was] sufficient information on the record for a reasonable person to make the finding of suicide," the medical examiner's "determination of the manner of death as suicide . . . [was] not arbitrary."

On appeal, the Appellate Division, with two Justices dissenting, reversed on the ground that "the evidence before [the medical examiner] was insufficient to rebut the presumption against suicide" (*Matter of Infante v Dignan*, 55 AD3d 1258, 1259 [4th Dept 2008]). The majority recognized that the medical examiner's "determination was based upon the autopsy and toxicology report as well as information concerning the scene of the death," but nonetheless concluded that "the evidence from which the determination was made failed to rebut the presumption against suicide, and thus . . . [was] arbitrary and capricious'' (*id.* at 1261).

The two dissenting Justices would have applied the CPLR article 78 standard of review unencumbered by any common-law presumption. As a result, although there were facts ''suggest[ing] that [the medical examiner's] determination of suicide may well [have been] mistaken,'' his determination was not ''arbitrary or irrational'' in their view (*id.* at 1263). The dissenting Justices found no authority indicating that the presumption against suicide—an evidentiary rule in litigation involving life insurance claims—was relevant where ''a medical examiner . . . discharg[ed] his or her administrative function of determining the means or manner of an unattended death'' (*id.* at 1262, quoting County Law § 674 [3] [a] [internal quotation marks omitted]). The double dissent on an issue of law brought the case to us (*see* CPLR 5601 [a]), and we now reverse.

[1] New York's common-law presumption against suicide has no role to play in a medical examiner's determination of the cause or manner of a decedent's death, or the judicial review of such a determination (*see e.g.* Public Health Law § 4143 [3] [directing medical examiner to certify whether a death from external causes was ''*probably* accidental, suicidal or homicidal'' (emphasis added)]). The presumption is an evidentiary rule relevant to resolving disputes over life insurance proceeds (*see Green v William Penn Life Ins. Co. of N.Y.*, 12 NY3d 342 [2009] [decided today]). We have never considered the presumption in any other context.

As a statutory matter, the County Law requires a medical examiner to ''determine the means or manner of death'' (County Law § 674 [3] [a]; § 671) for the benefit of the public at large rather than for the benefit of individuals, including a decedent's family members (*see e.g. Lauer v City of New York*, 95 NY2d 95 [2000] [New York City medical examiner did not owe duty of care to father of child whose death was wrongly attributed to homicide]). If medical examiners were forced to leaven their decision-making with a common-law evidentiary presumption, the medical and scientific quality of their work would be seriously compromised to the detriment of the citizenry.

In this case, there is evidentiary support for the medical examiner's determination of suicide, although—as every judge who has reviewed the record has observed—there is also reason to believe that decedent may have accidentally overdosed on prescription medication. As was pointed out 47 years ago in *Mitchell*, "[i]n . . . an arguable situation capable of sustaining different inferences, the determinations of the Medical Examiners must be sustained . . . unless [they] are arbitrary" (17 AD2d at 922).

[2] Here, the medical examiner's determination was not arbitrary. He performed an autopsy, during which he removed samples of decedent's heart blood, urine, liver, brain, and gastric contents for comprehensive drug screen analysis. The results of this analysis, which were reported by an experienced forensic toxicologist, disclosed an extremely high heart blood concentration of the drug fluoxetine (commercially known as Prozac)—a level 18 to 20 times higher than would be expected with normal therapeutic usage. In addition, the level of a fluoxetine metabolite in decedent's liver was comparatively high in relation to the parent drug's level in her heart blood. The medical examiner characterized these autopsy and toxicological findings as "most significant" in leading him to conclude that decedent's manner of death was suicide. In his opinion, these levels and their ratio were consistent with intentional excessive consumption, but not chronic overusage or accidental overdose. In short, the medical examiner set forth a reasonable basis for his determination in an area where administrative judgment involves specialized medical and scientific expertise (*see generally Flacke v Onondaga Landfill Sys.*, 69 NY2d 355, 363 [1987] ["where . . . the judgment of the agency involves factual evaluations in the area of the agency's expertise and is supported by the record, such judgment must be accorded great weight and judicial deference"]).

Accordingly, the order of the Appellate Division should be reversed, with costs, and Supreme Court's judgment reinstated.

Chief Judge LIPPMAN and Judges CIPARICK, SMITH, PIGOTT and JONES concur; Judge GRAFFEO taking no part.

Order reversed, etc.

[907 NE2d 700, 879 NYS2d 822]

LISA C. GREEN, Respondent, v WILLIAM PENN LIFE INSURANCE COMPANY OF NEW YORK, Appellant.

Argued March 25, 2009; decided May 5, 2009

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 20, 2007. The Appellate Division, with two Justices dissenting, (1) reversed, on the law, a judgment of the Supreme Court, New York County (Harold Beeler, J.), which had dismissed the complaint after a nonjury trial; and (2) awarded plaintiff the principal amount of $500,000, plus statutory interest from the date of the insured's death.

Green v William Penn Life Ins. Co. of N.Y., 48 AD3d 37, reversed.

HEADNOTE

Insurance — Life Insurance — Presumption against Suicide

The presumption against suicide, applicable in litigation under life insurance policies, does not require rejection of a claim of suicide as a matter of law. Except in rare cases, a claim of suicide presents a factual issue, not a legal one. The presumption is a rule or guide for the jury in coming to a conclusion on the evidence, not a rule that compels a result. Where the evidence leaves open two possible findings, it is the jury's business to resolve the doubt. The provision of the New York Pattern Jury Instructions which provides that ''[y]ou may make a finding of suicide only if you are satisfied from the evidence, and taking into consideration the presumption against suicide, that no conclusion other than suicide may reasonably be drawn'' (*see* PJI 1:63.2) should not be taken to mean that, where more than one conclusion is reasonably possible, suicide is excluded as a matter of law. That instruction is directed at jurors deciding facts, not at judges deciding the law; it is a way of impressing on jurors' minds that the presumption against suicide is a strong one—of telling them they should not find suicide unless the evidence shows suicide to be highly probable. Accordingly, in an action to recover under a life insurance policy, the Appellate Division erred in rejecting, as a matter of law, Supreme Court's finding of suicide, because there was evidence legally sufficient to support Supreme Court's decision that the insured had committed suicide.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Insurance §§ 535, 539.
COUCH ON INSURANCE (3d ed) §§ 138:66–138:70, 140:90.
NY JUR 2d, Insurance §§ 1411, 1412, 2362, 2368.

ANNOTATION REFERENCE

See ALR Index under Life Insurance; Suicide.

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POINTS OF COUNSEL

Bleakley Platt & Schmidt, LLP, White Plains (*Robert D. Meade* of counsel), for appellant. I. The Appellate Division majority applied an erroneous standard of review. (*Northern Westchester Professional Park Assoc. v Town of Bedford,* 60 NY2d 492; *Thoreson v Penthouse Intl.,* 80 NY2d 490; *Abrahami v UPC Constr. Co.,* 224 AD2d 231; *Fryling v Omer Constr. Co.,* 286 AD2d 983; *Healy v Williams,* 30 AD3d 466; *Kiamos & Tooker v Zelis Florist,* 264 AD2d 623; *Meadox Meds., Inc. v Life Sys., Inc.,* 3 F Supp 2d 549; *Oelsner v State of New York*, 66 NY2d 636; *Amend v Hurley,* 293 NY 587.) II. The decision of the trial court was supported by a fair interpretation of the evidence. (*Schelberger v Eastern Sav. Bank,* 60 NY2d 506; *Joseph Schachter & Co. v John Hancock Mut. Life Ins. Co.,* 801 F2d 563; *Thoreson v Penthouse Intl.,* 80 NY2d 490; *Tidball v Tidball,* 93 AD2d 954.) III. The Appellate Division majority misapplied the presumption against suicide. (*Wellisch v John Hancock Mut. Life Ins. Co.,* 293 NY 178; *Schelberger v Eastern Sav. Bank,* 60 NY2d 506.) IV. The cremation of the body of the insured following plaintiff's denial of permission to perform any postmortem testing, combined with the majority's application of the presumption against suicide, deprived William Penn Life Insurance Company of New York of the right to defend this case. (*Rinaldo v New York City Tr. Auth.,* 39 NY2d 285; *Homer v Guardian Mut. Ins. Co.,* 67 NY 478; *Prink v Rockefeller Ctr.,* 48 NY2d 309.)

Thomas Torto, New York City, and *S. Edmund Resciniti*, Roslyn Heights, for respondent. I. The Appellate Division's exercise of its discretionary authority to review the trial records de novo and grant the judgment it finds warranted by the facts constitutes a permissible standard of Appellate Division review. (*Thoreson v Penthouse Intl.,* 80 NY2d 490; *Claridge Gardens v Menotti,* 160 AD2d 544; *Northern Westchester Professional Park Assoc. v Town of Bedford,* 60 NY2d 492; *Bernardine v City of New York,* 294 NY 361; *York Mtge. Corp. v Clotar Constr. Corp.,* 254 NY 128; *People ex rel. MacCracken v Miller,* 291 NY 55; *Matter of Fasano v State of New York,* 113 AD2d 885; *Marren v State of New York,* 142 AD2d 717; *Hunts Point Term. Produce*

Coop. Assn., Inc. v New York City Economic Dev. Corp., 36 AD3d 234; *Pordy v Scot Serv. Co.,* 15 AD2d 911.) II. The Appellate Division's determination to exercise its de novo review powers and grant the judgment it finds warranted by the facts is a discretionary determination which is not reviewable by this Court. (*Herrick v Second Cuthouse,* 64 NY2d 692; *Matter of People [Second Russian Ins. Co.],* 244 NY 606; *Small v Lorillard Tobacco Co.,* 94 NY2d 43; *Wellisch v John Hancock Mut. Life Ins. Co.,* 293 NY 178.) III. The Appellate Division properly applied the presumption against suicide. (*Schelberger v Eastern Sav. Bank,* 93 AD2d 188, 60 NY2d 506; *Mallory v Travelers' Ins. Co.,* 47 NY 52; *Begley v Prudential Ins. Co. of Am.,* 1 NY2d 530; *Wellisch v John Hancock Mut. Life Ins. Co.,* 293 NY 178; *Miller v Continental Ins. Co.,* 40 NY2d 675; *Broun v Equitable Life Assur. Socy. of U. S.,* 69 NY2d 675; *Nathan v New York Life Ins. Co.,* 8 Misc 2d 5; *Skylarsky v New Hope Guild Ctr.,* 9 Misc 3d 1108[A], 2005 NY Slip Op 51450[U]; *Matter of Friedman v NBC Inc.,* 178 AD2d 774; *Matter of Bruning v Sheffield Farms Co.,* 8 AD2d 241.) IV. Defendant's argument that plaintiff's refusal to consent to an autopsy of the deceased should essentially estop her from relying on the presumption against suicide raises a matter of discretion which is beyond the review power of this Court. (*Herrick v Second Cuthouse,* 64 NY2d 692.) V. Defendant waived its argument that plaintiff should essentially be estopped from relying on the presumption against suicide by failing to interpose it as an affirmative defense in its answer. (*Dougherty v City of Rye,* 63 NY2d 989; *Morgan v Morgan,* 21 AD3d 1068.) VI. Defendant's argument that plaintiff should essentially be estopped from relying on the presumption against suicide so that it is not deprived of due process has not been preserved for review by this Court. (*Matter of Barbara C.,* 64 NY2d 866; *Lichtman v Grossbard,* 73 NY2d 792; *Matter of Peter L.,* 59 NY2d 513; *Tumolillo v Tumolillo,* 51 NY2d 790; *Di Bella v Di Bella,* 47 NY2d 828.) VII. Plaintiff is not estopped from relying on the presumption against suicide. (*Coronel v Chase Manhattan Bank,* 19 AD3d 310; *Conderman v Rochester Gas & Elec. Corp.,* 262 AD2d 1068; *Brown v Daisy Mfg. Co.,* 129 AD2d 995; *Gerber v Rosenfeld,* 18 AD3d 812; *Schelberger v Eastern Sav. Bank,* 93 AD2d 188.) VIII. Alternatively, the matter should be remanded to the Appellate Division to determine whether defendant's expert, Dr. Baden, should have been precluded, upon the grounds that (1) defendant failed to show good cause for disclosing, for the first time during the middle of trial, that it had an expert witness, and (2) defendant's retention of the expert was contrary to its prior discovery response that it had not retained an expert.

OPINION OF THE COURT

SMITH, J.

The Appellate Division held that an attempt to prove a death was caused by suicide must fail as a matter of law, unless suicide is the only reasonable finding permitted by the evidence. We hold that the Appellate Division misconstrued the presumption against suicide. It is a guide for the factfinder, not a rule that compels a result.

I

Alan Green died on February 20, 2002. His life was insured by defendant under a $500,000 policy issued December 3, 2001. The policy provided: ''If the insured dies by suicide within two years from the Date of Issue of this contract, the only death benefit will be the sum of premiums paid.'' Plaintiff, Mr. Green's widow, made a claim for the face amount of the policy. Defendant rejected the claim on the ground that Mr. Green had died by suicide, and plaintiff brought this action.

Considerable evidence supported defendant's contention that Mr. Green committed suicide. He was found lying on his bed, with an empty glass on the nightstand beside him and two empty bottles that had contained recently-prescribed pain medication in the nightstand drawer. He had been unemployed for months. He had seen a doctor on the day before his death; the doctor found him to be in good physical health, but noted that he had ''suicidal thoughts.'' According to a police report, plaintiff said on the night of her husband's death that he had been depressed, and had overdosed on pain medication. She refused to permit an autopsy or a toxicological examination of his body, saying that such intrusions were forbidden by Jewish religious law, but she ordered the body cremated in violation of that religious prohibition.

There was also evidence supporting plaintiff's contention that suicide was not the cause of death. No suicide note was found. Mr. Green had no history of mental illness, and had not attempted suicide before. The doctor who noted his ''suicidal thoughts'' also quoted him as saying he was ''[n]ot suicidal'' and noted that he had ''no plans'' for suicide. There was no proof of how long the pill bottles had been empty; plaintiff offered testimony suggesting that she and her husband might have taken all the pills in normal doses over a period of weeks. Family members testified that Mr. Green had behaved normally shortly before his death; they described him as "upbeat" and "positive."

After a nonjury trial, Supreme Court found that Mr. Green had committed suicide, and dismissed the complaint. The Appellate Division, with two Justices dissenting, reversed and directed the entry of judgment for plaintiff (*Green v William Penn Life Ins. Co. of N.Y.*, 48 AD3d 37 [1st Dept 2007]). In reversing, the Appellate Division did not exercise its factual review power, but held that "the evidence failed as a matter of law to overcome the presumption against suicide" (*id.* at 44). It reasoned that because "there are other reasonable conclusions that may be drawn from the evidence, aside from suicide," the "application of the law regarding the presumption against suicide necessitated a directed verdict in this case" (*id.* at 40). Defendant appeals as of right, pursuant to CPLR 5601 (a), and we now reverse.

II

We have repeatedly held that a presumption against suicide is applicable in litigation under life insurance policies (*Schelberger v Eastern Sav. Bank*, 60 NY2d 506 [1983]; *Wellisch v John Hancock Mut. Life Ins. Co.*, 293 NY 178 [1944]; *cf. Matter of Infante v Dignan*, 12 NY3d 336 [2009] [decided today]). The presumption "springs from strong policy considerations as well as embodying natural probability" (*Schelberger*, 60 NY2d at 510), and we held in both *Wellisch* and *Schelberger* that the presumption justified leaving the issue of suicide to the jury, even where powerful evidence pointed to suicide as the cause of death.

We have never held, however, that the presumption against suicide requires *rejection* of a claim of suicide as a matter of law. As long as such a claim finds support in the evidence, a factfinder should decide it. The presumption, as we said in *Wellisch*, is "really a rule or guide for the jury in coming to a conclusion on the evidence" (293 NY at 184). Where the evidence leaves open two possible findings, it is "the jury's business to resolve the doubt" (*id.* at 185).

The Appellate Division's error here appears to arise from a jury charge we approved in *Schelberger*—a charge based on the New York Pattern Jury Instructions which then, as now, contained this language: "You may make a finding of suicide only if you are satisfied from the evidence, and taking into consideration the presumption against suicide, that no conclusion other than suicide may reasonably be drawn'' (60 NY2d at 509; *see* PJI 1:63.2). This language should not be taken to mean that, where more than one conclusion is reasonably possible, suicide is excluded as a matter of law. If that were true, the issue of suicide could never be decided by a factfinder; a verdict would have to be directed against the party asserting suicide whenever the evidence was inconclusive, and in that party's favor when suicide was conclusively proved. The main point of both *Wellisch* and *Schelberger* is to the contrary: Except in rare cases, a claim of suicide presents a factual issue, not a legal one.

The instruction that a finding of suicide is permissible only when ''no conclusion other than suicide may reasonably be drawn'' is directed at jurors deciding facts, not at judges deciding the law; it is a way of impressing on jurors' minds that the presumption against suicide is a strong one—of telling them they should not find suicide unless the evidence shows suicide to be highly probable. Of course, the same is true of a judge sitting as factfinder in a nonjury trial. Here, the evidence was strong enough to permit a finding of suicide, though not to require it.

Because there was evidence legally sufficient to support Supreme Court's decision, the Appellate Division erred in rejecting the finding of suicide as a matter of law. We remit the case to the Appellate Division, so that it can exercise its weight of the evidence review power, and consider any other issues necessary to resolve the case.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the case remitted to that court for consideration of the facts and issues raised but not determined on the appeal to that court.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, PIGOTT and JONES concur.

Order reversed, etc.

[912 NE2d 26, 884 NYS2d 194]

David A. Kipper, M.D., Appellant, et al., Plaintiff, v NYP Holdings Co., Inc., Doing Business as The New York Post, Respondent.

Argued March 24, 2009; decided April 30, 2009

SUMMARY

Appeal, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered January 31, 2008. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, New York County (Michael D. Stallman, J.; op 15 Misc 3d 1136[A], 2007 NY Slip Op 51005[U]), to the extent it had denied defendant's motion for summary judgment dismissing the claim of plaintiff in his individual capacity; (2) granted that part of the motion; and (3) directed the Clerk to enter judgment in favor of defendant dismissing the complaint.

Kipper v NYP Holdings Co., Inc., 47 AD3d 597, affirmed.

HEADNOTES

Libel and Slander — Malice — Actual Malice — Summary Judgment — Defendant's Burden of Proof

1. Defendant newspaper's burden of proof in support of its motion for summary judgment dismissing a libel action brought by plaintiff, a public figure, was not to prove as a matter of law that it did not publish with actual malice, but rather to point to deficiencies in the record that would prevent plaintiff from proving that fact by clear and convincing evidence.

Libel and Slander — Malice — Actual Malice — What Constitutes

2. The actual malice standard applicable in a libel action brought by a public figure is a subjective one, focusing upon the state of mind of the publisher of the allegedly libelous statements at the time of publication. A statement published with actual malice is one that is published with knowledge that it was false or with reckless disregard of whether it was false or not. Reckless conduct is not measured by whether a reasonably prudent person would have published, or would have investigated before publishing. Rather, there must be clear and convincing evidence that the author in fact entertained serious doubts as to the truth of his or her publication or acted with a high degree of awareness of probable falsity.

Libel and Slander — Malice — Actual Malice — Summary Judgment — No Clear and Convincing Evidence That Defendant Published False and Defamatory Statement with Actual Malice

3. Defendant newspaper (New York Post) was entitled to summary judgment dismissing the libel action brought against it by plaintiff, a public figure, for publishing a false and defamatory statement concerning the revocation of plaintiff's medical license, as the record did not contain clear and convincing

evidence that defendant published the statement with actual malice. The article, a short ''rewrite'' of an article taken from another newspaper's wire service, incorrectly stated that plaintiff's license had been ''[p]ulled'' and ''revoked,'' when in fact, as accurately stated in the original article, the state medical board had merely ''moved to revoke'' plaintiff's license. Plaintiff's reliance upon defendant's failure to employ fact-checkers, to attempt to verify the status of his license prior to publication, or to identify those individuals responsible for the false headline and statement was misplaced, as proof of mere negligence does not suffice to establish actual malice by clear and convincing evidence. Other than the fact that the rewrite contained two erroneous statements, there was no evidence that the author of the rewrite, his editor or anyone else at the newspaper seriously doubted the truth of the complained-of statements or was highly aware that they were incorrect prior to publication. Although the author testified that the lead paragraph of a wire service article was usually edited to make it ''more Post-like,'' that shorthand phrase referred to stylistic alterations and not to the fabrication of facts, and plaintiff did not contend that the rewrite's lead paragraph was inaccurate.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Libel and Slander §§ 31–34, 37, 38, 67, 71, 87, 295, 464, 471, 487, 490.

NY JUR 2d, Defamation and Privacy §§ 101, 102, 192, 194–196, 199, 246.

NEW YORK PATTERN JURY INSTRUCTIONS—CIVIL, PJI 3:23, 3:28.

PROSSER AND KEETON, TORTS (5th ed) § 112.

ANNOTATION REFERENCE

Libel and slander: what constitutes actual malice, within federal constitutional rule requiring public officials and public figures to show actual malice. 20 ALR3d 988.

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POINTS OF COUNSEL

Jaroslawicz & Jaros, LLC, New York City (*David Jaroslawicz, Robert J. Tolchin* and *Elizabeth Eilender* of counsel), for appellant. I. The Appellate Division erroneously ignored defendant's reckless disregard for the truth. (*Wilsey v Saratoga Harness Racing,* 140 AD2d 857; *McGovern v Hayes,* 135 AD2d 125; *New York Times Co. v Sullivan,* 376 US 254; *Freeman v Johnston,* 84 NY2d 52; *Rivera v Time Warner Inc.,* 56 AD3d 298; *Gertz v Robert Welch, Inc.,* 418 US 323.) II. Plaintiff is not a public figure. (*Merritt Hill Vineyards v Windy Hgts. Vineyard,* 61 NY2d 106; *Dunham v Hilco Constr. Co.,* 89 NY2d 425; *Cover v Cohen,* 61 NY2d 261; *New York Times Co. v Sullivan,* 376 US 254; *Waldbaum v Fairchild Publs., Inc.,* 627 F2d 1287, 449 US 898; *Gertz v Robert Welch, Inc.,* 418 US 323; *Horowitz v Mannoia,* 10 Misc 3d 467; *Park v Capital Cities Communications,* 181 AD2d 192; *James v Gannett Co.,* 40 NY2d 415; *Time, Inc. v Firestone,* 424 US 448.)

Hogan & Hartson LLP, New York City (*Slade R. Metcalf, Katherine M. Bolger* and *Rachel F. Strom* of counsel), for respondent. I. This Court should review the order below in accordance with this Court's long-held tradition of protecting the rights of the press. (*Bose Corp. v Consumers Union of United States Inc.,* 466 US 485, 467 US 1267; *Immuno AG. v Moor-Jankowski,* 77 NY2d 235, 500 US 954; *Freeman v Johnston,* 84 NY2d 52, 513 US 1016; *Sweeney v Prisoners' Legal Servs. of N.Y.,* 84 NY2d 786; *Mahoney v Adirondack Publ. Co.,* 71 NY2d 31.) II. This Court should affirm the First Department's decision because David Kipper has not produced any evidence of constitutional malice. (*New York Times Co. v Sullivan,* 376 US 254; *Curtis Publishing Co. v Butts,* 388 US 130; *Gertz v Robert Welch, Inc.,* 418 US 323; *Anderson v Liberty Lobby, Inc.,* 477 US 242; *Secord v Cockburn,* 747 F Supp 779; *Freeman v Johnston,* 84 NY2d 52; *Roche v Hearst Corp.*, 53 NY2d 767; *Sprewell v NYP Holdings, Inc.,* 43 AD3d 16; *Karaduman v Newsday, Inc.,* 51 NY2d 531; *Washington Post Co. v Keogh,* 365 F2d 965, 385 US 1011.) III. The question of whether David Kipper is a public figure is not properly before this Court. (*Quain v Buzzetta Constr. Corp.,* 69 NY2d 376.) IV. David Kipper is "unquestionably a public figure." (*Horowitz v Mannoia,* 10 Misc 3d 467; *James v Gannett Co.,* 40 NY2d 415; *Maule v NYM Corp.,* 76 AD2d 58, 54 NY2d 880; *Immuno AG. v Moor-Jankowski,* 77 NY2d 235; *Wilsey v Saratoga Harness Racing,* 140 AD2d 857; *Kelly v State of New York,* 131 AD2d 176; *Thomas v Los Angeles Times Communications, LLC,* 189 F Supp 2d 1005; *Chapadeau v Utica Observer-Dispatch,* 38 NY2d 196; *Lopez v Univision Communications, Inc.,* 45 F Supp 2d 348; *Meeropol v Nizer,* 560 F2d 1061.)

OPINION OF THE COURT

CIPARICK, J.

In this appeal, we must determine whether the summary judgment record contains clear and convincing evidence that defendant published a false and defamatory statement concerning the revocation of plaintiff's medical license with ''actual malice,'' as defined in *New York Times Co. v Sullivan* (376 US 254 [1964]). Because it does not, we affirm the Appellate Division's grant of summary judgment to defendant.

I.

On December 7, 2003, page 24 of the New York Post's Sunday edition carried a short, eight-paragraph, ''rewrite'' of a 98-paragraph article taken from the Los Angeles Times's wire service. The Times article, entitled ''Harsh Reality of 'Osbournes' No Laughing Matter,'' described the rock singer John ''Ozzy'' Osbourne's allegations that his former physician, plaintiff David A. Kipper, had overprescribed various medications to him during the time that Osbourne starred in a television reality series.[1] In addition, the Times article accurately stated that the California Medical Board had ''moved to revoke'' plaintiff's license due to his alleged gross negligence in the treatment of other patients. But the Post article, which appeared under the inaccurate headline ''Ozzy's Rx doc's License Pulled,'' contained an error. Despite clearly indicating that it was based upon ''Los Angeles Times reports,'' the sixth paragraph of the Post rewrite incorrectly stated that ''the state medical board revoked Kipper's license.''

The circumstances surrounding the Post's erroneous statement are not entirely clear. The record reveals that, sometime during the evening of December 6, a Post editor assigned the task of rewriting the wire service story to a then-part-time reporter, Lyle Hasani Gittens. According to Gittens, the Post rewrite was slated to appear in the second edition of the paper, the usual deadline for which was ''around 8:00 to 9 o'clock.'' Gittens swore in an affidavit and testified at his deposition that he did not recall writing and did not think he wrote that plaintiff's license was revoked, a statement that defendant concedes was both false and defamatory. He speculated that the error might have occurred during the editing process.

After Gittens prepared the rewrite on a personal computer, he transmitted it to an electronic ''basket'' where it was reviewed by an editor. Gittens was aware that editors sometimes altered the text of articles and, as typical of such editing, he cited stylistic changes to an article's lead, or first, paragraph. But he

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1. Because Supreme Court dismissed claims brought on behalf of Dr. Kipper's professional corporation, all references to ''plaintiff'' herein are to Kipper in his individual capacity.

denied having any knowledge that Post editors deliberately changed the facts of stories.

The record sheds no light on the actual editing of Gittens's rewrite. The editor responsible for it, Todd Venezia, testified that he would ''never deliberately'' falsify information pertaining to a doctor's licensure, but he could not offer any specific details pertaining to his review of the December 7 rewrite. Moreover, the record does not contain the original draft that Gittens submitted to Venezia.[2]

An affidavit submitted by the Post's metropolitan editor, Jesse Angelo, does, however, set forth the path that a rewrite generally travels after editorial review. At that point, it is sent to the copy desk for additional checking of grammar, punctuation and accuracy as well as any reduction in text necessary to fit the paper's layout requirements. The copy desk is also responsible for preparing headlines before the article is processed by the production department for page-setting and transmission to the printer. How these steps were accomplished prior to publication of the ''Ozzy'' rewrite is not revealed by the record.

Apparently, the sole source material for Gittens's rewrite was the Los Angeles Times wire service story. Gittens testified that he did ''not recall'' making any independent effort to verify the status of plaintiff's license prior to publication of the Post article. Additionally, Gittens remarked that Post editors would ''[n]ot necessarily'' engage in additional fact-checking after an article's submission unless ''something very conspicuous . . . leap[t] out'' at them. Accepting the substance of a wire service story was not unusual, according to Angelo. He averred that the Post occasionally reprints stories disseminated on reputable wire services, such as that of the Los Angeles Times, verbatim and that additional research regarding the factual accuracy of such stories is not generally undertaken. With respect to the Los Angeles Times wire service dispatch relevant here, Angelo stated that ''this is not the kind of story that [the Post] would have expected a reporter to do additional research [on].''

Nonetheless, Angelo explained that a reporter performing a rewrite may make ''minor editorial changes,'' including ''more interesting word selection,'' before publication in the Post. During his deposition, Gittens provided additional details about the rewriting process, stating that it essentially entailed shortening

2. At his deposition, Gittens stated that the original draft might have been ''purged'' from one of the Post's electronic file directories.

the length of a wire service dispatch and changing its "lead" paragraph "to make it more Post-like," by which he meant "less boring than the Los Angeles Times" or "[a] better read." The lead paragraph in the rewrite of which plaintiff complains, however, correctly stated that plaintiff was "under investigation for over-prescribing drugs."

On January 30, 2004—nearly two months after it was published—counsel for plaintiff wrote to the Post asserting that the December 7 rewrite was false and defamatory and "published with reckless disregard for the truth." The letter demanded a retraction within 14 days. The Post complied, publishing a "Correction" on page 26 of its February 9 edition, which stated that the state Medical Board had "moved to revoke [plaintiff's] license, although no action has as yet been taken." Plaintiff then commenced this libel suit on November 23, 2004, almost a year after the Post rewrite was first published and more than nine months after publication of the requested retraction.

Following discovery, defendant moved for summary judgment. As relevant here, Supreme Court denied the motion (15 Misc 3d 1136[A], 2007 NY Slip Op 51005[U]), reasoning that defendant bore the burden of demonstrating that its misstatement regarding the status of plaintiff's license was not published with actual malice as defined by *New York Times*—i.e., with knowledge of falsity or a reckless disregard for the truth.[3] A unanimous Appellate Division reversed, granting defendant summary judgment and dismissing the complaint (*see* 47 AD3d 597, 598 [1st Dept 2008]). We granted leave to appeal (11 NY3d 704 [2008]) and now affirm.

II.

As set forth in *New York Times Co. v Sullivan* (376 US 254 [1964]) and its progeny, the US Constitution's First Amendment bars a public figure from recovering damages in a libel action unless clear and convincing evidence proves that a false and defamatory statement was published with " 'actual malice'—that is, with knowledge that it was false or with reckless disregard of whether it was false or not" (*id.* at 279-280,

3. The actual malice standard applies here because, as Supreme Court held, plaintiff is "unquestionably a public figure" (2007 NY Slip Op 51005[U] at *2) due to the extensive media coverage of his detoxification practice, his more than 100 television appearances as a medical expert, and his roles as a doctor in several films (*see James v Gannett Co.*, 40 NY2d 415, 422 [1976]).

285-286; *Masson v New Yorker Magazine, Inc.*, 501 US 496, 511 [1991]; *Harte-Hanks Communications, Inc. v Connaughton*, 491 US 657, 666-667 [1989]; *Bose Corp. v Consumers Union of United States, Inc.*, 466 US 485, 511 [1984]). The clear and convincing evidence standard is applicable to a trial court's assessment of a libel defendant's motion for summary judgment (*see Anderson v Liberty Lobby, Inc.*, 477 US 242, 252 [1986]; *see also Freeman v Johnston*, 84 NY2d 52, 57 [1994]). In such a posture, the question is "whether the evidence in the record could support a reasonable jury finding either that the plaintiff has shown actual malice by clear and convincing evidence or that the plaintiff has not" (*Anderson*, 477 US at 255-256).

[1] Thus, a libel defendant's burden in support of summary judgment is not, as Supreme Court reasoned, to prove as a matter of law that it did not publish with actual malice, but to point to deficiencies in the record that will prevent plaintiff from proving that fact by clear and convincing evidence (*cf. Roche v Hearst Corp.*, 53 NY2d 767, 769 [1981]; *Millus v Newsday, Inc.*, 89 NY2d 840, 843 [1996]). On appeal, our task is to undertake an independent review to determine whether the record evidence is capable of demonstrating actual malice with "convincing clarity" (*see Freeman*, 84 NY2d at 57). We turn then to plaintiff's argument that the record contains evidence sufficient for a reasonable jury to find that the Post published the erroneous statements regarding his license with reckless disregard for the truth.

[2] Although incapable of "one infallible definition . . . reckless conduct is not measured by whether a reasonably prudent [person] would have published, or would have investigated before publishing" (*see St. Amant v Thompson*, 390 US 727, 730-731 [1968]). Instead, to cross the constitutional threshold of actual malice, there must be "clear and convincing evidence . . . that the author in fact entertained serious doubts as to the truth of his publication or acted with a high degree of awareness of . . . probable falsity" (*see Masson*, 501 US at 510 [citations and internal quotation marks omitted]).[4] The inquiry is thus a subjective one, focusing upon the state of mind of the publisher of the allegedly libelous statements at the time of

4. The sort of actual malice required under *New York Times* "should not be confused with the concept of malice as an evil intent or a motive arising from spite or ill will" (*see Masson*, 501 US at 510). While such motivations are not irrelevant to the actual malice inquiry (*see* 2 Smolla and Nimmer On Freedom of Speech § 23:3, at 23-17 [2008] [hereinafter Smolla and Nimmer]),

(n. cont'd)

publication (*see Bose Corp.*, 466 US at 511 n 30; *Harte-Hanks*, 491 US at 689).[5] This decidedly high standard of culpability has been set because ''it is essential that the First Amendment protect some erroneous publications as well as true ones'' (*see St. Amant*, 390 US at 732). The actual malice standard recognizes that falsehoods relating to public figures are ''inevitable in free debate'' and that publishers must have sufficient ''breathing space'' (*see Hustler Magazine, Inc. v Falwell*, 485 US 46, 52 [1988]) so that the First Amendment's commitment to ''the principle that debate on public issues should be uninhibited, robust, and wide-open'' will be realized (*see New York Times*, 376 US at 270).

[3] We agree with the Appellate Division that the present record lacks the clear and convincing evidence necessary for a jury to conclude that defendant's inaccurate statements were published with actual malice. As an initial matter, plaintiff's reliance upon the Post's failure to employ fact-checkers, to attempt to verify the status of his license prior to publication, or to identify those individuals responsible for the false headline and statement is misplaced. Put simply, such proof of ''[m]ere negligence does not suffice'' to establish actual malice by clear and convincing evidence (*see Masson*, 501 US at 510). Conceivably, in an extreme case, a failure to investigate could be so gross as to prove a willful avoidance of knowledge (*cf. Harte-Hanks*, 491 US at 690-693), but this is not that case.

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there is no evidence in this record that defendant was motivated by an intent to injure plaintiff.

5. The dissent does not quarrel with this point (*see* dissenting op at 362). Nor could it (*see* 2 Smolla and Nimmer § 23:3, at 23-15 [noting that the U.S. Supreme Court has ''repeatedly emphasized the subjective nature of the actual malice standard'']). Recognizing the rule that the actual malice inquiry necessarily entails consideration of a defendant's subjective mental state does not, however, inevitably place the outcome of a libel case within a defendant's ''unilateral control'' (*see* dissenting op at 363 [internal quotation marks omitted]). That result would only obtain if a libel defendant's mere assertion of good faith publication, despite clear and convincing circumstantial evidence of actual malice, would suffice to permit summary judgment. As the dissent correctly points out, this Court has never sanctioned such a rigid rule (*see Prozeralik v Capital Cities Communications*, 82 NY2d 466, 478 [1993]). And we do not do so here. Instead, we acknowledge that ''mere protestations of good faith by a defendant do not preclude establishing actual malice through other inferential or circumstantial proof'' (*see* Smolla and Nimmer § 23:3, at 23-18). But we conclude that the facts and circumstances adduced by plaintiff in this case could not clearly and convincingly prove actual malice to the satisfaction of a reasonable jury.

We are concerned here with whether there is ''concrete'' or ''affirmative evidence'' (*see Anderson*, 477 US at 256, 257) in the record that would allow a jury to conclude with ''convincing clarity'' (*see Freeman*, 84 NY2d at 56) whether the Post's employees actually entertained serious doubts about the truth of the rewrite's inaccurate headline and sentence or that they published those statements with a high degree of awareness of their falsity. Plaintiff argues that a jury applying the *New York Times* actual malice standard could find in his favor because the record establishes that a Post editor fabricated the facts concerning plaintiff's licensure to make Gittens's rewrite ''more sensational[ ]'' and thereby generate increased sales. Other than the fact that the rewrite contains two erroneous statements, however, there is no evidence that Gittens, his editor Venezia, or anyone else at the Post seriously doubted the truth of the complained-of statements or was highly aware that they were incorrect prior to publication. Evidence of falsity does not equate with proof of actual malice (*see Mahoney v Adirondack Publ. Co.*, 71 NY2d 31, 39-40 [1987]).

Given this lack of concrete proof, plaintiff relies heavily upon Gittens's testimony that the lead paragraph of a wire service article was usually edited to make it ''more Post-like.'' But the full context of Gittens's testimony along with his affidavit, Angelo's affidavit, and Venezia's testimony, demonstrate that this shorthand phrase referred to stylistic alterations and not to the fabrication of facts. A writer can make an article a ''better read'' and engage in ''more interesting word selection'' without sacrificing factual integrity. Clearly, the First Amendment offers no shield to ''calculated falsehoods'' (*see Harte-Hanks*, 491 US at 687 n 34, quoting *Garrison v Louisiana*, 379 US 64, 75 [1964]; *Cantrell v Forest City Publishing Co.*, 419 US 245, 253 [1974]), but at no point does this record even suggest that the Post set out to falsely defame plaintiff in this instance, or other individuals regularly, to increase its sales.[6] Moreover, plaintiff's heavy reliance on the ''more Post-like'' testimony is flawed since Gittens's deposition indicates that he was using that jargon to refer to changes made to a rewrite's lead paragraph. Here, however, plaintiff does not contend that that paragraph is inaccurate.

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6. In this connection, the U.S. Supreme Court has concluded that a defendant's profit motive in publishing allegedly false and defamatory material does not ''suffice to prove actual malice'' (*see Harte-Hanks*, 491 US at 667).

We recognize the danger of awarding summary judgment solely upon the defendant's professions of good faith in publishing libelous material (*see St. Amant*, 390 US at 731-732). But the U.S. Supreme Court has instructed that a plaintiff must be held to the burden of adducing clear and convincing evidence of actual malice at the summary judgment stage so long as there has been a ''full opportunity to conduct discovery'' (*see Anderson*, 477 US at 257). Here, there was such an opportunity. But this public figure plaintiff has come forward with nothing more than a mere hope that a jury would discredit the Post employees' testimony. This is insufficient (*see Anderson*, 477 US at 256-257, quoting *Bose Corp.*, 466 US at 512 [''discredited testimony is not normally considered a sufficient basis'' for defeating a proper summary judgment motion (internal quotation marks and alteration omitted)]). As we stated in *Trails W. v Wolff* (32 NY2d 207 [1973]), it is ''not enough'' for a libel plaintiff resisting a motion for summary judgment to rely upon ''[s]uspicion, surmise and accusation'' (*see id.* at 221 [internal quotation marks omitted]).

Rather, as in *Prozeralik v Capital Cities Communications* (82 NY2d 466 [1993]), a plaintiff seeking jury resolution must point to facts and circumstances that could prove actual malice under the *New York Times* standard. In that case, there was evidence that a television and radio broadcaster's news employees had surmised that plaintiff was a victim of a beating and abduction possibly orchestrated by members of organized crime solely because he, like ''countless'' other individuals, was a restaurateur in the Niagara region (*see id.* at 475-476). This assumption was sheer ''rootless speculation,'' lacking any ''basis or source whatsoever'' (*id.*). Although the defendant claimed to have verified the plaintiff's identity as the victim with a spokesperson for the Federal Bureau of Investigation prior to issuing broadcasts relaying that information to the public, the FBI's spokesperson denied having made any such confirmation (*id.*). Furthermore, the broadcasts occurred during a period when the defendant's stations were engaged in a ratings competition for advertising revenues and after a rival television station had already announced the name of the actual victim the night before the defendant's newscasts (*id.*). And although the defendant did broadcast a retraction after being made aware of its error, the retraction claimed that the FBI had previously confirmed the plaintiff's status as the victim even after the FBI spokesperson expressly told the broadcaster's news director that this had not occurred (*id.*). In light of these facts and circumstances, we concluded that ''[w]hile falsity alone and negligence alone would not be sufficient to sustain plaintiff's burden, there is enough in this case to submit the issue of actual malice to a jury for factual resolution'' (*id.* at 476).

The same cannot be said here. First, the possible revocation of defendant's license was accurately mentioned in a lengthy Los Angeles Times wire service article. Thus, plaintiff's license controversy was not thrust into the public eye merely on defendant's whim. Second, there is no evidence that defendant's employees intentionally or recklessly fabricated the relevant false statements. Although the actual status of plaintiff's license could be verified through an accurate reading of the Times article, this potentiality does not negate the possibility that Gittens or his editors, all working under a deadline, simply misperceived the correct statement in the Times article or draft rewrite (*cf. Mahoney*, 71 NY2d at 40). Certainly, there is no evidence that any Post employee deliberately avoided consulting the Times article so as to publish a more sensational, albeit concocted, story with an untarnished mental state (*cf. Harte-Hanks*, 491 US at 690-693 [along with other circumstantial evidence, newspaper's failure to interview key witness or to listen to available tape recordings that would verify or refute account of newspaper's source constituted an actionable ''purposeful avoidance of the truth'' (*id.* at 692)]).[7]

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7. According to the dissent, the Post's actions in this case are ''more egregious'' than those at issue in *Prozeralik* because there, although an accurate report was broadcast before defendant's erroneous one, a reporter disputed the FBI spokesperson's claim that the plaintiff's identity had not been confirmed before the defendant's inaccurate report was aired (*see* dissenting op at 363). But ''a highly and significantly discrete feature'' identified by this Court in refusing to dismiss for lack of the requisite proof of actual malice was that ''plaintiff's name was initially injected randomly by defendant's own employees merely because he happened to be a Niagara restaurateur'' (*see Prozeralik*, 82 NY2d at 477). Moreover, the FBI employee's testimony, ''categorical[ly]'' denying the purported confirmation, provided ''[d]irect evidence'' that would permit a jury to infer that the defendant '' 'knew or suspected' '' that its statement was false (*see id.* at 477). There is simply no indication in *Prozeralik* that the presence of an accurate news report, contradicting defendant's, would have been enough to permit jury resolution of the actual malice question. It was simply one factor that served to corroborate other record evidence that supported an inference of actual malice (*see id.* at 477-478).

Here, plaintiff's license controversy was a matter of public knowledge prior to publication of the Post rewrite. And there is not even circumstantial, let

(n. cont'd)

Third, to the extent that plaintiff contends that the Post's editors were motivated to ''spice . . . up'' articles with invented facts in order to increase the newspaper's paid circulation, the December 7 rewrite would be a particularly poor vehicle for advancing that goal. The rewrite was inconspicuously placed on page 24 of the defendant's publication, where it appeared dwarfed in size by an adjacent, large-scale advertisement for home furnishings and was positioned above a blotter-style column entitled ''Weird but true.'' In this context, it is highly unlikely that any member of the purchasing public would have chosen to buy the Post based on the complained-of rewrite. Even within the rewrite itself, the sentence relevant to plaintiff's licensure did not appear in the lead paragraph but was buried in the article's sixth of eight paragraphs. In fact, the lead paragraph correctly stated that plaintiff was ''under investigation.'' Finally, unlike in *Prozeralik*, when plaintiff's counsel confronted the Post with the inaccuracy of its headline and sentence, the paper issued a full retraction within plaintiff's requested time frame.[8]

In sum, a reasonable jury confronted with these facts and circumstances could not find with convincing clarity that defendant's erroneous statements were published with actual malice. Rather, the record bespeaks nonactionable mistake or negligence.[9] Thus, a grant of summary judgment in defendant's favor was appropriate.

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alone ''direct,'' evidence which could clearly and convincingly establish that defendant's inaccurate rewrite was published with actual malice. The relevant evidence is simply that the Los Angeles Times article was correct, that—for some unexplained reason—defendant's rewrite was not, and that defendant usually makes certain stylistic edits in the course of preparing a rewritten wire service story for publication in its newspaper. This is not enough.

8. Unlike the retraction in *Prozeralik*, the Post's ''Correction,'' which was located in a portion of the paper similar to that where the December 7 rewrite was placed, does not purport to be based on the Post's ''independent investigation'' (*compare* dissenting op at 361, *with Prozeralik*, 82 NY2d at 471). Rather, it accurately states that the Post subsequently learned of its error after attributing an erroneous report to the Los Angeles Times.

9. Contrary to the dissent's assertion, we do not ''conclude[ ] that the erroneous statements must have been published as a result of mere mistake or negligence'' (*see* dissenting op at 364). Our holding is limited to what the record reveals. It was plaintiff's burden to demonstrate that a reasonable jury assessing this evidence could find actual malice by clear and convincing evidence. He has failed to do so.

The dissent would ''infer[ ]'' actual malice from the Post's access to the accurate Los Angeles Times article, its inability to explain how its error occurred, and from the affidavit of a ''journalism expert,'' opining that ''no

(n. cont'd)

Accordingly, the order of the Appellate Division should be affirmed, with costs.

PIGOTT, J. (dissenting). I respectfully dissent. The undisputed facts are relatively simple: The New York Post took a factually-accurate Los Angeles Times article, which stated that the California Medical Board had ''moved to revoke'' plaintiff's license, and rewrote the article to falsely state, in the headline and in the body of the article, that plaintiff's license had been ''pulled'' and ''revoked.'' In my view, these facts raise, at the very least, a question of fact as to whether the Post acted with ''actual malice.''

I.

On December 7, 2003, the Los Angeles Times (LA Times) ran a 98-paragraph story entitled: ''**Harsh Reality of 'Osbournes' No Laughing Matter**.'' The article stated that ''[t]he state medical board last week moved to revoke Kipper's license, accusing him of gross negligence in his treatment of other patients.''

The Post obtained the LA Times story from the wire service and edited it from 98 paragraphs to eight. Apparently not satisfied with the headline, the Post changed it to falsely read: ''**Ozzy's Rx doc's license pulled**'' and reported: ''Last week, the state medical board *revoked* Kipper's license, accusing him of gross negligence in his treatment of other patients, according to the Los Angeles Times'' (emphasis supplied).

Plaintiff's attorneys wrote to the Post and advised it that the article stating that plaintiff's medical license had been revoked was ''false and defamatory'' and ''published with reckless disregard for the truth.'' The letter demanded that the Post publish ''a clear and unequivocal retraction of the . . . falsehoods . . . in a manner, size and placement comparable to those of the defamatory article.''

The Post subsequently printed a correction on page 26. The correction was in incredibly small print, situated among mostly ads, and stated as follows:

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rational journalist could have'' made the same mistake that the Post did (*see id.* at 364 and n *). At most, this constitutes evidence of the discrete libel element of falsity, which is uncontested here, and of a failure to adhere to some objectively reasonable standard of reporting, which, standing alone, does not constitute clear and convincing evidence of actual malice.

> ''**Correction**
>
> ''On Dec. 7, 2003, The Post reported that, according to The Los Angeles Times, Dr. David Kipper, Ozzy Osbo[u]rne's doctor, had his license revoked by the California Medical Board. The Post has since learned that the board is still investigating Kipper's alleged practice of overprescribing drugs to celebrity patients and has moved to revoke his license, although no action has as yet been taken.''

A fair reading of this ''correction'' is that the LA Times had made a mistake and further investigation by the Post had ferreted out the truth, a fact the Post is pointing out in an obscure part of its newspaper.

Supreme Court held that the Post's motion for summary judgment should be denied because it ''has not presented evidence that proves, as a matter of law, that the false statements in the Article were published in good faith, the result of an inadvertent misreading or miscopying that would be considered an excusable mistake'' (15 Misc 3d 1136[A], 2007 NY Slip Op 51005[U], *3). In making this determination, Supreme Court pointed to the deposition testimony of Post reporter Lyle Hasani Gittens that the Post's editors sometimes changed articles submitted by reporters and that, when editing wire service articles, the Post reporters routinely shortened them and changed the lead paragraph ''to make it more Post-like,'' that is, ''less boring than the Los Angeles Times.'' The Appellate Division reversed and dismissed the complaint (47 AD3d 597 [2008]).

II.

In support of its contention that the record fails to contain evidence establishing actual malice with ''convincing clarity,'' the Post relies on remarkably foggy testimony of the very people from whom the falsity originated, its own employees. Gittens, the reporter who edited the LA Times story for publication in the Post, testified that, because it came from the wire service, the LA Times article had likely already been fact-checked. Rather than exonerate the Post, this testimony underscores the significance of its conduct in printing false information, since defendant admits that the LA Times article was factually accurate before the Post edited it. Notwithstanding this fact, Gittens claims that he does not know how the false statement about plaintiff's license having been revoked found its way into the article, nor does he recall editing the story to include that information. Todd Venezia, a reporter charged with editing Gittens's version of the story, testified that he occasionally edits the stories of other reporters but that he does not recall the specifics of the article at issue here.

The majority takes the position that based on the aforementioned testimony, there is a ''lack of concrete proof'' as to whether the Post ''seriously doubted the truth of the complained-of statements or was highly aware that they were incorrect prior to publication'' (majority op at 356). But the issue is not whether the Post doubted the truth or was aware of an incorrect statement here; it is conceded that the Post created the statements that, as the majority notes, are false and defamatory. A defendant should not be allowed to point to alleged deficiencies in the record that are the product of its employees' claimed inability to recall the circumstances surrounding the editing of the article and be awarded summary judgment. The majority correctly observes, ''The circumstances surrounding the Post's erroneous statement are not entirely clear'' (majority op at 351). But it is that lack of clarity upon which the majority relies in concluding that the record is devoid of any evidence that would permit a jury to find that the Post published the article with actual malice. In my view, the fact that defendant took a factually-accurate article and edited it to reflect something completely untrue constitutes sufficient evidence from which a jury could infer that defendant '' 'in fact entertained serious doubts as to the truth of [its] publication,' *St. Amant* v. *Thompson*, 390 U. S. 727, 731 (1968), or acted with a 'high degree of awareness of . . . probable falsity,' *Garrison* v. *Louisiana*, 379 U. S. 64, 74 (1964)'' (*Masson v New Yorker Magazine, Inc.*, 501 US 496, 510 [1991]).

The majority asserts that an inquiry into such matters is a subjective one that requires this Court to focus on the state of mind of the author at the time of the publication (majority op at 354-355). But this Court has held that to ''conclude that no prima facie case was even presented [against a defendant] because its employees might have held an untarnished subjective state of mind'' is not compelled by federal or state jurisprudence, and has cautioned that such an ''approach and analysis . . . would erect a logically impossible test which, by its practical application of governing precedents, would inevitably result in no defamation case ever qualifying for jury resolution'' (*Prozeralik v Capital Cities Communications*, 82 NY2d 466, 478 [1993]).

Essentially, the majority's opinion does what this Court sought to prohibit in *Prozeralik*: it places the disposition of defamation cases "into the unilateral control of defendant[ ]" (*id.*).

In my view, our Court's decision in *Prozeralik* compels the denial of the Post's motion for summary judgment. There, the defendant's news and radio casts identified the plaintiff—a public figure—as the victim of an abduction, and reported that the FBI was investigating whether said abduction was the result of the plaintiff having owed money to a criminal enterprise. There was a dispute, however, between the FBI and the defendant's reporter as to whether the FBI confirmed the plaintiff as the victim. Just hours after defendant last ran the inaccurate story, it was confirmed that the plaintiff was not the victim of the abduction, and the plaintiff subsequently filed a defamation suit against the defendant, eventually obtaining a favorable verdict.

This Court refused to grant the defendant's motion to dismiss the plaintiff's case, holding that the plaintiff met his "evidentiary burden of establishing actual malice sufficient to allow the jury . . . to find that defendant acted with a high degree of awareness of 'probable falsity' or entertained 'serious doubts' as to the truth of the broadcasts," stating that the plaintiff "adduced cogent direct evidence from which a jury could have *inferred* that defendant knew or suspected that the [plaintiff] was not the victim" (*Prozeralik*, 82 NY2d at 475 [emphasis supplied and citation omitted]). Such evidence included proof that a competing news station ran a story the previous evening identifying someone other than the plaintiff as the victim, speculation by the defendant's employees that the plaintiff was in fact the victim, and the disagreement between the FBI and the defendant's reporter as to whether the FBI told the reporter that he could "go with [the plaintiff's] name" if the FBI did not call the reporter back (*id.* at 475-476).

Here, as in *Prozeralik*, another media outlet reported a factually-accurate account of events the day before the false information was published by the Post. In my view, the conduct of the Post in this case is more egregious than the conduct of the defendant in *Prozeralik* because there is no dispute between the Post and the LA Times concerning the accuracy of the original article. Unlike the disagreement between the FBI and the reporter in *Prozeralik*, it is undisputed that plaintiff's license had not been revoked, and the Post concedes that those parts of the story concerning the revocation were in fact false. Moreover, it can be inferred from the mere fact that the substance of the

LA Times article was changed—without explanation—to erroneously reflect that plaintiff's license had been revoked that the Post entertained serious doubts as to the truthfulness of the article. Unlike the reporters in *Prozeralik* who speculated that the plaintiff was the victim, the Post *knew* or *should have known* from the body of the LA Times article that plaintiff's license had not been revoked.

As the majority states, proof of ''[m]ere negligence does not suffice'' to establish actual malice by clear and convincing evidence (*see Masson*, 501 US at 510). Whether defendant acted with mere negligence or actual malice, under the circumstances of this case, should be submitted to a jury, because an inference can be drawn from the facts in the record, with convincing clarity, that the Post acted with actual malice in publishing the article (i.e., it either knew that it was false or acted with reckless disregard of whether it was false or not).* Rather than allowing a jury to make that determination, however, the majority relies on the inability of the Post's employees to recall exactly how the false publication made it to print, and then concludes that the erroneous statements must have been published as a result of mere mistake or negligence (majority op at 359). In my view, this is error and deprives plaintiff of an opportunity to have a jury evaluate the credibility of the Post's employees. Therefore, I would reverse the order of the Appellate Division and reinstate plaintiff's complaint.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH and JONES concur with Judge CIPARICK; Judge PIGOTT dissents and votes to reverse in a separate opinion.

Order affirmed, with costs.

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* It is important to note that plaintiff did not stand mute in the face of defendant's motion for summary judgment, but submitted, among other things, the affidavit of a journalism expert who averred that no rational journalist could have confused the meaning of the LA Times article with the meaning of the Post article and the only inference that could be drawn from that alleged mix-up (and the defamatory headline) was that the action was intentional.

[909 NE2d 559, 881 NYS2d 637]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent-Appellant, v JULIO BORRELL, Also Known as JULIO CESAR BORRELL, Appellant-Respondent.

Argued March 26, 2009; decided May 5, 2009

SUMMARY

CROSS APPEALS, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered March 25, 2008. The Appellate Division (1) granted defendant's motion for reargument, and, upon reargument, granted defendant's application for a writ of error coram nobis to vacate, on the ground of ineffective assistance of appellate counsel, a decision and order of that Appellate Division dated June 21, 2004 (8 AD3d 583), which had affirmed, as modified, a judgment of the Supreme Court, Queens County (Randall T. Eng, J.), rendered June 11, 1998, convicting defendant, upon a jury verdict, of certain crimes under indictment No. 3794/94 and imposing sentence, and affirmed a judgment of that Supreme Court (Sheri S. Roman, J.), rendered December 10, 1998, convicting defendant, upon a jury verdict, of certain crimes under indictment No. 4841/94 and imposing sentence; (2) recalled and vacated an order of that Appellate Division dated April 24, 2007 (39 AD3d 871), which had denied defendant's application for a writ of error coram nobis to vacate the Appellate Division order dated June 21, 2004; and (3) substituted for the Appellate Division order dated April 24, 2007 an order that (a) granted the application for a writ of error coram nobis; (b) recalled and vacated the Appellate Division order dated June 21, 2004; and (c) substituted a new order that modified the Supreme Court judgment rendered December 10, 1998 by directing that the sentences imposed on counts three and six of indictment No. 4841/94 run concurrently with each other and consecutively to the sentences imposed under the remaining counts of that indictment.

People v Borrell, 49 AD3d 890, reversed.

HEADNOTE

Crimes — Right to Counsel — Effective Representation — Appellate Counsel

Appellate counsel's failure to raise the issue of whether consecutive sentences had been properly imposed with respect to two counts of a 14-count indictment did not deprive defendant of his constitutional right to effective appellate representation. The argument not made by counsel depended upon an analysis of a complex, continuous transaction and the overlapping elements of the nine counts on which defendant was ultimately convicted, and was not so clear-cut that it should have been apparent to any reasonable appellate counsel. Nor was the consequence of counsel's failure to make the sentencing argument clear, as the issue was considered by the Appellate Division twice in the coram nobis context with evidently differing outcomes and advanced unsuccessfully on a CPL 440.20 motion from which no appeal was taken. Counsel was assigned to challenge two judgments of conviction against defendant, each based on a separate incident and each convicting defendant of numerous crimes, and given the breadth and substantiality of the issues raised on the consolidated appeal it could not be said that there could have been no legitimate explanation for counsel to forgo raising the sentencing issue.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 1117, 1135–1139.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:1814, 172:1819, 172:1832–172:1837, 172:1956.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 11.7.

NY JUR 2d, Criminal Law: Procedure §§ 859–861, 864–870, 927, 928.

ANNOTATION REFERENCE

Adequacy of defense counsel's representation of criminal client regarding appellate and post–conviction remedies. 15 ALR4th 582.

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POINTS OF COUNSEL

Legal Aid Society, New York City (*Robert C. Newman, William D. Gibney* and *Steven Banks* of counsel), for appellant-respondent. I. The Appellate Division's sentence modification was barred by section 430.10 of the Criminal Procedure Law. (*People v Yannicelli,* 40 NY2d 598; *People v Adkinson,* 88 NY2d 561; *People v Richardson,* 100 NY2d 847; *People v Parks,* 95 NY2d 811; *People v Romain,* 288 AD2d 242, 98 NY2d 640; *People v Garcia,* 93 NY2d 42; *People v Carpenter,* 19 AD3d 730, 5 NY3d 804; *People v Remelt,* 269 AD2d 815, 95 NY2d 870.) II. The Appellate Division's remedial powers do not extend to sentence modifications which would violate CPL 430.10 if they were made by a trial court. (*People v Junco,* 43 AD2d 266, 35 NY2d 419; *People v Ramirez,* 89 NY2d 444; *People v LaSalle,* 95 NY2d 827; *People v DeValle,* 94 NY2d 870; *People v Sparber,* 10 NY3d 457; *People v Richardson,* 100 NY2d 847; *People v Adkinson,* 88 NY2d 561.) III. The modification of appellant's sentences, so as to make the sentence under count six run consecutively to the remaining sentences except the sentence under count three, is contrary to the Double Jeopardy Clause of the United States Constitution. (*People v Yannicelli,* 40 NY2d 598; *North Carolina v Pearce,* 395 US 711; *People v Losicco,* 181 Misc 2d 860, 276 AD2d 565, 96 NY2d 802; *People v Laureano,* 87 NY2d 640; *Ex parte Lange,* 18 Wall [85 US] 163; *People v Williams,* 87 NY2d 1014; *United States v Earley,* 816 F2d 1428.)

Richard A. Brown, District Attorney, Kew Gardens (*Edward D. Saslaw* and *Gary Fidel* of counsel), for respondent-appellant. I. Since defendant received the effective assistance of appellate counsel, coram nobis was unwarranted. (*People v Bachert,* 69 NY2d 593; *Matter of Lyons v Goldstein,* 290 NY 19; *Simpson v Loehmann,* 21 NY2d 990; *People v Robles,* 203 AD2d 172, 86 NY2d 763; *People v Stultz,* 2 NY3d 277; *People v Turner,* 5 NY3d 476; *People v Benevento,* 91 NY2d 708; *People v Ford,* 86 NY2d 397; *People v Flores,* 84 NY2d 184; *Evitts v Lucey,* 469 US 387.) II. Having sought coram nobis, defendant may not appeal from the order granting his application nor may he object that the resulting resentence violated the statutory prohibition against changing a sentence after defendant has commenced serving it. (*People v Bachert,* 69 NY2d 593; *People v Marsicoveteri,* 79 NY2d 913; *People v Tramell,* 77 NY2d 893; *People v Gersewitz,* 294 NY 163; *People v Stultz,* 2 NY3d 277; *People v Stevens,* 91 NY2d 270; *People v Hernandez,* 98 NY2d 8; *People v Laing,* 79 NY2d 166; *People v Nieves,* 2 NY3d 310; *People v Bautista,* 7 NY3d 838.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

Before us, by leave of a Judge of this Court, are appeals from an Appellate Division order granting defendant's petition for a writ of error coram nobis. The petition alleges that defendant, on consolidated appeals from two judgments convicting him of robbery and related crimes, was not afforded effective assistance of counsel. Although the Appellate Division made no express finding as to the manner in which defendant's appellate representation had been deficient, it would appear that it faulted counsel for failing to raise the issue of whether consecutive sentences had been properly imposed with respect to two counts of a 14-count Queens County indictment, both of which counts charged defendant with first degree robbery based on events which transpired in close succession during the armed robbery of a bar and its patrons on May 14, 1994. The Court's decision, however, said no more upon the issue than that the sentences on the two counts should have been concurrent since the underlying convictions arose from the same transaction (49 AD3d 890, 892-893 [2d Dept 2008]). But the dispositive question on this coram nobis application was not whether the consecutive sentences had been in error, but whether the failure of appellate counsel to raise the issue of the sentences' legality deprived defendant of the advocacy to which he was constitutionally entitled.

It is well settled that criminal defendants are entitled under both the Federal and State Constitutions to effective assistance of appellate counsel (*see People v Stultz*, 2 NY3d 277, 281-282 [2004]). In *Stultz*, we held that the ''meaningful representation'' standard, announced in *People v Baldi* in the context of evaluating the constitutional adequacy of trial representation (54 NY2d 137, 146-147 [1981]), applies as well to claims of ineffective assistance of appellate counsel (*see Stultz*, 2 NY3d at 284), and that appellate counsel provides meaningful representation when he or she displays ''a competent grasp of the facts, the law and appellate procedure, supported by appropriate authority and argument'' (*id.* at 285).

The essential inquiry in assessing the constitutional adequacy of appellate representation is, then, not whether a better result might have been achieved, but whether, viewed objectively, counsel's actions are consistent with those of a reasonably competent appellate attorney (*see People v Satterfield*, 66 NY2d 796, 799 [1985]). To be meaningful, appellate representation need not be perfect, and representation may be meaningful even where appellate lawyers have failed to brief potentially meritorious issues (*see Stultz*, 2 NY3d at 285).

We have recognized that this standard is not stringent—that it is in fact ''undemanding'' (*see People v Turner*, 5 NY3d 476, 482 [2005])—and, in applying it, we have often tolerated errors by counsel where the overall representation was nonetheless capable of characterization as ''meaningful'' (*see e.g. People v Flores*, 84 NY2d 184 [1994]). While there are rare cases in which a single substantial error is sufficiently '' 'egregious and prejudicial' as to deprive a defendant of his constitutional right'' to effective representation (*Turner*, 5 NY3d at 480), this is not such a case.

In *Turner*, our determination that coram nobis relief was appropriate turned upon appellate counsel's failure to argue that trial counsel had been ineffective for failing to raise a ''clear-cut and completely dispositive'' statute of limitations defense (*id.* at 481). Here, by contrast, the argument not made depends upon an analysis of a complex, continuous transaction and the overlapping elements of the nine counts on which defendant was ultimately convicted. The argument is by no means so ''clear-cut'' that it ''should have been apparent to any reasonable appellate counsel'' (*id.* at 483).

Nor is the consequence of appellate counsel's failure to make the sentencing argument clear, even at this late juncture. While we have no occasion to reach the merits of the argument on this appeal, we note that it has to this point been considered by the Appellate Division twice in the coram nobis context with evidently differing outcomes (*compare* 39 AD3d 871 [2d Dept 2007], *with* 49 AD3d 890 [2d Dept 2008]), and has been advanced unsuccessfully on a CPL 440.20 motion from which, apparently, no appeal was taken. Although this peculiar and tortuous history is not dispositive of the argument's ultimate merit, it is indicative of its far from clear prospects. Counsel was not ineffective for failing to raise an issue of such uncertain efficacy on the appeal.

This is particularly the case in light of defendant's failure ''to demonstrate the absence of [any] strategic or other legitimate explanations'' for a decision not to brief the issue (*see People v Rivera*, 71 NY2d 705, 709 [1988]). Appellate counsel could have made the tactical choice to forgo raising the sentencing issue to concentrate his efforts on the other issues (*see Turner*, 5 NY3d at 485). Notably, appellate counsel was assigned on the appeal to challenge not one, but two judgments of conviction against defendant, each based on a separate incident and each convicting defendant of numerous crimes. Counsel briefed six issues, among them that defendant's motion to suppress evidence seized from his apartment and vehicle had been erroneously denied, that defendant's wife should not have been permitted to testify against him, and that defendant should not have been compelled to appear for an in-court identification procedure. These points were supported with appropriate authority and were, in part, successful in obtaining relief: convictions against defendant on seven counts were reversed upon the argued ground that certain inculpatory evidence had been unlawfully seized and should have been suppressed. Given the breadth and substantiality of the issues raised on the consolidated appeal, we cannot say that there could have been no legitimate explanation for counsel to forgo raising the sentencing issue (*cf. id.*).

While it may ultimately be determined that defendant should have been sentenced concurrently, as he now contends, and that the representation at issue would have been more efficacious had the issue been raised on the appeal, the relevant and, indeed, dispositive threshold issue on this coram nobis application is not whether defendant's representation could have been better but whether it was, on the whole, constitutionally adequate. This less exacting standard was met by counsel on the appeal.

Accordingly, on the People's appeal, the order of the Appellate Division should be reversed and the defendant's application for a writ of error coram nobis should be denied. Defendant's appeal should be dismissed as academic.

PIGOTT, J. (dissenting). I respectfully dissent. Although the Appellate Division may not have expressly stated its reason for granting defendant's application for a writ of coram nobis, the court's order reveals that, at the very least, it viewed appellate counsel as ineffective for failing to challenge the propriety of defendant's sentences. Indeed, the court explicitly held that the sentences on two counts should not have run consecutively since the underlying convictions arose from the same transaction. In my view, it cannot be said that it was error for the court to grant defendant's application on this ground, as appellate courts routinely grant coram nobis applications when appellate counsel fails to raise an issue on direct appeal that the court concludes may have merit (*see e.g. People v Griffin*, 59 AD3d 1106 [4th Dept 2009]; *People v Rivera*, 52 AD3d 1290 [4th Dept 2008]; *People v Johnson*, 43 AD3d 1453 [4th Dept 2007]; *People v Antoniou*, 52 AD3d 938 [3d Dept 2008]; *People v Smith*, 21 AD3d 599 [3d Dept 2005]). We should not discourage this practice.

While in *People v Turner* (5 NY3d 476, 480 [2005]), we held that it is a ''rare'' occasion where a single failing amounts to ineffective assistance of counsel, there is no basis for finding that the alleged error here is not such a case. Notably, had appellate counsel successfully raised the sentencing error, the result may have led to a reduction in defendant's incarceration time. Additionally, a review of the record reveals that appellate counsel's performance, viewed in its totality, was less than meaningful. Appellate counsel's brief, which as noted by the majority was for two separate felony indictments and convictions (majority op at 369), was only 37 pages long. Contrary to the majority's view (majority op at 370), I don't think it can be said that appellate counsel strategically decided to forgo briefing the sentencing issue to instead brief others as there was ample opportunity for appellate counsel to raise all of the issues. Furthermore, although appellate counsel prevailed on two of the issues raised in the brief, those issues were only in respect to one of the two judgments of conviction and importantly, did not pertain to the convictions at issue on this appeal. Finally, despite the multiple convictions involved and severity of the prison term faced by defendant, appellate counsel chose to submit and not to argue before the tribunal. Collectively, these errors, in my view, could justify an appellate court granting a writ of error coram nobis as the court did here.

Although I believe the Appellate Division was correct in granting defendant's application, in my view, the court erred in the relief it then granted. The court modified defendant's sentence by correcting the alleged sentencing error but went further and modified the sentence by directing that the concurrent sentences imposed on two counts run consecutively to the sentences imposed on the remaining counts of that indictment. What is most troubling is that the Appellate Division was without authority to alter the validly imposed portion of defendant's sentence (*see People v Yannicelli*, 40 NY2d 598, 602 [1976]). The proper remedy for the matter was to assign new counsel and consider the appeal de novo (*see People v Vasquez*, 70 NY2d 1 [1987]; *People v Casiano*, 67 NY2d 906 [1986]).

Consequently, on the People's appeal, I would affirm, and on the defendant's appeal, I would reverse and remit to the Appellate Division for further proceedings in accordance with this opinion.

Judges CIPARICK, GRAFFEO, READ, SMITH and JONES concur with Chief Judge LIPPMAN; Judge PIGOTT dissents and votes to affirm on the People's appeal and reverse and remit to the Appellate Division on the defendant's appeal in a separate opinion.

On the People's appeal, order reversed and defendant's application for a writ of error coram nobis denied.

[909 NE2d 563, 881 NYS2d 641]

SAMUEL PASSANTE et al., Appellants, v AGWAY CONSUMER PRODUCTS, INC., Doing Business as G & P FRESH PAC, Defendant, and MULLEN INDUSTRIAL HANDLING CORP. et al., Respondents.

Argued March 25, 2009; decided May 5, 2009

SUMMARY

APPEAL from a judgment (denominated order) of the Supreme Court, Onondaga County (Donald A. Greenwood, J.), entered February 29, 2008. The Supreme Court (1) granted the motion of defendant Mullen Industrial Handling Corp. to dismiss defendant Rite-Hite Corporation's cross claims against it to the extent of dismissing the cross claims, without prejudice, upon the condition that defendant Mullen consent that defendant Rite-Hite may reassert its cross claims in the event of a reversal or modification in plaintiffs' favor by the Court of Appeals of the prior nonfinal order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered May 3, 2002, which reinstates plaintiffs' complaint against defendant Mullen in whole or in part; (2) ordered that the motion of defendant Rite-Hite seeking dismissal of plaintiffs' complaint be deemed withdrawn upon the condition that plaintiffs consent to entry of judgment dismissing the action, with prejudice, and without further need for application to the Supreme Court, upon issuance by the Court of Appeals of an order which either affirms the prior nonfinal Appellate Division order or dismisses any appeal plaintiffs take therefrom for any reason other than nonfinality; and (3) ordered that plaintiffs' action against defendant Mullen and defendant Rite-Hite be dismissed, with prejudice, unless plaintiffs timely filed a notice of appeal to the Court of Appeals from the Supreme Court judgment which would bring up for review the prior nonfinal Appellate Division order. The appeal brings up for review the prior nonfinal Appellate Division order. The Appellate Division, with two Justices dissenting, had (1) reversed, on the law, an order of that Supreme Court (Charles T. Major, J.), which denied the motion of defendant Mullen for summary judgment dismissing plaintiffs' amended complaint; (2) granted the motion; and (3) dismissed the amended complaint as against defendant Mullen.

Passante v Agway Consumer Prods., 294 AD2d 831, modified.

HEADNOTES

Products Liability — Defectively Designed Product — Absence of Optional Safety Equipment

1. Defendants were not entitled to summary judgment dismissing the defective design claim in plaintiff's action to recover damages for injuries he sustained when, while standing on the hinged lip of a mechanical dock leveler resting on a trailer bed, the tractor trailer moved forward and caused plaintiff to fall. At the time of the accident the dock leveler was not being used with a trailer restraint system, an optional safety feature that plaintiff's employer had elected not to purchase. Defendants did not demonstrate the absence of material issues of fact with respect to whether normal circumstances of use existed in which the dock leveler was not unreasonably dangerous without a trailer restraint system. Rather, the record supported plaintiffs' position that a dock leveler, of the design involved here, created a substantial risk of harm as normally used. The dock leveler manufacturer's own brochure described, as a pervasive risk, the danger that a tractor trailer would inch forward "even with the brakes set and the wheels chocked" or be driven forward inadvertently, causing the dock leveler operator to fall. Moreover, defendants did not refute the opinion of plaintiff's mechanical engineer expert that the dock leveler, because of its collapsing lip, posed an unreasonable risk of harm to its operator.

Products Liability — Failure to Warn of Danger — Sufficiency of Warnings

2. Defendants were not entitled to summary judgment dismissing the failure to warn claim in plaintiff's action to recover damages for injuries he sustained when, while standing on the hinged lip of a mechanical dock leveler resting on a trailer bed, the tractor trailer moved forward and caused plaintiff to fall off the unsupported hinged lip. Although an instruction sheet had been posted on a wall in the loading dock area that included a warning not to walk on the lip of a dock leveler when "walking down" the leveler, and plaintiff was aware that the lip would begin to collapse during a "walk down" if the operator did not complete the "walk down" quickly enough, the instruction sheet contained no warning that it was dangerous to remain on the lip, even momentarily, after it had engaged the trailer bed. Plaintiff was familiar, from a loading dock where he had worked previously, with a different design of dock leveler in which the hinged lip did not collapse. Moreover, plaintiff's industrial engineer expert opined that the posted warning was insufficient and that a warning at the point of operation as well as striping or demarcation of the lip itself were necessary to remind the operator of the dangers of standing on the lip.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

Am Jur 2d, Products Liability §§ 930–934, 937, 991, 995, 1108–1115, 1215, 1219.

NY Jur 2d, Products Liability §§ 51, 52, 55, 58–60, 205.

Prosser and Keeton, Torts (5th ed) §§ 95, 98–100.

Weinberger, New York Products Liability 2d, §§ 17:26–17:29, 18:03, 18:10.

ANNOTATION REFERENCE

See ALR Index under Design of Products and Structures; Products Liability; Safety Precaution or Device; Warnings.

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Query: design! /3 defect! /p option! /4 safety

POINTS OF COUNSEL

Mackenzie Hughes LLP, Syracuse (*W. Bradley Hunt* and *Arthur W. Wentlandt* of counsel), for appellants. I. There are issues of fact as to whether the dock leveler was defective because it was sold without the Dok-Lok safety system. (*Sprung v MTR Ravensburg,* 99 NY2d 468; *Gebo v Black Clawson Co.,* 92 NY2d 387; *Scarangella v Thomas Built Buses,* 93 NY2d 655; *Ferrante v American Lung Assn.,* 90 NY2d 623; *Rite-Hite Corp. v Kelley Co., Inc.,* 629 F Supp 1042, 774 F Supp 1514; *Rosado v Proctor & Schwartz,* 66 NY2d 21.) II. There are issues of fact as to whether the dock leveler was defective because it was designed with a 150-pound walk-down weight and sold without any instructions regarding how that walk-down weight could be adjusted so that the dock leveler could safely be used by a person—such as Samuel Passante—weighing less than 150 pounds. (*Gebo v Black Clawson Co.,* 92 NY2d 387; *Caprara v Chrysler Corp.,* 52 NY2d 114; *Ferrante v American Lung Assn.,* 90 NY2d 623; *Cover v Cohen,* 61 NY2d 261; *Dunn v Black Clawson Co., Inc.,* 38 AD3d 1212.)

Rupp, Baase, Pfalzgraf, Cunningham & Coppola LLC, Buffalo (*Jeffrey F. Baase* of counsel), for Mullen Industrial Handling Corp., respondent. I. The Fourth Department's holding that Mullen Industrial Handling Corp. established its entitlement to summary judgment on plaintiff's design defect cause of action should be affirmed. (*Scarangella v Thomas Built Buses,* 93 NY2d 655; *Rosado v Proctor & Schwartz,* 66 NY2d 21.) II. The Appellate Division's dismissal of plaintiff's failure to warn cause of action should be affirmed: plaintiff was well aware of the hazards of walking on the dock leveler's lip and chose to ignore both Mullen Industrial Handling Corp.'s instructions and printed warnings. (*Liriano v Hobart Corp.,* 92 NY2d 232; *Banks v Makita, U.S.A.,* 226 AD2d 659; *Pigliavento v Tyler Equip. Corp.,* 248 AD2d 840; *Baptiste v Northfield Foundry & Mach. Co.,* 184 AD2d 841; *Felle v W.W. Grainger, Inc.,* 302 AD2d 971; *Lombard v Centrico, Inc.,* 161 AD2d 1071; *Neri v John Deere*

Co., 211 AD2d 915; *Johnson v Johnson Chem. Co.,* 183 AD2d 64; *Romano v Stanley,* 90 NY2d 444; *Amatulli v Delhi Constr. Corp.,* 77 NY2d 525.)

Hancock & Estabrook, LLP, Syracuse (*Janet D. Callahan* and *Mark J. Schulte* of counsel), for Rite-Hite Corporation, respondent. I. The Fourth Department properly granted summary judgment on the defective design claim. (*Scarangella v Thomas Built Buses,* 93 NY2d 655; *Biss v Tenneco, Inc.,* 64 AD2d 204, 46 NY2d 711; *Geddes v Crown Equip. Corp.,* 273 AD2d 904; *Pigliavento v Tyler Equip. Corp.,* 248 AD2d 840; *Rosado v Proctor & Schwartz,* 66 NY2d 21; *Rite-Hite Corp. v Kelley Co., Inc.,* 629 F Supp 1042; *Voss v Black & Decker Mfg. Co.,* 59 NY2d 102.) II. The Appellate Division properly dismissed plaintiffs' claim based on an alleged failure to provide an adequate warning. (*Liriano v Hobart Corp.,* 92 NY2d 232; *Lonigro v TDC Elecs.,* 215 AD2d 534; *Oza v Sinatra,* 176 AD2d 926; *Ruggles v Werner Co.,* 203 AD2d 913; *Nieves v Bliss Co.,* 231 AD2d 697; *Bigness v Powell Elecs.,* 209 AD2d 984; *Fallon v Hannay & Son,* 153 AD2d 95; *Merritt v Raven Co.,* 271 AD2d 859; *Preston v Peter Luger Enters., Inc.,* 51 AD3d 1322; *Romano v Stanley,* 90 NY2d 444.)

OPINION OF THE COURT

PIGOTT, J.

Samuel Passante, an employee of Agway Consumer Products, Inc., doing business as G & P Fresh Pac, was injured while using a mechanical dock leveler at the company's warehouse in DeWitt. The dock leveler was manufactured by Rite-Hite Corporation and sold to G & P by Mullen Industrial Handling Corp. The dock leveler at issue here is a mechanical platform designed to provide a ramp between a loading dock and the bed of a truck or tractor trailer. When not in use, the dock leveler is flat and part of the loading dock floor. It rises to match the height of the load bed, so as to enable forklifts or pallet trucks to move in and out of the trailer.

Once activated, the platform of the leveler swings up, and a hinged lip at its edge also moves up—from a pendent position perpendicular to the platform to a position in which it forms an extension of the platform—in order to meet the trailer bed. The operator then walks towards the edge of the leveler platform and, if his weight is sufficient, forces the platform down—toward the trailer bed—so that the lip catches the trailer floor. This is known as ''walking down'' the leveler. Once the hinged lip has engaged the bed of the trailer, it provides a transition between the loading dock floor and the trailer bed. However, the lip is designed to rotate back into its pendent position if it is not supported, and the parties do not dispute that a person standing on an unsupported lip will fall. A Rite-Hite instruction sheet was posted on a wall in the loading dock area, which, among other things, warned operators not to walk on the lip of a dock leveler when ''walking down'' the leveler.

According to Rite-Hite's design engineer, the leveler here was designed for a ''150 pound walk down,'' meaning that a person who weighs about 150 pounds would be able to bring the leveler platform down to the requisite height by simply walking to the edge of the platform. Passante, who weighed 140 pounds, testified that he was not heavy enough to force the leveler platform down to the trailer bed without standing on the hinged lip. Moreover, Joseph Panebianco, the G & P assistant facility manager and a heavier man, testified that he too was unable to ''walk down'' the leveler successfully without standing on the lip.

Mullen had offered to sell G & P a system manufactured by Rite-Hite, called ''Dok-Lok,'' that secures a tractor trailer to the loading dock and includes a warning system so that workers know when they can safely enter the trailer and drivers know when they can safely pull away. G & P declined to buy a Dok-Lok system, instead relying on wheel chocks—wedges placed beneath or behind a truck's wheels to prevent movement. Panebianco testified that he decided against Dok-Lok partly because it would require having an operator and also because a driver who ''doesn't use his head and drives off'' while a Dok-Lok is engaged would in his opinion tear the bumper from his trailer.

Passante's accident occurred when he was ''walking down'' the dock leveler in order to get the platform to rest on a trailer. He was standing on the hinged lip of the leveler as it made contact with the trailer bed. Unbeknownst to Passante, the driver of the tractor trailer had not completed the process of parking, and no chocks were in place. Passante remained standing on the hinged lip for a ''split second'' after completing the ''walk down.'' At that moment, the driver began to move the tractor trailer forward and, without the support of the trailer bed, the lip fell to its pendent position, causing Passante to fall onto a cement and steel grate, sustaining injury.

Passante and his wife commenced this action against G & P, Rite-Hite and Mullen, alleging, among other things, that the dock leveler Mullen sold to G & P was defectively designed by Rite-Hite because it lacked equipment restraining the tractor trailer or securing it to the loading dock while the dock leveler was in use, and lacked a system to warn the operator when it was safe to enter the trailer or, in the alternative, notifying the driver that a dock leveler was in position. The Passantes also allege that Mullen negligently failed to warn G & P of the danger that movement of a tractor trailer during the operation of a dock leveler would cause it to collapse. The complaint also alleged manufacturing defects, negligent installation and maintenance, and breach of warranty. Rite-Hite cross-claimed against Mullen.

Following discovery, Mullen moved for summary judgment, attaching deposition transcripts and various other documents, including a Rite-Hite sales brochure describing its Dok-Lok trailer restraint systems. The brochure vividly described the dangers faced by the operators of dock levelers when tractor trailers are unsecured. Rite-Hite described the space between loading dock and trailer bed—the space bridged by its dock levelers—as a warehouse's ''Danger Zone.''

> ''Every time a lift truck impacts the ramp, crosses [the Danger] Zone and enters a trailer, the trailer can inch forward. When it moves too far, or departs prematurely, the lift truck and driver can tumble into the gap with disastrous results. . . .
>
> ''The impact of a lift truck moving in and out of the trailer during loading operations causes the trailer to inch forward slightly—even with the brakes set and the wheels chocked. When the trailer moves beyond the reach of the leveler's lip, the lip falls, leaving a large gap. The lift truck and operator may then topple off the leveler or trailer and onto the driveway. . . .
>
> ''[In another common scenario] the truck driver, assuming loading operations are completed, pulls away without warning. This unexpected departure from the dock can cause the forklift and operator to be thrown onto the driveway.''

The brochure noted that wheel chocks were ineffective and expensive, and recommended one of its Dok-Lok systems to ensure the safety of dock leveler operators.

In opposition to Mullen's motion, plaintiffs submitted the affidavits of a mechanical engineer and an industrial engineer.

The mechanical engineer, noting the testimony from Passante and Panebianco to the effect that they could not get the dock leveler to operate without standing on its lip, had inspected the dock leveler involved in the accident. Even with a body weight of 180 pounds, the mechanical engineer was unable to urge the dock leveler to a horizontal position. The engineer concluded that, at 140 pounds, Passante would not be able to impel the dock leveler down simply by ''walking down'' to the edge of its platform. ''As a result,'' he observed, ''it was necessary for Samuel Passante, as well as for Joseph Pan[e]bianco, to position themselves on the extended lip in order for the equipment to achieve its operational goals.'' The mechanical engineer, noting that ''the unscheduled departure of a tractor trailer is a known risk in the materials handling industry,'' concluded that ''with a reasonable degree of engineering certainty, the equipment created an unreasonable risk of harm to the operator both from falls from the collapsing lip, as well as from falls caused by the unscheduled departures of tractor trailers.''

The industrial engineer's opinion was that the

> ''warnings positioned on the wall, remote from the pull-chain which initiates the operation of the mechanical dock leveler in question, would not effectively remind the operator of the dangers associated with walking on the extended lip of the equipment. . . .
>
> ''To properly warn the operator, . . . a warning medallion connected to the links of the pull-chain directly at the point of operation was necessary. . . .
>
> ''Additionally, . . . some type of safety striping or demarcation of the lip itself was necessary to fully advise the operator as to the specific dangers involved in the steps he was taking during the operation of the equipment, to wit approaching the end of the platform and stepping onto the hinged lip itself.''

The industrial engineer also noted that neither Rite-Hite nor Mullen had provided G & P with instructions for adjusting the dock leveler for operators of different body weights or with a warning that ''operation outside of the parameters of 150 pound nominal walk down weight [i.e. the inability of someone weighing approximately 150 pounds to 'walk down' the dock leveler without standing on the lip] indicates that the equipment is not operating properly.'' The industrial engineer concluded ''with a reasonable degree of engineering certainty, this lack of properly placed warnings combined with the complete lack of warnings or instructions to the proper operating capacity of the equipment, creates an unreasonable risk of harm to the operator.''

Supreme Court denied Mullen's motion, finding questions of fact concerning defective design and failure to warn. The Appellate Division reversed, dismissing the Passantes' complaint as against Mullen in its entirety (294 AD2d 831 [2002]). Two dissenting Justices would have held that the defective design and failure to warn claims survived summary judgment.

After the Appellate Division's decision, Mullen moved for summary judgment dismissing Rite-Hite's cross claims and Rite-Hite sought summary judgment dismissing plaintiffs' complaint.* Supreme Court dismissed Rite-Hite's cross claims without prejudice on condition that Rite-Hite ''may reassert its cross-claims in the event of a reversal or modification in plaintiff's favor'' of the Appellate Division's order by this Court. Supreme Court also required plaintiffs to consent to judgment dismissing their action should this Court affirm the Appellate Division's order. Plaintiffs appealed, pursuant to CPLR 5601 (d), bringing up for review the Appellate Division's order. We now modify the judgment appealed from and the Appellate Division's order, and reinstate the causes of action for defective design and failure to warn.

Mullen and Rite-Hite rely on our decision in *Scarangella v Thomas Built Buses* (93 NY2d 655 [1999]). There, as here, plaintiff argued that a product was defectively designed insofar as it did not incorporate, as standard equipment, a particular safety feature. In *Scarangella*, plaintiff, who was employed as a school bus driver, was injured when a school bus struck her, while being operated in reverse in a bus parking yard. The distributor that sold the bus to the defendant school bus company had offered, as an optional safety feature, an alarm that would automatically sound when a driver shifted the bus into reverse gear. The bus company chose not to buy this equipment because the alarms were noisy and the buses were parked in a yard in a residential neighborhood where noise pollution was an issue.

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* Supreme Court had dismissed the Passantes' complaint as against G & P, after the United States Bankruptcy Court for the Northern District of New York determined that the action against G & P was barred by reason of workers' compensation.

We held that a product that fails to incorporate safety equipment is not defective, as a matter of law,

> ''where the evidence and reasonable inferences therefrom show that: (1) the buyer is thoroughly knowledgeable regarding the product and its use and is actually aware that the safety feature is available; (2) there exist normal circumstances of use in which the product is not unreasonably dangerous without the optional equipment; and (3) the buyer is in a position, given the range of uses of the product, to balance the benefits and the risks of not having the safety device in the specifically contemplated circumstances of *the buyer's* use of the product. In such a case, the buyer, not the manufacturer, is in the superior position to make the risk-utility assessment, and a well-considered decision by the buyer to dispense with the optional safety equipment will excuse the manufacturer from liability.'' (93 NY2d at 661.)

Because all three of the factors were present, a departure from strict liability was justified in *Scarangella*. First, defendant was a highly knowledgeable consumer, experienced in operating school buses and aware of the dangers and of the availability of the optional alarm (*id.*). Second, defendant's buses were used in reverse only in the parking yard (i.e. where there were no school children or other nonemployee pedestrians), so that the risk of harm from the absence of a backup alarm was not substantial. Moreover, the bus drivers were instructed to use caution and to sound their regular horns when reversing. (93 NY2d at 661-662.) Third, the bus company, rather than the distributor,

> ''was in a position to assess the efficacy of alternative safety measures in its operational rules and training of drivers. The buyer had the ability to understand and weigh the significance of costs associated with noise pollution and neighborhood relations, given the particular suburban location of the parking lot, against the anticipated, foreseeable risks of operating buses in a parking lot without a back-up alarm device or safeguard.'' (*Id.* at 662.)

Because all three factors were present and plaintiff created no triable issues with respect to her claim that the absence of a backup alarm was a design defect, the bus company was entitled to summary judgment as a matter of law.

[1] Here, it is conceded that the first *Scarangella* principle is met; G & P was knowledgeable about dock levelers and knew that Dok-Lok was available as an option. However, defendants' further reliance on *Scarangella* is misplaced because they have not made a prima facie showing of entitlement to judgment as a matter of law relative to the second factor.

Defendants have not shown that the dock leveler would normally be used in circumstances in which the product is not unreasonably dangerous without a trailer restraint system such as Dok-Lok. Indeed, the Rite-Hite brochure, submitted by Mullen itself in its summary judgment papers, describes, as a pervasive risk, the danger that a tractor trailer will inch forward ''even with the brakes set and the wheels chocked'' or be driven forward inadvertently, with the result that a dock leveler operator falls from the leveler or trailer. Moreover, defendants have not refuted—whether by expert affidavits or by deposition testimony—the opinion of the mechanical engineer that the dock leveler, because of its collapsing lip, posed an unreasonable risk of harm to its operator.

In *Scarangella*, the risks associated with a bus reversing were limited because the buses only reversed when they were in the parking yard and the people in the yard—mostly other bus drivers—could carry on their tasks and avoid contact with the reversing buses simply by exercising caution. There was nothing about the buses, engaged in normal reverse driving, that would make them unreasonably dangerous. By contrast, the record here supports plaintiffs' position that a dock leveler, of the design involved here, creates a substantial risk of harm as normally used. This is because the dock leveler has a hinged lip that collapses if not supported, and yet the lip is an extension of the platform the operator must ''walk down'' in order to adjust the leveler to the correct height. Indeed the record evidence suggests further that operators of average weight or less must step onto the lip in order to ''walk down'' the leveler. If so, the dock leveler lip posed a risk to operators that could not be avoided simply by cautious operation.

We conclude that defendants have not demonstrated the absence of material issues of fact with respect to whether normal circumstances of use exist in which the dock leveler is not unreasonably dangerous without a trailer restraint system. Consequently, the second *Scarangella* factor is not satisfied, and the defective design cause of action should be reinstated. Having reached this conclusion, it is not necessary to discuss the third *Scarangella* factor.

[2] Finally, there are triable issues of fact as to the sufficiency of the warnings concerning this equipment. An instruction sheet was posted on a wall in the loading dock area that included a warning not to walk on the lip of a dock leveler when "walking down" the leveler; and Passante was aware that the lip would begin to collapse during a "walk down" if the operator did not complete the "walk down" quickly enough. However, the instruction sheet contains no warning that it is dangerous to remain on the lip, even momentarily, *after* it has engaged the trailer bed. Passante himself was familiar, from a loading dock where he had worked previously, with a different design of dock leveler in which the hinged lip did not collapse. Moreover, plaintiffs submitted the affidavit of an industrial engineer who opined that the posted warning was insufficient and that a warning at the point of operation as well as striping or demarcation of the lip itself were necessary to remind the operator of the dangers of standing on the lip.

Thus, on this record, we cannot conclude as a matter of law that Passante was fully aware of the danger of standing on the dock leveler lip *after* it had engaged the trailer bed, or that site-of-operation warnings of the type recommended by the industrial engineer would have been superfluous. "[I]n cases where reasonable minds might disagree as to the extent of plaintiff's knowledge of the hazard, the question is one for the jury" (*Liriano v Hobart Corp.*, 92 NY2d 232, 241 [1998]). Therefore, the cause of action for failure to warn should also be reinstated.

Accordingly, the judgment appealed from and the order of the Appellate Division brought up for review should be modified, without costs, in accordance with this opinion, and, as so modified, affirmed.

SMITH, J. (dissenting). In *Scarangella v Thomas Built Buses* (93 NY2d 655 [1999]), we held that a seller of equipment whose buyer refused to purchase an optional safety feature is, under certain conditions, immune from a claim that the product without the safety feature was defectively designed. This case is essentially a duplicate of *Scarangella*, and the majority has overruled *Scarangella* without saying so.

I

Rite-Hite manufactured, and Mullen sold, dock levelers.

Rite-Hite also manufactured, and Mullen also offered for sale, a safety device known as a ''Dok-Lok,'' which locks a truck to the loading platform, to prevent the truck from driving or rolling away while the dock leveler is in use.

Undoubtedly, both Rite-Hite and Mullen would have been delighted to sell the Dok-Lok to plaintiff Samuel Passante's employer, G & P, or to any other customer. A Rite-Hite sales brochure, quoted by the majority (majority op at 377), recommended this safety device with the enthusiasm typical of such literature, and Mullen gave G & P quotations for three different Dok-Lok models. But even the cheapest of these models—a manual device that might not have prevented this accident—was expensive; it would have added more than 50% to the cost of the dock leveler. The automatic models would have more than doubled the cost.

G & P was not interested in buying a Dok-Lok. The G & P employee responsible for this decision explained his reasons:

> ''Q. Did you consider the use of dock-lock equipment at this facility?
>
> ''A. Not really, because, there again, for our type of facility, you know, I mean, it really didn't seem to be something that works well in our type of a facility.
>
> ''Q. Why do you say that? What is the basis of your conclusion in that regard?
>
> ''A. Basically, a lot of our trucks are in and out relatively quickly, and they are quite often, my understanding with that type of equipment, you almost always have to have someone who is on the dock all the time to release—and my understanding with that type of equipment, there is an arm that comes down and catches the trailer, basically holds the trailer in. Number one, you have got to have someone, who is going to be operating that type of equipment. In our type of operation, you know, it is not feasible. And, number two, my experience with that type of equipment is that it really doesn't hold the truck in. If the thing comes down on your ICC bumper and the driver in the truck drives off, he just drives off and wrecks his bumper. It's been my experience, where I have seen some of this equipment, that if the driver doesn't use his head and

> drives off, all he ends up doing is tearing the heck out of the back of his trailer. So, I guess, I'm not convinced that it really works well, and it certainly doesn't seem to work well in this particular facility.''

The majority today holds that Rite-Hite and Mullen may be sued for not overruling the buyer's objections and insisting that G & P purchase a dock leveler either with the Dok-Lok or not at all. As we held in *Scarangella*, this holding cannot be justified. Under circumstances like these, whether safety equipment should be bought is a decision for the buyer, not the seller and not the courts.

II

The defendant in *Scarangella* was a seller of school buses. It ''offered buyers as an optional safety feature a back-up alarm that would automatically sound when a driver shifted the bus into reverse gear'' (93 NY2d at 657). It sold several buses to the plaintiff's employer, a bus operator, which ''chose not to purchase this optional equipment'' (*id.*). The plaintiff was injured when a bus backed into her, and claimed that the absence of the alarm was a design defect. We held that this claim could not be presented to the jury.

In an effort to lend predictability to litigation of this kind, we set out ''some governing principles for cases where a plaintiff claims that a product without an optional safety feature is defectively designed because the equipment was not standard'' (*id.* at 661). We said:

> ''The product is not defective where the evidence and reasonable inferences therefrom show that: (1) the buyer is thoroughly knowledgeable regarding the product and its use and is actually aware that the safety feature is available; (2) there exist normal circumstances of use in which the product is not unreasonably dangerous without the optional equipment; and (3) the buyer is in a position, given the range of uses of the product, to balance the benefits and the risks of not having the safety device in the specifically contemplated circumstances of *the buyer's* use of the product.'' (*Id.*)

These principles require dismissal of plaintiffs' design defect claim here. G & P, as the majority concedes, was knowledgeable about dock levelers and knew that the Dok-Lok was available. It is no less true in this case than it was in *Scarangella* that ‘‘there exist normal circumstances of use in which the product is not unreasonably dangerous without the optional equipment.’’ And G & P was in as good a position as the buyer in *Scarangella* to balance benefits and risks.

According to the majority, the second *Scarangella* test is not met here because ‘‘[d]efendants have not shown that the dock leveler would normally be used in circumstances in which the product is not unreasonably dangerous without a trailer restraint system’’ (majority op at 381). This is a misstatement, or at best a confusing paraphrase, of what *Scarangella* said. Under *Scarangella*, the second question is not whether equipment ‘‘would normally be used’’ without unreasonable danger; it is whether ‘‘there exist normal circumstances of use’’ where the danger is not unreasonable. In other words, if there exist buyers who use the product normally and can forgo the safety feature without unreasonable risk, the judgment as to which buyers ought to do so is left to the buyers themselves.

Here, the record shows that circumstances did exist where a dock leveler without a Dok-Lok was reasonably safe in normal use. Indeed, the use of the system at the loading dock involved in this case was not unreasonably dangerous. The danger that a truck would roll away was absent here, because the ground on which trucks parked sloped uphill. (For this reason, the majority’s discussion of wheel chocking is irrelevant.) And the risk of what actually happened—a driver’s decision to move his truck while someone was standing at the edge of the dock leveler—could have been eliminated by a simple precaution: G & P could have instructed its employees not to use the dock leveler until they had confirmed that the truck’s motor was off. Thus this case is not different from *Scarangella*, where the buyer’s employees ‘‘were instructed as part of their training not to operate buses in reverse except in the yard’’ and ‘‘were also instructed to exercise caution and sound their regular horns when backing up’’ (93 NY2d at 662).

The third *Scarangella* test, which the majority does not discuss, is also met here. G & P, which loaded merchandise onto trucks from loading docks as a routine part of its business, was ‘‘in a position . . . to balance the benefits and the risks . . . in the specifically contemplated circumstances’’ of its own use of the dock leveler. In fact, it did balance those benefits and risks, as the above-quoted testimony of its decision-maker shows. If the buyer struck the wrong balance, there is no good reason to hold the manufacturer and seller liable.

III

The majority also concludes that plaintiffs' failure-to-warn claim can withstand summary judgment. I do not agree. Of course it is true, as it is in every case, that more and better warnings could possibly have been given; and it is true, as it is in almost every case, that plaintiffs' expert has opined that more and better warnings should have been given; but we need not decide whether this is enough to raise a jury question on the issue of negligent failure to warn, for it is abundantly clear that no warning could have prevented this accident (*see Gebo v Black Clawson Co.*, 92 NY2d 387, 394-395 [1998]).

The majority suggests that a warning might have made a difference because Mr. Passante "was familiar, from a loading dock where he had worked previously, with a different design of dock leveler in which the hinged lip did not collapse" (majority op at 382). But the majority fails to mention that, during the five months he worked at G & P, Mr. Passante had hundreds of experiences with the Rite-Hite dock leveler and learned that the hinged lip on that equipment *did* collapse. He testified:

> "Q. How did you know that [the lip] would drop if you didn't go out there fast enough?
>
> "A. I pulled the chain I don't know how many hundreds of times, and if you didn't walk it out there fast enough, the lip would just go down. There was nothing to hold it up until it hit the truck.
>
> "Q. So prior to your accident on January 16th, 1997, you knew, sir, didn't you, that the lip was designed to fall freely?
>
> "A. Yeah."

It is mystifying how, in the face of this testimony, the majority "cannot conclude as a matter of law that Passante was fully aware of the danger of standing on the dock leveler lip" (*id.*).

IV

I think both the majority's holdings are wrong. But the more troubling of the two is the evisceration of *Scarangella*, which I fear will have real economic consequences. The predictability that was offered until today to manufacturers and distributors of equipment in this state is gone, and the result can only be an increase in cost—in the cost of liability insurance, and in the cost of safety features that buyers will no longer have the option to refuse. In much of this state, our economy struggles in the best of times, and these are not the best of times. Decisions like today's can only make things worse.

Chief Judge LIPPMAN and Judges CIPARICK and JONES concur with Judge PIGOTT; Judge SMITH dissents in a separate opinion in which Judges GRAFFEO and READ concur.

Judgment appealed from and order of the Appellate Division brought up for review modified, etc.

[909 NE2d 572, 881 NYS2d 650]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v SALIH SEVENCAN, Appellant.

Decided May 7, 2009

SUMMARY

APPLICATION for a certificate granting leave to appeal to the Court of Appeals from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered January 20, 2009. The Appellate Division (1) affirmed an order of the Supreme Court, Kings County (Raymond Guzman, J.), which, after a hearing, specified and informed defendant that the court would impose three determinate prison terms of 20 years, two to be served consecutively with each other and one to be served concurrently with the other two, and a period of post-release supervision of five years, upon his conviction of criminal sale of a controlled substance in the first degree (three counts), in the event of a resentence pursuant to the Drug Law Reform Act of 2004 (L 2004, ch 738, § 23), and (2) remitted the matter to the Supreme Court, Kings County, to afford defendant an opportunity to withdraw his application for resentencing before any resentence was imposed.

Reported below, 58 AD3d 761.

HEADNOTE

Crimes — Appeal — Court of Appeals — Order Specifying Resentence under Drug Law Reform Act

Defendant's application for a certificate granting leave to appeal from an Appellate Division order which had affirmed an order specifying the sentence to be imposed in the event of a resentence pursuant to the Drug Law Reform Act of 2004 (L 2004, ch 738, § 23) was dismissed. Although the act provides that "[a]n appeal in accordance with the applicable provisions of the criminal procedure law may . . . be taken as of right by the defendant from an order specifying and informing such person of the term of the determinate sentence the court would impose upon resentencing," such language does not permit an appeal from an Appellate Division order affirming an order specifying the sentence to be imposed upon resentencing, as the act did not make such an order appealable under CPL 450.90 or 470.60, which govern appeals to the Court of Appeals.

APPEARANCES OF COUNSEL

Appellate Advocates, New York City (*Lisa Napoli* of counsel), for appellant.

Charles J. Hynes, District Attorney, New York City (*Caroline R. Donhauser* of counsel), for respondent.

OPINION OF THE COURT

SMITH, J.

The application for a certificate granting leave to appeal should be dismissed.

The 2004 Drug Law Reform Act states that ''[a]n appeal in accordance with the applicable provisions of the criminal procedure law may . . . be taken as of right by the defendant from an order specifying and informing such person of the term of the determinate sentence the court would impose upon resentencing'' (L 2004, ch 738, § 23). Defendant here seeks leave to appeal an Appellate Division affirmance of such an order (58 AD3d 761 [2009]). In *People v Bautista* (7 NY3d 838 [2006]) this Court held that similar language in the 2005 Drug Law Reform Act did not permit an appeal to this Court from an Appellate Division order affirming a denial of resentencing, because the act did not make such an order appealable under Criminal Procedure Law § 450.90 or § 470.60, which govern appeals to this Court. The reasoning of *Bautista* applies with equal force to the language at issue in this case.

Application pursuant to CPL 460.20 for a certificate granting leave to appeal dismissed by Judge SMITH in a memorandum. Publication authorized by the Court.

[908 NE2d 898, 880 NYS2d 908]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v PAUL BOYD, Respondent.

Argued March 26, 2009; decided May 7, 2009

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered April 17, 2008. The Appellate Division (1) reversed, on the law, two judgments of the Supreme Court, New York County (Philip M. Grella, J.), each of which had convicted defendant, upon his plea of guilty, of robbery in the first degree; (2) vacated the pleas; (3) reinstated ''the full indictment''; and (4) remitted the matter for further proceedings.

People v Boyd, 51 AD3d 325, modified.

HEADNOTES

Crimes — Plea of Guilty — Failure to Advise Defendant of Term of Postrelease Supervision — Postallocution Motion Not Required to Challenge Sufficiency of Plea

1. A postallocution motion was not required to challenge the sufficiency of defendant's plea of guilty where Supreme Court mentioned at the plea proceeding that defendant's determinate sentences would include a period of postrelease supervision but failed at sentencing to advise defendant of the exact duration of such supervision.

Crimes — Plea of Guilty — Failure to Advise Defendant of Term of Postrelease Supervision

2. The plea allocution in a prosecution for robbery was deficient where Supreme Court mentioned at the plea proceeding that defendant's determinate sentences would include a period of postrelease supervision (PRS) but failed at sentencing to advise defendant of the exact duration of such supervision. A criminal defendant has a right to hear directly from the court its pronouncement as to what the entire sentence encompasses. The combined command of CPL 380.20 and 380.40 is that the sentencing judge—and only the sentencing judge—is authorized to pronounce the PRS component of a defendant's sentence. Notwithstanding the enactment of Penal Law § 70.85, which avoids the need for pleas to be vacated when the District Attorney consents to resentencing without a term of PRS, the constitutionality of this new provision and its applicability herein had not been sufficiently developed for review by the Court of Appeals. The issue of whether the deficiency in the plea allocution can be rectified by granting defendant specific performance of the plea agreement—a determinate sentence without imposing a term of PRS—should be determined by Supreme Court in the first instance.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 600, 625, 626, 844, 845.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:1550, 172:1593, 172:1594, 172:3893, 172:3942, 172:3974, 172:4214.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 21.4, 21.5.

MCKINNEY'S, CPL 380.20, 380.40; Penal Law § 70.85.

NY JUR 2d, Criminal Law: Procedure §§ 1485, 1513, 2891, 2908, 3178, 3179, 3185.

ANNOTATION REFERENCE

See ALR Index under Allocution; Guilty Plea; Parole, Probation, and Pardon.

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POINTS OF COUNSEL

Robert M. Morgenthau, District Attorney, New York City (*David M. Cohn* and *Mark Dwyer* of counsel), for appellant. The Appellate Division erred by vacating defendant's guilty plea. (*People v Louree,* 8 NY3d 541; *People v Cona,* 49 NY2d 26; *People v Catu,* 4 NY3d 242; *People v Lopez,* 71 NY2d 662; *People v Johnson,* 82 NY2d 683; *People v Warren,* 47 NY2d 740; *People v Van Deusen,* 7 NY3d 744; *People v Laws,* 86 NY2d 769; *People v Lawrence,* 85 NY2d 1002; *People v Autry,* 75 NY2d 836.)

Dominic J. Sichenzia, Carle Place, for respondent. The Appellate Division's well-reasoned decision correctly determined that respondent's due process rights had been violated, that the violation was clear from the face of the record and was properly raised on direct appeal, and that vacatur is the proper remedy. (*People v Lopez,* 71 NY2d 662; *People v Louree,* 8 NY3d 541; *People v Catu,* 4 NY3d 242; *People v Ford,* 86 NY2d 397; *Walker v Perlman,* 556 F Supp 2d 259; *People v Sparber,* 10 NY3d 457; *North Carolina v Alford,* 400 US 25; *Boykin v Alabama,* 395 US 238; *Caputo v Henderson,* 541 F2d 979; *People v Van Deusen,* 7 NY3d 744.)

OPINION OF THE COURT

CIPARICK, J.

On August 20, 2004, defendant pleaded guilty to two counts of robbery in the first degree (Penal Law § 160.15) in full satisfaction of two separate indictments alleging that he participated in four separate gunpoint robberies of Cosi restaurants in Manhattan. In exchange, defendant would receive concurrent determinate sentences of 12 years on each count. After defendant's plea allocution, the People brought to Supreme Court's attention the fact that the postrelease supervision (PRS) component of defendant's sentences had not been mentioned, and the court replied, ''I don't, because it's mandatory.'' The judge then asked defendant ''Do you understand that there is a post-release supervision that's mandatory?'' Defendant responded that he did.[1] On September 21, 2004, when defendant appeared for sentencing, Supreme Court failed to pronounce his PRS terms in accordance with Criminal Procedure Law §§ 380.20 and 380.40.

On defendant's appeal, the Appellate Division, with one Justice dissenting, reversed, vacated defendant's plea and sentences and reinstated both indictments (51 AD3d 325 [2008]). The majority concluded that defendant was deprived of a complete understanding of the implications of entering a guilty plea because neither Supreme Court nor the People properly advised him of the PRS components of his sentences. Specifically, the majority determined that defendant could not knowingly, voluntarily and intelligently decide to accept the plea without knowing the duration of the PRS. Applying our recent precedents in *People v Catu* (4 NY3d 242 [2005]), *People v Van Deusen* (7 NY3d 744 [2006]), *People v Louree* (8 NY3d 541 [2007]) and *People v Hill* (9 NY3d 189 [2007]) the Appellate Division held that the appropriate remedy was vacatur of the plea. The dissent asserted that defendant's claim was not preserved for appellate review and declined to review it in the interest of justice. A Justice of the Appellate Division granted leave and we now modify.

[1] In *Catu* we stated:

> ''Because a defendant pleading guilty to a determinate sentence must be aware of the postrelease supervision component of that sentence in order to knowingly, voluntarily and intelligently choose among alternative courses of action, the failure of a court to advise of postrelease supervision requires reversal of the conviction'' (4 NY3d at 245).

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1. The PRS term that could be imposed was from $2^1/_2$ to 5 years, within the court's discretion. Defendant was not advised at either his plea allocution or at his sentencing as to the exact duration of the PRS term.

Further, we determined in *People v Louree* that a defendant need not preserve the objection:

> ''[W]here a trial judge does not fulfill the obligation to advise a defendant of postrelease supervision during the plea allocution, the defendant may challenge the plea as not knowing, voluntary and intelligent on direct appeal, notwithstanding the absence of a postallocution motion'' (8 NY3d at 545-546).

Here, although Supreme Court mentioned that the sentence would include PRS at the time of the plea, the court failed to advise defendant of the specific term of PRS—a deficiency that is apparent from the record of the plea proceeding. Contrary to a dissenting colleague's view that the comments made by the trial judge were sufficient to enable defendant to move to withdraw his plea (*see* Smith, J., dissenting at 396), we find a postallocution motion was not required to challenge the sufficiency of the plea. This does not complete the analysis of defendant's claim, however.

In *People v Sparber* (10 NY3d 457 [2008]), we addressed the proper remedy where the sentencing court failed to pronounce the PRS component of the sentence. We noted that ''the relief that defendants request[ed]—expungement of their PRS terms—would permit them to serve a sentence not in compliance with the statute'' (*id.* at 471). We concluded that such a remedy was unavailable, stating: ''[t]he sole remedy for a procedural error such as this is to vacate the sentence and remit for a resentencing hearing so that the trial judge can make the required pronouncement'' (*id.* at 471). Thus, a criminal defendant has a right to hear directly from the court its pronouncement as to what the entire sentence encompasses. In *Matter of Garner v New York State Dept. of Correctional Servs.* (10 NY3d 358 [2008]), we reaffirmed that ''the combined command of CPL 380.20 and 380.40 is that the sentencing judge—and only the sentencing judge—is authorized to pronounce the PRS component of a defendant's sentence'' (*id.* at 362).

In response to our decisions in *Sparber* and *Garner*, the Legislature created a statutory exception to the mandatory imposition of PRS, which was directly aimed at saving guilty pleas. On June 30, 2008, after the Appellate Division's ruling in this case, Penal Law § 70.85 became effective; it states that

> ''[t]his section shall apply only to cases in which a determinate sentence was imposed between Septem-

> ber first, nineteen hundred ninety-eight, and the effective date of this section, and was required by law to include a term of post-release supervision, but the court did not explicitly state such a term when pronouncing sentence. When such a case is again before the court pursuant to section six hundred one-d of the correction law or otherwise, for consideration of whether to resentence, the court may, notwithstanding any other provision of law but only on consent of the district attorney, re-impose the originally imposed determinate sentence of imprisonment without any term of post-release supervision, which then shall be deemed a lawful sentence.''

Indeed, the Governor's Approval Memorandum acknowledges that the new statute would ''avoid the need for pleas to be vacated when the District Attorney consents to re-sentencing without a term of PRS'' (Governor's Approval Mem, Bill Jacket, L 2008, ch 141, at 13-14, reprinted in 2008 McKinney's Session Laws of NY, at 1653).

[2] The People urge that even if *Catu* and its progeny require vacatur of defendant's plea and sentence, the Legislature has created an alternative remedy authorizing Supreme Court to resentence defendant to his original 12-year determinate sentence without PRS and that Penal Law § 70.85 should be applied here.[2] This corrective action should not be entertained at this time because the constitutionality of this new provision and its applicability to this case have not been sufficiently developed for our review. Although a dissenting colleague believes that Penal Law § 70.85 is unconstitutional as applied to this case (*see* Pigott, J., dissenting at 398), we recognize that the issue of whether the deficiency in the plea allocution can be rectified by granting defendant specific performance of the plea agreement—a determinate sentence without imposing a term of PRS—should be determined by Supreme Court in the first instance. We therefore remit this case to Supreme Court to give the People the opportunity to litigate their argument regarding the applicability of Penal Law § 70.85 and for defendant to assert any constitutional challenges to the operation of the statute.

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2. On this appeal, the People asserted that they would consent to reimposing the originally imposed 12-year determinate sentence of imprisonment without any term of postrelease supervision pursuant to Penal Law § 70.85 thereby ostensibly honoring the original promise (*see People v Selikoff*, 35 NY2d 227, 241 [1974], citing *Santobello v New York*, 404 US 257, 260 [1971]).

Accordingly, the order of the Appellate Division should be modified by remitting to Supreme Court for further proceedings in accordance with this opinion and, as so modified, affirmed.

SMITH, J. (dissenting). The majority holds (1) that defendant's plea was bad under *People v Catu* (4 NY3d 242 [2005]) because, at the time of the plea, defendant was informed only of the fact, not the duration, of the period of postrelease supervision included in his sentence and (2) that this error can be the basis for an appeal even though defendant did not move to withdraw his plea at Supreme Court. I have no quarrel with the first part of the majority's holding, but I dissent from the second. (I agree with the majority that, if there is a reviewable error here, remittal for further proceedings is warranted.)

The general rule is that an error may not be raised on appeal unless defendant objected at the time the error was committed. Obviously, this rule in its pure form cannot apply to guilty pleas; a contemporaneous objection to one's own guilty plea is a contradiction in terms. We held, however, in *People v Lopez* (71 NY2d 662, 665 [1988]), that a preservation requirement does apply to most guilty pleas: ''in order to preserve a challenge to the factual sufficiency of a plea allocution there must have been a motion to withdraw the plea . . . or a motion to vacate the judgment of conviction.'' We later made clear that the *Lopez* requirement applies to plea allocutions generally, even where the problem is not one of ''factual sufficiency'' (*People v Clarke*, 93 NY2d 904 [1999]). Under *Lopez*, preservation can be dispensed with only in ''that rare case . . . where the defendant's recitation of the facts underlying the crime pleaded to clearly casts significant doubt upon the defendant's guilt or otherwise calls into question the voluntariness of the plea'' (71 NY2d at 666).

In *People v Louree* (8 NY3d 541 [2007]), we held the *Lopez* preservation requirement inapplicable to a plea that was deficient under *Catu*. The *Louree* holding was thought to be justified by practical necessity, as the *Louree* majority explained:

> ''We . . . conclude that where a trial judge does not fulfill the obligation to advise a defendant of postrelease supervision during the plea allocution, the defendant may challenge the plea as not knowing, voluntary and intelligent on direct appeal, notwithstanding the absence of a postallocution motion. In so deciding, we cannot shut our eyes to the actual

> or practical unavailability of . . . a motion to withdraw the plea . . . If the trial judge does not mention postrelease supervision at the allocution, as happened here, a defendant can hardly be expected to move to withdraw his plea on a ground of which he has no knowledge.'' (8 NY3d at 545-546.)

As Justice McGuire pointed out in his dissent in the Appellate Division, the reasoning of *Louree* does not apply to this case, because the trial judge here did mention postrelease supervision at the allocution. I grant that the information the judge gave—which did not include the number of years of postrelease supervision—was insufficient under *Catu* to make the plea knowing, voluntary and intelligent. But it was enough to enable defendant to make a motion to withdraw his plea. He knew that he would be subject to postrelease supervision, and he knew that the court had not told him the length of it. He could have moved to withdraw his plea on that ground at any time before he was sentenced, and his failure to do so should bar him from raising the *Catu* issue on appeal.

PIGOTT, J. (dissenting). I respectfully dissent. The majority concedes that the trial court's failure to advise defendant of the duration of his postrelease supervision amounts to a *Catu* error (*see People v Catu*, 4 NY3d 242 [2005]), i.e. a violation of defendant's constitutional rights; nevertheless, they decline to remedy it.

We have held that when a court fails to advise a defendant of postrelease supervision at his plea allocution, the defendant is entitled to reversal of his conviction (*see People v Sparber*, 10 NY3d 457, 469 [2008]; *People v Hill,* 9 NY3d 189 [2007]; *People v Catu*, 4 NY3d 242 [2005]), and have repeatedly enforced this principle. For instance, in *People v Van Deusen* (7 NY3d 744 [2006]), we vacated the defendant's plea despite the fact that the defendant's sentence, including postrelease supervision, was actually less than the maximum potential period of incarceration that she agreed to serve.

Similarly, in *People v Hill* (9 NY3d 189 [2007]), we vacated defendant's guilty plea and rejected a trial court's modification of his sentence made in an attempt to satisfy *Catu*. A majority of this Court found that since the defendant's plea could not be deemed knowing, voluntary and intelligent when made, no later events could rescue it. The majority reiterated that a harmless error analysis is inappropriate when evaluating a *Catu* claim. Indeed, the Court explained:

> "The dissent incorrectly believes that *Catu* and *Van Deusen* turned on the question whether 'the defendant got the full benefit of her plea bargain' (dissenting op at 194); thus, the dissent attempts to undo the prejudice of defendant's involuntary guilty plea. Rather, *Catu*, *Van Deusen* and *Louree* made clear that the courts violated the defendant's due process rights—not the defendant's sentencing expectations. Therefore, we vacated the defendants' involuntary guilty pleas to remedy the constitutional violations. Here, we are constrained to give the same relief, exposing defendant to the full penalty of at least a 25-year prison term." (*Id*. at 193.)

Thus, our holdings in *Catu* and *Van Deusen* and more recently in *Hill* make clear that a defendant is entitled to vacatur of his plea when the court commits a *Catu* error. Although I dissented in *Hill*, we are bound by this recent precedent.

The People now argue as an alternative to vacating defendant's plea that he be resentenced under Penal Law § 70.85. The majority concludes that this corrective action "should not be entertained at this time" (majority op at 394). For the reasons that follow, I disagree.

Under this new legislative framework, a defendant who pleads guilty to a determinate sentence without any knowledge of postrelease supervision may proceed to have the court resentence him, if the District Attorney consents, to a term of imprisonment without the mandatory postrelease supervision. Specifically, the statute provides:

> "This section shall apply only to cases in which a determinate sentence was imposed between September first, nineteen hundred ninety-eight, and the effective date of this section, and was required by law to include a term of post-release supervision, but the court did not explicitly state such a term when pronouncing sentence. When such a case is again before the court pursuant to section six hundred one-d of the correction law or otherwise, for consideration of whether to resentence, the court may, notwithstanding any other provision of law but only on consent of the district attorney, re-impose the originally imposed determinate sentence of imprisonment without any term of post-release supervision, which then shall be deemed a lawful sentence" (Penal Law § 70.85).

As the majority notes, the statute's primary purpose is to remedy the sentencing errors that this Court addressed in *Matter of Garner v New York State Dept. of Correctional Servs.* (10 NY3d 358 [2008]) and *Sparber* (10 NY3d 457 [2008]). In those cases, we held that only the sentencing court—not the Department of Correctional Services or the court clerk—has the authority to impose a period of postrelease supervision to an offender's determinate sentence, and that the period of postrelease supervision must be imposed by the court at the time of sentencing in the defendant's presence. Those cases did not involve a *Catu* constitutional error, but were challenges concerning the statutory duty of the sentencing court to pronounce the terms of defendant's sentence in open court.

I recognize that section 70.85 was also added in part as a response to our prior *Catu* precedent. As the legislative history explains:

> ''When a defendant who pleads guilty has not been informed that the sentence would include a term of PRS, the defendant may later seek for the plea to be vacated. This bill allows the District Attorney to consent to re-sentencing to the previously imposed determinate term without any term of PRS. By allowing defendants in this situation the benefit of their plea bargains, there should be no need for the pleas to be vacated'' (Senate Introducer's Mem in Support of 2007 NY Senate Bill S8714, reprinted in 2008 McKinney's Session Laws of NY, at 1820).

Consequently, the statute permits the District Attorney to consent to a resentence to a term without any postrelease supervision in situations where the defendant has moved to vacate his plea on the ground that it was obtained in violation of his constitutional rights under *Catu*. Although the amendment provides a defendant with an opportunity to seek a new, more favorable sentence, when a constitutional error under *Catu* is involved, there must be a new plea. Neither the Court nor the Legislature can require a defendant to accept a plea that was unconstitutionally obtained.

It is therefore clear that, as applied to this case, Penal Law § 70.85 is unconstitutional because it is in direct conflict with our prior precedent. As we recently stated in *Hill*: ''In that the constitutional defect lies in the plea itself and not in the resulting sentence, vacatur of the plea is the remedy for a *Catu* error since it returns a defendant to his or her status before the constitutional infirmity occurred'' (9 NY3d at 191). Thus, I see no need for further litigation on the issue since defendant's plea was unconstitutionally obtained and he therefore is entitled to a vacatur thereof.

Judges GRAFFEO, READ and JONES concur with Judge CIPARICK; Judge SMITH dissents in a separate opinion; Judge PIGOTT dissents separately in another opinion; Chief Judge LIPPMAN taking no part.

Order modified, etc.

[908 NE2d 888, 880 NYS2d 898]

SAM WYLY, Appellant, v MILBERG WEISS BERSHAD & SCHULMAN, LLP, et al., Respondents.

Argued March 26, 2009; decided May 7, 2009

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 27, 2007. The Appellate Division (1) reversed, on the law, an order and judgment (one paper) of the Supreme Court, New York County (Joan A. Madden, J.; op 15 Misc 3d 583), which had granted the petition to the extent of directing respondents to turn over their files in the consolidated class actions to petitioner within 75 days of the court's order and judgment, including the withheld documents containing work product, except for those documents for which they provide a privilege log in compliance with CPLR 3122 (b); (2) denied the petition; and (3) dismissed the proceeding.

Wyly v Milberg Weiss Bershad & Schulman, LLP, 49 AD3d 85, affirmed.

HEADNOTES

Disclosure — Material Exempt from Disclosure — Attorney's Work Product — Right of Absent Class Member to Access to Class Counsel's Files

1. In a class action lawsuit, an absent class member does not have a presumptive right of access to class counsel's case files upon the representation's termination. Absent class members are clients of class counsel, but are a unique species of client. Class counsel do not possess a traditional attorney-client relationship with absent class members, although they represent the interests of and owe a fiduciary duty to the entire class. A client is presumptively accorded full access to the entire attorney's file on a represented matter upon termination of the attorney-client relationship, but the class counsel-absent class member relationship is too unlike the traditional attorney-client relationship to support extension of that presumption to absent class members. Where an absent class member brings a CPLR article 4 special proceeding seeking access to class counsel's litigation files after termination of the representation, Supreme Court must first consider how much the absent class member has at stake. If the absent class member has a substantial financial interest in the class action's outcome, the court must then decide whether the absent class member has demonstrated a legitimate need for the requested documents.

Disclosure — Material Exempt from Disclosure — Attorney's Work Product — Right of Absent Class Member to Access to Class Counsel's Files

2. Petitioner, an absent class member in a federal securities class action lawsuit, did not have a presumptive right of access to class counsel's case files

upon the representation's termination, and the Appellate Division did not abuse its discretion when it denied petitioner access to the requested records. Petitioner sought the materials at issue in connection with his allegations that class counsel had settled the class action too cheaply. Because the federal District Court had previously granted petitioner access to certain of those materials in connection with petitioner's suspicions of fraud and that court thereafter declined to order further discovery or to reopen the class action settlement, it could not be said that the Appellate Division abused its discretion by, in effect, declining to second-guess the District Court's judgments.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

Am Jur 2d, Depositions and Discovery §§ 45–49, 153; Am Jur 2d, Parties § 117.

Carmody-Wait 2d, Parties § 19:336; Carmody-Wait 2d, Disclosure §§ 42:110, 42:113–42:115.

NY Jur 2d, Disclosure §§ 91, 92, 431, 432; NY Jur 2d, Parties §§ 288–292.

Siegel, NY Prac §§ 144, 347, 348.

ANNOTATION REFERENCE

See ALR Index under Attorney–Client Privilege; Class Actions; Disclosure; Discovery.

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POINTS OF COUNSEL

Bickel & Brewer, New York City (*Luke A. McGrath, William A. Brewer III, Alexander D. Widell* and *Robert F. Dannhauser* of counsel), for appellant. I. The Appellate Division decision should be reversed because it conflicts with this Court's prior decision in *Matter of Sage Realty Corp. v Proskauer Rose Goetz & Mendelsohn* (91 NY2d 30 [1997]). (*Van Gemert v Boeing Co.,* 590 F2d 433; *Kleiner v First Natl. Bank of Atl.,* 751 F2d 1193; *Fulco v Continental Cablevision, Inc.,* 789 F Supp 45; *Tedesco v Mishkin,* 629 F Supp 1474; *Graubard Mollen Dannett & Horowitz v Moskovitz,* 86 NY2d 112; *Meinhard v Salmon,* 249 NY 458; *Greenfield v Villager Indus., Inc.,* 483 F2d 824; *Zackiva Communications Corp. v Milberg Weiss Bershad Specthrie & Lerach,* 223 AD2d 417; *Bronx Jewish Boys v Uniglobe, Inc.,* 166 Misc 2d 347; *Matter of Cofino,* 211 AD2d 298.) II. The Appellate Division decision should be reversed because of the public importance of recognizing shareholders as clients of class counsel in class action litigation. (*Suffolk Roadways v Minuse,* 56 Misc 2d 6; *Greenfield v Villager Indus., Inc.,* 483 F2d 824; *Matter of Sage Realty Corp. v Proskauer Rose Goetz & Mendelsohn,* 91 NY2d 30; *Matter of Jacqueline F.,* 47 NY2d 215; *Matter of Wong,* 275 AD2d 1; *People v Rohrberg,* 22 AD3d 421; *Matter of Justin EE.,* 153 AD2d 772, 75 NY2d 704; *American Broadcasting Cos. v Wolf,* 76 AD2d 162, 52 NY2d 394.)

Milberg LLP, New York City (*Barry A. Weprin* and *Todd L. Kammerman* of counsel), *Stull, Stull & Brody* (*Jules Brody* of counsel), and *Barroway Topaz Kessler Meltzer & Check, LLP,* Radnor, Pennsylvania (*Katharine Ryan* and *John Gross* of counsel), for respondents. I. Absent class members are not true parties to class action litigation and are not ''traditional clients'' of class counsel. (*Matter of Sage Realty Corp. v Proskauer Rose Goetz & Mendelsohn,* 91 NY2d 30; *Phillips Petroleum Co. v Shutts,* 472 US 797.) II. Attorney work product is absolutely immune from discovery. (*Spectrum Sys. Intl. Corp. v Chemical Bank,* 78 NY2d 371; *Hickman v Taylor,* 329 US 495; *Upjohn Co. v United States,* 449 US 383; *In re Grand Jury Subpoenas Dated Dec. 18, 1981 & Jan. 4, 1982,* 561 F Supp 1247; *Corcoran v Peat, Marwick, Mitchell & Co.,* 151 AD2d 443; *FTC v Grolier Inc.,* 462 US 19; *Beasock v Dioguardi Enters.,* 117 AD2d 1016.) III. Class counsel's work product is not ''property'' of absent class members. (*Matter of Sage Realty Corp. v Proskauer Rose Goetz & Mendelsohn,* 91 NY2d 30; *In re Network Assoc., Inc., Sec. Litig.,* 76 F Supp 2d 1017; *In re Rent-Way Sec. Litig.,* 305 F Supp 2d 491; *Van Gemert v Boeing Co.,* 590 F2d 433; *Tedesco v Mishkin,* 629 F Supp 1474; *Kleiner v First Natl. Bank of Atl.,* 751 F2d 1193; *Fulco v Continental Cablevision, Inc.,* 789 F Supp 45; *Bronx Jewish Boys v Uniglobe, Inc.,* 166 Misc 2d 347; *Matter of Cofino,* 211 AD2d 298; *Franks v Kroger Co.,* 670 F2d 71.) IV. Sam Wyly is not entitled to use the special proceeding to circumvent orderly discovery in the Federal Rules of Civil Procedure rule 60 (b) proceeding. (*Matter of Sage Realty Corp. v Proskauer Rose Goetz & Mendelsohn,* 91 NY2d 30.) V. Public policy does not mandate a reversal of the Appellate Division decision. (*Phillips Petroleum Co. v Shutts,* 472 US 797.)

OPINION OF THE COURT

READ, J.

Petitioner Sam Wyly was an absent class member in a federal securities class action lawsuit; an absent class member is a member of a putative or certified class who is not a named party (*see Hansberry v Lee*, 311 US 32, 40-41 [1940]). Respondents Milberg Weiss Bershad & Schulman, LLP; Stull, Stull & Brody; and Schiffrin & Barroway, LLP (collectively, the law firms) served as class counsel in the litigation. In this appeal, we are asked whether Wyly—like a represented party in traditional individual litigation—enjoys a presumptive right of access to the law firms' case files upon the representation's termination (*see Matter of Sage Realty Corp. v Proskauer Rose Goetz & Mendelsohn*, 91 NY2d 30 [1997]). We hold that Wyly does not possess a presumptive right of access, and further conclude that the Appellate Division did not abuse its discretion when it denied Wyly access to the requested records.

I.

In April 2000, Wyly acquired 971,865 stock options in Computer Associates International, Inc. (CA),[1] a large, publicly traded provider of information technology management software, when he sold his software business to CA. As a result of this transaction, Wyly became a major shareholder in CA.

Between 1998 and 2002, several federal securities class actions were commenced against CA in the United States District Court for the Eastern District of New York. The first 11 lawsuits, brought in 1998, were consolidated into a single class action under the auspices of District Court Judge Thomas C. Platt, who designated Milberg Weiss and Stull, Stull & Brody as co-lead class counsel. Thirteen additional class actions were begun in 2002. These lawsuits were consolidated into another single class action by the same Judge, who designated Milberg Weiss and Schiffrin & Barroway as co-lead counsel. The lawsuits alleged generally that CA and certain of its officers and directors had violated the Securities Exchange Act of 1934 by engaging in questionable accounting practices to improve the appearance of CA's financial performance and condition.

In December 2003, after a fairness hearing (*see* Fed Rules Civ Pro rule 23 [e] [2]), the District Court certified the 1998 and 2002 class actions for purposes of settlement ''on behalf of all persons or entities who purchased or transacted in common stock of CA or common stock options during the period January 20, 1998 through and including February 25, 2002 and who sustained damages as a result of such transactions,'' and ap-

1. The company subsequently changed its name to CA, Inc.

proved the proposed settlement. Wyly was a member of the settlement class. Pursuant to the settlement's terms, CA made 5.7 million shares of its common stock available to the settlement class and certain of its officers and directors received broad releases of civil liability. The law firms were awarded 1,443,673 of these shares in fees, and $3,181,486.94 (subject to a cap of 150,000 shares) as reimbursement of expenses. The District Court retained ''[e]xclusive jurisdiction . . . over the parties and the Settlement Class Members for all matters relating to the Actions.''

On October 18, 2004, P. Kent Correll of Bickel & Brewer, representing Wyly, wrote to Barry A. Weprin of Milberg Weiss, claiming that the class action settlement was ''likely procured by fraud upon shareholders, their counsel and the Court.'' He noted that CA's former general counsel—who pleaded guilty to conspiracy to commit securities fraud and obstruction of justice in September 2004—admitted that he had impeded the government's investigation of CA's accounting practices. Correll also asserted that Weprin had told him on October 4, 2004 ''that neither you nor your firm knew'' of the existence of 23 boxes of ''crucial'' CA documents until September 2004, when an article in the Wall Street Journal reported their sudden appearance at the offices of the outside law firm retained by CA's board of directors. Stating that ''we believe . . . a motion should be filed with [the District Court Judge] pursuant to Fed.R.Civ.P. 60(b) to relieve plaintiffs from the final judgment approving the settlement,'' Correll asked Weprin what his position was regarding this proposed action.[2] On November 24, 2004, Weprin informed Correll that the law firms would not move to reopen the judgment of settlement; he also subsequently declined to provide Correl with a requested affidavit.

On December 7, 2004, Bickel & Brewer filed a rule 60 (b) motion in the District Court on behalf of Wyly, Cheryl Wyly and other entities connected with Wyly (collectively, the Wyly movants), who were all members of the settlement class. The Wyly movants sought to vacate the final judgment as to them on the grounds of new evidence, misconduct and fraud upon the court. They also asked for expedited discovery in support of their motion; CA objected to their discovery requests. At the time the

2. Rule 60 (b) states the grounds on which a district court may relieve a party or its legal representative from a final judgment, order or proceeding, which include newly discovered evidence and fraud.

Wyly movants made their motion, they estimated that they were entitled to roughly 1% of the shares that were about to be distributed to class members to carry out the settlement; these shares, in total, were thought to be worth about $120 million in December 2004.[3]

On January 24, 2005, while the Wyly movants' rule 60 (b) motion was pending, William A. Brewer III of Bickel & Brewer wrote to Melvyn I. Weiss of Milberg Weiss and requested

> ''access to and a right to review documents reflective of Class Counsel's pre-trial investigations related to the Class Actions; all the discovery produced or taken in the Class Actions; and all requests for discovery, indices, summaries, or other materials created by Class Counsel in relation to the Class Actions.''

Brewer asserted that the Wyly movants were entitled to these documents because the law firms ''had an attorney-client relationship with the Wyly Movants, as substantial members of the Settlement Class, at least through the negotiation and execution of the settlement documents, the fairness hearing, and the entry of the final judgments in the Class Actions.''

Weprin informed Brewer on January 28, 2005 that the law firms would not respond to his request until the District Court ruled on the ''matters currently being briefed, including [the Wyly movants'] application for discovery.'' In a February 8, 2005 letter to Weprin, Brewer reiterated that he was seeking the documents based on the Wyly movants' attorney-client relationship with Milberg Weiss; therefore, he considered the District Court's prospective ruling on discovery to be ''irrelevant.''

In a February 28, 2005 letter to Weiss, Brewer again pressed his case, asserting that the law firms' files were needed to counter opposition to the Wyly movants' rule 60 (b) motion and related discovery requests. Specifically, he claimed, the opposing parties were arguing that the law firms had neglected to pursue discovery diligently in the class actions, and that this excused CA's nondisclosure of the 23 boxes ''before, during, and after the settlement negotiations.''

By that time, the District Court Judge had already referred the discovery issues related to the rule 60 (b) motion to a federal

3. Settlement shares were distributed to other class members shortly after the Wyly movants sought rule 60 (b) relief; their shares were placed in the registry of the court pursuant to court order.

magistrate. On June 14, 2005, the Judge ordered the Wyly movants to serve CA with a notice of production making the 23 boxes of documents returnable to the court on July 1, 2005. Wyly acknowledges that, as a consequence of this federal court order, he ‘‘obtained some of the materials that he sought from Class Counsel.’’ But he complains that the law firms still ‘‘refused to produce the most critical category of documents within [their] Class Action Files: Class Counsel’s work product and analysis.’’

On August 2, 2007, the District Court Judge denied the Wyly movants’ rule 60 (b) motions and related discovery requests. In a subsequent order dated September 12, 2007, he reiterated that they had

> ‘‘failed to set forth cause to permit further discovery to be conducted in conjunction with their 60 (b) motions. This Court has repeatedly made clear that additional discovery was to be confined to the ‘fraud’ alleged to be within the ‘23 boxes.’ To date, . . . [the Wyly movants have not] produced any ‘new’ evidence of fraud upon this Court and consequently, have failed to establish that the contents of the ‘23 boxes’ allegedly withheld during discovery and prior to settlement warranted granting further discovery and the reopening of the 2003 Settlement’’ (*In re Computer Assoc. Class Action Sec. Litig.*, 2007 WL 2713336, *3, 2007 US Dist LEXIS 67928, *12-13 [ED NY 2007]).

The Wyly movants subsequently appealed the Judge’s order to the United States Court of Appeals for the Second Circuit.

On April 1, 2005—while the rule 60 (b) motion was pending in the District Court—Wyly commenced this CPLR article 4 special proceeding in Supreme Court.[4] He sought a judgment directing the law firms to ‘‘turn over their class action files (or copies thereof),’’ including ‘‘all e-mails, attorneys’ notes, internal memoranda, document requests, indices, privilege logs, drafts and research related to [the law firms’] representation of

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4. In late 2007, Wyly also commenced a malpractice action against the law firms in Supreme Court. Invoking the All Writs Act, the law firms applied to the District Court for an injunction barring Wyly from pursuing this action; the parties ultimately agreed to stay the malpractice action pending the Second Circuit’s determination of the Wyly movants’ appeal of the District Court’s August 2007 order denying their rule 60 (b) motion. The Second Circuit heard this appeal in March 2009.

[Wyly] and other class members in their prosecution of the Class Actions.'' Wyly contended that, as a member of the settlement class, he ''enjoy[ed] all privileges and rights pursuant to the attorney-client relationship between [the law firms] and Settlement Class members.'' Thus, the law firms were, Wyly argued, ''obligated to . . . provide [him] with access to all documents, discovery materials, and attorney work product that was received, created, or maintained for the benefit of the entire Settlement Class.'' In answer to Wyly's petition, the law firms asserted that his claims were barred by the attorney work-product privilege.

Both parties recognized that the outcome of Wyly's petition would likely turn on the lower court's understanding and application of our decision in *Sage Realty*. There, we joined the ''majority of courts and State legal ethics advisory bodies,'' which take the position that ''upon termination of the attorney-client relationship, where no claim for unpaid legal fees is outstanding,'' a client is ''presumptively accord[ed] . . . full access to the entire attorney's file on a represented matter with narrow exceptions'' (*Sage Realty*, 91 NY2d at 34).

The petitioners in *Sage Realty* retained Proskauer to represent them in a multi-million-dollar mortgage financing and a restructuring of ownership interests, all involving New York City properties. After a falling out with Proskauer, the petitioners retained a different firm to represent them in the transaction. Proskauer refused to turn over certain documents relating to its representation of the petitioners, prompting them to commence a special proceeding to recover the documents.

''Barring a substantial showing by [former counsel] of good cause to refuse client access,'' we stated, a client ''should be entitled to inspect and copy work product materials, for the creation of which they paid during the course of the firm's representation'' (*id.* at 37). We observed that, especially in complex transactions, the ''client's need for access to a particular paper cannot be demonstrated except in the most general terms, in the absence of prior disclosure of the content of the very document to which access is sought'' (*id.* at 36). By contrast, ''[t]he attorney in possession of the contents of the file is in a far better position to demonstrate that a particular document would furnish no useful purpose in serving the client's present needs for legal advice'' (*id.*).

In February 2007—prior to the District Court's resolution of the Wyly movants' rule 60 (b) motion—Supreme Court granted

Wyly's petition and ordered the law firms "to turn over their files in the consolidated class actions" to him within 45 days (later amended to 75 days) of the court's order (*Wyly v Milberg Weiss Bershad & Schulman, LLP*, 15 Misc 3d 583, 592 [Sup Ct, NY County 2007]). The court specifically directed the law firms to make available "the withheld documents containing work product, except for those documents for which they provide a privilege log in compliance with CPLR 3122 (b)" (*id.* at 592-593).

In Supreme Court's view, Wyly's "relationship with [the law firms was] *sufficiently similar* to a traditional attorney-client relationship so as to create a presumption in favor of affording him access to [the law firms'] files in accordance with *Sage Realty*" (*id.* at 590 [emphasis added]). The court noted that, as a member of the settlement class, Wyly was "bound by the judgment obtained as a result of the settlement unless he obtain[ed] relief via his rule 60 (b) motion," and the law firms' files were "not only potentially relevant to that motion but also could provide a basis for a legal malpractice action against [them]" (*id.* at 590-591). Thus, Wyly had demonstrated "both a legitimate need and a legal basis . . . for obtaining the documents at issue" (*id.* at 591).

On the law firms' subsequent appeal, the Appellate Division reversed Supreme Court. *Sage Realty* was distinguishable, the court reasoned, because it "involved an attorney-client relationship in the traditional sense, in that the single voice of a client governs, among other things, the lawyer's conduct; the direction of a case, including any decision on when, if, and under what terms it should be settled; and the attorney's continued employment," which "differs fundamentally" from the relationship between class counsel and an absent class member (*Wyly v Milberg Weiss Bershad & Schulman, LLP*, 49 AD3d 85, 90 [1st Dept 2007]).

The Appellate Division acknowledged that absent class members are "entitled to some of the benefits of the attorney-client relationship, such as the right to privileged communications with class counsel and the prohibition against attempts by defendants' counsel to communicate with [them]" (*id.* at 91-92), but may not "direct the course of the litigation, testify at trial, participate in discovery, or dismiss class counsel" (*id.* at 92). The court further noted that class members could hire their own counsel if they "wish[ ] to employ a traditional attorney-client relationship, although [their] input into the litigation would . . . [be] curtailed,'' or could even ''opt out of the class action altogether'' (*id.*). The Appellate Division therefore ''reject[ed] a blanket extension of *Sage Realty*'s presumptive-entitlement right to absent class members, and f[ound] that the better practice [was] to require absent class members to establish their entitlement to class counsel's file on a case-by-case basis'' (*id.*).

The Appellate Division then concluded that, in light of the facts in this case, Wyly had not established his entitlement to the law firms' files; indeed, he was

> ''granted access, by the District Court, to the vast majority of the material in [the law firms'] files, including discovery materials, as well as the mysterious 23 boxes previously withheld by CA. [Wyly], armed with those volumes of documents, still offers nothing, other than mere speculation, that the work product he seeks will convince the District Court, or the United States Court of Appeals for the Second Circuit, that his rule 60 (b) motion should have been granted, and we decline to countenance [Wyly's] use of this article 4 proceeding as a vehicle to launch a fishing expedition. Moreover, as already noted, [the District Court Judge], in his . . . orders denying [Wyly's] rule 60 (b) motion, made it very clear that [his] moving papers failed to set forth cause to permit further discovery'' (*id.* [internal quotation marks omitted]).

We granted Wyly's motion for permission to appeal (11 NY3d 704 [2008]) and now affirm.

II.

A class action is an exception to the rule ''that one is not bound by a judgment *in personam* in a litigation in which he is not designated as a party or to which he has not been made a party by service of process'' (*Hansberry*, 311 US at 40). The class action ''was an invention of equity to enable it to proceed to a decree in suits where the number of those interested in the subject of the litigation is so great that their joinder as parties in conformity to the usual rules of procedure is impracticable'' (*id.* at 41). The absent individuals ''would be bound by the decree so long as the named parties adequately represented the absent class and the prosecution of the litigation was within the common interest'' (*Phillips Petroleum Co. v Shutts*, 472 US 797, 808 [1985]).

Modern class actions serve several important purposes, as explained by the United States Supreme Court in *Phillips Petroleum*: they ''permit[ ] litigation of a suit involving common questions when there are too many plaintiffs for proper joinder'' and ''also may permit the plaintiffs to pool claims which would be uneconomical to litigate individually'' (*id.* at 809). The statutes governing class actions are designed to achieve these goals while ensuring ''proper representation of the absent plaintiffs' interest'' (*id.*).

The Court further elaborated on the unique status of absent class-action plaintiffs as follows:

> ''They need not hire counsel or appear. They are almost never subject to counterclaims or cross-claims, or liability for fees or costs. Absent plaintiff class members are not subject to coercive or punitive remedies. Nor will an adverse judgment typically bind an absent plaintiff for any damages, although a valid adverse judgment may extinguish any of the plaintiff's claims which were litigated. . . .
>
> ''[A]n absent class-action plaintiff is not required to do anything. He may sit back and allow the litigation to run its course, content in knowing that there are safeguards provided for his protection. In most class actions an absent plaintiff is provided at least with an opportunity to 'opt out' of the class, and if he takes advantage of that opportunity he is removed from the litigation entirely'' (*id.* at 810-811).

In short, ''[a]bsent class members occupy a special, nontraditional status in litigation'' (1 Newberg on Class Actions § 1:3, at 19 [4th ed]). As Restatement (Third) of the Law Governing Lawyers § 14, Comment *f* (2000) explains,

> ''[c]lass actions may pose difficult questions of client identification. For many purposes, the named class representatives are the clients of the lawyer for the class . . . Yet class members who are not named representatives also have some characteristics of clients. For example, their confidential communications directly to the class lawyer may be privileged . . . , and opposing counsel may not be free to communicate with them directly . . .
>
> ''Lawyers in class actions must sometimes deal with

> disagreements within the class and breaches by the named parties of their duty to represent class members. Although class representatives must be approved by the court, they are often initially self-selected, selected by their lawyer, or even (when a plaintiff sues a class of defendants) selected by their adversary. Members of the class often lack the incentive or knowledge to monitor the performance of the class representatives. Although members may sometimes opt out of the class, they may have no practical alternative other than remaining in the class if they wish to enforce their rights. Lawyers in class actions thus have duties to the class as well as to the class representatives.
>
> ''A class-action lawyer may therefore be privileged or obliged to oppose the views of the class representatives after having consulted with them. The lawyer may also propose that opposing positions within the class be separately represented, that subclasses be created, or that other measures be taken to ensure broader class participation. Withdrawal may be an option . . . , but one that is often undesirable because it may leave the class without effective representation. The lawyer should act for the benefit of the class as its members would reasonably define that benefit.''

The United States Court of Appeals for the Third Circuit made similar observations in its 2002 Task Force Report on Selection of Class Counsel:

> ''In class actions, the ordinary assumptions about the attorney-client relationship do not apply. . . .
>
> ''Counsel for a class is in a unique position. Absent class members are not individual clients. Thus, the ordinary attorney-client relationship does not exist between each class member and class counsel. Yet, there clearly is a duty imposed upon class counsel—by the rules of professional conduct and by Fed. R. Civ. P. 23—to protect the entire class fairly and adequately and to work diligently to maximize class recovery'' (208 FRD 340, 346-348 [Jan. 15, 2002]).

In *Van Gemert v Boeing Co.* (590 F2d 433, 440 n 15 [2d Cir 1978], *affd* 444 US 472 [1980]), the Second Circuit rejected the ''argument that there is no attorney-client relationship between the absentees and class counsel.'' The court stated that ''[a] certification under Rule 23 (c) makes the Class the attorney's client for all practical purposes . . . The judgment in a class action is not secure from collateral attack unless the absentees were adequately and vigorously represented'' (*id.*, citing *Developments in the Law—Class Action*, 89 Harv L Rev 1321, 1592-1597 [1976]; *Gonzales v Cassidy*, 474 F2d 67, 75-76 [5th Cir 1973]). Similarly, in *Greenfield v Villager Indus., Inc.* (483 F2d 824, 832 [3d Cir 1973]), the Third Circuit emphasized that

> ''[r]esponsibility for compliance [with the procedural rules governing class actions] is placed primarily upon the active participants in the lawsuit, especially upon counsel for the class, for, in addition to the normal obligations of an officer of the court, and as counsel to parties to the litigation, *class action counsel possess, in a very real sense, fiduciary obligations to those not before the court*'' (emphasis added).

[1] Thus, two general propositions emerge from the case law: ''class counsel do not possess a traditional attorney-client relationship with absent class members'' (*In re Community Bank of N. Va.*, 418 F3d 277, 313 [3d Cir 2005]), and they represent the interests of and owe a fiduciary duty to the entire class (*see Daniels v City of New York*, 199 FRD 513, 515 [SD NY 2001]; *In re Shell Oil Refinery*, 152 FRD 526, 528 [ED La 1989]). In sum, while absent class members are clients of class counsel, they are a unique species of client.

In our view, the class counsel-absent class member relationship is simply too unlike the traditional attorney-client relationship to support extending the *Sage Realty* presumption to absent class members. We justified the *Sage Realty* presumption in part because it ''more closely conform[ed] to the position taken by the courts of this State on the client's broad rights to the contents of the file'' when the attorney is dismissed on a matter still pending (*Sage Realty*, 91 NY2d at 36). In a class action, however, an absent class member does not possess a ''broad right[ ]'' of access to the files of a class counsel dismissed by the trial court during the litigation's pendency. Further, a class action by its very nature may involve thousands of absent parties who are geographically dispersed. As a consequence, to endorse the *Sage Realty* presumption in this context would create ''the potential for class counsel to be unduly burdened, even after the end of litigation, by a multitude of requests from absent class members for counsel's entire file'' (*Wyly*, 49 AD3d at 92).

We are especially mindful of the paramount role the trial court plays in managing a class action and protecting the rights of absent class members (*see Greenfield*, 483 F2d at 832 [''(U)ltimate responsibility of course is committed to the district court in whom, as the guardian of the rights of the absentees, is vested broad administrative, as well as adjudicative, power'']). Indeed, in appointing class counsel in the first instance, a federal court must take into account numerous factors bearing on the adequacy of the prospective representation (*see* Fed Rules Civ Pro rule 23 [g]). This unusually high degree of judicial involvement and responsibility is another distinctive feature of a class action which sets it apart from traditional litigation. It both diminishes an absent class member's need for access to class counsel's files, and provides an alternative avenue to obtain them.

We therefore conclude that where an absent class member brings a CPLR article 4 special proceeding seeking access to class counsel's litigation files after termination of the representation, Supreme Court must first consider how much the absent class member has at stake. If (as the parties do not dispute here) the absent class member has a substantial financial interest in the class action's outcome, the court must then decide whether the absent class member has demonstrated a legitimate need for the requested documents.

[2] In this case, the Appellate Division decided that Wyly had not made an adequate showing to compel the law firms to produce their files; in particular, the law firms' work product and analysis relating to the class actions. Wyly sought these documents to support the Wyly movants' rule 60 (b) motion and his malpractice action against the law firms, allegedly for settling the class actions too cheaply. As the Appellate Division observed, however, the District Court long ago granted Wyly access to the 23 boxes that apparently triggered his suspicions of fraud in the first place. When Wyly was unable to convince the District Court that anything in the 23 boxes, in fact, suggested fraud, the Judge declined to order further discovery or to reopen the 2003 settlement. The District Court, which supervised the class actions and has retained jurisdiction, is responsible for protecting the interests of absent class members, which includes monitoring the adequacy of class counsel's performance. We cannot say that the Appellate Division abused its discretion by, in effect, declining to second-guess the District Court's judgments.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

SMITH, J. (dissenting). I would hold that Wyly is entitled, as was the client in *Matter of Sage Realty Corp. v Proskauer Rose Goetz & Mendelsohn* (91 NY2d 30 [1997]), to review the work product he has paid a significant sum for.

I acknowledge that not every class member in a case like this has a *Sage Realty* right to review counsel's file. The vast majority of class members have only a nominal interest in the case, and their contributions to the lawyers' fees are accordingly minuscule. To allow all of them access to lawyers' work product would be impractical, and would invite abuse. But here, class counsel received a fee consisting of CA stock worth approximately $40 million. Wyly had acquired 971,865 CA options; his counsel estimated at oral argument that Wyly's interest represented 1% of the class. It is thus inferable that class counsel got for its efforts $400,000 of Wyly's money.

It is true that the relationship between class counsel and class members differs from the classic attorney-client relationship at issue in *Sage Realty*. Wyly, unlike Sage Realty Corporation, had no right to select the lawyers who represented him, to accept or veto a settlement or to negotiate the amount of the lawyers' fees; he had only a right to make his views on those issues known to the court, which had the power to decide them. But I do not see why those differences should destroy Wyly's *Sage Realty* rights; if anything, they are a reason to give Wyly greater protection.

A recurrent danger in class action practice—a danger all too often realized—is that the lawyers' interests and those of the class members will not be well aligned. Affording a *Sage Realty* right to a class member who has paid more than a de minimis amount of the lawyers' fees could help to overcome that problem. It would be a good thing, I think, if the lawyers for a class were always aware that class members with weighty interests were entitled to scrutinize their work.

Judges CIPARICK, GRAFFEO, PIGOTT and JONES concur with Judge READ; Judge SMITH dissents in a separate opinion; Chief Judge LIPPMAN taking no part.

Order affirmed, with costs.

[909 NE2d 62, 881 NYS2d 369]

PATRICIA A. MAHONEY-BUNTZMAN, Respondent, v AROL I. BUNTZMAN, Appellant.

Argued March 31, 2009; decided May 7, 2009

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered May 13, 2008. The Appellate Division modified, on the law, the facts, and in the exercise of discretion, a judgment of the Supreme Court, Westchester County (William J. Giacomo, J.; op 13 Misc 3d 1216[A], 2006 NY Slip Op 51852[U]), entered after a nonjury trial, which had dissolved the parties' marriage, directed defendant to pay plaintiff maintenance, directed defendant to pay plaintiff child support, terminated defendant's pendente lite obligation to pay all of the children's college tuition and expenses, directed defendant to provide health insurance coverage for the children and pay all uncovered medical expenses, directed defendant to obtain life insurance, and directed defendant to pay plaintiff the sum of $2,467,151.43 as her distributive award. The modification consisted of increasing plaintiff's distributive award from the sum of $2,467,151.43 to the sum of $2,524,005.40, and adding a provision directing defendant to pay for the children's college tuition and expenses until they reach the age of 21.

Mahoney-Buntzman v Buntzman, 51 AD3d 732, modified.

HEADNOTES

Husband and Wife — Equitable Distribution — Marital Funds Used to Pay Maintenance to Prior Spouse

1. Plaintiff was not entitled to an equitable distribution credit for marital funds used to pay defendant's spousal maintenance obligation to his former wife. Expenditures made during the life of the marriage towards maintenance to a former spouse, as well as payments made pursuant to a child support order, are obligations that do not enure solely to the benefit of one spouse. Such payments, even if made pursuant to court order, are not the type of liabilities entitled to recoupment.

Husband and Wife — Equitable Distribution — Marital Funds Used to Pay Student Loan Incurred by Spouse during Marriage

2. Plaintiff was not entitled to an equitable distribution credit for marital funds used to pay defendant's student loan. Defendant incurred the student loan during the parties' marriage, and had his degree conferred an economic benefit, plaintiff would have been entitled to a share in its value. The loan, which was both incurred and fully paid for during the marriage, was a marital obligation for which responsibility was to be shared between the parties.

Husband and Wife — Equitable Distribution — Valuation of Assets — Valuation Date

3. In determining the value for equitable distribution purposes of defendant's stock and stock options in the company formed by defendant and another individual during the parties' marriage, the trial court providently exercised its discretion by setting the valuation date for the stock and options as the date of trial. The trial court found that although defendant had played a substantial role in changing the direction of the company and in its expansion, the appreciation in the value of the stock was not due solely to his efforts.

Husband and Wife — Equitable Distribution — Estoppel — Prior Income Tax Return

4. In determining the equitable distribution of funds defendant received from the sale of his corporate interests to his father and reported as business income on the parties' joint tax return, the trial court properly exercised its discretion when it classified the funds as marital property. Defendant was estopped from claiming that the funds were proceeds from the sale of stock he owned prior to the marriage and therefore separate property. Parties cannot, as a matter of policy, be permitted to assert positions in legal proceedings that are contrary to declarations made under the penalty of perjury on income tax returns.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Divorce and Separation §§ 473, 477–488, 493, 515–520, 539–544, 548.

CARMODY-WAIT 2d, Spousal Support, Counsel Fees, Child Support, and Property Distribution in Matrimonial Actions §§ 118:179, 118:190–118:196, 118:208, 118:211–118:213, 118:216, 118:219, 118:221, 118:222, 118:227.

3 LAW AND THE FAMILY NEW YORK (2d ed) §§ 2:1–2:3; 3B LAW AND THE FAMILY NEW YORK (2d ed) §§ 15:2–15:7.

NY JUR 2d, Domestic Relations §§ 2609–2614, 2626, 2630–2634, 2639.

ANNOTATION REFERENCE

Proper date for valuation of property being distributed pursuant to divorce. 34 ALR4th 63.

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POINTS OF COUNSEL

Berman Bavero Frucco & Gouz P.C., White Plains (*Howard Leitner* of counsel), and *Collier, Halpern, Newberg, Nolletti &*

Bock, LLP, for appellant. I. Because of defendant's significant contribution to the postcommencement appreciation of the EVCI stock, the stock should have been valued as of the date of commencement for purposes of equitable distribution. (*Breese v Breese,* 256 AD2d 433; *Barbuto v Barbuto,* 286 AD2d 741; *Scharfman v Scharfman,* 19 AD3d 474; *McSparron v McSparron,* 87 NY2d 275; *Grunfeld v Grunfeld,* 94 NY2d 696; *Ferraioli v Ferraioli,* 295 AD2d 268; *Trivedi v Trivedi,* 222 AD2d 499; *Price v Price,* 69 NY2d 8; *Hale v Hale,* 16 AD3d 231; *Heine v Heine,* 176 AD2d 77, 90 NY2d 753.) II. Plaintiff should not have received a credit based on marital funds used to pay maintenance to defendant's first wife. (*Johnson v Chapin,* 49 AD3d 348; *O'Brien v O'Brien,* 66 NY2d 576.) III. Plaintiff wife should not have received a credit in equitable distribution for defendant's educational expenses incurred solely during their marriage. (*Johnson v Chapin,* 49 AD3d 348.) IV. The application of the doctrine of quasi-estoppel to preclude defendant from proving that certain property was his separate property was an unprecedented extension of that doctrine. (*Zemel v Horowitz,* 11 Misc 3d 1058[A], 2006 NY Slip Op 50276[U]; *Naghavi v New York Life Ins. Co.,* 260 AD2d 252.)

Farrauto & Berman, Yonkers (*John P. Farrauto* of counsel), and *Gretchen Mullins Kim, P.C.* (*Gretchen Mullins Kim* of counsel), for respondent. I. The trial court's decision as to the valuation dates to be used for equitable distribution of appellant's EVCI stock and options was not erroneous. (*McSparron v McSparron,* 87 NY2d 275, 88 NY2d 916; *Greenwald v Greenwald,* 164 AD2d 706, 78 NY2d 855; *Grunfeld v Grunfeld,* 94 NY2d 696, 96 NY2d 894; *Breese v Breese,* 256 AD2d 433; *Barbuto v Barbuto,* 286 AD2d 741; *Scharfman v Scharfman,* 19 AD3d 474; *Price v Price,* 69 NY2d 8; *Filkins v Filkins,* 303 AD2d 934; *Murphy v Murphy,* 193 AD2d 1068; *Soule v Soule,* 252 AD2d 768.) II. The Appellate Division properly reversed the trial court's decision not to credit respondent with one half of the monies paid during the marriage by appellant as maintenance to appellant's first wife. (*Dewell v Dewell,* 288 AD2d 252; *Micha v Micha,* 213 AD2d 956; *Gaccione v Gaccione,* 212 AD2d 574; *Jonas v Jonas,* 241 AD2d 839; *Feldman v Feldman,* 204 AD2d 268; *Newman v Newman,* 35 AD3d 418; *Markopoulos v Markopoulos,* 274 AD2d 457; *Carney v Carney,* 202 AD2d 907; *Johnson v Chapin,* 49 AD3d 348; *Hartog v Hartog,* 85 NY2d 36.) III. The Appellate Division properly reversed the trial court's decision not to credit respondent with one half of appellant's student loan debt. (*Corless v Corless,* 18 AD3d 493; *Helen*

A.S. v Werner R.S., 166 AD2d 515; *Basos v Basos,* 243 AD2d 932; *Jonas v Jonas,* 241 AD2d 839; *Lewis v Lewis,* 6 AD3d 837; *McKeever v McKeever,* 8 AD3d 702; *Kuhn v Kuhn,* 134 AD2d 900; *Godfryd v Godfryd,* 201 AD2d 927; *Dashnaw v Dashnaw,* 11 AD3d 732; *Chamberlain v Chamberlain,* 24 AD3d 589.) IV. The trial court and the Appellate Division properly determined that the doctrine of estoppel against inconsistent positions and/or quasi-estoppel barred appellant from asserting that the $1.8 million received during the marriage was from his sale of stock owned prior to the marriage. (*Zemel v Horowitz,* 11 Misc 3d 1058[A], 2006 NY Slip Op 50276[U]; *Naghavi v New York Life Ins. Co.,* 260 AD2d 252; *Di Costanzo v Allstate Ins. Co.,* 68 AD2d 834, 50 NY2d 832; *Thomas v Scutt,* 127 NY 133; *Braten v Bankers Trust Co.,* 60 NY2d 155; *Price v Price,* 69 NY2d 8; *Ford Motor Credit Co. v Colonial Funding Corp.,* 215 AD2d 435; *Environmental Concern v Larchwood Constr. Corp.,* 101 AD2d 591; *Crespo v Crespo,* 309 AD2d 727; *Perkins v Perkins,* 226 AD2d 610.)

OPINION OF THE COURT

PIGOTT, J.

In this divorce action, we are asked to resolve several equitable distribution issues. For the reasons that follow, we hold that plaintiff wife is not entitled to a 50% credit for payments made during the marriage towards defendant's maintenance obligation to his first wife nor for payments made towards husband's student loan, and thus we modify.

The parties were married in New York on September 24, 1993 and have two daughters. Wife has an adult child from a previous relationship. Husband was married once before, and has two adult children from that marriage. Pursuant to a divorce judgment, husband was obligated to pay his first wife maintenance.

During the present marriage, husband and another individual formed Educational Video Conferencing Inc. (EVCI), a New York corporation that went public in 1999. At the time of the instant action, husband owned a number of shares and options of EVCI stock, all of which were acquired during marriage.

Prior to his marriage to plaintiff, husband had an interest in Arol Development Corporation (ADC), a real estate development company he founded with his father in 1971. In 1983, husband founded another company, Big Apple Industrial Buildings, Inc., 80% of which he sold to ADC in 1989. In 1998, husband entered into an agreement with his father whereby he agreed to relinquish his stock ownership in both corporations in exchange for a lump sum payment. The agreement provided that the payment would be reported on a ''1099'' form issued to him by the purchasing company. In order to account for the increased tax liability that husband would incur as a consequence of treating the payment as ordinary income rather than as a sale of stock, the payment was increased by 17%. This money, amounting to $1.8 million, was received by husband during the marriage and reported on the parties' joint income tax return as self-employment business income.

In May 1996, husband obtained a doctorate in education from Fordham University for which he had taken out a student loan that was repaid two years later.

On May 19, 2003, wife commenced the instant divorce action and an 18-day trial ensued.

Supreme Court granted wife a divorce on the grounds of abandonment and in a detailed decision, dated October 3, 2006, considered and distributed the various assets and debts of the parties' marriage (13 Misc 3d 1216[A], 2006 NY Slip Op 51852[U] [Sup Ct, Westchester County 2006]).

As it pertained to the EVCI stock and options, the court found that husband played a substantial role in changing the direction of the company and in its expansion. Nevertheless, the court rejected husband's claims that the appreciation in the value of the EVCI stock was due solely to his efforts, holding that there were significant contributions of others to the operations of EVCI and no evidence directly linking the increase in the value of its stock solely to husband. Consequently, the court used the date of trial for valuation purposes of the EVCI stock and options.

With respect to maintenance paid by husband to his first wife during the marriage, the court declined to give wife credit for one half of that amount. The court noted that both parties had used marital assets to assist other relatives. For instance, wife had used marital sums to provide support for her daughter and her father. The court stated ''neither party may be heard to complain about the other's use of marital funds to pay for their own obligations or to aid other family members, when that approach was evidently an accepted part of their lifestyle'' (2006 NY Slip Op 51852[U] at *70).

For the same reasons, the court declined to give wife a credit for monies used to repay the student loan.

Supreme Court further held that husband is estopped from arguing that the funds received from the sale of his corporate interests to his father were proceeds from the sale of stock and thus, separate property, because he had reported the funds as business income on the parties' joint tax returns. The court also noted that in his 1993 judgment of divorce from his first wife, husband represented that he owned no stock at the time.

On appeal, the Appellate Division modified the judgment of Supreme Court by, among other things, holding that wife was entitled to an equitable distribution credit of one half of the amount of court-ordered maintenance paid by husband to his former wife from marital funds (51 AD3d 732 [2008]). The court held that the maintenance obligation to his first wife constituted debt incurred by him prior to the parties' marriage and is therefore his sole responsibility. The Appellate Division also awarded wife a 50% credit—or $24,081.45—for the student debt incurred by husband during the marriage to attain his degree, concluding that because a court-appointed expert had determined that husband's advanced degree did not enhance his earnings, wife received no benefit from it, and therefore, the student loan was incurred to satisfy husband's separate property interest making the loan his sole obligation. As modified, the Appellate Division affirmed.

We granted leave (11 NY3d 706 [2008]) and now modify the order of the Appellate Division.

The Domestic Relations Law recognizes that the marriage relationship is an economic partnership. As such, during the life of a marriage spouses share in both its profits and losses. When the marriage comes to an end, courts are required to equitably distribute not only the assets remaining from the marriage, but also the liabilities. A trial court considering the factors set forth in the Domestic Relations Law has broad discretion in deciding what is equitable under all of the circumstances. Indeed, when it comes to the equitable distribution of marital property, Domestic Relations Law § 236 (B) (5) (d) (13) authorizes the trial court to take into account "any other factor which the court shall expressly find to be just and proper." Consequently, the trial court has substantial flexibility in fashioning an appropriate decree based on what it views to be fair and equitable under the circumstances.

However, during the life of any marriage, many payments are made, whether of debts old or new, or simply current expenses.

If courts were to consider financial activities that occur and end during the course of a marriage, the result would be parties to a marriage seeking review of every debit and credit incurred. As a general rule, where the payments are made before either party is anticipating the end of the marriage, and there is no fraud or concealment, courts should not look back and try to compensate for the fact that the net effect of the payments may, in some cases, have resulted in the reduction of marital assets. Nor should courts attempt to adjust for the fact that payments out of separate property may have benefitted both parties, or even the nontitled spouse exclusively. The parties' choice of how to spend funds during the course of the marriage should ordinarily be respected. Courts should not second-guess the economic decisions made during the course of a marriage, but rather should equitably distribute the assets and obligations remaining once the relationship is at an end. With this holding in mind, we review the four issues raised on this appeal.

Prior Maintenance

[1] In this case, wife seeks to recoup money that was expended during the marriage to pay husband's obligation to his former spouse for maintenance. We hold that wife is not entitled to such recoupment. Expenditures made during the life of the marriage towards maintenance to a former spouse, as well as payments made pursuant to a child support order, are obligations that do not enure solely to the benefit of one spouse. Payments made to a former spouse and/or children of an earlier marriage, even if made pursuant to court order, are not the type of liabilities entitled to recoupment.

This is not to say that every expenditure of marital funds during the course of the marriage may not be considered in an equitable distribution calculation. Domestic Relations Law § 236 (B) (5) (d) (13) expressly and broadly authorizes the trial court to take into account "any other factor which the court shall expressly find to be just and proper" in determining an equitable distribution of marital property. There may be circumstances where equity requires a credit to one spouse for marital property used to pay off the separate debt of one spouse or add to the value of one spouse's separate property (*see e.g. Micha v Micha*, 213 AD2d 956, 957-958 [3d Dept 1995]; *Carney v Carney*, 202 AD2d 907 [3d Dept 1994]). Further, to the extent that expenditures are truly excessive, the ability of one party to claim that the other has accomplished a "wasteful dissipation of assets'' (Domestic Relations Law § 236 [B] [5] [d] [11]) by his or her expenditures provides protection. The payment of maintenance to a former spouse, however, does not fall under either of these categories.

Student Loan

[2] Nor is wife entitled to a credit for payments made during the marriage towards husband's student loan. Husband incurred the student loan during the parties' marriage, and had his degree conferred an economic benefit, wife would have been entitled to a share in its value (*see O'Brien v O'Brien*, 66 NY2d 576 [1985]). Thus, the loan, which was both incurred and fully paid for during the marriage, was a marital obligation for which responsibility was to be shared between the parties.*

EVCI Stock

[3] We further hold that the trial court providently exercised its discretion by setting the valuation date for the EVCI stock and options as the date of trial (*see generally McSparron v McSparron*, 87 NY2d 275 [1995]).

Estoppel

[4] Similarly, the trial court properly exercised its discretion when it classified the money received by husband pursuant to the settlement agreement as marital property, given the fact that husband made representations that the money was business income for tax purposes. A party to litigation may not take a position contrary to a position taken in an income tax return (*see Meyer v Insurance Co. of Am.*, 1998 WL 709854, 1998 US Dist LEXIS 15863 [SD NY 1998]; *Naghavi v New York Life Ins. Co.*, 260 AD2d 252 [1st Dept 1999]; *Zemel v Horowitz*, 11 Misc 3d 1058[A], 2006 NY Slip Op 50276[U], *5 [Sup Ct, NY County 2006]). Here, husband does not dispute that, in accordance with his settlement agreement, he reported the $1,800,000 in settlement proceeds as business income on his federal income tax return, in which he swore that the representations contained within it were true. We cannot, as a matter of policy, permit parties to assert positions in legal proceedings that are contrary to declarations made under the penalty of perjury on income tax returns.

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* If the student loan debt was still outstanding, however, it may have been appropriate for the trial court to conclude that defendant alone was required to bear the obligation of repayment of the balance of his student loan.

Accordingly, the order of the Appellate Division should be modified, without costs, by remitting to Supreme Court for further proceedings in accordance with this opinion and, as so modified, affirmed.

Judges CIPARICK, GRAFFEO, READ, SMITH and JONES concur; Chief Judge LIPPMAN taking no part.

Order modified, etc.

[911 NE2d 813, 883 NYS2d 751]

In the Matter of DANIEL PECKHAM, Appellant, v JUDITH A. CALOGERO, as Commissioner of the State of New York's Division of Housing and Community Renewal, et al., Respondents.

Argued April 1, 2009; decided May 5, 2009

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered June 26, 2008. The Appellate Division, with two Justices dissenting, (1) reversed, on the law, an order and judgment (one paper) of the Supreme Court, New York County (Paul G. Feinman, J.; op 2007 NY Slip Op 32087[U]), entered in a proceeding pursuant to CPLR article 78, which had granted the petition to the extent of remanding the matter to respondent Division of Housing and Community Renewal for further proceedings, in particular, to clarify the standard used to determine a ''demolition'' and whether the project was a ''demolition,'' and to clarify the financial ability of respondent Chelsea Partners to complete the project; (2) denied the petition; (3) confirmed the determination of the Division of Housing and Community Renewal permitting Chelsea Partners not to renew petitioner's rent-stabilized lease; and (4) dismissed the proceeding.

Matter of Peckham v Calogero, 54 AD3d 27, affirmed.

HEADNOTES

Appeal — Court of Appeals — Matters Reviewable

1. In a CPLR article 78 proceeding challenging the determination of respondent Division of Housing and Community Renewal (DHCR) denying petitioner tenant's petition for administrative review (PAR) of the Rent Administrator's approval of respondent owner's application to demolish the building in which petitioner's apartment was located, petitioner's argument challenging DHCR's lack of a specific definition for the term ''demolition'' was not properly before the Court of Appeals. The argument was not raised before the Rent Administrator or in petitioner's PAR, but was raised for the first time in the article 78 proceeding. An argument may not be raised for the first time before the courts in an article 78 proceeding.

Appeal — Court of Appeals — Matters Reviewable

2. In a CPLR article 78 proceeding challenging the determination of respondent Division of Housing and Community Renewal (DHCR) denying petitioner tenant's petition for administrative review (PAR) of the Rent Administrator's approval of respondent owner's application to demolish the building in which petitioner's apartment was located, petitioner's argument that the evidence of

financial ability submitted by the owner pertained to a different entity and that such evidence did not necessarily inure to the benefit of the owner could not be considered by the Court of Appeals. Although the argument was raised before the Rent Administrator, it was never repeated in the PAR or in the article 78 petition.

Landlord and Tenant — Rent Regulation — Demolition of Building — What Constitutes "Demolition"

3. The determination of respondent Division of Housing and Community Renewal (DHCR) denying petitioner tenant's petition for administrative review of the Rent Administrator's approval of respondent owner's application to demolish the building in which petitioner's rent-stabilized apartment was located was not arbitrary and capricious. Because DHCR's determination was consistent with its own rules and precedents, there was a rational basis for the determination, notwithstanding the lack of a precise or expansive definition of the term "demolition" in the Rent Stabilization Law and Code (*see* 9 NYCRR 2524.5 [a] [2] [i]). The proponent of a demolition application need not show that it intends to raze the structure to the ground in order to be successful. Respondent owner's demolition plan comported with DHCR's long-held interpretation of the term "demolition."

Landlord and Tenant — Rent Regulation — Demolition of Building — Financial Ability

4. In denying petitioner tenant's petition for administrative review of the Rent Administrator's approval of respondent owner's application to demolish the building in which petitioner's rent-stabilized apartment was located, respondent Division of Housing and Community Renewal (DHCR) properly determined that the owner had the financial ability to complete the project (*see* 9 NYCRR 2524.5 [a] [2] [i]). The owner submitted a printout from a bank verifying that an account had been opened and funded in the amount of $4,800,000, and a letter indicating that the funds were to be applied toward the owner's demolition/construction project. There was ample basis for DHCR to infer that the entity to which the letter was addressed was an affiliate of the owner. In accordance with DHCR's procedure, therefore, the owner demonstrated the requisite financial ability.

Landlord and Tenant — Rent Regulation — Demolition of Building — Change in Regulatory Standards — Finality of Determination

5. While the Division of Housing and Community Renewal (DHCR) may modify its standards, it must apply them on a going forward basis. Accordingly, because there was a rational basis for the determination of respondent DHCR denying petitioner tenant's petition for administrative review of the Rent Administrator's approval of respondent owner's application to demolish the building in which petitioner's rent-stabilized apartment was located, the owner was entitled to treat the determination as final. The owner satisfied DHCR's requirements and obtained the necessary approvals, and should be able to proceed with its demolition project without the threat of having to revisit the entire administrative process.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Administrative Law §§ 368, 375, 489; AM JUR

2d, Appellate Review § 618; AM JUR 2d, Landlord and Tenant §§ 915, 916.

CARMODY-WAIT 2d, Appeals to the Court of Appeals §§ 71:112, 71:114.

9 NYCRR 2524.5 (a) (2) (i).

NY JUR 2d, Administrative Law §§ 334–339; NY JUR 2d, Appellate Review §§ 104, 184, 562, 571; NY JUR 2d, Landlord and Tenant §§ 474, 499–501; NY JUR 2d, Real Property—Possessory and Related Actions § 40.

NEW YORK REAL PROPERTY SERVICE §§ 74:212, 74:217.

SIEGEL, NY PRAC §§ 527, 528.

ANNOTATION REFERENCE

See ALR Index under Administrative Law; Appeal and Error; Destruction and Demolition; Landlord and Tenant.

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POINTS OF COUNSEL

Nixon Peabody LLP, New York City (*Eileen M. Cunningham* and *Matthew C. Peluso* of counsel), for appellant. I. Chelsea Partners, LLP did not have standing to appeal the decision of the Supreme Court. (*Sohn v Calderon,* 78 NY2d 755; *Matter of Rockaway One Co., LLC v Wiggins,* 35 AD3d 36; *Matter of Porter v New York State Div. of Hous. & Community Renewal,* 51 AD3d 417; *Matter of Hakim v Division of Hous. & Community Renewal,* 273 AD2d 3, 95 NY2d 887; *Matter of Sherwood 34 Assoc. v New York State Div. of Hous. & Community Renewal,* 309 AD2d 529.) II. The Division of Housing and Community Renewal acted arbitrarily and capriciously by failing to set forth and apply a standard for determining whether an owner intends to ‘‘demolish the building’’ pursuant to the Rent Stabilization Law and Code. (*Matter of Gilman v New York State Div. of Hous. & Community Renewal,* 99 NY2d 144; *Matter of Montauk Improvement v Proccacino,* 41 NY2d 913.) III. The Division of Housing and Community Renewal acted arbitrarily and capriciously in its decision regarding the financial capacity of Chelsea Partners, LLC. (*Sohn v Calderon,* 78 NY2d 755.)

Belkin Burden Wenig & Goldman, LLP, New York City (*Magda L. Cruz, Sherwin Belkin* and *Kristine L. Grinberg* of counsel), for Chelsea Partners, LLC, respondent. I. The owner had standing to appeal the lower court's judgment or, in the alternative, the Appellate Division properly granted the owner leave to appeal sua sponte. (*Matter of Spedicato v New York State Div. of Hous. & Community Renewal,* 241 AD2d 343; *Matter of Mid-Is. Hosp. v Wyman,* 15 NY2d 374; *Llantin v Doe,* 30 AD3d 292; *Serradilla v Lords Corp.,* 12 AD3d 279; *Matter of Price v City of New York,* 298 AD2d 113; *Matter of DeJesus v Roberts,* 296 AD2d 307; *Banks v New York State & Local Employees' Retirement Sys.,* 271 AD2d 252; *Matter of McFarland v New York State Div. of Human Rights,* 241 AD2d 108; *Bhandary v Bhandary,* 50 AD3d 612; *Natoli v Milazzo,* 35 AD3d 823.) II. The Appellate Division correctly held that the Division of Housing and Community Renewal had properly granted the owner's application. (*Catlin v Sobol,* 77 NY2d 552; *Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County,* 34 NY2d 222; *Matter of Ansonia Residents Assn. v New York State Div. of Hous. & Community Renewal,* 75 NY2d 206; *Matter of Mid-State Mgt. Corp. v New York City Conciliation & Appeals Bd.,* 112 AD2d 72, 66 NY2d 1032; *Rent Stabilization Assn. of N.Y. City v Higgins,* 83 NY2d 156, 512 US 1213; *Matter of Versailles Realty Co. v New York State Div. of Hous. & Community Renewal,* 76 NY2d 325; *NLRB v Hearst Publications, Inc.,* 322 US 111; *Sohn v Calderon,* 78 NY2d 755; *Matter of Gaines v New York State Div. of Hous. & Community Renewal,* 90 NY2d 545; *Matter of Tommy & Tina, Inc. v Department of Consumer Affairs of City of N.Y.,* 95 AD2d 724, 62 NY2d 671.) III. The Appellate Division correctly held that the Division of Housing and Community Renewal's determination that the owner demonstrated its financial ability to complete the project was rational. (*Matter of East Harlem Bus. & Residence Alliance v Empire State Dev. Corp.,* 273 AD2d 33; *Matter of Rozmae Realty v State Div. of Hous. & Community Renewal, Off. of Rent Admin.,* 160 AD2d 343; *Matter of Yonkers Gardens Co. v State of N.Y. Div. of Hous. & Community Renewal,* 51 NY2d 966; *Matter of Muller v New York State Div. of Hous. & Community Renewal,* 263 AD2d 296; *Matter of Jemrock Realty Co. v New York State Div. of Hous. & Community Renewal,* 245 AD2d 92; *Matter of Wembly Mgt. Co. v New York State Div. of Hous. & Community Renewal,* 203 AD2d 118; *Matter of Lynch v New York City Employees' Retirement Sys.,* 103 AD2d 695; *Matter of Fanelli v New York City Conciliation & Appeals Bd.,* 90 AD2d 756; *Matter of Klaus v Joy,* 85 AD2d 603; *Matter of Mahoney v Altman,* 63 Misc 2d 1062.) IV. The Appellate Division correctly determined that the lower court's remand directive was improper. (*Matter of Pantelidis v New York City*

Bd. of Stds. & Appeals, 43 AD3d 314; *Matter of Police Benevolent Assn. of N.Y. State Troopers v Vacco,* 253 AD2d 920; *Matter of Montauk Improvement v Proccacino,* 41 NY2d 913; *Matter of Board of Educ. of Pleasantville Union Free School Dist. v Ambach,* 132 AD2d 257; *Matter of Booke v Joy,* 88 AD2d 569; *Matter of Ligreci v Honors,* 162 AD2d 1010; *Matter of Porter v New York State Div. of Hous. & Community Renewal,* 51 AD3d 417; *Matter of Hakim v Division of Hous. & Community Renewal,* 273 AD2d 3; *Matter of Sherwood 34 Assoc. v New York State Div. of Hous. & Community Renewal,* 309 AD2d 529.)

OPINION OF THE COURT

JONES, J.

Respondent Chelsea Partners, LLC (Owner) owns a three-story, 40-foot-deep building with a basement and eight residential units in Manhattan. Petitioner Daniel Peckham, the sole remaining occupant of the building, resides in an apartment subject to the Rent Stabilization Law and Code.

In May 2004, Owner filed an ''Owner's Application for Order Granting Approval to Refuse Renewal of [Petitioner's] Lease and/or to Proceed for Eviction'' (application) with the New York State Division of Housing and Community Renewal (DHCR). Owner plans to demolish the building and construct a six-story, 70-foot-deep building with 12 dwelling units in its place. According to Owner's plan, ''[t]he Demolition will entail the removal of (a) the roof, (b) entire interior of the Building, (c) all partitions, (d) floor joints, (e) subfloors, and (f) building systems. In addition, much of the facade, and the entire rear wall of the Building will be removed.'' Petitioner opposed Owner's application, arguing that (1) Owner advised the New York City Department of Buildings (DOB) that the job involves ''a reconstruction or an alteration'' and (2) the evidence of financial ability could not be relied upon because the only thing it established was that the funds in question were held in the name of an entity other than Owner. On December 13, 2005, the Rent Administrator granted Owner's application, stating that ''the owner has satisfied the conditions set forth under Section 2524.5 (a) (2) (i) of the New York City Rent Stabilization Code.''[1]

One month later, petitioner filed a petition for administrative review (PAR) of the Rent Administrator's order, arguing, in

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1. Rent Stabilization Code (9 NYCRR) § 2524.5 provides:
''(a) The owner shall not be required to offer a renewal lease to a tenant . . . and shall file on the prescribed form an application

(n. cont'd)

part, that Owner failed to provide adequate proof of its financial ability to complete the undertaking. DHCR disagreed and, by order issued July 27, 2006, denied petitioner's PAR. Subsequently, petitioner commenced this CPLR article 78 proceeding against DHCR and Owner, seeking reversal of DHCR's order denying petitioner's PAR. For the first time, petitioner challenged DHCR's standards regarding what constitutes a ''demolition'' and what an apartment building owner has to show in order to demonstrate its ''financial ability'' to perform a particular undertaking. Despite DHCR's arguments that the order denying petitioner's PAR was properly supported, Supreme Court granted the petition to the extent of remanding the matter to DHCR ''to clarify the standard used to determine a 'demolition' and whether this project is a 'demolition,' and to clarify the financial ability of Chelsea [Partners] to complete the project'' (2007 NY Slip Op 32087[U], *18).

Following Supreme Court's order and judgment, DHCR agreed to abide by the court order remanding the matter. Owner appealed to the Appellate Division pursuant to that court's leave grant. At the Appellate Division, DHCR sought an affirmance of Supreme Court's order. DHCR argued that (1) ''articulation of a standard for demolition applications will allow for more meaningful court review and give both owners and tenants guidance in a controversial area of rent regulation that has created uncertainty and confusion'' and (2) more evidence of Owner's ''financial ability'' is needed.

In a 3-2 decision, the Appellate Division reversed Supreme Court, concluding that the granting of the petition and remand of the matter to DHCR were improper (54 AD3d 27 [2008]). According to the court, Owner was entitled to treat DHCR's determination as final. Further, the court ruled that Supreme Court erred in finding that DHCR lacked a conclusive definition of ''demolition,'' that DHCR's order denying petitioner's PAR was not based upon an incomplete factual record, arbitrary, capri-

with the DHCR for authorization to commence an action or proceeding to recover possession in a court of competent jurisdiction after the expiration of the existing lease term, upon any one of the following grounds: . . .

''(2) Demolition.

''(i) The owner seeks to demolish the building. Until the owner has submitted proof of its financial ability to complete such undertaking to the DHCR, and plans for the undertaking have been approved by the appropriate city agency, an order approving such application shall not be issued.''

cious, irrational or contrary to law, that DHCR properly determined that Owner had the financial ability to complete the undertaking, and that Owner established its intent to demolish and replace the building in question. The court also noted that petitioner's argument regarding DHCR's lack of appropriate ''demolition'' standards was not properly before Supreme Court. The dissenting Justices argued in support of Supreme Court's remand to DHCR by pointing out that the agency should be allowed to exercise its legislatively granted authority to develop rent regulations and accompanying standards. Specifically, they explained that given DHCR's concessions that there is no definition of demolition in the Rent Stabilization Law or Code, that its demolition determinations have been made on a case-by-case basis and that it did not address the weakness of the evidence regarding Owner's financial ability, Supreme Court's remand would give DHCR the opportunity to create standards courts could employ in determining whether DHCR's determinations are rationally based. Petitioner appeals as of right, pursuant to CPLR 5601 (a), and we now affirm.[2]

Petitioner argues that Owner did not have standing to appeal Supreme Court's decision. We disagree and hold that the Appellate Division did not act in excess of its powers in granting Owner leave to appeal.

[1] In addition, petitioner challenges DHCR's lack of a specific definition for the term ''Demolition.'' This argument was not raised before the Rent Administrator or at petitioner's PAR. It was raised for the first time in the article 78 proceeding. As it is well settled that an argument ''may not be raised for the first time before the courts in an article 78 proceeding'' (*Matter of Yonkers Gardens Co. v State of N.Y. Div. of Hous. & Community Renewal*, 51 NY2d 966, 967 [1980]), this argument is not properly before us.

[2] Petitioner further argues that the evidence of financial ability Owner submitted pertains to a different entity (Three Stars Associates, LLC) and that such evidence does not necessarily inure to the benefit of Owner. Although this argument was raised before the Rent Administrator, it was never repeated at the PAR or in the instant petition. Accordingly, we may not consider this argument.

[3] However, petitioner's general arguments that DHCR's actions were arbitrary and capricious are before us. We hold that

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2. DHCR has agreed to abide by the Appellate Division order and has not appealed to this Court.

these arguments lack merit because there was a rational basis for DHCR's determination. "In reviewing an administrative agency determination, [courts] must ascertain whether there is a rational basis for the action in question or whether it is arbitrary and capricious" (*Matter of Gilman v New York State Div. of Hous. & Community Renewal*, 99 NY2d 144, 149 [2002] [citation omitted]). An action is arbitrary and capricious when it is taken without sound basis in reason or regard to the facts (*see Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222, 231 [1974]). If the court finds that the determination is supported by a rational basis, it must sustain the determination even if the court concludes that it would have reached a different result than the one reached by the agency (*id.*). Further, courts must defer to an administrative agency's rational interpretation of its own regulations in its area of expertise (*see Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451, 459 [1980]).

Here, DHCR's determination denying petitioner's PAR is consistent with its own rules and precedents; accordingly, there is a rational basis for the determination. It is of no moment that there is no precise or expansive definition of "demolition" in the Rent Stabilization Law and Code. Numerous terms and concepts lack such a definition (*see e.g.* Rent Stabilization Law [Administrative Code of City of NY] § 26-504 [a] [1] [f] [does not contain a precise definition of "primary residence"]). Further, over the years, DHCR and its predecessor, the Conciliation and Appeals Board of the City of New York (CAB), have not required the proponent of a demolition application to show that it intends to "raze the structure to the ground" (the dictionary definition of "demolition") in order to be successful. An intent to gut the interior of the building, while leaving the walls intact, has been held as sufficient (*see e.g. Matter of Villas of Forest Hills*, CAB Op No. 15,680, at 13-14 [1981]; *Matter of Mazzia*, DHCR Admin Review Docket No. PF410002OE [Sept. 27, 2002]; *Matter of Schneider*, DHCR Admin Review Docket No. TB420052RT, at 7 [Mar. 16, 2006]). Courts reviewing this interpretation of the term "demolition" have held likewise (*see e.g. Application of Gioeli*, 221 NYS2d 568 [Sup Ct, NY County 1961]; *Matter of Mahoney v Altman*, 63 Misc 2d 1062, 1064 [Sup Ct, NY County 1970]; *Matter of 412 W. 44th St. Corp.*, NYLJ, Oct. 19, 1971, at 2, col 5). Here, Owner's demolition plan comports with DHCR's long-held interpretation of "demolition."

[4] Regarding the "financial ability" that must be shown before a demolition application is granted, DHCR has stated that ‘‘[e]vidence of financial ability to complete the project may include a Letter of Intent or a Commitment Letter from a financial institution, or such other evidence as DHCR may deem appropriate under the circumstances’’ (DHCR Operational Bulletin 2002-1). Here, Owner submitted (1) a printout from JPMorgan Chase Bank verifying that a bank account had been opened and funded in the amount of $4,800,000 and (2) a letter indicating that these funds were to be applied toward Owner’s demolition/construction project. Although the letter was addressed to Three Stars Associates, LLC, there was ample basis for DHCR to infer that this entity and Owner were affiliates; that is, the addressee of the letter (Mr. Larry Tauber) is the principal and agent of both entities. Further, according to the letter, Mr. Tauber indicated how the funds in the bank account would be used. In accordance with DHCR’s procedure, therefore, Owner has demonstrated the requisite financial ability.

[5] As there is a rational basis for DHCR’s order denying petitioner’s PAR, we hold that Owner is entitled to treat this determination as final. Because Owner has satisfied DHCR’s requirements and obtained the necessary approvals, it should be able to proceed with its demolition project without the threat of having to revisit the entire administrative process. To be sure, DHCR has a great deal of authority to modify the orders it renders and the regulations—along with accompanying standards—it administers. However, the question here is not whether DHCR can change its regulations, standards or orders (it certainly can), but when. Here, DHCR may not get what amounts to a second chance to rule on Owner’s application *after* setting and applying a new standard regarding what constitutes a ‘‘demolition.’’ DHCR may, of course, modify its standards, but it must apply them on a going forward basis.[3]

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, SMITH and PIGOTT concur.

Order affirmed, with costs.

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3. Under DHCR’s proposed demolition regulations, which will amend Rent Stabilization Code § 2524.5 (a) (2), ‘‘demolition’’ is defined in a manner consistent with DHCR’s application in this case.

[909 NE2d 1195, 882 NYS2d 357]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v SCOTT C. WEAVER, Appellant.

Argued March 24, 2009; decided May 12, 2009

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the Third Judicial Department, from an order of that Court, entered June 5, 2008. The Appellate Division affirmed a judgment of the Supreme Court, Albany County (Dan Lamont, J.), which had convicted defendant, upon a jury verdict, of burglary in the third degree and attempted grand larceny in the second degree.

People v Weaver, 52 AD3d 138, reversed.

HEADNOTE

Crimes — Unlawful Search and Seizure — Installation of Global Positioning System Device on Vehicle without Warrant

The placement by police of a global positioning system (GPS) tracking device inside the bumper of defendant's street-parked van and constant monitoring of the position of the van for 65 days, all without a warrant or justification under any exception to the warrant requirement, constituted an illegal search under New York Constitution, article I, § 12. Although the expectation of privacy has been deemed diminished in a car upon a public thoroughfare, expectations of privacy when driving or riding in a vehicle are not so utterly diminished that the occupants effectively consent to the unsupervised disclosure to law enforcement authorities of all that GPS technology can reveal. The residual privacy expectation defendant retained in his vehicle, while perhaps small, was at least adequate to support his claim of a violation of his constitutional right to be free of unreasonable searches and seizures, and the massive invasion of privacy entailed by the prolonged use of the GPS device was inconsistent with even the slightest reasonable expectation of privacy. Under the New York Constitution, in the absence of exigent circumstances, the installation and use of a GPS device to monitor an individual's whereabouts requires a warrant supported by probable cause. Exigent circumstances did not exist here and it was impossible to discern from the record any reason, apart from hunch or curiosity, for its placement.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Searches and Seizures §§ 9, 81, 127–129, 268, 345.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:107–172:110, 172:153, 172:159, 172:164, 172:386–172:389.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 3.2, 3.7.

McKinney's, NY Const, art I, § 12.
NY Jur 2d, Criminal Law: Procedure §§ 240–243, 289, 292.

ANNOTATION REFERENCE

Fourth Amendment protections, and equivalent state constitutional protections, as applied to the use of GPS technology, transponder, or the like, to monitor location and movement of motor vehicle, aircraft, or watercraft. 5 ALR6th 385.

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POINTS OF COUNSEL

Smith Hernandez LLC, Troy (*Trey Smith* and *Matthew C. Hug* of counsel), for appellant. I. County Court erred reversibly in failing to suppress GPS evidence obtained by the police without a warrant. (*United States v Knotts,* 460 US 276; *Katz v United States,* 389 US 347; *Lopez v United States,* 373 US 427; *Olmstead v United States,* 277 US 438; *Smith v Maryland,* 442 US 735; *People v Guerra,* 65 NY2d 60; *United States v Karo,* 468 US 705; *United States v Garcia,* 474 F3d 994; *New York v Class,* 475 US 106; *People v Hall,* 10 NY3d 303.) II. Supreme Court erred in failing to instruct the jury that Amber Roche was an accomplice as a matter of law to the K-Mart burglary. (*People v Berger,* 52 NY2d 214; *People v Cohen,* 73 AD2d 603; *People v Cona,* 49 NY2d 26; *People v Rugg,* 91 AD2d 692; *People v Bell,* 32 AD2d 781.) III. Alternatively, Supreme Court erred in failing to submit to the jury the issue of whether Amber Roche was an accomplice to the K-Mart burglary. (*People v Caban,* 5 NY3d 143; *People v Dorta,* 46 NY2d 818; *People v Prude,* 2 AD3d 1318, 3 NY3d 646; *People v Durham,* 248 AD2d 820, 91 NY2d 972; *People v O'Malley,* 236 AD2d 736; *People v Gjonaj,* 179 AD2d 773, 79 NY2d 947; *People v DeMatteis,* 186 AD2d 460, 81 NY2d 787; *People v Tutora,* 42 AD2d 952.) IV. Supreme Court erred in permitting evidence of alleged witness tampering by defendant. (*People v Bennett,* 79 NY2d 464; *People v Reddy,* 261 NY 479; *People v Moses,* 63 NY2d 299; *People v Alexander,* 37 NY2d 202; *People v Shilitano,* 218 NY 161; *People v Yazum,* 13 NY2d 302; *People v Leyra,* 1 NY2d 199; *People v Lewis,* 69 NY2d 321; *People v Jackson,* 218 AD2d 556; *People v Harper,* 75 NY2d 313.) V. The evidence was insufficient as a matter of law to sustain the convictions. (*People v Moses,* 63 NY2d 299.)

P. David Soares, District Attorney, Albany (*Christopher D. Horn* of counsel), for respondent. I. Placing a GPS device on the undercarriage of a vehicle without a warrant does not violate the Fourth Amendment or article I, § 12 of the New York Constitution. (*Katz v United States,* 389 US 347; *Lewis v United States,* 385 US 206; *United States v Miller,* 425 US 435; *Cardwell v Lewis,* 417 US 583; *United States v Knotts,* 460 US 276; *Kyllo v United States,* 533 US 27; *Vernonia School Dist. 47J v Acton,* 515 US 646; *United States v Moran,* 349 F Supp 2d 425; *New York v Class,* 475 US 106; *United States v Rascon-Ortiz,* 994 F2d 749.) II. Supreme Court properly rejected defendant's request for an accomplice instruction. (*People v Caban,* 5 NY3d 143; *People v Besser,* 96 NY2d 136; *People v Cobos,* 57 NY2d 798; *People v Basch,* 36 NY2d 154; *People v Torello,* 94 AD2d 857; *People v Faulkner,* 36 AD3d 951.) III. Supreme Court properly rejected defendant's request to submit to the jury the issue of whether Amber Roche was an accomplice. (*People v Basch,* 36 NY2d 154; *People v Sweet,* 78 NY2d 263.) IV. Supreme Court properly admitted testimony regarding witness tampering. (*People v De Perno,* 101 AD2d 1003; *People v Shilitano,* 218 NY 161; *People v Bennett,* 79 NY2d 464; *People v Yazum,* 13 NY2d 302; *People v Leyra,* 1 NY2d 199; *People v Crimmins,* 36 NY2d 230.) V. The verdict was based upon legally sufficient evidence. (*People v Craft,* 36 AD3d 1145; *People v Parker,* 29 AD3d 1161, 7 NY3d 907; *People v Contes,* 60 NY2d 620; *Jackson v Virginia,* 443 US 307; *People v Ficarrota,* 91 NY2d 244; *People v Cabey,* 85 NY2d 417; *People v Bleakley,* 69 NY2d 490.)

Moskowitz, Book & Walsh, LLP, New York City (*Susan J. Walsh* of counsel), *Norman L. Reimer*, Washington, D.C., *Ivan J. Dominguez*, *Green & Willstatter,* White Plains (*Richard D. Willstatter* of counsel), *Lee Tien,* San Francisco, California, *Rajdeep Singh Jolly,* Washington, D.C., *Alfred O'Connor,* Albany, *Arnold & Porter LLP,* Washington, D.C. (*Stephen M. Sacks* of counsel), *Abed A. Ayoub,* and *Nadhira F. Al-Khalili* for National Association of Criminal Defense Lawyers and others, amici curiae. This Court should hold that surreptitious implantation of a GPS monitoring device in an individual's vehicle by law enforcement and around-the-clock electronic tracking and recording of movements without spatial or temporal limitation is impermissible, absent a warrant based upon probable cause. (*United States v Knotts,* 460 US 276; *United States v Jacobsen,* 466 US 109; *Olmstead v United States,* 277 US 438; *Katz v United States,* 389 US 347; *United States v Karo,* 468 US 705; *Bond v United States,* 529 US 334; *United States v Berry,* 300 F Supp 2d 366; *United*

States v Garcia, 474 F3d 994; *United States v Moran,* 349 F Supp 2d 425; *People v Gant,* 9 Misc 3d 611.)

Christopher Dunn, New York City, *Arthur Eisenberg* and *Palyn Hung* for New York Civil Liberties Union, amicus curiae. I. The highest courts of two other states have held that their state constitutions require police to obtain a warrant before engaging in electronic tracking. II. Defendant's state constitutional claim is not controlled by Fourth Amendment ''reasonable expectation of privacy'' doctrine. (*People v Class,* 63 NY2d 491, 475 US 106, 67 NY2d 431.) III. The Court should hold that electronic police tracking of private vehicles requires a warrant. (*People v Class,* 63 NY2d 491; *Katz v United States,* 389 US 347; *Olmstead v United States,* 277 US 438.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

In the early morning hours of December 21, 2005, a State Police Investigator crept underneath defendant's street-parked van and placed a global positioning system (GPS) tracking device inside the bumper. The device remained in place for 65 days, constantly monitoring the position of the van. This nonstop surveillance was conducted without a warrant.

The GPS device, known as a ''Q-ball,'' once attached to the van, operated in conjunction with numerous satellites, from which it received tracking data, to fix the van's location. The Q-ball readings indicated the speed of the van and pinpointed its location within 30 feet. Readings were taken approximately every minute while the vehicle was in motion, but less often when it was stationary. The device's battery required replacement during the monitoring period, which resulted in yet another nocturnal visit by the investigator to the van's undercarriage. To download the location information retrieved by the Q-ball, the investigator would simply drive past the van and press a button on a corresponding receiver unit, causing the tracking history to be transmitted to and saved by a computer in the investigator's vehicle.

It is not clear from the record why defendant was placed under electronic surveillance. What is clear is that he was eventually charged with and tried in a single proceeding for crimes relating to two separate burglaries—one committed in July 2005 at the Latham Meat Market and the other on Christmas Eve of the same year at the Latham K-Mart.

The prosecution sought to have admitted at trial GPS readings showing that, on the evening of the Latham K-Mart burglary at 7:26, defendant's van traversed the store's parking lot at a speed of six miles per hour. Without a hearing, County Court denied defendant's motion to suppress the GPS data, and the electronic surveillance evidence was received. The additional evidence against defendant came primarily from Amber Roche, who was charged in connection with the Latham Meat Market burglary and was deemed an accomplice in the commission of that burglary.

Roche testified that prior to the date of the burglary, she drove through the parking lot of the Latham K-Mart with defendant and John Scott Chiera, while the men looked for the best place to break into the store. She stated that on the night of the burglary, defendant and Chiera left her apartment wearing dark clothing. When they returned, Chiera's hand was bleeding. Other evidence showed that, during the burglary, a jewelry case inside the K-Mart had been smashed and stained with blood containing DNA matching that of Chiera. Notably, Roche's initial statement to the police did not implicate defendant in the K-Mart burglary, but rather indicated that Chiera had committed the crime with a different individual. A few weeks later, Roche gave the police a second statement implicating defendant instead of that individual.

The jury convicted defendant of two counts relating to the K-Mart burglary, but acquitted him of the counts pertaining to the Meat Market burglary. The ensuing judgment of conviction was affirmed by a divided Appellate Division. The majority rejected defendant's argument that his Fourth Amendment rights had been violated by the warrantless placement and use of the GPS device, and found that he had no greater right to relief under the State Constitution. It premised its decision largely upon what it deemed to be defendant's reduced expectation of privacy in the exterior of his vehicle (52 AD3d 138 [3d Dept 2008]).

One Justice dissented and would have suppressed the evidence obtained from the GPS tracking device. The dissenting opinion agreed that there was no Fourth Amendment violation, but found a violation of defendant's corresponding rights under the State Constitution—stating that citizens "have a reasonable expectation that their every move will not be continuously and indefinitely monitored by a technical device without their knowledge, except where a warrant has been issued based on probable cause" (*id.* at 145). The dissenting Justice granted defendant leave to appeal (10 NY3d 966 [2008]) and we now reverse.

The Fourth Amendment, read literally, protects property and for a long time was read to do no more. In *Olmstead v United States* (277 US 438 [1928]), the Supreme Court, adhering to the notion that a Fourth Amendment infringement was essentially one affecting property,* refused to find that a telephone wiretap was a search within the amendment's meaning because the wiretap involved no trespass into the houses or offices of the defendants. Justice Brandeis differed and offered as an alternative to the majority's understanding of the amendment this much more encompassing view:

> ''The protection guaranteed by the Amendments [the Fourth and Fifth] is much broader in scope [than the protection of property]. The makers of our Constitution undertook to secure conditions favorable to the pursuit of happiness. They recognized the significance of man's spiritual nature, of his feelings and of his intellect. They knew that only a part of the pain, pleasure and satisfactions of life are to be found in material things. They sought to protect Americans in their beliefs, their thoughts, their emotions and their sensations. They conferred, as against the Government, the right to be let alone—the most comprehensive of rights and the right most valued by civilized men. To protect that right, every unjustifiable intrusion by the Government upon the privacy of the individual, whatever the means employed, must be deemed a violation of the Fourth Amendment. And the use, as evidence in a criminal proceeding, of facts ascertained by such intrusion must be deemed a violation of the Fifth'' (*id.* at 478-479 [dissenting op]).

Brandeis's dissent was resonant, even in the years immediately after the case's decision. And, some 12 years later, at the New York State Constitutional Convention of 1938, the view that there should be constitutional protection against governmental infringements of privacy not involving any offense against property found vindication in this state's analogue to the Fourth Amendment, only then adopted. Our constitutional

* The Court noted: ''The Amendment itself shows that the search is to be of material things—the person, the house, his papers or his effects. The description of the warrant necessary to make the proceeding lawful, is that it must specify the place to be searched and the person or *things* to be seized'' (277 US at 464).

provision (art I, § 12), in addition to tracking the language of the Fourth Amendment, provides:

> "The right of the people to be secure against unreasonable interception of telephone and telegraph communications shall not be violated, and ex parte orders or warrants shall issue only upon oath or affirmation that there is reasonable ground to believe that evidence of crime may be thus obtained, and identifying the particular means of communication, and particularly describing the person or persons whose communications are to be intercepted and the purpose thereof."

On the federal level, however, Brandeis's seminal and eloquent recognition that privacy and not property per se was the essential value protected by the Fourth Amendment was slower to find definitive doctrinal acceptance. Finally, however, in *Katz v United States* (389 US 347, 357 [1967]) the Supreme Court overruled *Olmstead*, holding:

> "[T]he underpinnings of *Olmstead* and *Goldman* have been so eroded by our subsequent decisions that the 'trespass' doctrine there enunciated can no longer be regarded as controlling. The Government's activities in electronically listening to and recording the petitioner's words violated the privacy upon which he justifiably relied while using the telephone booth and thus constituted a 'search and seizure' within the meaning of the Fourth Amendment. The fact that the electronic device employed to achieve that end did not happen to penetrate the wall of the booth can have no constitutional significance" (*id.* at 353).

Since *Katz*, the existence of a privacy interest within the Fourth Amendment's protective ambit has been understood to depend upon whether the individual asserting the interest has demonstrated a subjective expectation of privacy and whether that expectation would be accepted as reasonable by society (*see Katz*, 389 US at 361 [Harlan, J., concurring]). However, while *Katz* purported to deemphasize location as a determinant in judging the reach of the Fourth Amendment, the analysis it seemed to require naturally reintroduced considerations of place back into the calculus since the social reasonableness of an individual's expectation of privacy will quite often turn upon the quality of the space inhabited or traversed, i.e., whether it is public or private space. An individual has been held to have a significantly reduced expectation of privacy when passing along a public way, particularly in a motor vehicle.

The amalgam of issues with which we here deal, arising from the use of a new and potentially doctrine-forcing surveillance technology by government law enforcers to track movements over largely public terrain, was most significantly dealt with by the Supreme Court in the post-*Katz* era in *United States v Knotts* (460 US 276 [1983]). There, government agents placed a beeper in a five-gallon drum of chloroform to track the container's movements. They then followed the vehicle that transported the container using both visual surveillance and a monitor that received signals from the beeper. Although the officers lost sight of the vehicle, it was eventually located at Knotts's cabin. The Court noted that, although Knotts had an expectation of privacy in his cabin, there was no such expectation attending the movements of the vehicle transporting the container (*id.* at 282). "A person traveling in an automobile on public thoroughfares," the Court observed, "has no reasonable expectation of privacy in his [or her] movements from one place to another" (*id.* at 281). This was so, said the Court, because the particular route taken, stops made and ultimate destination are apparent to any member of the public who happens to observe the vehicle's movements (*see id.* at 281-282). The use of the beeper in addition to the visual surveillance did not change the Court's analysis: "Nothing in the Fourth Amendment prohibited the police from augmenting the sensory faculties bestowed upon them at birth with such enhancement as science and technology afforded them in this case" (*id.* at 282).

At first blush, it would appear that *Knotts* does not bode well for Mr. Weaver, for in his case, as in *Knotts*, the surveillance technology was utilized for the purpose of tracking the progress of a vehicle over what may be safely supposed to have been predominantly public roads and, as in *Knotts*, these movements were at least in theory exposed to "anyone who wanted to look" (*id.* at 281). This, however, is where the similarity ends.

Knotts involved the use of what we must now, more than a quarter of a century later, recognize to have been a very primitive tracking device. The device was, moreover, used in a focused binary police investigation for the discreet purpose of ascertaining the destination of a particular container of chloroform. And, in this application, during the single trip from the place where the chloroform was purchased to the Knotts cabin, the beeper was fairly described by the Court as having functioned merely as an enhancing adjunct to the surveilling officers' senses; the officers actively followed the vehicle and used the beeper as a means of maintaining and regaining actual visual contact with it. The technology was, in this context, not unconvincingly analogized by the Court to a searchlight, a marine glass, or a field glass (*id.* at 283, citing *United States v Lee*, 274 US 559, 563 [1927]).

Here, we are not presented with the use of a mere beeper to facilitate visual surveillance during a single trip. GPS is a vastly different and exponentially more sophisticated and powerful technology that is easily and cheaply deployed and has virtually unlimited and remarkably precise tracking capability. With the addition of new GPS satellites, the technology is rapidly improving so that any person or object, such as a car, may be tracked with uncanny accuracy to virtually any interior or exterior location, at any time and regardless of atmospheric conditions. Constant, relentless tracking of anything is now not merely possible but entirely practicable, indeed much more practicable than the surveillance conducted in *Knotts*. GPS is not a mere enhancement of human sensory capacity, it facilitates a new technological perception of the world in which the situation of any object may be followed and exhaustively recorded over, in most cases, a practically unlimited period. The potential for a similar capture of information or "seeing" by law enforcement would require, at a minimum, millions of additional police officers and cameras on every street lamp.

That such a surrogate technological deployment is not—particularly when placed at the unsupervised discretion of agents of the state "engaged in the often competitive enterprise of ferreting out crime" (*Johnson v United States*, 333 US 10, 14 [1948])—compatible with any reasonable notion of personal privacy or ordered liberty would appear to us obvious. One need only consider what the police may learn, practically effortlessly, from planting a single device. The whole of a person's progress through the world, into both public and private spatial spheres, can be charted and recorded over lengthy periods possibly limited only by the need to change the transmitting unit's batteries. Disclosed in the data retrieved from the transmitting unit, nearly instantaneously with the press of a button on the highly portable receiving unit, will be trips the indisputably private nature of which takes little imagination to conjure: trips to the psychiatrist, the plastic surgeon, the abortion clinic, the

AIDS treatment center, the strip club, the criminal defense attorney, the by-the-hour motel, the union meeting, the mosque, synagogue or church, the gay bar and on and on. What the technology yields and records with breathtaking quality and quantity is a highly detailed profile, not simply of where we go, but by easy inference, of our associations—political, religious, amicable and amorous, to name only a few—and of the pattern of our professional and avocational pursuits. When multiple GPS devices are utilized, even more precisely resolved inferences about our activities are possible. And, with GPS becoming an increasingly routine feature in cars and cell phones, it will be possible to tell from the technology with ever increasing precision who we are and are not with, when we are and are not with them, and what we do and do not carry on our persons—to mention just a few of the highly feasible empirical configurations.

Knotts, of course, opens by adverting to *Olmstead* and the eventual vindication of the *Olmstead* dissent in *Katz*, and there is every evidence from the decision that the Court was acutely aware of its obligation in the post-*Katz* era to assure, as one court has succinctly (and perhaps disapprovingly) put it, that Fourth Amendment jurisprudence ''keep[s] pace with the march of science'' (*United States v Garcia*, 474 F3d 994, 997 [7th Cir 2007, Posner, J.]). The science at issue in *Knotts* was, as noted, quite modest, amounting to no more than an incremental improvement over following a car by the unassisted eye (*see id.* at 998). This being so, the Court quite reasonably concluded that the technology ''*in this case*'' (*Knotts*, 460 US at 282 [emphasis added]) raised no Fourth Amendment issue, but pointedly acknowledged and reserved for another day the question of whether a Fourth Amendment issue would be posed if ''twenty-four hour surveillance of any citizen of this country [were] possible, without judicial knowledge or supervision'' (*id.* at 283). To say that that day has arrived involves no melodrama; 26 years after *Knotts*, GPS technology, even in its present state of evolution, quite simply and matter-of-factly forces the issue.

It would appear clear to us that the great popularity of GPS technology for its many useful applications may not be taken simply as a massive, undifferentiated concession of personal privacy to agents of the state. Indeed, contemporary technology projects our private activities into public space as never before. Cell technology has moved presumptively private phone conversation from the enclosure of *Katz*'s phone booth to the open sidewalk and the car, and the advent of portable computing devices has resituated transactions of all kinds to relatively public spaces. It is fair to say, and we think consistent with prevalent social views, that this change in venue has not been accompanied by any dramatic diminution in the socially reasonable expectation that our communications and transactions will remain to a large extent private. Here, particularly, where there was no voluntary utilization of the tracking technology, and the technology was surreptitiously installed, there exists no basis to find an expectation of privacy so diminished as to render constitutional concerns de minimis.

It is, of course, true that the expectation of privacy has been deemed diminished in a car upon a public thoroughfare. But, it is one thing to suppose that the diminished expectation affords a police officer certain well-circumscribed options for which a warrant is not required and quite another to suppose that when we drive or ride in a vehicle our expectations of privacy are so utterly diminished that we effectively consent to the unsupervised disclosure to law enforcement authorities of all that GPS technology can and will reveal. Even before the advent of GPS, it was recognized that a ride in a motor vehicle does not so completely deprive its occupants of any reasonable expectation of privacy:

> ‘‘An individual operating or traveling in an automobile does not lose all reasonable expectation of privacy simply because the automobile and its use are subject to government regulation. Automobile travel is a basic, pervasive, and often necessary mode of transportation to and from one’s home, workplace, and leisure activities. Many people spend more hours each day traveling in cars than walking on the streets. Undoubtedly, many find a greater sense of security and privacy in traveling in an automobile than they do in exposing themselves by pedestrian or other modes of travel. Were the individual subject to unfettered governmental intrusion every time he entered an automobile, the security guaranteed by the Fourth Amendment would be seriously circumscribed. As *Terry v Ohio* . . . recognized, people are not shorn of all Fourth Amendment protection when they step from their homes onto the public sidewalks. Nor are they shorn of those interests when they step from the sidewalks

> into their automobiles. See *Adams* v. *Williams*, 407 U. S. 143, 146 (1972)'' (*Delaware v Prouse*, 440 US 648, 662-663 [1979]).

This view has recently been reaffirmed by the Supreme Court in *Arizona v Gant* (556 US —, 129 S Ct 1710 [2009]), where the Court, in addressing the scope of the search incident to arrest exception to the warrant requirement in the context of a vehicle stop, had occasion to observe, ''the State seriously undervalues the privacy interests at stake. Although we have recognized that a motorist's privacy interest in his vehicle is less substantial than in his home . . . the former interest is nevertheless important and deserving of constitutional protection'' (556 US at —, 129 S Ct at 1720). And, we, of course, have held in reliance upon our own Constitution that the use of a vehicle upon a public way does not effect a complete surrender of any objectively reasonable, socially acceptable privacy expectation (*People v Class*, 63 NY2d 491, 495 n 3 [1984], *revd* 475 US 106 [1986], *on remand* 67 NY2d 431 [1986] [adhering to determination of state constitutional law]).

The residual privacy expectation defendant retained in his vehicle, while perhaps small, was at least adequate to support his claim of a violation of his constitutional right to be free of unreasonable searches and seizures. The massive invasion of privacy entailed by the prolonged use of the GPS device was inconsistent with even the slightest reasonable expectation of privacy.

While there may and, likely will, be exigent situations in which the requirement of a warrant issued upon probable cause authorizing the use of GPS devices for the purpose of official criminal investigation will be excused, this is not one of them. Plainly, no emergency prompted the attachment of the Q-ball to defendant's van. Indeed, upon this record, it is impossible to discern any reason, apart from hunch or curiosity, for the Q-ball's placement. But even if there were some retrospectively evident reason for the use of the device, it could not validate the search. ''Over and again [the Supreme] Court has emphasized that the mandate of the (Fourth) Amendment requires adherence to judicial processes, and that searches conducted outside the judicial process, without prior approval by judge or magistrate, are per se unreasonable under the Fourth Amendment—subject only to a few specifically established and well-delineated exceptions'' (*Katz*, 389 US at 357 [citations and internal quotation marks omitted]). The placement of the Q-ball and the ensuing disclosure of defendant's movements over a 65-day period comes within no exception to the warrant requirement, and the People do not contend otherwise. They contend only that no search occurred, a contention that we find untenable.

In reaching this conclusion, we acknowledge that the determinative issue remains open as a matter of federal constitutional law, since the United States Supreme Court has not yet ruled upon whether the use of GPS by the state for the purpose of criminal investigation constitutes a search under the Fourth Amendment, and, indeed, the issue has not yet been addressed by the vast majority of the Federal Circuit Courts. Thus, we do not presume to decide the question as a matter of federal law. The very same principles are, however, dispositive of this matter under our State Constitution. If, as we have found, defendant had a reasonable expectation of privacy that was infringed by the State's placement and monitoring of the Q-ball on his van to track his movements over a period of more than two months, there was a search under article I, § 12 of the State Constitution. And that search was illegal because it was executed without a warrant and without justification under any exception to the warrant requirement. In light of the unsettled state of federal law on the issue, we premise our ruling on our State Constitution alone.

We note that we have on many occasions interpreted our own Constitution to provide greater protections when circumstances warrant and have developed an independent body of state law in the area of search and seizure (*see e.g. People v Scott*, 79 NY2d 474 [1992]; *People v Harris*, 77 NY2d 434 [1991]; *People v Dunn*, 77 NY2d 19 [1990]; *People v Torres*, 74 NY2d 224, 228 [1989]). We have adopted separate standards "when doing so best promotes 'predictability and precision in judicial review of search and seizure cases and the protection of the individual rights of our citizens' " (*People v P.J. Video*, 68 NY2d 296, 304 [1986] [citations omitted]). What we articulate today may or may not ultimately be a separate standard. If it is, we believe the disparity would be justified. The alternative would be to countenance an enormous unsupervised intrusion by the police agencies of government upon personal privacy and, in this modern age where criminal investigation will increasingly be conducted by sophisticated technological means, the consequent marginalization of the State Constitution and judiciary in matters crucial to safeguarding the privacy of our citizens.

At a similar crossroads, Justice Brandeis in *Olmstead* queried, "[c]an it be that the Constitution affords no protection against such invasions of individual security?'' (277 US at 474.) We today, having understood the lesson of *Olmstead*, reply ''no,'' at least not under our State Constitution. Leaving the matter to the Legislature would be defensible only upon the ground that there had been no intrusion upon defendant's privacy qualifying as an article I, § 12 ''search.'' Nothing prevents the Legislature from acting to regulate the use of GPS devices within constitutional limits, but, we think it manifest that the continuous GPS surveillance and recording by law enforcement authorities of the defendant's every automotive movement cannot be described except as a search of constitutional dimension and consequence.

Contrary to the dissenting views, the gross intrusion at issue is not less cognizable as a search by reason of what the Legislature has or has not done to regulate technological surveillance. Nor does the bare preference for legislatively devised rules and remedies in this area constitute a ground for treating the facts at bar as of subconstitutional import. Before us is a defendant whose movements have, for no apparent reason, been tracked and recorded relentlessly for 65 days. It is quite clear that this would not and, indeed, realistically could not have been done without GPS and that this dragnet use of the technology at the sole discretion of law enforcement authorities to pry into the details of people's daily lives is not consistent with the values at the core of our State Constitution's prohibition against unreasonable searches.

We find persuasive the conclusions of other state courts that have addressed this issue and have held that the warrantless use of a tracking device is inconsistent with the protections guaranteed by their state constitutions (*State v Jackson*, 150 Wash 2d 251, 76 P3d 217 [2003]; *State v Campbell*, 306 Or 157, 759 P2d 1040 [1988]). The corresponding provision of the Washington State Constitution differs from and has been held to be more protective than the Fourth Amendment. However, the court noted that the use of a GPS device was not merely an augmentation of an officer's senses (*see Jackson*, 150 Wash 2d at 261-262, 76 P3d at 223) and that the means of surveillance allowed the government to access an enormous amount of additional information, including a person's associations and activities (*see* 150 Wash 2d at 260, 76 P3d at 222). The court concluded that ''citizens of this State have a right to be free from the type of governmental intrusion that occurs when a GPS device is attached to a citizen's vehicle, regardless of reduced privacy expectations due to advances in technology'' and that a warrant was needed before such a device could be installed (150 Wash 2d at 264, 76 P3d at 224).

Similarly, the Supreme Court of Oregon held that the government's use of a radio transmitter to monitor the location of defendant's car was a search under the State Constitution as it was a significant limitation on the defendant's freedom from scrutiny (*Campbell*, 306 Or at 171, 759 P2d at 1048), and that the warrantless use of the transmitter in the absence of exigent circumstances was ''nothing short of a staggering limitation upon personal freedom'' (306 Or at 172, 759 P2d at 1049).

Technological advances have produced many valuable tools for law enforcement and, as the years go by, the technology available to aid in the detection of criminal conduct will only become more and more sophisticated. Without judicial oversight, the use of these powerful devices presents a significant and, to our minds, unacceptable risk of abuse. Under our State Constitution, in the absence of exigent circumstances, the installation and use of a GPS device to monitor an individual's whereabouts requires a warrant supported by probable cause.

In light of this disposition, it is not necessary to address defendant's remaining contentions.

Accordingly, the order of the Appellate Division should be reversed, defendant's motion to suppress the evidence obtained from the GPS device should be granted and a new trial ordered.

SMITH, J. (dissenting). Using a GPS device, the police discovered that defendant's car was in a K-Mart parking lot on Christmas Eve. This was obviously not a private place, and no one claims that defendant's constitutional rights would be infringed if his car had been observed there by a human eye or a hidden camera. But the majority finds that evidence of the car's location must be suppressed because the police used a more technologically sophisticated way of obtaining it. I think this holding is unsound. The attempt to find in the Constitution a line between ordinary, acceptable means of observation and more efficient, high-tech ones that cannot be used without a warrant seems to me illogical, and doomed to fail.

I am more troubled by another aspect of the case: the surreptitious attachment of the device to the car, without the car owner's consent. (This event is highlighted in the first sentence of the majority's opinion, but goes virtually unmentioned after that.) I conclude, with some hesitation, that this trespass, though a violation of defendant's property rights, did not violate his right to be free from unreasonable searches.

I

It is beyond any question that the police could, without a warrant and without any basis other than a hunch that defendant was up to no good, have assigned an officer, or a team of officers, to follow him everywhere he went, so long as he remained in public places. He could have been followed in a car or a helicopter; he could have been photographed, filmed or recorded on videotape; his movements could have been reported by a cellular telephone or two-way radio. These means could have been used to observe, record and report any trips he made to all the places the majority calls ''indisputably private,'' from the psychiatrist's office to the gay bar (majority op at 441-442). One who travels on the public streets to such destinations takes the chance that he or she will be observed. The Supreme Court was saying no more than the obvious when it said that a person's movements on public thoroughfares are not subject to any reasonable expectation of privacy (*United States v Knotts*, 460 US 276, 281 [1983], quoted in majority op at 440). What, then, is the basis for saying that using a GPS device to obtain the same information requires a warrant?

The majority's answer is that the GPS is new, and vastly more efficient than the investigative tools that preceded it. This is certainly true—but the same was true of the portable camera and the telephone in 1880, the automobile in 1910 and the video camera in 1950. Indeed, the majority distinguishes *Knotts* on the ground that it involved a beeper—''what we must now . . . recognize to have been a very primitive tracking device'' (majority op at 440). I suspect that the GPS used in this case will seem primitive a quarter of a century from now. Will that mean that police will then be allowed to use it without a warrant?

The proposition that some devices are too modern and sophisticated to be used freely in police investigation is not a defensible rule of constitutional law. As technology improves, investigation becomes more efficient—and, as long as the investigation does not invade anyone's privacy, that may be a good thing. It bears remembering that criminals can, and will, use the most modern and efficient tools available to them, and will not get warrants before doing so. To limit police use of the same tools is to guarantee that the efficiency of law enforcement will increase more slowly than the efficiency of law breakers. If the people of our state think it worthwhile to impose such limits, that should be done through legislation, not through ad hoc constitutional adjudication, for reasons well explained in Judge Read's dissent (Read, J., dissenting at 457-459).

The Federal and State Constitutions' prohibition of unreasonable searches should be enforced not by limiting the technology that investigators may use, but by limiting the places and things they may observe with it. If defendant had been in his home or some other private place, the police would, absent exigent circumstances, need a warrant to follow him there, whether by physical intrusion or by the use of sophisticated technology (*see Kyllo v United States*, 533 US 27 [2001] [use of thermal-imaging device to detect relative amounts of heat in the home an unlawful search]; *United States v Karo*, 468 US 705, 714 [1984] [monitoring a beeper in a private home violates the rights of those justifiably expecting privacy there]). But the police were free, without a warrant, to use any means they chose to observe his car in the K-Mart parking lot.

The theory that some investigative tools are simply too good to be used without a warrant finds no support in any authority interpreting the Federal or New York Constitution. *Knotts*, despite the majority's attempt to distinguish it, seems to me to establish conclusively that the Fourth Amendment did not prohibit the police "from augmenting the sensory faculties bestowed upon them at birth with such enhancement as science and technology afforded them" (460 US at 282). And no New York authority suggests that we would reject *Knotts* as a matter of state constitutional law. *Knotts* was a unanimous decision as to its result (though three Justices declined to endorse the language I have quoted [460 US at 288 (Stevens, J., concurring)]); and, in my view, it was an easy one. If the majority is holding—as it apparently is—that police may never, in the absence of exigent circumstances or probable cause, track a suspect with a GPS device, it has imposed a totally unjustified limitation on law enforcement. It has also presented future courts with the essentially impossible task of deciding which investigative tools are so efficient and modern that they are subject to the same prohibition.

II

For the reasons explained above, I would have no problem at all with this case if the device had been attached to the car with the consent of the car's owner or co-owner, or if the police had found some other way to track defendant's movements electronically without trespassing on his property. But, like the majority, I do not care for the idea of a police officer—or anyone else—sneaking under someone's car in the middle of the night to attach a tracking device. I find this the hard aspect of the case (*cf. Knotts*, 460 US at 286 [Brennan, J., concurring] [''this would have been a much more difficult case if respondent had challenged, not merely . . . the monitoring of the beeper . . . but . . . its original installation'']), but I conclude, as did a federal Court of Appeals in a substantially identical case (*United States v Garcia*, 474 F3d 994 [7th Cir 2007]), that what the police did was not an unconstitutional search. (Defendant does not argue that the attachment of the device was a seizure of the car, and I do not consider that possibility.)

As the majority points out, the privacy protected by the constitutional prohibition of unreasonable searches and the property rights protected by the laws against trespass have been divorced for decades. The Supreme Court held in *Katz v United States* (389 US 347, 353 [1967]) that Fourth Amendment protections turn not on whether there was an intrusion upon private property but on whether government conduct ''violated the privacy upon which [a person] justifiably relied.'' The accepted test for whether there has been a ''search'' for Fourth Amendment purposes has become that stated in Justice Harlan's concurrence in *Katz*: Did government action invade a ''reasonable expectation of privacy'' (*id.* at 360; *see e.g. Samson v California*, 547 US 843, 847 [2006])? The test under the New York Constitution is the same (*e.g. People v Quackenbush*, 88 NY2d 534, 541 [1996]). The attachment of the GPS device in this case violated defendant's property rights, but it did not invade his privacy.

The device was attached to the outside of the car while it was parked on a public street. No one who chooses to park in such a location can reasonably think that the outside—even the underside—of the car is in a place of privacy. He may reasonably expect that strangers will leave his car alone, but that is not an expectation of privacy; it is an expectation of respect for one's property rights. This distinction is critical: ''the existence of a *property* interest does not mean that defendant also had a *privacy* interest protectable by the State and Federal guarantees against unreasonable searches and seizures'' (*People v Natal*, 75 NY2d 379, 383 [1990]; *see also People v Reynolds*, 71 NY2d 552 [1988]). No authority, so far as I know, holds that a trespass on private property, without more, is an unlawful search when the property is in a public place. Such a search occurs only when, as a result of the trespass, some information is acquired that the property owner reasonably expected to keep private (*e.g. Bond v United States*, 529 US 334 [2000] [suppression of drugs found in bus passenger's luggage]; *People v Hollman*, 79 NY2d 181 [1992] [same]).

I am admittedly relying on a fine distinction, but I think I am justified in doing so. When the government violates privacy, and not just property, rights, the exclusionary rule applies; that rule is a blunt instrument, whose effect is often to guarantee an unjust result in a criminal case—in Judge Cardozo's famous phrase, to set the criminal free because the constable has blundered (*People v Defore*, 242 NY 13, 21 [1926], *cert denied* 270 US 657 [1926]). The rule's application should not be expanded to punish every action by a police officer that a court may find distasteful; it should be strictly limited to the protection of constitutional rights—in this case, the privacy rights that are the concern of the Search and Seizure Clauses of the State and Federal Constitutions. Because no one invaded defendant's privacy here, his motion to suppress the evidence obtained from the GPS device should be denied.

READ, J. (dissenting). The majority opinion—while destined to elicit editorial approval—is wrong on the law and unnecessarily burdens law enforcement and the courts, and, more importantly, all New Yorkers. Although aspects of this case are indeed troubling—notably, the unexplained length of time (65 days) the GPS tracking device was affixed to defendant's van—I agree with Judge Smith that there was simply no search within the meaning of the Federal or State Constitution. I write separately to emphasize two untoward consequences of today's decision: first, our state constitutional jurisprudence has been brushed aside; second, we are handcuffing the Legislature by improperly constitutionalizing a subject more effectively dealt with legislatively than judicially in our system of government.

The Federal Background

To date, the United States Supreme Court has never defined a search within the meaning of the Fourth Amendment to encompass the government's use of tracking devices in lieu of or supplemental to visual surveillance, so long as the tracking occurs outside the home (*see United States v Knotts*, 460 US

276, 282-285 [1983] [monitoring of a tracking device that was inserted into a container but did not reveal information about the inside of a home merely substituted for or supplemented visual surveillance that would have revealed the same facts];[1] *United States v Karo*, 468 US 705, 714-715, 719 [1984] [transfer of a container with a tracking device inside is not a search nor was monitoring it outside the home; monitoring inside a home, however, is a search]; *Kyllo v United States*, 533 US 27, 34 [2001] [using a thermal-imaging device to ‘‘obtain( ) by sense-enhancing technology any information regarding the interior of the home that could not otherwise have been obtained without physical intrusion into a constitutionally protected area, constitutes a search—at least where . . . the technology in question is not in general public use’’ (internal quotation marks and citation omitted)]). As the majority points out, the Supreme Court has not decided the exact question on this appeal: whether the government's use of this particular technology—a GPS tracking device attached to a car—constitutes a search within the meaning of the Fourth Amendment.[2] Still, every lower court judge analyzing the likely outcome of this case as a matter of federal constitutional law has concluded, based on *Knotts* and *Karo* and *Kyllo*, that there was no Fourth Amendment violation. The majority therefore places this decision squarely on independent state constitutional grounds, holding that ‘‘there was a search

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1. The Court did *not*, in *Knotts*, ‘‘pointedly acknowledge[ ] and reserve[ ] for another day the question of whether a Fourth Amendment issue would be posed if ‘twenty-four hour surveillance of any citizen of this country [were] possible, without judicial knowledge or supervision’ ’’ (majority op at 442, quoting *Knotts*, 460 US at 283 [which, in turn, was quoting the respondent's brief in that case]). The Court merely noted that the *respondent* ‘‘expresse[d] the generalized view’’ that this would be the result of the holding sought by the government (460 US at 283). The Court responded that ‘‘if such *dragnet type* law enforcement practices as [the] respondent envisions should eventually occur, there will be time enough then to determine whether different constitutional principles may be applicable’’ (*id.* at 284 [emphasis added]; *see also United States v Garcia*, 474 F3d 994, 998 [7th Cir 2007] [After refusing to suppress evidence obtained from GPS tracking device placed on the defendant's car without a warrant, court observed that ‘‘(i)t would be premature to rule that . . . a program of mass surveillance could not possibly raise a question under the Fourth Amendment’’]). This case—like *Knotts* and *Garcia*—involves the use of GPS monitoring technology in the criminal investigation of an individual suspect, not dragnet-type or mass surveillance.

2. Despite an implication to the contrary, the Supreme Court's recent decision in *Arizona v Gant* (556 US —, 129 S Ct 1710 [2009]) does not support the majority's position. *Gant* addressed a search of the interior of a car, an unquestionably protected area. The decision suggests nothing about whether tracking the movements of a vehicle on public roadways constitutes a search under the Fourth Amendment.

under article I, § 12 of the State Constitution. And that search was illegal because it was executed without a warrant and without justification under any exception to the warrant requirement'' (majority op at 445).

Interpreting Our State Constitution

We set out our methodology for state constitutional interpretation in *People v P.J. Video* (68 NY2d 296, 302 [1986]), which described two bases for relying on independent state constitutional grounds: interpretive and noninterpretive review. Interpretive review essentially flows from textual differences between a provision of the State Constitution and its federal counterpart, and is not available here since the operative language of the Fourth Amendment and article I, section 12 is the same (*see People v Harris*, 77 NY2d 434, 437 [1991] [''Because the language of the Fourth Amendment . . . and section 12 of article I . . . is identical, it may be assumed, as a general proposition, that the two provisions confer similar rights'']). ''To contrast'' with interpretive analysis, we stated that

> ''noninterpetive review proceeds from a judicial perception of sound policy, justice and fundamental fairness. A noninterpretive analysis attempts to discover, for example, any preexisting State statutory or common law defining the scope of the individual right in question; the history and traditions of the State in its protection of the individual right; any identification of the right in the State Constitution as being one of peculiar State or local concern; and any distinctive attitudes of the State citizenry toward the definition, scope or protection of the individual right'' (*P.J. Video*, 68 NY2d at 303 [citation omitted]).

Here, the majority has not come close to justifying its holding as a matter of state constitutional law in the way called for by *P.J. Video*. First, the majority states that ''we have on many occasions interpreted our own Constitution to provide greater protections when circumstances warrant and have developed an independent body of state law in the area of search and seizure'' (majority op at 445). This is the assertion of a truism—i.e., that we can and have interpreted article I, section 12 more broadly than the Supreme Court has interpreted the Fourth Amendment. The majority does not identify, much less discuss, the ''circumstances'' requiring a departure from the federal approach here.

Next, the majority cites a number of cases where we have, in fact, parted ways with the Supreme Court (majority op at 445). But there is no discussion of how the *reasoning* of those cases—*Harris* (involving the defendant's arrest inside his apartment); *People v Dunn* (77 NY2d 19 [1990] [a ''canine sniff'' revealing the presence of drugs inside the defendant's apartment]); *People v Scott* (79 NY2d 474 [1992] [search of private land owned by the defendant]); and *People v Torres* (74 NY2d 224 [1989] [search of the interior passenger compartment of the defendant's car])—supports deviation from federal precedent in this case. A person's home has always enjoyed a special status as a haven from government intrusion under the Federal and State Constitutions, but in *Dunn* we concluded that the ''canine sniff,'' although a search of the defendant's apartment within the meaning of article I, section 12, could ''be used *without a warrant or probable cause*, provided that the police ha[d] a reasonable suspicion that a residence contain[ed] illicit contraband'' (*Dunn*, 77 NY2d at 26 [emphasis added]). The majority does not explain why a much higher standard must now be met by law enforcement authorities to justify use of a GPS tracking device attached to a vehicle by a magnet. The majority does not explain how its holding fits in with those decisions where we have recognized the diminished expectation of privacy in a vehicle on a public highway (*see e.g. People v Yancy*, 86 NY2d 239 [1995]; *People v Scott*, 63 NY2d 518 [1984]; *People v Belton*, 55 NY2d 49 [1982]) or with the proposition that, generally, ''conduct and activity which is readily open to public view is not protected'' by the Fourth Amendment (*People v Reynolds*, 71 NY2d 552, 557 [1988]).

Finally, the majority adverts to the decisions of the highest courts in Washington and Oregon. But the majority does not explain how other state courts' decisions interpreting their own (and different) constitutions are possibly relevant to a noninterpretive analysis, which is explicitly keyed to factors *peculiar* to the State of New York.[3]

3. *State v Jackson* (150 Wash 2d 251, 76 P3d 217 [2003]) relied in large part on the broader language of the Washington State Constitution's search-and-seizure clause. And *State v Campbell* (306 Or 157, 759 P2d 1040 [1988]) rejected the reasonable-expectation-of-privacy test in *Katz v United States* (389 US 347, 360 [1967, Harlan, J., concurring]) in holding that the warrantless use of a GPS tracking device violated the Oregon State Constitution. The operative language of article I, section 12 of the New York State Constitution and the Fourth Amendment is—as previously noted—identical. Moreover, we

(n. cont'd)

The majority also ignores *People v Di Raffaele* (55 NY2d 234, 242 [1982]), where we declined ‘‘to establish a more restrictive standard under the provisions of section 12 of article I of the New York State Constitution’’ for telephone toll billing records, ‘‘concluding that there [was] no sufficient reason for . . . differentiation’’ from the Fourth Amendment. Similarly, we concluded that the police could place a pen register on a telephone line without a warrant (*People v Guerra*, 65 NY2d 60 [1985]). In *Guerra*, there concededly was no violation of the Fourth Amendment, and we rejected the defendant’s plea that article I, section 12 afforded greater protection.

As our case law now stands, then, the State Constitution does not require the police to obtain a warrant in order to follow or ‘‘tail’’ my car to an abortion clinic or a strip club (*see* majority op at 441-442). The police may gather such details as, for example, whether I was actually in the car for this trip, and, if so, whether I was the driver or a passenger, whether I was traveling alone or with others, whether I met anyone outside an abortion clinic or a strip club, and whether I walked inside these establishments, either by myself or accompanied. In addition, the police may photograph me while I am doing these things. A warrant is also not required by the State Constitution in order for the police to review telephone toll billing records or use a pen register and thereby find out how often someone (not necessarily me) calls an abortion clinic or a strip club from my residence. But, as a result of today’s decision, a warrant is mandated before the police may attach a GPS tracking device to my car and thereby discover if or how often someone (again, not necessarily me) drives my car by or parks it near an abortion clinic or a strip club. These results are difficult to reconcile; the Court seems to interpret article I, section 12 as affording the *greatest* state constitutional protection to the surveillance technique that garners the *least* specific information about ‘‘[t]he whole of [my] progress through the world’’ (majority op at 441).

The facts in this case illustrate how GPS monitoring technology is less revealing than old-fashioned physical surveillance. Defendant apparently owned two vehicles—a van and a Mercedes Benz automobile. The investigator from the New York State Police attached the battery-powered GPS tracking device to the van on December 21, 2005. The data subsequently

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have consistently adhered to the *Katz* test in determining whether a search has taken place, even when recognizing more expansive rights under our Constitution (*see Scott*, 79 NY2d at 486).

retrieved from the device showed that at 7:17 P.M. on December 24, 2005, the van moved from the street where defendant resided to the K-Mart's parking lot, returning at 7:55 P.M. The van then remained parked overnight, not moving again until 7:41 A.M. on December 26, 2005. In other words, defendant's van was nowhere near the K-Mart at the time the store was broken into at roughly 11:00 P.M. on Christmas Eve. The testimony of a witness was necessary for the jury to draw the inference that defendant had driven the van to scout out the K-Mart early on the evening of the break-in because the police did not actually see him behind the wheel. If the police had been watching defendant rather than just monitoring the movements of his van, they might have gathered direct proof of their theory of the crime: that late on Christmas Eve he drove his Mercedes to the K-Mart, and waited in the car while his accomplice burglarized the store.

According to the investigator, the State Police maintain a "small fleet of undercover cars," which may be made available to assist local police agencies with surveillance. The GPS monitoring technology used in this case was less intrusive or informative than physical surveillance of defendant would have been; it was a less optimal way for the police to figure out defendant's movements. But the State Police have limited resources. They may not always have personnel handy to engage in surveillance at the request of a local police agency, or a vehicle's location (for example, in a sparsely populated area) may make it difficult to trail or watch undetected. As Judge Smith observes, to limit police use of GPS monitoring technology, which is readily available to criminals, "guarantee[s] that the efficiency of law enforcement will increase more slowly than the efficiency of law breakers" (Smith, J., dissenting at 448).

Finally, the majority does not examine relevant state statutory law, as called for by noninterpretive analysis. In fact, the Legislature has enacted elaborate statutory provisions to regulate police surveillance; in particular, CPL articles 700 (eavesdropping and video surveillance warrants) and 705 (pen registers and trap and trace devices), adopted after our decision in *Guerra*. But Penal Law § 250.00 (5) (c) specifically states that an "[e]lectronic communication" does *not* include "any communication made through a tracking device consisting of an electronic or mechanical device which permits the tracking of the movement of a person or object." CPL article 700 only requires warrants for those electronic communications covered by Penal Law § 250.00 (5). In short, the warrant requirement pronounced by the majority today is contrary to, not consistent with, ''preexisting State statutory . . . law'' (*P.J. Video*, 68 NY2d at 303).

The analytical methodology embodied in our decision in *P.J. Video* has its critics (*see generally* James A. Gardner, Interpreting State Constitutions: A Jurisprudence of Function in a Federal System, at 41-45 [University of Chicago Press 2005]). And there are certainly alternative theories of state constitutional interpretation available for us to adopt (*id.*). Unless the Court frankly embraces another approach, however, we should decide our state constitutional cases in accordance with the principles enunciated in *P.J. Video*: precedent is not ''a custom [m]ore honored in the breach than the observance'' (Hamlet, act I, scene iv). By disregarding our precedent in this area, a methodology already seen by some as excessively malleable is rendered patently standardless. The public may be left with the impression that we do indeed treat the State Constitution as ''a handy grab bag filled with a bevy of clauses [to] be exploited in order to circumvent disfavored United States Supreme Court decisions'' (*see* Ronald K.L. Collins, *Reliance on State Constitutions—Away From a Reactionary Approach*, 9 Hastings Const LQ 1, 2 [1981]).

The Role of the Legislature

We are all familiar with GPS monitoring technology, which is widely used in modern society and serves many worthwhile purposes. For example, GPS tracking devices help us drive our automobiles without getting lost; they may be used to find a stolen vehicle; they assist employers in routing their fleet vehicles and knowing the location of their employees; they can identify the location of miners who are trapped underground as a result of an accident; they may pinpoint the whereabouts of an errant pet; and parents may install GPS devices on their children's cell phones so as to keep track of them.

Certainly, GPS monitoring technology may be abused by law enforcement authorities. As a result, many states have enacted comprehensive legislation governing its use by police for investigative purposes. Generally speaking, these provisions require the police or a prosecutor to make an application to a judge before installing or using a mobile tracking device. The provisions differ considerably in terms of the quantum and nature of the proof required for judicial authorization; but they do not compel the high threshold insisted upon by the majority here.

For example, at one end of the spectrum are those states that permit the installation and use of a mobile tracking device upon a showing by the applicant ''that the information likely to be obtained is relevant to an ongoing criminal investigation'' (Utah Code Ann § 77-23a-15.5 [3] [b]; *see also* Minn Stat § 626A.37 [1]; Fla Stat § 934.42 [2] [b]). At the other end of the spectrum are those states requiring a showing of probable cause. But the probable cause in these statutes is not the same as that mandated by the majority here—probable cause to believe that installation of the GPS tracking device on a vehicle will disclose evidence of a crime. Rather, these states merely call for the applicant to certify that ''probable cause exists to believe that the information likely to be obtained [from installation and use of a mobile tracking device] is relevant to an ongoing criminal investigation'' (SC Code Ann § 17-30-140 [B] [2]; *see also* Okla Stat, tit 13, § 177.6 [A] [no warrant for tracking device ''shall issue unless probable cause is shown for believing that such installation or use will lead to the discovery of evidence, fruits, or instrumentalities of the commission or attempted commission of an offense'']; Haw Rev Stat § 803-44.7 [b] [judge should be satisfied ''that there are sufficient facts and circumstances contained within the application to establish probable cause to believe that the use of a mobile tracking device will discover the fruits, instrumentalities, or evidence of a crime or is relevant to an ongoing criminal investigation'']). In the middle of the spectrum are those states that apply a ''reasonable suspicion'' requirement. In Pennsylvania, for example, an applicant must ''provide a statement setting forth all facts and circumstances which provide the applicant with a reasonable suspicion that criminal activity has been, is or will be in progress and that the use of a mobile tracking device will yield information relevant to the investigation of criminal activity'' (18 Pa Cons Stat § 5761 [c] [4]; *see also* Tex Code Crim Proc Ann, art 18.21, § 14 [c] [5]).

Police surveillance techniques implicate competing values of great importance to all New Yorkers—privacy and security. Absent this decision, our Legislature would have been in a position to look at the variety of GPS-related investigative tools currently available to law enforcement authorities, balance these competing values and fashion a comprehensive regulatory program (*see e.g.* CPL arts 700 and 705) readily capable of amendment as the science evolves. As the variety of approaches enacted by our sister states' legislatures shows, there are numerous ways to deal with these issues.

Of course, the Legislature is still free to act in this area. But by constitutionalizing this particular GPS monitoring technology, my colleagues in the majority have defined what the Legislature cannot do in a fashion that may make little sense. For example, perhaps the most controversial aspect of this case was the length of time—65 days—the GPS tracking device remained attached to defendant's van. The Legislature might have considered whether to allow law enforcement (with or without a warrant) to place such a device on a vehicle for a limited period of time, based on a reasonable suspicion that this would produce information relevant to an investigation of criminal activity. Because of today's decision, however, this and any number of other potential options that the Legislature (and most New Yorkers) might view as respectful of both privacy and security are off the table: instead, law enforcement authorities will have to obtain a warrant based on probable cause to believe that installation of a GPS tracking device will disclose evidence of a crime. Further, different judges may impose different temporal or other restrictions in the warrant, creating a lack of uniformity even where GPS tracking is permitted. As a result, the utility of this particular GPS monitoring technology as a police investigative tool has been significantly diminished. In effect, by torturing precedent to ''find'' a new subject of state constitutional protection, the majority has limited the Legislature's liberty to act in the best interests of the state's citizens as a whole.

Conclusion

Surely, it is up to the judiciary to protect New Yorkers' individual constitutional rights—there is no doubt whatsoever about that; surely, we may establish a greater level of protection under our State Constitution for those rights than the Supreme Court recognizes under a parallel provision of the national Constitution—equally, there is no doubt whatsoever about that; and surely, technological advances may threaten individual privacy by enabling otherwise prohibitively costly surveillance. As a result, safeguards against potential government (and perhaps private[4]) abuse of these technologies should be explored in New York: protections have, after all, been put into place by many other states' legislatures. But as the majority opinion's thin legal analysis and Judge Smith's dissent show, federal and New York precedents do not transmute GPS-assisted monitoring for information that could have been easily gotten by traditional physical surveillance into a constitutionally prohibited search. By ruling otherwise, the majority calls the Court's institutional integrity into question, and denies New Yorkers the full benefit of the carefully wrought balance between privacy and security interests that other states have struck for their citizens through legislation. For these reasons and those expressed by Judge Smith, I respectfully dissent.

Judges CIPARICK, PIGOTT and JONES concur with Chief Judge LIPPMAN; Judge SMITH dissents in a separate opinion in which Judges GRAFFEO and READ concur; Judge READ dissents in another opinion in which Judge GRAFFEO concurs.

Order reversed, etc.

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4. The ''Q-ball'' involved in this case is apparently relatively cheap and widely available to the public (*see Kyllo*, 533 US at 34 [suggesting that law enforcement does not engage in a constitutionally prohibited search when it uses technology readily accessible to the public]). There is no reason to doubt that private citizens (say, for example, a suspicious spouse) have used these GPS tracking devices to surreptitiously monitor the movements of fellow citizens' vehicles. Today's decision does nothing to prevent this from happening or to curb its incidence.

[909 NE2d 66, 881 NYS2d 373]

JANET M. JOHNSON, Respondent-Appellant, v ALLAN M. CHAPIN, Appellant-Respondent.

Argued March 31, 2009; decided May 7, 2009

SUMMARY

CROSS APPEALS, by defendant as of right and by plaintiff by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered March 13, 2008. The Appellate Division, with two Justices dissenting, modified, on the law and the facts, (1) a judgment of the Supreme Court, New York County (John E. H. Stackhouse, J.), entered May 17, 2005 after a nonjury trial, which had dissolved the parties' marriage, determined custody and visitation rights with respect to the parties' child, distributed the marital and separate property, directed defendant to pay plaintiff maintenance, directed defendant to pay plaintiff child support, directed defendant to provide health insurance coverage for the child and pay all uncovered medical expenses, private school tuition, and camp costs, directed defendant to obtain life insurance, awarded plaintiff arrears due under the pendente lite order, and awarded plaintiff her reasonable counsel and expert fees to be subsequently determined by a referee, and (2) a judgment of that court entered September 23, 2005, which had awarded plaintiff the principal sum of $885,000 for counsel and expert fees. The modification consisted of reducing plaintiff's share of the enhanced value of certain Claverack property to 25%; vacating the credit to plaintiff for 50% of the difference between the sum expended on the Claverack renovations and the property's appreciated value; and crediting defendant $548,460 for excess temporary maintenance payments and $484,370.50 for 50% of the mortgage and maintenance paid for a Fifth Avenue cooperative during the pendency of the divorce action. The following question was certified by the Appellate Division, "Was the order of this Court, which modified the judgment of the Supreme Court, properly made?"

Johnson v Chapin, 49 AD3d 348, modified.

HEADNOTES

Husband and Wife — Equitable Distribution — Credit for Pendente Lite Maintenance in Excess of Final Maintenance Award

1. In determining the equitable distribution of the parties' property, Supreme Court did not abuse its discretion in giving defendant a credit

representing the amount of the pendente lite maintenance he paid that exceeded what he was required to pay under the final maintenance award. Supreme Court had imputed an average salary in excess of $2 million to defendant when it determined the temporary maintenance award, but it was established at trial that his income was significantly lower. Given the disparity in the maintenance amounts, it was appropriate for defendant to receive a credit.

Husband and Wife — Equitable Distribution — Credit for Pendente Lite Child Support in Excess of Final Child Support Award

2. In a divorce action defendant was not entitled to a credit for excess interim child support payments. There is a strong public policy against restitution or recoupment of support overpayments, and nothing in the record showed that it was error to deny such relief.

Husband and Wife — Equitable Distribution — Appreciation in Value of Separate Property

3. In determining the equitable distribution of the real property owned by defendant prior to the parties' marriage and significantly renovated and improved during the marriage, Supreme Court properly held that the improvements were marital, as the increase in the property was a result of both parties' efforts. Supreme Court, however, awarded plaintiff 50% of the property appreciation, and the Appellate Division did not abuse its discretion in reducing the award to 25% of the property appreciation. Defendant's income was the sole source of the funds expended on the property, and his involvements in the renovations were far more extensive than plaintiff's.

Husband and Wife — Counsel Fees

4. Having considered the parties' financial positions as well as the delay incurred as a result of defendant's obstructionist tactics, Supreme Court did not abuse its discretion in awarding plaintiff counsel and expert fees in her action for divorce.

Husband and Wife — Equitable Distribution — Credit for Marital Funds Used to Pay Maintenance to Prior Spouse

5. Plaintiff was not entitled to an equitable distribution credit for 50% of the money paid during the marriage towards defendant's premarital obligations to pay his first wife for maintenance and equitable distribution.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Divorce and Separation §§ 467, 468, 470, 479, 482, 484, 486, 496, 515, 522, 587, 589, 609–612, 618–621, 623.

CARMODY-WAIT 2d, Spousal Support, Counsel Fees, Child Support, and Property Distribution in Matrimonial Actions §§ 118:30, 118:32, 118:98, 118:140, 118:151, 118:162, 118:186, 118:195, 118:219, 118:221, 118:225.

3B LAW AND THE FAMILY NEW YORK (2d ed) §§ 19:11, 19:38.

NY JUR 2d, Domestic Relations §§ 2499, 2523, 2524, 2576, 2580, 2589, 2591, 2637, 2644, 2645, 2651.

ANNOTATION REFERENCE

See ALR Index under Custody and Support of Children; Divorce and Separation; Equitable Distribution.

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Query: equitable /2 distribution /s pendente /5 maintenance /p adjust! credit!

POINTS OF COUNSEL

McDermott Will & Emery LLP, New York City (*Daniel N. Jocelyn, Elliot Silverman* and *Susan S. Casero* of counsel), for appellant-respondent. I. The lower courts' imposition of a ''remarriage penalty'' should be reversed. (*Hartog v Hartog,* 85 NY2d 36; *Nicholson v Nicholson,* 288 AD2d 743; *O'Brien v O'Brien,* 66 NY2d 576; *Willis v Willis,* 107 AD2d 867; *Kohl v Kohl,* 24 AD3d 219; *K. v B.,* 13 AD3d 12, 4 NY3d 776; *Rivera v Rivera,* 206 AD2d 970; *Matter of Andrea v Andrea,* 152 Misc 2d 100; *Lewis v Lewis,* 6 AD3d 837; *Micha v Micha,* 213 AD2d 956.) II. The trial court erred in awarding Janet Johnson attorneys' and experts' fees. (*DeCabrera v Cabrera-Rosete,* 70 NY2d 879; *Filkins v Filkins,* 303 AD2d 934; *Griggs v Griggs,* 44 AD3d 710; *Bennett v Bennett,* 13 AD3d 1080, 6 NY3d 708; *Celauro v Celauro,* 295 AD2d 388; *Newton v Newton,* 246 AD2d 765, 91 NY2d 813.) III. Allan Chapin should have received a distributive credit for excess child support paid under the pendente lite award. (*Pickard v Pickard,* 33 AD3d 202, 7 NY3d 897; *Fox v Fox,* 306 AD2d 583, 1 NY3d 622; *Galvano v Galvano,* 303 AD2d 206; *Gad v Gad,* 283 AD2d 200.)

Sheresky Aronson Mayefsky & Sloan, LLP, New York City (*Allan E. Mayefsky, Lawrence B. Trachtenberg, Ronnie M. Schindel* and *John A. Kornfeld* of counsel), for respondent-appellant. I. The trial court properly reduced appellant's separate property credits by reason of his use of marital funds to pay down premarital debt. (*Dewell v Dewell,* 288 AD2d 252; *Lewis v Lewis,* 6 AD3d 837; *Micha v Micha,* 213 AD2d 956; *Markopoulos v Markopoulos,* 274 AD2d 457; *Kilkenny v Kilkenny,* 54 AD3d 816; *Mahoney-Buntzman v Buntzman,* 51 AD3d 732, 11 NY3d 706.) II. The award of legal fees to respondent was proper and should be affirmed. (*Matter of De Zimm v Connelie,* 64 NY2d 860; *Matter of Von Bulow,* 63 NY2d 221; *DeCabrera v Cabrera-Rosete,* 70 NY2d 879; *Cooper v Cooper,* 32 AD3d 376; *Polychronopoulos v Polychronopoulos,* 226 AD2d 354; *De Bernardo v*

De Bernardo, 180 AD2d 500; *Sim v Sim,* 248 AD2d 781; *Finkelson v Finkelson,* 239 AD2d 174; *Madori v Madori,* 201 AD2d 859; *Kaplan v Kaplan,* 21 AD3d 993.) III. A child support credit is not appropriate. (*Baraby v Baraby,* 250 AD2d 201; *Samu v Samu,* 257 AD2d 656; *Du Jack v Du Jack,* 243 AD2d 908; *Rosenberg v Rosenberg,* 42 AD2d 590; *Grossman v Ostrow,* 33 AD2d 1006.) IV. Appellant improperly received a credit of $548,460 for interim spousal maintenance paid pursuant to a court order. (*Galvano v Galvano,* 303 AD2d 206; *Gad v Gad,* 283 AD2d 200; *Pascazi v Pascazi,* 52 AD3d 664; *Nayar v Nayar,* 225 AD2d 370; *Annexstein v Annexstein,* 202 AD2d 1060; *Colley v Colley,* 200 AD2d 839; *Azizo v Azizo,* 51 AD3d 438; *Wechsler v Wechsler,* 58 AD3d 62; *Johnson v Chapin,* 49 AD3d 348.) V. The Appellate Division improperly diminished respondent's distributive percentage of the Claverack estate. (*Hartog v Hartog,* 85 NY2d 36; *Price v Price,* 69 NY2d 8; *Parise v Parise,* 13 AD3d 504; *LeRoy v LeRoy,* 274 AD2d 362; *Zelnik v Zelnik,* 169 AD2d 317; *Richards v Richards,* 207 AD2d 628; *Kilkenny v Kilkenny,* 54 AD3d 816.)

OPINION OF THE COURT

PIGOTT, J.

Husband and wife were married in January 1991 and have one child. Husband has four children from a previous marriage and is required to pay maintenance, child support and an equitable distribution award.

At the time the parties married, both were working attorneys. Wife stopped working outside the home when the parties' son was three years old. Husband was a partner at a law firm from 1968 until 1999, and thereafter became a managing director at a major investment banking firm until 2001. Husband also earned additional income by serving on the board of directors of several publicly-traded companies.

Prior to the marriage, husband owned a home on approximately 160 acres of land in Claverack, New York. During the marriage the parties spent approximately $2 million to renovate and improve the property. While husband played a larger role in these improvements, wife also participated in some of the project's details.

In November 2001, wife commenced this action for divorce after discovering husband was having an extramarital affair. Prior to trial, she made an application for interim maintenance and child support. Supreme Court imputed an average annual income of $2,273,680 to husband and ordered him to pay $18,465 monthly maintenance to wife and child support of

$10,625 per month. Husband was also ordered to pay the wife interim counsel fees of $100,000.

Wife was awarded a judgment of divorce on the grounds of cruel and inhuman treatment. A 14-day trial ensued on the issues of equitable distribution, maintenance and child support.

As relevant to this appeal, the court recognized that the Claverack property was the husband's separate property, but held the funds spent on the renovations to be marital property subject to equitable distribution. The court awarded 50% of the appreciation of the Claverack estate to wife.

The court also credited wife with 50% of the marital property husband used to pay the maintenance and equitable distribution obligations to his first wife.

After considering that wife had not worked outside the home for nine years and that it would take six years to develop her career, the court awarded wife durational maintenance of $6,000 per month for six years.

Finally, the court awarded wife legal fees and expert fees to be determined by a referee due in part to the fact that wife and her son "have suffered day to day crises resulting from the [husband's] harassment of them."

The Appellate Division modified the judgment of Supreme Court on both the law and the facts by, among other things, reducing the wife's share of the enhanced value of the Claverack property to 25% and by crediting husband for his pendente lite maintenance obligations (49 AD3d 348 [2008]). Two Justices dissented.

The majority noted that husband had consistently been less than forthcoming regarding his income and that Supreme Court had found him incredible in the reporting of his income and assets (*id.* at 360-361). The majority therefore upheld the imposition of legal and expert fees on husband, noting that he "engaged in a pattern of obstructionist conduct which unnecessarily delayed and increased the legal fees incurred in the litigation" (*id.* at 361).

Husband appealed as of right based on the two-Justice dissent and the Appellate Division granted wife leave to cross-appeal.

Pendente Lite Support

[1] The Domestic Relations Law provides: "[i]n determining an equitable disposition of property . . . , the court shall consider: . . . any award of maintenance'' (Domestic Relations Law § 236 [B] [5] [d] [5]). When a pendente lite award of maintenance is found at trial to be excessive or inequitable, the Court may make an appropriate adjustment in the equitable distribution award (*see Gad v Gad*, 283 AD2d 200 [1st Dept 2001]; *Galvano v Galvano*, 303 AD2d 206 [1st Dept 2003]; *Fox v Fox*, 306 AD2d 583 [3d Dept 2003]). Supreme Court did not abuse its discretion in giving husband a credit representing the amount of the pendente lite maintenance he paid that exceeded what he was required to pay under the final maintenance award. In determining the temporary maintenance award, Supreme Court imputed an average salary in excess of $2 million to husband. However, at trial, it was established that his income was significantly lower. Given the disparity in the maintenance amounts, under the circumstances of this case, it was appropriate for husband to receive a credit.

Interim Child Support

[2] As it pertains to husband's claim that he should be entitled to a credit for excess child support payments, we reject that claim. It has long been held that there is a ''strong public policy against restitution or recoupment of support overpayments'' (*Baraby v Baraby*, 250 AD2d 201, 205 [3d Dept 1998]; *Rosenberg v Rosenberg*, 42 AD2d 590 [2d Dept 1973]); and nothing in this record shows it was error to deny that relief.

Valuing Separate Property

Under the equitable distribution statute, separate property is defined to include an increase in value of separate property, except to the extent that such appreciation is due in part to the contributions or efforts of the other spouse (Domestic Relations Law § 236 [B] [1] [d] [3]). Thus, any appreciation in the value of separate property due to the contributions or efforts of the nontitled spouse will be considered marital property (*Price v Price*, 69 NY2d 8 [1986]). This includes any direct contributions to the appreciation, such as when the nontitled spouse makes financial contributions towards the property, as well as when the nontitled spouse makes direct nonfinancial contributions, such as by personally maintaining, making improvements to, or renovating a marital residence (*see generally Price v Price*, 69 NY2d at 17-18).

[3] Here, Supreme Court properly held that the improvements were marital, since the increase in the property was a result of both parties' efforts. We find that the Appellate Division did not abuse its discretion in reducing the award to wife from 50% to 25% of the property appreciation. Husband's income was the sole source of the funds expended on the property and, as admitted by wife, husband's involvements in the renovations were far more extensive.

Attorney's Fees

Pursuant to Domestic Relations Law § 237 (a), a court in a divorce action may award counsel fees to a spouse "to enable that spouse to carry on or defend the action or proceeding as, in the court's discretion, justice requires, having regard to the circumstances of the case and of the respective parties." We have held that when "exercising its discretionary power to award counsel fees, a court should review the financial circumstances of both parties together with all the other circumstances of the case, which may include the relative merit of the parties' positions" (*DeCabrera v Cabrera-Rosete*, 70 NY2d 879, 881 [1987]).

[4] Here, when awarding the fees, the court considered the parties' financial positions as well as the delay incurred as a result of husband's obstructionist tactics. Thus, we decline to disturb those awards.

Prior Maintenance and Equitable Distribution

[5] Finally, we hold that wife was not entitled to the 50% credit representing the money paid during the marriage towards husband's premarital obligations to pay his first wife for maintenance and equitable distribution (*see Mahoney-Buntzman v Buntzman*, 12 NY3d 415 [2009] [decided today]).

Accordingly, the order of the Appellate Division should be modified, without costs, by remitting to Supreme Court for further proceedings in accordance with this opinion and, as so modified, affirmed. The certified question should be not answered upon the ground that it is unnecessary.

Judges CIPARICK, GRAFFEO, READ, SMITH and JONES concur; Chief Judge LIPPMAN taking no part.

Order modified, etc.

[909 NE2d 1224, 882 NYS2d 386]

MORRIS I. GLETZER, Also Known as MORRIS I. GLECER, Plaintiff, v AMOS HARRIS, Defendant.

GREENPOINT MORTGAGE FUNDING, INC., et al., Respondents, v MORRIS I. GLETZER, Also Known as MORRIS I. GLECER, Appellant, and AMOS HARRIS et al., Respondents.

Argued April 1, 2009; decided May 12, 2009

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered March 13, 2008. The Appellate Division order, insofar as appealed from, (1) reversed, on the law, an order of the Supreme Court, New York County (Herman Cahn, J.; op 16 Misc 3d 1114[A], 2007 NY Slip Op 51416[U]), which had denied the petition to vacate the nunc pro tunc entry of a renewal judgment of respondent Morris I. Gletzer or, alternatively, for a determination that the liens of petitioners' mortgages were superior to the lien of the renewal judgment of respondent Gletzer against respondent Amos Harris; (2) granted the petition; (3) vacated the nunc pro tunc entry of Gletzer's renewal judgment and provided instead that the renewal judgment be entered as of the date the relief was granted; and (4) declared that petitioners' mortgages had priority over Gletzer's lien.

Gletzer v Harris, 51 AD3d 196, affirmed.

HEADNOTE

Liens — Priority — Renewal Lien

A renewal lien secured pursuant to CPLR 5014 for a second 10-year period became effective when granted by Supreme Court more than three years after expiration of the original lien and did not take effect nunc pro tunc on the expiration date of the original lien. Thus, the property interests of intervening mortgagees were not cut off. Nunc pro tunc treatment was inappropriate where additional lenders relying on the public record acquired rights in the property during the lien gap period. CPLR 5014 affords a judgment creditor a full year to renew his or her lien without suffering a lien gap, and does not provide for a renewal judgment to have retroactive effect to the original lien's expiration date. The language of the statute, providing that ''[t]he lien of the renewal judgment shall take effect upon the expiration of ten years from the first docketing of the original judgment,'' is prospective, and allows a renewal lien, obtained before the original lien terminates, to become effective once the original lien expires, so as not to shorten the original lien period and give the judgment creditor a full 10 years of new lien.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

Am Jur 2d, Judgments §§ 350, 365–368, 379, 380; Am Jur 2d, Liens § 68.

Carmody-Wait 2d, Action on Judgment §§ 67:3, 67:4, 67:9.

McKinney's, CPLR 5014.

NY Jur 2d, Enforcement and Execution of Judgments §§ 21, 22, 25, 32; NY Jur 2d, Judgments § 62; NY Jur 2d, Liens § 46.

Siegel, NY Prac § 434.

ANNOTATION REFERENCE

See ALR Index under Judgment Liens; Judgments, Orders, and Decrees; Liens and Encumbrances.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS
Query: lien /4 renew! & effective

POINTS OF COUNSEL

Altman Schochet LLP, New York City (*Zalman Schochet* and *Michael A. Valentine* of counsel), for appellant. I. The Appellate Division's decision must be reversed because CPLR 5014 mandates nunc pro tunc treatment of renewal judgment liens. (*Brookhaven Mem. Hosp. v Hoppe,* 65 Misc 2d 1000; *Matter of Grand Jury Subpoena Duces Tecum Served on Museum of Modern Art*, 93 NY2d 729.) II. The Appellate Division's reliance on *Mansfield State Bank v Cohn* (58 NY2d 179 [1983]) is misplaced because this case is readily distinguishable. III. The Appellate Division penalized Morris Gletzer for strictly adhering to CPLR 5014. (*Mansfield State Bank v Cohn,* 58 NY2d 179.)

Tannenbaum Helpern Syracuse & Hirschtritt LLP, New York City (*David A. Pellegrino* and *David J. Kanfer* of counsel), for Amos Harris, respondent. I. The amendment to CPLR 5014 does not provide renewal judgments with retroactive effect. (*Brookhaven Mem. Hosp. v Hoppe,* 65 Misc 2d 1000; *Pangburn v Klug,* 244 AD2d 394; *First Natl. Bank of Long Is. v Brooks,* 1 Misc 3d 905[A], 2003 NY Slip Op 51509[U]; *Quarant v Ferrara,* 111 Misc 2d 1042; *Matis v DeLasho,* 191 Misc 2d 338.) II. Morris Gletzer's renewal judgment is not entitled to nunc pro tunc treatment. (*Mohrmann v Kob,* 291 NY 181; *Mansfield State Bank v Cohn,* 58 NY2d 179.) III. The equities favor the denial of nunc pro tunc relief in this situation.

Hofheimer Gartlir & Gross, LLP, New York City (*David L. Birch* of counsel), for Greenpoint Mortgage Funding, Inc. and another, respondents. I. Morris Gletzer was not entitled to a renewal judgment nunc pro tunc to eradicate a lien gap in excess of three years. (*Department of Hous. Preserv. & Dev. of City of N.Y. v Ferranti,* 212 AD2d 438; *Gratton v Dido Realty Co.,* 139 Misc 2d 724; *Quarant v Ferrara,* 111 Misc 2d 1042; *Brookhaven Mem. Hosp. v Hoppe,* 65 Misc 2d 1000; *Matter of Grand Jury Subpoena Duces Tecum Served on Museum of Modern Art,* 93 NY2d 729; *First Natl. Bank of Long Is. v Brooks,* 1 Misc 3d 905[A], 2003 NY Slip Op 51509[U]; *Matter of Metropolitan Life Ins. Co. v State Tax Commn.,* 80 AD2d 675, 55 NY2d 758; *Matis v DeLasho,* 191 Misc 2d 338; *Matter of Guardian Life Ins. Co. of Am. v Chapman,* 302 NY 226; *Khela v Neiger,* 85 NY2d 333.) II. Morris Gletzer is responsible for the lien hiatus from October 23, 2001 until March 1, 2005. (*Matter of Howard Hotel Corp. [Dalton-Friedman],* 150 Misc 782; *Baccari v De Santi,* 70 AD2d 198; *Grygorewicz v Domestic & Foreign Discount Corp.,* 179 Misc 1017; *United States v Ruby Luggage Corp.,* 142 F Supp 701; *L. Smirlock Realty Corp. v Title Guar. Co.,* 52 NY2d 179; *Mansfield State Bank v Cohn*, 58 NY2d 179.)

Herrick, Feinstein LLP, New York City (*Arthur G. Jakoby* and *Patricia M. Graham* of counsel), for New York State Land Title Association, amicus curiae. I. The Appellate Division's decision properly protects the interests of innocent purchasers who rely upon the public record of real estate encumbrances. (*Andy Assoc. v Bankers Trust Co.,* 49 NY2d 13.) II. CPLR 5014 does not and was never intended to give a renewal judgment priority over a mortgage duly recorded before entry of a renewal judgment and after the expiration of the 10-year lien of the initial judgment. (*Andy Assoc. v Bankers Trust Co.,* 49 NY2d 13; *Witter v Taggart,* 78 NY2d 234; *Suffolk County Fed. Sav. & Loan Assn. v Geiger,* 57 Misc 2d 184; *Matter of Metropolitan Life Ins. Co. v State Tax Commn.,* 80 AD2d 675, 55 NY2d 758; *Brookhaven Mem. Hosp. v Hoppe,* 65 Misc 2d 1000.) III. The Appellate Division correctly held that Morris Gletzer was not entitled to nunc pro tunc relief to give his renewal judgment priority over mortgages duly recorded in the gap period. (*Cornell v Cornell,* 7 NY2d 164; *Merrick v Merrick,* 266 NY 120; *Guarantee Trust & Safe Deposit Co. v Philadelphia, Reading & New England R.R. Co.,* 160 NY 1; *Mansfield State Bank v Cohn,* 58 NY2d 179.)

OPINION OF THE COURT

CIPARICK, J.

In this appeal, we are asked to determine whether a renewal lien secured pursuant to CPLR 5014 for a second 10-year period can take effect nunc pro tunc on the expiration date of the original lien, cutting off the property interests of intervening mortgagees. Because CPLR 5014 does not provide for a renewal judgment to have retroactive effect to the original lien's expiration date and because nunc pro tunc treatment is inappropriate where, as here, additional lenders relying on the public record acquired rights in the property, we hold that the renewal lien becomes effective when granted by Supreme Court.

I

In 1991, plaintiff Gletzer obtained a default judgment in Supreme Court against defendant Harris for approximately $470,000 due on a note. On October 23, 1991, the judgment was docketed and acted as a lien on a Manhattan condominium owned by Harris. While a money judgment award is enforceable for 20 years (*see* CPLR 211 [b]), a real property lien resulting from the judgment is viable for just 10 years (*see* CPLR 5203 [a]). But a renewal action may be brought between the same parties to the original action during the tenth year to extend the lien for an additional 10-year period (*see* CPLR 5014).

Gletzer was unable to foreclose on the condominium and collect on the judgment and his efforts to collect from defendant through a court proceeding in Missouri failed. So, on October 22, 2001—one day before the 10-year lien was to expire—Gletzer initiated the underlying CPLR 5014 action to renew his lien. Harris moved to dismiss the action for lack of personal jurisdiction, relying primarily on his status as a Missouri resident during the decade preceding the action. In July 2004, a special referee concluded that Harris was a New York domiciliary and amenable to suit in New York.[1] In February 2005, Supreme Court confirmed the referee's report and granted Gletzer's motion for summary judgment, granting him a judgment lien nunc pro tunc to October 23, 2001, the day the original 10-year judgment lien had expired (2005 NY Slip Op 30317[U]).

After Gletzer's original lien had expired but before Supreme Court granted the renewal judgment—during the "lien gap" period—two mortgage companies loaned Harris money in return

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1. In the Missouri proceeding, Gletzer sought to have the October 23, 1991 judgment enforced. Harris raised the jurisdictional issue of improper service of process in the original action.

for secured mortgages on the Manhattan condominium.[2] Greenpoint Mortgage Funding, Inc. loaned Harris $600,000, which mortgage was recorded in February 2003, and Copplestone Finance Company Limited loaned him $545,000, which mortgage was recorded in July 2003.

Subsequently, Greenpoint and Copplestone brought a separate action pursuant to CPLR 5239, seeking vacatur of the nunc pro tunc effect of the renewal judgment or, in the alternative, a determination of the superiority of their liens over Gletzer's lien. The mortgagees asserted that they had no knowledge of Gletzer's lien because a search of the public record revealed only the expired 10-year lien. Supreme Court dismissed their action (16 Misc 3d 1114[A], 2007 NY Slip Op 51416[U]). In holding that Gletzer's lien retained its superiority, the court reasoned that CPLR 5014 requires the timely commencement of a renewal action before the original lien expires to avoid a lien gap, as was done here (one day before the lien's expiration), and that any subsequent adjudication, although creating a lien gap (here for 3½ years), should not be counted against the original lienholder.

Consolidating appeals from the two related actions, the Appellate Division reversed Supreme Court's decision, as requested by the mortgage companies (51 AD3d 196 [1st Dept 2008]). The court concluded that Gletzer's renewal lien became effective the date that it was granted by Supreme Court, not when the original lien expired. Thus, the Appellate Division declared that the mortgagees' liens maintained priority over Gletzer's lien.

In interpreting the amended language of CPLR 5014, the Appellate Division concluded that the plain language of the statute does not eliminate all lien gaps. It was meant solely to provide a diligent creditor one year to reapply for an extension of the lien to avoid a gap (*see* 51 AD3d at 201-202). Additionally, the court held that setting the date of the renewal judgment nunc pro tunc to the expiration date of the original lien was an ''improvident exercise of discretion'' (*id.* at 205). Finally, the court held that Greenpoint and Copplestone were entitled to rely upon the absence of a recorded lien in the docket book (*see id.* at 205). We

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2. In 2003, Harris's condominium was valued at approximately $1.15 million.

granted Gletzer leave to appeal (11 NY3d 702 [2008]), and now affirm.[3]

II

Article 9 of the Real Property Law provides that a properly recorded mortgage is superior to subsequently recorded mortgages (*see* Real Property Law §§ 290-291). The statute was enacted to protect purchasers with an interest in real property without record notice of prior encumbrances and to create a public record to meet this end (*see Andy Assoc. v Bankers Trust Co.*, 49 NY2d 13, 20 [1979]). Likewise, liens are similarly recorded (*see* CPLR 5203). For this reason, a "lien does not attach until the judgment is docketed in the county where the land lies," where it may be found "docketed in a book containing the names of the judgment debtor and judgment creditor," known as the docket book (*see* McLaughlin, Practice Commentaries, McKinney's Cons Laws of NY, Book 7B, CPLR C9702:1). As Professor Siegel explains, "[o]nly a docketing of the judgment in the office of the county clerk will bring about the lien" (Siegel, Practice Commentaries, McKinney's Cons Laws of NY, Book 7B, CPLR C5203:2).

Because a lien on real property is only effective for 10 years and a money judgment is viable for 20 years (*see* CPLR 211 [b]; 5203 [a]), the Legislature enacted CPLR 5014 to allow a judgment creditor to apply for a renewal of the judgment lien (*see* Siegel, Practice Commentaries, McKinney's Cons Laws of NY, Book 7B, CPLR C5014:2). To avoid expiration of the judgment lien at the end of 10 years, the Legislature amended CPLR 5014, in 1986, to allow real property lienholders to seek timely renewal of the judgment lien during the last year of the pendency of the original lien (*see id.*). The amended language of the statute reads:

> "An action may be commenced under subdivision one of this section during the year prior to the expiration of ten years since the first docketing of the judgment. The judgment in such action shall be

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3. Harris did not appeal from the portion of the Appellate Division order affirming Supreme Court's determination that it had acquired personal jurisdiction over him (*see* 51 AD3d at 199-200). Significantly, not before us now is the question of whether the basis of jurisdiction for the original lien would have been sufficient to confer jurisdiction in the new action (*see* Siegel, 2008 Supp Practice Commentary, McKinney's Cons Laws of NY, Book 7B, CPLR C5014:2, 2009 Pocket Part, at 30-31).

> designated a renewal judgment and shall be so docketed by the clerk. The lien of the renewal judgment shall take effect upon the expiration of ten years from the first docketing of the original judgment'' (CPLR 5014).

Gletzer urges us to read the last sentence of this paragraph so as to automatically give retroactive effect to a renewal judgment—even when it was sought the day before the original lien expired and was not secured until more than three years later. Gletzer posits that the amended language in the statute was meant to guarantee an original lienholder's superior interest in the property over any intervening creditor by eliminating all lien gaps, no matter how long—even though the docket book does not reflect any viable lien during such gap.

We first turn to the express language of CPLR 5014. In clear terms, the statute provides a means for a lienholder, whose 10-year real property lien is within its final year, to bring a renewal action during the last year of the lien. Nowhere does the statute expressly mandate nunc pro tunc treatment of a renewal lien where the order is granted after the original lien has expired.

Gletzer contends that CPLR 5014's language, ''shall take effect upon the expiration of ten years from the first docketing of the original judgment,'' requires Supreme Court to expunge all lien gaps when a lienholder has filed a renewal application anytime within the last year of the lien—albeit one day before the expiration of the original lien. The language of the statute, however, speaks otherwise. It is prospective in tone (''shall take effect upon''), not retrospective. The Legislature could have used the words ''shall take effect as of,'' but did not. It allows a renewal lien, obtained before the original lien terminates, to become effective once the original lien expires, so as not to shorten the original lien period. As Professor Siegel so aptly states:

> ''It allows the renewal suit during the last year of the 10-year lien period. And it provides for yet an additional security for the judgment creditor. *As long as the new judgment is rendered within the 10-year lien period*, the lien that the new judgment carries takes effect not immediately, but only upon the expiration of the first 10-year lien period'' (Siegel,

> Practice Commentaries, McKinney's Cons Laws of NY, Book 7B, CPLR C5014:2 [emphasis added]).[4]

Similarly, other commentators have noted:

> ''[T]his provision enables the judgment creditor to sue on the old judgment and thereby acquire a new judgment and a fresh 10 year lien . . . *As long as the new judgment is rendered within the 10 year lien period*, the lien that the new judgment carries takes effect not immediately, but only upon expiration of the first 10 year lien period, avoiding a lien gap and at the same time giving the judgment creditor a full 10 years of new lien'' (10 Carmody-Wait 2d § 67:4 [2009] [emphasis added]; *see also* Weinstein-Korn-Miller, NY Civ Prac ¶ 5014.04 [2d ed]).

Finally, had the Legislature intended retroactivity as a means to avoid all lien gaps, then allowing for a one-year application period would have been superfluous. Any lien gap created after the expiration of the original lien would be nullified as long as the renewal action was commenced before the expiration of the original lien. That the Legislature expressly provided for a one-year period is telling that it did not intend the relief that Gletzer now seeks.

As to legislative intent, we note that a statute should be construed in light of the problem to be cured and the event that prompted its enactment (*see* McKinney's Cons Laws of NY, Book 1, Statutes § 95). The 1986 amendment to the statute was meant to remedy the ''*Brookhaven* problem'' (*see Brookhaven Mem. Hosp. v Hoppe*, 65 Misc 2d 1000, 1001-1002 [Suffolk Dist Ct 1971] [attempt by judgment creditor to revive a lien failed because it was brought before the 10 years had elapsed since the docketing of the judgment]), not to eradicate all lien gaps. As the sponsor's memorandum to the 1986 amendment makes plain: ''This bill would allow the holder of the lien to make application for a renewal lien prior to the expiration date of the lien, which is now ruled out by decisions handed down by the Courts. (<u>Brookhaven Memorial Hospital</u> vs. <u>Hoppe</u>, 65 Misc.2d 1000.)'' (Bill Jacket, L 1986, ch 123, at 8.)

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4. This commentator's understanding of the amendment is particularly influential in this context because he is credited as having suggested the 1986 amendment to the statute (New York State Bar Association Committee on Civil Practice Law and Rules, Legislation Report, Bill Jacket, L 1986, ch 123, at 15).

Nunc pro tunc treatment or retroactive effect of the renewal judgment was not contemplated by the Legislature. Instead, both the plain text of the statute and the Bill Jacket materials make clear that the purpose of the amendment was to give a creditor seeking to eliminate the prospect of a lien gap one year to apply for a renewal lien—not the uncertain prospect of possibly obtaining one at some unspecified future time and having it relate back to the date of the expiring lien.[5]

We further note that nunc pro tunc treatment, in general, is reserved for ''correct[ing] irregularities in the entry of judicial mandates or like procedural errors'' (*Cornell v Cornell*, 7 NY2d 164, 167 [1959] [internal quotation marks omitted]). This inherent court power to correct clerical errors may not be wielded when third parties have substantive rights in play that may be altered by ''record[ing] a fact as of a prior date when it did not then exist'' (*Cornell*, 7 NY2d at 168, quoting *Mohrmann v Kob*, 291 NY 181, 186 [1943]).

In *Mansfield State Bank v Cohn* (58 NY2d 179 [1983]), under somewhat different circumstances, we restated the limits of nunc pro tunc treatment. There, a court retroactively set the date for the docketing of a lien where a foreign judgment from Texas was filed in New York, but later vacated on appeal in Texas, only to be reinstated by the Texas Supreme Court (*see id.* at 181-182). During the ensuing lien gap, a title company docketed a judgment on the property (*see id.* at 182). We said:

> ''The denial of *nunc pro tunc* relief was mandatory. The relief sought by the bank was not to correct any irregularity, mistake, omission or other error; the bank sought the creation of a new lien retroactive to the date of its prior lien which, on its own motion, had been effectively nullified. The would-be invocation of a court's inherent power to correct error in a prior judgment is unavailing as a predicate for the creation of new substantive rights. The rights of the third party title insurance company had effectively intervened'' (58 NY2d at 182-183).

The Legislature, in enacting its amendment to CPLR 5014, is presumed to be aware of the common law (*see* McKinney's Cons

5. It is interesting to note that Gletzer may not have been without a remedy after the expiration of the original 10-year lien. He could have filed an execution on his judgment pursuant to CPLR 5203 (b) or a notice of levy pursuant to CPLR 5235, as such measures would have provided notice to the world of his interest in the property.

Laws of NY, Book 1, Statutes § 301 [a]). Without having expressly stated otherwise, we cannot presume that the Legislature intended to abrogate the traditionally limited function of nunc pro tunc treatment, especially where the rights of third parties are at stake.

We thus conclude that those seeking to secure any interest in real property must be able to rely upon a public record to furnish full and complete information of any conveyances, liens or encumbrances affecting such property. They should not be penalized for failing to unearth an expired lien or not investigating the prospect that it might be subject to a pending renewal request. Additionally, nunc pro tunc treatment under these circumstances would be inimical to our State's commitment to record notice based upon the certainty of a docketing system that alerts potential purchasers and lienholders to encumbrances upon real property.

Finally, we emphasize that CPLR 5014 affords a judgment creditor a full year to renew his or her lien without suffering a lien gap. Where a judgment creditor diligently files at the beginning of this period and alerts the court to the applicable time constraint, a lien renewal application should be resolvable before the original lien expires. Thus, the Appellate Division was correct in vacating the nunc pro tunc entry of the renewal judgment and declaring that Greenpoint's and Copplestone's liens have priority over Gletzer's lien.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be affirmed, with costs.

Judges GRAFFEO, READ, SMITH, PIGOTT and JONES concur; Chief Judge LIPPMAN taking no part.

Order, insofar as appealed from, affirmed, with costs.

[909 NE2d 70, 881 NYS2d 377]

Boris Khrapunskiy et al., Respondents, v Robert Doar, as Commissioner of the New York State Office of Temporary and Disability Assistance, Appellant.

Argued March 25, 2009; decided May 12, 2009

SUMMARY

Appeal, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered January 17, 2008. The Appellate Division affirmed an order of the Supreme Court, New York County (Jane S. Solomon, J.; op 9 Misc 3d 1109[A], 2005 NY Slip Op 51462[U]), which had (1) granted plaintiffs' motion for summary judgment; (2) granted that branch of plaintiffs' motion which sought to have the action certified as a class action and certified the class of plaintiffs as ''[a]ll persons identified to, or identifiable by, defendant as elderly, blind, and disabled persons lawfully residing in New York State who have received, are receiving, or will receive assistance at less than the standard of need set out in SSL 209 (2), solely because of their immigration status''; (3) declared that defendant's failure to provide assistance to plaintiffs and the class at the standard of need for the elderly, blind and disabled, set out in Social Services Law § 209 (2), violated NY Constitution, article XVII, § 1 and the right of plaintiffs and the class to the equal protection of the laws under US Constitution Fourteenth Amendment and NY Constitution, article I, § 11; (4) permanently enjoined defendant, his agents, servants, employees and all other persons acting under his jurisdiction, supervision and/or direction from failing to provide assistance to plaintiffs and the class consistent with the standard of need set out in Social Services Law § 209 (2); (5) ordered defendant to provide certain named plaintiffs and all members of the class whose Supplemental Security Income (SSI) and additional state payment (ASP) benefits were discontinued solely because of their immigration status, and who, thereafter, were provided by defendant with assistance at less than the standard of need set out in Social Services Law § 209 (2), with such retroactive assistance as was necessary to bring their income up to the standard of need in Social Services Law § 209 (2) in effect during the time that they were denied SSI and ASP payments solely as a result of their immigration status and to continue to provide such plaintiffs with assistance in an amount consistent with Social Services Law § 209 (2) as long as, without regard to

their immigration status, they remained eligible therefor; (6) ordered defendant to provide certain named plaintiffs and all members of the class who have not received SSI and ASP benefits, but who have been provided by defendant with public assistance in an amount less than set out in Social Services Law § 209 (2), with such retroactive assistance as is necessary to bring their income up to the standard of need in Social Services Law § 209 (2) in effect during the time that they would have been eligible for SSI and ASP payments, but for their immigration status; (7) denied as moot that branch of plaintiffs' motion which sought a preliminary injunction; and (8) denied defendant's cross motion for an order dismissing the complaint, or, in the alternative, granting summary judgment pursuant to CPLR 3212 (a). The following question was certified by the Appellate Division: ''Was the order of Supreme Court, as affirmed by this Court, properly made?''

Khrapunskiy v Doar, 49 AD3d 201, reversed.

HEADNOTES

Social Services — Public Assistance — Additional State Payments for Eligible Aged, Blind and Disabled Individuals — Denial Based upon Immigration Status

1. Plaintiffs, who were aged, blind or disabled persons and legal resident aliens who became ineligible for federal Supplemental Security Income (SSI) benefits and additional state payments (ASP) because they did not become citizens in the time frame mandated in the Personal Responsibility and Work Opportunity Reconciliation Act of 1996 (Pub L 104-193 tit IV, codified at 8 USC § 1601 *et seq.*) or were never eligible for SSI/ASP by virtue of the act, were not entitled to receive safety net assistance benefits (Social Services Law § 131-a [2]) in an amount equal to the level set forth in Social Services Law § 209 (2) for aged, blind or disabled citizens. ASP is not a stand-alone program which sets a ''standard of need'' for all aged, blind or disabled individuals within the state. Rather, it is a supplement to the SSI program established by the federal government and Social Services Law § 209 (2), and merely sets forth ''the standard of monthly need for determining eligibility for and the amount of additional state payments.'' Although NY Constitution, article XVII, § 1 requires the State to provide for the aid, care and support of the needy, it does not mandate that public assistance must be granted on an individual basis in every instance or that the legitimate needs of each public assistance recipient be fully met. Nor does it compel the State to assume the federal government's obligation when an aged, blind or disabled person becomes ineligible for continued SSI/ASP benefits.

Social Services — Public Assistance — Additional State Payments for Eligible Aged, Blind and Disabled Individuals — Denial Based upon Immigration Status

2. The failure to provide plaintiffs, who were aged, blind or disabled persons and legal resident aliens who became ineligible for federal Supplemental Security Income (SSI) benefits and additional state payments (ASP) because they

did not become citizens in the time frame mandated in the Personal Responsibility and Work Opportunity Reconciliation Act of 1996 (PRWORA) (Pub L 104-193 tit IV, codified at 8 USC § 1601 *et seq.*) or were never eligible for SSI/ASP by virtue of the act, with safety net assistance (Social Services Law § 131-a [2]) benefits in an amount equal to the level set forth in Social Services Law § 209 (2) for aged, blind or disabled citizens was not a violation of the Equal Protection Clauses of the US Constitution Fourteenth Amendment and NY Constitution, article I, § 11. In general, state laws that create alienage classifications when distributing or regulating economic benefits are strictly scrutinized. The strict scrutiny test, however, is to be invoked only where a challenged law can be said to create classifications drawn along suspect lines. Here, the alienage restriction embodied in Social Services Law § 209 (1) (a) (iv) was mandated by federal law (PRWORA), and in conforming the New York statute to mirror the federal law, the State did not create a program of benefits which excluded plaintiffs. The right to equal protection does not require the State to create a new public assistance program in order to guarantee equal outcomes under wholly separate and distinct public benefit programs.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Aliens and Citizens §§ 2174–2178, 2193–2195; AM JUR 2d, Welfare Laws §§ 2, 3, 56, 58.

MCKINNEY'S, Social Services Law § 131–a (2); § 209 (1) (a) (iv); (2); NY Const, art I, § 11; art XVII, § 1.

NY JUR 2d, Public Welfare and Old Age Assistance §§ 2, 64, 66, 69, 70, 84, 96–99, 129, 130.

8 USCA § 1601 *et seq*; US Const 14th Amend.

ANNOTATION REFERENCE

See ALR Index under Aliens; Poor Persons; Social Security; Social Service Agency.

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POINTS OF COUNSEL

Andrew M. Cuomo, Attorney General, New York City (*Oren L. Zeve, Barbara D. Underwood* and *Michelle M. Aronowitz* of counsel), for appellant. I. New York Constitution article XVII does not require the State of New York to provide public assistance at the Supplemental Security Income standard of need. (*Tucker v Toia,* 43 NY2d 1; *Matter of Bernstein v Toia,* 43 NY2d 437; *Lovelace v Gross,* 80 NY2d 419; *Matter of Barie v Lavine,* 40 NY2d 565; *Matter of Aliessa v Novello,* 96 NY2d 418; *Matter* *of Lee v Smith,* 43 NY2d 453; *Pajak v Pajak,* 56 NY2d 394; *Matter of Zagoreos v Conklin,* 109 AD2d 281.) II. Equal protection does not compel a state to create a public assistance program to replace benefits denied by operation of federal law. (*Cleburne v Cleburne Living Center, Inc.,* 473 US 432; *Bower Assoc. v Town of Pleasant Val.,* 2 NY3d 617; *Dandridge v Williams,* 397 US 471; *Matter of Aliessa v Novello,* 96 NY2d 418.)

Legal Aid Society, New York City (*Scott A. Rosenberg* and *Steven Banks* of counsel), *Empire Justice Center,* Albany (*Barbara Weiner* of counsel), *New York Legal Assistance Group,* New York City (*Yisroel Shulman* and *Jane Stevens* of counsel), and *Weil, Gotshal & Manges LLP* (*Richard Slack* and *Idit Froim* of counsel), for respondents. I. The provision of lower assistance levels to elderly, blind and disabled immigrants based solely on immigration status violates the Equal Protection Clause. (*Mathews v Diaz,* 426 US 67; *Graham v Richardson,* 403 US 365; *Nyquist v Mauclet,* 432 US 1; *Matter of Aliessa v Novello,* 96 NY2d 418; *Bernal v Fainter,* 467 US 216; *Matter of Lee v Smith,* 43 NY2d 453; *Dandridge v Williams,* 397 US 471.) II. The State of New York's provision of lower assistance levels to equally needy classes of persons based on criteria unrelated to need violates article XVII of the New York State Constitution. (*Tucker v Toia,* 43 NY2d 1; *Matter of Lee v Smith,* 43 NY2d 453; *Rice v Perales,* 193 AD2d 1135; *People v Dozier,* 78 NY2d 242; *Goodwin v Wyman,* 330 F Supp 1038, 406 US 964; *Matter of Aliessa v Novello,* 96 NY2d 418; *Jiggetts v Grinker,* 75 NY2d 411; *Matter of Brown v Wing,* 170 Misc 2d 554, 241 AD2d 956.)

Michael A. Cardozo, Corporation Counsel, New York City (*Francis F. Caputo, Alan G. Krams* and *Karen M. Griffin* of counsel), for City of New York, amicus curiae. Neither article XVII of the State Constitution nor the federal or state Equal Protection Clauses require the State of New York to provide public assistance to plaintiffs at the Supplemental Security Income standard of need. (*Matter of Bernstein v Toia,* 43 NY2d 437; *Tucker v Toia,* 43 NY2d 1; *Baumes v Lavine,* 38 NY2d 296; *Rosado v Wyman,* 397 US 397; *Matter of Barie v Lavine,* 40 NY2d 565; *Dandridge v Williams,* 397 US 471; *Matter of Jones v Blum,* 64 NY2d 918; *Matter of Bates v Toia,* 45 NY2d 460.)

OPINION OF THE COURT

JONES, J.

The question before the Court is whether under the State and

Federal Constitutions, plaintiffs are entitled to receive from the State the same level of benefits received by aged, blind or disabled United States citizens from the federal Social Security program. We hold that plaintiffs are not entitled to such benefits.

I.

In New York State, eligible needy aged, blind or disabled individuals receive public assistance through Supplemental Security Income (SSI) from the federal government, along with additional state payments (ASP) provided by the State. The SSI program was established in 1972, effective in 1974, by the United States Congress to provide aid to individuals who because of their physical condition were unable to support themselves (42 USC § 1381 *et seq.*). The federal government manages SSI/ASP payments and makes all administrative and eligibility determinations (Social Services Law § 211).

Prior to 1974, New York State provided public assistance under its own program entitled ''Aid to the Aged, Blind and Disabled'' (AABD) pursuant to former Social Services Law, article 5, title 6. As a result of the federal takeover of this category of public assistance, the State discontinued the AABD program and repealed the old law. But in order to ensure that the benefits provided would not be less than whatever current benefits were being received after the transfer from state to federal funding, Congress required the states to provide a mandatory minimum supplement so that total aid was at least equal to the pre-SSI levels. New York therefore adopted a new title 6 of article 5 of the Social Services Law, entitled Additional State Payments for Eligible Aged, Blind and Disabled Persons (Social Services Law §§ 207-212), which provided additional state payments to the aged, blind and disabled who either received federal SSI payments (*see* 42 USC § 1381 *et seq.*), or whose income or resources, though above the standard of need for the SSI program, was not sufficient under Social Services Law § 209 (2). At the time ASP was adopted, eligibility was limited to aged, blind or disabled persons who were residents of New York State and either United States citizens or aliens who had not been determined by an appropriate federal authority to be unlawfully residing in the United States.

In 1996, Congress enacted the Personal Responsibility and Work Opportunity Reconciliation Act of 1996 (PRWORA) (Pub L 104-193 tit IV, codified at 8 USC § 1601 *et seq.*), otherwise known as the ''Welfare Reform Act,'' which restricted alien eligibility for federally funded public assistance benefits and authorized the states to follow suit with their own programs. Under PRWORA, legal aliens who do not become United States citizens in seven years lose their SSI and ASP benefits. Thereafter, in 1998, New York's Social Services Law § 209 (1) (a) (iv) was amended to limit eligibility for ASP to residents of the state who, if not citizens of the United States, are aliens eligible for federal benefits. The purpose of the amendment was to conform state law with federal law and to ''make clear which aliens may be eligible for state supplementation of the federal supplemental security income program'' (Senate Mem in Support of L 1998, ch 214, 1998 McKinney's Session Laws of NY, at 1667). Therefore, when Congress created a class of legal aliens who would become ineligible for SSI/ASP benefits, the State discontinued supplemental support for this class under Social Services Law § 209 and, instead, provided public assistance pursuant to Social Services Law § 131-a (2), also known as the state-funded ''safety net assistance'' (SNA) provision. Under the ''safety net'' program, eligible individuals would receive approximately $352 in the form of a shelter allowance, a basic grant, a home energy allowance, a supplemental home energy allowance and a fuel allowance if heat is not included in rent (*see Brownley v Doar*, 12 NY3d 33, 39 n 2 [2009]).

II.

Plaintiffs are aged, blind or disabled persons and legal resident aliens of New York State who became ineligible for SSI payments and ASP because they did not become citizens in the time frame mandated by the United States Congress in the PRWORA or were never eligible for SSI/ASP by virtue of the act. Plaintiffs commenced this action against defendant Commissioner of the New York State Office of Temporary and Disability Assistance (OTDA) in 2004 and moved for class certification and a preliminary injunction. In an amended complaint filed in March 2005, plaintiffs alleged that defendant failed to provide legal immigrants with assistance consistent with the standard of need in Social Services Law § 209 (2) for aged, blind or disabled persons based solely on their immigration status, without regard to their need, and in violation of article XVII of the New York State Constitution, because SSI/ASP benefits totaled $761 per month whereas SNA provided $352 in monthly support. The amended complaint also alleged a violation of the

Equal Protection Clauses of the Fourteenth Amendment to the United States Constitution and article I, § 11 of the New York State Constitution. Plaintiffs sought an order requiring OTDA to provide retroactive payments and ongoing assistance in an amount consistent with Social Services Law § 209 (2). Supreme Court granted plaintiffs' motions for certification, certifying a class defined as ''All persons identified to, or identifiable by, defendant as elderly, blind, and disabled persons lawfully residing in New York State who have received, are receiving, or will receive assistance at less than the standard of need set out in [Social Services Law §] 209 (2), solely because of their immigration status,'' and summary judgment (9 Misc 3d 1109[A], 2005 NY Slip Op 51462[U], *8). The court held that OTDA's failure to provide assistance to plaintiffs and the class at the standard of need for the elderly, blind and disabled set out in Social Services Law § 209 (2) violates article XVII, § 1 of the State Constitution and the right of plaintiffs and the class to the equal protection of the laws under the Federal and State Constitutions. The court therefore permanently enjoined OTDA from failing to provide assistance to plaintiffs and the class consistent with the standard of need set out in Social Services Law § 209.

The Appellate Division affirmed the order of Supreme Court holding that plaintiffs were entitled to receive public assistance under SNA at the level of citizens under SSI/ASP, as set forth in Social Services Law § 209 (2) (49 AD3d 201 [2008]). Plaintiffs were thereby entitled to state safety net assistance pursuant to Social Services Law § 131-a (2) plus an additional payment by the State sufficient to bring their benefits up to the SSI/ASP level. The Appellate Division granted defendant leave to appeal and certified the following question to this Court: ''Was the order of Supreme Court, as affirmed by this [c]ourt, properly made?'' We answer this question in the negative.

III.

OTDA argues that article XVII of the New York State Constitution does not require the State to provide SNA public assistance at the Social Services Law § 209 (2) SSI/ASP standard of need. According to OTDA, State Constitution, article XVII, § 1 requires the State to provide for the needy in a ''manner and by such means, as the legislature may from time to time determine'' but does not mandate a particular level of aid to any individual or class; and Social Services Law § 209 (2) sets a standard of need for recipients of SSI but is not a general standard of need or independent financial commitment by the Legislature to a class of all aged, blind or disabled individuals who are ineligible for federal Social Security benefits.

OTDA further argues that equal protection does not compel the State to create a public assistance program to provide benefits discontinued by operation of federal law. OTDA contends that plaintiffs are not being treated unequally by the State because they have failed to identify any New York resident who receives public assistance from the State at the Social Services Law § 209 standard of need.

Plaintiffs claim the State violates article XVII of the State Constitution because it does not provide for SNA at the standard of need set forth and defined in Social Services Law § 209 (2). Specifically, plaintiffs note that article XVII of the State Constitution requires the State to provide for the aid, care and support of the needy, and argue that section 209 (2) establishes a standard of need for all needy elderly and disabled lawful residents of the state, whether or not they are citizens of the United States. As such, plaintiffs argue, the State by failing to provide SNA benefits in an amount equal to the level set forth in section 209 (2) violates article XVII of the State Constitution.

IV.

At the outset, we note that ASP is not a stand-alone program which sets a ''standard of need'' for all elderly, blind or disabled individuals within the state. ASP, a supplement to the SSI program established by the federal government and Social Services Law § 209 (2), merely sets forth ''the standard of monthly need for determining eligibility for and the amount of additional state payments.'' ASP represents a supplementary monetary amount which is included in the single check received by SSI recipients from the federal Social Security Administration (SSA) which administers SSI and ASP together.

While it is true that New York State did have a public assistance program, AABD, which provided for the needy aged, blind or disabled, it discontinued that separate program more than 30 years ago when the federal government began providing for this population through the SSI program in 1974. The federal government set the SSI benefit level; however, participant states were required to supplement the federal contribution.[1] In order to fulfill the requirement of participation by the State, the Legislature enacted ASP, turning control of its AABD program over to the federal government and providing a small contribution to SSI. In order to avoid a reduction in benefits upon the transfer to the SSI program, a mandatory minimum state supplement for those who received AABD in December 1973 was set forth in Social Services Law § 210 (*see* 42 USC § 1382e). Failure to enact the mandatory minimum supplement or the mandatory maintenance of effort supplement results in a penalty to the State's federal Medicaid funding (*see* 42 USC § 1382g [a]). With the foregoing as a backdrop, we first consider the parties' claims under article XVII of the State Constitution.

Article XVII, § 1 requires the State to provide for the aid, care and support of the needy. This provision ''was intended to serve two functions: First, it was felt to be necessary to sustain from constitutional attack the social welfare programs . . . created by the State . . . and, second, it was intended as an expression of the existence of a positive duty upon the State to aid the needy'' (*Tucker v Toia,* 43 NY2d 1, 7 [1977]).

> ''[T]he provision for assistance to the needy is not a matter of legislative grace; rather, it is specifically mandated by our Constitution. Section 1 of Article XVII of the New York State Constitution declares: 'The aid, care and support of the needy are public concerns and shall be provided by the state and by such of its subdivisions, and in such manner and by such means, as the legislature may from time to time determine' '' (*Tucker*, 43 NY2d at 7).

However, article XVII, § 1 of the State Constitution, which requires the State to provide for the aid, care and support of the needy, does not ''mandate that public assistance must be granted on an individual basis in every instance,'' nor does it command that ''the State must always meet in full measure all the legitimate needs of each [public assistance] recipient'' (*Matter of Bernstein v Toia*, 43 NY2d 437, 448-449 [1977]). In *Bernstein*, this Court upheld the replacement of individual grants for shelter with a flat grant based upon fiscal constraints and the need to optimize available public assistance moneys. In our

1. In 1976, Congress enacted a maintenance of effort rule which required states to provide ''supplementary payments'' in an amount no lower than their December 1976 levels (*see* 42 USC § 1382g).

recent decision *Brownley v Doar* (12 NY3d at 43-44), we reiterated that it is the prerogative of the Legislature to determine who is needy and to allocate public funds.

[1] When the federal government enacted PRWORA the State amended ASP to mirror SSI's new eligibility criteria; individuals who became ineligible for SSI because of this federal change regarding citizenship became eligible only for ''safety net'' assistance. On the other hand, the decisions by the courts below require the State to set up an entirely new public assistance program to pay the difference between SSI/ASP benefits ($761) and what SNA currently provides ($352). As aptly pointed out by OTDA, this would be an ever-increasing amount over which the Legislature has no control and would create a disparity in the monthly aid received by other recipients of SNA. We hold that article XVII does not compel the State to assume the federal government's obligation when an elderly or disabled person becomes ineligible for continued SSI/ASP benefits.

[2] Next, we examine the parties' equal protection claims. In considering whether a state statute violates the Equal Protection Clause, the Supreme Court applies different levels of scrutiny to different types of classifications. As a general rule, the Supreme Court has strictly scrutinized state laws that create alienage classifications when distributing or regulating economic benefits. Under strict scrutiny, a state statute will withstand an equal protection challenge only when the state can show that the law ''furthers a compelling state interest by the least restrictive means practically available'' (*see Bernal v Fainter*, 467 US 216, 227 [1984]). However, the strict scrutiny test is to be invoked only where a challenged law can be said to create classifications drawn along suspect lines. In the instant case, the alienage restriction embodied in Social Services Law § 209 (1) (a) (iv) was mandated by federal law (PRWORA). In conforming the New York statute to mirror the federal law, the State did not create a classification drawn along suspect lines. Because the State did not create a program of benefits which excluded plaintiffs, levels of scrutiny are inapplicable and there is no basis for an equal protection challenge.

In support of their equal protection argument, plaintiffs rely on *Matter of Aliessa v Novello* (96 NY2d 418 [2001]) where this Court held that Social Services Law § 122 violated the Equal Protection Clauses under the Federal and State Constitutions by denying Medicaid benefits funded solely by the State to plaintiffs based on their status as legal aliens. In *Aliessa*, we concluded that Social Services Law § 122 was subject to—and could not pass—strict scrutiny because New York enacted a state-based program which provided benefits to citizens but denied the same benefits to aliens (96 NY2d at 436). This Court determined that the concept of need played no part in the operation of the statute, which could not be justified on the basis of a distinction between ''qualified aliens,'' i.e., aliens who are lawfully admitted for permanent residence (generally, green card holders) or otherwise validly residing in the United States, and those permanently residing in the United States under color of law, i.e., aliens of whom the Immigration and Naturalization Service is aware but has no plans to deport, on the one hand, and citizens on the other.

Plaintiffs also cite to *Matter of Lee v Smith* (43 NY2d 453 [1977]). In *Lee*, a plaintiff on SSI received less in benefits than persons who were not disabled and who received public assistance under ''home relief.'' This Court held that Social Services Law § 158 (a), which provided that a ''person who is receiving federal supplemental security income payments and/or additional state payments shall not be eligible for home relief,''[2] was unconstitutional as applied to such recipients because it violated the equal protection guarantees of the Federal and State Constitutions.

Plaintiffs' and the dissent's reliance on *Aliessa* and *Lee* is misplaced. *Aliessa* and *Lee* are distinguishable from the instant case because they both involved a state-funded program—in *Aliessa*, a Medicaid program, and in *Lee*, a home relief program. In *Lee*, exclusion was based on the source of the income, even though the income was below the standard for receiving home relief. In *Aliessa*, the federal Medicaid program imposed a nationwide policy in which benefits were not available to aliens. However, federal law permitted the states to create a state-funded program. New York enacted such a program which provided benefits to citizens but excluded assistance to aliens. This Court found those exclusions impermissible.

Here, contrary to the view of plaintiffs and the dissenting Judges, there is no equal protection violation. There is no longer a state program of ''Aid to the Aged, Blind and Disabled.'' The AABD program ceased in 1974 when SSI came into being

2. ''Home relief'' was the precursor of the current ''safety net program'' and in some instances provided a greater payment amount than the payment received by SSI recipients.

and no state program replaced it when public assistance to that class of individuals was relinquished to the federal government (*see* Social Services Law § 2 [19]).[3] As there is no state program of aid for this class, there are *no* state residents receiving public assistance from New York at the level requested by plaintiffs. Simply put, the right to equal protection does not require the State to create a new public assistance program in order to guarantee equal outcomes under wholly separate and distinct public benefit programs. Nor does it require the State to remediate the effects of PRWORA.

In 1998, when the Legislature amended Social Services Law § 209 (1) (a) (iv), it was fully aware of the consequences. The Legislature is charged with providing for the needy; however, it does so mindful of the State's resources. When the State eliminated its AABD program, it was with the understanding that the federal government would be responsible for this class of needy individuals and that the State would provide a smaller supplementary payment. In short, enactment of a new public assistance program requires legislative action.

Accordingly, the order of the Appellate Division should be reversed, without costs, judgment granted declaring in accordance with this opinion and the certified question answered in the negative.

CIPARICK, J. (dissenting). Because the majority today forecloses the availability of benefits at an appropriate standard of need to some of our indigent elderly, blind and disabled New Yorkers based solely on their immigration status, and because our precedents in *Matter of Lee v Smith* (43 NY2d 453 [1977]) and *Matter of Aliessa v Novello* (96 NY2d 418 [2001]) compel a holding in favor of plaintiffs, I respectfully dissent and would hold that Social Services Law § 122 (1) (f) and § 209 (1) (a) (iv) are unconstitutional and violative of article XVII of the New York State Constitution and the Equal Protection Clauses of both the United States and New York State Constitutions, and would affirm the order of the Appellate Division.[1]

All of the 20 named plaintiffs are indigent and elderly, blind or disabled legal aliens and residents of New York State. Some

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3. Under section 2 (19), public assistance refers to family assistance, safety net assistance and veteran assistance.

1. Social Services Law § 122 (1) (f) provides:

> "An alien who is not ineligible for federal supplemental security income benefits by reason of alien status shall, if otherwise eligible, be eligible to receive additional state payments for aged,

(n. cont'd)

are refugees who fled religious or political persecution in their home countries. Many of them are now ineligible for federal Supplemental Security Income (SSI) benefits simply because they did not attain citizenship within a seven-year period as required by federal statute; in some cases due to long delays in the processing of their applications as a result of hardships caused by age and poor health or lack of English-language skills. Although plaintiffs may have once been eligible for SSI and additional state payments (ASP) under Social Services Law § 209, they became ineligible by virtue of the Personal Responsibility and Work Opportunity Reconciliation Act of 1996 (PRWORA) in 1996 (8 USC § 1601 *et seq.*) and conforming state enactments.

I

New York has a long history of providing for its poor elderly, blind and disabled. New York State Constitution, article XVII, § 1 makes clear that aid for the needy is a public concern. It "imposes upon the State an affirmative duty to aid the needy . . . [and] unequivocally prevents the Legislature from simply refusing to aid those whom it has classified as needy" (*see Tucker v Toia*, 43 NY2d 1, 8 [1977]; *Matter of Aliessa v Novello*, 96 NY2d 418, 428 [2001]; *Jiggetts v Grinker*, 75 NY2d 411, 416 [1990]).

In 1930, in enacting a statewide system of old age relief, the Legislature declared that providing for aged or disabled persons in need is a "special matter of state concern and a necessity in promoting the public health and welfare" (Public Welfare Law § 122, added by L 1930, ch 387). In 1937, the Legislature enacted a similar bill for the blind, replacing a 1922 law, and declared that assistance for the blind is a "special matter of state concern" (Public Welfare Law § 112, added by L 1937, ch 15, § 7). Nowhere in these provisions was any restriction based upon alienage—all legal residents of this state who were elderly, blind or disabled received assistance for decades under the State's Aid to the Aged, Blind and Disabled (AABD) program.

> blind or disabled persons under section two hundred nine of this chapter."

Social Services Law § 209 (1) (a) (iv) provides:

> "An individual shall be eligible to receive additional state payments if he: . . . is a resident of the state and is either a citizen of the United States or is not an alien who is or would be ineligible for federal supplemental security income benefits solely by reason of alien status."

In 1974, in enacting Social Services Law § 209, the Legislature further established its commitment to the special needs for all elderly, blind and disabled in this state. Since 1974, Social Services Law § 209 (2) ensured New York's standard of need for poor elderly, blind and disabled. It provides that the needs of those whose incomes are below the standard receive ASP. Since 1974, New York supplemented the federal SSI payment with ASP to meet its standard of need for plaintiffs' class. Those whose income was too great to qualify for SSI but still fell below the established standard of need likewise received ASP. All poor elderly, blind and disabled, including legal aliens like plaintiffs, whose incomes were below the standard of need, received ASP payments.

In 1996, however, Congress rendered plaintiffs and other legal immigrants ineligible for SSI benefits. It also ceased to administer ASP payments on behalf of these legal residents merely because of their inability, for whatever reason, to become naturalized. In conforming its statutes to the new federal proscriptions, the Legislature directly denied plaintiffs' class assistance at the same level as citizens or qualifying aliens receiving aid pursuant to the ''standard of need,'' as set by Social Services Law § 209. Plaintiffs still receive some public assistance, under the safety net assistance program, administered pursuant to Social Services Law § 131-a (2). Those payments, however, are substantially less than those for identically situated SSI and ASP recipients.[2]

The State's claim that the Legislature contemplated a system of supplemental aid only for those eligible for SSI benefits is incorrect. Section 209 applies equally to those who are ineligible for SSI. It is not tied to SSI benefits, nor is there reason to suppose that the standard was artificially inflated by reason of the availability of SSI. It certainly is not circumscribed by any immigration classification. In using the term of art ''standard of monthly need,'' the Legislature used a term found throughout the Social Services Law that is strictly need-based. The concept of a standard of need dependent upon alienage, instead of financial need, is incongruous to the plain meaning of the term ''standard of need.''

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2. Effective January 1, 2009, an individual living alone in New York State who is eligible for SSI receives $674 per month in federal benefits and $87 in additional state payments. As a result of Social Services Law § 209 (1) (a) (iv) and § 122 (1) (f), an identically situated individual in New York City not now eligible for SSI receives $352 per month.

Furthermore, when the Legislature enacted sections 207-209, it established the standard of need at a higher level than SSI. All New York residents were eligible for additional state payments, including either ''a citizen of the United States or . . . an alien who has not been determined by an appropriate federal authority to be unlawfully residing in the United States'' (L 1974, ch 1080, § 1, adding Social Services Law § 209 [1] [a] [iv] [subsequently amended by L 1998, ch 214, § 8]). In support of this legislation, the Governor's Program Bill Memorandum said: ''The federal program provides a uniform standard of need (and payment) nationwide; unfortunately, that standard is far lower than the standard of need for these same persons under the state's former AABD program'' (1974 NY Legis Ann, at 147). The Legislature further reaffirmed its commitment

> ''to meeting the income needs of aged, blind and disabled persons who are receiving basic supplemental security income benefits or whose income and resources, though above the standard of need for the supplemental security income program, is not sufficient to meet those needs. In order to maintain assistance for such persons at a level consistent with their needs . . . there is hereby established a statewide program of additional state payments for aged, blind and disabled persons'' (Social Services Law § 207).

In fact, Governor Wilson, in supporting the legislation, stated that the federal SSI program ''completely failed to meet the special needs of this group'' (Governor's Approval Mem, Bill Jacket, L 1974, chs 1080, 1081, reprinted in 1974 NY Legis Ann, at 434). He added that sections 207 and 209 ''represent a commitment of State funding to mitigate the omissions and inequities of the Federal program'' (*id.*).

Considering the Legislature found SSI benefits to be grossly inadequate, it certainly would not have envisioned today's payments to needy legal aliens at almost half that of the level of SSI payments. Nor would the Legislature have made clear its intention to continue making additional state payments even if the federal government did not continue administrating the SSI program, if it really had intended to base its standard of need on SSI eligibility alone (1974 NY Legis Ann, at 147). There is simply no evidence that the State viewed the availability of SSI as extinguishing its underlying obligation to these specially needy residents. Thus, the State cannot relinquish its obligation to provide legal residents assistance at the statutorily created standard of need, and to do so now impermissibly imports non-need-based restrictions on immigrant eligibility into the state assistance program for the elderly, blind and disabled.

The majority's position is thus inconsistent with the long tradition in New York of fully providing assistance to the poor aged, blind and disabled, and is contrary to our controlling case of *Aliessa* (*see* 96 NY2d at 429). There, we held that Social Services Law § 122 (1) (c) violated the ''letter'' and ''spirit'' of article XVII of the State's Constitution by denying state-funded Medicaid benefits on the basis of immigration status by ''imposing on plaintiffs an overly burdensome eligibility condition having nothing to do with need and depriving them of an entire category of otherwise available basic necessity benefits'' (*id.* at 429). The Legislature had terminated Medicaid for noncitizens to mirror the 1996 federal restrictions. However, New York chose to extend Medicaid benefits to more individuals than the federal plan. In doing so, New York could not provide less aid based upon immigration status (*id.*).

Contrary to the majority, our holding in *Matter of Lee v Smith* (43 NY2d 453, 463 [1977]), indeed, lends support to plaintiffs' position here. There, we stated:

> ''While the State's adoption of the SSI program means that the Federal Government generally assumes the costs of administration in providing for the aged, disabled and blind, the State's duty remains. The obligation cannot be avoided by irrevocably assigning the aged, disabled and blind to the Federal program without recourse to State aid, when in many cases this means that they must survive on lesser amounts than are granted to other needy persons in the State'' (*id.*).

The majority's attempt to limit the holdings of these cases is most regrettable. Here, New York, by adding section 122 (1) (f) to the Social Services Law and amending Social Services Law § 209 (1) (a) (iv), has improperly imported federal restrictions on alien eligibility for benefits, and in doing so has violated article XVII of our State Constitution.

II

Turning to plaintiffs' equal protection claims, contrary to the majority, I believe that the Legislature, in enacting these conforming statutes, acted impermissibly and in violation of the

Equal Protection Clauses under both our Federal and State Constitutions. We held in *Aliessa* that legal residents are entitled to equal protection under the law (*see* 96 NY2d at 435-436). The Fourteenth Amendment provides that no State shall ''deny to any person within its jurisdiction the equal protection of the laws'' (US Const, 14th Amend, § 1). The New York State Constitution contains its own equal protection requirement (*see* NY Const, art I, § 11). We said, ''[i]t is axiomatic that aliens are 'persons' entitled to equal protection'' (*Aliessa* at 430, quoting *Yick Wo v Hopkins*, 118 US 356, 369 [1886] [''The fourteenth amendment to the constitution is not confined to the protection of citizens'']; *see also Mathews v Diaz*, 426 US 67, 77 [1976]).

In considering whether a state statute violates the Equal Protection Clause, the Supreme Court applies different levels of scrutiny to different types of classifications (*see Clark v Jeter*, 486 US 456, 461 [1988]). As we noted in *Aliessa*, the Supreme Court generally has strictly scrutinized state laws that create classifications based upon immigration status when distributing economic benefits (*see e.g. Bernal v Fainter*, 467 US 216, 227-228 [1984] [invalidating a Texas statute that required citizenship for notaries public]; *Nyquist v Mauclet*, 432 US 1, 7-12 [1977] [striking down a New York statute that restricted eligibility for Regents college scholarships based on alienage]).

Under the strict scrutiny standard, a state statute will withstand an equal protection challenge only when the state can show that the law ''furthers a compelling state interest by the least restrictive means practically available'' (*Bernal*, 467 US at 227). Recognizing that ''discrete and insular minorities'' can be shut out of the political process, the United States Supreme Court has applied a more searching inquiry to statutes that draw classifications aimed at these groups (*see United States v Carolene Products Co.*, 304 US 144, 153 n 4 [1938]). In *Graham v Richardson* (403 US 365, 372 [1971]), the Court held that, as a class, aliens are a ''prime example of a 'discrete and insular' minority . . . for whom such heightened judicial solicitude is appropriate.'' Lawful resident aliens benefit our country in a great many ways as they contribute to our economy, serve in the Armed Forces and pay taxes; however, they cannot vote, which puts them in a weaker position (*see Aliessa* at 431, citing *Hampton v Mow Sun Wong*, 426 US 88, 107 n 30 [1976]).

Here, applying a strict scrutiny standard, as we did in *Aliessa*, defendant does not contend that it has a compelling interest for allowing residents to receive less assistance based upon immigration status. Defendant claims and the majority agrees that "[b]ecause the State did not create a program of benefits which excluded plaintiffs, levels of scrutiny are inapplicable and there is no basis for an equal protection challenge" (majority op at 487), and it is not discriminating against the plaintiffs' class. However, as the Appellate Division explained below, the essential issue is whether in amending the Social Services Law to exclude residents previously eligible for ASP, it did so on permissible grounds. Defendant has not provided any "compelling government interest" in providing plaintiffs' class with a significantly lower level of assistance based upon their status. The current enactment that provides assistance to citizens and certain conforming immigrants is overly burdensome and without any justification, and prohibited by the Equal Protection Clause.

In conclusion, the majority today has turned its back on the history of New York's commitment to protect its most fragile and vulnerable populations, and insists that an affirmance here would require the State to set up an entirely new public assistance program requiring legislative action. Certainly, legislative action in this area would be welcomed as provision of lower assistance levels to elderly, blind and disabled immigrants based solely upon alienage violates the Equal Protection Clauses of both the Federal and State Constitutions. Likewise, the provision of lower assistance levels to equally needy classes of persons based on criteria unrelated to need violates article XVII of the New York State Constitution. Therefore, I would hold Social Services Law § 122 (1) (f) and § 209 (1) (a) (iv) to be unconstitutional.

Accordingly, I would affirm the order of the Appellate Division below.

Judges GRAFFEO, READ, SMITH and PIGOTT concur with Judge JONES; Judge CIPARICK dissents and votes to affirm in a separate opinion in which Chief Judge LIPPMAN concurs.

Order reversed, etc.

[909 NE2d 1229, 882 NYS2d 392]

ROBERT CALLAHAN et al., Appellants, v HUGH L. CAREY, as Governor of the State of New York, et al., Defendants, and EDWARD I. KOCH, as Mayor of the City of New York, et al., Respondents.

LOUISE F. ELDREDGE et al., Appellants, v EDWARD I. KOCH, as Mayor of the City of New York, et al., Respondents.

Argued May 6, 2009; decided June 4, 2009

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered July 1, 2008. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, New York County (Stanley L. Sklar, J.; *see* 13 Misc 3d 1241[A], 2006 NY Slip Op 52203[U]), which had granted plaintiffs' motion to continue prior interim orders requiring the City defendants to provide the Legal Aid Society with copies of shelter termination sanction notices at the time that the City defendants issued such notices to individuals who received shelter pursuant to a Final Judgment by Consent dated August 26, 1981, and (2) denied the motion. The following question was certified by the Appellate Division: ''Was the order of this Court, which reversed the order of the Supreme Court, properly made?''

Callahan v Carey, 53 AD3d 404, reversed.

HEADNOTE

Social Services — Shelters for Homeless — Sanction Notices — Copies to be Provided to Legal Aid Society

The Legal Aid Society was entitled, under the 1981 consent decree resolving a class action challenging the sufficiency and quality of shelter made available to homeless persons living in New York City, to be provided with copies of sanction notices when the notices were served upon shelter residents facing eviction. The consent decree gave the Legal Aid Society, as counsel to the class action plaintiffs, ''access to any records relevant to the enforcement and monitoring of [the] decree.'' Sanction notices are ''relevant'' to the City defendants' compliance with their obligation under the decree to provide decent shelter for homeless adults. The consent decree paragraph at issue required only that the City make certain records available to the Legal Aid Society; it did not mandate judicial oversight of the programs implemented by the New York City Department of Homeless Services to end chronic homelessness or the state regulations governing the provision of temporary housing assistance to homeless persons (18 NYCRR 352.35). Moreover, the parties themselves negotiated expansive language in that paragraph, and to the extent that the City defendants considered the consent decree to be outmoded and cumbersome, they could have sought to modify or terminate it as provided for elsewhere in the consent decree.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Executions and Enforcement of Judgments § 1; AM JUR 2d, Judgments §§ 183, 198, 200.

CARMODY-WAIT 2d, Judgments §§ 63:159, 63:160.

18 NYCRR 352.35.

NY JUR 2d, Compromise, Accord, and Release § 53; NY JUR 2d, Enforcement and Execution of Judgments § 13; NY JUR 2d, Judgments § 100.

SIEGEL, NY PRAC §§ 444, 476.

ANNOTATION REFERENCE

See ALR Index under Consent Judgments; Homeless Persons.

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POINTS OF COUNSEL

Legal Aid Society, New York City (*Steven Banks, Amanda Moretti* and *Amy Mulzer* of counsel), for appellants. I. The Appellate Division incorrectly held that the consent decree does not require the City of New York defendants to provide plaintiffs' counsel with copies of shelter termination sanction notices when issued to homeless individuals. (*19th St. Assoc. v State of New York,* 79 NY2d 434; *People v Giles,* 11 NY3d 495; *United States v O'Rourke,* 943 F2d 180; *United States v Armour & Co.,* 402 US 673.) II. Absent continued provision of shelter termination sanction notices to plaintiffs' counsel, vulnerable homeless women and men will be at risk of grave harm.

Michael A. Cardozo, Corporation Counsel, New York City (*Alan G. Krams, Leonard Koerner, Thomas C. Crane* and *Kristin M. Helmers* of counsel), for respondents. The Appellate Division correctly applied its earlier decision that an erroneous sanction would not violate the rights secured by the consent decree. (*Baker v Shepard,* 276 AD2d 873; *Jones v 30 Sutton Place Corp.,* 12 AD2d 455, 10 NY2d 771; *Goldberg v Kelly,* 397 US 254; *Frew v Hawkins,* 540 US 431; *Matter of Barie v Lavine,* 40 NY2d 565.)

OPINION OF THE COURT

READ, J.

On October 2, 1979, plaintiff Robert Callahan and other homeless men living in New York City brought a class action challenging the sufficiency and quality of shelter made available to them. Plaintiffs were represented by the Legal Aid Society. Defendants were the Governor of the State of New York at the time, Hugh L. Carey, and his Commissioner of Social Services (the State defendants); and the Mayor of New York City at the time, Edward I. Koch, his Commissioner of the Human Resources Administration (HRA) and his Director of the Shelter Care Center for Men (the City defendants). The parties subsequently resolved this lawsuit with a ''FINAL JUDGMENT BY CONSENT'' dated August 26, 1981; in 1983, this consent decree was extended to cover homeless women living in the City (*see Eldredge v Koch*, 98 AD2d 675 [1st Dept 1983]).

Paragraph 1 of the decree specifies that

> ''[t]he City defendants shall provide shelter and board to each homeless man who applies for it provided that (a) the man meets the need standard to qualify for the home relief program established in New York State; or (b) the man by reason of physical, mental or social dysfunction is in need of temporary shelter.''

Paragraph 11—which is key to this appeal—states in its entirety that ''[p]laintiffs' representatives shall have full access to all shelter facilities, central intake centers and satellite intake centers, and *plaintiffs' counsel* [the Legal Aid Society] shall be provided *access to any records relevant to the enforcement and monitoring of this decree*'' (emphasis added).

In addition, paragraph 10 directs the Commissioner of HRA to ''appoint qualified employees with no administrative responsibility for providing shelter to monitor [the City defendants'] shelter care program . . . with respect to compliance with [the] decree''; and make twice monthly written reports to the Commissioner, which ''shall be made available to [the Legal Aid Society] upon reasonable notice.'' Paragraph 12 requires the City to hand-deliver to plaintiffs' counsel each day a compilation of five categories of information.[1] Finally, paragraph 19 places continuing jurisdiction in Supreme Court

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1. The categories are (1) the number of men who applied for shelter at each central and satellite intake center; (2) the number of men provided

(n. cont'd)

> "for the purpose of enabling any of the parties . . . to apply to [the court] at any time for such further orders and directions as may be necessary or appropriate for the construction, modification, or termination of this entire judgment or of any applicable provisions thereof, for the enforcement of compliance therewith, and for the punishment of violations thereof."

In 1995, the New York State Department of Social Services (DSS)[2] promulgated regulations authorizing local social services districts, like the City, to evict individuals from shelters for refusing to take certain steps toward self-sufficiency, or engaging in misconduct in the shelter facility (for example, violence, drug-dealing, or repeated violations of the shelter's rules) (*see generally* 18 NYCRR 352.35). Shelter residents unable to comply with the regulations' requirements because of a physical or mental impairment were not subject to eviction (18 NYCRR 352.35 [c]). A shelter resident who received a sanction notice was entitled to a fair hearing conducted by DSS (now by OTDA) (18 NYCRR 352.35 [h]), and continued housing until the fair hearing decision was rendered (18 NYCRR 358-3.6). The sanction of eviction, once imposed, lasted "until the failure [to comply] cease[d], or for 30 days, whichever period of time [was] longer" (*see* 18 NYCRR 352.35 [c] [2], [3], [4]).

Plaintiffs sought to enjoin implementation of the regulations, arguing that they conflicted with the consent decree. Supreme Court agreed, but the Appellate Division did not. As the Appellate Division put it,

> "nothing in the decree . . . provides or even suggests that the defendants undertook to provide shelter unconditionally, indefinitely or regardless of need. The decree does not preclude the adoption of reasonable standards intended to assure that temporary shelter is provided only to those who

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shelter at each shelter facility or hotel; (3) the number of men denied shelter at each shelter facility or central or satellite intake center and the reason for the denial; (4) the number of men accepted for shelter at each central or satellite intake center who did not reach a shelter facility; and (5) the number of men provided transportation from each satellite intake center to a shelter facility.

2. In 1997, DSS was renamed the Department of Family Assistance, and its functions were transferred to two autonomous offices (*see* L 1997, ch 436, part B, § 122 [a]), one of which—the Office of Temporary and Disability Assistance (OTDA)—regulates shelters for adults (*id.* § 122 [f]).

> actually need it'' (*Callahan v Carey*, 307 AD2d 150, 153 [1st Dept 2003] [*Callahan I*], *lv dismissed* 100 NY2d 615 [2003]; *see also McCain v Giuliani*, 252 AD2d 461, 462 [1st Dept 1998], *lv dismissed* 93 NY2d 848 [1999] [addressing shelter eligibility, court determined that section 352.35 was ''rationally related to (DSS's) legitimate rulemaking objective of assuring that temporary housing resources are not squandered on those having no real need of them and to the related, equally legitimate objective of attempting to reduce prospective reliance upon temporary housing provided at public expense'']).

In sum, the decision in *Callahan I* allowed the City defendants to implement the DSS regulations without modifying the decree.

As explained by the Deputy Commissioner of the New York City Department of Homeless Services (DHS), by the time *Callahan I* was decided in 2003, the 1981-era deficiencies in access to decent shelter which the decree was meant to fix had, in fact, been substantially remedied. This freed up DHS to focus on developing extensive programs—including one dubbed the ''Client Responsibility'' initiative—designed to ''shift from managing homelessness to ending chronic homelessness altogether.''[3] The sanction regime is an integral part of these programs.

DHS's sanction notice is a two-page document, which includes at the top of the first page the sanction's effective date (10 days after the shelter resident's receipt of the notice), and states the reasons DHS is seeking eviction. The right and time (within 60 days of receipt) to ask for a fair hearing to contest eviction is described; further, the resident is informed that, if a hearing is requested before the sanction's effective date, shelter will continue until OTDA's decision after hearing. Page two of the notice includes a paragraph, labeled ''LEGAL ASSISTANCE,'' which advises the resident that free legal assistance may be available ''by contacting [the] local Legal Aid Society or other legal advocate group.'' The Legal Aid Society's toll-free telephone number is listed, along with telephone numbers for the Urban Justice Center and Coalition for the Homeless.

In the spring of 2005, plaintiffs asked Supreme Court for an order directing DHS to furnish the Legal Aid Society with

3. For example, the record discloses that in City Fiscal Year 2005, 5,892 single homeless men and women moved from shelters into long-term housing.

copies of sanction notices.[4] Plaintiffs took the position that the notices were ‘‘records relevant to the enforcement and monitoring’’ of the consent decree to which the Legal Aid Society was promised ‘‘access’’ by paragraph 11. The Legal Aid Society’s receipt of the notices, plaintiffs argued, would protect homeless individuals from erroneous eviction, thereby safeguarding their right under the decree to shelter. The City defendants countered that the decree governed the capacity and physical conditions of the City’s shelters, not individual sanction determinations. In addition, they contended, the Appellate Division had effectively decided against plaintiffs’ access to sanction notices in *Callahan I*, which rejected the notion that DSS’s regulations affected rights guaranteed the homeless by the decree.

On November 8, 2006, Supreme Court issued a decision granting plaintiffs’ motion on the ground that the consent decree required the City defendants to provide the sanction notices to the Legal Aid Society ‘‘when issued’’ to shelter residents (13 Misc 3d 1241[A], 2006 NY Slip Op 52203[U], *3). The court determined that the City defendants’ claim that paragraph 11 only committed them to furnish the Legal Aid Society with records relevant to the sufficiency and quality of shelter was ‘‘undercut’’ by other sections of the decree; specifically, paragraph 12, which ‘‘appears to relate to individuals, who when seeking or applying for shelter (as opposed to those whose shelter was being terminated), were denied it, and does not relate merely to the sufficiency and quality of shelter, but rather to the denial of shelter’’ (*id.*). Noting that the City defendants had ‘‘taken many commendable steps’’ to insure shelter for homeless individuals, Supreme Court additionally observed that ‘‘human error is inevitable and the risk of harm is too great to ignore in this population which contains many vulnerable individuals’’ (*id.*). The City defendants appealed.

The Appellate Division, with one Justice dissenting, reversed Supreme Court’s decision and order. In general, the majority declined to read paragraph 11 ‘‘so broadly as to impose an obligation on the City to provide sanction notices to the Legal Aid Society when residents are noticed’’ (*Callahan v Carey*, 53 AD3d 404, 405 [1st Dept 2008]), while the dissenting Justice

4. The City defendants agreed to provide the first five notices to the Legal Aid Society. After plaintiffs moved for the order at issue in this appeal, this practice continued, first by court request, then by interim court order. Between late 2003 until the record closed in this case in 2006, DHS apparently issued only 24 sanction notices.

considered such notices to be ''relevant'' to the decree's enforcement within the meaning of paragraph 11. The Appellate Division subsequently granted plaintiffs' motion for leave to appeal, asking us whether its order ''which reversed the order of the Supreme Court, [was] properly made?'' We now reverse, and so answer in the negative.

A consent decree ''is in the nature of a contract'' (*see 19th St. Assoc. v State of New York*, 79 NY2d 434, 442 [1992]), which we must interpret in light of its plain language. And here, paragraph 11 is broadly worded—it gives the Legal Aid Society ''access to *any* records *relevant* to the enforcement and monitoring of [the] decree'' (emphasis added). We simply cannot say that sanction notices are irrelevant to the City defendants' compliance with their obligation under the decree to provide decent shelter for homeless adults. As the dissenting Justice in the Appellate Division pointed out, it is at least *theoretically* possible for the City defendants to evade the decree's requirements through improper mass evictions. No one suggests that DHS has ever contemplated such a thing, but paragraph 11 specifies only that records must be ''relevant'' to enforcing and monitoring the City defendants' commitments under the decree. This is not a high hurdle to clear. We also note that if, as the City defendants argue, they only undertook to supply plaintiffs with aggregate data relating to the sufficiency and quality of shelter, paragraphs 10 and 12 alone would seem to have been sufficient to fulfill this purpose. Instead, the parties also included the catchall language in paragraph 11.

The City does not complain that the provision of sanction notices to the Legal Aid Society imposes any administrative burden, or in any way goes beyond the ''access'' guaranteed by paragraph 11, which arguably might be granted in ways other than by copying the Legal Aid Society with notices simultaneously upon their issuance to recipients. Indeed, the City defendants concede that ''[t]his dispute . . . might seem small.'' They maintain, however, that the appeal ''raises a larger question. A lawsuit settled 27 years ago with a consent judgment that resolved a different controversy should not be expanded into a vehicle for ongoing judicial oversight of other programmatic changes in the City's adult shelters''; and ''[t]he governments that signed the Decree assumed complex and expensive obligations, but did not agree to ongoing judicial oversight of other aspects of shelter operations.'' While these pleas carry force, there are several responses. First, paragraph 11 only requires the City to make certain records available to the Legal Aid Society; it does not mandate "judicial oversight" of DHS's implementation of its Client Responsibility initiative or section 352.35 of the regulations. Second, as already noted, the parties themselves—for reasons no doubt good and sufficient at the time—negotiated expansive language in paragraph 11. Finally, to the extent that the City defendants consider the consent decree to be outmoded and cumbersome, they may always seek to modify or terminate it as provided for by paragraph 19.

Accordingly, the order of the Appellate Division should be reversed, without costs, the order of Supreme Court reinstated, and the certified question answered in the negative.

Judges CIPARICK, GRAFFEO, SMITH, PIGOTT and JONES concur; Chief Judge LIPPMAN taking no part.

Order reversed, etc.

[910 NE2d 422, 882 NYS2d 674]

SEVERINO CUNHA et al., Plaintiffs, v CITY OF NEW YORK, Defendant and Third-Party Plaintiff-Respondent. HAKS ENGINEERS, P.C., Third-Party Defendant-Appellant.

Argued April 30, 2009; decided June 9, 2009

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered November 13, 2007. The Appellate Division (1) reversed, on the law, so much of a judgment of the Supreme Court, Kings County (Mark I. Partnow, J.), as had awarded defendant and third-party plaintiff judgment over against the third-party defendant in the amount of 40% of the damages recovered from it by plaintiffs, upon a jury verdict finding that the third-party defendant was negligent, that its negligence was a substantial factor in bringing about the underlying accident, and that it was 40% at fault; and (2) remitted the matter to the Supreme Court for the entry of an amended judgment conditionally in favor of defendant and third-party plaintiff and against the third-party defendant in the amount of 100% of the damages recovered by plaintiffs from defendant and third-party plaintiff.

Cunha v City of New York, 45 AD3d 624, affirmed.

HEADNOTE

Indemnity — When Claim for Indemnification Available

In an action to recover damages for injuries sustained by plaintiff when a trench collapsed while he was working on a roadway excavation, defendant City was entitled to full common-law indemnification from the third-party defendant engineering company which was actually responsible for the incident, notwithstanding the parties' settlement of plaintiff's Labor Law § 241 (6) claim, which provided that defendant and the third-party defendant would each pay a portion of the amount payable to plaintiff. A party may settle and then seek indemnification from the party responsible for the wrongdoing as long as the settling party shows that it may not be liable in any degree. The fact that the City voluntarily elected to concede liability on plaintiff's Labor Law § 241 (6) claim did not preclude an indemnification claim. Assuming that the City had the burden of proving its own vicarious liability as an element of its third-party claim against the third-party defendant, the City produced sufficient evidence to meet that burden. Any right that the third-party defendant had to a jury ruling on the issue of whether the City was vicariously liable to plaintiff was waived by not asking that the issue be submitted to the jury. The issue of the City's active negligence had been determined by Supreme Court when it dismissed plaintiff's Labor Law § 200 claim against the City, and, during trial, third-party defendant conceded that the City's active negligence was not at issue. Once the third-party defendant was found to be negligent—and since the third-party defendant was the only possible negligent party to the lawsuit—the City was entitled to 100% indemnification from the third-party defendant.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Employment Relationship §§ 248–252, 254, 373–377; AM JUR 2d, Indemnity §§ 20, 22, 27.

MCKINNEY'S, Labor Law §§ 200, 241 (6).

NY JUR 2d, Contribution, Indemnity, and Subrogation §§ 87–91, 112; NY JUR 2d, Employment Relations §§ 269, 270, 273.

PROSSER AND KEETON, TORTS (5th ed) §§ 69, 80.

ANNOTATION REFERENCE

See ALR Index under Compromise and Settlement; Indemnity; Occupational Safety and Health; Vicarious Liability.

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POINTS OF COUNSEL

Milber Makris Plousadis & Seiden, LLP, White Plains (*Michael A. Heran* of counsel), for third-party defendant-appellant. I. The City of New York, by voluntarily conceding liability to plaintiff pursuant to Labor Law § 241 (6) without any determination having been made by a judge or jury that a violation occurred, classifying its liability as purely vicarious, and making a voluntary settlement payment to plaintiff to secure its release, cannot now recover 100% common-law indemnification from HAKS Engineers, P.C., an engineering inspection firm adjudged to be only 40% at fault. (*Glaser v Fortunoff of Westbury Corp.,* 71 NY2d 643; *D'Ambrosio v City of New York,* 55 NY2d 454; *Oceanic Steam Nav. Co. [Ltd.] v Compania Transatlantica Espanola,* 134 NY 461; *Margolin v New York Life Ins. Co.,* 32 NY2d 149; *Midura v 740 Corp., LLC,* 31 AD3d 401; *Sarmiento v Klar Realty Corp.,* 35 AD3d 834; *McDermott v City of New York,* 50 NY2d 211; *Rosado v Proctor & Schwartz,* 66 NY2d 21; *Guzman v Haven Plaza Hous. Dev. Fund Co.,* 69 NY2d 559; *McGurran v DiCanio Planned Dev. Corp.,* 251 AD2d 467.) II. At most, the City of New York established its entitlement to partial contractual indemnification for the 40% of damages that arose out of and/or were caused by HAKS Engineers, P.C.'s negligence. (*Madeira v Affordable Hous. Found., Inc.,* 315 F Supp 2d 504, 469 F3d 219; *Hooper Assoc. v AGS Computers,* 74 NY2d 487; *Vey v Port Auth. of N.Y. & N. J.,* 54 NY2d 221; *Guardian Life Ins. Co. of Am. v Schaefer,* 70 NY2d 888; *Stern's Dept. Stores, Inc. v Little Neck Dental,* 11 AD3d 674; *Mejia v Trustees of Net Realty Holding Trust,* 304 AD2d 627; *Sievert v Morlef Holding Co.,* 241 AD2d 445; *Brooks v Judlau Contr., Inc.,* 11 NY3d 204.)

Smith Mazure Director Wilkins Young & Yagerman, P.C., New York City (*Joel M. Simon* of counsel), for defendant and third-party plaintiff-respondent. I. HAKS Engineers, P.C. must provide 100% indemnification to the City of New York. (*People v Evans,* 94 NY2d 499; *Degliuomini v Degliuomini,* 12 AD3d 634; *Senf v Staubitz,* 11 AD3d 997; *George W. Collins, Inc. v Olsker-McLain Indus.,* 22 AD2d 485; *Comes v New York State Elec. & Gas Corp.,* 82 NY2d 876; *Violette v Armonk Assoc., L.P.,* 849 F Supp 923; *Coleman v City of New York,* 91 NY2d 821; *Rizzuto v L.A. Wenger Contr. Co.,* 91 NY2d 343; *Moshiri v Batista,* 54 AD3d 738; *Barry v Manglass,* 55 NY2d 803.) II. The lower court should have granted the City of New York's motion for a directed verdict seeking contractual indemnification against HAKS Engineers, P.C. (*Moshiri v Batista,* 54 AD3d 738; *Barry v Manglass,* 55 NY2d 803; *Passantino v Consolidated Edison Co. of N.Y.,* 54 NY2d 840; *Bingham v New York City Tr. Auth.,* 99 NY2d 355; *Hageman v Santasiero,* 277 AD2d 1049; *Brooks v Judlau Contr., Inc.,* 11 NY3d 204.)

OPINION OF THE COURT

PIGOTT, J.

Plaintiff was injured while working on a roadway excavation in Brooklyn. The City of New York had hired plaintiff's employer, JLJ Enterprises, Inc., as the prime contractor for the work and HAKS Engineers, P.C. to perform engineering inspection services in connection with the project. The contract between the City and HAKS contained certain indemnification provisions.

On May 14, 2002, city employees, as well as inspectors from Verizon and Con Ed, who were present on the job site, had determined that because a trench had telephone and cable lines running through it, it could no longer be cleared by machinery. As a result, plaintiff was ordered by JLJ to go into the trench to dig by hand. Because the trench was not protected by any shoring or sheeting, it collapsed, causing injury to plaintiff.

On November 15, 2002, plaintiff and his wife commenced a personal injury action against the City, alleging violations of Labor Law §§ 200, 240 and/or 241. In turn, the City commenced a third-party action against HAKS seeking to recover on theories of contractual and common-law indemnification.

The City moved for summary judgment dismissing plaintiff's Labor Law § 200 claim as well as for judgment on its third-party claim for indemnification against HAKS. That motion was denied. Thereafter, further discovery was conducted and a trial date was scheduled.

Four days before trial, the City renewed its motion for summary judgment by order to show cause. By an order, dated April 3, 2006, Supreme Court granted in part the City's motion, dismissing the Labor Law § 200 claim.

On the date trial was to commence on plaintiff's remaining Labor Law § 241 (6) cause of action,* the parties indicated that a settlement agreement had been reached. The agreement provided that plaintiff was to receive $1.2 million, of which the City was to pay $800,000 and HAKS was to pay $400,000. The City conceded a violation of Labor Law § 241 (6) premised on a violation of Industrial Code (12 NYCRR) § 23-4.1 *et seq.* to wit: The shoring and trench where the accident occurred was greater than five feet and the trench collapsed causing injury to plaintiff.

Despite the settlement agreement, the City and HAKS disputed the issue of liability and apportionment between them and the case proceeded to trial on the third-party action. At the end of the trial, the jury was asked to answer three questions on the verdict sheet, namely (1) ''Was the defendant [HAKS] negligent?''; if so, (2) ''Was the negligence of the defendant [HAKS] a substantial factor in bringing about the accident?''; and (3) ''What is the percentage of fault of: Defendant [HAKS]?'' The City objected to the third question, arguing that the jury should not be asked to apportion liability.

The jury found HAKS negligent, that its negligence was a substantial factor in bringing about the accident, but that it was only 40% at fault for plaintiff's accident. The jury was not asked to, and did not, say where the other 60% of the fault lay.

After the jury was discharged, the City moved for a verdict to be directed against HAKS in total of 100% based on the contract

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* The Labor Law § 240 claim was previously withdrawn.

indemnification clauses. The City argued that because it was only vicariously liable and had no active negligence, it was entitled to a directed verdict on indemnity. Supreme Court denied the motion. The City appealed.

The Appellate Division reversed on the law and remitted the matter to Supreme Court for an entry of an amended judgment conditionally in favor of the City and against HAKS in the amount of 100% of the damages recovered by plaintiffs from the City (45 AD3d 624 [2007]). As relevant to this appeal, the court held that because the City was only vicariously liable for violating the provisions of the Labor Law, it was entitled to full common-law indemnification from HAKS, the party actually responsible for the incident (*id.* at 626). Thus, the court held that it was error for the jury to be instructed to allocate fault (*id.*). It concluded that ''[s]ince the jury found that [HAKS] was negligent, and that finding has not been appealed, the judgment must be reversed and an amended judgment must be entered awarding the [City] full common-law indemnification against [HAKS] for the amount of its settlement with the plaintiffs'' (*id.*).

The same panel denied HAKS' motion to reargue or for leave to appeal to this Court. We granted leave to appeal (11 NY3d 709 [2008]) and now affirm.

This Court has recognized that an owner held strictly liable under the Labor Law is entitled to ''full indemnification from the party wholly at fault'' (*Chapel v Mitchell*, 84 NY2d 345, 347 [1994]). While the duty imposed by section 241 may not be delegated, the burden may be shifted to the party actually responsible for the accident, either by way of a claim for apportionment of damages, or by contractual language requiring indemnification (*see Allen v Cloutier Constr. Corp.*, 44 NY2d 290, 301 [1978]).

We disagree with HAKS that common-law indemnity does not lie because the City was never held to be vicariously liable to plaintiff by a judgment of the court. The fact that the City voluntarily elected to concede liability on the Labor Law § 241 (6) claim should not preclude an indemnification claim. Assuming, as HAKS contends, that the City had the burden of proving its own vicarious liability as an element of its third-party claim against HAKS, the City produced sufficient evidence to meet that burden. And assuming that HAKS was entitled to a jury ruling on the issue of whether the City was vicariously liable to plaintiff, it waived that right by not asking that the issue be submitted to the jury.

Further, it is well settled that a party may settle and then seek indemnification from the party responsible for the wrongdoing as long as the settling party shows that it may not be held liable in any degree (*see Rosado v Proctor & Schwartz*, 66 NY2d 21 [1985]). Here, the issue of the City's active negligence was already determined by the order of the Supreme Court dated April 3, 2006, which dismissed plaintiff's Labor Law § 200 claim against the City. Moreover, during trial, HAKS conceded that the City's active negligence was not at issue; it neither objected to nor disagreed with the court's position that the City did not have any negligence and that its only responsibility was pursuant to Labor Law § 241 (6).

HAKS also raises the issue of the potential liability of other parties and relies on our recent decision in *Frank v Meadowlakes Dev. Corp.* (6 NY3d 687 [2006]) for the proposition that the City is entitled to only partial indemnification from HAKS. In *Frank*, we held that CPLR article 16 limited the amount that can be recovered in indemnity when a tortfeasor's liability is 50% or less. In that case, the injured plaintiff sued the owner of the job site, Meadowlakes, and the general contractor, D.J.H. Enterprises, Inc. (DJH). Meadowlakes thereafter brought a third-party action for indemnification against plaintiff's employer, Home Insulation and Supply, Inc. (Home). Since the claim arose before the 1996 amendment to Workers' Compensation Law § 11, Home was not immune from third-party liability. After a trial, the jury apportioned fault in the amount of 10% to plaintiff, 10% to Home and 80% to DJH. The court also directed a verdict against Meadowlakes and DJH based upon a violation of Labor Law § 240 (1). Plaintiff settled with Meadowlakes for $1.4 million and with DJH for $300,000.

Meadowlakes moved for common-law indemnification against Home for 100% of its settlement liability. Home appealed arguing, as relevant to this appeal, that because it was found only 10% at fault, it should be liable to Meadowlakes for only its proportionate share of negligence. We agreed, finding that Meadowlakes was not entitled to 100% recovery. In doing so, we held that the savings provision of CPLR 1602 (2) (ii) applied and that recovery from Home, as a party found 10% liable, was limited to its proportionate share with respect to noneconomic damages.

This case differs from *Frank*, however, in that no article 16 issue exists inasmuch as no other tortfeasor could be found liable for plaintiff's injuries. HAKS argues that the jury must have found another entity liable as it apportioned only 40% fault to HAKS. This argument is flawed.

A likely interpretation of the jury's verdict is that the jury allocated culpability to plaintiff's employer, JLJ—but JLJ's fault was irrelevant and should not have been before the jury. Plaintiff did not sustain a grave injury and thus his employer was not subject to being part of the action (*see* Workers' Compensation Law § 11; CPLR 1601 [1]). To the extent the jury may have considered plaintiff himself at fault, his negligence must be excluded because he, like JLJ, cannot be an indemnitor (*see Frank*, 6 NY3d at 693). It is unlikely that the jury allocated active fault to the City; to the extent the verdict is unclear on that issue, the burden was on HAKS to clarify it, by proposing an appropriate question to the jury.

Moreover, no apportionment for any other third party was requested by HAKS at any time during the proceedings. No evidence was submitted at trial that any other entity was negligent, nor could have any other entity been found negligent based upon the instructions provided to the jury, the verdict sheet, or the charge provided to the jury. Consequently, once HAKS was found to be negligent—and since HAKS was the only possible negligent party to the lawsuit—the City was entitled to 100% indemnification from HAKS.

Because we find that the City prevails on its common-law indemnification cause of action against HAKS, we need not address its contractual indemnification claim.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, SMITH and JONES concur.

Order affirmed, with costs.

[909 NE2d 1213, 882 NYS2d 375]

IGOR MISICKI, Appellant, v SALVATORE CARADONNA, Defendant, and 430-50 SHORE ROAD CORPORATION, Respondent. (And a Third-Party Action.)

Argued April 2, 2009; decided May 12, 2009

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered May 6, 2008. The Appellate Division (1) reversed, on the law, insofar as appealed from, so much of an order of the Supreme Court, Kings County (David I. Schmidt, J.), as amended by an order of that court which, upon reargument, had vacated so much of a prior order of that court, granting defendant 430-50 Shore Road Corporation's motion for summary judgment dismissing the Labor Law § 241 (6) cause of action insofar as asserted against it to the extent that it was premised upon an alleged violation of 12 NYCRR 23-9.2 (a), and denying that branch of defendant's prior motion for summary judgment; and (2) adhered to the prior order of that Supreme Court as had granted that branch of defendant's motion for summary judgment dismissing the Labor Law § 241 (6) cause of action insofar as asserted against it to the extent that it was premised upon an alleged violation of 12 NYCRR 23-9.2 (a).

Misicki v Caradonna, 51 AD3d 644, reversed.

HEADNOTES

Appeal — Court of Appeals — Applicability of Regulation in Labor Law Action

1. In an action to recover damages for injuries sustained by plaintiff laborer while cutting exposed concrete with a handheld grinder that was lacking its removable handle, in which it was alleged that defendant's violation of 12 NYCRR 23-9.2 (a) was sufficient to support plaintiff's Labor Law § 241 (6) cause of action, the Court of Appeals assumed, without deciding, that section 23-9.2 (a) was applicable to the grinder at issue, notwithstanding that defendant never argued that the grinder was a hand tool subject to other provisions of the Industrial Code or, in any event, was not "power-operated heavy equipment or machinery" within the meaning of subpart 23-9. The case did not fit within the exception to the general rule that cases are not to be resolved on grounds raised for the first time on appeal for a newly raised point of law that is decisive in a civil case and could not have been obviated by factual showings or legal countersteps if it had been raised below. Defendant never hinted or claimed before the Court of Appeals that section 23-9.2 was inapplicable to the grinder involved in plaintiff's accident. The case should be decided on rationales advanced by the parties, not arguments their adversaries never made.

Labor — Safe Place to Work

2. An employee who claims to have suffered injuries proximately caused by a previously identified and unremedied structural defect or unsafe condition affecting an item of power-operated heavy equipment or machinery has stated a cause of action under Labor Law § 241 (6) based on an alleged violation of 12 NYCRR 23-9.2 (a). Although the first two sentences of section 23-9.2 (a) are not specific enough to give rise to a nondelegable duty under section 241 (6) to comply with the Industrial Code as against a nonsupervising owner or general contractor, the third sentence, which imposes an affirmative duty on employers to ''correct[ ] by necessary repairs or replacement,'' ''any structural defect or unsafe condition'' in equipment or machinery ''[u]pon discovery,'' or actual notice of the structural defect or unsafe condition, mandates a distinct standard of conduct, rather than a general reiteration of common-law principles, and is sufficient to support a cause of action under Labor Law § 241 (6). Accordingly, assuming the applicability of 12 NYCRR 23-9.2 (a), plaintiff laborer, who was injured while cutting exposed concrete with a hand-held grinder that was lacking its removable handle, and who had complained to his supervisor about the missing handle, alleged a breach of this provision of the Code, and defendant owner's motion for summary judgment seeking dismissal of plaintiff's Labor Law § 241 (6) cause of action against it should have been denied.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review § 618; AM JUR 2d, Employment Relationship §§ 256–258, 263–268, 308.

CARMODY-WAIT 2d, Appeal to the Court of Appeals §§ 71:96, 71:103, 71:112, 71:114.

MCKINNEY'S, Labor Law § 241 (6).

12 NYCRR 23–9.2 (a).

NY JUR 2d, Appellate Review §§ 604–606, 617; NY JUR 2d, Employment Relations §§ 292, 300, 301, 304, 305.

PROSSER AND KEETON, TORTS (5th ed) § 80.

SIEGEL, NY PRAC §§ 528, 543.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Occupational Safety and Health.

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POINTS OF COUNSEL

Perecman Firm, P.L.L.C., New York City (*David H. Perecman* and *Rudolf B. Radna* of counsel), for appellant. I. The inspect, repair or replace provision of 12 NYCRR 23-9.2 (a) is a specific positive command within the meaning of *Ross v Curtis-Palmer Hydro-Elec. Co.* (81 NY2d 494 [1993]). II. The sound public policy behind the passage of Labor Law § 241 (6) and the need for regulation of the condition of inherently dangerous power tools used on construction sites and logical analysis of the language of 12 NYCRR 23-9.2 (a) all militate toward a finding that it is specific. (*Vallina v Wright & Kremers,* 7 AD2d 101; *Bland v Manocherian,* 66 NY2d 452.) III. The general language contained in the regulation does not void the specific inspect, repair and replace provision of 12 NYCRR 23-9.2 (a). (*Morris v Pavarini Constr.,* 9 NY3d 47; *Ross v Curtis-Palmer Hydro-Elec. Co.,* 81 NY2d 494; *Brasch v Yonkers Constr. Co.,* 306 AD2d 508; *Zacher v Niagara Frontier Servs.,* 210 AD2d 897.) IV. The inspect, repair and replace requirement of 12 NYCRR 23-9.2 (a) is as specific and concrete as similar regulations that have been held to be specific. (*Piazza v Frank L. Ciminelli Constr. Co., Inc.,* 2 AD3d 1345; *Ross v Curtis-Palmer Hydro-Elec. Co.,* 81 NY2d 494.)

Lewis, Scaria & Cote, LLC, White Plains (*Deborah A. Summers* of counsel), for respondent. 12 NYCRR 23-9.2 (a) merely incorporates the ordinary tort duty of care and is too general to support a claim under Labor Law § 241 (6). (*Ross v Curtis-Palmer Hydro-Elec. Co.,* 81 NY2d 494; *Hassett v Celtic Holdings,* 7 AD3d 364; *Maldonado v Townsend Ave. Enters., Ltd. Partnership,* 294 AD2d 207; *Cun-En Lin v Holy Family Monuments,* 18 AD3d 800; *Schwab v A.J. Martini, Inc.,* 288 AD2d 654; *Creamer v Amsterdam High School,* 241 AD2d 589; *Mahoney v Madeira Assoc.,* 32 AD3d 1303; *Boyd v Mammoet W., Inc.,* 32 AD3d 1257; *Williams v White Haven Mem. Park,* 227 AD2d 923; *Sanatass v Consolidated Inv. Co., Inc.,* 38 AD3d 332.)

Joshua Annenberg, New York City, for New York State Trial Lawyers' Association, amicus curiae. I. Industrial Code (12 NYCRR) § 23-9.2 (a) constitutes a specific, positive command which supports a cause of action under Labor Law § 241 (6). (*Rizzuto v L.A. Wenger Contr. Co.*, 91 NY2d 343; *Comes v New York State Elec. & Gas Corp.,* 82 NY2d 876; *Ross v Curtis-Palmer Hydro-Elec. Co.,* 81 NY2d 494; *Piccolo v St. John's Home for Aging,* 11 AD3d 884; *Tillman v Triou's Custom Homes,* 253 AD2d 254; *Webber v City of Dunkirk,* 226 AD2d 1050; *Zacher v Niagara Frontier Servs.,* 210 AD2d 897; *Leader v Maroney, Ponzini & Spencer,* 97 NY2d 95; *Cohen v Lord, Day & Lord,* 75 NY2d 95; *Morris v Pavarini Constr.,* 9 NY3d 47.) II. Industrial Code (12 NYCRR) § 23-9.2 (a) must be construed as a specific, positive command since the legislative history of Labor Law § 241 (6) and public policy favor a broad reading to protect construction workers. (*Zimmer v Chemung County Performing Arts,* 65 NY2d 513.)

OPINION OF THE COURT

READ, J.

On October 26, 2001, plaintiff Igor Misicki, a laborer employed by Upgrade Contracting Company, was injured while working on a construction project at a two-building cooperative residential apartment complex located at 450 Shore Road in Long Beach, New York. The buildings were owned by defendant 430-50 Shore Road Corporation, which had retained an architect and hired Upgrade to carry out the work, which involved renovating the buildings' pool deck.

In July and August, plaintiff and another Upgrade employee changed out the sleeves of the air-conditioning units in the buildings' apartments. After Labor Day, plaintiff began working on the pool deck job, which first required him and his fellow workers to remove bricks from the base of the buildings' exterior walls next to the deck so as to lay bare the underlying concrete. On the day of his accident, plaintiff was "cutting" exposed concrete with a handheld nine-inch electrically-driven angle grinder. Specifically, his foreman directed him to "cut" (more accurately, abrade) a slot 2½ inches deep into a line marked on the wall, about a foot or two above the deck.

When plaintiff retrieved the grinder from the toolbox maintained by Upgrade at the job site, he could not find the side handle for it. He described this handle as removable, and designed to be fitted onto the grinder in any one of two or three different positions. According to plaintiff, he complained to his foreman—three times—that the handle was unavailable; and his foreman repeatedly instructed him "to go back to work and . . . work[ ] without [the] handle." Plaintiff testified that he "didn't feel safe" using the grinder without the handle because he did not have "control over the machine."

After "cutting the line" for two hours with the grinder sans the side handle, plaintiff reached a point where a balcony projected from the building's exterior. The balcony was roughly three or four feet above the pool deck. In order to continue with his task, plaintiff stretched out on the deck underneath the balcony, resting on his right side; his headroom was limited, and he was lying about two feet away from the wall. Plaintiff testified that after working in this position for 20 or 30 minutes—with at least one interruption to get up and search again for a handle—the grinder ''kicked back'' and the grinding wheel struck his face, deeply lacerating his upper lip, cheek and right nostril and causing him to lose consciousness momentarily.

Plaintiff was immediately taken by ambulance to a nearby hospital, where his wounds were sutured. During the ensuing year, he underwent two surgeries to relieve breathing problems that he attributes to what his doctor described as a ''complicated laceration of the nose.'' He complains of continuing adverse health consequences, including headaches and difficulty breathing and sleeping. At the time of his deposition in April 2004, plaintiff had not worked since the accident.

In July 2002, plaintiff sued Shore and the architect for damages; he asserted common-law negligence and violations of Labor Law §§ 200, 240 (1) and § 241 (6). After the close of discovery in the summer of 2004, plaintiff withdrew his section 200 and 240 (1) claims, and discontinued the action against the architect. On March 3, 2003, Shore brought a third-party action against Upgrade, which subsequently agreed to defend and indemnify Shore. As a result, Shore's third-party action was discontinued with prejudice on March 16, 2005.

In September 2005, Shore moved for summary judgment dismissing plaintiff's complaint, which by that point consisted solely of his claim under Labor Law § 241 (6). This provision ''requires owners and contractors to provide reasonable and adequate protection and safety for workers and to comply with the specific safety rules and regulations promulgated by the Commissioner of the Department of Labor'' (*Ross v Curtis-Palmer Hydro-Elec. Co.*, 81 NY2d 494, 501-502 [1993] [internal quotation marks omitted]). The duty to comply with the Commissioner's safety rules, which are set out in the Industrial Code (12 NYCRR), is nondelegable. In order to support a claim under section 241 (6), however, the particular provision relied upon by a plaintiff must mandate compliance with concrete specifications and not simply declare general safety standards or reiterate common-law principles (81 NY2d at 504-505). Contributory and comparative negligence are valid defenses to a section 241 (6) claim; moreover, breach of a duty imposed by a rule in the Code is merely some evidence for the factfinder to consider on the question of a defendant's negligence (*see Long v Forest-Fehlhaber*, 55 NY2d 154, 159-160 [1982]).

Plaintiff alleged that Shore violated two of the Commissioner's rules—12 NYCRR 23-1.12 (c) (''Power-driven saws'') and 23-9.2 (a). In support of its motion for summary judgment, Shore argued that section 23-1.12 (c) was inapplicable because it covered portable, handheld circular saws, which Shore's expert opined are not the same as portable, handheld grinders; and that section 23-9.2 (a) was not sufficiently specific and concrete.

Subpart 23-9 of the Code is entitled ''POWER-OPERATED EQUIPMENT.'' Section 23-9.1 (''Application of This Subpart'') specifies that ''[t]he provisions of [subpart 23-9] shall apply to power-operated heavy equipment or machinery used in construction, demolition and excavation operations'' with certain exclusions. This statement of applicability is followed by section 23-9.2 (''General Requirements''), and nine sections covering specific kinds of power-operated heavy equipment or machinery.[1] Section 23-9.2 (a) states in its entirety as follows:

> ''(a) *Maintenance*. All power-operated equipment shall be maintained in good repair and in proper operating condition at all times. Sufficient inspections of adequate frequency shall be made of such equipment to insure such maintenance. Upon discovery, any structural defect or unsafe condition in such equipment shall be corrected by necessary repairs or replacement. The servicing and repair of such equipment shall be performed by or under the supervision of designated persons. Any servicing or repairing of such equipment shall be performed only while such equipment is at rest.''

In its motion papers, Shore took the position that the Second Department—where this lawsuit was brought—had already ''held that 23-9.2 (a) [was] a *general* requirement within the meaning of Ross . . . [and did] not give rise to the nondelegable duty under § 241 (6).'' Shore adduced *Phillips v City of New York* (228 AD2d 570, 572 [2d Dept 1996] [referring to section 23-9.2 (a), court noted, in dicta, that ''the specific provisions relied upon (by the plaintiff) merely established general safety standards . . . which do not give rise to a nondelegable duty'']),

1. These are sections 23-9.3 (''Conveyors and Cableways''), 23-9.4 (''Power shovels and Backhoes Used for Material Handling''), 23-9.5 (''Excavating Machines''), 23-9.6 (''Aerial Baskets''), 23-9.7 (''Motor Trucks''), 23-9.8 (''Lift and Fork Trucks''), 23-9.9 (''Power Buggies''), 23-9.10 (''Pile Drivers'') and 23-9.11 (''Mixing Machines'').

Thompson v Ludovico (246 AD2d 642, 643 [2d Dept 1998] [court stated, in dicta, that certain sections cited by the plaintiff, including 12 NYCRR 23-9.2 (a), ''did not support his claim under Labor Law § 241 (6) because (they) were . . . merely general safety standards'']) and *Anarumo v Slattery Assoc.* (298 AD2d 339, 340 [2d Dept 2002] [court denied summary judgment to the plaintiffs on their section 241 (6) cause of action because ''12 NYCRR 23-9.2 (a) merely establishes general safety standards which do not give rise to a nondelegable duty'']).

In April 2006, Supreme Court granted Shore's motion and dismissed plaintiff's Labor Law § 241 (6) claim. The trial judge concluded that plaintiff had failed to rebut Shore's prima facie showing that section 23-1.12 (c) was inapplicable to a handheld electrically-driven grinder. As for section 23-9.2 (a), Supreme Court noted that Shore relied on *Anarumo*, *Phillips*, and *Thompson*—all Second Department cases—while plaintiff cited the Fourth Department's decision in *Zacher v Niagara Frontier Servs.* (210 AD2d 897 [4th Dept 1994]). In *Zacher*, the Fourth Department decided that

> ''[t]he requirement that a plaintiff must allege violation of a specific safety regulation promulgated by the Commissioner . . . was satisfied by the assertion . . . that defendants violated 12 NYCRR 23-9.2 (a). That regulation, promulgated under Labor Law § 241 (6), imposes upon owners, contractors and their agents an affirmative duty of maintenance and inspection of power-operated equipment'' (*id.* at 897-898 [internal quotation marks and citations omitted]; *see also Piccolo v St. John's Home for Aging*, 11 AD3d 884, 886 [4th Dept 2004] [''We have previously determined that 12 NYCRR 23-9.2 (a) is sufficiently specific to support a claim pursuant to section 241 (6)'']).

The trial judge determined that because this case was being litigated ''within the confines of the Second Department,'' he was compelled to ''follow [the Second Department's] holding that 12 NYCRR 23-9.2 is not specific enough to support a Labor Law § 241 (6) violation.''

Plaintiff moved to reargue, protesting that the Second Department cases were distinguishable because they interpreted only the first sentence of section 23-9.2 (a), and ''no specific structural defect or unsafe condition *in the power equipment* was alleged'' in those cases. By contrast, he contended, in *Zacher* "the plaintiff was injured as a result of a broken handle on power equipment (a sander) . . . just like the Plaintiff herein was injured due to . . . defects in the equipment," including a missing handle.

Supreme Court was persuaded. In March 2007, the trial judge granted reargument, vacated his April 2006 decision and order, and denied Shore's motion for summary judgment. Supreme Court decided that the provision in section 23-9.2 (a) "requir[ing] the repair or replacement of unsafe equipment [was] a specific positive command . . . applicable to the facts of the instant case." In June 2007, the judge clarified that his April 2006 order remained in effect except insofar as modified by his March 2007 decision regarding section 23-9.2 (a). Supreme Court further noted that there was "a question of fact whether section 23-9.2 (a) was violated."

In May 2008, the Appellate Division reversed. "Contrary to the Supreme Court's determination," the court opined, "12 NYCRR 23-9.2 (a) does not support the plaintiff's claim under Labor Law § 241 (6), as that provision merely establishes general safety standards which do not give rise to a nondelegable duty" (51 AD3d 644, 645 [2d Dept 2008]). The Appellate Division cited its previous decisions in *Anarumo*, *Thompson* and *Phillips* as well as the First Department's decision in *Hassett v Celtic Holdings* (7 AD3d 364, 365 [1st Dept 2004] ["12 NYCRR 23-9.2 (a) . . . is a general requirement to maintain power equipment in good operating order"]).

Plaintiff sought to appeal to us. Because the First, Second and Third Departments (*see e.g. Fairchild v Servidone Constr. Corp.*, 288 AD2d 665, 667-668 [3d Dept 2001]) have ruled that section 23-9.2 (a) does not support a claim under Labor Law § 241 (6) and the Fourth Department has ruled otherwise, we granted plaintiff permission to appeal to resolve the apparent conflict (11 NY3d 706 [2008]). We now reverse for the reasons that follow.

I.

[1] As an initial matter, we note that subpart 23-9 applies to "power-operated *heavy equipment or machinery*" (12 NYCRR 23-9.1 [emphasis added]) such as excavating machines, pile drivers and motor trucks (*see* at 516 n 1). Shore never argued that the grinder was a hand tool subject to other provisions of the Code (*see e.g.* 12 NYCRR 23-1.10 [b] ["Electrical and pneumatic hand tools"]) or, in any event, was not "power-operated heavy equipment or machinery'' within the meaning of subpart 23-9. For purposes of this appeal, we therefore assume, without deciding, that section 23-9.2 (a) applies to a handheld nine-inch electrically-driven angle grinder.

Judge Smith objects to this assumption. While acknowledging the general rule that we do not resolve cases on grounds raised for the first time on appeal, he points to a concededly rarely invoked exception for a ''newly raised point of law'' that is ''decisive'' in a civil case and ''could not have been obviated by factual showings or legal countersteps if it had been raised below'' (Karger, Powers of the New York Court of Appeals § 17:1, at 591-592 [3d ed rev] [internal quotation marks and footnote omitted]). Declaring that the exception ''fits this case perfectly,'' Judge Smith would affirm the Appellate Division's order in light of the ''plain inapplicability of the regulation plaintiff relies on'' (Smith, J., dissenting at 525).

This case does not fit the exception at all. We are not faced with a situation where a litigant ''newly raise[s]'' on appeal a ''point of law'' not put forward in the trial court—that is, we are not talking about an exception to the preservation requirement as it is classically defined. Here, Shore never so much as hinted much less claimed *before us* that section 23-9.2 (a) is inapplicable to the grinder involved in plaintiff's accident. For us now to decide this appeal on a distinct ground that we winkled out wholly on our own would pose an obvious problem of fair play. We are not in the business of blindsiding litigants, who expect us to decide their appeals on rationales advanced by the parties, not arguments their adversaries never made. In sum, plaintiff deserves an opportunity to refute the proposition on which the dissent would decide this appeal against him. And the opportunity may well be realized since our decision today certainly does not foreclose Shore, if it so chooses, from taking the position at trial that section 23-9.2 (a) is inapplicable to the grinder.

While appellate judges surely do not '' 'sit as automatons' '' (Smith, J., dissenting at 525, quoting Karger § 17:1, at 591), they are not freelance lawyers either. Our system depends in large part on adversary presentation; our role in that system ''is best accomplished when [we] determine[ ] legal issues of statewide significance that have first been considered by both the trial and the intermediate appellate court'' (*People v Hawkins*, 11 NY3d 484, 493 [2008, Kaye, Ch. J.]). Here, the specificity of section 23-9.2 (a) has, in fact, been considered by all four departments of the Appellate Division, with differing results; by contrast, its applicability to a grinder was not briefed or argued by the parties to this appeal, and, insofar as we can tell, the general issue of whether section 23-9.2 (a) applies to an electrically-powered hand tool has not yet been addressed by any lower court.

II.

When analyzing section 23-9.2 (a)'s specificity, the parties focused on the regulation's first three sentences, which are, in order, as follows:

(1) ''All power-operated equipment shall be maintained in good repair and in proper operating condition at all times.''

(2) ''Sufficient inspections of adequate frequency shall be made of such equipment to insure such maintenance.''

(3) ''Upon discovery, any structural defect or unsafe condition in such equipment shall be corrected by necessary repairs or replacement.''

Plaintiff concedes that the first sentence is ''undoubtedly general and unenforceable.'' In his view, however, the second and third sentences, which he reads together, do more than ''merely restate[ ] the common law duty to keep the worksite reasonably safe.'' Instead, he contends, ''what makes the second and third sentences of the regulation specific'' is that they ''say[ ] inspect (that's a command), then upon discovery (that's the when) of a structural defect or unsafe condition (that's the circumstances calling for action . . .)[,] repair or replace (that's the action or positive concrete command).'' Citing our decision in *Morris v Pavarini Constr.* (9 NY3d 47, 50 [2007]), plaintiff points out that specific provisions in a Code regulation are enforceable notwithstanding the general nature of other portions of the same regulation. Shore counters that the first three sentences in section 23-9.2 (a), considered together, ''say[ ] nothing more than 'tools shouldn't be broken; you must check to make sure that tools aren't broken; and when you find that tools are broken, you must fix or replace them.' ''

[2] In our view, the first two sentences of section 23-9.2 (a)—which employ only such general phrases as ''good repair,'' ''proper operating condition,'' ''[s]ufficient inspections,'' and ''adequate frequency''—are not specific enough to permit recovery under section 241 (6) against a nonsupervising owner or general contractor. We reach the opposite conclusion about the third sentence, however. This portion of the regulation imposes an affirmative duty on employers to "correct[ ] by necessary repairs or replacement" "any structural defect or unsafe condition" in equipment or machinery "[u]pon discovery" or actual notice of the structural defect or unsafe condition. As a result, the third sentence of section 23-9.2 (a) "mandates a distinct standard of conduct, rather than a general reiteration of common-law principles, and is precisely the type of 'concrete specification' that *Ross* requires" (*Rizzuto v L.A. Wenger Contr. Co.*, 91 NY2d 343, 351 [1998]). The next two sentences of the regulation describe requirements for servicing and repairing the equipment. In sum, an employee who claims to have suffered injuries proximately caused by a previously identified and unremedied structural defect or unsafe condition affecting an item of power-operated heavy equipment or machinery has stated a cause of action under Labor Law § 241 (6) based on an alleged violation of 12 NYCRR 23-9.2 (a).[2]

Here, plaintiff claims that there was no side handle available for the grinder on the day of his accident; that he complained to his supervisor about the missing handle—i.e., his employer had actual notice; that the absence of a handle constituted a structural defect in or an unsafe condition of the grinder; that his employer did not provide him with a handle or replace the allegedly defective grinder; and that the absence of the handle—i.e., the claimed structural defect or unsafe condition previously pointed out to his employer—proximately caused his injuries. Assuming that section 23-9.2 (a) is applicable, plaintiff has thereby alleged a breach of this provision of the Code. It would then remain for a jury to decide whether a violation, in fact, occurred; and whether the negligence of some party to, or participant in, the construction project caused plaintiff's injuries. If negligence is established, Shore would be vicariously liable for plaintiff's injuries without regard to fault.

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2. Judge Graffeo suggests that we are departing from our precedent of "assess[ing] whether a regulation [is] specific enough to support Labor Law § 241 (6) liability by examining the language used in the regulation, without regard to the facts alleged in a particular case" (Graffeo, J., dissenting at 523). We disagree. We conclude that 12 NYCRR 23-9.2 (a) is specific enough to permit recovery under Labor Law § 241 (6) because the *language of the regulation* mandates particular conduct "[u]pon discovery"—or actual notice—of a structural defect or unsafe condition. An allegation that the plaintiff told his or her supervisor about the defective condition before the injury is simply one way of demonstrating the actual notice required by the language of the regulation.

Accordingly, the order of the Appellate Division should be reversed, with costs, and that branch of defendant's motion for summary judgment seeking dismissal of plaintiff's Labor Law § 241 (6) cause of action against it should be denied.

GRAFFEO, J. (dissenting). Because I believe that 12 NYCRR 23-9.2 (a) does not contain a command that is sufficiently specific to support liability under Labor Law § 241 (6), I respectfully dissent. This Court has distinguished between Industrial Code provisions that merely reiterate the common-law standard of care and those that mandate compliance with concrete specifications (*Ross v Curtis-Palmer Hydro-Elec. Co.*, 81 NY2d 494, 504-505 [1993]). Only the latter impose a nondelegable duty on an owner or general contractor who does not actually control the injured party's work, giving rise to a Labor Law § 241 (6) claim. I agree with the First, Second and Third Departments that section 23-9.2 (a) does not contain the requisite specificity necessary for Labor Law § 241 (6) liability (*see Hassett v Celtic Holdings*, 7 AD3d 364, 365 [1st Dept 2004]; *Fairchild v Servidone Constr. Co.*, 288 AD2d 665, 667-668 [3d Dept 2001]; *Anarumo v Slattery Assoc.*, 298 AD2d 339, 340 [2d Dept 2002]).*

Although other subdivisions of section 23-9.2 include detailed specifications, such as section 23-9.2 (e) (certain power-operated machines that do not run on diesel fuel must be stopped during refueling), section 23-9.2 (a) does not. In *Ross v Curtis-Palmer Hydro-Elec. Co.* (81 NY2d at 504), we held that a regulation that imposed a ''duty to provide materials and equipment of such kind and quality as a reasonable and prudent [person] experienced in construction . . . operations would require in order to provide safe working conditions'' was too general to create a nondelegable duty (*see* 12 NYCRR 23-1.4 [a]). In contrast, in *Rizzuto v L.A. Wenger Contr. Co.* (91 NY2d 343 [1998]), a regulation that stated that ''[i]ce, snow, water, grease and any other foreign substance which may cause slippery footing shall be removed, sanded or covered to provide safe footing'' (12 NYCRR 23-1.7 [d]) was determined by us to be sufficiently specific. Similarly, in *Morris v Pavarini Constr.* (9 NY3d 47 [2007]), we concluded that a regulatory provision requiring that

* Because the majority bases its decision on the fact that plaintiff allegedly informed his employer of a defect in the tool before he was injured and the employer failed to remedy that defect, I presume the holdings in these Appellate Division decisions remain viable in circumstances where the plaintiff was unaware of the defective condition before the injury occurred and/or did not notify the employer.

forms be ‘‘braced or tied together so as to maintain position and shape’’ was sufficiently specific, while the portion of the regulation that directed that forms be ‘‘structurally safe’’ was not (*see* 12 NYCRR 23-2.2 [a]).

The provisions deemed actionable in *Rizzuto* and *Morris* each involved hazards identified with particularity in the regulation (e.g. slippery foreign substances on floors, forms that were not tied or braced to maintain position and shape) and concrete commands concerning how to remedy or avoid the identified hazards (e.g. the ‘‘foreign substance . . . shall be removed, sanded or covered’’; ‘‘Forms . . . shall be properly braced or tied together so as to maintain position and shape’’). But the regulation here contains no such directive. It broadly states that machines must be kept in ‘‘good repair’’ and ‘‘proper operating condition,’’ and that unspecified ‘‘structural defect[s] or unsafe condition[s]’’ be remedied in some unidentified manner upon discovery.

As I see it, there is no distinction between the requirement that forms be kept structurally safe (which we deemed not sufficiently specific in *Morris*) and that structural defects/unsafe conditions be remedied. After all, the mandate that ‘‘[f]orms . . . shall be structurally safe’’ necessarily incorporates the command that a structural defect be remedied if it is discovered—yet we held in *Morris* that this part of the regulation was not actionable, and we did so even though the provision related to a specific construction element—forms. Because section 23-9.2 (a) does not identify a particular hazard with specificity or contain a concrete command relating to such a hazard, I believe it does nothing more than restate the common-law standard of care and does not give rise to a nondelegable duty on the part of an owner who did not control the project. I would, therefore, affirm the order of the Appellate Division, which granted summary judgment dismissing the Labor Law § 241 (6) claim.

I am also unpersuaded that the allegation that plaintiff told his supervisor about the tool’s defective condition before the injury occurred alters the resolution of this case. Until today, we have assessed whether a regulation was specific enough to support Labor Law § 241 (6) liability by examining the language used in the regulation, without regard to the facts alleged in a particular case. While the actions plaintiff took after he discovered the alleged defect may be pertinent to a comparative fault defense, they are not relevant to the threshold question of whether the regulation on which he relies contains the concrete mandate required to impose a nondelegable duty on an owner or general contractor.

As an alternative basis for affirmance, Judge Smith makes a compelling argument that section 23-9.2 (a) does not apply to the power hand tool involved in plaintiff's injury. But I cannot join in his dissent because this contention was neither preserved for review in the trial court nor raised by defendants in this Court. I view the preservation requirement as a constitutional limitation on this Court's jurisdiction (*see* NY Const, art VI, § 3 [a] [''The jurisdiction of the court of appeals shall be limited to the review of questions of law except where the judgment is of death, or where the appellate division . . . finds new facts'']). With very few exceptions not relevant here, a party must raise an argument in the trial court to create an issue of law that can be reviewed in this Court (*see e.g. Bingham v New York City Tr. Auth.*, 99 NY2d 355 [2003]). While we have recognized that some contentions present issues of law even if not preserved—such as errors so egregious that they affect the ''mode of proceedings''—the possible inapplicability of the regulation in this case does not fall into any recognized exception. And even if the preservation hurdle could be surmounted, for purposes of this appeal, defendants waived the argument by not raising it in their briefs in this Court. It would therefore be improper to dismiss plaintiff's claim based on an issue that he has not had an opportunity to address.

SMITH, J. (dissenting). Subpart 23-9 of the Industrial Code is limited by its terms to ''heavy equipment or machinery'' (12 NYCRR 23-9.1, quoted in majority op at 516). Thus section 23-9.2, which is part of subpart 23-9, is plainly inapplicable to the hand tool involved in this case. Yet, because defendant did not raise that point, the majority feels compelled to decide whether, if the regulation were applicable to hand tools, it would be specific enough to support plaintiff's claim—an exercise akin to deciding whether I would be a bicycle if I had wheels. I think it is unwise to decide such hypothetical questions, and I do not think our preservation jurisprudence requires it.*

The authoritative work on practice in our Court, Karger, Powers of the New York Court of Appeals, states the ''general rule''

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* I acknowledge, however, that the majority has a point when it says it would be unfair to decide a question not argued *in this Court*. If I could persuade my colleagues not to require preservation here, I would favor inviting the parties to comment on the issue before we decided it.

that "the Court of Appeals will not review a question raised for the first time on appeal" (§ 17:1, at 589 [3d ed rev]). Karger adds:

> "Manifestly, however, if any such rule were to be applied in every case without qualification, it would often be stultifying. Thus, it might require appellate judges to sit as automatons, merely to register their reactions to the arguments which counsel had made below. The fortunes of litigation might then turn, not on the merits of a case, but on the skill or prescience of counsel in the court of first instance.
>
> "An exception to the general rule has accordingly long been applied, subject to certain qualifications, that a newly raised point of law may be entertained on appeal where it is one which is decisive of the appeal and which could not have been obviated 'by factual showings or legal countersteps' if it had been raised below." (*Id.* at 591-592 [footnotes omitted].)

The exception stated by Karger fits this case perfectly. The plain inapplicability of the regulation plaintiff relies on is decisive of this appeal, and could not have been obviated by any factual showings or legal countersteps if raised below.

Our preservation rule is an important one—so important that we have occasionally referred to it as a matter of "jurisdiction" (*see e.g. People v Turriago*, 90 NY2d 77, 80 [1997]). But it is not truly jurisdictional, in the sense of being a limitation on our power. We review unpreserved questions when common sense and practical necessity dictate that we should. Thus, in criminal cases, we review claimed "mode of proceedings" errors without regard for preservation (*e.g. People v Ahmed*, 66 NY2d 307, 310 [1985]); we review unpreserved claims of ineffective assistance of counsel, since it would be absurd to insist on preservation by the very counsel claimed to be ineffective (*e.g. People v Lewis*, 2 NY3d 224 [2004]); we review unpreserved claims relating to the sufficiency of accusatory instruments (*e.g. People v Alejandro*, 70 NY2d 133, 135, 139 [1987]) and the legality of sentences (*e.g. People v Samms*, 95 NY2d 52, 55-57 [2000]); and we review other claims where it is unreasonable to expect them to have been preserved below (*e.g. People v Louree*, 8 NY3d 541, 545-546 [2007]). We could do none of these things if the preservation rule were truly jurisdictional; common sense and practical necessity would be irrelevant.

Exceptions to the preservation requirement in civil cases (apart from quasi-criminal matters, like juvenile delinquency proceedings) are, for understandable reasons, much more rare than in criminal cases, but they do exist (*see Matter of Rivera v Smith*, 63 NY2d 501, 516 n 5 [1984] ["a new argument may be raised for the first time in the Court of Appeals if it could not have been obviated or cured by factual showings or legal countersteps in the court of first instance"]; *American Sugar Ref. Co. of N.Y. v Waterfront Commn. of N.Y. Harbor*, 55 NY2d 11, 25 [1982] [same]; *Telaro v Telaro*, 25 NY2d 433, 439 [1969] ["the general rule concerning questions raised neither at the trial nor at previous stages of appeal is far less restrictive than some case language would indicate"]). I do not suggest that we should make a regular practice of dispensing with the preservation requirement. But we clearly have the power to do so, and I think it is better to exercise that power in this case than to struggle with the difficult question of whether the regulation at issue, if it applied to the hand tool plaintiff used (which it does not), would entitle him to sue.

Chief Judge LIPPMAN and Judges CIPARICK and JONES concur with Judge READ; Judge GRAFFEO dissents and votes to affirm in a separate opinion; Judge SMITH dissents in another opinion in which Judge PIGOTT concurs.

Order reversed, etc.

[909 NE2d 573, 881 NYS2d 651]

FRIEDA SARGISS, Appellant, v MARLENE MAGARELLI, as Executor of ISAAC G. SARGISS, Also Known as ISAAC GEORGE SARKISSIAN, Deceased, et al., Respondents, et al., Defendants.

Argued May 5, 2009; decided June 4, 2009

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered April 29, 2008. The Appellate Division affirmed an order of the Supreme Court, Westchester County (Joan B. Lefkowitz, J.), which had granted the motion of defendant Marlene Magarelli and the separate motion of defendants Julius Sargiss, Alice Sargiss and Panrad Automotive Industries, Inc., to dismiss the complaint.

Sargiss v Magarelli, 50 AD3d 1117, modified.

HEADNOTES

Pleading — Sufficiency of Pleading — Fraud

1. In an action in which plaintiff alleged that she had justifiably relied on decedent's false representations during their divorce proceedings that he had sold his interest in a private corporation that he owned with his brother, and that she would not have agreed in the divorce action to a stipulation dividing the parties' assets if she had known the truth regarding decedent's assets, the complaint and accompanying affidavits were sufficient to withstand scrutiny under CPLR 3016 (b) insofar as they alleged fraud against decedent's estate, his brother and the corporation. Although plaintiff's allegations of fraud were not directly lodged against decedent's brother and the corporation in the complaint in the same detail as they were against the decedent, the indirect circumstantial inference of the brother's fraudulent conduct and his direct naming with regard to the same conduct alleged, under the circumstances, was sufficient. The brother's knowledge of any fraudulent scheme and participation in it were clear, because it would have been impossible for decedent to carry out the fraudulent scheme as alleged without his brother knowing of the scheme and participating in it. Plaintiff's allegations as to the corporation were also sufficient to survive the motion to dismiss given the corporation's involvement in allegedly improper payouts to decedent based on an alleged continued ownership interest in the corporation, and the fact that decedent's brother, an indispensable participant in the scheme as alleged, controlled the corporation.

Limitation of Actions — Fraud

2. The complaint should not have been dismissed as time-barred (CPLR 213 [8]; 203 [g]) in a fraud-based action in which plaintiff alleged that she had justifiably relied on decedent's false representations during their divorce proceedings that he had sold his interest in a private corporation that he owned with his brother, that financial documents discovered after decedent's death showed that decedent misrepresented his net worth in the divorce

proceedings, that decedent's brother and the corporation aided in the fraudulent misrepresentations and that she would not have agreed in the divorce action to the stipulation dividing the parties' assets if she had known the truth regarding decedent's assets. Notwithstanding that the action was commenced more than six years after the fraud was allegedly perpetrated, it was commenced less than two years from the discovery of the financial documents. There was no indication that plaintiff had knowledge of the alleged fraud prior to the discovery of the financial documents, and it was unclear on the record before the court how plaintiff could have discovered the alleged fraud earlier than she did.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Fraud and Deceit §§ 56, 59–61, 152, 166, 173, 239, 242, 244, 267, 338, 346, 347, 450–470; AM JUR 2d, Limitation of Actions §§ 179, 180; AM JUR 2d, Pleading § 135.

CARMODY-WAIT 2d, Limitation of Actions §§ 13:167, 13:168, 13:265–13:267; CARMODY-WAIT 2d, Complaints in Particular Actions §§ 29:256, 29:257, 29:260, 29:262.

MCKINNEY'S, CPLR 203 (g); 213 (8); 3016 (b).

NY JUR 2d, Fraud and Deceit §§ 14, 16, 17, 29–31, 61, 87, 138–141, 166, 170, 188, 196, 232–235; NY JUR 2d, Limitations and Laches §§ 94–97, 185.

SIEGEL, NY PRAC §§ 35, 43, 216.

ANNOTATION REFERENCE

See ALR Index under Discovery of Injury or Occurrence; Divorce and Separation; Fraud and Deceit; Limitation of Actions; Reliance.

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POINTS OF COUNSEL

Brett Kimmel, P.C., New York City (*Myrna Felder* of counsel), for appellant. I. The complaint pleaded the fraud with the required specificity. (*Kaufman v Kaufman,* 135 AD2d 786; *Fine v Fine,* 12 AD3d 399; *Cruciata v Cruciata,* 10 AD3d 349; *Kojovic v Goldman,* 35 AD3d 65; *DiSalvo v Graff,* 227 AD2d 298.) II. The action should not have been time-barred. (*Abbate v Abbate,* 82 AD2d 368; *Fine v Fine,* 12 AD3d 399; *Kaufman v Kaufman,* 135 AD2d 786; *Chapin v Chapin,* 12 AD3d 550.)

Bleakley Platt & Schmidt, LLP, White Plains (*William Hughes Mulligan, Jr.,* of counsel), for Marlene Magarelli, respondent. I. The complaint fails to state a cause of action for fraud with the required specificity. (*Martin v City of Cohoes,* 37 NY2d 162; *Jiggetts v Dowling,* 3 AD3d 326; *County of Suffolk v Stone & Webster Eng'g Corp.,* 106 F3d 1112; *Penna v Caratozzolo,* 131 AD2d 738; *Gervasio v Di Napoli,* 126 AD2d 514.) II. Plaintiff's first cause of action against all defendants was properly dismissed as barred by the statute of limitations. (*Abbate v Abbate,* 82 AD2d 368; *Fine v Fine,* 12 AD3d 399; *Kaufman v Kaufman,* 135 AD2d 786; *Chapin v Chapin,* 12 AD3d 550.)

Walter L. Rich, White Plains, and *Joseph S. Garafola* for Julius Sargiss and others, respondents. I. The complaint fails to state a cause of action for fraud against Marlene Magarelli, Julius Sargiss, Alice Sargiss and Panrad Automotive Industries, Inc. (*Lama Holding Co. v Smith Barney,* 88 NY2d 413; *Ward v City of New York,* 15 AD3d 392; *511 W. 232nd Owners Corp. v Jennifer Realty Co.,* 98 NY2d 144; *Parker v Leonard,* 24 AD3d 1255; *Gibraltar Steel Corp. v Gibraltar Metal Processing,* 19 AD3d 1141; *Riverbank Realty Co. v Koffman,* 179 AD2d 542; *Del Vecchio v Nassau County,* 118 AD2d 615; *Bereswill v Yablon,* 6 NY2d 301; *Satin v Satin,* 69 AD2d 792; *Factory Point Natl. Bank v Wooden Indian,* 198 AD2d 563.) II. Plaintiff's claim is time-barred. (*Kaufman v Cohen,* 307 AD2d 113; *Kaye v Kaye,* 102 AD2d 682; *Pechman v Pechman,* 303 AD2d 479; *Garguilio v Garguilio,* 201 AD2d 617; *Siler v Lutheran Social Servs. of Metro. N.Y.,* 10 AD3d 646; *Von Blomberg v Garis,* 44 AD3d 1033.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

In July 1996, in connection with divorce proceedings prior to this action in which both parties were represented by counsel, the decedent husband, Isaac G. Sargiss, provided his wife, Frieda Sargiss, with a statement of net worth. The statement listed "PANRAD" as an asset, but the statement did not assign any value to that asset, leaving the space provided for that information blank. Panrad Automotive Industries, Inc. (Panrad) is a private corporation that owns two shopping centers. At one time shares in Panrad were owned by the decedent, defendant Julius Sargiss (decedent's brother), and a third person. When and whether decedent's ownership interest in Panrad ended before his death lies at the root of plaintiff's action.

When asked at his deposition in January 1998 whether he, at that time, owned shares in Panrad, the decedent testified that he did not because he had sold his shares in Panrad to his brother Julius for $250,000. Decedent testified that Julius paid him the $250,000 plus interest in 1993 pursuant to an agreement the brothers had entered into in 1990. Plaintiff and decedent ultimately reached a stipulation as to how to divide their assets in the divorce proceeding, and they were divorced in the spring of 1998. Decedent moved to California and had no further contact with plaintiff after the divorce.

Isaac G. Sargiss died on March 25, 2004. Shortly thereafter, decedent's daughter discovered certain financial documents in his California home which suggested that decedent may not have sold his interest in Panrad to Julius, may have misrepresented his assets in his July 1996 statement of net worth, and may have testified falsely at his January 1998 deposition. Plaintiff commenced this fraud action in May 2005, more than six years after the fraud was allegedly perpetrated but less than two years from the discovery of the financial documents in decedent's California home.

Plaintiff's complaint alleges, among other things, that she relied on decedent's representations during the divorce proceedings as to his net worth, that she was justified in relying on those representations, that documents discovered after decedent's death show that decedent misrepresented his net worth in the divorce proceedings, that Julius, his wife Alice, and Panrad aided in the fraudulent misrepresentations, and that plaintiff would not have agreed to the 1998 stipulation if she had known the truth regarding decedent's assets. The executor of decedent's estate, Julius Sargiss, Alice Sargiss, and Panrad moved to dismiss the complaint pursuant to CPLR 3211 on grounds that the complaint did not plead fraud with sufficient specificity as required by CPLR 3016 (b) and that the action was untimely.

When a plaintiff brings a cause of action based upon fraud, "the circumstances constituting the wrong shall be stated in detail" (CPLR 3016 [b]). "The purpose of section 3016 (b)'s pleading requirement is to inform a defendant with respect to the incidents complained of," thus, "[w]e have cautioned that section 3016 (b) should not be so strictly interpreted as to prevent an otherwise valid cause of action in situations where it may be impossible to state in detail the circumstances constituting a fraud" (*Pludeman v Northern Leasing Sys., Inc.*, 10 NY3d 486, 491 [2008] [internal quotation marks and citation omitted]). What is "[c]ritical to a fraud claim is that a complaint allege the basic facts to establish the elements of the cause of action,'' and although under CPLR 3016 (b) ''the complaint must sufficiently detail the allegedly fraudulent conduct, that requirement should not be confused with unassailable proof of fraud'' (*id.* at 492). ''Necessarily, then, section 3016 (b) may be met when the facts are sufficient to permit a reasonable inference of the alleged conduct'' (*id.*). On a CPLR 3211 motion to dismiss, a court may consider affidavits to remedy pleading problems (*Leon v Martinez*, 84 NY2d 83, 88 [1994]).

In connection with the motion to dismiss, the parties submitted affidavits attaching relevant documents, including certain of the financial documents found after decedent's death. These indicate, among other things, that after decedent testified he had sold his shares to his brother Julius, he received a salary of $100,000 from Panrad and debited more than $700,000 from Panrad's account. Moreover, decedent never negotiated the check given him in satisfaction of the interest to which he was purportedly entitled under the brothers' agreement. Plaintiff has also submitted documents that seem to show that decedent was understood to have a half interest in Panrad's cash in 1999, and that Julius asked decedent to reimburse him for half of a 1998 tax liability (thus indicating that Julius was claiming for tax purposes income that in fact belonged to decedent). To be sure, defendants submitted evidence in the form of affidavits and documents to rebut plaintiff's assertions, but these merely raise factual issues not properly decided on a motion to dismiss.

[1] The complaint and the accompanying affidavits are sufficient to withstand scrutiny under CPLR 3016 (b) insofar as they allege fraud as against decedent's estate, Julius Sargiss, and Panrad. Although plaintiff's ''allegations of fraud were not directly lodged against'' Julius Sargiss and Panrad in the complaint in the same detail as they were against the decedent, ''the indirect circumstantial inference'' of Julius's fraudulent conduct and his ''direct naming . . . with regard to the same conduct alleged, under the circumstances,'' is sufficient (*Pludeman*, 10 NY3d at 492 n 3). If there was a fraudulent scheme, Julius's knowledge of it and participation in it are clear because it would have been impossible for decedent to carry out the fraudulent scheme as alleged without Julius knowing of the scheme and participating in it. Plaintiff's allegations as to Panrad are also sufficient to survive the motion to dismiss given Panrad's involvement in allegedly improper payouts to decedent based on an alleged continued ownership interest in the corporation, not to mention that Julius, an indispensable participant in the scheme as alleged, controls Panrad.

There is, however, nothing asserted in the complaint or in the parties' submissions on the motion to dismiss that implicates Alice Sargiss in the alleged fraud, and, accordingly, the complaint was properly dismissed as against her.

[2] With respect to the timeliness of plaintiff's action, a fraud-based action must be commenced within six years of the fraud or within two years from the time the plaintiff discovered the fraud or "could with reasonable diligence have discovered it" (CPLR 213 [8]; *see* CPLR 203 [g]). The inquiry as to whether a plaintiff could, with reasonable diligence, have discovered the fraud turns on whether the plaintiff was "possessed of knowledge of facts from which [the fraud] could be reasonably inferred" (*Erbe v Lincoln Rochester Trust Co.*, 3 NY2d 321, 326 [1957]). "Generally, knowledge of the fraudulent act is required and mere suspicion will not constitute a sufficient substitute" (*id.*). "Where it does not conclusively appear that a plaintiff had knowledge of facts from which the fraud could reasonably be inferred, a complaint should not be dismissed on motion and the question should be left to the trier of the facts" (*Trepuk v Frank*, 44 NY2d 723, 725 [1978]; *see Erbe*, 3 NY2d at 326). There is no indication that plaintiff had knowledge of the alleged fraud prior to her daughter's discovery of certain financial documents in decedent's California home after his death, and there is no dispute that plaintiff commenced this action within two years of this discovery. Moreover, on the record before us, it is unclear how plaintiff could have discovered the alleged fraud earlier than she did.

Accordingly, the order of the Appellate Division should be modified, without costs, by remitting to Supreme Court for further proceedings in accordance with this opinion, and, as so modified, affirmed.

Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Order modified, etc.

[911 NE2d 825, 883 NYS2d 763]

LEE N. KOEHLER, Appellant, v THE BANK OF BERMUDA LIMITED, Respondent.

Argued April 28, 2009; decided June 4, 2009

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review a question certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following question was certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: ''May a court sitting in New York order a bank over which it has personal jurisdiction to deliver stock certificates owned by a judgment debtor (or cash equal to their value) to a judgment creditor, pursuant to N.Y. C.P.L.R. Article 52, when those stock certificates are located outside New York?''

HEADNOTE

Creditors' Suits — Turnover Order — Turnover of Out-of-State Assets Held by Garnishee

A court sitting in New York may order a bank over which it has personal jurisdiction to deliver stock certificates owned by a judgment debtor (or cash equal to their value) to a judgment creditor, pursuant to CPLR article 52, when those stock certificates are located outside New York. CPLR article 52 governs the enforcement of money judgments and orders directing the payment of money. Such postjudgment enforcement requires only jurisdiction over persons, as opposed to prejudgment attachment which is typically based on jurisdiction over property. CPLR article 52 contains no express territorial limitation barring the entry of a turnover order that requires a garnishee to transfer money or property into New York from another state or country, and recent legislation supports the conclusion that the Legislature intended CPLR article 52 to have extraterritorial reach. Further, bearing in mind the fundamental differences between postjudgment enforcement and prejudgment attachment, a New York court with personal jurisdiction over a defendant may order him to turn over out-of-state property regardless of whether the defendant is a judgment debtor or a garnishee.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Executions and Enforcement of Judgments §§ 572, 588, 637.

CARMODY-WAIT 2d, Enforcement of Judgments §§ 64:362, 64:364, 64:366, 64:368.

MCKINNEY'S, CPLR 5225 (a), (b).

NY Jur 2d, Enforcement and Execution of Judgments §§ 190, 249, 254–256, 260.
Siegel, NY Prac §§ 510, 515.

ANNOTATION REFERENCE

See ALR Index under Attachment or Garnishment; Jurisdiction.

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Database: NY-ORCS
Query: turnover /s out-of-state /p garnish!

POINTS OF COUNSEL

Paul F. Newhouse, of the Maryland bar, admitted pro hac vice, for appellant. I. New York courts have express statutory authority to order delivery of assets of the judgment debtor located outside New York. (*Warner v Fourth Natl. Bank,* 115 NY 251; *Simpson v Jersey City Contr. Co.,* 165 NY 193; *Shaffer v Heitner,* 433 US 186; *Starbare II Partners v Sloan,* 216 AD2d 238; *Miller v Doniger,* 28 AD3d 405; *Gryphon Dom. VI, LLC v APP Intl. Fin. Co., B.V.,* 41 AD3d 25; *Morgenthau v Avion Resources Ltd.,* 49 AD3d 50; *ABKCO Indus. v Apple Films,* 39 NY2d 670; *Matter of National Union Fire Ins. Co. of Pittsburgh, Pa. v Advanced Empl. Concepts,* 269 AD2d 101; *Fleming v Gray Mfg. Co.,* 352 F Supp 724.) II. New York law authorizes a turnover order covering assets held outside the court's territorial jurisdiction so long as personal jurisdiction and a New York situs exist. (*Alliance Bond Fund, Inc. v Grupo Mexicano De Desarrollo, S.A.,* 190 F3d 16; *ABKCO Indus. v Apple Films,* 39 NY2d 670; *Simpson v Jersey City Contr. Co.,* 165 NY 193; *Warner v Fourth Natl. Bank,* 115 NY 251; *Suffolk Auto Liquidators v Eastern Auto Auction,* 74 Misc 2d 411; *Lutes v Shenk,* 285 App Div 416; *Inter-Regional Fin. Group, Inc. v Hashemi,* 562 F2d 152; *Fleming v Gray Mfg. Co.,* 352 F Supp 724; *Fidelity Partners, Inc. v First Trust Co. of N.Y.,* 58 F Supp 2d 55; *In re Feit & Drexler, Inc.,* 760 F2d 406.)

Friedman Kaplan Seiler & Adelman LLP, New York City (*Daniel B. Rapport, Robert J. Lack* and *Jason C. Rubinstein* of counsel), for respondent. I. A New York court cannot order a bank, as garnishee, to deliver into the state stock certificates owned by a judgment debtor, or cash equal to their value. (*National Broadway Bank v Sampson,* 179 NY 213; *Hotel 71 Mezz Lender LLC v Falor*, 58 AD3d 270; *ABKCO Indus. v Apple Films,* 39 NY2d 670; *Carr v Corcoran,* 44 App Div 97; *Capital*

Distribs. Servs., Ltd. v Ducor Express Airlines, Inc., 440 F Supp 2d 195; *Fidelity Partners, Inc. v Philippine Export & Foreign Loan Guar. Corp.,* 921 F Supp 1113; *Intercontinental Credit Corp. Div. of Pan Am. Trade Dev. Corp. v Roth,* 152 Misc 2d 751; *Overby v Gordon,* 177 US 214; *Hanson v Denckla,* 357 US 235; *Plimpton v Bigelow,* 93 NY 592.) II. A. David Dodwell's stock certificates are the only property at issue on this appeal. (*ABKCO Indus. v Apple Films,* 39 NY2d 670; *Glassman v Hyder,* 23 NY2d 354; *Simpson v Jersey City Contr. Co.,* 165 NY 193; *Warner v Fourth Natl. Bank,* 115 NY 251; *Lutes v Shenk,* 285 App Div 416; *Suffolk Auto Liquidators v Eastern Auto Auction,* 74 Misc 2d 411; *Fidelity Partners, Inc. v Philippine Export & Foreign Loan Guar. Corp.,* 921 F Supp 1113.)

Sullivan & Cromwell LLP, New York City (*H. Rodgin Cohen, Bruce E. Clark, Michael M. Wiseman, Daniel A. Goldschmidt* and *Norman R. Nelson* of counsel), for Clearing House Association L.L.C., amicus curiae. I. Article 52 of the CPLR does not empower a New York court to order a garnishee bank to deliver stock certificates located outside of the jurisdiction into the state. (*Gryphon Dom. VI, LLC v APP Intl. Fin. Co., B.V.,* 41 AD3d 25; *Starbare II Partners v Sloan,* 216 AD2d 238; *Hotel 71 Mezz Lender LLC v Falor,* 58 AD3d 270; *National Broadway Bank v Sampson,* 179 NY 213; *ABKCO Indus. v Apple Films,* 39 NY2d 670; *Commercial Credit Corp. v Young,* 258 App Div 323; *Miller v Doniger,* 28 AD3d 405; *Shaffer v Heitner,* 433 US 186; *Lenchyshyn v Pelko Elec.,* 281 AD2d 42; *Fine v Spierer,* 109 AD2d 611.) II. The Court should not answer the certified question in a manner that conflicts with the separate entity rule. (*Cronan v Schilling,* 282 App Div 940; *Matter of National Union Fire Ins. Co. of Pittsburgh, Pa. v Advanced Empl. Concepts,* 269 AD2d 101; *Digitrex, Inc. v Johnson,* 491 F Supp 66; *Limonium Mar., S.A. v Mizushima Marinera, S.A.,* 961 F Supp 600; *Fidelity Partners, Inc. v Philippine Export & Foreign Loan Guar. Corp.,* 921 F Supp 1113; *Motorola Credit Corp. v Uzan,* 288 F Supp 2d 558.) III. An affirmative answer to the certified question would have serious adverse practical consequences. (*Gryphon Dom. VI, LLC v APP Intl. Fin. Co., B.V.,* 41 AD3d 25; *Islamic Republic of Iran v Pahlavi,* 62 NY2d 474; *O'Connell v Corcoran,* 1 NY3d 179.) IV. The Court should answer the certified question in the negative to avoid unnecessary conflicts with the laws of other jurisdictions. (*International Multifoods Corp. v Commercial Union Ins. Co.,* 98 F Supp 2d 498; *Ehrlich-Bober & Co. v University of Houston,* 49 NY2d 574.)

OPINION OF THE COURT

PIGOTT, J.

The United States Court of Appeals for the Second Circuit, by certified question, asks us to decide whether a court sitting in New York may order a bank over which it has personal jurisdiction to deliver stock certificates owned by a judgment debtor (or cash equal to their value) to a judgment creditor, pursuant to CPLR article 52, when those stock certificates are located outside New York. We answer the certified question in the affirmative.

I.

Sixteen years ago, on June 4, 1993, the United States District Court for the District of Maryland awarded Lee N. Koehler, a citizen of Pennsylvania, a default judgment in the sum of $2,096,343 against his former business partner, A. David Dodwell. Koehler duly registered the Maryland judgment in the United States District Court for the Southern District of New York. At that time, Dodwell, a resident of Bermuda, owned stock in a Bermuda corporation, of which he and Koehler had been shareholders, and certificates representing Dodwell's shares were in the possession of the Bank of Bermuda Limited (BBL), and located in that country. Dodwell had pledged the shares to BBL as collateral for a loan.

On October 27, 1993, Koehler filed a petition against BBL in the United States District Court for the Southern District of New York, seeking ''payment or delivery of property of judgment debtor,'' and citing CPLR article 52. Koehler served the petition upon an officer of the Bank of Bermuda (New York) Limited, which he claimed to be a New York subsidiary and agent of BBL. On October 29, 1993, the District Court ordered BBL to deliver the stock certificates, or monies sufficient to pay the judgment, to Koehler. It is this turnover order that is the subject of the certified question before us.

BBL argued before the District Court that service upon the New York bank did not subject BBL to the personal jurisdiction of the court. Although this jurisdictional issue was the subject of litigation in federal court for some 10 years, BBL eventually consented, by letter dated October 9, 2003, to the personal jurisdiction of the court as of the time that Koehler had commenced the proceeding.

In 2004, BBL revealed that the stock certificates were no longer in its possession. The obligations for which BBL had held the certificates as collateral had been satisfied and BBL—despite the District Court's turnover order—had transferred the stock to a Bermudan company existing for Dodwell's benefit in July 1994. On March 9, 2005, the District Court dismissed Koehler's petition, on several grounds, including that the federal court had no in rem jurisdiction over Dodwell's shares (2005 WL 551115, 2005 US Dist LEXIS 3760 [SD NY 2005]). In doing so, the District Court relied on the principle that a New York court cannot attach property that is not within the state.

Koehler appealed to the Second Circuit, which observed that New York law does not make clear whether a court sitting in New York has the authority under CPLR 5225 (b) to order a defendant, other than the judgment debtor himself, to deliver assets into New York, when the court has personal jurisdiction over the defendant but the assets are not located in New York. The Second Circuit, finding no controlling precedent from our Court, certified this dispositive jurisdictional question to us (544 F3d 78 [2008]).

II.

CPLR article 52 governs the enforcement of money judgments and orders directing the payment of money. By contrast, prejudgment attachment is governed by CPLR article 62. Enforcement proceedings and attachment proceedings, while similar in many ways, differ fundamentally in respect to a court's jurisdiction. While prejudgment attachment is typically based on jurisdiction over property, postjudgment enforcement requires only jurisdiction over persons.

Article 52 authorizes a judgment creditor to file a motion against a judgment debtor to compel turnover of assets or, when the property sought is not in the possession of the judgment debtor himself, to commence a special proceeding against a garnishee who holds the assets. CPLR 5225, the provision applicable here, supplies judgment creditors with a device known as a ''delivery order'' or ''turnover order.'' With respect to garnishees, CPLR 5225 (b) allows a New York court to issue a judgment ordering a party to deliver the property in which the judgment debtor has an interest, or to convert it to money for payment of the debt. ''[W]here it is shown that the judgment debtor is entitled to the possession of such property . . . , the court shall require such person to pay the money, or so much of it as is sufficient to satisfy the judgment, to the judgment creditor'' (CPLR 5225 [b]). Disobedience of a turnover order is contempt of court and punishable as such.

The requirement that the judgment creditor proceed against the garnishee, rather than by a device operating on the property alone, recognizes the possibility that the garnishee, or a fourth party, may assert its own interests in the property.

> ''If there are any other claimants to the property or money involved, they can be allowed to intervene, if, indeed, the judgment creditor has not already joined them in the first place, or the garnishee interpleaded them. . . . The special proceeding, in short, can be converted into a full-fledged test of precisely whom the disputed property or debt belongs to . . . .'' (Siegel, NY Prac § 510, at 868 [4th ed].)

By contrast, an article 62 attachment proceeding operates only against *property*, not any person. By means of attachment, a creditor effects the prejudgment seizure of a debtor's property, to be held by the sheriff, so as to apply the property to the creditor's judgment if the creditor should prevail in court. Attachment simply keeps the debtor away from his property or, at least, the free use thereof; it does not transfer the property to the creditor. It is frequently used when the creditor suspects that the debtor is secreting property or removing it from New York and/or when the creditor is unable to serve the debtor, despite diligent efforts, even though the debtor would be within the personal jurisdiction of a New York court (*see* CPLR 6201). Attachment has also been used to *confer* jurisdiction. When a debtor is neither a domiciliary nor a resident of New York—so that the creditor cannot obtain personal jurisdiction of the debtor—but owns assets in New York, courts have exercised jurisdiction over the debtor. This quasi in rem jurisdiction is subject to the due process restrictions outlined by the United States Supreme Court in *Shaffer v Heitner* (433 US 186 [1977]; *see generally* Siegel, NY Prac §§ 104, 313, 314 [4th ed]).

In short, article 52 postjudgment enforcement involves a proceeding against a person—its purpose is to demand that a person convert property to money for payment to a creditor—whereas article 62 attachment operates solely on property, keeping it out of a debtor's hands for a time. We approach the certified question with these differences in mind.

III.

It is well established that, where personal jurisdiction is lacking, a New York court cannot attach property not within its jurisdiction. ''[I]t is a fundamental rule that in attachment proceedings the *res* must be within the jurisdiction of the court issuing the process, in order to confer jurisdiction'' (*National Broadway Bank v Sampson*, 179 NY 213, 223 [1904], quoting *Douglass v Phenix Ins. Co. of Brooklyn, N. Y.*, 138 NY 209, 219 [1893]; *accord Hotel 71 Mezz Lender LLC v Falor*, 58 AD3d 270, 273 [1st Dept 2008]; *Matter of National Union Fire Ins. Co. of Pittsburgh, Pa. v Advanced Empl. Concepts*, 269 AD2d 101 [1st Dept 2000]). Significantly, ''attachment suits partake of the nature of suits *in rem*, and are distinctly such when they proceed without jurisdiction having been acquired of the person of the debtor in the attachment'' (*Douglass*, 138 NY at 218). But it is equally well established that ''[h]aving acquired jurisdiction of the person, the court[ ] can compel observance of its decrees by proceedings *in personam* against the owner within the jurisdiction'' (*id.* at 219). The certified question concerns the latter process.

CPLR article 52 contains no express territorial limitation barring the entry of a turnover order that requires a garnishee to transfer money or property into New York from another state or country. It would have been an easy matter for the Legislature to have added such a restriction to the reach of article 52 and there is no basis for us to infer it from the broad language presently in the statute. Moreover, we note that the Legislature has recently amended CPLR 5224 so as to facilitate disclosure of materials that would assist judgment creditors in collecting judgments, when those materials are located outside New York. The 2006 amendment adds a subdivision that expressly allows the securing of out-of-state materials by in-state service of a subpoena on the party in control of the materials.* Recent legislation thus supports our conclusion that the Legislature intended CPLR article 52 to have extraterritorial reach.

The First Department of the Appellate Division has expressly held that judgment debtors can be ordered to turn

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* Specifically, subdivision (a-1) provides that

> ''[a] subpoena duces tecum authorized by this rule and served on a judgment debtor, or on any individual while in the state, or on a corporation, partnership, limited liability company or sole proprietorship doing business, licensed, qualified, or otherwise entitled to do business in the state, shall subject the person or other entity or business served to the full disclosure prescribed by section fifty-two hundred twenty-three of this article whether the materials sought are in the possession, custody or control of the subpoenaed person, business or other entity *within or without the state*'' (emphasis added).

over out-of-state assets under CPLR article 52 (*see Gryphon Dom. VI, LLC v APP Intl. Fin. Co., B.V.*, 41 AD3d 25 [1st Dept 2007], *lv denied* 10 NY3d 705 [2008]; *see also Miller v Doniger*, 28 AD3d 405 [1st Dept 2006]; *Starbare II Partners v Sloan*, 216 AD2d 238 [1st Dept 1995]). ''[T]he explicit rationale was that the court could order the defendant judgment debtor to turn over property because it had personal jurisdiction over the defendant'' (*Gryphon*, 41 AD3d at 31, citing *Starbare*, 216 AD2d at 239). Recently, the First Department endorsed the position that ''New York courts have the power to command a garnishee present in the state to bring out-of-state assets under the garnishee's control into the state'' (*Morgenthau v Avion Resources Ltd.*, 49 AD3d 50, 54 [1st Dept 2007], *mod on other grounds* 11 NY3d 383 [2008]).

As that court noted, the key to the reach of the turnover order is personal jurisdiction over a particular defendant. ''[A] turnover order merely directs a defendant, over whom the New York court has jurisdiction, to bring its own property into New York'' (*Gryphon*, 41 AD3d at 31). A New York court has the authority to issue a turnover order pertaining to extraterritorial property, if it has personal jurisdiction over a judgment debtor in possession of the property. ''As long as the debtor is subject to the court's personal jurisdiction, a delivery order can be effective even when the property sought is outside the state'' (Siegel, NY Prac § 510, at 866 [4th ed]).

Indeed, BBL concedes that, when a judgment debtor is subject to a New York court's personal jurisdiction, that court has jurisdiction to order the judgment debtor to bring property into the state, because the court's authority is based on its personal jurisdiction over the judgment debtor. BBL argues, however, that when the judgment debtor—in this case Dodwell—is not within the personal jurisdiction of the New York court, the court's authority over the judgment debtor's property must be based on in rem jurisdiction, even if the garnishee is within the court's personal jurisdiction. Because we find no indication in CPLR 5225 that in rem jurisdiction is required in such circumstances, we disagree.

Both CPLR 5225 (a) and (b) provide that a judgment creditor may obtain an order from a New York court, requiring a defendant who is in possession or custody of money or other personal property in which a judgment debtor has an interest to turn over the property or pay the money to the judgment creditor. CPLR 5225 (a) applies when the property sought is in the possession of the judgment debtor himself. CPLR 5225 (b) applies when the property is not in the judgment debtor's possession. The most significant difference between the subdivisions is that CPLR 5225 (a) is invoked by a *motion* made by the judgment creditor, whereas CPLR 5225 (b) requires a *special proceeding* brought by the judgment creditor against the garnishee. The reason for this procedural distinction is that the garnishee, not being a party to the main action, has to be independently subjected to the court's jurisdiction. But both CPLR 5225 (a) and (b) contemplate an order, directed at a defendant who is amenable to the personal jurisdiction of the court, requiring him to pay money or deliver property. Neither contemplates the situation in which attachment is typically sought—where it would be impossible or futile to protect a creditor's rights by means of an order issued to defendant (*see* CPLR 6201). In the attachment scenario, authority is conferred on the court in part or in whole by the situs of property within New York. In post-judgment enforcement, such in rem jurisdiction is not required. Bearing in mind the fundamental differences between enforcement and attachment discussed above, we hold that a New York court with personal jurisdiction over a defendant may order him to turn over out-of-state property regardless of whether the defendant is a judgment debtor or a garnishee.

IV.

In short, the principle that a New York court may issue a judgment ordering the turnover of out-of-state assets is not limited to judgment debtors, but applies equally to garnishees. Consequently, we conclude that a court sitting in New York that has personal jurisdiction over a garnishee bank can order the bank to produce stock certificates located outside New York, pursuant to CPLR 5225 (b).

Accordingly, the certified question should be answered in the affirmative.

SMITH, J. (dissenting). The majority holds in substance that a judgment may be enforced by garnishment in New York if the garnishee is subject to New York jurisdiction, even though the judgment creditor, the judgment debtor and the property that the judgment creditor is trying to seize are all elsewhere. I would not read New York's garnishment statutes so expansively. Such a broad garnishment remedy is unsupported by any precedent in New York or, apparently, in any other jurisdiction. Its policy implications are troubling, and it may well be unconstitutional in many of its applications.

The majority's holding opens a forum-shopping opportunity for any judgment creditor trying to reach an asset of any judgment debtor held by a bank (or other garnishee) anywhere in the world. If the bank has a New York branch—either one that is not separately incorporated, or a subsidiary with which the parent's relationship is close enough to subject the parent to New York jurisdiction—the judgment creditor, having registered the judgment in New York, can obtain an order requiring the asset to be delivered here. It is, apparently, irrelevant whether New York has any relationship with the judgment creditor, the judgment debtor or the dispute between them—indeed, in this case, so far as the record shows, no such relationship exists. And what a judgment creditor can do in New York, he can also do in Alabama, Alaska and 47 other states, if those states interpret their garnishment statutes as the majority interprets ours.

To offer this opportunity to judgment creditors seems to me a recipe for trouble. There may be competing claims to the asset, by parties who think they have as much right to it as the judgment creditor. It is obvious that claims against a single asset should be decided in a single forum—and almost equally obvious that that forum should be, as it traditionally has been, a court of the jurisdiction in which the asset is located. If any court with power over the garnishee can order the garnishee to change the asset's location, significant disruption in the process of deciding whose rights are superior seems inevitable. And the business of banking itself, for banks with offices in several states or countries, will also be disrupted. The Clearing House Association L.L.C., an association of banks operating in New York and many other domestic and international jurisdictions, has submitted an amicus brief predicting for its members and other banks significant administrative burdens, and risks of being subject to conflicting adjudications, resulting from the rule the majority now adopts. These fears may be exaggerated, but it seems unwise to put that question to the test.

It would not matter, of course, whether the majority's rule were wise or unwise if our Legislature had enacted it, or if our precedents required us to follow it. But neither is true. The relevant statutes, CPLR 5201 (b) (defining "property") and 5225 (b) (relating to payment or delivery of property not in the possession of the judgment debtor), say nothing about the extraterritorial effects of garnishment proceedings. The majority points out that the statute relating to garnishment in judgment enforcement proceedings (CPLR 5225 [b]), unlike the statutes governing prejudgment attachment (CPLR art 62), operates in personam, rather than in rem; that difference does not suggest to me, however, that the Legislature intended the judgment-enforcement statute to have broader extraterritorial impact. Rather, I think the difference arises from the differing nature of prejudgment and postjudgment remedies: prejudgment remedies are designed, essentially, to freeze assets in place, while postjudgment remedies serve to compel their transfer and/or sale. An in rem approach is adequate for the former purpose, but an in personam remedy is better suited to the latter. Whether, and to what extent, the Legislature intended postjudgment remedies to reach property outside New York is a different question, one that the text of the statutes does not answer.

Nor has the judgment creditor cited any case, from New York or anywhere else, in which it has been held that a third-party garnishee that is independent of the judgment debtor may be compelled to bring assets into a state as part of judgment enforcement proceedings. The judgment creditor relies on several Appellate Division cases (*Gryphon Dom. VI, LLC v APP Intl. Fin. Co., B.V.*, 41 AD3d 25 [1st Dept 2007]; *Miller v Doniger*, 28 AD3d 405 [1st Dept 2006]; *Starbare II Partners v Sloan*, 216 AD2d 238 [1st Dept 1995]) in which judgment debtors (and, in *Miller*, family members who had received presumptively fraudulent transfers) were ordered to bring property into the state. But those cases are distinguishable. Judgment debtors who can control where property is located may put it out of reach in order to frustrate enforcement of the judgment, and it may well be reasonable to prevent or thwart such maneuvers by ordering the property brought into New York. But this reasoning does not apply to third parties like the Bank of Bermuda here, which had interests independent of the judgment debtor and was presumably dealing with him at arm's length.

The case that is perhaps most relevant to the question the Second Circuit has asked us seems to me to support a negative answer. In *United States v First Natl. City Bank* (321 F2d 14 [1963], *revd* 379 US 378 [1965]), the United States, trying to collect taxes owed by a Uruguayan corporation, sought an in personam order against a New York bank to freeze, pendente lite, assets of the Uruguayan company that were on deposit in the bank's branches outside the United States. The Second

Circuit rejected the government's claim, on the ground that "the garnishor obtains no greater right against the garnishee than the garnishee's creditor had" (321 F2d at 19). The Second Circuit held that, since the bank's depositor could not require payment in New York of the overseas deposits, the government could not do so either. The Supreme Court reversed, stressing that the case involved only a pendente lite injunction, but seemed to endorse the Second Circuit's basic theory: that the government's rights as creditor were limited to "whatever rights the debtor . . . may have" against the garnishee bank (379 US at 381). Here, the judgment creditor has made no attempt to show—and there is no apparent basis for concluding—that the judgment debtor could have compelled the Bank of Bermuda to deliver the shares to the judgment debtor in New York. *First National City Bank* implies that the judgment creditor should not be permitted to do what the judgment debtor could not do.

The majority's broad view of New York's garnishment remedy may cause it to exceed the limits placed on New York's jurisdiction by the Due Process Clause of the Federal Constitution. In *Shaffer v Heitner* (433 US 186, 212 [1977]), the Supreme Court held that "all assertions of state-court jurisdiction," whether labeled in personam, in rem or quasi in rem, must be evaluated according to the standards contained in *International Shoe Co. v Washington* (326 US 310 [1945])—i.e., according to "traditional notions of fair play and substantial justice" (326 US at 316, quoting *Milliken v Meyer*, 311 US 457, 463 [1940]). The Supreme Court has never had occasion to apply the *International Shoe* standard to judgment enforcement proceedings, but a footnote in *Shaffer* makes clear that the traditional in rem approach of such proceedings—permitting judgments to be enforced against property wherever it may be located—is constitutionally acceptable:

> "Once it has been determined by a court of competent jurisdiction that the defendant is a debtor of the plaintiff, there would seem to be no unfairness in allowing an action to realize on that debt in a State where the defendant has property, whether or not that State would have jurisdiction to determine the existence of the debt as an original matter" (433 US at 210 n 36).

It is by no means equally clear that the novel in personam approach to judgment enforcement that the majority adopts today can meet the *International Shoe* standard. A somewhat similar question was carefully considered in a recent decision of the Maryland Court of Special Appeals, *Livingston v Naylor* (173 Md App 488, 920 A2d 34 [2007]). In that case, a judgment creditor, a nonresident of Maryland, was trying to garnish in Maryland the wages of a judgment debtor, also a nonresident of Maryland, owed to him for work not done in Maryland. Though the garnishee was subject to Maryland jurisdiction, the court in *Livingston* held that there would be "a lack of fair play and substantial justice in permitting such wages to be garnished by operation of a Maryland court order" (173 Md App at 517, 920 A2d at 51).

In this case, as I have mentioned, the record discloses no New York contact with the parties or the dispute, except the amenability of the Bank of Bermuda, the garnishee, to personal jurisdiction in this state. I have serious doubt that that is enough contact under *International Shoe* to justify the enforcement of a non-New York judgment by a non-New York creditor against a non-New York debtor, to recover an asset that is located in Bermuda. The constitutional issue, of course, is not before us; the Second Circuit does not turn to us for rulings on federal constitutional law. The constitutional issue may not even be before the federal courts in this action, and if it had been raised there the judgment creditor might have been able to show enough New York contact to make the result he seeks constitutional. Still, I think the majority errs in interpreting New York's garnishment statutes in a way that will render them, as applied in future cases, subject to constitutional challenge.

I would answer the certified question no.

Chief Judge LIPPMAN and Judges CIPARICK and GRAFFEO concur with Judge PIGOTT; Judge SMITH dissents and votes to answer the certified question in the negative in a separate opinion in which Judges READ and JONES concur.

Following certification of a question by the United States Court of Appeals for the Second Circuit and acceptance of the question by this Court pursuant to section 500.27 of the Rules of Practice of the Court of Appeals (22 NYCRR 500.27), and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified question answered in the affirmative.

[910 NE2d 993, 883 NYS2d 164]

MELANIE PETRONE, Respondent, v BERNARD FERNANDEZ, Defendant, and JAMES McCLOY, Appellant.

Argued May 7, 2009; decided June 9, 2009

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered July 8, 2008. The Appellate Division order, insofar as appealed from, modified, on the law, so much of an order of the Supreme Court, Queens County (Marguerite A. Grays, J.), as had granted that branch of defendant Bernard Fernandez's motion for summary judgment dismissing the second cause of action against him and dismissed the second cause of action insofar as asserted against him and, upon searching the record, awarded summary judgment dismissing the second cause of action insofar as asserted against defendant James McCloy. The modification consisted of deleting the provision of Supreme Court's order which, upon searching the record, awarded summary judgment dismissing the second cause of action insofar as asserted against defendant James McCloy. The following question was certified by the Appellate Division: ''Was so much of the opinion and order of this court dated July 8, 2008, as, upon modifying an order of the Supreme Court, Queens County, dated November 29, 2006, deleted the provision of the order, which, upon searching the record, awarded summary judgment dismissing the second cause of action insofar as asserted against the respondent James McCloy, properly made?''

Petrone v Fernandez, 53 AD3d 221, reversed.

HEADNOTE

Animals — Liability for Injuries — Strict Liability

In an action to recover damages for injuries allegedly sustained by plaintiff when defendant's unrestrained dog ''r[a]n at [her]'' but did not bite, threaten or make any contact with her, Supreme Court properly dismissed plaintiff's negligence cause of action which was premised upon defendant's violation of the local leash law. When harm is caused by a domestic animal, its owner's liability is determined solely by the rule of strict liability applicable when the owner knows or should have known of the animal's vicious propensities. Defendant's violation of the leash law was irrelevant because such a violation constituted only some evidence of negligence, and negligence was not a basis for imposing liability.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Animals §§ 17, 19, 67–72, 98.

NY JUR 2d, Animals §§ 35, 148, 153, 155–157.
PROSSER AND KEETON, TORTS (5th ed) § 76.

ANNOTATION REFERENCE

See ALR Index under Dogs; Leash Law.

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Query: leash /2 law /6 violat! /p negligence /s liability

POINTS OF COUNSEL

Terence F. Gilheany, New York City, and *Bailey & Sherman, P.C.,* Douglaston, for appellant. The Appellate Division's order, insofar as appealed from, should be reversed, and defendant-appellant James McCloy should be granted summary judgment dismissing the remaining common-law negligence cause of action. (*Bard v Jahnke,* 6 NY3d 592; *Alia v Fiorina,* 39 AD3d 1068.)

Law Offices of Michael A. Cervini, Jackson Heights (*Michael A. Cervini* and *Robin Mary Heaney* of counsel), for respondent. I. Defendant's failure to restrain the dog and his violation of the leash law create a basis for liability even in the absence of proof of the rottweiler's vicious propensities. (*Bard v Jahnke,* 6 NY3d 592; *Hyland v Cobb,* 252 NY 325; *People ex rel. Knoblauch v Warden,* 216 NY 154.) II. Public policy requires the enforcement of New York City's leash law.

OPINION OF THE COURT

READ, J.

On May 9, 2005, plaintiff Melanie Petrone, a mail carrier employed by the United States Postal Service, was making the rounds on a ''drive-out'' mail route in Douglaston, Queens. At about 11:30 A.M., she parked her Honda Accord along the side of a one-way roadway, directly across the street from the house where defendant James McCloy resided at the time. The house's front door is set back about 15 feet from the sidewalk, and the lawn slopes down toward the street. The lawn is unfenced. As plaintiff got out of her car, she observed at least two landscapers working on the house's lawn. After she had walked about six feet toward the house, plaintiff also saw a dog—defendant's then nine-year-old rottweiler—lying on the lawn, unleashed. She immediately ''turned back to walk back to [her] vehicle,'' intending to skip the mail delivery because of the unrestrained dog, a postal procedure she called ''flagging'' a house.

According to plaintiff, when she was about four feet from her car, she ''turned to see if the dog had moved and the dog had proceeded to run at [her] from the top of the hill''; and had come to within approximately six feet of her.* She ''ran'' the short remaining distance to her car, and ''tried to jump through'' the open window on the driver's side ''[l]egs first.'' As plaintiff describes what she did, she ''grabbed'' the car and flung her right leg through the open window, jamming her right middle finger on ''[t]he outside of the doorframe where the window comes down'' as she executed this maneuver. She ended up stuck in an awkward position—with her right leg inside the car and her left leg outside—and ''screaming . . . for someone to help.'' The dog was ''[r]ight next to [her],'' but ''did not do anything.'' Plaintiff does not recall whether the dog ever barked at her. In other words, the dog did not bite or threaten or apparently make any contact whatsoever with plaintiff.

Plaintiff's cries attracted the landscapers' attention and assistance. And defendant, who was near the house, ''yelled for the dog to come back,'' and the dog obeyed. Defendant then approached plaintiff, and they had a conversation that ''was just about panic and [defendant] had come over to say that the dog's okay, he doesn't do anything,'' and plaintiff was ''just very scared at that point. Just letting [defendant] know how nervous [she] was at that point.''

Plaintiff handed defendant his mail, and continued on her rounds. Soon, however, she ''felt pain'' in her right middle finger, which ''began to bruise.'' She called her shop steward to tell him what had happened and he, in turn, informed her manager. The manager met and accompanied plaintiff to a nearby medical facility where her injured finger was X-rayed, and diagnosed as ''possibl[y] fracture[d].'' As a result of this diagnosis, plaintiff's right middle finger was splinted for about five weeks, and taped to the adjoining finger for an additional week or so; no medication was ever prescribed to her for the injury. Plaintiff missed about six weeks of work, but was paid her full salary during the absence. At the time of her deposition, 10 months after the incident, plaintiff complained that the

* Defendant disputes that the dog ever left the lawn. This opinion is written based entirely on plaintiff's recounting of the facts, as given primarily in her deposition testimony.

finger ''still ache[d],'' especially in the ''colder weather,'' and was ''hard to bend . . . still.'' In addition, she could not ''really put any pressure on it,'' and had ''a hard time opening bottles.'' Plaintiff also was required to ''vary [her] work'' when ''do[ing] what's called, 'finger[ing] the mail' '' on account of the residual stiffness of her finger.

In September 2005, plaintiff sued defendant and the owner of the house for personal injuries as a result of her encounter with the dog. She alleged a first cause of action based on defendants' supposed knowledge of the dog's ''prior history of vicious propensities''; and a second cause of action for negligence because of defendants' ''violation of . . . laws, statute[s], regulation[s], and ordinance[s].'' The second cause of action was essentially premised on the local leash law, section 161.05 (a) of the New York City Health Code (24 RCNY 161.05 [a]), which provides that ''a person who owns, possesses or controls a dog shall not permit it to be in a public place or *in any open or unfenced area abutting on a public place* unless the dog is effectively restrained by a leash or other restraint not more than six feet long'' (emphasis added).

In May 2006, the owner of the house sought summary judgment dismissing the complaint. Citing our decision in *Collier v Zambito* (1 NY3d 444 [2004]), he observed that there was ''no indication that either of the defendants had any knowledge of any type of vicious propensities,'' or ''that the dog[ ] in question actually did anything vicious.'' He also pointed out that he did not own the dog and was not present when the complained-of events took place. Defendant supported his codefendant's motion, stating that although plaintiff ''trie[d] to distinguish this case by claiming 'common law negligence' . . . , it is or should be clear that, just as in a 'dog bite' case, a vicious propensity must be shown in an alleged 'dog chase' case,'' and that ''[n]o such showing has or can be made.''

Supreme Court issued a decision, dated November 29, 2006, granting the motion and, after searching the record, dismissing the complaint against both defendants. The court noted that the owner of the house had made out a prima facie case of entitlement to summary judgment by showing that he had no knowledge of the dog's vicious propensities; that ''the dog, in fact, neither had vicious propensities nor behaved in a manner that reflect[ed] a proclivity to act in a way that put others at risk of harm''; and that ''the dog's alleged conduct that resulted in plaintiff's injuries was not vicious or reasonably foreseeable.''

Further, plaintiff failed to rebut this prima facie case "with evidence establishing either the existence of the [dog's] alleged vicious propensities or [the owner of the house's] knowledge thereof." Supreme Court opined that "the mere fact that the dog was unrestrained at the time of the subject incident [does] not raise a triable issue of fact as liability cannot be premised solely on the fact that defendant . . . left the dog unrestrained."

Plaintiff subsequently took an appeal, which she limited to the trial court's dismissal of her negligence cause of action against both defendants. The Appellate Division held, contrary to the Third Department's decision in *Alia v Fiorina* (39 AD3d 1068 [3d Dept 2007]), that a dog owner "may be held liable to a plaintiff based upon an alleged violation of a local leash ordinance and the dog's behavior, even though the dog ha[s] not displayed any prior vicious propensities" (*Petrone v Fernandez*, 53 AD3d 221, 222 [2d Dept 2008]). As a consequence, the court deleted the provision of Supreme Court's order which awarded summary judgment dismissing the negligence cause of action against defendant. The Appellate Division has asked us if this portion of its order was properly made, and we conclude that it was not.

"[W]hen harm is caused by a domestic animal, its owner's liability is determined *solely* by application of the rule articulated in *Collier*" (*Bard v Jahnke*, 6 NY3d 592, 599 [2006] [emphasis added])—i.e., the rule of strict liability for harm caused by a domestic animal whose owner knows or should have known of the animal's vicious propensities (*see Collier*, 1 NY3d at 446-447; *see also Bard*, 6 NY3d at 601 [R.S. Smith, J., dissenting] [objecting to "the rule . . . adopted by the majority, that the strict liability involved in *Collier* is the only kind of liability the owner of a domestic animal may face—that, in other words, there is no such thing as negligence liability where harm done by domestic animals is concerned"]). Just last year we unanimously affirmed an Appellate Division decision rejecting the notion that a negligence cause of action survives *Collier* and *Bard* (*see Bernstein v Penny Whistle Toys, Inc.*, 10 NY3d 787 [2008], *affg* 40 AD3d 224 [1st Dept 2007]). Here, defendant's violation of the local leash law is "irrelevant because such a violation is only some evidence of negligence, and negligence is no longer a basis for imposing liability" after *Collier* and *Bard* (*Alia*, 39 AD3d at 1069).

Accordingly, the order of the Appellate Division, insofar as appealed from, should be reversed, with costs; that part of

Supreme Court's order dismissing the second cause of action against defendant James McCloy should be reinstated; and the certified question should be answered in the negative.

PIGOTT, J. (concurring). I write separately to make clear that, while I concur with the majority in this case, I do so on constraint of *Bard v Jahnke* (6 NY3d 592 [2006]).

In *Bard*, the plaintiff, a carpenter, was injured by a bull that, for breeding purposes, was allowed to roam freely in the barn in which Bard was working. Bard submitted the affidavit of an animal science expert, who opined that "bulls, in particular breeding bulls, are generally dangerous and vicious animals," and that the farmer should have restrained the bull or warned Bard of its presence (*id*. at 596).

The Court endorsed the standard proposition that "an animal that behaves in a manner that would not necessarily be considered dangerous or ferocious, but nevertheless reflects a proclivity to act in a way that puts others at risk of harm, can be found to have vicious propensities" (*Bard*, 6 NY3d at 597, quoting *Collier v Zambito*, 1 NY3d 444, 447 [2004]), giving rise to strict liability. The Court found, however, that the bull had regularly come into contact with other farm animals, farm workers and members of the farmer's family "without incident or hint of hostility . . . [and] had never acted in a way that put others at risk of harm" (*Bard*, 6 NY3d at 597).

The Court of Appeals then turned to Bard's alternative theory, sounding in negligence, that, because the bull was a breeding bull housed with a herd over which it exercised dominance, the farmer was negligent in failing to restrain the bull or warn newcomers of its presence. Bard had relied on two comments in Restatement (Second) of Torts § 518. The first, "*Knowledge of normal characteristics*," provides that the keeper of a domestic animal is required to know the characteristics of that class of animal and to exercise suitable precautions. The second, "*Animals dangerous under particular circumstances*," provides that the keeper is required to know that even ordinarily gentle animals are likely to be dangerous under particular circumstances, and to exercise reasonable care. Bulls are used as illustrations in both comments. (*See* Restatement [Second] of Torts § 518, Comments *g*, *h*.)

The Court of Appeals rejected Bard's negligence theory, on the ground that Bard's claim was tantamount to saying that the farmer should have known of the bull's vicious propensities because breeding bulls are generally dangerous animals. The Court pointed out that we have never accepted such a theory of imputed knowledge of the vicious propensity of a particular breed or kind of animal (6 NY3d at 598-599). The Court then went on to state, unnecessarily, in my view, that "when harm is caused by a domestic animal, its owner's liability is determined *solely* by application of the rule articulated in *Collier* [1 NY3d at 446-447]" (*Bard*, 6 NY3d at 599 [emphasis added]), i.e. the rule of strict liability for harm caused by a domestic animal when the owner knew, or should have known, of the animal's vicious propensities.

In my view, and for the reasons stated in Judge R.S. Smith's dissent in *Bard* (*see* 6 NY3d at 602-603), it was wrong to reject negligence altogether as a basis for the liability of an animal owner. "[N]egligence by an owner, even without knowledge concerning a domestic animal's [vicious] propensity, may create liability" (*Hyland v Cobb*, 252 NY 325, 326-327 [1929], citing *Dickson v McCoy*, 39 NY 400 [1868]).

Nevertheless, because I believe that the majority of this Court in *Bard* intended to restrict liability for animal-induced injuries to circumstances where there is strict liability, I cannot accept the Appellate Division's position that the present case is distinguishable from *Bard* as a leash law negligence case. Consequently, I vote to reverse and, although I would not have joined the majority's opinion in *Bard*, I must, on constraint of that decision, concur in the majority's opinion in the present case.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO and JONES concur with Judge READ; Judge PIGOTT concurs in result in a separate opinion in which Judge SMITH concurs.

Order, insofar as appealed from, reversed, etc.

[910 NE2d 976, 883 NYS2d 147]

EURYCLEIA PARTNERS, LP, et al., Appellants, v SEWARD & KISSEL, LLP, Respondent, et al., Defendants.

Argued April 29, 2009; decided June 4, 2009

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 20, 2007. The Appellate Division order, insofar as appealed from, (1) reversed, on the law, an order of the Supreme Court, New York County (Charles E. Ramos, J.), which had denied the motion of defendant Seward & Kissel, LLP to dismiss the amended complaint as against it; (2) granted the motion; and (3) dismissed the complaint as against that defendant.

Eurycleia Partners, LP v Seward & Kissel, LLP, 46 AD3d 400, affirmed.

HEADNOTES

Pleading — Sufficiency of Pleading — Fraud — Reasonable Inference of Alleged Misconduct

1. In an action brought by partners of a limited partnership hedge fund against the fund's attorneys following the fund's collapse, plaintiffs failed to sufficiently plead a cause of action for fraud or aiding and abetting fraud. A claim rooted in fraud must be pleaded with the requisite particularity under CPLR 3016 (b), and that statute is satisfied when the facts suffice to permit a reasonable inference of the alleged misconduct. Here, however, whether the claim was labeled fraud or aiding and abetting fraud, neither the allegations in the complaint nor the surrounding circumstances gave rise to a reasonable inference that defendant law firm participated in a scheme to defraud or knew about the falsity of the two contested statements in the offering memoranda it had prepared regarding the fund's representation that it would not invest more than 10% of its assets in any given security. Moreover, defendant was outside counsel to the fund, and the manager of the fund, who was convicted of securities fraud, assisted plaintiffs in drafting the complaint. The absence of any firm factual pleadings relevant to defendant's knowledge that the fund breached the 10% restriction or any fraudulent scheme between the fund's manager and defendant was even more conspicuous in light of the manager's cooperation with plaintiffs. The complaint's alternative allegation of fraud or aiding and abetting fraud—that defendant continued to list a particular company as the fund's auditor in the offering memoranda even though defendant knew that the company was not the auditor—was similarly conclusory.

Attorney and Client — Fiduciary Duty — Duty Owed to Limited Partners by Attorney for Limited Partnership

2. In an action brought by partners of a limited partnership hedge fund against the fund's attorneys following the fund's collapse, the breach of

fiduciary duty claim against defendant law firm was properly dismissed, as defendant did not owe plaintiffs a fiduciary duty. Plaintiffs did not have direct contact or any relationship—contractual or otherwise—with defendant, and acknowledged that the offering memoranda advised prospective limited partners to consult their own legal counsel prior to investing in the fund. Defendant's representation of the limited partnership, without more, did not give rise to a fiduciary duty to the limited partners.

Pleading — Sufficiency of Pleading — Fraud — Failure to Disclose

3. In an action brought by partners of a limited partnership hedge fund against the fund's attorneys following the fund's collapse, plaintiffs failed to state a claim for fraud or aiding and abetting fraud predicated on defendant law firm's failure to disclose the fund's Securities and Exchange Commission violations to plaintiffs. Defendant's representation of the limited partnership, without more, did not give rise to a fiduciary duty to the limited partners. In the absence of a fiduciary relationship, there was no legal duty obligating defendant to make affirmative disclosures to plaintiffs.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Attorneys at Law §§ 139, 234; AM JUR 2d, Fraud and Deceit §§ 30–34, 450–453, 463, 464; AM JUR 2d, Partnership §§ 863, 865.

CARMODY-WAIT 2d, Officers of Court § 3:375; CARMODY-WAIT 2d, Complaints in Particular Actions §§ 29:256, 29:257.

MCKINNEY'S, CPLR 3016 (b).

NY JUR 2d, Attorneys at Law §§ 140–142; NY JUR 2d, Business Relationships § 2408; NY JUR 2d, Fraud and Deceit §§ 232–235; NY JUR 2d, Pleading § 100.

SIEGEL, NY PRAC § 216.

ANNOTATION REFERENCE

See ALR Index under Attorneys; Fiduciaries and Personal Representatives; Fraud and Deceit; Limited Partnerships.

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Query: limited /2 partner! & breach /3 fiduciary /s fraud /s attorney counsel

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POINTS OF COUNSEL

Reed Smith LLP, New York City (*Lance Gotthoffer, Gil Feder, Darren Pascarella* and *Casey D. Laffey* of counsel), *Bartlett, Pontiff, Stewart & Rhodes, P.C.,* Glens Falls (*Richard J. Bartlett* and *Robert S. McMillen* of counsel), for appellants. I. The amended complaint pleads fraud. (*Breard v Sachnoff & Weaver,* *Ltd.,* 941 F2d 142; *Cohen v Goodfriend,* 665 F Supp 152; *Securities & Exch. Commn. v Frank,* 388 F2d 486; *Goldfine v DeEsso,* 309 AD2d 895; *Koncelik v Abady,* 179 AD2d 942; *In re Simon II Litig.,* 407 F3d 125; *Fraternity Fund Ltd. v Beacon Hill Asset Mgt.,* 376 F Supp 2d 385; *Calcutti v SBU, Inc.,* 273 F Supp 2d 488; *Securities & Exch. Commn. v Coffey,* 493 F2d 1304; *Williams v Sidley Austin Brown & Wood, L.L.P.,* 38 AD3d 219.) II. The amended complaint pleads breach of fiduciary duty. (*Franco v English,* 210 AD2d 630; *Breslin Realty Dev. Corp. v Shaw,* 17 Misc 3d 1110[A], 2007 NY Slip Op 51919[U]; *Briarpatch Ltd., L.P. v Frankfurt Garbus Klein & Selz, P.C.,* 13 AD3d 296, 4 NY3d 707; *Dembitzer v Chera,* 285 AD2d 525; *Town Line Plaza Assoc. v Contemporary Props.,* 223 AD2d 420; *Pucci v Santi,* 711 F Supp 916; *Matter of Clarke,* 12 NY2d 183; *Heaven v McGowan,* 40 AD3d 583; *AUSA Life Ins. Co. v Ernst & Young,* 206 F3d 202.) III. Plaintiffs properly allege aiding and abetting claims. (*Global Mins. & Metals Corp. v Holme,* 35 AD3d 93, 8 NY3d 804; *Houbigant, Inc. v Deloitte & Touche,* 303 AD2d 92; *Wight v BankAmerica Corp.,* 219 F3d 79; *State St. Trust Co. v Ernst,* 278 NY 104; *Wedbush Morgan Sec., Inc. v Robert W. Baird & Co.,* 320 F Supp 2d 123; *OSRecovery, Inc. v One Groupe Intl., Inc.,* 354 F Supp 2d 357; *Lehman Bros. Commercial Corp. v Minmetals Intl. Non-Ferrous Metals Trading Co.,* 179 F Supp 2d 118; *Whitney v Citibank, N.A.,* 782 F2d 1106; *Pludeman v Northern Leasing Sys., Inc.,* 10 NY3d 486; *Lanzi v Brooks,* 43 NY2d 778.) IV. The amended complaint pleads recklessness/gross negligence claims. (*Ultramares Corp. v Touche,* 255 NY 170; *Prudential Ins. Co. of Am. v Dewey, Ballantine, Bushby, Palmer & Wood,* 80 NY2d 377; *Caprer v Nussbaum,* 36 AD3d 176; *Foothill Capital Corp. v Grant Thornton, L.L.P.,* 276 AD2d 437; *Ambassador Factors v Kandel & Co.,* 215 AD2d 305; *Velazquez v Decaudin,* 49 AD3d 712; *Houbigant, Inc. v Deloitte & Touche,* 303 AD2d 92; *Bank of Tokyo Trust Co. v Friedman,* 197 AD2d 354; *Sommer v Federal Signal Corp.,* 79 NY2d 540; *Novak v Kasaks,* 216 F3d 300.)

Paul, Weiss, Rifkind, Wharton & Garrison LLP, New York City (*Gerard E. Harper, Jacqueline P. Rubin, Jana C. Ramsey* and *Jaren E. Casazza* of counsel), for respondent. I. Plaintiffs' amended complaint states no cause of action for fraud. (*Lama Holding Co. v Smith Barney,* 88 NY2d 413; *Pludeman v Northern Leasing Sys., Inc.,* 10 NY3d 486; *Matter of Zorach v Clauson,* 303 NY 161; *Polonetsky v Better Homes Depot,* 97 NY2d 46; *Greschler v Greschler,* 51 NY2d 368; *Simcuski v Saeli,* 44 NY2d 442; *Friedman v Arizona World Nurseries, Ltd.*

Partnership, 730 F Supp 521, 927 F2d 594; *Schatz v Rosenberg,* 943 F2d 485; *Abbott v Herzfeld & Rubin,* 202 AD2d 351; *National Westminster Bank v Weksel,* 124 AD2d 144.) II. Plaintiffs' amended complaint states no cause of action for breach of fiduciary duty. (*In re Bayou Hedge Funds Inv. Litig.,* 472 F Supp 2d 528; *Estate of Ginor v Landsberg,* 960 F Supp 661, 159 F3d 1346; *Ackerman v National Prop. Analysts, Inc.,* 887 F Supp 494; *Morin v Trupin,* 778 F Supp 711, 809 F Supp 1081, 823 F Supp 2d 201; *Quintel Corp., N.V. v Citibank, N.A.,* 589 F Supp 1235; *Briarpatch Ltd., L.P. v Frankfurt Garbus Klein & Selz, P.C.,* 13 AD3d 296; *Goldstein v Securities & Exch. Commn.,* 451 F3d 873; *Franco v English,* 210 AD2d 630; *Breslin Realty Dev. Corp. v Shaw,* 17 Misc 3d 1100[A], 2007 NY Slip Op 51919[U]; *Pucci v Santi,* 711 F Supp 916.) III. Plaintiffs' amended complaint states no cause of action for aiding and abetting. (*Williams v Sidley Austin Brown & Wood, L.L.P.,* 38 AD3d 219; *Caprer v Nussbaum,* 36 AD3d 176; *Briarpatch Ltd., L.P. v Frankfurt Garbus Klein & Selz, P.C.,* 13 AD3d 296; *Kaufman v Cohen,* 307 AD2d 113; *Shea v Cornell Univ.,* 192 AD2d 857; *National Westminster Bank v Weksel,* 124 AD2d 144; *In re Sharp Intl. Corp.,* 403 F3d 43; *In re Bayou Hedge Funds Inv. Litig.,* 472 F Supp 2d 528; *JP Morgan Chase Bank v Winnick,* 406 F Supp 2d 247; *VTech Holdings, Ltd. v Pricewaterhouse Coopers, LLP,* 348 F Supp 2d 255.) IV. Plaintiffs' amended complaint states no cause of action for gross recklessness/negligence. (*East Meadow Driving School v Bell Atl. Yellow Pages Co.,* 273 AD2d 270; *Ultramares Corp. v Touche,* 255 NY 170; *Colnaghi, U.S.A. v Jewelers Protection Servs.,* 81 NY2d 821; *Sommer v Federal Signal Corp.,* 79 NY2d 540.)

OPINION OF THE COURT

Graffeo, J.

Following the collapse of a hedge fund, certain limited partners brought this action sounding in fraud and breach of fiduciary duty against the fund's attorneys based on the law firm's failure to disclose improper fund activities and its misrepresentations in the offering memoranda. For the reasons that follow, we affirm the Appellate Division order dismissing the complaint.

In February 2003, John Whittier launched Wood River Partners, LP, a hedge fund in the form of a limited partnership. Whittier was the sole principal and managing member of Wood

River Associates, LLC, the hedge fund's general partner.[1] According to Wood River's offering memorandum, the fund sought "to achieve capital appreciation through the combination of long and short equity investments in a diversified number of industries, with a particular emphasis in media and communications, technology and technology-related companies." The offering memorandum also represented that American Express Tax and Business Services, Inc. (TBS) was Wood River's auditor and that, to ensure adequate investment diversification, individual holdings in the fund's portfolio would be capped at 10% of the total assets at any given time, based on the original cost of the stock. As Wood River's legal counsel, defendant Seward & Kissel, LLP (S&K) drafted the original offering memorandum as well as periodic updates.[2]

Plaintiffs are 16 of Wood River's limited partners who invested in the fund between 2003 and 2005.[3] Unbeknownst to plaintiffs, in 2004 or early 2005, Wood River—at Whittier's direction—began to invest heavily in the stock of Endwave Corporation. By the summer of 2005, Wood River's investment in Endwave shares represented approximately 65% of the fund's total assets and over 35% of Endwave's outstanding shares. After peaking at $54 per share in mid-July, Endwave's share price gradually declined until it plummeted to $14 in late September. As a result, Whittier was unable to meet plaintiffs' redemption requests. S&K resigned as Wood River's counsel on September 30, 2005.

In October 2005, the Securities and Exchange Commission (SEC) brought an action in federal court against Whittier and the Wood River entities seeking to enjoin them from violating various securities laws and to impose civil penalties. At the SEC's request, the United States District Court for the Southern District of New York appointed a receiver for the Wood River entities and issued an injunction preventing any lawsuits

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1. Whittier was also the principal executive of Wood River Capital Management, LLC, the hedge fund's investment manager.

2. The record contains two 29-page offering memoranda dated June 2004 and April 2005. The parties agree that each of the offering memoranda prepared by S&K from 2003 to 2005 was identical in all aspects relevant to this appeal.

3. As of June 2004, new limited partners were obligated to invest at least $500,000.

against Wood River absent the court's permission.[4] A federal grand jury subsequently indicted Whittier for securities fraud and he pleaded guilty to three counts in May 2007. During his allocution, Whittier admitted that he intentionally concealed the extent of Wood River's position in Endwave.

Plaintiffs commenced this action against S&K, TBS and a third entity in March 2006, alleging causes of action against S&K for, among other things, fraud, aiding and abetting fraud, gross negligence and breach of fiduciary duty. They seek $200 million in damages.

The July 2006 amended complaint presents three main allegations against S&K. First, plaintiffs assert S&K learned at some point in 2005 that Wood River invested more than 10% of its assets in Endwave stock in violation of the 10% restriction contained in the offering memoranda. According to plaintiffs, S&K nonetheless persisted in drafting offering memoranda falsely representing that Wood River was adhering to the 10% cap as part of its investment policy. Second, plaintiffs claim that S&K falsely stated in the offering memoranda that TBS was Wood River's auditor even though S&K knew from the inception that TBS had not been retained to perform any auditing work. Third, plaintiffs allege S&K learned in January 2005 that Wood River had violated securities laws by failing to file required notices when Wood River obtained 5% and, later, 10% of Endwave's stock.[5] Plaintiffs maintain that S&K breached fiduciary duties owed to them, as limited partners, by failing to disclose the SEC violations to them.

S&K and TBS each moved to dismiss the complaint pursuant to CPLR 3211. Supreme Court denied the motions. The Appellate Division reversed, granted the motions and dismissed the complaint as against them (46 AD3d 400 [1st Dept 2007]).[6] We granted plaintiffs leave to appeal (11 NY3d 705 [2008]).

Plaintiffs principally argue that the Appellate Division erred in dismissing their fraud and aiding and abetting fraud claims

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4. Plaintiffs never sought permission to sue Wood River.

5. The Securities Exchange Act of 1934 requires persons to report the acquisition of more than five percent of a corporation's common stock (*see* 15 USC § 78m [d]). The Act contains similar reporting requirements upon the acquisition of more than 10% of a single equity security (*see* 15 USC § 78p [a]).

6. Plaintiffs do not challenge the dismissal of the complaint as against TBS and apparently have not pursued their claims against a third defendant—Trident Financial Services, LLC. Therefore, this appeal solely concerns plaintiffs' causes of action against S&K.

against S&K. They contend that the complaint adequately pleads these claims because it alleges that S&K drafted offering memoranda falsely representing that a 10% investment cap was in place and that TBS was Wood River's auditor, despite knowing that these representations were false. S&K counters that, even under CPLR 3211's liberal pleading requirements, the fraud and aiding and abetting fraud claims fail because plaintiffs' allegations relating to S&K's knowledge of falsity are too conclusory and without a factual basis.

The elements of a cause of action for fraud require a material misrepresentation of a fact, knowledge of its falsity, an intent to induce reliance, justifiable reliance by the plaintiff and damages (*see Ross v Louise Wise Servs., Inc.*, 8 NY3d 478, 488 [2007]; *Lama Holding Co. v Smith Barney*, 88 NY2d 413, 421 [1996]). A claim rooted in fraud must be pleaded with the requisite particularity under CPLR 3016 (b).

We recently explored the pleading requirements of CPLR 3016 (b) in *Pludeman v Northern Leasing Sys., Inc.* (10 NY3d 486 [2008]). In that case, we noted that the purpose underlying the statute is to inform a defendant of the complained-of incidents. We cautioned that the statute ''should not be so strictly interpreted as to prevent an otherwise valid cause of action in situations where it may be impossible to state in detail the circumstances constituting a fraud'' (*id.* at 491 [internal quotation marks and citation omitted]). Although there is certainly no requirement of ''unassailable proof'' at the pleading stage, the complaint must ''allege the basic facts to establish the elements of the cause of action'' (*id.* at 492). We therefore held that CPLR 3016 (b) is satisfied when the facts suffice to permit a ''reasonable inference'' of the alleged misconduct (*id.*). And, ''in certain cases, less than plainly observable facts may be supplemented by the circumstances surrounding the alleged fraud'' (*id.* at 493).

[1] Here, whether the claim is labeled fraud or aiding and abetting fraud, we conclude that neither the allegations in the complaint nor the surrounding circumstances give rise to a reasonable inference that S&K participated in a scheme to defraud or knew about the falsity of the two contested statements in the offering memoranda. The amended complaint conclusorily alleges that at some unspecified point in 2005 S&K became aware that more than 10% of Wood River's holdings were invested with Endwave but, nonetheless, S&K continued to issue offering memoranda falsely representing that Wood River would not invest more than 10% of its assets in any given security.[7] In support of this allegation, plaintiffs assert that S&K was informed in January 2005 that Wood River had purchased 10% of Endwave's stock. But the fact that S&K may have been aware that Wood River owned 10% of Endwave's stock is not material to whether Wood River invested more than 10% of its total assets in Endwave, particularly where there is no indication that S&K was ever informed of Wood River's overall asset levels or the cost basis of the Endwave shares. Plaintiffs' reliance on a 2002 letter—predating the existence of Wood River by nearly a year—from a S&K attorney to Whittier discussing the performance of a separate fund is similarly unavailing.

Nor do the surrounding circumstances breathe life into plaintiffs' fraud claim premised on the 10% cap representation. Unlike the individual corporate officer defendants in *Pludeman*, each of whom managed a company implicated in a nationwide fraudulent scheme covering a span of years, S&K was outside counsel to Wood River, whose manager—Whittier—was convicted of securities fraud. Notably, plaintiffs do not dispute S&K's assertion that they secured Whittier's assistance in drafting the amended complaint. The absence of any firm factual pleadings relevant to S&K's knowledge that Wood River breached the 10% restriction or any fraudulent scheme between Whittier and S&K is even more conspicuous in light of Whittier's cooperation with plaintiffs.

We likewise find the amended complaint's alternative allegation of fraud or aiding and abetting fraud—that S&K knew TBS was not Wood River's auditor yet continued to list TBS in the offering memoranda—to be similarly conclusory. As the Appellate Division recognized, the complaint elsewhere alleges that in the summer of 2005 TBS falsely represented that it was the fund's auditor and would conduct an audit. In short, although we are mindful that a plaintiff need not produce absolute proof of fraud and that there may be cases in which particular facts are within a defendant's possession, it is also true that the strength of the requisite inference of fraud will vary based on the facts and context of each case. Under the facts of this case, we believe that the allegations in the complaint, coupled with the surrounding circumstances, do not give rise to a reasonable

7. As S&K points out, most of the plaintiffs had already invested in Wood River before S&K allegedly learned of the 10% cap violation and, therefore, could not have relied on this representation—a necessary element of a fraud claim.

inference that S&K committed fraud or aided and abetted Wood River's or Whittier's fraudulent activities.

Plaintiffs next contend that the Appellate Division erroneously dismissed their breach of fiduciary duty claim. They claim that S&K owed them a fiduciary duty and breached that duty by failing to reveal Wood River's fraudulent actions, in particular, the fund's violation of SEC reporting requirements in connection with its ownership of 5% and, later, 10% of Endwave's stock.

A fiduciary relationship arises ''between two persons when one of them is under a duty to act for or to give advice for the benefit of another upon matters within the scope of the relation'' (*EBC I, Inc. v Goldman, Sachs & Co.*, 5 NY3d 11, 19 [2005] [internal quotation marks and citation omitted]). Put differently, ''[a] fiduciary relation exists when confidence is reposed on one side and there is resulting superiority and influence on the other'' (*AG Capital Funding Partners, L.P. v State St. Bank & Trust Co.*, 11 NY3d 146, 158 [2008] [internal quotation marks and citation omitted]). Ascertaining the existence of such a relationship inevitably requires a fact-specific inquiry.

[2] Here, plaintiffs do not allege that they had direct contact or any relationship—contractual or otherwise—with S&K. Indeed, plaintiffs acknowledge that the offering memoranda advised prospective limited partners to consult their own legal counsel prior to investing in Wood River. Plaintiffs nevertheless contend that S&K's attorney-client relationship with Wood River in and of itself created a fiduciary relationship between S&K and the limited partners themselves. We disagree.

The Appellate Divisions have held that the fiduciary duties owed by a limited partnership's attorney to that entity do not extend to the limited partners (*see Briarpatch Ltd., L.P. v Frankfurt Garbus Klein & Selz, P.C.*, 13 AD3d 296, 297 [1st Dept 2004], *lv denied* 4 NY3d 707 [2005]; *Kushner v Herman*, 215 AD2d 633 [2d Dept 1995]; *but see Franco v English*, 210 AD2d 630, 634 [3d Dept 1994]). Federal courts applying New York law likewise have consistently rejected such a duty (*see e.g. In re Bayou Hedge Funds Inv. Litig.*, 472 F Supp 2d 528, 531 [SD NY 2007]; *Estate of Ginor v Landsberg*, 960 F Supp 661, 667 [SD NY 1996], *affd* 159 F3d 1346 [2d Cir 1998]; *Quintel Corp., N.V. v Citibank, N.A.*, 589 F Supp 1235, 1241-1242 [SD NY 1984]; *see also* 3 Mallen and Smith, Legal Malpractice § 26:8 [2009] [citing New York cases with approval]).

We concur with these precedents, particularly given that we have found similarities between limited partners and the shareholders of a corporation (*see Lichtyger v Franchard Corp.*, 18 NY2d 528, 536 [1966] [observing that a limited partner "is in a position analogous to that of a corporate shareholder, an investor who likewise has limited liability and no voice in the operation of an enterprise" (internal quotation marks omitted)]; *Ruzicka v Rager*, 305 NY 191, 198 [1953], *rearg denied* 305 NY 798 [1953] [recognizing the "quasi-corporate aspects of a limited partnership and the quasi-shareholder status of a limited partner"]; *see also* 3 Bromberg and Ribstein on Partnership § 11.01 [c]). It is well settled that a corporation's attorney represents the corporate entity, not its shareholders or employees (*see Talvy v American Red Cross in Greater N.Y.*, 205 AD2d 143, 149 [1st Dept 1994], *affd for reasons stated below* 87 NY2d 826 [1995]; *Rechberger v Scolaro, Shulman, Cohen, Fetter & Burstein, P.C.*, 45 AD3d 1453 [4th Dept 2007]; *Griffin v Anslow*, 17 AD3d 889, 893 [3d Dept 2005]; *see also* Rules of Professional Conduct rule 1.13 [a] [22 NYCRR 1200.13 (a)]). We therefore hold that S&K's representation of this limited partnership, without more, did not give rise to a fiduciary duty to the limited partners. Hence, plaintiffs' breach of fiduciary duty claim against S&K was properly dismissed.

[3] To the extent plaintiffs assert claims for fraud or aiding and abetting predicated on S&K's silence, they similarly fail for lack of a duty to disclose (*see Gurnee v Hasbrouck*, 267 NY 57, 62 [1935]; *Mitschele v Schultz*, 36 AD3d 249, 254-255 [1st Dept 2006]; Kreindler, Rodriguez, Beekman and Cook, New York Law of Torts § 1.70, at 73-76 [14 West's NY Prac Series 1997]). In the absence of a fiduciary relationship, we perceive no legal duty obligating S&K to make affirmative disclosures to plaintiffs under the circumstances of this case. We have considered plaintiffs' remaining arguments and find them to be without merit.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be affirmed, with costs.

Judges CIPARICK, READ, SMITH, PIGOTT and JONES concur; Chief Judge LIPPMAN taking no part.

Order, insofar as appealed from, affirmed, with costs.

[910 NE2d 983, 883 NYS2d 154]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v TYRONE MINGO, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v DZEMIL BALIC, Appellant.

Argued May 5, 2009; decided June 9, 2009

SUMMARY

APPEAL, in the first above-entitled action, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered January 8, 2008. The Appellate Division affirmed an order of the Supreme Court, Kings County (Louis John Marrero, J.), which, after a hearing to redetermine defendant's sex offender risk level pursuant to the stipulation of settlement in *Doe v Pataki* (3 F Supp 2d 456 [1998]), had adjudicated defendant a level two sex offender under the Sex Offender Registration Act.

APPEAL, in the second above-entitled action, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered June 3, 2008. The Appellate Division affirmed an order of the Supreme Court, New York County (Brenda S. Soloff, J.), which had adjudicated defendant a level two sex offender under the Sex Offender Registration Act.

People v Mingo, 49 AD3d 148, reversed.

People v Balic, 52 AD3d 201, affirmed.

HEADNOTES

Crimes — Sex Offenders — Sex Offender Registration Act — Reliable Hearsay — Documents Admissible without Foundation

1. In a proceeding to determine the appropriate risk level of a sex offender under the Sex Offender Registration Act (SORA), case summaries prepared by the Board of Examiners of Sex Offenders and presentence reports prepared by a probation department for use by sentencing courts may be admitted into evidence without a foundation supporting their admissibility. Such documents, created under statutory mandates, are prepared with the knowledge that they will be relied on by courts, and their origins and function are well-known to SORA courts.

Crimes — Sex Offenders — Sex Offender Registration Act — Reliable Hearsay — Documents Admissible without Foundation

2. In a proceeding to determine the appropriate risk level of a sex offender under the Sex Offender Registration Act (SORA), grand jury testimony and misdemeanor and felony complaints may be admitted into evidence without a

foundation supporting their admissibility. Misdemeanor and felony complaints are sworn documents and grand jury testimony is taken under oath, a significant indication of reliability. The circumstances surrounding the development of the proof are evident from the face of the documents and are well understood by a SORA court.

Crimes — Sex Offenders — Sex Offender Registration Act — Reliable Hearsay — What Constitutes

3. In a proceeding to determine the appropriate risk level of a sex offender under the Sex Offender Registration Act (SORA), hearsay is reliable—and, therefore, admissible—if, based on the circumstances surrounding the development of the proof, a reasonable person would deem it trustworthy. SORA courts, authorized to consider ''reliable hearsay'' (Correction Law § 168-n [3]; *see also* Correction Law § 168-d [3]), must have the flexibility to make reliability determinations on a case-by-case basis. Among the factors considered in evaluating the reliability of proffered hearsay evidence are the age of the conviction and the efforts made to locate relevant documents; whether the proof is corroborated either by the nature of the conviction or other evidence in the record; whether the declarant was under oath or was acting under a duty to accurately report, record or convey information; and whether the circumstances surrounding the making of the statement otherwise bear indicia of reliability.

Crimes — Sex Offenders — Sex Offender Registration Act — Reliable Hearsay — Unsworn Internal Documents Generated by District Attorney's Office

4. In a proceeding to determine defendant's appropriate risk level under the Sex Offender Registration Act (SORA), the record was insufficient to determine whether the unsworn and unsigned internal documents generated by the District Attorney's office and used to establish that defendant was armed with a dangerous instrument at the time of the underlying rape constituted ''reliable hearsay'' (Correction Law § 168-n [3]; *see also* Correction Law § 168-d [3]). The SORA court accepted the Data Analysis Form, Grand Jury Synopsis Sheet, and Early Case Assessment Bureau Data Sheet used by the District Attorney's office without requiring foundation evidence of any type. An explanation, however, of how those documents were generated, the personnel who prepared them, the sources typically relied upon for the information contained therein, and the function they served was needed before they could be viewed as trustworthy. Moreover, where, as here, the documents contain a code or shorthand not readily interpreted by the SORA court, that should be deciphered on the record to assist the court and facilitate appellate review.

Crimes — Sex Offenders — Sex Offender Registration Act — Reliable Hearsay — Criminal Court Complaint

5. In a proceeding resulting in the designation of defendant as a level two sex offender under the Sex Offender Registration Act (SORA) based on a victim's statement included in a criminal court complaint prepared by a police officer under oath, the complaint constituted ''reliable hearsay'' (Correction Law § 168-n [3]; *see also* Correction Law § 168-d [3]) and was properly admitted into evidence at the SORA hearing. The source of the information in the complaint was clear, as the officer indicated that he was recounting statements made by the child victim on the same day as the crime. A police officer is charged with the duty to accurately record statements made by a complaining witness, and nothing in the record suggested that the officer did not fulfill that command.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

Am Jur 2d, Evidence §§ 669, 706, 1257, 1258, 1265, 1283, 1288; Am Jur 2d, Mentally Impaired Persons §§ 126, 137, 139.

Carmody-Wait 2d, Presentation of the Case §§ 56:62, 56:67, 56:108; Carmody-Wait 2d, Particular Types of Evidence §§ 194:87, 194:99.

McKinney's, Correction Law § 168–d (3); § 168–n (3).

NY Jur 2d, Evidence and Witnesses §§ 262, 463, 466, 496; NY Jur 2d, Penal and Correctional Institutions §§ 316, 318.

ANNOTATION REFERENCE

See ALR Index under Hearsay; Registration of Criminal Offenders.

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POINTS OF COUNSEL

Legal Aid Society, Criminal Appeals Bureau, New York City (*Susan Epstein* and *Steven Banks* of counsel), for appellant in the first above-entitled action. Because the only evidence the People submitted to support the assignment of 30 points to appellant on the Risk Assessment Instrument, under risk factor 1, for being armed with a dangerous instrument, was a ‘‘Data Analysis Form’’ and ‘‘Grand Jury Synopsis Sheet,’’ which contained handwritten notes made by unknown persons and derived from unacknowledged sources, the evidence failed to qualify as reliable hearsay and, therefore, the People failed to meet the standard of clear and convincing evidence to support appellant's classification as a level two sex offender. (*Doe v Pataki,* 481 F3d 69; *People v David W.,* 95 NY2d 130; *E.B. v Verniero,* 119 F3d 1077; *Addington v Texas,* 441 US 418; *Matter of Poldrugovaz,* 50 AD3d 117; *Colorado v New Mexico,* 467 US 310; *Matter of Westchester County Med. Ctr. [O'Connor],* 72 NY2d 517; *Matter of Storar,* 52 NY2d 363; *Calhoun v Bailar,* 626 F2d 145; *Richardson v Perales,* 402 US 389.)

Charles J. Hynes, District Attorney, Brooklyn (*Anthea H. Bruffee* and *Leonard Joblove* of counsel), for respondent in the first above-entitled action. The hearing court properly considered as reliable hearsay evidence documents generated by the District Attorney's office in prosecuting the underlying sex crime. Thus, defendant's designation as a risk level two sex offender was based upon clear and convincing evidence. (*People v Vasquez,* 20 Misc 3d 37; *People v Stirrup,* 91 NY2d 434; *People v Giordano,* 87 NY2d 441; *Rocovich v Consolidated Edison Co.,* 78 NY2d 509; *People v Imbert,* 48 AD3d 297; *People v Concepcion,* 38 AD3d 739; *People v Wroten,* 286 AD2d 189; *People v Hines,* 24 AD3d 524; *People v Smolen,* 47 AD3d 623; *People v Smith,* 5 AD3d 752.)

James Ching, of the California bar, admitted pro hac vice, pro se, amicus curiae in the first above-entitled action. I. The evidence before the trial court was official and business records to which defendant made no specific objection, and therefore the issue cannot be raised on appeal. (*People v Cratsley,* 86 NY2d 81; *People v Guidice,* 83 NY2d 630; *People v Kennedy,* 68 NY2d 569.) II. The evidence before the trial court was official and business records which does not appear to contain testimonial hearsay. (*Doe v Pataki,* 3 F Supp 2d 456; *People v Brooks,* 308 AD2d 99; *United States v Feliz,* 467 F3d 227.)

Legal Aid Society, Criminal Appeals Bureau, New York City (*Amy Donner* and *Steven Banks* of counsel), for appellant in the second above-entitled action. Double hearsay by an unsworn complainant in a criminal court complaint pursuant to which appellant pleaded guilty to misdemeanor assault did not constitute ''reliable hearsay'' or satisfy the standard of clear and convincing evidence necessary to support an upward departure under the Sex Offender Registration Act (SORA), where this hearsay was the sole source of evidence supporting the sexual nature of the misdemeanor assault conviction and, therefore, the People failed to meet the standard of clear and convincing evidence to support appellant's classification as a level two sex offender under SORA. (*People v Guaman,* 8 AD3d 545; *People v David W.,* 95 NY2d 130; *E.B. v Verniero,* 119 F3d 1077; *Doe v Pataki,* 3 F Supp 2d 456; *Doe v Department of Pub. Safety ex rel. Lee,* 271 F3d 38; *Mathews v Eldridge,* 424 US 319; *Valmonte v Bane,* 18 F3d 992; *Matter of VanDover v Czajka,* 276 AD2d 945; *Addington v Texas,* 441 US 418; *Matter of Poldrugovaz,* 50 AD3d 117.)

Robert M. Morgenthau, District Attorney, New York City (*Dana Poole* and *Patrick J. Hynes* of counsel), for respondent in the second above-entitled action. The facts underlying defendant's third-degree assault conviction were properly considered by the hearing court and supported an upward departure to a level two risk adjudication. (*People v Windham,* 10 NY3d 801; *People v Characche,* 9 NY3d 829; *People v Costello,* 35 AD3d 754; *People v Johnson,* 11 NY3d 416; *People v Moore,* 16 AD3d 190; *People v Wheeler,* 59 AD3d 1007; *People v Warren,* 42 AD3d 593; *People v Cannon,* 34 AD3d 1227; *People v Warrior,* 57 AD3d 1471; *People v Arotin,* 19 AD3d 845.)

OPINION OF THE COURT

GRAFFEO, J.

In these appeals, we address what constitutes ''reliable hearsay'' that is admissible for purposes of determining the appropriate risk level of a sex offender under the Sex Offender Registration Act (SORA). In *People v Mingo*, we conclude that, with the proper foundation, internal documents generated by the District Attorney's office may support a risk level adjudication but, since Supreme Court did not require such a foundation, we reverse and remit to afford the District Attorney's office an opportunity to supply that proof. We affirm the determination in *People v Balic* because the Appellate Division did not err in designating defendant a level two risk based on a victim's statement included in a criminal court complaint prepared by a police officer under oath.

People v Tyrone Mingo

In 1990, defendant Tyrone Mingo pleaded guilty to rape in the first degree in satisfaction of a series of charges relating to a 1988 incident in which he pulled a stranger into an abandoned van and raped her. The victim managed to escape and flag down a passing police officer and defendant was arrested at the scene. At a SORA redetermination hearing in February 2006,[1] defendant was adjudicated a level two risk—that is, a moderate risk of reoffense—based, in part, on the assessment of 30 points under factor 1 of the Risk Assessment Instrument (RAI) for having been armed with a dangerous instrument at the time of

1. Defendant, who was among the class of sex offenders who were incarcerated, on parole or on probation when SORA became effective in January 1996, was afforded a redetermination hearing as a result of a settlement in federal litigation that involved a challenge to the procedures used to determine sex offenders' initial risk level determinations (*see Doe v Pataki*, 3 F Supp 2d 456 [SD NY 1998]).

the rape.[2] To establish defendant's possession of a dangerous instrument, the District Attorney relied on three documents that are apparently used internally by the District Attorney's office: a Data Analysis Form, a Grand Jury Synopsis Sheet and an Early Case Assessment Bureau Data Sheet.[3] Various entries on these forms indicated that, in the course of the incident, defendant had threatened the victim with a ''chrome strip'' or ''piece of metal''—a dangerous instrument.

Defense counsel objected to the District Attorney's reliance on these unsworn, unsigned documents, contending they did not constitute ''reliable hearsay'' under Correction Law § 168-n (3) and were therefore inadmissible at the SORA proceeding. Defendant did not, however, testify at the hearing, nor did he offer any evidence rebutting the dangerous instrument allegations. Without requiring the People to offer foundation evidence, Supreme Court relied on the documents, along with the indictment charging defendant with a weapon possession offense, to sustain the assessment of 30 points. This brought defendant within the moderate risk category (75 to 105 points) and the court therefore adjudicated defendant a level two offender. Absent the assessment of 30 points, defendant would have fallen within the presumptive level one, low risk category.

A divided Appellate Division affirmed the level two designation, concurring with Supreme Court that the internal documents of the District Attorney's office constituted reliable hearsay admissible at a SORA proceeding (49 AD3d 148 [2008]).

2. A risk assessment instrument is prepared by the District Attorney or the Board of Examiners of Sex Offenders to assist the court in its classification of the risk defendant poses to the community. The RAI contains a series of factors that permit the assignment of specified point values depending on the characteristics of the victim, the circumstances surrounding the crime, a defendant's prior history of sexual offenses, and the like. Point totals under the RAI presumptively place a person convicted of a qualifying sex offense in one of three categories—level one, low risk of reoffense (1 to 70 points); level two, moderate risk of reoffense (75 to 105 points); and level three, high risk of reoffense (110 to 300 points). There are also override factors that warrant a level three designation no matter the point totals. In addition, the level suggested by the RAI is merely presumptive and a SORA court possesses the discretion to impose a lower or higher risk level if it concludes that the factors in the RAI do not result in an appropriate designation.

3. Defendant's guilty plea to rape in the first degree—which required an admission that defendant engaged in ''forcible compulsion'' (*see* Penal Law § 130.35 [1])—did not establish that defendant was armed. Forcible compulsion involves the use of physical force or a threat that places a person in fear of immediate death or physical injury (Penal Law § 130.00 [8]), either of which could have been accomplished without a weapon.

The dissent did not rule out the possibility that the documents could support a point assessment but was troubled by the District Attorney's failure to lay a foundation to support the inference that the victim was the source of the information contained in the documents. Thus, the dissent would have reversed and remitted the case to the SORA court for further proceedings. This Court granted defendant leave to appeal (10 NY3d 929 [2008]) and, like the Appellate Division dissenter, we conclude that a reversal and remittal is warranted.

People v Dzemil Balic

Dzemil Balic pleaded guilty to sexual abuse in the first degree based on a 2004 incident in which he forcibly fondled the breasts and buttocks of a woman who attended classes in a building where he worked as a custodian. In the RAI prepared for the SORA proceeding, the District Attorney assessed defendant 40 points under the prior convictions section as a result of a 1985 misdemeanor assault conviction that occurred when defendant was 19 years old. The People imposed 10 points for factor 8 since defendant's age at the time of that offense was 20 years or less and 30 points for factor 9 because they viewed the 1985 crime as a prior ''sex crime.'' Absent the inclusion of these points, defendant's point assessment would have resulted in presumptive level one, the low risk category.

Since the elements of misdemeanor assault do not require conduct of a sexual nature (*see* Penal Law § 120.00 [1]), at the SORA hearing the District Attorney relied on the criminal complaint filed in connection with the prior 1985 prosecution, which had culminated in defendant entering a guilty plea. The criminal complaint was signed under oath by a police officer who stated that, on the day of the crime, the victim—a 14-year-old girl identified by name—told the officer that defendant had forcibly fondled her, attempted to remove her clothes, and threatened that he would shoot her unless she did as he said. The People had attempted to locate other information regarding the 1985 assault, twice obtaining an adjournment to search for additional evidence, but discovered that all other relevant documents had been destroyed by fire or flood.

Defense counsel objected to the assessment of 40 points, arguing that the references to ''sexual misconduct'' and ''[s]ex crime'' in factors 8 and 9 required that defendant have a prior conviction of one of the sex offenses enumerated in SORA and misdemeanor assault did not qualify. In the alternative, defendant asserted that the criminal complaint was insufficient proof that the assault involved acts of a sexual nature. Supreme Court rejected both arguments, adjudicating defendant a level two offender. The court noted that, even if it credited defendant's argument that the provisions relied on in the criminal history section of the RAI required a prior sex offense conviction and the point values therefore rendered defendant a presumptive level one risk, an upward departure to level two would be appropriate given the sexual nature of the 1985 attack.

On defendant's appeal, the People conceded that it had been improper to assess 40 points for defendant's 1985 misdemeanor assault offense, acknowledging that the SORA Guidelines indicate points should be assessed under the factors relied on only when a defendant has been convicted of a prior sex offense or endangering the welfare of a child. Defendant should instead have received only five points under factor 9 for having prior criminal convictions that were neither sex crimes nor felonies. Even though the disallowance of 35 points brought defendant within the presumptive level one range under the RAI, the District Attorney maintained that the level two designation should be affirmed because an upward modification was appropriate given the nature of the conduct underlying defendant's 1985 conviction. The Appellate Division agreed with the District Attorney, reasoning that the RAI did not take into account defendant's prior violent sexual attack on a child (52 AD3d 201 [2008]), and we now affirm.

SORA Risk Level Determinations

SORA requires individuals convicted of sex offenses to register with law enforcement officials and authorizes the dissemination of certain information about those individuals to vulnerable populations and the public. The length of time that an offender must register may turn on the crime for which the offender was convicted or the offender's previous criminal history. For example, since 2002, SORA has compelled a defendant convicted of a "sexually violent offense" to register at least annually for life (Correction Law § 168-h [2]; *see* Correction Law § 168-a [3] [a]; [7] [b]; L 2002, ch 11, § 13).[4] The same is true of a predicate sex offender—a person who is convicted of a sex

4. In *Mingo*, defendant pleaded guilty to rape in the first degree under Penal Law § 130.35. The defendant in *Balic* was convicted of sexual abuse in the first degree under Penal Law § 130.65. Both of these crimes are "sexually violent offenses" under SORA (Correction Law § 168-a [3], [7] [b]). It appears

(n. cont'd)

offense or sexually violent offense after having previously been convicted of such an offense (Correction Law § 168-a [7] [c]; § 168-h [2]). But for others, the registration period depends on the risk level designation that is assigned at the SORA proceeding—level one, evidencing a low risk of reoffense, level two, a moderate risk, and level three, a high risk. Individuals determined to have the lowest risk of reoffense—level one offenders—are relieved of the duty to register after 20 years while level two and three offenders must register at least once each year for life (Correction Law § 168-h).[5]

SORA also contains community notification and disclosure provisions that vary depending on risk level designation. As a result of the 2006 amendments to SORA, law enforcement agencies can disseminate information relating to level one offenders to vulnerable populations and the public—just as they are authorized to do with level two and three offenders, except that the statute authorizes release of exact addresses only for level three offenders (*see* Correction Law § 168-*l* [6]). The public can obtain information about level one offenders by calling a toll-free telephone number maintained by the Division of Criminal Justice Services (Correction Law § 168-p [1]); information relating to level two and three offenders is also publically available on an Internet directory (*see* Correction Law § 168-q [1]).

A defendant's risk level is adjudicated at a SORA hearing, which is civil in nature (*see People v Windham*, 10 NY3d 801 [2008]; *Matter of North v Board of Examiners of Sex Offenders of State of N.Y.*, 8 NY3d 745, 752 [2007]). Correction Law § 168-n (3) directs that "[t]he State shall appear by the district attorney . . . who shall bear the burden of proving the facts supporting the determinations sought by clear and convincing evidence" (*see also* Correction Law § 168-d [3]). In determining the appropriate risk level, "the court shall review any victim's statement and any relevant materials and evidence submitted by the sex offender and the district attorney and the recommendation and any materials submitted by the board, and may consider reliable hearsay evidence submitted by either party, provided that it is relevant to the determinations" (Correction Law

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from the briefs that, by virtue of a federal lawsuit, Mingo's commission of a sexually violent offense may not automatically render him subject to lifetime registration (*see generally Doe v Pataki*, 481 F3d 69 [2d Cir 2007]).

5. Level two offenders who are not sexually violent offenders, sexual predators or predicate sex offenders can apply to be relieved of the duty to register after 30 years (Correction Law § 168-h [2]).

§ 168-n [3]; *see also* Correction Law § 168-d [3]). The Board of Examiners of Sex Offenders has explained that the information used to determine defendant's risk level "can be derived from the sex offender's admissions; the victim's statements; the evaluative reports of the supervising probation officer, parole officer or corrections counselor; or from any other reliable source" (Board of Examiners of Sex Offenders, Sex Offender Registration Act: Risk Assessment Guidelines and Commentary, General Principles ¶ 7, at 5 [2006]). Beyond this, neither the Legislature nor the Board of Examiners of Sex Offenders have further specified the types of evidentiary materials admissible in a SORA proceeding. But one thing is undisputed—the Legislature did not limit the proof to what would be admissible at a civil or criminal trial.

Defendants suggest that this Court apply the standards developed in other administrative and preliminary hearing contexts to fashion an admissibility standard, such as the multifactored analysis employed in federal disability benefits cases (*see e.g. Richardson v Perales*, 402 US 389 [1971]) or the *Aguilar-Spinelli* test used by New York courts to assess whether there was probable cause for a search or arrest (*see People v Hetrick*, 80 NY2d 344 [1992]). While the approaches taken in these other spheres are certainly helpful in identifying factors relevant to our analysis, SORA proceedings further an important and unique public safety function and we therefore decline to adopt wholesale a body of evidentiary rules developed in another context.

Reliable Hearsay

To determine a standard of admissibility for risk level determination hearings, we begin by reviewing the evidence New York courts have consistently deemed reliable in SORA proceedings. The Appellate Divisions have routinely upheld determinations based on information found in case summaries prepared by the Board of Examiners of Sex Offenders and presentence reports prepared by a probation department for use by sentencing courts (*see e.g. People v Lewis*, 45 AD3d 1381 [4th Dept 2007], *lv denied* 10 NY3d 703 [2008]; *People v Craig*, 45 AD3d 1365 [4th Dept 2007], *lv denied* 10 NY3d 702 [2008]; *People v Ahlers*, 10 AD3d 770 [3d Dept 2004], *lv denied* 4 NY3d 704 [2005]; *People v Burgess*, 6 AD3d 686 [2d Dept 2004], *lv denied* 3 NY3d 604 [2004]; *People v Dorato*, 291 AD2d 580 [3d Dept 2002]). The Board of Examiners of Sex Offenders is charged with producing accurate case summaries as an integral part of its functions and it has expertise culling through records to produce a concise statement of the factual information relevant to defendant's risk of reoffense. Similarly, to assist the court in imposing an appropriate sentence, probation departments are charged with gathering a wide variety of information for inclusion in presentence reports—reports that ''may well be the single most important document at both the sentencing and correctional levels of the criminal process'' (*People v Hicks*, 98 NY2d 185, 189 [2002] [internal quotation marks and citations omitted]).

[1] Case summaries and presentence reports are prepared with the knowledge that they will be relied on by courts. No foundation is necessary for their consideration at SORA hearings because such documents are created under statutory mandates and their origins and function are well-known to SORA courts (*see e.g. People v Fiene*, 56 AD3d 921 [3d Dept 2008] [no testimony was required to explain the uses of the RAI, the presentence investigation report or the case summary]). Of course, information found in a case summary or presentence report need not always be credited—it may be rejected when it is unduly speculative or its accuracy is undermined by other more compelling evidence. But case summaries and presentence reports certainly meet the ''reliable hearsay'' standard for admissibility at SORA proceedings.

[2] Similarly, grand jury testimony has been deemed sufficiently trustworthy for SORA purposes (*see e.g. People v Imbert*, 48 AD3d 297 [1st Dept 2008], *lv denied* 10 NY3d 714 [2008]; *People v Concepcion*, 38 AD3d 739 [2d Dept 2007], *lv denied* 9 NY3d 801 [2007]; *People v Dort*, 18 AD3d 23 [3d Dept 2005], *lv denied* 4 NY3d 885 [2005]). Although not subject to cross-examination, this evidence is taken under oath, a significant, though not indispensable, indication of reliability. Other sworn documents have also been consistently accepted by SORA courts, including misdemeanor and felony complaints (*see People v Moore*, 16 AD3d 190 [1st Dept 2005], *lv denied* 4 NY3d 889 [2005]; *People v Conway*, 47 AD3d 492 [1st Dept 2008], *lv denied* 10 NY3d 708 [2008]). Similar to case summaries and presentence reports, no foundation is necessary to justify receipt of this type of evidence at a SORA hearing because the circumstances surrounding the development of the proof are evident from the face of the document and are well understood by a SORA court.

[3] With this in mind, we turn to the purpose underlying SORA—to protect the public from sex offenders. Given the significance of the mission, an accurate determination of the risk a sex offender poses to the public is the paramount concern. We conclude that hearsay is reliable for SORA purposes—and, therefore, admissible—if, based on the circumstances surrounding the development of the proof, a reasonable person would deem it trustworthy.

It is impossible to list the types of evidence that will meet this standard because the proof will vary depending on the circumstances of the case. If the District Attorney is relying on facts relating to a prior conviction that involved a trial, the sources relied on at the SORA proceeding will likely be different than would be the case if a defendant had waived indictment and pleaded guilty. A higher quality of proof may be expected where the proof relates to a criminal case that was recently adjudicated versus one that was resolved decades ago. Among the factors considered in evaluating the reliability of proffered hearsay evidence are the age of the conviction and the efforts made to locate relevant documents; whether the proof is corroborated either by the nature of the conviction or other evidence in the record; whether the declarant was under oath or was acting under a duty to accurately report, record or convey information; and whether the circumstances surrounding the making of the statement otherwise bear indicia of reliability. SORA courts must have the flexibility to make reliability determinations on a case-by-case basis.

Since accuracy is the goal, the District Attorney should proffer the best evidence available to illuminate the relevant facts, with the caveat that the Legislature did not contemplate that victims of sex crimes be compelled to appear and testify under oath at SORA proceedings. As the New Jersey Supreme Court has observed, such a requirement would undermine the practice often utilized by prosecutors of entering guilty pleas in cases involving sex crimes to avoid putting the victim through the trauma of a criminal trial (*see Matter of C.A.*, 146 NJ 71, 97-98, 679 A2d 1153, 1166 [1996]).

Mingo: The District Attorney's Office Documents

[4] Applying this standard to the internal District Attorney's office documents in *Mingo*, the evidence used to establish that defendant was armed with a dangerous instrument at the time of the rape may have constituted ''reliable hearsay'' but the record is presently insufficient to determine that this is the case. It appears that the District Attorney's inability to locate other types of proof, such as grand jury testimony, stemmed from the fact that the offense was committed almost 20 years ago. Defendant did not argue at the SORA proceeding that the District Attorney failed to undertake a diligent search for additional records or was not proffering the best available evidence.

As the People argue, internal documents generated by a prosecuting agency share similarities with case summaries and presentence reports in that all are prepared in furtherance of a governmental function. The District Attorney's office documents may be reliable for reasons similar to the business records exception to the hearsay rule, that is "records systematically made for the conduct of a business . . . are inherently highly trustworthy because they are routine reflections of day-to-day operations and because the entrant's obligation is to have them truthful and accurate for purposes of the conduct of the enterprise" (*People v Rawlins*, 10 NY3d 136, 150 [2008] [internal quotation marks and citations omitted]; *see People v Cratsley*, 86 NY2d 81, 88-91 [1995]). It may well be that these forms are generally produced based on information supplied by the victim, the arresting officer or some other knowledgeable witness under circumstances bearing indicia of reliability.

But the documents relied on here differ in at least one significant respect from case summaries and presentence reports. Since SORA courts are aware of how case summaries and presentence reports are prepared and, in fact, these documents are generated with knowledge that they will be submitted to and relied on by courts, foundation testimony is unnecessary to establish their admissibility. But the same is not true with respect to the unsworn, internal District Attorney's office documents proffered in *Mingo*. Some explanation of how these documents were generated, the personnel who prepared them, the sources typically relied upon for the information contained therein, and the function they served is needed before they can be viewed as trustworthy. Furthermore, where the documents contain a code or shorthand not readily interpreted by the court, this should be deciphered on the record to assist the court and facilitate appellate review. For example, in a brief submitted in this Court, the District Attorney explains some of the notations appearing on the Early Case Assessment Bureau form, indicating that they reveal the sources of the information contained on the form. This type of basic information should be presented at the

SORA proceeding, either through a prehearing affirmation, an offer of proof, or by testimony from a witness with knowledge of the internal procedures of the District Attorney's office.

We do not suggest that any formal incantation, such as the recitation typically preceding the admission of a business record under CPLR 4518, is required. Nor will it be necessary in every case for the District Attorney to call a witness to supply the requisite foundation. But, in *Mingo*, since the SORA court accepted the forms used by the District Attorney's office without requiring foundation evidence of any type, the record contains no information supplying the requisite indicia of reliability. Hence, this case should be remitted to the SORA court to provide the District Attorney an opportunity to establish a foundation supporting the documents' admissibility. Defendant remains free to rebut the District Attorney's proffer and the SORA court will determine whether the documents are sufficiently trustworthy to constitute ''reliable hearsay'' based on the considerations identified above.

Balic: The Criminal Complaint

[5] Remittal is unnecessary in *Balic* since the criminal complaint was a sworn statement created by a police officer with a duty to report. Here, the record supports the conclusion that the document constituted reliable hearsay. The source of the information in the complaint is clear; the police officer indicates that he is recounting statements made by the child victim on the same day as the crime. Needless to say, a police officer is charged with the duty to accurately record statements made by a complaining witness—and nothing in this record suggests that the officer did not fulfill this command.

Defendant argues that the document is unreliable because, although the police officer was under oath, the complainant was not. Thus, defendant suggests that SORA courts can consider only sworn victim statements. We find this assertion to be inconsistent with the broad statutory language directing the court to consider ''*any* victim's statement'' (Correction Law § 168-n [3] [emphasis added]). The Legislature's decision not to restrict the proof to sworn statements recognizes that there are circumstances when a sworn statement of the victim is unavailable either due to the victim's age or mental capacity, or the early resolution of the case by a waiver of indictment and guilty plea. Moreover, as these appeals demonstrate, sometimes sworn statements cannot be located due to the age of the conviction and the unintentional loss or destruction of documents. Courts in other jurisdictions with comparable regulatory schemes have similarly determined that victim statements can be relied on even if not made under oath (*see Matter of C.A., supra*, 146 NJ 71, 679 A2d 1153 [1996] [victim statements recounted in police and medical reports constituted reliable hearsay]; *Doe v Sex Offender Registry Bd.*, 70 Mass App Ct 309, 873 NE2d 1194 [App Ct, Suffolk 2007], *review denied* 450 Mass 1110, 881 NE2d 1142 [2008] [court did not err in relying on victim statement recounted in police report]). Of course, where an unsworn statement is equivocal, inconsistent with other evidence, or seems dubious in light of other information in the record, a SORA court is free to disregard it.

But, in *Balic*, there is no basis to set aside the determination that the criminal complaint was sufficiently reliable to render it admissible at the risk level proceeding. Moreover, we reject defendant's assertion that the District Attorney failed to meet the clear and convincing evidence burden of proof, particularly since defendant did not actually controvert the allegations of sexual assault by offering a contrary account of the 1985 incident and defendant's guilty plea confirmed that defendant physically assaulted the victim, partially corroborating the information in the criminal complaint. We therefore decline to disturb Balic's level two designation.

Accordingly, in *People v Mingo*, the order of the Appellate Division should be reversed, without costs, and the case remitted to Supreme Court for proceedings not inconsistent with this opinion; in *People v Balic*, the order of the Appellate Division should be affirmed, without costs.

Judges CIPARICK, READ, SMITH, PIGOTT and JONES concur; Chief Judge LIPPMAN taking no part.

In *People v Mingo*: Order reversed, without costs, and case remitted to Supreme Court, Kings County, for further proceedings in accordance with the opinion herein.

In *People v Balic*: Order affirmed, without costs.

[910 NE2d 997, 883 NYS2d 168]

In the Matter of LACKAWANNA COMMUNITY DEVELOPMENT CORPORATION, Appellant, v FRANK E. KRAKOWSKI, as Assessor of the City of Lackawanna, et al., Respondents.

Argued April 28, 2009; decided June 11, 2009

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered April 25, 2008. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, Erie County (Rose H. Sconiers, J.), entered in a proceeding pursuant to RPTL article 7, which had (a) granted petitioner's motion for summary judgment, (b) denied respondents' cross motion for summary judgment, (c) annulled the determination of respondent Frank E. Krakowski that petitioner's property was not exempt from taxation, and (d) determined the property was tax exempt for the tax year 2006; (2) denied the motion; (3) granted the cross motion; and (4) dismissed the petition.

Matter of Lackawanna Community Dev. Corp. v Krakowski, 50 AD3d 1469, affirmed.

HEADNOTE

Taxation — Exemptions — Nonprofit Organizations — Property Leased by Nonprofit Local Development Corporation to For-Profit Corporation Used for Manufacturing Activities

Real property owned by petitioner nonprofit local development corporation and leased to a for-profit corporation carrying out for-profit manufacturing activities on the property was not entitled to a tax exemption under Real Property Tax Law § 420-a (1) (a). It is the actual or physical use of the property that the Real Property Tax Law is concerned with when it exempts from taxation property ''used exclusively for carrying out thereupon one or more'' exempt purposes (RPTL 420-a [1] [a]). The property here was ''used'' within the meaning of Real Property Tax Law § 420-a (1) (a) by the for-profit lessee for manufacturing activities, and not by petitioner for an exempt purpose. Although petitioner leased the property in furtherance of its purpose of spurring economic development, not all laudable activities entitle the actor to a property tax exemption. The Real Property Tax Law should not be read together with the Not-For-Profit Corporation Law in such a manner as to establish a ''tax loophole'' where one would not otherwise exist. Had the Legislature intended to provide a blanket real property tax exemption for local development corporations, it would have done so expressly, as it has in other contexts.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, State and Local Taxation §§ 296, 303, 305, 309.

CARMODY-WAIT 2d, Judicial Review of Assessments and Taxes § 146:21.
MCKINNEY'S, RPTL 420–a (1) (a).
NY JUR 2d, Taxation and Assessment §§ 180, 185, 187.
NEW YORK REAL PROPERTY SERVICE § 60:16.

ANNOTATION REFERENCE

See ALR Index under Nonprofit Organizations; Taxes.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS
Query: property /2 tax /4 exempt! & lease /s for-profit

POINTS OF COUNSEL

Hurwitz & Fine, P.C., Buffalo (*Michael F. Perley* and *Audrey A. Seeley* of counsel), for appellant. I. A local development corporation (LDC) should enjoy tax-exempt status under Real Property Tax Law § 420-a (1) for lease of its real property to for-profit businesses where the LDC's action is consistent with the LDC's core charitable purpose. (*Matter of Ellis Hosp. v Assessor of City of Schenectady,* 288 AD2d 581; *Matter of Brooklyn Assembly Halls of Jehovah's Witnesses, Inc. v Department of Envtl. Protection of City of N.Y.,* 11 NY3d 327; *Matter of Yeshivath Shearith Hapletah v Assessor of Town of Fallsburg,* 79 NY2d 244; *Gospel Volunteers v Village of Speculator,* 29 NY2d 622; *Matter of Adult Home at Erie Sta., Inc. v Assessor & Bd. of Assessment Review of City of Middletown,* 10 NY3d 205; *Matter of Genesee Hosp. v Wagner,* 47 AD2d 37, 39 NY2d 863; *Matter of County of Erie v Kerr,* 49 AD2d 174; *Matter of Nassau County Council Boy Scouts of Am. v Board of Assessors of Town of Rockland,* 84 AD2d 862, 55 NY2d 607; *Matter of Canton Human Servs. Initiatives, Inc. v Town of Canton,* 4 Misc 3d 413; *Sisters of St. Joseph v City of New York,* 49 NY2d 429.) II. Respondents erroneously removed the tax-exempt status of Lackawanna Community Development Corporation's real property at 100 Ridge Road. (*Matter of Regional Economic Community Action Program v Ritter,* 270 AD2d 492, 95 NY2d 758.)

Hodgson Russ LLP, Buffalo (*Daniel A. Spitzer, Michael B. Risman* and *Joshua Feinstein* of counsel), for respondents. I. The property does not meet the requirements for an exemption under the Real Property Tax Law. (*Matter of Charter Dev. Co., L.L.C. v City of Buffalo,* 6 NY3d 578; *Matter of Adirondack Land Trust v Town of Putnam Assessor,* 203 AD2d 861, 84 NY2d

809; *Mohonk Trust v Board of Assessors of Town of Gardiner,* 47 NY2d 476; *Matter of Ksiaze Chylinski-Polubinski Trust, Inc. v Board of Assessment Review for Town of De Kalb,* 21 AD3d 620; *Matter of Genesee Hosp. v Wagner,* 47 AD2d 37; *Matter of Ellis Hosp. v Assessor of City of Schenectady,* 288 AD2d 581; *Matter of Chautauqua Inst. v Town of Chautauqua,* 35 AD2d 1; *Matter of Cornell Univ. v Board of Assessors of City of Ithaca,* 24 AD2d 526; *Matter of Julia L. Butterfield Mem. Hosp. Assn. v Town of Philipstown,* 48 AD2d 289; *Matter of Shrine of Our Lady of Martyrs of Auriesville v Board of Assessors of Town of Glen,* 54 Misc 2d 145.) II. Lackawanna Community Development Corporation's contentions are meritless. (*Matter of Charter Dev. Co., L.L.C. v City of Buffalo,* 6 NY3d 578; *Matter of Adult Home at Erie Sta., Inc. v Assessor & Bd. of Assessment Review of City of Middletown,* 10 NY3d 205; *Matter of Yeshivath Shearith Hapletah v Assessor of Town of Fallsburg,* 79 NY2d 244; *Matter of Nassau County Council Boy Scouts of Am. v Board of Assessors of Town of Rockland,* 84 AD2d 862; *Gospel Volunteers v Village of Speculator,* 33 AD2d 407; *Matter of St. Luke's Hosp. v Boyland,* 12 NY2d 135; *Matter of Ksiaze Chylinski-Polubinski Trust, Inc. v Board of Assessment Review for Town of De Kalb,* 21 AD3d 620; *Matter of Ellis Hosp. v Assessor of City of Schenectady,* 288 AD2d 581; *Matter of Julia L. Butterfield Mem. Hosp. Assn. v Town of Philipstown,* 48 AD2d 289; *Matter of Genesee Hosp. v Wagner,* 47 AD2d 37.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

The tax assessor for the City of Lackawanna seeks to tax real property owned by the Lackawanna Community Development Corporation (LCDC), a local development corporation organized under section 1411 of the Not-For-Profit Corporation Law. LCDC leases the property to a for-profit corporation that carries out for-profit manufacturing activities on the property. The Appellate Division found the property taxable under the Real Property Tax Law (50 AD3d 1469 [4th Dept 2008]). Because the property is "used" within the meaning of RPTL 420-a (1) (a) by the for-profit lessee for manufacturing activities, and not by LCDC for an exempt purpose, we hold that the property is taxable and the Appellate Division order should be affirmed.

LCDC acquired the properties that comprise what is now known as 100 Ridge Road in Lackawanna, New York between 1981 and 1985, and in 1993 LCDC leased the real property to Now-Tech Industries, Inc., a for-profit corporation. Now-Tech

Industries, Inc. subsequently assigned the lease to PCB Now-Tech, Inc., another for-profit corporation. Prior to 2006, LCDC was not assessed real property taxes on the 100 Ridge Road property. In 2006, relying on the New York State Office of Real Property Services Exemption Administration Manual that, in relevant part, largely mirrors the statute, Lackawanna's tax assessor concluded that the 100 Ridge Road property was not entitled to an exemption under section 420-a (1) (a), and LCDC commenced this action.

''Generally, the burden of proof lies with the taxpayer who is seeking to have real property declared tax exempt,'' but when, as here, a municipality seeks ''to withdraw a previously granted tax exemption, the municipality bears the burden of proving that the real property is subject to taxation'' (*Matter of New York Botanical Garden v Assessors of Town of Washington*, 55 NY2d 328, 334 [1982]). The Lackawanna tax assessor has satisfied his burden.

We first pause to note what we are not deciding today. This case does not present for our consideration, under either the Not-For-Profit Corporation Law or the Real Property Tax Law, whether the 100 Ridge Road property was exempt from taxation prior to LCDC's leasing it to an entity that carries out for-profit manufacturing activities on the property. For present purposes, therefore, we assume without deciding that prior to it being leased, the 100 Ridge Road property held by LCDC was exempt from taxation.

It is the actual or physical use of the property that the Real Property Tax Law is concerned with when it exempts from taxation property ''*used* exclusively for carrying out *thereupon* one or more'' exempt purposes (RPTL 420-a [1] [a] [emphasis added]; *see Matter of Adult Home at Erie Sta., Inc. v Assessor & Bd. of Assessment Review of City of Middletown*, 10 NY3d 205, 216 [2008] [the ''issue is . . . whether the property is 'used exclusively' '' for an exempt purpose, and property used to provide housing for the indigent and property used to provide housing for people ''while they participate in social work programs'' is ''used'' within the meaning of the statute]).*

* In *Matter of Adult Home* the use of the property at issue was said to be reasonably incident to an exempt purpose (10 NY3d at 216), and it has long been clear that the statute's ''used exclusively'' language should be understood to mean ''used principally'' (*see Matter of Symphony Space v Tishelman*, 60 NY2d 33, 38 [1983]). Whether the use of real property to carry out an exempt

(n. cont'd)

We find no support in the Real Property Tax Law or the Not-For-Profit Corporation Law for LCDC's argument that the 100 Ridge Road property is ''used'' by LCDC because LCDC is leasing it in furtherance of LCDC's purpose of spurring economic development. There is no question that local development corporations formed under the Not-For-Profit Corporation Law for the ''charitable or public purposes of relieving and reducing unemployment . . . bettering and maintaining job opportunities, instructing or training individuals to improve or develop their capabilities for such jobs,'' and ''encouraging the development of, or retention of, an industry in the community or area,'' among other purposes (N-PCL 1411 [a]), are pursuing laudable goals that better the State's communities, and LCDC is no exception. Not all laudable activities, however, entitle the actor to a property tax exemption, and we decline LCDC's invitation to read the Real Property Tax Law together with the Not-For-Profit Corporation Law in such a manner as to establish a ''tax loophole'' where one would not otherwise exist (*see Sisters of St. Joseph v City of New York*, 49 NY2d 429, 441 [1980]).

Moreover, if the Legislature had intended to provide a blanket real property tax exemption for local development corporations, it would have done so expressly, as it has in other contexts (*compare* N-PCL 1411 [f] [providing that the ''income and operations'' of local development corporations formed under the statute are exempt from taxation], *with* General Municipal Law § 874 [1] [providing that an industrial development agency ''shall be required to pay no taxes or assessments upon any of the property acquired by it or under its jurisdiction or control or supervision or upon its activities'']).

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Order affirmed, with costs.

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purpose is characterized, as here, as the sole use of the property or, as in *Matter of Adult Home*, as a use reasonably incident to an exempt purpose, it is the actual or physical use of the real property that is determinative under section 420-a (1) (a).

[912 NE2d 37, 884 NYS2d 205]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v NOEL MARTE, Appellant.

Argued May 6, 2009; decided June 11, 2009

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered June 17, 2008. The Appellate Division affirmed a judgment of the Supreme Court, Kings County (Alan D. Marrus, J.), which had convicted defendant, upon a jury verdict, of assault in the first degree and robbery in the first degree.

People v Marte, 52 AD3d 737, affirmed.

HEADNOTE

Crimes — Identification of Defendant — Suggestive Identification Procedure — No Per Se Rule Suppressing Identification if Police Not Involved

The per se rule that evidence of an unnecessarily suggestive police-arranged identification of a criminal suspect must be suppressed as a matter of state constitutional law, adopted in *People v Adams* (53 NY2d 241 [1981]), does not extend to an identification in which the police are not involved. Although suggestiveness originating with private citizens can create a risk of misidentification, that risk does not justify an automatic, constitutional rule of exclusion. The primary goal of *Adams* is not to keep evidence of flawed identifications from the factfinder, but to assure, to the extent possible, that the identifications are not flawed in the first place. That goal cannot be advanced by extending the rule to cases where police are not involved in the identification, as family, friends, and acquaintances of crime victims, unlike police officers, are highly unlikely to regulate their conduct according to rules laid down by courts for the suppression of evidence. Further, a per se rule prohibiting the use of evidence that results from such private communications would deny much valuable information to the factfinder, without any corresponding gain in the fairness of the means used to identify alleged criminals.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law § 923; AM JUR 2d, Evidence §§ 571, 573, 636, 637, 640.

CARMODY-WAIT 2d, Eyewitness Identification Procedures §§ 174:1, 174:46, 174:53; CARMODY-WAIT 2d, Particular Types of Evidence §§ 194:268–194:270, 194:277.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 7.1, 7.4.

NY JUR 2d, Criminal Law: Procedure §§ 665, 668, 669, 672, 696, 2213–2218.

ANNOTATION REFERENCE

See ALR Index under Description and Identification; Exclusion and Suppression of Evidence.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: suggestive /3 identification /s suppress! /p private & exclusion! /s police enforcement

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POINTS OF COUNSEL

Paul Skip Laisure, New York City, and *Lynn W.L. Fahey* for appellant. I. Appellant was denied due process when the hearing court refused to suppress the complainant's unreliable lineup identification, which was the product of an unduly suggestive pretrial photographic showup arranged by the complainant's sister, on the ground that the suggestiveness was not the result of police misconduct. (*People v McQueen,* 170 AD2d 696; *People v Pries,* 206 AD2d 873; *United States v Wade,* 388 US 218; *Neil v Biggers,* 409 US 188; *Manson v Brathwaite,* 432 US 98; *Stovall v Denno,* 388 US 293; *Foster v California,* 394 US 440; *People v Adams,* 53 NY2d 241; *People v Gee,* 99 NY2d 158; *People v Edmonson,* 75 NY2d 672.) II. Because the People failed to prove, and the jury did not find beyond a reasonable doubt, that the assault and robbery stemmed from separate and distinct acts, appellant's consecutive sentences are illegal under Penal Law § 70.25 (2) and violated his rights to due process and a jury trial under *Apprendi v New Jersey* (530 US 466 [2000]). (*People v Laureano,* 87 NY2d 640; *People v Catone,* 65 NY2d 1003; *People v Rosas,* 8 NY3d 493; *People v Hamilton,* 4 NY3d 654; *People v Underwood,* 52 NY2d 882; *People v Martinez,* 138 AD2d 251; *People v Smiley,* 121 AD2d 274; *People v Whitaker,* 97 AD2d 555; *People v Murray*, 299 AD2d 225; *People v Amato,* 1 AD3d 713.)

Charles J. Hynes, District Attorney, Brooklyn (*Camille O'Hara Gillespie* and *Leonard Joblove* of counsel), for respondent. I. Defendant's claim regarding the admission of the identification testimony of the complainant is in part unpreserved for appellate review. In any event, that claim is meritless because the police had no role in the complainant's identification of defendant from a photograph. Moreover, the circumstances of the complainant's photographic identification of defendant were not unnecessarily suggestive. (*People v Montgomery,* 88 NY2d 1041; *People v Robinson,* 74 NY2d 773, 493 US 966; *People v Fleming,* 70 NY2d 947; *People v Tutt,* 38 NY2d 1011; *Dowling v United States,* 493 US 342; *United States v Lovasco,* 431 US 783; *Mooney v Holohan,* 294 US 103; *Patterson v New York,* 432 US 197; *DeShaney v Winnebago County Dept. of Social Servs.,* 489 US 189.) II. Defendant has failed to preserve for appellate review his claim that the imposition of consecutive sentences violated his constitutional right to a jury trial. In any event, both that claim and his claim that the imposition of consecutive sentences violated Penal Law § 70.25 are meritless. (*Apprendi v New Jersey,* 530 US 466; *People v Salcedo,* 92 NY2d 1019; *People v Laureano,* 87 NY2d 640; *People v Day,* 73 NY2d 208; *People v Ramirez,* 89 NY2d 444; *People v Rosas,* 8 NY3d 493; *People v Abrew,* 95 NY2d 806; *People v Bryant,* 92 NY2d 216; *People v Lewis,* 268 AD2d 249; *People v Rubero,* 294 AD2d 310.)

OPINION OF THE COURT

SMITH, J.

We held in *People v Adams* (53 NY2d 241 [1981]) that evidence of an unnecessarily suggestive police-arranged identification of a criminal suspect must be suppressed as a matter of state constitutional law. We hold today that no similar per se rule applies to an identification in which the police are not involved. While suggestiveness originating with private citizens can create a risk of misidentification, that risk does not justify an automatic, constitutional rule of exclusion.

I

The victim, whom we will call Peter L., was robbed and shot in the chest near his home. In the months following the robbery, he looked at hundreds of photographs shown him by the police, not including defendant's. He did not identify any of the men pictured as his attacker, and eventually he gave up the effort, telling a police officer that he did not think he would be able to pick anyone out.

Peter's 14-year-old sister, whom we will call Margaret, had known defendant in junior high school. Some six months after the crime, defendant and Margaret met again at Margaret's home, and defendant told her, "I actually shot someone on this block." Margaret, who had been violating family rules by meeting defendant, kept silent for some weeks, but then (according to her testimony) told Peter that she thought she knew who shot him, and showed him defendant's picture. Peter first rejected the suggestion, then reconsidered, took the picture from Margaret, and decided that the person pictured was his attacker. Margaret reinforced this idea in a letter to her brother, quoting defendant's admission and describing defendant as "[t]he kid that everyone thinks shot you."

At this point, Peter and Margaret went to the police, who arranged a lineup, from which Peter selected defendant. At trial, Peter again identified defendant as his attacker. Defendant's pretrial motion to suppress identification testimony was denied, and defendant was convicted of robbery and assault. The Appellate Division affirmed (52 AD3d 737 [2008]), and a Judge of this Court granted leave to appeal (11 NY3d 833 [2008]). We now affirm.

II

In *United States v Wade* (388 US 218, 236-237 [1967]), the United States Supreme Court held that a postindictment lineup is "a critical stage of the prosecution," at which a defendant is entitled to counsel. In so holding, the Court remarked that "[a] major factor contributing to the high incidence of miscarriage of justice from mistaken identification has been the degree of suggestion inherent in the manner in which the prosecution presents the suspect to witnesses for pretrial identification" (*id.* at 228). The Supreme Court later declined to hold, however, that the federal Due Process Clause compels the exclusion of all pretrial identification evidence resulting from an unnecessarily suggestive police-arranged procedure (*Manson v Brathwaite*, 432 US 98 [1977]). The Court concluded that the admissibility of such evidence should depend on its reliability, judged according to "the totality of the circumstances" (*id.* at 110, 114).

We have interpreted the Due Process Clause of the New York Constitution differently. In *Adams*, we adopted a "rule excluding improper showups and evidence derived therefrom," while allowing in-court identifications "based on an independent source" (53 NY2d at 250-251). *Adams*, like most other cases imposing constitutional limits on identification procedures, involved suggestiveness originating with law enforcement officers; *Adams* refers specifically to "suggestive identification procedures employed by the police" (53 NY2d at 251). Defendant here argues, however, that the rule of *Adams* should apply even where the source of suggestion is a private citizen.

Defendant says that this broadening of *Adams* is justified because the exclusionary rule applicable to suggestive identifications—unlike the rule applicable to coerced confessions, or evidence obtained in an unlawful search—is designed not just to deter police misconduct, but to advance the search for truth—''to reduce the risk,'' as we said in *Adams* ''that the wrong person will be convicted'' (53 NY2d at 251). Since a private citizen's suggestion can have the same tendency to produce wrongful convictions as a police officer's, defendant argues that the resulting evidence should be suppressed in both cases.

We reject this argument. It is true that the rule of *Adams* is designed to enhance the truth finding process, and to prevent wrongful convictions. It does so, however, largely through its effect on police procedures: the knowledge that evidence resulting from unnecessarily suggestive identifications will be suppressed leads the police to avoid such suggestiveness, and to conduct careful and fair lineups whenever they can. As we said in *People v Logan* (25 NY2d 184 [1969]), ''The exclusionary rules were fashioned to deter improper conduct on the part of law enforcement officials which might lead to mistaken identifications'' (*id.* at 193 [citation omitted]). While the New York rule is different from the one adopted by the Supreme Court in *Manson v Brathwaite*, the rules have an important purpose in common: to assure that ''[t]he police will guard against unnecessarily suggestive procedures . . . for fear that their actions will lead to the exclusion of identifications as unreliable'' (432 US at 112 [footnote omitted]).

In other words, the primary goal of *Adams* is not to keep evidence of flawed identifications from the factfinder, but to assure, to the extent possible, that the identifications are not flawed in the first place. This goal cannot be advanced by extending the rule of *Adams* to cases like this one. The family, friends and acquaintances of crime victims, unlike police officers, are highly unlikely to regulate their conduct according to rules laid down by courts for the suppression of evidence. No imaginable rule of law could have discouraged Margaret from showing Peter defendant's photograph, or from telling him her reason for doing so. A per se rule prohibiting the use of evidence that results from such private communications would deny much valuable information to the factfinder, without any corresponding gain in the fairness of the means used to identify alleged criminals.

No authority in our Court, and none in the United States Supreme Court, gives any support to defendant's theory that rules authorizing suppression of eyewitness evidence tainted by suggestion should be applied when the suggestion did not come from law enforcement. Defendant relies, however, on several federal Court of Appeals cases: *Raheem v Kelly* (257 F3d 122 [2d Cir 2001]), *Dunnigan v Keane* (137 F3d 117 [2d Cir 1998]), *United States v Bouthot* (878 F2d 1506 [1st Cir 1989]), *Thigpen v Cory* (804 F2d 893 [6th Cir 1986]) and *Green v Loggins* (614 F2d 219 [9th Cir 1980]). We are not bound by these decisions, and need not decide whether we think them correct; none of them goes as far as defendant would have us go here.

In all these cases except *Dunnigan*, the suggestive identifications were the result of the actions of police or prosecutors. The suggestiveness was not the fault of the law enforcement officials, but the courts held that that did not immunize the identifications from scrutiny under the federal ''totality of the circumstances'' rule. (In *Bouthot*, the court emphasized the flexibility of the federal rule—in contrast to a ''*per se* rule'' like the rule of *Adams*—in justifying its holding [878 F2d at 1516].) In *Dunnigan*, the source of the suggestion was a private citizen, but he was a bank security official conducting an investigation. Thus it could not be said in *Dunnigan*, as it can here, that suppression of evidence would serve no deterrent purpose.

Defendant also cites cases from other states, including *State v Chen* (402 NJ Super 62, 952 A2d 1094 [App Div 2008]), *State v Hibl* (290 Wis 2d 595, 714 NW2d 194 [2006]) and *Commonwealth v Jones* (423 Mass 99, 666 NE2d 994 [1996]). Again, we need not express agreement or disagreement with these cases; none of them adopts the rule of constitutional law that defendant urges here—indeed, two of them reject it. *Chen* held that the defendant was not entitled to a *Wade* hearing where she had been identified as the result of a suggestive procedure originating with the victim's husband; the court went on to decide that a preliminary hearing on reliability should have been held, in discharge of the trial court's ''gate-keeping function'' under the New Jersey Rules of Evidence (402 NJ Super at 82, 952 A2d at 1105). *Hibl*, similarly, rejected the defendant's due process argument but required the lower court to consider whether the probative value of the identification evidence was substantially outweighed by the danger of prejudice and confusion (290 Wis 2d at 615, 714 NW2d at 204). *Jones* did not decide any constitutional issue, but held that ''[c]ommon law principles of fairness dictate that an unreliable identification arising from the especially suggestive circumstances of this case should not be admitted'' (423 Mass at 109, 666 NE2d at 1001).

Here, by contrast, the only issue before us is a constitutional issue. Defendant has not argued, and could not persuasively argue on this record, that the evidence he challenges should be excluded as more prejudicial than probative under common-law rules of evidence (*see People v Scarola*, 71 NY2d 769, 777 [1988] [''Even where technically relevant evidence is admissible, it may still be excluded by the trial court in the exercise of its discretion if its probative value is substantially outweighed by the danger that it will unfairly prejudice the other side or mislead the jury'' (citations omitted)]). Like the courts in *Chen* and *Hibl*, we decline to extend a per se constitutional rule of exclusion to cases where an identification results from a suggestive communication by a private citizen (*see also State v Pailon*, 590 A2d 858 [RI 1991] [finding no state action, and thus no constitutional violation, where the source of suggestion was a private citizen]; *State v Holliman*, 214 Conn 38, 570 A2d 680 [1990] [finding no constitutional violation, but examining identification for reliability on nonconstitutional grounds]).

We acknowledge, as many courts have, the real possibility that suggestiveness that is not of police origin can contribute to misidentifications. But suggestiveness is only one of the possible sources of such mistakes. A witness to whom no one has made any suggestion can be mistaken for any one or more of many reasons—an inadequate opportunity to observe, bias, panic, racial stereotyping, difficulty in focusing on an attacker's features, or simple bad memory, among others. Where no one in law enforcement is the source of the problem, nothing justifies the per se rule defendant seeks.

Ordinarily, where the need to regulate police conduct does not justify an exclusionary rule, our system relies on juries to assess the reliability of eyewitnesses, aided by cross-examination, by the arguments of counsel, and by whatever other evidence supports or contradicts the witnesses' testimony (*see State v Pailon*, 590 A2d at 863 [''the best guarantee of due process . . . would be the opportunity for cross-examination'']; *United States v Zeiler*, 470 F2d 717, 720 [3d Cir 1972] [''When . . . there is no evidence that law enforcement officials encouraged or assisted in impermissive identification procedures, the proper means of testing eyewitness testimony is through cross-examination'' (footnote omitted)]). We have recently recognized, however, that where a case depends wholly or largely on eyewitness identification, the risk of error may be unacceptably large, and we have held that, in a proper case, expert evidence may be introduced about whether eyewitnesses are likely to err (*People v LeGrand*, 8 NY3d 449 [2007]). Perhaps other safeguards would be appropriate in particular cases, and we do not rule out the possibility that a court, in balancing probative value against prejudicial effect, may find some testimony so unreliable that it is inadmissible. The eyewitness testimony in this case was not of that description.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, PIGOTT and JONES concur.

Order affirmed.

[912 NE2d 41, 884 NYS2d 209]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JEREMY ALMETER, Appellant.

Argued June 2, 2009; decided June 24, 2009

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Genesee County Court (Robert C. Noonan, J.), entered March 25, 2008. The County Court affirmed a judgment of the Batavia City Court, Genesee County (Robert J. Balbick, J.), which had convicted defendant, after a nonjury trial, of trespass in violation of Penal Law § 140.05.

HEADNOTE

Crimes — Fair Trial — Joint Bench and Jury Trial

The joint bench and jury trial of defendant, whose violation and misdemeanor charges were set forth in distinct accusatory instruments but arose from the same incident and were treated all along as if they had been consolidated, was not permissible, as defendant was unaware that each of his offenses was being tried to a separate factfinder until the trial was nearly over. A defendant should not be required to guess who the factfinder is at his or her trial. Defense counsel may well determine that a different trial strategy is warranted based upon whether a particular charge is being presented to a judge or to a jury. As there was every indication here that both charges were being tried by the jury, defendant should have been given notice that that in fact would not be the case, and, since there would be more than one factfinder, of which factfinder would be deciding which charge.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 975–978; AM JUR 2d, Trial §§ 1662, 1667, 1697, 1699.

CARMODY-WAIT 2d, Conduct of Trial, in General §§ 190:54, 190:57, 190:158, 190:159, 190:163.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 22.1, 24.6.

NY JUR 2d, Criminal Law: Procedure §§ 2516, 2517, 2519, 2623, 2630.

ANNOTATION REFERENCE

See ALR Index under Criminal Procedure Rules; Jury Trials; Trial By Court.

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Database: NY-ORCS

Query: joint /4 bench /4 jury /4 trial & separate /s accusatory information

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POINTS OF COUNSEL

Gary A. Horton, Public Defender, Batavia (*Bridget L. Field* of counsel), for appellant. Pursuant to Criminal Procedure Law § 340.40 (3), Jeremy Almeter was entitled to have a jury consider both the misdemeanor charge and the violation.

Lawrence Friedman, District Attorney, Batavia (*Robert R. Zickl* of counsel), for respondent. Defendant was not entitled to have a jury consider both the serious offense and the petty offense. (*Baldwin v New York,* 399 US 66; *Matter of Morgenthau v Erlbaum,* 59 NY2d 143; *People v Foy,* 88 NY2d 742.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

Based upon an incident occurring at complainant's home, defendant Jeremy Almeter was charged, by distinct accusatory instruments, with assault in the third degree and trespass. The trespass charge, a violation, was based upon the allegation that, at approximately 2:00 A.M. on October 18, 2005, defendant refused to leave complainant's property after complainant had asked him to do so. The assault charge, a misdemeanor, was based upon the allegation that, at the same time and place, defendant struck complainant under the chin with a soft-drink bottle, causing complainant to sustain a laceration requiring four stitches.

Notwithstanding the separate accusatory instruments, the matter(s) proceeded, to all appearances, as one prosecution: the charges were listed together on several documents, including the police incident report, the arrest report, the appearance ticket and the order of protection. And, although consolidation was not specifically requested, the charges were prosecuted under a single docket number. To say that the defendant might reasonably have expected the charges to be tried together before a single factfinder would not seem to venture too much.

However, after the parties had selected a jury and proceeded to trial, and, indeed, after the defense case had nearly concluded, the prosecutor, while discussing the jury charge, raised the issue of whether the trial court intended to render a decision as to the trespass charge. The court responded: "Yes. Yes. [Defense counsel], my practice, if I have violation charges as well as misdemeanor charges, is to have the jury handle statutorily their duty, which is misdemeanor verdict, and have the violation charge handled by this Court, decided by this Court.'' Defense counsel then indicated that he had been unaware of the court's practice, never having tried a case before this particular judge.

The court permitted defense counsel to consider the issue overnight. The following day, defense counsel reiterated that he had not been cognizant of the court's procedure and observed that ''no one ever brought that up to me for months while we had this case that this was going to be a separate matter, and I think that's unfair for Mr. Almeter.'' He also noted that he had made reference to an additional charge in front of the jury. Defense counsel did not specifically mention trespass in his opening statement but, when asking the jury not to form an opinion before hearing all of the evidence, stated that ''the law is very specific [as] to each of the charges.'' The court rejected defendant's arguments and, although the jury ultimately acquitted defendant of assault, the court convicted him of trespass.

County Court affirmed defendant's conviction, finding that a joint bench and jury trial was permissible under these circumstances, where there were two separate accusatory instruments. The court also found that there was no prejudice to defendant, since he had been acquitted of the assault charge. A Judge of this Court granted defendant leave to appeal (11 NY3d 784 [2008]) and we now reverse.

Section 340.40 (3) of the Criminal Procedure Law provides that a defendant who is entitled to a jury trial because he or she has pleaded not guilty to a misdemeanor, ''shall be so entitled even though the information also charges an offense for which he is otherwise not entitled to a jury trial.'' We need not reach defendant's contention that even though the charges were preferred by separate informations he was entitled under this provision to have the jury decide both charges. It would appear to us evident that if, contrary to reasonable expectation, two trials were to be simultaneously held before different factfinders, the court was obliged to inform defendant and his counsel of this unique mode of proceeding from the outset.

Defendant was unaware that each of his offenses was being tried to a separate factfinder until the trial was nearly over. The charges were all along treated as if they had been consolidated and, until the prosecutor raised the issue, nothing happened to disabuse defendant of that notion. It would seem fundamental that a defendant should not be required to guess who the factfinder is at his or her trial. As there was every indication that both charges were being tried by the jury, defendant should have been given notice that that in fact would not be the case, and, since there would be more than one factfinder, of which factfinder would be deciding which charge. This is so, at least in part, because counsel may well determine that a different trial strategy is warranted based upon whether a particular charge is being presented to a judge or to a jury.

While the court may have deemed this particular procedure economical, the economy was a false one where the defendant was not timely advised that his charges were to be tried by separate factfinders.

Accordingly, the order of the County Court should be reversed and the case should be remitted to Batavia City Court for further proceedings consistent with this opinion.

Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Order reversed, etc.

[913 NE2d 933, 885 NYS2d 241]

JOSEPH KASSIS et al., Appellants, v THE OHIO CASUALTY INSURANCE COMPANY, Respondent.

Argued June 4, 2009; decided June 25, 2009

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered May 2, 2008. The Appellate Division, with two Justices dissenting, (1) reversed, on the law, a judgment (denominated order) of the Supreme Court, Onondaga County (Donald A. Greenwood, J.; op 2007 NY Slip Op 34414[U]), which had granted plaintiffs' motion for summary judgment in an action for a declaratory judgment, declared that defendant was obligated to provide a defense to the underlying *Holden* action under the subject insurance policy, that defendant was liable for all costs, attorneys' fees and disbursements incurred in the defense of the *Holden* action, and that plaintiffs were entitled to their costs, attorneys' fees and disbursements in the declaratory judgment action, and denied defendants' cross motion for summary judgment; (2) denied plaintiffs' motion in its entirety; (3) vacated the declaration; (4) granted the cross motion in part; and (5) granted judgment in favor of defendant declaring that defendant was not obligated to defend or indemnify plaintiff Joseph Kassis in the underlying action pursuant to its commercial general liability policy.

Kassis v Ohio Cas. Ins. Co., 51 AD3d 1366, reversed.

HEADNOTES

Parties — Standing — Declaratory Judgment Action — Duty to Defend and Indemnify

1. Plaintiff landlord had standing to bring an action seeking a declaration that the insurer which had issued a commercial general liability insurance policy on the leased property to plaintiff's tenant was obligated to defend and indemnify the landlord pursuant to the policy's additional insured provision in a personal injury action brought by the tenant's employee. A person claiming to be an insured under an insurance policy may bring a declaratory judgment action against an insurer when an actual controversy develops concerning the extent of coverage, the duty to defend, or other issues arising from the insurance contract.

Insurance — Duty to Defend and Indemnify — Landlord as Additional Insured under Policy Issued to Tenant

2. Pursuant to the commercial general liability insurance policy obtained by plaintiff tenant from defendant insurer, which contained a blanket additional

insured provision, defendant was required to defend and, if appropriate, indemnify plaintiff landlord in an underlying personal injury lawsuit arising out of injuries sustained by the tenant's employee on the leased property. Under the lease, the tenant was required to ensure that the landlord received general liability insurance coverage equivalent to the coverage that the tenant enjoyed. The tenant was obligated to obtain specified coverage against "claims for bodily injury, personal injury and property damage" "at its sole cost and expense and for the mutual benefit of [landlord] and [tenant]." The natural and intended meaning of the term "mutual benefit" as used in this provision was that landlord and tenant were intended to enjoy the same level of coverage. Furthermore, the policy did not require the tenant to provide defendant with notice of any person or organization the tenant was contractually required to name as an additional insured. Accordingly, the landlord fell within the policy's additional insured provision.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Declaratory Judgments §§ 14, 129–132, 146; AM JUR 2d, Insurance §§ 667, 671, 687, 1396, 1400.

CARMODY-WAIT 2d, Declaratory Judgments §§ 147:91, 147:137, 147:149.

COUCH ON INSURANCE (3d ed) §§ 202:3, 227:28.

NY JUR 2d, Declaratory Judgments and Agreed Case §§ 92–95, 171, 184; NY JUR 2d, Insurance §§ 1535, 1576, 1917, 1918.

SIEGEL, NY PRAC §§ 436, 437.

ANNOTATION REFERENCE

See ALR Index under Declaratory Judgments or Relief; Insurance and Insurance Companies.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: additional /2 insured /s landlord /s personal /2 injury & lease

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POINTS OF COUNSEL

Green & Seifter, PLLC, Syracuse (*Lawrence M. Ordway Jr., John L. Valentino* and *Cecelia R. Cannon* of counsel), for appellants. I. Under the clear and unambiguous contract terms Joseph Kassis is an additional insured entitled to coverage, including a defense, from respondent. (*Pecker Iron Works of N.Y. v Traveler's Ins. Co.,* 99 NY2d 391; *Grefer v Anderson,* 249 AD2d 892; *Fay's Drug Co. v British Am. Dev. Corp.,* 140 AD2d 810; *Ingargiola v Waheguru Mgt.,* 5 AD3d 732; *Bailey v Fish & Neave,* 8 NY3d 523; *Vermont Teddy Bear Co. v 538 Madison Realty Co.,* 1 NY3d 470; *BP A.C. Corp. v One Beacon Ins. Group,* 8 NY3d 708.) II. Any ambiguity in the policy must be construed against respondent. (*Matter of Metropolitan Prop. & Cas. Ins. Co. v Mancuso,* 93 NY2d 487; *Breed v Insurance Co. of N. Am.,* 46 NY2d 351, 940; *Venigalla v Penn Mut. Ins. Co.,* 130 AD2d 974; *Matter of Hanover Ins. Co. [St. Louis],* 119 AD2d 529; *Album Realty Corp. v American Home Assur. Co.,* 80 NY2d 1008; *Sincoff v Liberty Mut. Fire Ins. Co.,* 11 NY2d 386.) III. Joseph Kassis is an intended third-party beneficiary. (*Lake Placid Club Attached Lodges v Elizabethtown Bldrs.,* 131 AD2d 159; *Fourth Ocean Putnam Corp. v Interstate Wrecking Co.,* 66 NY2d 38; *Airco Alloys Div. v Niagara Mohawk Power Corp.,* 76 AD2d 68; *Albert J. Schiff Assoc. v Flack,* 51 NY2d 692; *National Union Fire Ins. Co. of Pittsburgh, Pa. v Red Apple Group,* 309 AD2d 657.)

Damon & Morey LLP, Buffalo (*Vincent G. Saccomando* of counsel), for respondent. I. This Court should not consider the additional insured claim as it was never pleaded in appellants' complaint and was raised for the first time in their memorandum of law. (*Central State Bank v American Appraisal Co.,* 33 AD2d 1009; *Cohen v City Co. of N.Y.,* 283 NY 112; *Phelan v State of New York,* 238 AD2d 882; *Robinson v Kingston Hosp.,* 55 AD3d 1121.) II. Joseph Kassis is not entitled to coverage as he is not an additional insured on Kassis Superior Sign Co., Inc.'s policy with the Ohio Casualty Insurance Company. (*Pecker Iron Works of N.Y. v Traveler's Ins. Co.,* 99 NY2d 391; *Portacci v Moran Towing & Transp. Co.,* 615 F2d 293; *BP A.C. Corp. v One Beacon Ins. Group,* 8 NY3d 708; *Ingargiola v Waheguru Mgt.,* 5 AD3d 732; *Grefer v Anderson,* 249 AD2d 892; *Fay's Drug Co. v British Am. Dev. Corp.,* 140 AD2d 810; *Glover v City of New York,* 215 AD2d 146; *Hogeland v Sibley, Lindsay & Curr Co.,* 42 NY2d 153; *Great N. Ins. Co. v Interior Constr. Corp.,* 7 NY3d 412; *North Star Reins. Corp. v Continental Ins. Co.,* 82 NY2d 281.) III. Joseph Kassis is not a third-party beneficiary under Kassis Superior Sign Co., Inc.'s policy because no such intention is expressed in the policy and Joseph Kassis does not have a judgment against Superior Sign. (*Matter of James v State of New York,* 90 AD2d 342; *State of New York v American Mfrs. Mut. Ins. Co.,* 188 AD2d 152; *Jefferson v Sinclair Ref. Co.,* 10 NY2d 422; *Cole v Metropolitan Life Ins. Co.,* 273 AD2d 832; *University Garden Apts. v Nationwide Mut. Ins. Co.,* 284 AD2d 975; *Hershberger v Schwartz,* 198 AD2d 859; *Northland Assoc. v Joseph Baldwin Constr. Co.,* 6 AD3d 1214.) IV. Any contractual indemnification claim by Joseph Kassis against Kassis Superior

Sign Co., Inc. must be brought as a third-party action in connection with the underlying action. (*Northland Assoc. v Joseph Baldwin Constr. Co.,* 6 AD3d 1214.) V. Even if appellants were entitled to coverage, they would not be entitled to attorneys' fees for the prosecution of this action. (*Hershberger v Schwartz,* 198 AD2d 859; *Mighty Midgets v Centennial Ins. Co.,* 47 NY2d 12.)

Siller Wilk LLP, New York City (*M. William Scherer* of counsel), for Siller Wilk LLP, amicus curiae. I. The "mutual benefit" requirement obligated the tenant to procure insurance, making the landlord an additional insured. (*Grefer v Anderson,* 249 AD2d 892; *Fay's Drug Co. v British Am. Dev. Corp.,* 140 AD2d 810; *Ingargiola v Waheguru Mgt.,* 5 AD3d 732; *Glover v City of New York,* 215 AD2d 146; *South Rd. Assoc., LLC v International Bus. Machs. Corp.,* 4 NY3d 272; *Lawyers' Fund for Client Protection of State of N.Y. v Bank Leumi Trust Co. of N.Y.,* 94 NY2d 398; *BP A.C. Corp. v One Beacon Ins. Group,* 8 NY3d 708; *Album Realty Corp. v American Home Assur. Co.,* 80 NY2d 1008; *Bi-Economy Mkt., Inc. v Harleysville Ins. Co. of N.Y.,* 10 NY3d 187.) II. The majority's reasoning is faulty because it overlooks General Obligations Law § 5-321.

OPINION OF THE COURT

Chief Judge LIPPMAN.

[1] We are asked to determine whether a landlord is an additional insured under an insurance policy obtained by his tenant such that the insurer is obligated to defend and indemnify the landlord in an underlying personal injury lawsuit. Joseph Kassis (Kassis) leased property in Syracuse, New York to Kassis Superior Sign Co., Inc. (Superior Sign), and Superior Sign obtained a commercial general liability insurance policy on the property from The Ohio Casualty Insurance Company (Ohio Casualty). On February 25, 2004, Andrew Holden, a Superior Sign employee, slipped on an accumulation of snow and/or ice on the leased property and thereafter commenced the underlying action against Kassis. Ohio Casualty disclaimed on the ground that the policy, which names only Superior Sign, did not afford Kassis coverage. Kassis and Superior Sign commenced this action seeking a declaration that Ohio Casualty is obligated to defend and indemnify Kassis in the *Holden* action.[1] Supreme

1. **[1]** Kassis has standing to bring this action because a person claiming to be an insured under an insurance policy may bring a declaratory judgment

(n. cont'd)

Court granted plaintiffs' motion for summary judgment in part and declared that Ohio Casualty is obligated to provide a defense in the *Holden* action (2007 NY Slip Op 34414[U]). The Appellate Division reversed and found no obligation to defend or indemnify (51 AD3d 1366 [4th Dept 2008]). Plaintiffs have appealed as of right, pursuant to CPLR 5601 (a), and we now reverse.

Under the lease, Superior Sign is obligated to pay for snow removal services and to

> ''indemnify, defend, and hold harmless Landlord from any and all damages, costs, expenses, and liabilities for anything arising out of the occupancy of the Premises caused by Tenant or its agents and from any loss or damage arising out of the acts of Tenant or its agents or the failure of Tenant to comply with the terms and conditions'' of the lease.

The lease further provides that Superior Sign, ''at its sole cost and expense and for the mutual benefit of Landlord and Tenant, shall maintain a general liability policy . . . providing coverage against claims for bodily injury, personal injury and property damage'' with specified aggregate and per occurrence coverage amounts.

Superior Sign obtained a commercial general liability insurance policy from Ohio Casualty. The policy provides bodily injury coverage where ''the insured is obligated to pay damages by reason of the assumption of liability in a contract or agreement'' and that contract or agreement falls within the definition of an ''insured contract.'' The parties do not dispute that Superior Sign's lease is an ''insured contract'' as that term is defined in the insurance policy.[2] Moreover, the policy's blanket additional insured provision extends coverage not simply to the named insured, i.e., Superior Sign, but also to ''any person or organization whom [the named insured is] required to name as an additional insured on this policy under a written contract or agreement.'' '' 'Additional insured' is a recognized term in insurance

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action against an insurer ''when an actual controversy develops concerning the extent of coverage, the duty to defend, or other issues arising from the insurance contract'' (*Lang v Hanover Ins. Co.*, 3 NY3d 350, 353 [2004]).

2. Under the policy, an ''insured contract'' includes a ''contract for a lease of premises'' and ''[t]hat part of any other contract or agreement pertaining to your business . . . under which you assume the tort liability of another party to pay for 'bodily injury' or 'property damage' to a third person or organization.'' ''[T]ort liability'' is further defined as a ''liability that would be imposed by law in the absence of any contract or agreement.''

contracts,'' and ''the well-understood meaning of the term is an entity enjoying the *same* protection as the named insured'' (*Pecker Iron Works of N.Y. v Traveler's Ins. Co.*, 99 NY2d 391, 393 [2003] [some internal quotation marks and citations omitted; emphasis added]). Notably, the insurance policy does not require Superior Sign to provide Ohio Casualty with notice of those persons or organizations Superior Sign is contractually required to name as an additional insured on the policy. Superior Sign is not required to complete and return to Ohio Casualty any notification forms listing those persons or organizations that it intended to name as additional insureds under the policy, nor does the policy require the submission of any additional insured certificates or the like.

Thus, in deciding the ultimate question—i.e., whether Kassis is an additional insured under the subject policy obligating Ohio Casualty to defend and indemnify him in connection with the underlying personal injury action—we need only determine whether, under the lease, Superior Sign was required to ensure that Kassis received general liability insurance coverage equivalent to the coverage Superior Sign enjoyed.

[2] Pursuant to the general liability insurance provision of the lease in question, Superior Sign was obligated to obtain coverage at specified monetary levels in the aggregate and per occurrence against ''claims for bodily injury, personal injury and property damage'' ''at its sole cost and expense and for the mutual benefit of [Kassis] and [Superior Sign].'' The natural and intended meaning of the term ''mutual benefit'' as used in this provision is that Kassis and Superior Sign are intended to enjoy the same level of coverage.

The intent and meaning of the term ''mutual benefit'' in the provision becomes clear when juxtaposed with the language of the other insurance provisions of the lease. The lease expressly contemplates that both Kassis and Superior Sign will enjoy fire insurance, and the lease further provides in an ''Additional Insurance'' provision that Superior Sign may obtain certain types of insurance coverage just for itself. With respect to fire insurance, Kassis, ''at Tenant's sole cost and expense,'' is to ''keep the Premises insured for the benefit of the parties against loss or damage by fire,'' and fire insurance ''may be written either under separate policies in Landlord's name or combined with other coverages acquired by Tenant.'' As for the additional insurance provision, it specifies that Superior Sign, ''at its sole cost and expense, may maintain insurance coverage for its benefit on Tenant's leasehold improvements and Tenant's personal property in such amounts as Tenant deems appropriate with Tenant assuming the risk of any co-insurance.'' The additional insurance provision also expressly permits Superior Sign to ''effect for its own account any insurance not required by the provisions of this Lease, including business interruption insurance or insurance covering Tenant's equipment and personal property.'' Plainly, where a disparity in coverage as between insureds was contemplated—i.e., where the insurance to be procured was not for the insureds' ''mutual benefit''—it was expressly noted.

It is therefore clear that Superior Sign was obligated under the lease to procure the same level of general liability insurance coverage for Kassis as it obtained for itself, and because of that, Kassis falls within the policy's additional insured provision. Because Kassis is considered an additional insured, Ohio Casualty is obligated to defend him in the underlying personal injury action and, if appropriate, indemnify him as an additional insured in accordance with the policy. The parties' remaining contentions are without merit.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the judgment of Supreme Court reinstated.

Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Order reversed, etc.

[911 NE2d 817, 883 NYS2d 755]

In the Matter of ALLSTATE INSURANCE COMPANY, Respondent, v NYDIA RIVERA et al., Appellants.

In the Matter of CLARENDON NATIONAL INSURANCE COMPANY, Respondent, v FRANCISCO NUNEZ, SR., et al., Appellants.

Argued April 30, 2009; decided June 4, 2009

SUMMARY

APPEAL, in the first above-entitled proceeding, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered April 1, 2008. The Appellate Division affirmed an order of the Supreme Court, Suffolk County (Arthur G. Pitts, J.; op 2007 NY Slip Op 34411[U]), entered in a proceeding pursuant to CPLR article 75, which had granted the petition to permanently stay arbitration of claims for underinsured motorist benefits.

APPEAL, in the second above-entitled proceeding, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered February 5, 2008. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, Kings County (Ira B. Harkavy, J.), entered in a proceeding pursuant to CPLR article 75, which had denied the petition to permanently stay arbitration of a claim for underinsured motorist benefits; (2) granted the petition; and (3) permanently stayed the arbitration.

Matter of Allstate Ins. Co. v Rivera, 50 AD3d 680, affirmed.

Matter of Clarendon Natl. Ins. Co. v Nunez, 48 AD3d 460, affirmed.

HEADNOTE

Insurance — Automobile Insurance — Underinsured Motorist Endorsement

Passengers in the insureds' vehicles who were injured when the vehicles were struck by the tortfeasors' vehicles were not entitled to supplementary uninsured/underinsured motorists (SUM) benefits from the respective insureds' insurers after the respective tortfeasors' insurers tendered their coverage limits to the injured passengers, inasmuch as the bodily injury liability insurance coverage limits provided under the respective tortfeasors' policies were equal to the third-party bodily injury liability limits of the insureds' policies. The plain language of Insurance Law § 3420 (f) (2) (A) provides that SUM coverage is only triggered where the bodily injury liability insurance limits of the policy covering the tortfeasor's vehicle are less than the third-party liability limits of the policy under which a party is seeking SUM benefits. Pursuant to Insurance Department Regulation 35-D (11 NYCRR subpart 60-2), the "payments to other persons" that may be deducted from the tortfeasor's coverage limits for purposes of rendering the tortfeasor "uninsured" under a SUM endorsement do not encompass payments made to anyone who is an insured under the endorsement. The injured passengers fell within the endorsement's definition of an "insured," which encompasses all passengers in the covered vehicles. Insureds are able to reduce the coverage limits of the tortfeasor's policy only when payments made under the tortfeasor's policy are to individuals—such as occupants of the tortfeasor's vehicle, injured pedestrians or those operating a third vehicle—not covered under the SUM endorsement.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Automobile Insurance §§ 314, 325, 334, 468.
COUCH ON INSURANCE (3d ed) § 123:7.
MCKINNEY'S, Insurance Law § 3420 (f).
NY JUR 2d, Insurance §§ 1715, 1722, 1729, 1740, 1741.

ANNOTATION REFERENCE

See ALR Index under Automobile Insurance; Uninsured Motorists.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: uninsured sum /4 coverage /s bodily /2 injury /s limit! & passenger occupant

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POINTS OF COUNSEL

Shayne, Dachs, Corker, Sauer & Dachs, Mineola (*Jonathan A. Dachs* of counsel), and *Tinari, O'Connell, Osborn & Kaufman, LLP,* Central Islip, for appellants in the first above-entitled proceeding. The order of the Appellate Division should be reversed because it was and is egregiously erroneous and in direct contravention of well-settled law, alters well-established principles of insurance law and practice, appears to invalidate certain regulatory and policy provisions, directly conflicts with prior decisional law, including decisions of this Court, and unnecessarily and improperly injects uncertainty and indefiniteness into a previously settled and well-understood area of the law. (*Matter of National Assn. of Ind. Insurers v Curiale,* 190 AD2d 597, 81 NY2d 711; *Matter of Vanguard Ins. Co. [Polchlopek],* 18 NY2d 376; *Matter of Nationwide Mut. Ins. Co. v*

Riccadulli, 183 AD2d 111; *Matter of Metropolitan Prop. & Cas. Ins. Co. v Mancuso,* 93 NY2d 487; *Raffellini v State Farm Mut. Auto. Ins. Co.,* 9 NY3d 196; *Matter of Medical Socy. of State of N.Y. v Serio,* 100 NY2d 854; *Matter of Nicholas v Kahn,* 47 NY2d 24; *Matter of General Elec. Capital Corp. v New York State Div. of Tax Appeals, Tax Appeals Trib.,* 2 NY3d 249; *Ostrer v Schenck,* 41 NY2d 782; *State Farm Mut. Auto. Ins. Co. v Mallela,* 4 NY3d 313.)

Sweetbaum & Sweetbaum, Lake Success (*Marshall D. Sweetbaum* of counsel), and *Law Office of Robert P. Tusa,* Hauppauge, for respondent in the first above-entitled proceeding. I. The order of the Appellate Division is appropriate, sound, logical and correct in all respects and should therefore be affirmed. (*Oden v Chemung County Indus. Dev. Agency,* 87 NY2d 81; *Goncalves v Regent Intl. Hotels,* 58 NY2d 206; *Bingham v Ryder Truck Rental,* 110 AD2d 867; *Lichtman v Nadler,* 74 AD2d 66; *Matter of Medical Socy. of State of N.Y. v Serio,* 100 NY2d 854; *Boreali v Axelrod,* 71 NY2d 1; *Kurcsics v Merchants Mut. Ins. Co.,* 49 NY2d 451; *Telaro v Telaro,* 25 NY2d 433.) II. The offset issue decided by the Appellate Division was correct in all respects. (*Matter of National Assn. of Ind. Insurers v Curiale,* 190 AD2d 597, 81 NY2d 711; *Matter of Valente v Prudential Prop. & Cas. Ins. Co.,* 77 NY2d 894; *Moshiko, Inc. v Seiger & Smith,* 137 AD2d 170, 72 NY2d 945; *Matter of Graphic Arts Mut. Ins. Co. [Dunham],* 303 AD2d 1038; *Butler v New York Cent. Mut. Fire Ins. Co.,* 274 AD2d 924.)

Pollack, Pollack, Isaac & De Cicco, New York City (*Brian J. Isaac* of counsel), for New York State Trial Lawyers Association, amicus curiae in the first above-entitled proceeding. The Appellate Division decision improperly analyzes the pertinent regulations and case law and should be reversed. (*Matter of Vanguard Ins. Co. [Polchlopek],* 18 NY2d 376; *Breed v Insurance Co. of N. Am.,* 46 NY2d 351; *Liverpool & London & Globe Ins. Co. v Kearney,* 180 US 132; *Matthews v American Cent. Ins. Co.,* 154 NY 449; *Matter of Government Empls. Ins. Co. v Young,* 39 AD3d 751; *Matter of New York Cent. Mut. Fire Ins. Co. v White,* 262 AD2d 415; *Matter of Clarendon Natl. Ins. Co. v Nunez,* 48 AD3d 460.)

Rivkin Radler LLP, Uniondale (*Evan H. Krinick* and *Harris J. Zakarin* of counsel), for New York Insurance Association, amicus curiae in the first above-entitled proceeding. Adopting the position of respondents-appellants would give the insured greater coverage than that available to a third party injured by the insured. (*Raffellini v State Farm Mut. Auto. Ins. Co.,* 9 NY3d 196; *Matter of Metropolitan Prop. & Cas. Ins. Co. v Mancuso,* 93 NY2d 487; *Matter of Prudential Prop. & Cas. Co. v Szeli,* 83 NY2d 681; *Pommells v Perez,* 4 NY3d 566.)

Shayne, Dachs, Corker, Sauer & Dachs, Mineola (*Jonathan A. Dachs* of counsel), and *Allen D. Springer, PLLC,* Brooklyn, for appellants in the second above-entitled proceeding. The order of the Appellate Division should be reversed because it was and is egregiously erroneous and in direct contravention of well-settled law, alters well-established principles of insurance law and practice, appears to invalidate certain regulatory and policy provisions, directly conflicts with prior decisional law, including decisions of this Court, and unnecessarily and improperly injects uncertainty and indefiniteness into a previously settled and well-understood area of the law. (*Martin v City of Cohoes,* 37 NY2d 162; *Stevenson v News Syndicate Co.,* 302 NY 81; *Walrath v Hanover Fire Ins. Co.,* 216 NY 220; *Burger v Fifth Ave. Coach Co.,* 249 NY 583; *Fuchs v Brody,* 282 NY 627; *Orlich v Helm Bros.,* 160 AD2d 135; *Matter of Carroll v Gammerman,* 193 AD2d 202; *Matter of National Assn. of Ind. Insurers v Curiale,* 190 AD2d 597, 81 NY2d 711; *Matter of Vanguard Ins. Co. [Polchlopek],* 18 NY2d 376; *Matter of Nationwide Mut. Ins. Co. v Riccadulli,* 183 AD2d 111.)

Hiscock & Barclay, LLP, Rochester (*John R. Casey, Joseph A. Wilson* and *Mark T. Whitford* of counsel), for respondent in the second above-entitled proceeding. I. The tortfeasor's vehicle does not qualify as an ''uninsured motor vehicle.'' (*Matter of Prudential Prop. & Cas. Co. v Szeli,* 83 NY2d 681; *Matter of Metropolitan Prop. & Cas. Ins. Co. v Mancuso,* 93 NY2d 487; *Raffellini v State Farm Mut. Auto. Ins. Co.,* 9 NY3d 196; *Matter of Allstate Ins. Co. [Stolarz—New Jersey Mfrs. Ins. Co.],* 81 NY2d 219; *Matter of Allstate Ins. Co. v Rivera,* 50 AD3d 680, 11 NY3d 709; *Matter of Government Empls. Ins. Co. v Young,* 39 AD3d 751; *Wilson v Hartford Acc. & Indem. Co.,* 246 AD2d 593; *Matter of State Farm Mut. Auto. Ins. Co. v Hollis,* 228 AD2d 685; *Matter of New York Cent. Mut. Fire Ins. Co. v White,* 262 AD2d 415; *Matter of Professional Staff Congress-City Univ. of N.Y. v New York State Pub. Empl. Relations Bd.,* 7 NY3d 458.) II. Clarendon National Insurance Company is entitled to an offset for payments received from the tortfeasor's insurer. (*Feigelson v Allstate Ins. Co.,* 31 NY2d 913; *Rentways, Inc. v O'Neill Milk & Cream Co.,* 308 NY 342; *Weber v Jacobs,* 289 AD2d 226;

Gorenstein v Debralaurie Realty Co., 280 AD2d 642; *Ciesinski v Town of Aurora,* 202 AD2d 984; *Matter of Silverman [Benmor Coats],* 61 NY2d 299; *Carmo v Verizon,* 13 AD3d 329; *Sprain Brook Manor Nursing Home v Glazer,* 6 AD3d 522; *Matter of Prudential Prop. & Cas. Co. v Szeli,* 83 NY2d 681; *Matter of Allstate Ins. Co. [Stolarz—New Jersey Mfrs. Ins. Co.],* 81 NY2d 219.)

Pollack, Pollack, Isaac & De Cicco, New York City (*Brian J. Isaac* of counsel), for New York State Trial Lawyers Association, amicus curiae in the second above-entitled proceeding. The Appellate Division decision incorrectly analyzes the pertinent regulations, contracts and legal precedent on point, removing intended protections for motor vehicle accident victims, and should be reversed. (*Matter of Allstate Ins. Co. v Rivera,* 50 AD3d 680.)

OPINION OF THE COURT

JONES, J.

At issue in both of these appeals is whether supplementary uninsured/underinsured motorists (SUM) coverage was triggered. In both appeals, we conclude that it was not.

In the first appeal, Allstate Insurance Company issued an automobile insurance policy to Petra Mercado that provided bodily injury liability and SUM coverage of $25,000 per person/ $50,000 per accident. In July 2005, while the policy was in effect, Mercado and five passengers in her car were injured when they were struck by a vehicle driven by Nilza Rodriguez and insured by GMAC Insurance Company, which provided the same bodily injury liability coverage as the Allstate policy. GMAC tendered its coverage limit of $50,000, paying $25,000 to Mercado and $5,000 to each of her five passengers. Subsequently, the five passengers sought SUM benefits under the Allstate policy. By letter dated February 20, 2007, Allstate denied SUM coverage, stating that ''[s]ince the $50,000 liability policy of Nilza Rodriguez is an offset to our Uninsured Motorist coverage, we will not be able to honor any claims for Uninsured Motorist Coverage under [the Allstate] policy.''

In the second appeal, Clarendon National Insurance Company issued an automobile policy to Francisco Nunez with bodily injury liability and SUM coverage of $25,000 per person/$50,000 per accident. In June 2001, while the policy was in effect, Nunez, his wife, and their two children were injured when they were struck by a vehicle insured by Progressive Northwestern

Insurance Company, which provided the same liability coverage as the Clarendon policy. Progressive tendered its policy limit of $50,000, paying $15,000 each to three of the family members and $5,000 to the fourth family member. The Nunez family then sought SUM benefits under the Clarendon policy. By letter dated October 7, 2005, Clarendon denied SUM coverage, stating that ''[s]ince the amount the four claimants will receive from Progressive ($50,000) is equal to the SUM limits of the Clarendon policy ($50,000)[,] the four claimants are not entitled to receive any SUM benefits.''

The SUM claimants under the Allstate and Clarendon policies demanded arbitration. Allstate and Clarendon (petitioner insurers) each commenced a CPLR article 75 proceeding for a permanent stay of arbitration. In both cases, the SUM claimants (respondents) argued that SUM coverage was triggered under Insurance Department Regulations (11 NYCRR) § 60-2.3 (f).

The Appellate Division ruled for petitioner insurers and permanently stayed arbitration in both cases (50 AD3d 680 [2008]; 48 AD3d 460 [2008]). We granted the SUM claimants in *Matter of Allstate* and *Matter of Clarendon* leave to appeal (11 NY3d 708 [2008]) and now affirm in both cases.

Insurance Law § 3420 provides, in pertinent part:

> ''Any [automobile insurance] policy shall, at the option of the insured, also provide supplementary uninsured/underinsured motorists [SUM] insurance for bodily injury, in an amount up to the bodily injury liability insurance limits of coverage provided under such policy . . . [*SUM] insurance shall provide coverage . . . if the limits of liability under all . . . insurance policies of another motor vehicle liable for damages are in a lesser amount than the bodily injury liability insurance limits of coverage provided by such policy*. . . . As a condition precedent to the obligation of the insurer to pay under the [SUM] insurance coverage, the limits of liability of all bodily injury liability bonds or insurance policies applicable at the time of the accident shall be exhausted by payment of judgments or settlements'' (Insurance Law § 3420 [f] [2] [A] [emphasis added]).

The plain language of Insurance Law § 3420, therefore, provides that SUM coverage is only triggered where the bodily injury liability insurance limits of the policy covering the tortfeasor's vehicle are less than the third-party liability limits of the policy under which a party is seeking SUM benefits.

This statute ''calls for a facial comparison of the policy limits without reduction from the judgment of other claims arising from the accident'' (*Matter of Prudential Prop. & Cas. Co. v Szeli*, 83 NY2d 681, 686 [1994] [held that ''underinsured motorist coverage is triggered when the limit of the insured's bodily injury liability coverage is greater than the same coverage in the tortfeasor's policy'' (*id.* at 684)]). Further, section 3420 (f) (2) ''was enacted to allow policyholders to acquire the same level of protection for themselves and their passengers as they purchased to protect themselves against liability to others'' (*Matter of Metropolitan Prop. & Cas. Ins. Co. v Mancuso*, 93 NY2d 487, 492 [1999], citing Mem of State Exec Dept, 1977 McKinney's Session Laws of NY, at 2445, 2446; *see also Raffellini v State Farm Mut. Auto. Ins. Co.*, 9 NY3d 196, 203-204 [2007]; *Szeli*, 83 NY2d at 685-686).

The Legislature may authorize an administrative agency ''to fill in the interstices in the legislative product by prescribing rules and regulations consistent with the enabling legislation'' (*Matter of Medical Socy. of State of N.Y. v Serio*, 100 NY2d 854, 865 [2003], quoting *Matter of Nicholas v Kahn*, 47 NY2d 24, 31 [1979]). ''In so doing, an agency can adopt regulations that go beyond the text of that legislation, provided they are not inconsistent with the statutory language or its underlying purposes'' (*Matter of General Elec. Capital Corp. v New York State Div. of Tax Appeals, Tax Appeals Trib.*, 2 NY3d 249, 254 [2004]). ''A duly promulgated regulation that meets these criteria has the force of law'' (*Raffellini*, 9 NY3d at 201). However, ''if [a] regulation runs counter to the clear wording of a statutory provision, it should not be accorded any weight'' (*Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451, 459 [1980] [citation omitted]). As relevant here, the Legislature has vested the Superintendent of Insurance with ''broad power to interpret, clarify, and implement the legislative policy'' by promulgating regulations (*Medical Socy.*, 100 NY2d at 863-864, quoting *Ostrer v Schenck*, 41 NY2d 782, 785 [1977]).

In 1992, the Superintendent of Insurance promulgated Insurance Department Regulation 35-D, codified at 11 NYCRR subpart 60-2, which requires that ''[e]very SUM endorsement issued shall be the [SUM] Endorsement prescribed by subdivision (f) of this section'' (11 NYCRR 60-2.3 [c]).* Under Regulation 35-D, the term ''insured'' means:

> ''(1) you, as the named insured and, while residents of the same household, your spouse and the relatives of either you or your spouse;
>
> ''(2) any other person while occupying:
>
> ''(i) a motor vehicle insured for SUM under this policy; or
>
> ''(ii) any other motor vehicle while being operated by you or your spouse; and
>
> ''(3) any person, with respect to damages such person is entitled to recover, because of bodily injury to which this coverage applies sustained by an insured under paragraph (1) or (2) above'' (11 NYCRR 60-2.3 [f] [INSURING AGREEMENTS] [I] [a]).

Further, Regulation 35-D defines an ''uninsured motor vehicle'' as

> ''a motor vehicle that, through its ownership, maintenance or use, results in bodily injury to an insured, and for which . . .
>
> ''(3) there is a bodily injury liability insurance coverage or bond applicable to such motor vehicle at the time of the accident, but; . . .
>
> ''(ii) the amount of such insurance coverage or bond has been reduced, by payments to other persons injured in the accident, to an amount less than the third-party bodily injury liability limit of this policy'' (11 NYCRR 60-2.3 [f] [INSURING AGREEMENTS] [I] [c] [3] [ii]).

Each co-occupant in the covered vehicles contends that he or she should be allowed to deduct the payments made to other co-occupants, thereby reducing the tortfeasor's bodily injury liability coverage to an amount less than the coverage limits on their vehicle, triggering SUM coverage. The SUM claimants therefore argue that co-occupants constitute ''other persons'' under the endorsement, even though co-occupants are insureds under the policy. We are unpersuaded.

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* As Insurance Law § 3420 (f) (2) and Regulation 35-D are in derogation of the common law, they must be narrowly construed.

The ''payments to other persons'' that may be deducted from the tortfeasor's coverage limits for purposes of rendering the tortfeasor ''uninsured'' under a SUM endorsement do not encompass payments made to anyone who is an insured under the endorsement. It is important to note that the phrase ''other persons'' is used elsewhere in the endorsement to denote persons other than those insured under the policy. The notice and proof of claim condition directs that ''the insured or other person making claim'' shall give written notice of claim ''under this SUM coverage'' (11 NYCRR 60-2.3 [f] [CONDITIONS] [2]). It is evident that, in the phrase ''the insured *or* other person,'' the reference to ''other person'' means someone who is not ''the insured.'' As each claimant here falls within the endorsement's definition of an ''insured,'' which encompasses all passengers in the covered vehicle, claimants are not ''other person[s].'' Insureds are therefore able to reduce the coverage limits of the tortfeasor's policy only when payments made under the tortfeasor's policy are to individuals—such as occupants of the tortfeasor's vehicle, injured pedestrians or those operating a third vehicle—not covered under the SUM endorsement. This guarantees that those who have purchased SUM coverage will receive the same recovery they have made available to third parties they injure—but no more.

The position of the SUM claimants and the dissent notwithstanding, this is the only construction that is consistent with the plain language of Insurance Law § 3420, the enabling legislation that Regulation 35-D must conform to, and the core principle underlying SUM coverage—that insureds can never use a SUM endorsement to obtain a greater recovery for themselves than is provided under the policy to third parties injured by the insureds (*see Raffellini*, 9 NY3d at 203-204; *Mancuso*, 93 NY2d at 492; *Szeli*, 83 NY2d at 687). To demonstrate this principle, we need only look at what would occur in *Matter of Clarendon* were we to adopt the claimants' position. The four members of the Nunez family received $50,000 under the tortfeasor's policy and, by each claimant characterizing the other three family members as ''other person[s],'' the family now seeks to obtain an additional $50,000 under the SUM coverage provided in their own policy, for a total recovery of $100,000. Yet, if the Nunez vehicle was operated negligently, causing an accident that injured four pedestrians, the total recovery those injured parties could obtain under the Clarendon policy would be $50,000, the per accident limit.

Therefore, reading Insurance Law § 3420 (f) (2), our well-settled interpretation of this statute and Regulation 35-D together, we hold that SUM coverage is not available (that is, SUM coverage cannot be triggered) because (1) the bodily injury liability insurance coverage limits provided under the respective tortfeasors' policies were equal to the third-party bodily injury liability limits of the Allstate and Clarendon policies, (2) the payments made to the SUM claimants did not reduce the amount of the bodily injury insurance coverage provided under the tortfeasors' policies to ''an amount less than the third-party bodily injury liability limit of [the Allstate and Clarendon policies]'' (11 NYCRR 60-2.3 [f] [INSURING AGREEMENTS] [I] [c] [3] [ii]) and (3) allowing such additional coverage would provide an insured/policyholder with more coverage than that provided to an injured third party under his or her policy.

Accordingly, the orders of the Appellate Division should be affirmed, with costs.

CIPARICK, J. (dissenting). Because the majority improperly forecloses the availability of supplementary uninsured/underinsured motorists (SUM) benefits to claimants, passengers injured in a car accident, by defining them as outside the purview of Insurance Department Regulation 35-D (*see* 11 NYCRR 60-2.3 [f] [INSURING AGREEMENTS] [I] [c] [3] [ii]) and labeling them as something other than ''other persons injured in the accident,'' I respectfully dissent and would hold that Regulation 35-D's plain language, history and the basic purpose of the SUM coverage provision triggers benefits for claimants.

In *Matter of Allstate*, six claimants were occupants of a vehicle injured in a car accident. The driver of the nonoffending vehicle had an insurance policy issued by Allstate. The offending vehicle was insured by nonparty GMAC Insurance. The GMAC policy provided a coverage amount of $50,000 per accident and $25,000 per person. GMAC paid $25,000 to the driver of the struck vehicle and $5,000 to each of the five other claimants, thereby totaling the $50,000 maximum coverage amount per accident.

Similarly, in *Matter of Clarendon*, four claimants were riding in a vehicle struck by an offending vehicle insured by nonparty Progressive Northwestern Insurance Company. After accepting liability for the accident, Progressive paid out of its $50,000 per accident coverage $15,000 each to three of the claimants and

$5,000 to the fourth claimant, thereby totaling its $50,000 cap per accident. In both cases, the owners of the nonoffending vehicles in which claimants rode had contracted and paid for an insurance plan providing for SUM coverage. Claimants, in both cases, sought SUM coverage for the inadequately recompensed injured persons, but Allstate and Clarendon, respectively, denied their claims.

Today, in denying claimants SUM benefits, the majority reads Regulation 35-D as not having contemplated SUM benefits for claimants, even though they were ‘‘other persons injured in the accident.’’ In interpreting the meaning of a regulation, courts must defer to the Superintendent of Insurance’s interpretation of his statutorily-vested authority and to his special expertise, unless such interpretation of the statute or regulation is wholly irrational or contrary to its clear meaning (*see Matter of Medical Malpractice Ins. Assn. v Superintendent of Ins. of State of N.Y.*, 72 NY2d 753, 761-762 [1988]). Courts must give effect to the plain words of a regulation and presume that it was crafted carefully to mean what it states in plain and ordinary language.

Regulation 35-D states that a vehicle is underinsured for purposes of triggering SUM coverage where

> ‘‘a motor vehicle . . . results in bodily injury to an insured, and for which . . . there is bodily injury liability insurance coverage . . . applicable to such motor vehicle at the time of the accident, but . . . the amount of such insurance coverage . . . has been reduced, by payments to other persons injured in the accident, to an amount less than the third-party bodily injury liability limit of this policy’’ (*see* 11 NYCRR 60-2.3 [f] [INSURING AGREEMENTS] [I] [c] [3] [ii]).

The majority concludes that vehicle co-occupants are not ‘‘other persons injured in the accident’’ by reading into the regulation a meaning excluding co-claimants as ‘‘other persons’’ and classifying them as ‘‘insureds.’’ Co-claimants, however, meet all of the criteria required by the plain language of the regulation to trigger SUM coverage: they are indeed injured parties in a car accident; the drivers/owners of the vehicles had bodily injury liability coverage; and claimants’ coverage was reduced by payments made to co-claimants—‘‘other persons.’’ Put simply, when a tortfeasor’s coverage is reduced by payments to others—either co-claimants or strangers—less coverage is available under that policy to compensate them. Accordingly, under Regulation 35-D, claimants must be considered ''other persons injured in the accident.''

Significantly, Regulation 35-D is silent as to any exception, limitation or other qualification to the phrase ''other persons.'' Nowhere does the regulation exclude as ''other persons'' a co-passenger or family relative of an insured. If the regulation was meant to exclude a co-passenger, it would have been a simple matter for the drafters to so state, and the regulation's lack of any such exception is powerful evidence that no such limiting gloss was meant to be read into it (*see* McKinney's Cons Laws of NY, Book 1, Statutes § 74). Rather, the regulation's words were intended to mean what they say in ordinary and everyday terms. The majority's rendering of an artificial and strained distinction between vehicle co-occupants and strangers to the insured vehicle in the definition of ''other persons injured in the accident'' is unwarranted and inconsistent with the plain language of the regulation as incorporated into these insurance policies.

In my view, the language of the SUM provisions is clearly, straightforwardly and unambiguously in favor of triggering SUM coverage for claimants, but to the extent that it can be read as having any ambiguity, the legal consequences of any such lack of clarity in the substance of these insurance contracts should not militate against claimants (*see e.g. Matter of Mostow v State Farm Ins. Cos.*, 88 NY2d 321, 325-327 [1996]; *Sperling v Great Am. Indem. Co.*, 7 NY2d 442, 447-449 [1960]; *Mutual Life Ins. Co. of N. Y. v Hurni Packing Co.*, 263 US 167, 176 [1923]). In this regard, insurers have not challenged the regulatory language at issue here at any point as improper, unfair or unauthorized, even when other portions of Regulation 35-D were challenged.

Words of an insurance policy, furthermore, must be viewed from the position of an average person applying common speech (*see Buckner v Motor Veh. Acc. Indem. Corp.*, 66 NY2d 211, 213-214 [1985]; *Ace Wire & Cable Co. v Aetna Cas. & Sur. Co.*, 60 NY2d 390, 398 [1983]). ''The language employed in [a] contract of insurance must be given its ordinary meaning, such as the average policyholder of ordinary intelligence, as well as the insurer, would attach to it'' (*City of Albany v Standard Acc. Ins. Co.*, 7 NY2d 422, 430 [1960] [emphasis omitted]; *see also Album Realty Corp. v American Home Assur. Co.*, 80 NY2d 1008, 1010 [1992]). Here, claimants would not have reasonably expected the language ''other persons injured in the accident'' to refer to any persons other than those—like themselves—who were injured in a motor vehicle accident. Nor were the owners of the policies in a position to have their form contracts amended, if they so chose, or to otherwise alter the text of Regulation 35-D.

The majority, citing Insurance Law § 3420 (f) (2) (A), argues that SUM coverage is available only where the policy limits of a tortfeasor's vehicle are less than the third-party limits of the policy providing for SUM benefits (*see* majority op at 607-608), but the Superintendent of Insurance has been vested with the authority to promulgate rules and regulations that may expand upon such definitions (*see Matter of Medical Socy. of State of N.Y. v Serio*, 100 NY2d 854, 863-864 [2003]; *Ostrer v Schenck*, 41 NY2d 782, 785 [1977]). In promulgating Regulation 35-D, which the majority does not here challenge, the Superintendent was well within his authority to broaden the definition of an uninsured motor vehicle (*see e.g. Matter of American Mfrs. Mut. Ins. Co. v Morgan*, 296 AD2d 491 [2d Dept 2002]; *Matter of New York Cent. Mut. Fire Ins. Co. v White*, 262 AD2d 415 [2d Dept 1999]), as well as that of an underinsured motor vehicle (*see Matter of Allstate Ins. Co. v Sung Sun Ju*, 56 AD3d 551 [2d Dept 2008]).

In addition, the majority looks for support in the notice and proof of claim provision (*see* 11 NYCRR 60-2.3 [f] [CONDITIONS] [2]), where there is a distinction between ''the insured or other person making claim,'' and injects that distinction into the plain language of the regulation at issue (*see* majority op at 610). There is no evidence, however, that the language found in the notice and proof of claim provision can be interpreted to rule out the possibility that claimants in the SUM coverage provision, who the majority claims fall within the endorsement's definition of an ''insured,'' cannot be deemed ''other persons.'' On the contrary, the fact that when the drafters intended to make such a distinction between the insured and other persons they did so in clear and unambiguous language is telling that no such distinction here was intended.

Moreover, providing SUM coverage to claimants is not, as the majority states, contrary to the purpose and history of SUM coverage. New York's uninsured and underinsured motorist protection statutes were enacted to protect innocent victims of motor vehicle accidents caused by motorists who, for whatever reason, could not be counted on to make their victims whole (*see Matter of Vanguard Ins. Co. [Polchlopek]*, 18 NY2d 376, 381 [1966]).

With that purpose in mind, SUM coverage "is designed to increase the level of protection afforded to policyholders injured by negligent drivers who lack adequate liability insurance" (*Matter of Metropolitan Prop. & Cas. Ins. Co. v Mancuso*, 93 NY2d 487, 492 [1999]). It was devised to mitigate the liability coverage deficit caused by an inadequately insured vehicle—underinsured vehicles. It was not meant to be restricted to uninsured motorists. Here, where there appears to be a parity between the policies, in a motor vehicle accident involving numerous passengers, the tortfeasor's liability will be dramatically less than the per person coverage under the claimant's policy. SUM coverage was meant to alleviate this liability gap.

In conclusion, I believe that the majority has read into Regulation 35-D an unwarranted and unreasonable limitation to exclude claimants from SUM coverage. Clearly, claimants meet the expressly written criteria for SUM coverage. Most notably, they are "other persons injured in the accident," and thus should receive SUM benefits. Accordingly, I respectfully dissent and would reverse the orders of the Appellate Division.

Judges GRAFFEO, READ, SMITH and PIGOTT concur with Judge JONES; Judge CIPARICK dissents and votes to reverse in a separate opinion in which Chief Judge LIPPMAN concurs.

In each case: Order affirmed, with costs.

[911 NE2d 834, 883 NYS2d 772]

City of New York, Appellant, v Smokes-Spirits.Com, Inc., et al., Respondents, et al., Defendants. (And Other Actions.)

Argued May 5, 2009; decided June 9, 2009

SUMMARY

Proceeding, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review two questions certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following questions were certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: ''1. Does the City have standing to assert its claims under General Business Law § 349? 2. May the City assert a common law public nuisance claim that is predicated on N.Y. Public Health Law § 1399-*ll*?''

HEADNOTES

Consumer Protection — Deceptive Acts and Practices — Action against Out-of-State Cigarette Sellers — Recovery for Derivative Injuries Barred

1. Plaintiff municipality did not have standing to bring a General Business Law § 349 (h) claim for lost cigarette tax revenue against defendants, out-of-state entities and persons engaged in the business of selling cigarettes over the Internet, as plaintiff's claimed injury was entirely derivative of injuries that it alleged were suffered by misled consumers who purchased defendants' cigarettes over the Internet believing the purchases to be ''tax free.'' To successfully assert a General Business Law § 349 (h) claim, a plaintiff must allege that a defendant has engaged in consumer-oriented conduct that is materially misleading and that plaintiff suffered injury as a result of the allegedly deceptive act or practice. Plaintiff's claimed injury here, however, was indirect, for plaintiff would have no claim to lost tax revenue had the allegedly deceived consumers not been improperly induced to purchase defendants' cigarettes. Although in some sense plaintiff's injuries were ''caused'' by defendants' alleged conduct, more than an allegation of ''but for'' cause is required to state a claim for relief under section 349 (h).

Torts — Nuisance — Public Nuisance — Tax Evasion

2. In consolidated actions arising out of plaintiff municipality's claims that it was deprived of tax revenues by the allegedly illegal marketing and shipment of cigarettes into New York by defendants, out-of-state entities and persons engaged in the business of selling cigarettes over the Internet, plaintiff could not assert a common-law public nuisance claim predicated on Public Health Law § 1399-*ll*. That statute prohibits the shipment and transportation of cigarettes to any person in New York not within the class of exempted persons, and was predominantly intended to prevent young people from becoming addicted to cigarettes. The Legislature did not contemplate that section 1399-*ll* would be used as the predicate for public nuisance actions in cases

that primarily involve alleged tax evasion. Even assuming that plaintiff might be included within the class of persons whom the Legislature had in mind when enacting section 1399-*ll* and that a public nuisance action might in some cases further the legislative purpose, permitting the public nuisance actions to proceed here would not have been consistent with the legislative scheme. The complaint did not allege that defendants had made unauthorized shipments to minors. Rather, the injury that was alleged, lost tax revenue, is a harm that is subject to thorough regulation, both by section 1399-*ll* as well as other laws not implicated here.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Consumer and Borrower Protection §§ 255, 270, 272, 274, 277, 279, 280; AM JUR 2d, Nuisances §§ 34, 39; AM JUR 2d, State and Local Taxation §§ 548, 549.

MCKINNEY'S, General Business Law § 349 (h); Public Health Law § 1399–*ll*.

NY JUR 2d, Consumer and Borrower Protection § 8; NY JUR 2d, Health and Sanitation §§ 98, 175; NY JUR 2d, Taxation and Assessment §§ 2469, 2474, 2533.

ANNOTATION REFERENCE

See ALR Index under Consumer Protection; Nuisances; Taxes; Tobacco and Tobacco Products.

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Query: cigarette /4 tax & deceptive & standing

POINTS OF COUNSEL

Michael A. Cardozo, Corporation Counsel, New York City (*Elizabeth S. Natrella, Leonard Koerner* and *Eric Proshansky* of counsel), for appellant. I. The City of New York has standing under General Business Law § 349 to bring the instant claims. (*Blue Cross & Blue Shield of N.J., Inc. v Philip Morris USA Inc.,* 3 NY3d 200 [certified question answered], *sub nom. Empire Healthchoice, Inc. v Philip Morris USA, Inc.,* 393 F3d 312; *Oswego Laborers' Local 214 Pension Fund v Marine Midland Bank,* 85 NY2d 20; *Karlin v IVF Am.,* 93 NY2d 282; *Matter of People v Applied Card Sys., Inc.,* 11 NY3d 105; *Gaidon v Guardian Life Ins. Co. of Am.,* 94 NY2d 330; *Teller v Bill Hayes, Ltd.,* 213 AD2d 141, 87 NY2d 937; *Blue Cross & Blue Shield of N.J, Inc. v Philip Morris, Inc.,* 178 F Supp 2d 198, 344 F3d 211; *Oswego Laborers' Local 214 Pension Fund v Marine Midland Bank,* 85 NY2d 20; *Maurizio v Goldsmith,* 230 F3d 518; *New York Univ. v

Continental Ins. Co., 87 NY2d 308.) II. Public Health Law § 1399-*ll* does not preempt common-law public nuisance claims. (*New York Trap Rock Corp. v Town of Clarkstown,* 299 NY 77; *N.A.A.C.P. v AcuSport, Inc.,* 271 F Supp 2d 435; *Copart Indus. v Consolidated Edison Co. of N.Y.,* 41 NY2d 564; *Lawton v Steele,* 119 NY 226, 152 US 133; *City of New York v Laing,* 236 AD2d 504; *Matter of Berncolors-Poughkeepsie, Inc. v City of Poughkeepsie,* 96 AD2d 595, 60 NY2d 701; *Hoover v Durkee,* 212 AD2d 839; *Briggs v City of N. Tonawanda,* 213 App Div 781; *Boomer v Atlantic Cement Co.,* 55 Misc 2d 1023, 30 AD2d 480, 26 NY2d 219; *State of New York v Fermenta ASC Corp.,* 238 AD2d 400, 90 NY2d 810.)

Luebben Johnson & Barnhouse LLP (*Randolph Barnhouse,* of the New Mexico bar, admitted pro hac vice, of counsel), and *Girvin & Ferlazzo, P.C.,* Albany (*Salvatore D. Ferlazzo* of counsel), for Hemi Group, LLC and another, respondent. I. The City of New York does not have standing to assert its claim under General Business Law § 349. (*Oswego Laborers' Local 214 Pension Fund v Marine Midland Bank,* 85 NY2d 20; *Morales v County of Nassau,* 94 NY2d 218; *People v Santi,* 3 NY3d 234; *Thoreson v Penthouse Intl.,* 80 NY2d 490, *Friedman v Connecticut Gen. Life Ins. Co.,* 9 NY3d 105; *Goshen v Mutual Life Ins. Co. of N.Y.,* 98 NY2d 314; *A. M. Knitwear Corp. v All Am. Export-Import Corp.,* 41 NY2d 14; *Butler v Beer Across Am.,* 83 F Supp 2d 1261; *Securitron Magnalock Corp. v Schnabolk,* 65 F3d 256; *Blue Cross & Blue Shield of N.J., Inc. v Philip Morris USA Inc.,* 3 NY3d 200.) II. The City of New York may not assert a common-law public nuisance claim that is predicated on Public Health Law § 1399-*ll*. (*Saratoga County Chamber of Commerce v Pataki,* 100 NY2d 801; *Blue Cross & Blue Shield of N.J., Inc. v Philip Morris USA Inc.,* 3 NY3d 200.)

OPINION OF THE COURT

CIPARICK, J.

These consolidated actions arise out of plaintiff City of New York's claims that defendants' allegedly illegal marketing and shipment of cigarettes into this state have deprived it of tax revenues. To resolve plaintiff's state law claims, the United States Court of Appeals for the Second Circuit has certified two questions to us. First, "[d]oes the City have standing to assert its claims under General Business Law § 349?" (541 F3d 425, 457 [2008].) Second, "[m]ay the City assert a common law public nuisance claim that is predicated on N.Y. Public Health Law

§ 1399-*ll*?'' (*Id*. at 458.) We answer both questions in the negative.

I.

Collectively, New York State and City impose some of the highest cigarette excise taxes in the nation (*see* Tax Law §§ 471, 471-a; McKinney's Uncons Laws of NY § 9436 [1] [L 1952, ch 235, § 1 (1), as amended]; Administrative Code of City of NY § 11-1302 [a] [1]-[2]). At the time these actions were commenced, owing to the divergence in cigarette taxes throughout the nation, a carton of premium brand cigarettes purchased in Virginia or Kentucky cost approximately $30, while the same carton cost $70 in New York City.[1] This price differential is based almost entirely on the variance between cigarette excise taxes.

New York City's smokers cannot evade responsibility for city and state taxes simply by purchasing shipments of cigarettes from out-of-state sellers—like defendants—who operate in jurisdictions that impose minimal cigarette taxes. That is because, subject to exceptions not relevant here, the Tax Law and the Administrative Code of the City of New York require consumers to pay a tax on all cigarettes possessed for use in the city (*see* Tax Law § 471 [2]; § 471-a; Administrative Code of City of NY § 11-1302 [a] [3]). Thus, although out-of-state cigarette retailers are not required to collect state and city taxes at the time of sale, those taxes are still due and owing by a purchaser who possesses the cigarettes for use in New York.

Moreover, a federal law—the Jenkins Act—requires out-of-state cigarette sellers to file monthly reports with New York State's tobacco tax administrator (*see* 15 USC § 376 [a] [2]) and subjects violators to criminal penalties for failure to do so (*see* 15 USC § 377). Such reports—which must identify the name and address of persons to whom cigarette shipments were made along with the quantity and brand of cigarettes purchased—assist New York State taxing authorities in their efforts to collect cigarette use taxes (*see* 15 USC § 376 [a] [2]). The reports

1. At the inception of these lawsuits, New York City residents paid $3 in combined city and state excise taxes and another 33 cents in combined sales taxes for each pack of cigarettes purchased. While the City's excise tax remains $1.50, the Legislature recently amended Tax Law § 471 to increase the State's excise tax to $2.75, bringing the combined excise taxes payable in New York City up to $4.25 (*see* Tax Law § 471 [1]; Administrative Code of City of NY § 11-1302 [a] [3]).

also further the collection efforts of the City because, by agreement, the State's Department of Taxation and Finance is obligated to share such reports with the City's Department of Finance.

According to the City's complaints, defendants are out-of-state entities and persons engaged in the business of selling cigarettes over the Internet. They are located in states with negligible cigarette taxes and they have marketed and shipped cigarettes to New York City residents. As relevant here, certain defendants' Web sites have allegedly misrepresented that their Internet cigarette sales are "tax free," that their customers did not have to pay cigarette taxes, and/or that they are not required to file Jenkins Act reports. Due to these "materially deceptive and misleading" statements, the City alleges that some New York consumers were duped into purchasing cigarettes over the Internet in reliance on an entirely illusory tax savings. Consumers' apparent savings would disappear if the defendants filed Jenkins Act reports thereby allowing the City to locate cigarette purchasers and collect excise taxes owed for cigarette use. The City claims that defendants' deceptive statements, along with their failure to file Jenkins Act reports, have injured it in an undetermined amount of unpaid cigarette taxes. For this injury, the City seeks redress under General Business Law § 349 (h).

In two of its actions, the City also brought a common-law public nuisance claim. Its basis lies in the legislative findings that accompanied Public Health Law § 1399-*ll*, which stated, in part, that "[t]he legislature finds and declares that the shipment of cigarettes sold via the internet or by telephone or by mail order to residents of this state poses a serious threat to public health, safety, and welfare" (*see* Legislative findings, L 2000, ch 262, § 1, reprinted in McKinney's Cons Laws of NY, Book 44, Public Health Law § 1399-*ll*, Historical and Statutory Notes, at 238). After outlining investigatory efforts that established that certain defendants had made shipments into its jurisdiction in violation of section 1399-*ll*, the City alleged that defendants' illicit shipments contributed to a public nuisance that "unreasonably and substantially interfer[ed] with rights common to the general public, with commerce and the quality of daily life and endanger[ed] the property, health and safety of large numbers of residents of New York City." Accordingly, plaintiff sought an injunction to prevent additional illegal shipments and reimbursement of its costs for abating the claimed public nuisance.

The federal district court dismissed the City's General Business Law § 349 and public nuisance claims (2006 WL 647716, 2006 US Dist LEXIS 10295 [SD NY 2006]). On appeal, the circuit court recognized that while standing under General Business Law § 349 (h) had been extended to consumers and competitors, the statute had not yet been interpreted to grant a right of action to parties not suing in either of those capacities. The court also questioned the propriety of the City bringing a public nuisance claim predicated upon Public Health Law § 1399-*ll*. Accordingly, the court certified two legal questions to us. We now answer both in the negative.[2]

II.

General Business Law § 349 (a) declares unlawful ''[d]eceptive acts or practices in the conduct of any business.'' As amended in 1980, the statute provides a private right of action to ''any person who has been injured by reason of'' such illegal conduct (*see* General Business Law § 349 [h]). The purpose of this amendment was to expand enforcement authority beyond the Attorney General and thereby ensure more optimal protection of the public (*see Karlin v IVF Am.*, 93 NY2d 282, 291 [1999], citing Mem of Assemblyman Strelzin in Support of L 1980, ch 346, 1980 NY Legis Ann, at 146; Givens, Practice Commentaries, McKinney's Cons Laws of NY, Book 19, General Business Law § 349, at 566 [1988 ed], quoting Governor's Approval Mem, 1980 McKinney's Session Laws of NY, at 1867 [''(T)he purpose of the private right( ) of action was to permit private enforcement against injuries resulting from consumer fraud'' (internal quotation marks omitted)]).

[1] To successfully assert a section 349 (h) claim, a plaintiff must allege that a defendant has engaged in (1) consumer-oriented conduct that is (2) materially misleading and that (3) plaintiff suffered injury as a result of the allegedly deceptive act or practice (*see Stutman v Chemical Bank*, 95 NY2d 24, 29 [2000]). Here, the City insists that it is part of the broad class of

2. On May 4, 2009, the United States Supreme Court granted two defendants' petition for a writ of certiorari, which sought review of the Second Circuit's ruling regarding claims brought by the City under the federal Racketeer Influenced and Corrupt Organizations Act (*see Hemi Group, LLC v City of New York*, — US —, 129 S Ct 2159 [2009]). As the resolution of those federal claims does not affect our consideration of the City's relevant pendent state claims—which invoked the federal district court's diversity jurisdiction (*see* 28 USC § 1332)—we proceed to answer the questions certified to us by the Second Circuit.

''person[s]'' granted standing to pursue a section 349 claim (*see* General Construction Law § 37; Joseph Thomas Moldovan, Note, *New York Creates a Private Right of Action to Combat Consumer Fraud: Caveat Venditor*, 48 Brook L Rev 509, 526-527 [1982]). In a proper case, the City may be able to avail itself of a remedy pursuant to subdivision (h). But it has failed to establish standing here because its claimed injury, in the form of lost tax revenue, is entirely derivative of injuries that it alleges were suffered by misled consumers who purchased defendants' cigarettes over the Internet.

In *Blue Cross & Blue Shield of N.J., Inc. v Philip Morris USA Inc.* (3 NY3d 200 [2004]), we held that ''derivative actions are barred'' under section 349 (h) (*id.* at 207). ''An injury is indirect or derivative when the loss arises solely as a result of injuries sustained by another party'' (*id.*). Thus, we concluded that the plaintiff insurance plan could not recover medical payments made on behalf of subscribers who suffered from smoking-related illnesses even though the defendants' misrepresentations as to the negative health effects of smoking allegedly caused those injuries. Although the plan had incurred costs due to the alleged deception, its injury was still ''indirect''—and thus not compensable under section 349 (h)—''because the losses it experienced arose wholly as a result of smoking related illnesses suffered by [its] subscribers'' (*id.*). In rendering this decision, we noted the lack of any clear indication from the Legislature that derivative injuries were actionable under section 349 (h) (*see id.* at 206-207), our concern with expanding section 349 to permit '' 'a tidal wave of litigation against businesses that was not intended by the Legislature' '' (*see id.* at 207, quoting *Oswego Laborers' Local 214 Pension Fund v Marine Midland Bank*, 85 NY2d 20, 26 [1995]), and that our holding was ''in accord with several other courts that recognize a remoteness bar to recovery under their state consumer protection statutes'' (*see id.* at 208 n 3 [citing cases]).

The City's claimed injury here is just as indirect as the insurer's was in *Blue Cross*. Quite simply, had the allegedly deceived consumers not been improperly induced to purchase defendants' cigarettes then the City would have no claim to lost tax revenue (*see Blue Cross*, 3 NY3d at 207 [''Although (the insurer) actually paid the costs incurred by its subscribers, its claims are nonetheless indirect because the losses it experienced arose wholly as a result of smoking related illnesses suffered by those subscribers'']; *see also Laborers Local 17 Health & Benefit*

Fund v Philip Morris, Inc., 191 F3d 229, 239 [2d Cir 1999] [''Being purely contingent on harm to third parties, these injuries are indirect'']). Although in some sense the City's injuries are ''caused'' by defendants' alleged conduct, this Court has required more than an allegation of ''but for'' cause to state a claim for relief under section 349 (h) (*see Blue Cross*, 3 NY3d at 208; *Stutman*, 95 NY2d at 30 [''(P)laintiffs allege that because of defendant's deceptive act, they were forced to pay a $275 fee that they had been led to believe was not required . . . This allegation satisfies the causation requirement'']; *see also Ganim v Smith & Wesson Corp.*, 258 Conn 313, 373, 780 A2d 98, 134 [2001] ['' 'but for' cause'' allegation insufficient under state unfair trade practices act]).

We reject the City's assertion that it may state a cognizable section 349 (h) claim ''simply'' by alleging ''consumer injury or harm to the public interest.'' If a plaintiff could avoid the derivative injury bar by merely alleging that its suit would somehow benefit the public, then the very ''tidal wave of litigation'' that we have guarded against since *Oswego* would loom ominously on the horizon (*see* 85 NY2d at 26; *Blue Cross*, 3 NY3d at 207). Certainly, ''as a threshold matter, plaintiffs claiming the benefit of section 349 . . . must charge conduct of the defendant that is consumer-oriented'' (*see Oswego*, 85 NY2d at 25). But such plaintiffs must also plead that they have suffered actual injury caused by a materially misleading or deceptive act or practice (*see id.* at 26; *accord Blue Cross*, 3 NY3d at 205-206; *see also Stutman*, 95 NY2d at 29 [''The plaintiff . . . must show that the defendant's 'material deceptive act' caused the injury'']). Since *Blue Cross*, it has been clear that allegations of indirect or derivative injuries will not suffice (*see* 3 NY3d at 207).

Nothing in *Securitron Magnalock Corp. v Schnabolk* (65 F3d 256 [2d Cir 1995]) purports to confer standing upon derivatively injured parties such as the City. There, the Second Circuit characterized the ''gravamen'' of a section 349 claim as ''consumer injury or harm to the public interest'' (*id.* at 264, quoting *Azby Brokerage, Inc. v Allstate Ins. Co.*, 681 F Supp 1084, 1089 n 6 [SD NY 1988]). We, too, have emphasized that section 349 is ''directed at wrongs against the consuming public'' and that plaintiffs must demonstrate that the complained-of acts or practices ''have a broader impact on consumers at large'' (*see Oswego*, 85 NY2d at 24, 25; *see also Gaidon v Guardian Life Ins. Co. of Am.*, 94 NY2d 330, 344 [1999]).

But those statements relate to just one element of a section 349 claim—consumer-oriented conduct (*see Gaidon*, 94 NY2d at

344). The *Securitron* court did not discuss the remaining two elements—materially misleading or deceptive act or practice and actual injury—presumably because the defendants there argued that " 'there is absolutely *nothing* in this record showing that this private commercial dispute between the plaintiff and the defendant was aimed at the public' " (*see* 65 F3d at 264). This argument derives from the rule, recognized in *Oswego*, that certain disputes, such as "[p]rivate contract disputes, unique to the parties . . . would not fall within the ambit of [section 349]" (*see Oswego*, 85 NY2d at 25, citing *Genesco Entertainment, a Div. of Lymutt Indus., Inc. v Koch*, 593 F Supp 743, 752 [SD NY 1984]). Thus, in concluding that defendants' purely-private-dispute argument was meritless in the case before it, the *Securitron* court did not expand the class of section 349 (h) plaintiffs to those persons who, like the City, can link a derivative injury to some public harm.[3]

Accordingly, we hold that plaintiff lacks standing to bring its section 349 (h) claim for lost cigarette tax revenue.

III.

[2] Turning to the public nuisance claim, the City admits that the conduct it complains of—the "mailing of cigarettes"—"is not illegal or even traditionally deemed offensive." But it says that the legislative findings accompanying Public Health Law § 1399-*ll* changed that and that those findings permit it to bring an action to abate this "newly characterized" public nuisance since nothing in section 1399-*ll* or its legislative history purports to preempt such a claim. We agree that the Legislature had in mind a concern for the public

3. We have cited *Securitron* for the proposition that the class of persons accorded standing under 349 (h) is not necessarily limited to "consumers" (*see Blue Cross*, 3 NY3d at 207). The present case offers no occasion for us to opine upon the classes of potential plaintiffs who may or may not have standing to sue under section 349 (h). We note, however—as we have in the past—that there is some legislative history supporting the position that business competitors have standing under the statute (*see Blue Cross*, 3 NY3d at 207, citing May 21, 1980 Mem of Atty Gen, Bill Jacket, L 1980, ch 346; Special Comm on Consumer Affairs of Assn of Bar of City of NY, *"Private Right of Action" Proposals*, Bill Jacket, L 1980, ch 346 ["permitting suits by either consumers or competitors . . . would help to police the marketplace against misrepresentations which constitute deception against the consumer and unfair competition with firms not engaging in such practices"]; *see also* Givens, Practice Commentaries, McKinney's Cons Laws of NY, Book 19, General Business Law § 349, at 565 [1988 ed] ["In addition to consumers, . . . competitors . . . are given the right to sue by (General Business Law) §§ 349 (h) and 350-d as an additional enforcement measure"]).

health—specifically, the detrimental effects of smoking on minors—when it passed section 1399-*ll*. We do not view this case, however, as one involving preemption. Instead, the question here is one of pure statutory interpretation. Based on its text and legislative history, we conclude that the Legislature did not contemplate that section 1399-*ll* would be used as the predicate for public nuisance actions in cases—like the present—that primarily involve alleged tax evasion.[4]

Public Health Law § 1399-*ll* is found under article 13-F of the Public Health Law, which is entitled ''Regulation of Tobacco Products and Herbal Cigarettes; Distribution to Minors.'' By its provisions, it is ''unlawful for any person engaged in the business of selling cigarettes to ship or cause to be shipped any cigarettes to any person in this state'' who is not a person licensed as a cigarette tax agent, wholesale dealer, or a registered retail dealer; an export warehouse proprietor or an operator of a customs bonded warehouse; or a person who is a government agent or employee, acting in an official capacity (*see* Public Health Law § 1399-*ll* [1]). Likewise, ''common or contract carrier[s]'' are forbidden from knowingly transporting cigarettes to any person not within the class of exempted persons (*see* § 1399-*ll* [2]). The same prohibition applies to ''any other person,'' except that such individuals are permitted to transport ''not more than eight hundred cigarettes at any one time to any person in this state'' (*see id.*). The statute provides that authorized shipments sent by cigarette sellers must be ''plainly and visibly marked with the word 'cigarettes','' unless shipped ''in the cigarette manufacturer's original container or wrapping'' (*see* § 1399-*ll* [3]).

Unauthorized shipments are subject to seizure and forfeiture (*see* Public Health Law § 1399-*ll* [4]) and expose the violator to criminal and civil penalties. Thus, a shipment in violation of

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4. The City's public nuisance claims were brought against certain defendants who have elected not to appear before us for oral argument or to submit a brief for our review. We do not consider these claims moot since we have no indication that they are not presently the subject of a live controversy (*see Saratoga County Chamber of Commerce v Pataki*, 100 NY2d 801, 812 [2003] [''Where, as here, a judicial determination carries immediate, practical consequences for the parties, the controversy is not moot'']). Similarly, because our decision will have an effect on the City's public nuisance claims, the second certified question is not academic (*compare Blue Cross*, 3 NY3d at 209). Moreover, while it is unfortunate that the relevant defendants did not appear, in this case their arguments can be sufficiently assessed based on the briefs filed in the Second Circuit, which are part of the record before us (*see* 541 F3d 425, 458 [2d Cir 2008]; 22 NYCRR 500.27 [c]).

subdivision (1) or (2) constitutes a class A misdemeanor, which is increased to a class E felony upon a ''second or subsequent violation'' (*see* § 1399-*ll* [5]). In addition, section 1399-*ll* (5) authorizes the imposition of up to a $5,000 civil fine for each violation of subdivision (1) or (2) and a similar fine for violation of subdivision (3), when committed by a cigarette seller (*see id.*).

A concern with public health as well as the public fisc is evident in section 1399-*ll*'s legislative findings. These state that

> ''[t]he legislature finds and declares that the shipment of cigarettes sold via the internet or by telephone or by mail order to residents of this state poses a serious threat to public health, safety, and welfare, to the funding of health care pursuant to the health care reform act of 2000, and to the economy of the state. The legislature also finds that when cigarettes are shipped directly to a consumer, adequate proof that the purchaser is of legal age cannot be obtained by the vendor, which enables minors to avoid the provisions of article 13-F of the public health law. It is also the legislature's finding that by preventing shipment of cigarettes directly to consumers, the State will be better able to measure and monitor cigarette consumption and to better determine the public health and fiscal consequences of smoking. The legislature further finds that existing penalties for cigarette bootlegging are inadequate. Therefore, the bill enhances existing penalties for possession of unstamped or unlawfully stamped cigarettes'' (*see* Legislative findings, L 2000, ch 262, § 1, reprinted in McKinney's Cons Laws of NY, Book 44, Public Health Law § 1399-*ll*, Historical and Statutory Notes, at 238).

It is well settled that a governmental entity, such as the City, may bring an action to abate a public nuisance or the

> ''conduct or omissions which offend, interfere with or cause damage to the public in the exercise of rights common to all, in a manner such as to offend public morals, interfere with use by the public of a public place or endanger or injure the property, health, safety or comfort of a considerable number of persons'' (*see Copart Indus. v Consolidated Edison Co. of N.Y.*, 41 NY2d 564, 568 [1977] [citations omitted]; *New York Trap Rock Corp. v Town of*

> *Clarkstown*, 299 NY 77, 83 [1949] [*Trap Rock I*] ["(A) municipal corporation . . . has the capacity and is a proper party to bring an action to restrain a public nuisance which allegedly has injured the health of its citizens"]).

Equally clear is the Legislature's authority to enact laws deeming certain activities public nuisances (*see Trap Rock I*, 299 NY at 84-85; *People v New York Trap Rock Corp.*, 57 NY2d 371, 377 [1982]; *see also Lawton v Steele*, 152 US 133, 140 [1894]; Restatement [Second] of Torts § 821B, Comment *c* ["(A)ll of the states have numerous special statutes declaring certain conduct or conditions to be public nuisances"]).

But we think that the task of discerning whether a set of legislative findings purports to recognize a particular type of conduct as a public nuisance is one of statutory construction, requiring us to "look beyond the language of the statute . . . to search for and effectuate the Legislature's purpose" (*cf. Fumarelli v Marsam Dev.*, 92 NY2d 298, 303 [1998]; *Uhr v East Greenbush Cent. School Dist.*, 94 NY2d 32, 38 [1999] ["A statutory command . . . does not necessarily carry with it a right of private enforcement by means of tort litigation"]). In this regard, the maxim that an "affirmative statute," such as section 1399-*ll*, should not be read to cancel the City's common-law right to abate public nuisances (*see* McKinney's Cons Laws of NY, Book 1, Statutes § 34, Comment, at 76-77) is unhelpful since the City essentially concedes that the right to abate the nuisance caused by the shipment of cigarettes did not exist prior to the enactment of section 1399-*ll*. In any event, we need not resort to canons of construction "because the legislative intent is otherwise more readily and reliably manifest" (*see Fumarelli*, 92 NY2d at 307).

Properly framed, we believe that the second certified question requires an inquiry similar to that undertaken in cases concerning implied private rights of action (*see Sheehy v Big Flats Community Day*, 73 NY2d 629, 633 [1989]; *Uhr*, 94 NY2d at 38; *Hammer v American Kennel Club*, 1 NY3d 294, 299 [2003]; *McLean v City of New York*, 12 NY3d 194, 200 [2009]). In such cases we consider " '(1) whether the plaintiff is one of the class for whose particular benefit the statute was enacted; (2) whether recognition of a private right of action would promote the legislative purpose; and (3) whether creation of such a right would be consistent with the legislative scheme" (*see Hammer*, 1 NY3d at 299, quoting *Carrier v Salvation Army*, 88 NY2d 298, 302 [1996]).

With respect to the public health, the Legislature's passage of section 1399-*ll* was predominantly intended to "prevent young people in New York from becoming addicted to cigarettes" (*see* Senate Introducer Mem in Support, Bill Jacket, L 2000, ch 262, at 6 [2000 McKinney's Session Laws of NY, at 1707]; *see also id.* at 3 [2000 Session Laws at 1704] ["These amendments will prevent underage youths from obtaining cigarettes, and in effect, require that all purchases be made face-to-face in retail stores where proof of age can be ascertained"]; Mem of State of NY Dept of Public Health, Bill Jacket, L 2000, ch 262, at 17; *Sting's smoking gun*, New York Daily News, July 14, 2000, Bill Jacket, L 2000, ch 262, at 51 [describing Department of Consumer Affairs investigation in which "a 7-year-old boy bought cigarettes over the Internet three times"]). Although our State has stringent proof-of-age requirements intended to prevent persons under the age of 18 from purchasing cigarettes (*see* Public Health Law § 1399-cc), by 2000, it had become apparent that certain minors were circumventing those measures by making purchases from mail order or Internet cigarette retailers (*see* Senate Introducer Mem in Support, Bill Jacket at 6 [2000 Session Laws at 1707]). As explained in section 1399-*ll*'s Bill Jacket:

> "[P]ersons under 18 often receive cigarettes by mail-order or Internet purchases from out-of-state vendors or unlicensed in-state vendors.
>
> "Recognizing this problem and the proliferation of Internet sales, this bill would make it unlawful for persons who sell cigarettes to ship or cause cigarettes to be shipped to any person in the State [who does not fall within the three exceptions codified in section 1399-*ll* (1)]. Further, the bill would make it unlawful for a common or contract carrier to knowingly transport cigarettes to . . . a person in this State reasonably believed by such carrier to be a person other than a person authorized to receive cigarettes. With few exceptions, cigarette consumers will thus have to purchase their cigarettes at a registered retail dealer's place of business. As a result, *these amendments would ensure that the Public Health Law's proof of age requirements would not be evaded by underage purchasers*. Further, the State's Cigarette Marketing Standards Act (CMSA) in Article 20-A of the Tax Law, which provides

minimum prices for sales of cigarettes in the State in conjunction with the State's tax on cigarettes, would not be avoided, *thereby further discouraging smoking among persons under 18*'' (*id.* [emphasis added]).

Even assuming that the City may be included within the class of persons whom the Legislature had in mind when enacting section 1399-*ll* and that a public nuisance action may in some cases further the legislative purpose, permitting the present public nuisance actions to proceed would not be consistent with the legislative scheme. To be sure, the penalties authorized by section 1399-*ll* take aim at tax evasion, albeit primarily to deter underage smoking (*see* Senate Introducer Mem in Support, Bill Jacket at 6 [2000 Session Laws at 1707]). But enforcement of those penalties has been entrusted to local district attorneys and the Commissioner of Health (*see* § 1399-*ll* [5]). When it enacted the criminal and civil penalties contained in section 1399-*ll* (5), the Legislature also codified a series of amendments intended to ''strenghten[ ] existing civil and criminal penalties'' that already punished cigarette tax evasion, or ''bootlegging'' (*see* Senate Introducer Mem in Support, Bill Jacket at 6-7 [2000 Session Laws at 1707]; *see also* Budget Report on Bills, Bill Jacket, L 2000, ch 262, at 13-14 [listing amendments to previously enacted laws]). Thus, the City's alleged injury—lost tax revenue—is a harm that is subject to thorough regulation, both by section 1399-*ll* as well as other laws not implicated here.

When considering similarly comprehensive enforcement schemes, we have declined to imply a private right of action (*see Hammer*, 1 NY3d at 300; *McLean*, 12 NY3d at 200-201; *Uhr*, 94 NY2d at 40). The presence of such a scheme here, when coupled with the Legislature's clear expressions that the public health thrust of section 1399-*ll* was related to the prevention of underage smoking, persuades us that the Legislature did not intend its findings to authorize a public nuisance claim based primarily upon alleged tax evasion (*cf. Fumarelli*, 92 NY2d at 307 [''The history, timing, wording, and breadth of the statutory enactment all indicate that the Legislature did not intend an overlapping dual track that would engender confusion, indefiniteness, and lawsuits'']).[5]

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5. We acknowledge that a different result might be reached if the City's complaint alleged that defendants had made unauthorized shipments to minors (*cf. City of New York v Milhelm Attea & Bros., Inc.*, 550 F Supp 2d 332,

(n. cont'd)

Accordingly, the certified questions should be answered in the negative.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Following certification of questions by the United States Court of Appeals for the Second Circuit and acceptance of the questions by this Court pursuant to section 500.27 of the Rules of Practice of the New York State Court of Appeals (22 NYCRR 500.27), and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified questions answered in the negative.

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349 [ED NY 2008] [finding public nuisance claim viable in action against cigarette wholesalers where City alleged ''that sellers of unstamped cigarettes are 'major suppliers' to underage smokers, and these sellers fail to comply with N.Y. Public Health Law § 1399-cc (3), which requires proof of age'']). But no such allegations appear in the complaints here.

[911 NE2d 847, 883 NYS2d 785]

LEWIS J. BAZAKOS, Respondent, v PHILIP LEWIS, Appellant, et al., Defendants.

Argued and submitted June 3, 2009; decided June 24, 2009

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered September 23, 2008. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, Nassau County (R. Bruce Cozzens, J.; op 2006 NY Slip Op 30401[U]), which had granted a motion by defendant Philip Lewis pursuant to CPLR 3211 (a) (5) to dismiss the complaint as against him; and (2) denied the motion. The following question was certified by the Appellate Division: ''Was the opinion and order of this court dated September 23, 2008, properly made?''

Bazakos v Lewis, 56 AD3d 15, reversed.

HEADNOTE

Limitation of Actions — Medical Malpractice — Claim against Physician for Negligence in Performing Independent Medical Examination

Plaintiff's claim against defendant physician for defendant's alleged negligence in performing an independent medical examination of plaintiff approximately 2 years and 11 months earlier in the course of a prior personal injury action was a claim for malpractice governed by CPLR 214-a's two-year-and-six-month statute of limitations, not the three-year statute applicable to personal injury actions generally (CPLR 214 [5]). The act on which plaintiff's lawsuit was based—defendant's manipulation of a body part of a person who came to his office for a physical examination—constituted medical treatment by a licensed physician, and the negligent performance of that act was not ordinary negligence, but a prototypical act of medical malpractice. There was no good reason why the statute of limitations should have been longer than it would have been if defendant were accused of making exactly the same error on a patient who came to him for consultation or care.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Insurance § 1357; AM JUR 2d, Limitation of Actions §§ 142–144; AM JUR 2d, Physicians, Surgeons, and Other Healers § 295.

CARMODY-WAIT 2d, Limitation of Actions §§ 13:57, 13:64, 13:66.

McKinney's, CPLR 214 (5); 214–a.

NY Jur 2d, Insurance § 1881; NY Jur 2d, Limitations and Laches §§ 130, 131, 250; NY Jur 2d, Malpractice §§ 214, 217.

Siegel, NY Prac § 35.

ANNOTATION REFERENCE

See ALR Index under Insurance and Insurance Companies; Limitation of Actions; Malpractice By Medical or Health Professions; Physical and Mental Examinations.

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POINTS OF COUNSEL

Kopff, Nardelli & Dopf LLP, New York City (*Peter C. Kopff* and *Martin B. Adams* of counsel), for appellant. I. This action is time-barred by the 2½-year time period applicable to medical malpractice actions, as the claims implicate medical skills and medical judgment, and the independent medical examination was substantially similar to the rendition of medical diagnostic services. (*Scott v Uljanov,* 74 NY2d 673; *Miller v Albany Med. Ctr. Hosp.,* 95 AD2d 977; *Smith v Pasquarella,* 201 AD2d 782; *Twitchell v MacKay,* 78 AD2d 125; *Evangelista v Zolan,* 247 AD2d 508; *Savarese v Allstate Ins. Co.,* 287 AD2d 492.) II. The expectation of the parties to an independent medical examination is that a limited physician-patient relationship exists. (*Violandi v City of New York,* 184 AD2d 364; *Smith v Pasquarella,* 201 AD2d 782; *Twitchell v MacKay,* 78 AD2d 125; *Sosnoff v Jackman,* 45 AD3d 568; *Payette v Rockefeller Univ.,* 220 AD2d 69; *People v Sliney,* 137 NY 570; *Cubito v Kreisberg,* 69 AD2d 738, 51 NY2d 900.) III. Public policy supports a finding that the statute of limitations applicable to a medical malpractice action applies to a claim of injuries sustained during the course of an independent medical examination.

Ralph A. Hummel, Woodbury, for respondent. Without a physician-patient relationship, there can be no medical malpractice. (*Cubito v Kreisberg,* 69 AD2d 738, 51 NY2d 900; *Savarese v Allstate Ins. Co.,* 287 AD2d 492; *People v Sliney,* 137 NY 570.)

OPINION OF THE COURT

SMITH, J.

We hold that a claim against a doctor for his alleged negligence in performing an independent medical examination (IME) is a claim for malpractice, governed by CPLR 214-a's two-year-and-six-month statute of limitations.

I

Lewis Bazakos, plaintiff in this case, was also the plaintiff in a previously-brought action arising out of an automobile accident. In that action, Bazakos was required, pursuant to CPLR 3121, to undergo an examination, commonly called an IME, by a doctor designated by the adverse party. The person Bazakos sued designated Dr. Philip Lewis, and Lewis examined Bazakos on November 27, 2001.

On October 15, 2004, approximately 2 years and 11 months later, Bazakos commenced this action against Lewis. The complaint alleges that Lewis injured Bazakos during the IME when he ''took plaintiff's head in his hands and forcefully rotated it while simultaneously pulling.''

Lewis moved to dismiss the case as barred by the statute of limitations. Supreme Court granted the motion (2006 NY Slip Op 30401[U]), relying on the Appellate Division, Second Department's decision in *Evangelista v Zolan* (247 AD2d 508 [2d Dept 1998]). On Bazakos's appeal, the Appellate Division, with two Justices dissenting, overruled *Evangelista* and reversed Supreme Court, holding the action to be timely (*Bazakos v Lewis*, 56 AD3d 15 [2d Dept 2008]). The Appellate Division majority concluded that, because the doctor performing an IME and the person undergoing it do not have a physician-patient relationship, the action was not ''for medical . . . malpractice'' (CPLR 214-a) and was therefore governed by the three-year statute applicable to personal injury actions generally (CPLR 214 [5]). The dissenting Justices, relying on *Evangelista* and *Twitchell v MacKay* (78 AD2d 125 [4th Dept 1980]), argued that a ''limited'' physician-patient relationship exists between the examining doctor at an IME and the person examined, and that the action should therefore be considered one for malpractice (56 AD3d at 24).

The Appellate Division granted Lewis leave to appeal, certifying the question of whether its order was properly made. We answer the question in the negative and reverse.

II

Bazakos's argument, which the Appellate Division accepted, is a simple one: He says that medical malpractice is a breach of a doctor's duty to provide his or her patient with medical care meeting a certain standard; that Lewis was not Bazakos's doctor, and Bazakos was not Lewis's patient; and that therefore the negligence of which Lewis is accused cannot be medical malpractice. He points out that the relationship between the doctor and the person the doctor examines at an IME is essentially adversarial; the person examined is required by law to submit to a procedure performed for the benefit of a party seeking to defeat that person's legal claim. The Appellate Division majority quoted the observation in *Payette v Rockefeller Univ.* (220 AD2d 69, 72 [1st Dept 1996]) that "the existence of a physician-patient relationship" is "essential to a cause of action in malpractice" (56 AD3d at 19).

There is some logic to Bazakos's position, but the result he seeks would be an arbitrary one. Bazakos, like any medical malpractice plaintiff, claims he was injured because a doctor failed to perform competently a procedure requiring the doctor's specialized skill; Lewis, like any medical malpractice defendant, is called upon to defend his performance of professional duties. This case is not like *Payette*, in which a volunteer participant in a diet study at Rockefeller University complained of the University's "alleged negligent creation and implementation of its diet research program" (220 AD2d at 72). The act on which Bazakos's lawsuit is based—Lewis's manipulation of a body part of a person who came to his office for a physical examination—constitutes "medical treatment by a licensed physician," and the negligent performance of that act is not ordinary negligence, but a prototypical act of medical malpractice (*Weiner v Lenox Hill Hosp.*, 88 NY2d 784, 788 [1996], quoting *Bleiler v Bodnar*, 65 NY2d 65, 72 [1985]). We see no good reason why the statute of limitations should be longer than it would be if Lewis were accused of making exactly the same error on a patient who came to him for consultation or care.

CPLR 214-a, creating a statute of limitations for certain forms of professional malpractice that is six months shorter than the ordinary personal injury statute, was part of a package of legislation passed in 1975 in response "to a crisis in the medical profession posed by the withdrawal and threatened withdrawal of insurance companies from the malpractice insurance market" (*Bleiler*, 65 NY2d at 68). The purpose of the legislative package was to enable "health care providers to get malpractice insurance at reasonable rates" (*id.*, quoting Mem of State Exec Dept, 1975 McKinney's Session Laws of NY, at 1601-1602). It is unlikely, in our judgment, that the Legislature would have found less reason to make insurance available to doctors performing IMEs than to those practicing medicine in more traditional contexts, or that it intended any distinction between the two.

We agree with the dissenting Justices at the Appellate Division that the relationship between a doctor performing an IME and the person he is examining may fairly be called a "limited physician-patient relationship"—indeed, this language is used in an American Medical Association opinion describing the ethical responsibilities of a doctor performing an IME (AMA Council on Ethical and Judicial Affairs, Code of Medical Ethics, Ops on Patient-Physician Privilege E-10.03). As the Michigan Supreme Court has explained, this relationship:

> "is not the traditional one. It is a limited relationship. It does not involve the full panoply of the physician's typical responsibilities to diagnose and treat the examinee for medical conditions. The IME physician, acting at the behest of a third party, is not liable to the examinee for damages resulting from the conclusions the physician reaches or reports. The limited relationship that we recognize imposes a duty on the IME physician to perform the examination in a manner not to cause physical harm to the examinee." (*Dyer v Trachtman*, 470 Mich 45, 49-50, 679 NW2d 311, 314-315 [2004].)

Bazakos's claim here is that Lewis breached his duty "to perform the examination in a manner not to cause physical harm to the examinee." That is a claim for medical malpractice, and it is governed by the two-year-and-six-month statute of limitations. Therefore, Bazakos's lawsuit was not timely.

Accordingly, the order of the Appellate Division should be reversed, with costs, the order of Supreme Court reinstated and the certified question answered in the negative.

Chief Judge LIPPMAN (dissenting). During a physical exam compelled by the court upon the application of plaintiff's adversary in separate personal injury litigation (*see* CPLR 3102 [a]; 22 NYCRR 202.17), defendant Dr. Lewis, the examiner designated by plaintiff's adversary to perform the exam, is alleged to have "[taken] plaintiff's head in his hands and forcefully rotated it while simultaneously pulling.'' Some 2 years and 11 months later, plaintiff commenced this action alleging that Lewis's manipulation of his head caused him injury. The complaint purports to sound in ordinary negligence. Defendant, however, contends that what is alleged is not simple negligence but medical malpractice. The distinction relied on by defendant, although not marked by a ''rigid analytical line''—medical malpractice being but a form of negligence (*Scott v Uljanov*, 74 NY2d 673, 674 [1989]; *see Weiner v Lenox Hill Hosp.*, 88 NY2d 784, 787-788 [1996])—is here of pivotal import since plaintiff's claim would be timely as one for simple negligence (*see* CPLR 214), but would be barred under the shorter limitations period applicable to claims for medical malpractice (*see* CPLR 214-a).

Contrary to the impression that might be produced by the majority writing, the issue of whether allegedly tortious conduct is for statute of limitations purposes to be deemed medical malpractice or ordinary negligence is not new to this Court. Nor is it one whose disposition is ungoverned by settled principles. We have held clearly and repeatedly that ''[c]onduct may be deemed malpractice, rather than negligence, when it 'constitutes *medical treatment* or bears a substantial relationship to the rendition of *medical treatment* by a licensed physician' '' (*Scott*, 74 NY2d at 674-675, quoting *Bleiler v Bodnar*, 65 NY2d 65, 72 [1985] [emphasis added]; *accord Weiner*, 88 NY2d at 787-788). Here, although Lewis may have employed medical techniques in examining plaintiff, it is plain that no medical treatment was intended or in fact provided. The exam was conducted simply as a disclosure device in litigation and, indeed, one whose benefit inured not to the examinee but to the examinee's adversary. Bereft of any medical treatment rationale or application, Lewis's conduct during his examination of plaintiff is not amenable to description as medical malpractice within the meaning of CPLR 214-a.

This conclusion, of course, is entirely consistent with the purpose of CPLR 214-a's abbreviated limitations period, which was not to afford those providing litigation support services a measure of protection against liability, but to address the threat to the health and welfare of New Yorkers posed by the ''inability of *health care providers* to get malpractice insurance at reasonable rates'' and to help assure that ''the adequate delivery of *health care services*'' would not be impaired (Mem of State Exec Dept in Support of L 1975, ch 109, 1975 McKinney's Session Laws of NY, at 1601-1602 [emphasis added]).

While the majority supposes it unlikely that the Legislature "would have found less reason" (majority op at 635) to extend similar protection to doctors not engaged in the provision of medical treatment, the basis for the supposition is far from evident. Indeed, there would appear to be ample reason to treat the two groups of practitioners quite differently. The risks facing a medical clinician diagnosing and treating a patient are of an entirely different order of magnitude than those ordinarily encountered by a medical examiner in a nontreatment context. The situation at bar is illustrative of this disparity. It is conceded that Dr. Lewis's duty towards his examinee was no more extensive than that of refraining from harming him during the exam; he had no medical duty competently to diagnose, inform or, indeed, to treat the subject of his exam. Such an extraordinarily limited scope of professional responsibility stands in sharp contrast to the enormous risks and obligations routinely encountered by physicians providing actual patient care and treatment. While a shortened limitations period may, at the time of CPLR 214-a's enactment, reasonably have been thought necessary to the continued insurability of the latter group of medical practitioners on economically feasible terms, there exists no plausible argument that parity of protection was ever thought necessary to the insurability of practitioners not engaged in the provision of medical treatment.

The majority's embrace of the novel and highly problematic notion that there may be medical malpractice in the absence of medical treatment evidently proceeds from the conviction that the same conduct by a doctor should not be deemed malpractice in one context and negligence in another. Yet, in postulating that a medical examiner, such as defendant, undertakes a limited duty to the examinee not involving " 'the full panoply of the physician's typical responsibilities to diagnose and treat' " (majority op at 635, quoting *Dyer v Trachtman*, 470 Mich 45, 50, 679 NW2d 311, 314 [2004]), the majority must accept what it purports to reject, namely, that what will be malpractice in the context of ongoing medical treatment may not, no matter how glaring the breach, be malpractice in the context of an exam understood by the parties thereto to have no medical treatment objective. Indeed, most of what would be malpractice in the former context is not even actionable in the latter.

Context cannot be consigned to irrelevance, even in the case of what would be "prototypical malpractice." We have held as much. In *Weiner*, where the defendant hospital, intent on having its negligence deemed malpractice so as to avail itself of the medical malpractice limitations period, urged that the failure of its physician properly to supervise blood collection could not be viewed except as a breach of his obligations as a physician, we replied,

> ''although the Hospital correctly points out that a physician must supervise the process of blood collection (*see*, *e.g.*, 10 NYCRR 58-2.1 [s]; 58-2.2 [a]), this requirement does not resolve the question of whether the challenged conduct 'bears a substantial relationship to the rendition of medical treatment' to a particular patient, which remains the determinative question on appeal'' (*Weiner*, 88 NY2d at 788, quoting *Bleiler v Bodnar*, 65 NY2d at 72).

Here, of course, there was actual contact between plaintiff and physician, but that factual distinction between this case and *Weiner* is one that should possess no dispositive significance. Propinquity, particularly in what is essentially an adversarial situation between an examiner and his or her subject, is not to be confounded with medical treatment. Here, as in *Weiner*, there was no treatment, and that should be ''determinative.''

While I agree that Lewis in undertaking to examine plaintiff assumed a duty not to harm him in the process, the breach of such a duty would not sound in medical malpractice. The very limited duty arising in this situation bears not the slightest resemblance to the very much more comprehensive set of responsibilities devolving upon a practitioner engaged in treatment—the defining set of responsibilities contemplated by the Hippocratic injunction to do no harm. The duty here implicated does not arise from what is reasonably susceptible of characterization as a doctor-patient relationship, i.e. a treatment relationship; it is simply an instance of the general obligation, frequently enforceable in tort, to refrain from causing foreseeable harm. That is ordinary negligence. It is today denominated ''medical malpractice'' only by dint of an exercise in judicial artifice untethered to any law or to the actual nature of the transaction known euphemistically as an ''independent'' medical examination. These exams, far from being independent in any ordinary sense of the word, are paid for and frequently controlled in their scope and conduct by legal adversaries of the examinee. They are emphatically not occasions for treatment, but are most often utilized to contest the examinee's claimed injury and to dispute the need for any treatment at all. Indeed, according to the Guidelines of Conduct of the American Board of Independent Medical Examiners, the examiner at the exam should ''advise the examinee that no treating physician-patient relationship will be established'' (http://abime.org/node/21, accessed June 19, 2009). The majority's bare assertion that medical treatment is compatible with this context is merely a form of words. Describing the sliver of a duty that an examiner has during an exam not to harm the examinee as arising from a ''limited physician-patient relationship'' will be recognized, given the reality it purports to describe, as no more than a device to avail a litigant of a statutory bar.

The cause of action the majority now recognizes for medical malpractice is not only stillborn in this action, but, I will venture, will never possess viability as an actual claim for relief. I am confident that the majority has not the slightest intention to open the vistas of malpractice so wide as to actually permit such claims in the absence of anything cognizable as treatment. What is involved then is simply the arbitrary creation of an exception for a group of practitioners who, as a group, neither seek nor are entitled to the protection properly afforded and reserved to those engaged in the delivery of medical care and treatment.

The well considered decision of the Appellate Division should be affirmed.

Judges CIPARICK, GRAFFEO and READ concur with Judge SMITH; Chief Judge LIPPMAN dissents and votes to affirm in a separate opinion in which Judges PIGOTT and JONES concur.

Order reversed, etc.

[912 NE2d 43, 884 NYS2d 211]

MHR CAPITAL PARTNERS LP et al., Appellants, v PRESSTEK, INC., Respondent, et al., Defendant.

Argued June 3, 2009; decided June 24, 2009

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered August 5, 2008. The Appellate Division, with two Justices dissenting, affirmed a judgment of the Supreme Court, New York County (Richard B. Lowe, III, J.; *see* 2007 NY Slip Op 32322[U]), which had dismissed the complaint against defendant Presstek, Inc.

MHR Capital Partners LP v Presstek, Inc., 55 AD3d 12, affirmed.

HEADNOTES

Contracts — Breach or Performance of Contract — Stock Purchase Agreement — Failure of Condition Precedent

1. Defendant was not obligated to perform under a stock purchase agreement pursuant to which it was to purchase a financially distressed company, because the company's lender failed to execute a consent to the stock purchase transaction, an express condition precedent contained in a separate escrow agreement. Pursuant to the escrow agreement, the contract documents were not to be released ''unless and until'' the lender consented to the deal ''on the terms and conditions'' outlined in the agreement. The lender did not sign the consent form, and its fax, presenting a more limited acceptance on terms that differed from some of the requirements in the consent form, did not fulfill the explicit requirement of the escrow agreement that the lender execute and agree to all of the terms contained in the consent form.

Contracts — Breach or Performance of Contract — Stock Purchase Agreement — Failure of Condition Precedent

2. Defendant was not obligated to perform under a stock purchase agreement pursuant to which it was to purchase a financially distressed company, because the company's lender failed to execute a consent to the stock purchase transaction, an express condition precedent contained in a separate escrow agreement. Notwithstanding plaintiff's complaint that the consent form imposed additional burdens on the lender not originally contemplated by the stock purchase agreement, plaintiff's time to voice its displeasure with the wording and requirements of the documents expired when it accepted and signed the escrow agreement. That the consent form obligated the lender to refrain from declaring a default under its loan agreement with the company until the deal closed and increase its lending commitment to the company's parent corporation ''as necessary to ensure adequate funding''—requirements viewed in hindsight as overly burdensome by plaintiff—was irrelevant.

Contracts — Breach or Performance of Contract — Stock Purchase Agreement — Failure of Condition Precedent

3. Defendant was not obligated to perform under a stock purchase agreement pursuant to which it was to purchase a financially distressed company,

because the company's lender failed to execute a consent to the stock purchase transaction, an express condition precedent contained in a separate escrow agreement. Although a party to a contract cannot rely on the failure of another to perform a condition precedent where he has frustrated or prevented the occurrence of the condition, there was no question of fact in this regard. The escrow agreement placed the burden on the company's parent corporation—not defendant—to obtain the lender's consent by a specified date. Nevertheless, defendant met with the lender's representative before that date and at that time the lender refused to sign the consent form because it considered the terms too onerous. The fact that defendant entered into a more favorable arrangement to buy the company's assets shortly after the stock purchase transaction fell apart did not, by itself, raise an issue of fact as to whether it prevented the lender from signing the consent form.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

Am Jur 2d, Contracts §§ 458, 687.
Calamari and Perillo, Contracts (5th ed) § 11.5.
NY Jur 2d, Contracts §§ 262, 333, 420.
Williston on Contracts (4th ed) §§ 38:26, 39:4.

ANNOTATION REFERENCE

See ALR Index under Conditions Precedent; Contracts.

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POINTS OF COUNSEL

Kasowitz, Benson, Torres & Friedman LLP, New York City (*Michael M. Fay, David S. Rosner, Michael P. Bowen* and *Kim Conroy* of counsel), for appellants. I. The Appellate Division majority erred in ruling that Key Corporate Capital, Inc.'s failure to sign the ambiguous and contradictory consent entitles Presstek, Inc. to summary judgment. (*ADC Orange, Inc. v Coyote Acres, Inc.,* 7 NY3d 484; *Kooleraire Serv. & Installation Corp. v Board of Educ. of City of N.Y.,* 28 NY2d 101; *Young v Hunter,* 6 NY 203; *Roberts v Gin Realty Corp.,* 185 AD2d 209; *Cauff, Lippman & Co. v Apogee Fin. Group, Inc.,* 807 F Supp 1007; *Rachmani Corp. v 9 E. 96th St. Apt. Corp.,* 211 AD2d 262; *Bank of Tokyo-Mitsubishi, Ltd., N.Y. Branch v Kvaerner a.s.,* 243 AD2d 1; *Muzak Corp. v Hotel Taft Corp.,* 1 NY2d 42; *Leberman v John Blair & Co.,* 880 F2d 1555; *SOS Oil Corp. v Norstar Bank of Long Is.,* 76 NY2d 561.) II. Presstek, Inc.'s other grounds for summary judgment are also meritless. (*Schuylkill Fuel Corp. v Nieberg Realty Corp.,* 250 NY 304; *Parker v Blauvelt Volunteer Fire Co.,* 93 NY2d 343; *Nationwide Mech. Contrs. Corp. v Hokkaido Takushoku Bank,* 188 AD2d 871; *Newin Corp. v Hartford Acc. & Indem. Co.,* 37 NY2d 211; *Matter of Halyalkar v Board of Regents of State of N.Y.,* 72 NY2d 261; *2018 Seventh Ave. v Nach-Haus Leasing Corp.,* 289 NY 490; *Ross v Medical Liab. Mut. Ins. Co.,* 75 NY2d 825; *In re Abbotts Dairies of Pa., Inc.,* 788 F2d 143; *Staatsburg Water Co. v Staatsburg Fire Dist.,* 72 NY2d 147; *Matter of Reilly v Reid,* 45 NY2d 24.)

Hartman & Craven LLP, New York City (*Victor M. Metsch* and *Colleen D. Dalton* of counsel), for respondent. I. MHR Capital Partners LP, MHR Institutional Partners LP, MHRM LP and MHR Fund Management LLC's purported claims were barred by the doctrines of res judicata and collateral estoppel. (*O'Brien v City of Syracuse,* 54 NY2d 353; *Sosa v JP Morgan Chase Bank,* 33 AD3d 609; *Matter of Reilly v Reid,* 45 NY2d 24; *Fifty CPW Tenants Corp. v Epstein,* 16 AD3d 292; *Matter of Hunter*, 4 NY3d 260; *Castellano v City of New York,* 251 AD2d 194; *Baldo v Marine Midland Bank,* 219 AD2d 807; *Brown v Suggs,* 39 AD3d 395; *Board of Mgrs. of Bedford Mews Condominium v Nasr,* 37 AD3d 506; *Ebanks v 547 W. 147th St. Hous. Dev. Fund Corp.,* 37 AD3d 290.) II. MHR Capital Partners LP, MHR Institutional Partners LP, MHRM LP and MHR Fund Management LLC (MHR) lacked standing to sue, and, in any event, MHR failed to join necessary and indispensable parties. (*Matter of New York State Assn. of Plumbing-Heating-Cooling Contrs. v Egan,* 86 AD2d 100; *Schulz v State of New York,* 160 Misc 2d 741; *Matter of Martin v Ronan,* 47 NY2d 486; *Migliore v Manzo,* 28 AD3d 620.) III. MHR Capital Partners LP, MHR Institutional Partners LP, MHRM LP and MHR Fund Management LLC did not have a legally cognizable claim against Presstek, Inc. (*Oppenheimer & Co. v Oppenheim, Appel, Dixon & Co.,* 86 NY2d 685; *Merritt Hill Vineyards v Windy Hgts. Vineyard,* 61 NY2d 106; *DBT GmbH v J.L. Min. Co.,* 544 F Supp 2d 364; *Roan/Meyers Assoc., L.P. v CT Holdings, Inc.,* 26 AD3d 295; *Azimut-Benetti S.p.A. v Magnum Mar. Corp.,* 55 AD3d 483; *Jim Ball Chrysler LLC v Marong Chrysler-Plymouth, Inc.,* 17 AD3d 1113; *ADC Orange, Inc. v Coyote Acres, Inc.,* 7 NY3d 484; *Marcantonio v Rousso,* 257 AD2d 650; *Matter of Bangor Punta Operations v Carnaby Knitting Corp.,* 29 NY2d 858; *W.W.W. Assoc. v Giancontieri,* 77 NY2d 157.)

OPINION OF THE COURT

GRAFFEO, J.

In this breach of contract action, we conclude that defendant's obligation to perform under a stock purchase agreement did not arise because an express condition precedent was not fulfilled. We therefore affirm the order of the Appellate Division so holding.

In 2003, defendant Presstek, Inc. and its wholly owned subsidiary, defendant Silver Acquisitions Corp., entered into discussions to purchase A.B. Dick Company (ABD)—a financially distressed graphic arts and printing supplier—from its parent corporation, Paragon Corporate Holdings, Inc. The negotiations culminated in a June 2004 stock purchase agreement, which provided that Paragon would receive $24 million in cash and approximately $20 million worth of Presstek's stock in exchange for ABD's stock. Under an ancillary agreement incorporated into the stock purchase agreement, plaintiffs MHR Capital Partners LP and its affiliates (collectively, MHR)—major creditors of ABD—agreed to the terms of the stock purchase arrangement and waived their rights in return for the payment of over $10 million in cash and stock from Presstek.

On June 16, 2004, Presstek, Silver, ABD, Paragon and MHR executed a separate escrow agreement that required the stock purchase agreement and related documents to be placed in escrow and released upon the occurrence of certain conditions. Specifically, the escrowed materials were not to be released "unless and until" Key Corporate Capital, Inc. (Key Bank), ABD's lender, consented to the stock purchase transaction "on the terms and conditions contained herein." Further, the escrow agreement obligated Paragon to obtain Key Bank's approval before "the close of business on June 22, 2004," together with the bank's execution of a consent form annexed to the escrow agreement. The escrow agreement stated that Presstek was to destroy or return the escrowed documents deemed "null and void" if Key Bank did not sign the consent form by June 22.

In the consent document, Presstek agreed to satisfy ABD's outstanding indebtedness with a combination of cash and Presstek stock (rather than cash only) and Key Bank was required both to continue funding ABD "by increasing its total aggregate lending commitment to [Paragon] as necessary to ensure adequate funding for [ABD] through the closing" and forbear from declaring any default under its loan agreement with ABD until the deal closed. Key Bank, however, refused to execute the consent form. Instead, on June 22, 2004, Key Bank faxed a one-page letter to Presstek that ''consent[ed]'' to the transaction, but included terms that differed from some of the requirements in the consent form. In particular, Key Bank did not consent to fund ABD ''as necessary,'' nor did it agree not to declare a default. Presstek terminated the stock purchase transaction later that day.

The following month, Presstek and Silver entered into a more lucrative asset purchase agreement with ABD and Paragon. The new agreement contained no provision for Presstek's satisfaction of ABD's outstanding indebtedness to MHR. As required by this new agreement, ABD filed for bankruptcy in Delaware. Paragon applied to the United States Bankruptcy Court for the District of Delaware for an order authorizing the sale of ABD's assets to Presstek pursuant to an auction process that would allow third parties to offer higher bids. MHR filed objections to the auction sale of ABD's assets on the basis that Presstek and Silver were not ''good faith'' purchasers within the meaning of 11 USC § 363 (m).

After an evidentiary hearing, the Bankruptcy Court overruled MHR's objections and approved the sale. The United States District Court for the District of Delaware dismissed MHR's appeal as moot because MHR had failed to seek a stay. The District Court also noted that, in any event, Presstek's pre-bankruptcy proceeding behavior had no bearing on whether it was a good faith purchaser under the Bankruptcy Code.[1]

In February 2005, MHR commenced this action for breach of contract against Presstek and Silver, alleging that they improperly terminated the stock purchase agreement.[2] The complaint seeks $14 million in damages. Following discovery, Presstek moved for summary judgment dismissing the complaint.

Supreme Court granted the motion and dismissed the complaint, concluding that the Bankruptcy Court's approval of the sale of ABD's assets over MHR's objections precluded this breach of contract action under principles of res judicata and collateral estoppel (*see* 2007 NY Slip Op 32322[U]). The

1. According to MHR, it received only $175,000 for its ABD notes as a result of the bankruptcy proceeding.

2. Supreme Court dismissed the complaint as against Silver for lack of personal jurisdiction.

Appellate Division, with two Justices dissenting, affirmed, albeit on a different ground (55 AD3d 12 [1st Dept 2008]). The majority held that Key Bank's failure to sign the consent form by June 22, 2004, which it characterized as a condition precedent, relieved Presstek of any obligation to close under the stock purchase agreement. The dissent would have reinstated the complaint, finding an issue of fact as to whether Presstek had improperly prevented Key Bank from executing the consent form. MHR appeals as of right based on the two-Justice dissent pursuant to CPLR 5601 (a).

MHR urges three grounds for reversal and reinstatement of its breach of contract claim. First, MHR contends that the escrow agreement is ambiguous and that Key Bank's approval was not a condition precedent. In a related vein, MHR argues that Key Bank's June 22 fax was an adequate approval and that any differences in terms between the consent form and fax are immaterial. Second, MHR submits that the consent form improperly added conditions not contemplated by the stock purchase agreement. Third, MHR asserts that, even if Key Bank's approval of the transaction was a condition precedent, a question of fact exists as to whether Presstek actively interfered with Key Bank's execution of the consent form.

It is well settled that a contract is to be construed in accordance with the parties' intent, which is generally discerned from the four corners of the document itself. Consequently, "a written agreement that is complete, clear and unambiguous on its face must be enforced according to the plain meaning of its terms" (*Greenfield v Philles Records*, 98 NY2d 562, 569 [2002]). Furthermore, a condition precedent is "an act or event, other than a lapse of time, which, unless the condition is excused, must occur before a duty to perform a promise in the agreement arises" (*Oppenheimer & Co. v Oppenheim, Appel, Dixon & Co.*, 86 NY2d 685, 690 [1995] [internal quotation marks and citations omitted]). We have recognized that the use of terms such as "if," "unless" and "until" constitutes "unmistakable language of condition" (*id.* at 691). Express conditions must be literally performed; substantial performance will not suffice.

[1] Here, pursuant to the escrow agreement, the contract documents were not to be released "unless and until" Key Bank consented to the deal "on the terms and conditions" outlined in the agreement. Among those terms and conditions was the requirement that Key Bank manifest its approval through its execution of the accompanying consent form by June 22, 2004.

Upon the failure of Key Bank to accept the terms of the consent form by that date, Presstek was authorized to destroy or return the stock purchase agreement and annexed documents, all of which then became ‘‘null and void.’’ Based on this clear and unambiguous language, we conclude that Key Bank’s approval of the stock purchase transaction by the fixed date—through its execution of the consent form—was an express condition precedent.

It is uncontested that Key Bank did not sign the consent form. Moreover, Key Bank’s June 22 fax, presenting a more limited acceptance, did not fulfill the explicit requirement that Key Bank execute and agree to all of the terms contained in the consent form, as required by the escrow agreement. Hence, Key Bank did not perform the express condition.

[2] To the extent MHR complains that the consent form imposed additional burdens on Key Bank not originally contemplated by the stock purchase agreement, we concur with the Appellate Division majority’s view that MHR’s time to voice its displeasure with the wording and requirements of the documents expired when it accepted and signed the escrow agreement. Each of the parties to the escrow agreement, including MHR, was a sophisticated business entity represented by counsel, and the agreement, negotiated at arm’s length, incorporated the annexed consent form and plainly required Key Bank to sign it (*see generally Innophos, Inc. v Rhodia, S.A.*, 10 NY3d 25, 29 [2008]). That the consent form obligated Key Bank to refrain from declaring a default and increase its lending commitment to Paragon ‘‘as necessary to ensure adequate funding’’—requirements viewed in hindsight as overly burdensome by MHR—is therefore irrelevant.

[3] Finally, MHR correctly observes that a ‘‘party to a contract cannot rely on the failure of another to perform a condition precedent where he has frustrated or prevented the occurrence of the condition’’ (*ADC Orange, Inc. v Coyote Acres, Inc.*, 7 NY3d 484, 490 [2006] [internal quotation marks and citation omitted]). But MHR failed to raise a question of fact in this regard. Critically, the escrow agreement placed the burden on Paragon—not Presstek—to obtain Key Bank’s consent by June 22. Nevertheless, Presstek met with Key Bank’s representative before that date and at that time Key Bank had the consent form in its possession, but refused to sign it on the basis that it considered its terms too onerous. The fact that Presstek entered into a more favorable arrangement to buy ABD’s assets shortly after the stock purchase transaction fell apart does not, by itself, raise an issue of fact as to whether it prevented Key Bank from signing the consent form.

Because we agree with the Appellate Division majority that Presstek had no duty to proceed with the stock purchase agreement due to the nonperformance of an express condition, namely, Key Bank's failure to execute the consent form, we do not reach Presstek's alternative grounds for affirmance.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge LIPPMAN and Judges CIPARICK, READ, SMITH, PIGOTT and JONES concur.

Order affirmed, with costs.

[912 NE2d 54, 884 NYS2d 222]

In the Matter of the Arbitration between Central Mutual Insurance Company, Respondent, and Beverly Bemiss, Appellant.

Argued June 3, 2009; decided June 25, 2009

SUMMARY

Appeal, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered August 14, 2008. The Appellate Division affirmed an order of the Supreme Court, Rensselaer County (Christian F. Hummel, J.), which had granted petitioner's application pursuant to CPLR 7503 to permanently stay arbitration between the parties.

Matter of Central Mut. Ins. Co. (Bemiss), 54 AD3d 499, affirmed.

HEADNOTE

Insurance — Automobile Insurance — Underinsured Motorist Endorsement — Subrogation Rights of Insurer in Multiple-Tortfeasor Accident

Respondent insured, who was involved in a multiple-tortfeasor accident, exhausted the available policy limits of one of the tortfeasors after providing the required 30 days' written notice to petitioner insurer, and then settled with another tortfeasor for less than the maximum available policy limits without petitioner's written consent, such that petitioner's subrogation rights were impaired, was not entitled to benefits under the supplementary uninsured/underinsured motorists (SUM) endorsement in respondent's automobile liability insurance policy with petitioner. Once respondent settled for the policy limits of the first tortfeasor after providing the required notice to petitioner in compliance with Condition 10 of the SUM endorsement (*see* 11 NYCRR 60-2.3 [f]) she was entitled to make a claim under her SUM coverage and, if petitioner disagreed, to proceed to arbitration. She did not have to pursue a claim against any other tortfeasor in order to become eligible to collect up to the remaining limits of her SUM policy, but once she chose to resolve her claim against the second tortfeasor, she was not free under the SUM endorsement to compromise petitioner's subrogation rights unilaterally. The consent-to-settle and subrogation-protection provisions in the SUM endorsement remained in force after respondent settled with the first tortfeasor and governed the settlement that she subsequently made with the second tortfeasor.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

Am Jur 2d, Automobile Insurance §§ 467–473, 613, 616, 618.

COUCH ON INSURANCE (3d ed) §§ 171:19, 224:75, 224:100, 224:101, 225:43.

11 NYCRR 60–2.3 (f).

NY JUR 2d, Insurance §§ 1724, 1748.

ANNOTATION REFERENCE

See ALR Index under Automobile Insurance; Underinsured Motorists.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: subrogation /s underinsured /p settlement

POINTS OF COUNSEL

Powers & Santola, LLP, Albany (*Michael J. Hutter* of counsel), and *Capasso & Massaroni, LLP,* Schenectady, for appellant. I. Determination of respondent's arguments on this appeal in support of her contention that she is entitled to arbitration of her supplementary uninsured/underinsured motorist (SUM) claim pursuant to her SUM coverage in the policy issued to her by petitioner must comport with Regulation 35-D's stated purpose of maximizing the benefit of SUM coverage to the SUM insured. (*Matter of Utica Mut. Ins. Co. [Hurd],* 221 AD2d 903; *Matter of Prudential Prop. & Cas. Co. v Szeli,* 83 NY2d 681; *S'Dao v National Grange Mut. Ins. Co.,* 87 NY2d 853; *Matter of Metropolitan Prop. & Cas. Ins. Co. v Mancuso,* 93 NY2d 487; *Reichel v Government Empls. Ins. Co.,* 66 NY2d 1000; *North Star Reins. Corp. v Continental Ins. Co.,* 82 NY2d 281; *Winkelmann v Excelsior Ins. Co.,* 85 NY2d 577; *Matter of State Farm Mut. Auto. Ins. Co. v Lucano,* 11 AD3d 548; *New York Cent. Mut. Fire Ins. Co. v Danaher,* 290 AD2d 783; *Matter of State Farm Mut. Auto. Ins. Co. v Hardina,* 225 AD2d 486.) II. Respondent's settlement in this multiple tortfeasor situation with the first tortfeasor for her policy limits without the written consent of petitioner and a preservation of petitioner's subrogation rights against the first tortfeasor and without exhaustion of the policy limits of the second tortfeasor was permissible as it was entered into in accordance with the conditions necessary to trigger her supplementary uninsured/underinsured motorist coverage. (*Matter of Atlantic Mut. Ins. Co. v Cooper,* 247 AD2d 209; *Matter of Transportation Ins. Co. [Pecoraro],* 270 AD2d 851; *Matter of Hertz Claim Mgt. Corp. v Kulakowich,* 53 AD3d 578; *Matter of Aetna Cas. & Sur. Co. v Crown,* 181 AD2d 883; *Matter of Poole [State Farm Auto. Ins. Co.],* 164 Misc 2d 697; *Huth v Nationwide*

Ins. Co., 148 Misc 2d 1003; *S'Dao v National Grange Mut. Ins. Co.,* 87 NY2d 853; *Matter of Liberty Mut. Ins. Co. v Doherty,* 13 AD3d 629.) III. Once respondent properly settled in this multiple tortfeasor situation with the first tortfeasor for her policy limits, respondent's further settlement with the second tortfeasor, which was entered into without obtaining petitioner's consent and protecting petitioner's subrogation right as against the second tortfeasor, did not render her supplementary uninsured/underinsured motorist coverage unavailable. (*Weinberg v Transamerica Ins. Co.,* 62 NY2d 379; *County of Columbia v Continental Ins. Co.,* 83 NY2d 618; *Hartford Ins. Co. of Midwest v Halt,* 223 AD2d 204; *S'Dao v National Grange Mut. Ins. Co.,* 87 NY2d 853; *Rekemeyer v State Farm Mut. Auto. Ins. Co.,* 4 NY3d 468.)

Goldberg Segalla LLP, Albany (*Jonathan M. Bernstein* of counsel), for respondent. Beverly Bemiss violated the policy by executing a release with John Genski/Progressive Northeastern Insurance Company (Genski/Progressive) without providing notice to, and obtaining approval from, Central Mutual Insurance Company (Central), and waiving Central's right to subrogation against Genski/Progressive. (*Allstate Ins. Co. v Stein,* 1 NY3d 416; *Ocean Acc. & Guar. Corp. v Hooker Electrochemical Co.,* 240 NY 37; *Weinberg v Transamerica Ins. Co.,* 62 NY2d 379; *Matter of American Home Assur. Co. v Williams,* 282 AD2d 674; *Matter of State Farm Mut. Auto. Ins. Co. v Lucano,* 11 AD3d 548; *Matter of Transportation Ins. Co. [Pecoraro],* 270 AD2d 851; *Matter of Allstate Ins. Co. [Liberati],* 280 AD2d 922; *Matter of New York Cent. Mut. Fire Ins. Co. [Cavanagh],* 265 AD2d 787, 94 NY2d 760; *Matter of Nationwide Mut. Ins. Co. [Tarsia],* 265 AD2d 936; *New York Cent. Mut. Fire Ins. Co. v Danaher,* 290 AD2d 783.)

Fiedelman & McGaw, Jericho (*Andrew Zajac, Dawn C. DeSimone, Rona L. Platt, Brendan T. Fitzpatrick* and *David B. Hamm* of counsel), and *Thomas J. Maroney* for Defense Association of New York, Inc., amicus curiae. I. Beverly Bemiss waived Central Mutual Insurance Company's (Central) right to subrogation and breached her contract with Central when she settled her case with John Genski/Progressive Northeastern Insurance Company and executed a general release without obtaining approval from Central. (*Matter of Wallace v 600 Partners Co.,* 86 NY2d 543; *Breed v Insurance Co. of N. Am.,* 46 NY2d 351; *Kaf-Kaf, Inc. v Rodless Decorations,* 90 NY2d 654; *Weinberg v Transamerica Ins. Co.,* 62 NY2d 379; *Matter of Transportation Ins.*

Co. [Pecoraro], 270 AD2d 851; *Matter of Nationwide Mut. Ins. Co. [Tarsia],* 265 AD2d 936; *New York Cent. Mut. Fire Ins. Co. v Danaher,* 290 AD2d 783.) II. The public policy underpinnings of insurers' long-established and recognized right of subrogation dictate affirmance of the order appealed from. (*Propeller Monticello v Mollison,* 17 How [58 US] 152; *Connecticut Fire Ins. Co. v Erie Ry. Co.,* 73 NY 399; *Ocean Acc. & Guar. Corp. v Hooker Electrochemical Co.,* 240 NY 37; *Weinberg v Transamerica Ins. Co.,* 62 NY2d 379; *Pennsylvania Gen. Ins. Co. v Austin Powder Co.,* 68 NY2d 465; *Federal Ins. Co. v Arthur Andersen & Co.,* 75 NY2d 366; *Winkelmann v Excelsior Ins. Co.,* 85 NY2d 577; *Fasso v Doerr,* 12 NY3d 80; *Matter of State Farm Mut. Auto. Ins. Co. v Lucano,* 11 AD3d 548, 5 NY3d 717; *New York Cent. Mut. Fire Ins. Co. v Danaher,* 290 AD2d 783.)

OPINION OF THE COURT

READ, J.

We are asked in this appeal whether consent-to-settle and subrogation-protection provisions in the supplementary uninsured/underinsured motorists (SUM) endorsement in an automobile liability insurance policy fall by the wayside once an insured has exhausted the available policy limits of a single tortfeasor in a multi-tortfeasor accident. We hold that these provisions remain in force and govern any settlements that the insured may subsequently make with other tortfeasors.

I.

During the morning rush hour on April 12, 2005, a chain-reaction automobile accident unspooled in the westbound lane of Interstate 90 in the City of Albany when the first car in the ensuing five-vehicle pileup stopped in traffic to avoid becoming entangled in a two-car collision. The vehicle driven by Beverly Bemiss (the third in line in the pileup) was struck twice in the rear—once by the vehicle driven by Kati Kowalczyk, the fourth in line; and again when the automobile driven by John Genski, the fifth in line, rear-ended Kowalczyk's vehicle, pushing it into the back of Bemiss's vehicle a second time. As a consequence of this accident, Bemiss seriously injured her right foot and ankle, which required surgery to repair the Achilles tendon.

Kowalczyk was insured for motor vehicle liability under a policy issued by Government Employees Insurance Company (GEICO), with bodily injury liability limits of $25,000; Genski was insured under a policy issued by Progressive Northeastern

Insurance Company, also with bodily injury liability limits of $25,000. Central Mutual Insurance Company was Bemiss's automobile liability insurance carrier. Her single limit policy provided $100,000 per accident for bodily injury and property damage, and a SUM endorsement for $100,000 per accident. The provisions in her SUM endorsement were prescribed by the New York State Department of Insurance (the Department) in Regulation 35-D (11 NYCRR subpart 60-2). And since both Kowalczyk's and Genski's bodily injury liability limits were less than Bemiss's, her SUM coverage was activated or triggered as to each of them (*see Matter of Prudential Prop. & Cas. Co. v Szeli*, 83 NY2d 681, 685 n 1, 686-688 [1994]). SUM benefits are not payable, however, until the available policy limits of a single tortfeasor have been exhausted by payment or settlement (*see S'Dao v National Grange Mut. Ins. Co.*, 87 NY2d 853, 854-855 [1995]).

By letter dated July 27, 2006, Bemiss's attorney informed Central that GEICO, Kowalczyk's insurance carrier, had tendered the policy limits of $25,000. He further advised that Bemiss intended to accept this offer and execute a release on or after August 27, 2006 unless Central advanced this amount to her in return for her cooperation in any lawsuit on her behalf. Central did not respond to the letter. Bemiss also at some point agreed to settle with Genski and his insurer, Progressive, for $2,500—i.e., less than the $25,000 policy limit. Bemiss never notified Central that she intended to settle with Genski, or solicited Central's consent.

On December 21, 2006, Bemiss executed a single general release in favor of Kowalczyk, GEICO, Genski, and Progressive in consideration of the sum of $27,500—$25,000 from GEICO and $2,500 from Progressive. The release did not preserve Central's subrogation rights with respect to any payment that might be made to Bemiss under her SUM coverage. Earlier in December (and therefore before exhausting Kowalczyk's policy), Bemiss served Central with a request for arbitration, seeking $72,500 in SUM benefits.

On January 9, 2007, Central's attorney wrote to Bemiss's attorney to ask whether an action had been filed against Genski. On January 17, 2007, Bemiss's attorney replied that his client had settled with Genski and his insurance carrier for $2,500, and that Bemiss was seeking $72,500 from Central under the SUM endorsement.

By letter dated January 26, 2007, Central disclaimed liability to Bemiss and denied coverage. Specifically referencing Condition 10 (without waiving any other ground that it might have for disclaimer), Central told Bemiss that she had violated policy conditions by ''settl[ing] with both responsible parties [i.e., Kowalczyk and Genski] in this loss, and in signing the release, waived [Central's] subrogation rights.'' Condition 10 allows an insured to collect under SUM coverage in a multiple-tortfeasor accident before exhaustion by settlement or judgment. Specifically, 30 days after having given the insurer notice of a tortfeasor's offer to settle for the maximum available policy limits, the insured may execute a general release with the tortfeasor and retain SUM eligibility unless, in the meantime, the insurer has agreed to advance the settlement amount in exchange for the insured's cooperation with its subrogation claim.

In March 2007, Bemiss served Central with another request for arbitration, having withdrawn the December notice after arbitration was temporarily stayed at Central's behest. She again sought $72,500 in SUM benefits. And Central again successfully moved by order to show cause, entered on March 26, 2007, to stay arbitration temporarily pending disposition of its application for an order permanently staying arbitration and vacating Bemiss's notice.

Central maintained that Bemiss was not entitled to SUM benefits because she did not protect its subrogation rights, give prior written notice of her intent to settle, or obtain its written consent before settling with Genski/Progressive. In opposition, Bemiss argued that

> ''[t]he policy . . . reads that when there are multiple tortfeasors, and one of those tortfeasors offers the maximum coverage under its policy, then written notice must be given of the policy tender before execution of a release. The policy [does not contain] any language that requires the insured to provide written notice for a partial tender from a second tortfeasor.''

In May 2007, Supreme Court granted Central's application and permanently stayed arbitration, reasoning that, under the terms of the SUM endorsement, Central ''expressly require[d] that it retain the right to subrogate regardless of the exact nature of the settlement.'' Thus, ''[e]ven if the Court were to accept [Bemiss's] argument that once [she] settled for the entire amount of coverage with [GEICO], [she] could settle with Progressive without notice and consent of [Central], this argument does nothing to remedy the fact that [Bemiss] failed to preserve Central's right to subrogate.'' Bemiss appealed.

The Appellate Division, with one Justice dissenting, affirmed. As an initial matter—and contrary to Supreme Court's assessment—both the majority and the dissenting Justice concluded that Condition 10 in the SUM endorsement ''permitted [Bemiss] to settle with the first tortfeasor [Kowalczyk] without preserving [Central's] subrogation rights'' with respect to Kowalczyk (*Matter of Central Mut. Ins. Co. [Bemiss]*, 54 AD3d 499, 500 [3d Dept 2008]). The majority, however, rejected Bemiss's additional claim that once she qualified for SUM payments by exhausting Kowalczyk's policy, she was free to settle with Genski without obtaining Central's prior written consent or safeguarding its subrogation rights. The dissent disagreed, and we granted Bemiss permission to appeal (11 NY3d 711 [2008]). We now affirm.

II.

To decide this appeal, we must examine the interplay of the consent-to-settle (Condition 10), exhaustion (Condition 9), and subrogation-protection (Condition 13) provisions in the standard SUM endorsement prescribed by Regulation 35-D, which the Department designed to ''reduce confusion regarding [SUM] coverage, make it easier to collect benefits and, when disputes arise, make it simpler to resolve those disputes'' (NY Reg, Apr. 22, 1992, at 21). To put these provisions in perspective, a bit of history is in order.

Insurance Law § 3420 (f) (2) (A) provides that ''[a]s a condition precedent to the obligation of the insurer to pay under the [SUM] insurance coverage, the limits of liability of all bodily injury liability bonds or insurance policies applicable at the time of the accident shall be exhausted by payment of judgments or settlements.'' And in *S'Dao*, we concluded that ''the exhaustion requirement of section 3420 (f) (2) relates back to the statute's reference to 'another motor vehicle' and indicates that the proper focus is on the underinsured status of each individual tortfeasor'' (87 NY2d at 854). As a result, SUM benefits are payable in a multiple-tortfeasor accident once the insured exhausts the bodily injury liability limits applicable to any single tortfeasor. Our decision in *S'Dao* reversed the Appellate Division, which had interpreted the statute to require a SUM claimant to exhaust the bodily injury liability limits of the policies held by *all* tortfeasors—i.e., to exhaust the aggregate limits of liability of all applicable policies. Further, in *Weinberg v Transamerica Ins. Co.* (62 NY2d 379, 381-382 [1984]), we held that in settling personal injury claims arising out of a motor vehicle accident,

> ''an insured will be held to have prejudiced the subrogation rights of his insurer unless he establishes by express provision in the release . . . or by necessary implication arising from the circumstances of the execution of the release that the settling parties reserved the rights of the insurer against the third-party tort-feasor or otherwise limited the extent of their settlement to achieve that result.''

As a corollary, an insured who settles with a tortfeasor without his carrier's written consent forfeits SUM benefits (*see State Farm Mut. Auto. Ins. Co. v Taglianetti*, 122 AD2d 40 [2d Dept 1986]).

These principles created what commentators referred to as a ''Catch-22'' for the SUM claimant (*see e.g.* Dachs and Dachs, Insurance and No-Fault Law, *The Underinsured Motorist*, NYLJ, Dec. 11, 1990, at 3, col 1). That is, if the insured's carrier withheld its consent to an offer of a tortfeasor's full available policy limits in exchange for a general release (which was naturally always demanded), the insured faced unpalatable options: either refuse the offer and litigate the case to judgment in order to exhaust the tortfeasor's policy and become eligible to receive SUM benefits, or accept the offer and risk losing SUM coverage on account of having prejudiced the carrier's subrogation rights. The Department set out to eliminate this dilemma when it formulated Regulation 35-D.

To this end, Regulation 35-D, as initially drafted by the Department, mandated the following in the standard SUM endorsement as Conditions 7 and 8:

> ''7. Exhaustion Required: Except as provided in Condition 8, we will pay under this SUM coverage only after the limits of liability have been used up under all motor vehicle bodily injury liability insurance policies or bonds applicable at the time of the accident in regard to a person that may be legally liable for the bodily injury sustained by the insured.

> "8. Release or Advance: In accidents involving the insured and one or more negligent parties, if such insured settles with all such parties for the aggregate limits of the liability coverage of such parties, release may be executed with such parties after thirty calendar days actual written notice to us, unless within this time period we agree to advance such settlement amounts to the insured in return for the cooperation of the insured in our lawsuit on behalf of the insured.
>
> "We shall have a right to the proceeds of any such lawsuit equal to the amount advanced to the insured and any additional amounts paid under this SUM coverage. Any excess above those amounts shall be paid to the insured.
>
> "An insured shall not otherwise settle with any negligent party, without our written consent, such that our rights would be impaired" (*see* Dachs and Dachs, *The Undersinsured Motorist*, NYLJ, Dec. 11, 1990, at 3, col 1 [discussing development of Department's proposed Regulation 35-D]; Dachs and Dachs, Insurance and No-Fault Law, *SUM Regulation Redux*, NYLJ, June 9, 1992, at 3, col 1 [comparing text of proposed and final Regulation 35-D]).

Notice of proposed Regulation 35-D was published in the State Register on September 11, 1991.

In response to comments and criticism, Regulation 35-D was subsequently amended and another notice was published in the State Register on April 22, 1992.* In the amended version, Conditions 7 and 8 of Regulation 35-D were renumbered Conditions 9 and 10, and provided respectively as follows:

> "9. Exhaustion Required: Except as provided in Condition 10, we will pay under this SUM coverage only after the limits of liability have been used up under all motor vehicle bodily injury liability

* Trade associations and insurers brought a CPLR article 78 proceeding to challenge Regulation 35-D, which resulted in a stay of enforcement and a delay in implementation (*see Matter of National Assn. of Ind. Insurers v Curiale*, 190 AD2d 597 [1st Dept 1993], *lv denied* 81 NY2d 711 [1993]; *see also* Dachs and Dachs, Insurance and No-Fault Law, *The Latest on Regulation 35-D*, NYLJ, Nov. 10, 1992, at 3, col 1; Dachs and Dachs, Insurance and No-Fault Law, *Regulation 35-D: A Reality at Last*, NYLJ, Sept. 14, 1993, at 3, col 1).

> insurance policies or bonds applicable at the time of the accident in regard to any one person who may be legally liable for the bodily injury sustained by the insured.
>
> ''10. Release or Advance: In accidents involving the insured and one or more negligent parties, if such insured settles with any such party for the available limit of the motor vehicle bodily injury liability coverage of such party, release may be executed with such party after thirty calendar days actual written notice to us, unless within this time period we agree to advance such settlement amounts to the insured in return for the cooperation of the insured in our lawsuit on behalf of the insured.
>
> ''We shall have a right to the proceeds of any such lawsuit equal to the amount advanced to the insured and any additional amounts paid under this SUM coverage. Any excess above those amounts shall be paid to the insured.
>
> ''An insured shall not otherwise settle with any negligent party, without our written consent, such that our rights would be impaired'' (11 NYCRR 60-2.3 [f]).

By changing the reference in Condition 9 (former proposed Condition 7) from ''a person that'' to ''any one person who,'' eliminating the reference in Condition 10 (former proposed Condition 8) to ''aggregate limits'' and substituting the singular ''party'' for the plural ''parties,'' the Department unambiguously applied the exhaustion requirement in section 3420 (f) to any single tortfeasor, not to all potential tortfeasors. This is exactly how we subsequently interpreted the statute in *S'Dao*.

Urging us to read Conditions 9 and 10 together, Bemiss contends that ''where multiple tortfeasors are involved and the insured has permissibly settled with one tortfeasor for his/her policy limits, . . . the insure[r] has no right under Regulation 35-D to be notified of and withhold consent to a settlement with another tortfeasor for less than his/her policy limit'' even though Condition 10 mandates that ''[a]n insured shall not otherwise settle with any negligent party, without our written consent, such that our rights would be impaired.'' In her view, this restriction ''is intended to apply to an insured seeking . . . to settle for the policy limits of [the first] tortfeasor . . . The goal is to allow the settlement to be consummated while giving the insurer the opportunity to protect its subrogation right''—i.e., to remedy the ''Catch-22.'' Bemiss argues that to read Condition 10 as governing an insured's settlement with a second tortfeasor would ''take away'' what Condition 9 and our decision in *S'Dao* give—i.e., the rule that SUM benefits become payable in a multiple-tortfeasor accident after one tortfeasor's policy has been exhausted.

As already noted, an insured generally may not settle with a tortfeasor without the SUM insurer's written consent, and may not prejudice the SUM insurer's subrogation rights. As to the latter point, Condition 13 of the SUM endorsement specifically states as follows:

> ''13. Subrogation: If we make a payment under this SUM coverage, we have the right to recover the amount of this payment from any person legally responsible for the bodily injury or loss of the person to whom, or for whose benefit, such payment was made to the extent of the payment. The insured or any person acting on behalf of the insured must do whatever is necessary to transfer this right of recovery to us. *Except as permitted by Condition 10, such person shall do nothing to prejudice this right*'' (11 NYCRR 60-2.3 [f] [emphasis added]).

The final sentence of Condition 10—the crux of Bemiss's argument—specifies that the insured ''*shall not otherwise settle with any negligent party*, without [the SUM carrier's] written consent, such that [the SUM carrier's] rights would be impaired'' (emphasis added). Looking at both this language and the structure of Condition 10, ''otherwise'' refers back to the settlement scenario delineated in the first sentence—i.e., an insured's 30 days' written notice to the insurer of a tortfeasor's offer to settle for the maximum available policy limits. And while Bemiss contends that ''any negligent party'' refers only to the first tortfeasor whose policy is exhausted so as to make SUM benefits payable, this is not readily apparent from the words used or the regulatory history. In the original version of Condition 10 (former Condition 8), ''any negligent party'' clearly referred to *all* the tortfeasors in a multiple-tortfeasor accident. When the Department revised the SUM endorsement to make the exhaustion requirement applicable to any single tortfeasor rather than the aggregate limits of the liability coverage of all tortfeasors, it retained in new Condition 10 the stipulation that the insured could not "otherwise settle with *any* negligent party" (emphasis added). Bemiss, in effect, asks us to read this provision to mean "otherwise settle with the first party to tender the available limit of his/her motor vehicle bodily injury liability coverage." Even if Bemiss's interpretation of "any negligent party" were correct, there is nothing in the SUM endorsement to suggest that the subrogation-protection provisions in Condition 13 become inoperative once an insured has exhausted a single tortfeasor's policy limits in a multiple-tortfeasor accident.

In short, Condition 10 delineates the *sole* situation in which an insured may settle with any tortfeasor in exchange for a general release, thus prejudicing the insurer's subrogation rights, without the carrier's written consent. Here, Bemiss violated Condition 10 when she settled with Genski for less than the maximum available policy limits without Central's written consent, such that its subrogation rights were impaired. Moreover, this result is not inconsistent with our decision in *S'Dao* or Condition 9 of the SUM endorsement. In this case, Bemiss settled with Kowalczyk in compliance with Condition 10, thereby also fulfilling the exhaustion requirement in Condition 9. At that point, she was entitled to make a claim for $75,000 under her SUM coverage and, if Central disagreed, to proceed to arbitration. That is, she did not have to pursue a claim against Genski in order to become eligible to collect up to the remaining limits of her SUM policy. But once having chosen to resolve her claim against Genski, she was not free under the SUM endorsement to compromise Central's subrogation rights unilaterally.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, SMITH, PIGOTT and JONES concur.

Order affirmed, with costs.

[912 NE2d 48, 884 NYS2d 216]

In the Matter of VIRGINIA PARKHOUSE, Appellant, v SCOTT M. STRINGER, as Borough President of Manhattan, et al., Respondents.

Argued June 2, 2009; decided June 25, 2009

SUMMARY

APPEAL, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered August 19, 2008. The Appellate Division affirmed an order of the Supreme Court, New York County (Herman Cahn, J.; op 17 Misc 3d 1119[A], 2007 NY Slip Op 52065[U]), which had (1) denied petitioner's application to quash a subpoena served by respondent Department of Investigation of the City of New York; (2) granted respondents' cross motion to compel compliance with the subpoena; and (3) denied petitioner's cross motion to strike certain matters from respondents' investigatory filings as scandalous and prejudicial, to have New York City Charter § 803 (b) declared unconstitutional as applied to her and to enjoin respondents from interfering with her exercise of free speech.

Matter of Parkhouse v Stringer, 55 AD3d 1, affirmed.

HEADNOTES

Witnesses — Subpoena — Investigatory and Subpoena Power of Department of Investigation of City of New York

1. Petitioner, a representative of a community organization who spoke without authorization for an elected official at a public hearing held by a city agency and inaccurately read a letter written by that official, was not immune from subpoena by the New York City Department of Investigation (DOI) in connection with its investigation into the misrepresentations allegedly made by petitioner and another individual at the hearing merely because she was neither a city employee nor a person doing business with the city. DOI's inquisitorial power (NY City Charter § 803 [b], [d]) reaches any person, even though unconnected with city employment, when there are grounds present to sustain a belief that such person has information relative to the subject matter of the investigation.

Constitutional Law — Freedom of Speech — Compliance with Subpoena Issued by Department of Investigation of City of New York

2. Petitioner, a representative of a community organization who spoke without authorization for an elected official at a public hearing held by a city agency and inaccurately read a letter written by that official, was required to comply with a subpoena from the New York City Department of Investigation (DOI) issued in connection with its investigation into the misrepresentations

allegedly made by petitioner and another individual at the hearing. While the speech of citizens to government officials requesting governmental action is at the very core of the freedom of speech protected by the First Amendment, there was a strong and probative basis for the investigation that justified DOI's subpoena. Because the information available to DOI indicated that two representatives of the organization had spoken at the hearing, even though hearing procedures provided that each organization was only entitled to one speaker, DOI had a reasonable basis for questioning petitioner about the other individual's allegedly deceptive conduct in signing in at the hearing as a representative of an elected official. This apparent manipulation of the system was a problem plainly within DOI's jursidiction, which allowed it to investigate the affairs, methods or efficiency of any agency (NY City Charter § 803 [b]). Further, because petitioner claimed to read the letter at issue verbatim but changed it in a way that arguably made a significant difference, DOI was entitled to subpoena her and question her about it. DOI was not forbidden to investigate what seemed to have been a knowingly false statement of fact to a city agency, even one made at a public hearing.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

Am Jur 2d, Administrative Law §§ 105, 109, 112, 127; Am Jur 2d, Witnesses §§ 10–12.

Carmody-Wait 2d, Subpoenas; Notice to Produce §§ 54:40–54:42, 54:86, 54:141.

NY Jur 2d, Administrative Law §§ 125, 128; NY Jur 2d, Evidence and Witnesses §§ 747, 748, 781, 806, 821.

US Const 1st Amend.

ANNOTATION REFERENCE

See ALR Index under Administrative Law; Freedom of Speech and Press; Subpoena.

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POINTS OF COUNSEL

Whitney North Seymour, Jr., New York City, and *Gabriel North Seymour,* Falls Village, Connecticut, for appellant. I. The New York City Department of Investigations subpoena compelling petitioner to explain her public hearing testimony violated her constitutional free speech rights. (*Bates v Little Rock,* 361 US 516; *Garcia v City of Trenton,* 348 F3d 726; *Terminiello v Chicago,* 337 US 1; *Whitney v California,* 274 US 357; *Greenbelt Cooperative Publishing Assn., Inc. v Bresler,* 398 US 6.) II. New

York City Charter § 803 is unconstitutional as applied to petitioner's public hearing testimony. (*Brown v Socialist Workers '74 Campaign Comm. [Ohio],* 459 US 87; *United States v Powell,* 379 US 48; *Hartman v Moore,* 547 US 250; *Greenbelt Cooperative Publishing Assn., Inc. v Bresler,* 398 US 6.)

Michael A. Cardozo, Corporation Counsel, New York City (*Alan G. Krams* and *Kristin M. Helmers* of counsel), for respondents. The order appealed from should be affirmed because petitioner possesses information that is relevant to a lawful investigation by the New York City Department of Investigation. (*Myerson v Lentini Bros. Moving & Stor. Co.,* 33 NY2d 250; *Matter of Weintraub v Fraiman,* 30 AD2d 784, 24 NY2d 918; *Matter of Hirshfield v Hanley,* 228 NY 346; *Matter of A'Hearn v Committee on Unlawful Practice of Law of N.Y. County Lawyers' Assn.,* 23 NY2d 916, 395 US 959; *Matter of Levin v Murawski*, 59 NY2d 35; *Del Vecchio v White Plains Unit, Westchester County Ch., Civ. Serv. Empls. Assn., Local 860,* 64 AD2d 975; *Virag v Hynes,* 54 NY2d 437; *New York State Commn. on Govt. Integrity v Congel,* 156 AD2d 274, 75 NY2d 836; *Greenbelt Cooperative Publishing Assn., Inc. v Bresler,* 398 US 6; *Herbert v Lando,* 441 US 153.)

Matthew Faiella, New York City, and *Arthur Eisenberg* for New York Civil Liberties Union, amicus curiae. I. Virginia Parkhouse's statements at issue here are protected by the First Amendment to the Federal Constitution and article I, § 8 of the New York Constitution. (*Mills v Alabama,* 384 US 214; *600 W. 115th St. Corp. v Von Gutfeld,* 80 NY2d 130, 508 US 910; *Brown v Hartlage,* 456 US 45; *Philadelphia Newspapers, Inc. v Hepps,* 475 US 767; *New York Times Co. v Sullivan,* 376 US 254; *Boos v Barry,* 485 US 312; *Whitney v California,* 274 US 357; *Abrams v United States,* 250 US 616; *Riley v National Federation of Blind of N. C., Inc.,* 487 US 781; *Meyer v Grant,* 486 US 414.) II. Strict scrutiny applies to subpoenas targeting core political speech. (*Sweezy v New Hampshire,* 354 US 234; *Laird v Tatum,* 408 US 1; *McIntyre v Ohio Elections Comm'n,* 514 US 334; *Yancey v Apfel,* 145 F3d 106; *Police Dept. of Chicago v Mosley,* 408 US 92; *Perry Ed. Assn. v Perry Local Educators' Assn.,* 460 US 37; *Simon & Schuster, Inc. v Members of N. Y. State Crime Victims Bd.,* 502 US 105; *R.A.V. v St. Paul,* 505 US 377.) III. The subpoena and investigation in this case cannot be found to survive strict scrutiny. (*Carey v Brown,* 447 US 455; *Texas v Johnson,* 491 US 397.)

OPINION OF THE COURT

SMITH, J.

Petitioner's testimony at a public hearing before a New York City agency prompted a complaint by a public official, followed by a subpoena to petitioner from the New York City Department of Investigation (DOI). Petitioner seeks to quash the subpoena, claiming that it exceeds DOI's investigative authority and interferes with her First Amendment rights.

We recognize the importance of protecting citizens who speak publicly to their government from intrusion and harassment that may result from official displeasure with what they say. In this case, therefore, we apply with special stringency the general rule that an investigative subpoena will be upheld only where sufficient facts are shown to justify the inquiry. We nevertheless hold that DOI has made a sufficient showing here, and that its subpoena is valid.

I

Petitioner is associated with an organization known as "Landmark West!," which seeks the preservation of historic buildings on the Upper West Side of Manhattan. In 2006, Landmark West supported designating two stable buildings, the Mason/Dakota Stables and the New York Cab Company Stables, as landmarks. On August 14, 2006, the Borough President of Manhattan, Scott Stringer, wrote a letter to the Chair of the New York City Landmarks Preservation Commission (LPC) that was generally favorable to the proposed landmarking. The letter said that the buildings "are historic fixtures of Manhattan's Upper West Side and should be preserved"; it urged the Chair "to calendar these two important buildings for public hearing by the Landmarks Preservation Commission" and to "protect an important part of the history of the development of the Upper West Side." The letter did not say in so many words, however, that the Borough President thought the buildings should be landmarked.

The LPC did calendar the buildings for a public hearing, which took place on October 17, 2006. In the two months between the letter and the hearing, the Borough President apparently changed his mind and decided not to support the landmarking of one of the buildings; the record does not show whether petitioner or Landmark West knew of this change. The Borough President sent a representative to monitor the October 17 hearing, but did not seek to express any views at it.

Petitioner attended the October 17 hearing, signing a ‘‘speakers’ sign-in sheet’’ as a representative of Landmark West. Another Landmark West representative, Lindsay Miller, also attended, signing in as a representative of Assemblymember Linda Rosenthal. Assemblymember Rosenthal later asserted, without contradiction, that she never authorized Ms. Miller to represent her. Indeed, the Assemblymember said she sent a member of her own staff to testify, but that person was not allowed to do so because the LPC limits each organization to one speaker, and Ms. Miller had usurped the slot.

Petitioner began her testimony by stating her name and saying ‘‘I’m volunteering today to read the statement of Borough President Scott Stringer.’’ She then read an altered version of the Borough President’s August 14 letter, without mentioning that she had altered it. She omitted the Borough President’s request that the LPC ‘‘calendar’’ the buildings for public hearing, presumably because the LPC had already done so. More important, she added to the letter an express request for landmarking. The last sentence of the letter, as written by the Borough President, said: ‘‘I ask that you move to calendar these two buildings and protect an important part of the history of the development of the Upper West Side.’’ The sentence became, in petitioner’s reading: ‘‘I ask that you immediately protect the important part of history of the Upper West Side and landmark these buildings.’’ Ms. Miller also testified, reading a letter from Assemblymember Rosenthal, which she altered to similar effect.

Borough President Stringer and Assemblymember Rosenthal were unhappy when they heard of these events, and made their displeasure known in letters to the LPC Chair. The more relevant letter for our purposes was written by the Borough President’s Counsel, and focuses on petitioner’s role at the hearing. The letter says that petitioner was not authorized to speak for the Borough President, and adds:

> ‘‘We are concerned that any person and/or organization may have falsely induced reliance from a public agency based on representations appearing to derive from the authority of an elected official or public servant. Such conduct is highly inappropriate and, if pursued with the intent to mislead, a potential violation of New York Penal Law Section 190.25 proscribing criminal impersonation, an offense that includes acting with intent to cause another to rely upon pretended official authority.’’

After receiving the public officials' letters, the LPC complained to DOI that petitioner and Ms. Miller had made misrepresentations at the public hearing, and DOI began an investigation. DOI asked petitioner to talk to it voluntarily, and when she refused DOI served a subpoena to compel her testimony. Petitioner moved by order to show cause to quash the subpoena; DOI cross-moved to compel compliance. Supreme Court denied the motion to quash and granted the motion to compel (17 Misc 3d 1119[A], 2007 NY Slip Op 52065[U]), and the Appellate Division affirmed (55 AD3d 1 [1st Dept 2008]). Petitioner appeals as of right pursuant to CPLR 5601 (b) (1), and we now affirm.

II

DOI's powers under the New York City Charter are broad. Section 803 (b) of the Charter says:

> "The commissioner [of DOI] is authorized and empowered to make any study or investigation which in his opinion may be in the best interests of the city, including but not limited to investigations of the affairs, functions, accounts, methods, personnel or efficiency of any agency."

Charter § 803 (d) says:

> "the jurisdiction of the commissioner shall extend to any agency, officer, or employee of the city, or any person or entity doing business with the city, or any person or entity who is paid or receives money from or through the city or any agency of the city."

[1] The latter subdivision has not been read as a limitation on the witnesses DOI may subpoena. *Matter of Weintraub v Fraiman* (30 AD2d 784 [1st Dept 1968], *affd* 24 NY2d 918 [1969]) holds that "inquisitorial" power "reaches any person, even though unconnected with city employment, when there are grounds present to sustain a belief such person has information relative to the subject matter of the investigation" (30 AD2d at 784-785 [citation omitted]). We thus reject petitioner's suggestion that she is immune from subpoena by DOI merely because she is neither a city employee nor a person doing business with the city. The harder question is whether the facts here provide an adequate basis for subpoenaing her.

III

Myerson v Lentini Bros. Moving & Stor. Co. (33 NY2d 250 [1973]) establishes that public agencies do not have carte blanche in issuing investigative subpoenas. In that case, which involved an investigation by the Department of Consumer Affairs into alleged deceptive trade practices, we held ‘‘that a witness subject to a ‘non-judicial’ subpoena duces tecum may always challenge the subpoena in court on the ground it . . . subjects the witness to harassment’’ (*id.* at 256 [citations omitted]). This holding applies with equal force to a subpoena seeking testimony. In *Myerson*, we quashed a broad subpoena duces tecum, because of the ‘‘slim showing made to support inquisitorial action’’ (*id.* at 260). The question here is whether DOI has made a sufficient showing of justification for its ‘‘inquisitorial action’’ in seeking to compel petitioner’s testimony.

[2] In answering this question, we must take account of the unusual subject matter of this investigation: the actions and words of witnesses at a public hearing. Petitioner, and the New York Civil Liberties Union as amicus, point out correctly that speech of citizens to government officials requesting governmental action is at the very core of the freedom of speech protected by the First Amendment. ‘‘[T]here is practically universal agreement that a major purpose of [the First] Amendment was to protect the free discussion of governmental affairs’’ (*Mills v Alabama*, 384 US 214, 218 [1966]). There is a danger that subpoenas may be used to intimidate or harass participants in such free discussion, and for that reason, we demand more to support a subpoena in a case like this than in one like *Myerson*, which involved alleged overcharges by a moving company. We said in *Myerson* that we would not require ‘‘a strong and probative basis for investigation’’ (33 NY2d at 258); we do require it here. But after applying that demanding test, we conclude that the DOI has presented enough facts to justify its subpoena.

IV

As we interpret the record, there are two subjects about which DOI seeks to question petitioner: Ms. Miller’s allegedly deceptive conduct in signing in as a representative of Assemblymember Rosenthal, and petitioner’s misreading of Borough President Stringer’s letter. We hold that DOI may properly ask petitioner about both subjects, though the second presents a closer question.

The information available to DOI indicated that two representatives of Landmark West had spoken at the public hearing—one, petitioner, acknowledging that she was a Landmark West representative and the other, Ms. Miller, claiming falsely to represent Assemblymember Rosenthal. The result was that, though LPC procedures called for one member to speak from each organization, Landmark West got two speakers and Assemblymember Rosenthal got none. This apparent manipulation of the system was a problem plainly within DOI's jurisdiction, which allows it to investigate the ''affairs . . . methods . . . or efficiency of any agency'' (NY City Charter § 803 [b]). Nor can it plausibly be argued that, if Landmark West did usurp Assemblymember Rosenthal's right to have a representative speak at the hearing, that conduct was protected by the First Amendment. Whether or not the incident could be a basis for action against anyone, DOI could reasonably investigate whether it showed a need for improvement in LPC procedures.

There is no evidence that petitioner was at fault for the way in which Ms. Miller signed in at the hearing, but DOI had a reasonable basis for asking petitioner what she knew about that subject. There are obvious questions—Did petitioner discuss with Ms. Miller how she would sign in? Did they discuss finding a way by which both of them would be allowed to speak?—to which petitioner could be expected to know the answer. If the sole purpose of DOI's subpoena was to ask questions along these lines, we would have no difficulty in holding it to be proper.

DOI's investigation of petitioner's own role at the hearing is more troublesome. DOI argues that in petitioner's case, as in Ms. Miller's, it is investigating not the content of testimony, but only an alleged misrepresentation of authority—whether petitioner falsely claimed to represent Borough President Stringer. The Appellate Division apparently accepted this argument, finding that ''DOI is not conducting a content-based inquiry by investigating or condemning the actual words spoken by petitioner or other participants at the hearing'' (55 AD3d at 7). But this finding is not supported by the record. There is no evidence that petitioner claimed to be authorized to speak on Borough President Stringer's behalf. She signed in as a representative of Landmark West, and said that she was ''volunteering'' to read the Borough President's letter.

DOI is plainly investigating the content of petitioner's statement at the hearing. The affidavit of DOI's First Deputy Commissioner, submitted to explain the basis for the investigation, quotes petitioner's testimony and attaches an audio recording of it. In fact, the only acts or words of petitioner that appear to provide any reason to investigate are her words at the hearing—specifically, her inaccurate reading of the Borough President's letter.

We tread with great care in holding that a city agency may investigate testimony given at a public hearing. The idea is troubling in itself, and all the more so when the investigation was apparently prompted by the complaint of a public official whom the person testifying had annoyed. If the facts here were slightly different—if, for example, petitioner had not claimed to read the letter, but to summarize it, even if her summary was a gross distortion—there would be a strong argument for quashing the subpoena. A government investigation should not be allowed to trespass on the principle that ''debate on public issues should be uninhibited, robust, and wide-open'' (*New York Times Co. v Sullivan*, 376 US 254, 270 [1964]).

But petitioner did claim to read the letter verbatim, and she did not do so. She changed it in a way that arguably made a significant difference. We cannot say that DOI is forbidden to investigate what seems to have been a knowingly false statement of fact to a city agency, even one made at a public hearing. ''Spreading false information in and of itself carries no First Amendment credentials. '[T]here is no constitutional value in false statements of fact.' '' (*Herbert v Lando*, 441 US 153, 171 [1979], quoting *Gertz v Robert Welch, Inc.*, 418 US 323, 340 [1974].) What, if any, action might be taken against petitioner for her statement is a different question, but DOI was entitled to subpoena her and question her about it. Of course, as to any question she is asked, petitioner may if she wishes assert any applicable privilege.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Judges CIPARICK, GRAFFEO, READ, PIGOTT and JONES concur; Chief Judge LIPPMAN taking no part.

Order affirmed, with costs.

[Next page is 701.]